



QUALIFICATION PROGRAMME

Associate Module 9

Principles of Taxation

FOURTH EDITION



Hong Kong Institute of
Certified Public Accountants
香港會計師公會



Hong Kong's
CPA Qualification
香港會計師專業資格



MODULE 9
**PRINCIPLES
OF TAXATION**

Qualification Programme

Fourth Edition



Hong Kong Institute of
Certified Public Accountants
香港會計師公會

WILEY

Fourth edition 2023

ISBN 9781394154920

Library of Congress Cataloging-in-Publication Data

Library of Congress Cataloging-in-Publication data is available for this book

Published by

John Wiley & Sons, Inc.
111 River Street
Hoboken
NJ 07030, USA

www.wiley.com

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Cover image: © FJZEA

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DIRECTOR'S MESSAGE

Congratulations on choosing the Qualification Programme ('QP') of the Hong Kong Institute of Certified Public Accountants ('HKICPA') as your pathway to becoming a CPA! You have joined thousands of others on this exciting and important journey to develop the knowledge, skills and perspectives you need to succeed in your career and becoming a valued member of the Institute.

The world is evolving rapidly, so too is the business environment. The Accounting profession faces a number of challenges and trends including technological enhancement, regulatory development, changing societal expectations and more.

Professional accountants are no longer left only to deal with numbers, but also to analyse and advise. We are also expected to be highly strategic, collaborative, and building trust by demonstrating relevance and value to many aspects of society.

The QP of the HKICPA aims at qualifying accountants with the agility needed to embrace the changing environment. You will grow and discover a plethora of relevant competencies through QP by completing training programmes, passing professional examinations and acquiring practical experience under an authorised employer or supervisor. In the longer term, we hope that you will succeed not only in accountancy but also in enhancing your employability and portability so that you will be able to help business and society move forward.

We are delighted to partner with you on your development journey.

The QP consists of three levels of designations:

- The Associate Level aims to build a solid foundation of technical accounting knowledge.
- The Professional Level aims to deepen your technical capabilities and develop core enabling competences in the workplace.
- The Capstone integrates your knowledge, skills and experiences to resolve business problems and emerge as a top tier accounting professional.

We have designed this Learning Pack to provide you with the valuable resources for your development on attaining your CPA designation under the QP. I trust you will be successful and enjoy your QP journey!

Should you require any assistance at any time, please feel free to contact us on (852) 2287 7228.

Kit Wong
Director of Education and Training
Hong Kong Institute of Certified Public Accountants



INTRODUCTION

Successfully preparing for a career in accounting is a significant undertaking. To better prepare you for this challenging profession, the Hong Kong Institute of Certified Public Accountants (HKICPA) provides a qualification programme (QP) comprising three progressive levels: A 10-module Associate Level, a four-module Professional Level including workshops and a Capstone that includes three-day workshops and a final examination.

The Associate Level of the QP comprises 10 modules. Each of these modules involves approximately 80 hours of self-study and a closed-book module examination (except for Module 10: Business and Company Law in which the examination is open-book).

- **Module 1:** Accounting
- **Module 2:** Management Accounting
- **Module 3:** Business Economics
- **Module 4:** Business Management
- **Module 5:** Information Management
- **Module 6:** Financial Accounting
- **Module 7:** Financial Management
- **Module 8:** Principles of Auditing
- **Module 9:** Principles of Taxation
- **Module 10:** Business and Company Law

While each of the Associate Level and Professional Level modules stands on its own, the modules are also arranged in a series of ‘verticals’ that map to the CPA competence blueprint. These verticals are designed to develop an area of knowledge, through two or three modules, from basic understanding to professional excellence.

The Financial Accounting and Reporting vertical runs from Module 1, through Module 6 to Professional Level Module 11: Financial Reporting. A second vertical, Management Accounting, runs from Module 2, via Module 7 to Professional Level Module 12: Business Finance. The third vertical, Audit and Assurance, develops from Module 8 to Professional Level Module 13: Business Assurance. The fourth vertical, Taxation, takes students from Module 9 to Professional Level Module 14: Taxation.

Each Associate Level module of the new QP requires students to sit a three-hour examination. Two exam sittings are held each year in June session and December session. Please refer to the Student Handbook for the examination structure and the cut-off rule on the examinable content.



HKICPA PROFICIENCY LEVELS AND TAXONOMY

The proficiency level indicated in the table below reflects the level at which the topics covered in particular learning outcome is tested. There are three levels of proficiency:

- Level 1 is the foundational level, covering the skills of knowledge and comprehension.
- Level 2 is the intermediate level, covering the skills of application and analysis.
- Level 3 is the advanced level, covering the skills of integration and evaluation.

You are expected to understand which skill is exercised based on the taxonomy verbs with which it is associated.

Please note that the list of taxonomy verbs below is for reference only and does not represent an exhaustive list.

LEVEL 1: FOUNDATION		
Skill	Verb	Definition
Knowledge The remembering of previously learned material (recall of facts)	<i>Define</i>	Give the accepted meaning of
	<i>Identify</i>	List or ascertain possibilities before analysis; Point to the essential part or parts
	<i>List</i>	Provide a concise summary of the relevant points, often in bullet point format
	<i>Outline</i>	Give the main facts about something
	<i>State</i>	Accurately articulate established principles, concepts, terms etc.
Comprehension Demonstrative understanding of facts and ideas by organising, comparing, translating, interpreting, giving descriptions and stating main ideas	<i>Describe</i>	Communicate the key features of something, present a detailed account of something focusing on depth of knowledge
	<i>Explain</i>	Make clear the details of something; or show the reason for, or underlying cause of, or the means by which something occurs
	<i>Illustrate</i>	Offer examples to show how something happens, that something happens, or make concrete a concept by giving examples
	<i>Interpret</i>	Make clear the meaning of something and its implications
	<i>Summarise</i>	Describe something concisely; bring together the main facts

LEVEL 2: INTERMEDIATE

Skill	Verb	Definition
Application Using new knowledge. Solve problems to new situations by applying acquired knowledge, facts, techniques and rules in a different way	<i>Account for / Demonstrate</i>	Give details of accounting entries to be made for in the context of financial reporting or justify (if used in a more general context); Demonstrate the accounting treatment by using a set of accounts
	<i>Apply</i>	Demonstrate knowledge, concepts or techniques; Use established methods / tools / procedures to resolve relatively straightforward scenarios or problems
	<i>Calculate / Compute</i>	Determine by computation or arrive at by mathematical means or processes
	<i>Prepare</i>	Follow established procedures / methods to create a report of financial information or commentary (e.g. using a proforma spreadsheet)
	<i>Solve</i>	To work out to a result or conclusion
	<i>Use</i>	Apply in a practical way
Analysis Examine and break information into parts by identifying motives or causes. Make inferences and find evidence to support generalisation	<i>Analyse</i>	To examine methodically by separating into parts and studying the interrelationships in order to discover essential features
	<i>Compare</i>	Critically consider two or more things, emphasising their similarities
	<i>Contrast</i>	Critically consider two or more things, emphasising their differences
	<i>Classify / Categorise</i>	Apply concepts to categorise information or groups into categories
	<i>Justify</i>	Explain the reason for recommendation made, or underlying cause of, based on an analysis of a range of available options
	<i>Prioritise / Determine</i>	Determine the order for dealing with a series of items or tasks according to their relative importance e.g. Determine the priorities / determine the level of importance

LEVEL 3: ADVANCED

Skill	Verb	Definition
Integration Compile information together in a different way by combining elements in a new pattern or proposing alternative solutions	<i>Construct</i>	To form an idea, a process, or procedure by bringing together various theoretical and conceptual elements
	<i>Design</i>	Develop a procedure/process or course of action based on selection of the optimum combination from a range of available options
	<i>Develop</i>	To bring something into existence that has not previously existed, or to reshape something from its initial position into something more refined; Use judgement to bring to a more advanced or effective state or to create a plan
	<i>Formulate</i>	Devise and put a plan into words
	<i>Integrate</i>	Combine one aspect of learning with another to form a holistic understanding of a process, procedure or course of action
	<i>Plan / Propose</i>	Formulate a detailed proposal for doing or achieving something
	<i>Produce</i>	Draw together similar or disparate items to form a report containing financial and/or non-financial information
Evaluation The ability to judge the value of material for a given purpose	<i>Advise</i>	Communicate appropriately the recommended course of action based on an analysis of specific circumstances in a manner suited to the recipient
	<i>Appraise</i>	Assess the value or quality of something; or to assess its performance
	<i>Consider</i>	Think carefully about something before making a decision to look closely or attentively at something through a process involving critical thinking
	<i>Evaluate</i>	Assess and determine the value, importance or qualities of something, normally with reference to specific criteria and draw conclusions
	<i>Recommend</i>	Select the best course of action or choice; Advocate a particular outcome or course of action based on an analysis of a range of available options

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LEARNING OUTCOMES

Each module includes Principal Learning Outcomes and Supporting Learning Outcomes arranged along a series of proficiency levels.

Module 9

Syllabus area	Weighting (%)
Demonstrate an understanding of the tax system and administration in Hong Kong	10–20
Apply tax rules and principles and calculate tax liabilities for property tax, salaries tax, profits tax, personal assessment and stamp duty in Hong Kong	75–85
Apply profits tax rules and principles and calculate profits tax liabilities for cross-border transactions	5–10

The syllabus weighting table indicates the relative weightings of the syllabus areas encompassed in this module. It serves as a guide to the percentage of study time spent on each syllabus area. In the long run, the marks allocation in the module examinations would conform to the weightings as shown above. The exact range of marks allocation in each module examination may deviate from the weightings for suitably robust questions to be set.

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO1: DEMONSTRATE AN UNDERSTANDING OF THE TAX SYSTEM AND ADMINISTRATION IN HONG KONG		
State, describe and apply the following key aspects of the tax system in Hong Kong		
LO1.01: Principles of taxation	1	
1.01.01 Describe the Hong Kong tax system	1	1
1.01.02 Explain the territorial source principle	1	1
1.01.03 Describe the roles of the taxpayer, the tax advisor and the Inland Revenue Department (IRD)	1	1
LO1.02: Types of tax	1	
1.02.01 Describe the various types of taxes levied under the Inland Revenue Ordinance (IRO) and Stamp Duty Ordinance (SDO)	1	1
LO1.03: Sources of Hong Kong tax law – statute, case law, Board of Review decisions	1	
1.03.01 Describe the various sources of tax law	1	1
1.03.02 Describe the doctrine of precedent in the context of tax law	1	1
LO1.04: Interpretation of tax statutes	1	
1.04.01 Explain the rules of interpretation of tax law and their applications	1	1

Learning Outcomes	Proficiency Level	Chapter where covered
LO1.05: The Basic Law	1	
1.05.01 State the tax relations between the HKSAR and Mainland China with reference to Departmental Interpretation and Practice Notes (DIPN) 29	1	1
1.05.02 State the major articles of the Basic Law relating to taxation	1	1
1.05.03 State the important principles of DIPN 29	1	1
LO1.06: Departmental Interpretation and Practice Notes	1	
1.06.01 Describe the status and application of DIPNs	1	1
LO1.07: Structure and administration of the Inland Revenue Department	1	
1.07.01 State the structure of the IRD	1	2
1.07.02 Explain the administration of the IRD	1	2
LO1.08: Duties and powers of officers of the IRD, and official secrecy	1	
1.08.01 Explain the duties and powers of IRD officers	1	2
1.08.02 Explain the secrecy provisions under the IRO	1	2
LO1.09: Obligations and liabilities of a taxpayer, his agent or an executor	1	
1.09.01 Explain the obligations and liabilities of a taxpayer, his agent or an executor under the IRO and SDO	1	2
LO1.10: Returns, offences and penalties	1	
1.10.01 Describe the powers of IRD officers to require the furnishing of returns, statements and information	1	2
1.10.02 Describe the powers of IRD officers to seize books, records and documents by way of search warrant	1	2
1.10.03 Describe the obligations of a taxpayer in relation to keeping of business and rent records	1	2
1.10.04 Describe the obligations and rights of an employer under the IRO	1	2
1.10.05 Describe the tax offences and the penalty provisions under the IRO	1	2
LO1.11: Assessments, additional assessments and provisional assessments	1	
1.11.01 Explain the provisions under the IRO regarding the raising of tax assessments	1	2
LO1.12: Payment, recovery, holding over and refund of tax	1	
1.12.01 Explain the provisions under the IRO regarding payment of tax	1	2
1.12.02 Explain the provisions under the IRO regarding recovery, holding over and refund of tax	1	2
LO1.13: Objections, appeals and claims	2	
1.13.01 Describe and apply the objection and appeal procedures, and the requirements to lodge a claim to correct error or omission in a tax return or statement	2	2

Learning Outcomes	Proficiency Level	Chapter where covered
1.13.02 Describe and apply the provision under the IRO regarding finality of tax assessments	2	2
1.13.03 Apply DIPN 6	2	2
LO1.14: Board of Review	1	
1.14.01 Describe the role, formation and functions of the Board of Review	1	2
LO1.15: Board of Inland Revenue	2	
1.15.01 Describe the role, formation and functions of the Board of Inland Revenue	1	2
1.15.02 Describe and apply the Inland Revenue Rules	2	2
PRINCIPAL LO2: APPLY TAX RULES AND PRINCIPLES AND CALCULATE TAX LIABILITIES FOR PROPERTY TAX, SALARIES TAX, PROFITS TAX, PERSONAL ASSESSMENT AND STAMP DUTY IN HONG KONG		
Describe, explain and analyse the following tax issues as they impact and interact on transactions, individuals and entities:		
Property tax		
LO2.01: Scope of property tax charge	2	
2.01.01 Explain the scope of charge of property tax	1	5
2.01.02 Determine whether property letting amounts to a business	2	5
2.01.03 Describe the relief and exemptions available under property tax	1	5
2.01.04 Apply DIPN 14	2	5
LO2.02: Chargeable property and owners of land and/or buildings	2	
2.02.01 Describe an owner of a property as defined under the IRO	1	5
2.02.02 Describe the obligations of a property owner under the IRO	1	5
2.02.03 Apply DIPN 14	2	5
Salaries tax		
LO2.03: Scope of salaries tax charge	2	
2.03.01 Explain the scope of charge of salaries tax	1	4
2.03.02 Explain and apply the various exemptions available under salaries tax	2	4
LO2.04: Time basis assessment	2	
2.04.01 Analyse circumstances to determine whether time apportionment is applicable	2	4
2.04.02 Apply DIPN 10	2	4
LO2.05: Incomes	2	
2.05.01 Describe and apply the rules governing the source of income from office, employment and pension	2	4
2.05.02 Apply DIPN 10	2	4

Learning Outcomes	Proficiency Level	Chapter where covered
LO2.06: Benefits in kind, housing benefits, share-based benefits and holiday journey benefits	2	
2.06.01 Explain the taxation of benefits in kind, housing benefit and share-based benefits	1	4
2.06.02 Explain the taxation of holiday journey benefits	1	4
2.06.03 Apply DIPNs 16, 38 and 41	2	4
LO2.07: Lump sum receipts	2	
2.07.01 Explain the taxation of lump sum receipts and retirement scheme benefits	1	4
2.07.02 Apply DIPN 23	2	4
LO2.08: Expenses and deductions	2	
2.08.01 Explain the rules governing the deduction of expenses and depreciation allowances available under salaries tax	1	4
2.08.02 Explain the rules governing the deduction of concessionary deductions	1	4
2.08.03 Apply DIPNs 9, 23, 35, 36 and 37	2	4
LO2.09: Losses	1	
2.09.01 Describe the nature of losses	1	4
2.09.02 Explain the treatment of losses	1	4
LO2.10: Personal allowances	2	
2.10.01 Explain and apply the rules governing the claims for various personal allowances	2	4
2.10.02 Apply DIPN 18	2	4
LO2.11: Separate taxation on spouses and joint assessment	2	
2.11.01 Explain the issues relating to the separate taxation and joint assessment of husband and wife	1	4
2.11.02 Apply DIPN 18	2	4
Profits tax		
LO2.12: Scope of profits tax charge	1	
2.12.01 Explain the scope of charge of profits tax	1	3
2.12.02 Explain the criteria for determining whether a person carries on a trade, profession or business in Hong Kong	1	3
LO2.13: Badges of trade	2	
2.13.01 Explain whether a transaction constitutes an adventure in the nature of trade	1	3
2.13.02 Apply the badges of trade in the context of tax cases and recent Board of Review decisions	2	3
LO2.14: Source of profits	2	
2.14.01 Apply the principles and rules for determining the sources of profits	2	3
2.14.02 Describe the latest developments in tax cases on source issues	1	3
2.14.03 Apply DIPNs 13 and 21	2	3

Learning Outcomes	Proficiency Level	Chapter where covered
LO2.15: Deemed trading receipts	2	
2.15.01 Apply the rules governing the taxation of deemed trading receipts	2	3
2.15.02 Apply DIPNs 22 and 49	2	3
LO2.16: Distinction between capital and revenue items	2	
2.16.01 Contrast capital and revenue items	2	3
LO2.17: General deductions and specific deductions	2	
2.17.01 Apply the rules governing allowable and non-allowable profits tax deductions under the IRO	2	3
2.17.02 Apply DIPNs 3, 5, 12, 13A, 24, 28, 33, 40 and 49	2	3
LO2.18: Cessation and post-cessation receipts and payments	1	
2.18.01 Explain the tax issues in relation to cessation	1	3
2.18.02 Explain the operation of section 15D of the IRO	1	3
LO2.19: Partnerships, joint ventures and allocation of profit/loss	2	
2.19.01 Explain the tax rules governing partnerships and joint ventures	1	3
2.19.02 Apply the rules relating to partnerships and joint ventures in evaluating the choice of entity for business purposes and the tax reporting requirements	2	3
LO2.20: Losses	2	
2.20.01 Explain the treatment of losses	1	3
2.20.02 Apply DIPN 8	2	3
LO2.21: Depreciation allowances: plant and machinery	2	
2.21.01 Explain the rules governing the grant of depreciation allowances on plant and machinery	1	3
2.21.02 Calculate the depreciation allowances on plant and machinery	2	3
2.21.03 Apply DIPN 7	2	3
LO2.22: Depreciation allowances: industrial buildings and commercial buildings	2	
2.22.01 Explain the rules governing the grant of industrial building allowances and commercial building allowances	1	3
2.22.02 Calculate the industrial building allowances and commercial building allowances	2	3
2.22.03 Apply DIPN 2	2	3
Personal assessment		
LO2.23: Election for personal assessment	2	
2.23.01 Explain the issues, including eligibility and application procedures, relating to personal assessment election	1	6
2.23.02 Analyse how a taxpayer can benefit from a personal assessment election	2	6
2.23.03 Apply DIPN 18	2	6

Learning Outcomes	Proficiency Level	Chapter where covered
Stamp duty		
LO2.24: Scope of stamp duty charge	1	
2.24.01 Identify the relevant heads of stamp duty charge	1	7
LO2.25: Conveyance on sale of immovable property	2	
2.25.01 Apply the stamping requirements and practices in relation to a conveyance on sale of immovable property in Hong Kong	2	7
LO2.26: Agreement for sale of immovable property	2	
2.26.01 Apply the stamping requirements and practices in relation to an agreement for sale of immovable property in Hong Kong	2	7
LO2.27: Lease of immovable property	2	
2.27.01 Apply the stamping requirements and practices in relation to a lease of immovable property in Hong Kong	2	7
LO2.28: Hong Kong stock	2	
2.28.01 Apply the stamping requirements and practices in relation to Hong Kong stock	2	7
LO2.29: Hong Kong bearer instrument, duplicate and counterpart	2	
2.29.01 Apply the stamping requirements and practices in relation to Hong Kong bearer instrument, duplicate and counterpart	2	7
LO2.30: Voluntary disposition inter vivos	1	
2.30.01 Explain the stamp duty implications for voluntary disposition inter vivos	1	7
LO2.31: Exemptions and reliefs	1	
2.31.01 Explain the exemptions and reliefs available under the SDO	1	7
2.31.02 Describe the Arrowtown case and explain its significance	1	7
LO2.32: Adjudication, assessment and administration	1	
2.32.01 Describe the administrative issues concerning stamp duty	1	7
2.32.02 Explain the adjudication and appeal procedures for stamp duty assessment	1	7
2.32.03 Describe stamp duty offences and penalty provisions under the SDO	1	7
2.32.04 Describe the recovery of outstanding stamp duty and penalty	1	7
Calculate the following tax liabilities for transactions, individuals and entities:		
Property tax		
LO2.33: Ascertainment of property tax liability	2	
2.33.01 Calculate the assessable value of a property	2	5
2.33.02 Calculate the allowable deductions	2	5
2.33.03 Calculate the net assessable value and the property tax payable, including provisional property tax	2	5
2.33.04 Apply DIPNs 4 and 14	2	5

Learning Outcomes	Proficiency Level	Chapter where covered
Salaries tax		
LO2.34: Ascertainment of salaries tax liability	2	
2.34.01 Calculate the assessable income from an office, employment and pension, including using time apportionment method	2	4
2.34.02 Calculate the allowable outgoings and expenses, depreciation allowances, losses brought forward, concessionary deductions and personal allowances	2	4
2.34.03 Calculate the net assessable income	2	4
2.34.04 Calculate the net chargeable income	2	4
2.34.05 Calculate the salaries tax payable including provisional salaries tax under separate taxation or joint assessment	2	4
Profits tax		
LO2.35: Ascertainment of profits tax liability	2	
2.35.01 Determine the basis period for calculating assessable profits for the years in which a trade, profession or business commenced or ceased	2	3
2.35.02 Calculate the assessable profits from a trade, profession or business chargeable to profits tax	2	3
2.35.03 Calculate the tax adjustments, the depreciation allowances on plant and machinery, the industrial building allowances and commercial building allowances	2	3
2.35.04 Calculate the net assessable profits or adjusted losses	2	3
2.35.05 Calculate the profits tax payable, including provisional profits tax	2	3
2.35.06 Interpret the relevance of accounting policies in the context of tax computations	1	3
2.35.07 Apply DIPNs 1, 34 and 40	2	3
Personal assessment		
LO2.36: Ascertainment of tax liability under personal assessment	2	
2.36.01 Calculate total income and tax payable under personal assessment for individuals and spouses	2	6
Stamp duty		
LO2.37: Ascertainment of stamp duty liability	2	
2.37.01 Calculate the stamp duty payable under the relevant heads of stamp duty charge	2	7
PRINCIPAL LO3: APPLY PROFITS TAX RULES AND PRINCIPLES AND CALCULATE PROFITS TAX LIABILITIES FOR CROSS-BORDER TRANSACTIONS		
LO3.01: Explain and analyse the tax implications and calculate the tax liabilities for cross-border transactions	2	
3.01.01 Analyse the relevant issues in relation to residents and non-residents	2	8

Learning Outcomes	Proficiency Level	Chapter where covered
3.01.02 Compare and contrast the tax treatments for residents and non-residents	2	8
3.01.03 Explain the methods used by the IRD in assessing a non-resident person to tax in Hong Kong	1	8
3.01.04 Explain what is meant by an agent of a non-resident person	1	8
3.01.05 Calculate the amount of tax which is to be withheld by a Hong Kong resident from payments made to non-residents	2	8
3.01.06 Apply DIPNs 17 and 30	2	8

 STUDY TEXT KEY FEATURES

Each of the Associate Level and Professional Module texts include a series of pedagogical features designed to help QP candidates better absorb the material, reach the required proficiency levels and meet the outlined Learning Outcomes (LOs).

The aim of these features is to help students understand the content while regularly reinforcing concepts and building the skills necessary to successfully complete each of the modules and progress through the Associate Level, the Professional Level and the Capstone.

Each chapter includes these features:

- **Chapter topic list:** A succinct list of the specific topics covered in the chapter.
- **Learning outcomes:** Outlines the specific knowledge points covered in the chapter and the specific skills related to each learning outcome (LO) discussed in the chapter.
- **Opening case:** A case study that aims to relate the material covered in the chapter to a real-life situation. At times, this opening case may be linked to opening cases in other chapters.
- **Overview:** Provides a more detailed preview of the material covered in the chapter.
- **Exhibits and charts:** Through illustrations and examples, exhibits and charts aim to convey information in graphic fashion or actual examples of accounting, reporting or calculations that are likely to be used in actual practice.
- **Illustrative examples:** Case studies that explore specific issues related to the chapter topics and further understanding of the LOs.
- **Apply and analyse:** Exam questions with analysis provided to show how to approach answering the question and apply what was learned from the concepts presented in the chapter.
- **Ethics in practice:** Ethical discussions on issues that may arise during professional practice.
- **Key learning point:** A concise summary of a salient point that is key to achieving chapter LOs.
- **Knowledge check questions:** A set of questions geared at furthering students understanding of specific topics, work through problems and meet the chapter LOs.
- **Summary:** A list of the concepts and topics covered in the chapter in an easy-to-review format.
- **Mind map:** A graphic depiction of the knowledge conveyed in the chapter to facilitate understanding of the LOs.
- **List of formulas:** A compilation of the equations introduced in the chapter.
- **Exam practice questions:** Questions similar to those likely to be featured in the examination paper required for each QP module.

TAX TABLES

Tax Reduction

Year of Assessment	% of Tax Reduction	Maximum Per Case (\$)	Applicable Tax Types
2020/21 and 2021/22	100%	10,000	profits tax, salaries tax and tax under personal assessment
2018/19 and 2019/20	100%	20,000	profits tax, salaries tax and tax under personal assessment
2017/18	75%	30,000	profits tax, salaries tax and tax under personal assessment
2014/15 to 2016/17	75%	20,000	profits tax, salaries tax and tax under personal assessment
2013/14	75%	10,000	profits tax, salaries tax and tax under personal assessment

Profits Tax

Normal Rate – Corporations

Year of Assessment	Tax Rate
2008/09 onwards	16.5%
2003/04–2007/08	17.5%

Normal Rate – Unincorporated businesses

Year of Assessment	Tax Rate
2008/09 onwards	15%
2003/04–2007/08	16%

Two-Tiered Rate – Corporations

Year of Assessment	Tax Rate
2018/19 onwards	8.25% on assessable profits up to HK\$2,000,000; and 16.5% on any part of assessable profits over HK\$2,000,000

Two-Tiered Rate – Unincorporated businesses

Year of Assessment	Tax Rate
2018/19 onwards	7.5% on assessable profits up to HK\$2,000,000; and 15% on any part of assessable profits over HK\$2,000,000

Salaries Tax and Personal Assessment

Calculation of Tax Payable

	Year of Assessment								
	2013/14 to 2016/17			2017/18			2018/19 onwards		
On the first	Net chargeable income	Rate	Tax	Net chargeable income	Rate	Tax	Net chargeable income	Rate	Tax
On the next	40,000	2%	800	45,000	2%	900	50,000	2%	1,000
On the next	40,000	7%	2,800	45,000	7%	3,150	50,000	6%	3,000
On the next	40,000	12%	4,800	45,000	12%	5,400	50,000	10%	5,000
On the next	-	-	-	-	-	-	50,000	14%	7,000
Remainder		17%			17%			17%	
Standard rates of tax		15%			15%			15%	

For 2020/21, 100% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of \$10,000 per case.

For 2018/19 and 2019/20, 100% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of \$20,000 per case.

For 2017/18, 75% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of \$30,000 per case.

For 2016/17, 75% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of \$20,000 per case.

For 2015/16, 75% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of \$20,000 per case.

For 2014/15, 75% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of \$20,000 per case.

For 2013/14, 75% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of \$10,000 per case.

Standard Rate

Year of Assessment	Tax Rate
2013/14 onwards	15%

Annual Income Levels at Which Salaries Tax Payers Approach the Standard Rate Zone

Filing Status	Year of Assessment			
	2015/16	2016/17	2017/18	2018/19–2021/22
Single	1,620,000	1,722,000	1,797,000	2,022,000
Married	2,640,000	2,844,000	2,919,000	3,144,000
Married + 1 child	3,490,000	3,694,000	3,769,000	4,164,000
Married + 2 children	4,340,000	4,544,000	4,619,000	5,184,000
Married + 3 children	5,190,000	5,394,000	5,469,000	6,204,000

Including Two Dependent Parents or Grandparents Aged 60 or Above

Filing Status	Year of Assessment			
	2015/16	2016/17	2017/18	2018/19–2021/22
Single	2,300,000	2,504,000	2,579,000	2,872,000
Married	3,320,000	3,626,000	3,701,000	3,994,000
Married + 1 child	4,170,000	4,476,000	4,551,000	5,014,000
Married + 2 children	5,020,000	5,326,000	5,401,000	6,034,000
Married + 3 children	5,870,000	6,176,000	6,251,000	7,054,000

Including Two Dependent Parents or Grandparents Both Aged 60 or Above and Living With You

Filing Status	Year of Assessment			
	2015/16	2016/17	2017/18	2018/19–2021/22
Single	2,980,000	3,286,000	3,361,000	3,722,000
Married	4,000,000	4,408,000	4,483,000	4,844,000
Married + 1 child	4,850,000	5,258,000	5,333,000	5,864,000
Married + 2 children	5,700,000	6,108,000	6,183,000	6,884,000
Married + 3 children	6,550,000	6,958,000	7,033,000	7,094,000

Including One Dependent Parent or Grandparent Aged 60 or Above and Living With You and One Disabled Dependent Brother or Sister

Filing Status	Year of Assessment			
	2015/16	2016/17	2017/18	2018/19–2021/22
Single	3,141,500	3,345,500	3,535,250	3,828,250
Married	4,161,500	4,467,500	4,657,250	4,950,250
Married + 1 child	5,011,500	5,317,500	5,507,250	5,970,250
Married + 2 children	5,861,500	6,167,500	6,357,250	6,990,250
Married + 3 children	6,711,500	7,017,500	7,207,250	8,010,250

Being a Single Parent

Filing Status	Year of Assessment			
	2015/16	2016/17	2017/18	2018/19–2021/22
1 child	3,490,000	3,694,000	3,769,000	4,164,000
2 children	4,340,000	4,544,000	4,619,000	5,184,000
3 children	5,190,000	5,394,000	5,469,000	6,204,000

Allowances

Allowance	Year of Assessment					
	2013/14	2015/15	2015/16	2016/17	2017/18	2018/19 onwards
Basic	120,000	120,000	120,000	132,000	132,000	132,000
Married person's	240,000	240,000	240,000	264,000	264,000	264,000
Child	70,000	70,000	100,000	100,000	100,000	120,000
Dependent sibling (per dependent)	33,000	33,000	33,000	33,000	37,500	37,500
Dependent parent/grandparent (per dependent age 60+)	38,000	40,000	40,000	46,000	46,000	50,000
Dependent parent/grandparent (per dependent age 55–59)	19,000	20,000	20,000	23,000	23,000	25,000
Additional dependent parent/grandparent (per dependent age 60+)	38,000	40,000	40,000	46,000	46,000	50,000
Additional dependent parent/grandparent (per dependent age 55–59)	19,000	20,000	20,000	23,000	23,000	25,000
Single parent	120,000	120,000	120,000	132,000	132,000	132,000
Personal disability	–	–	–	–	–	75,000
Disabled dependent (per dependent)	66,000	66,000	66,000	66,000	75,000	75,000

Deductions (Maximum limit)

Deduction	Year of Assessment					
	2013/14	2015/15	2015/16	2016/17	2017/18	2018/19 onwards
Self-education	80,000	80,000	80,000	80,000	100,000	100,000
Elderly residential care	76,000	80,000	80,000	92,000	92,000	100,000
Home loan interest	100,000	100,000	100,000	100,000	100,000	100,000
Mandatory contributions to recognised retirement schemes	15,000	17,500	18,000	18,000	18,000	18,000
Approved charitable donation	35%	35%	35%	35%	35%	35%

Property Tax

Calculation of Tax Payable

Year of Assessment	Tax Rate
2008/09 onwards	15%
2004/05–2007/08	16%
2003/04	15.5%
2002/03	15%

Stamp Duty

Part 1 of Scale 1 Rate (applicable to instruments of residential property executed on or after 5 November 2016): 15%

Part 2 of Scale 1 Rates (applicable to instruments of residential property executed on or after 23 February 2013 but before 5 November 2016 and instruments of non-residential property executed on or after 23 February 2013 but before 26 November 2020):

Amount or value of the consideration		Rates
Exceeds	Does not exceed	
	\$2,000,000	1.5%
\$2,000,000	\$2,176,470	\$30,000 + 20% of excess over \$2,000,000
\$2,176,470	\$3,000,000	3%
\$3,000,000	\$3,290,330	\$90,000 + 20% of excess over \$3,000,000
\$3,290,330	\$4,000,000	4.5%
\$4,000,000	\$4,428,580	\$180,000 + 20% of excess over \$4,000,000
\$4,428,580	\$6,000,000	6%
\$6,000,000	\$6,720,000	\$360,000 + 20% of excess over \$6,000,000
\$6,720,000	\$20,000,000	7.5%
\$20,000,000	\$21,739,130	\$1,500,000 + 20% of excess over \$20,000,000
\$21,739,130		8.5%

Scale 2 Rates: On Sale or Transfer of Immovable Property in Hong Kong

Amount or value of the consideration		Rates
Exceeds	Does not exceed	
	\$2,000,000	\$100
\$2,000,000	\$2,351,760	\$100 + 10% of excess over \$2,000,000
\$2,351,760	\$3,000,000	1.5%
\$3,000,000	\$3,290,320	\$45,000 + 10% of excess over \$3,000,000
\$3,290,320	\$4,000,000	2.25%
\$4,000,000	\$4,428,570	\$90,000 + 10% of excess over \$4,000,000
\$4,428,570	\$6,000,000	3%
\$6,000,000	\$6,720,000	\$180,000 + 10% of excess over \$6,000,000
\$6,720,000	\$20,000,000	3.75%
\$20,000,000	\$21,739,120	\$750,000 + 10% of excess over \$20,000,000
\$21,739,120		4.25%

Special Stamp Duty

Holding period	The property was acquired on or after 20 November 2010 and before 27 October 2012	The property was acquired on or after 27 October 2012
6 months or less	15%	20%
More than 6 months but for 12 months or less	10%	15%
More than 12 months but for 24 months or less	5%	10%
More than 24 months but for 36 months or less	–	10%

Lease

Term		Rate
Not defined or is uncertain		0.25% of the yearly or average yearly rent*
Exceeds	Does not exceed	
	1 year	0.25% of the total rent payable over the term of the lease*
1 year	3 years	0.5% of the yearly or average yearly rent*
3 years		1% of the yearly or average yearly rent*
Key money, construction fee etc. mentioned in the lease		4.25% of the consideration if rent is also payable under the lease. Otherwise, same duty as for a sale of immovable property

* The yearly rent/average yearly rent/total rent has to be rounded-up to the nearest \$100.

Transfer of Hong Kong Stock

Nature of Document	Rate
Contract Note for sale or purchase of Hong Kong stock	0.1% of the amount of the consideration or of its value on every sold note and every bought note
Transfer operating as a voluntary disposition inter vivos	\$5 + 0.2% of the value of the stock to be transferred
Transfer of any other kind	\$5



Part A

Tax System and Administration in Hong Kong



Chapter 1 Key Aspects of the Tax System in Hong Kong

Chapter 2 Administration of the Tax System in Hong Kong

1

Key Aspects of the Tax System in Hong Kong



CHAPTER TOPIC LIST

1.1 Introduction to Tax

- 1.1.1 Scope and Purpose
- 1.1.2 Territorial Source Principle
- 1.1.3 Residence
- 1.1.4 Capital Gains
- 1.1.5 Double Taxation Relief

1.2 Basic Law Overview

- 1.2.1 Basic Law Provisions

1.3 Overview of Various Types of Taxes and Stamp Duty

1.3.1 Taxes Levied under the Ordinances

1.3.2 Roles of the Taxpayer, the Tax Advisor and the IRD

1.4 Sources of Hong Kong Tax Law Overview

1.4.1 Sources of Information for Hong Kong Tax Law

1.4.2 Interpreting the Provisions in the Ordinances



LEARNING OUTCOMES

PRINCIPAL LO1: DEMONSTRATE AN UNDERSTANDING OF THE TAX SYSTEM AND ADMINISTRATION IN HONG KONG

State, describe and apply the following key aspects of the tax system in Hong Kong:

LO1.01: Principles of taxation

1.01.01 Describe the Hong Kong tax system

1.01.02 Explain the territorial source principle

1.01.03 Describe the roles of the taxpayer, the tax advisor and the Inland Revenue Department (IRD)

LO1.02: Types of tax

1.02.01 Describe the various types of taxes levied under the Inland Revenue Ordinance (IRO) and Stamp Duty Ordinance (SDO)

LO1.03: Sources of Hong Kong tax law – statute, case law, Board of Review decisions

1.03.01 Describe the various sources of tax law

1.03.02 Describe the doctrine of precedent in the context of tax law

LO1.04: Interpretation of tax statutes

1.04.01 Explain the rules of interpretation of tax law and their applications

LO1.05: The Basic Law

1.05.01 State the tax relations between the HKSAR and Mainland China with reference to Departmental Interpretation and Practice Notes (DIPN) 29

1.05.02 State the major articles of the Basic Law relating to taxation

1.05.03 State the important principles of DIPN 29

LO1.06: Departmental Interpretation and Practice Notes

1.06.01 Describe the status and application of DIPNs



OPENING CASE

TAXPAYER MR WONG

Mr Jeremy Wong, a taxpayer who resides 300 days out of the year in Hong Kong, has various sources of income as follows:

- Rental income from a residential property in Hong Kong, and from a ski chalet in St. Anton, Austria;
- Business profits from a Hong Kong based fragrance shop, operated through a corporation, Golden Lotus Limited; and
- Gains from sale of foreign currencies and the crypto currency Paxcoin for investment purposes.

Mr Wong is unsure as to which of his sources of income are subject to Hong Kong tax. This chapter will explain the basics of income taxation in Hong Kong by reference to the law and illustrative examples and enable you to advise Mr Wong on his tax position. 

 OVERVIEW

Hong Kong is a former British Crown Colony and is currently a Special Administrative Region of China. Hong Kong has constitutionally mandated autonomy under the so-called 'one country, two systems' model. That includes autonomy in the fields of tax legislation and tax affairs. The pre-1997 common law tax code has therefore survived retrocession to China and will remain in force at least until 2047. The Basic Law, in effect Hong Kong's constitution, guarantees that autonomy. Based on its rule of law, free-trade policy, the absence of restrictions on inbound/outbound investment, lack of capital controls, transparency and low headline tax rates, Hong Kong is one of Asia's most important financial centres and business hubs.

Mainland China is a major destination for Hong Kong's external direct investment, both as a source and as a destination. Many Chinese companies list on the Hong Kong Stock Exchange as a gateway to connect to world markets.

Hong Kong participates independently in international trade with its own customs regime and a tax code that is compliant with globally implemented Organisation for Economic Co-operation and Development (OECD) tax standards, even though Hong Kong is not a member of the OECD.

The taxation system in Hong Kong is independent of, and different from, the taxation system in China and no part of Hong Kong's tax revenue is remitted to China (Hong Kong Basic Law, Articles 108 and 106). Since the introduction of income taxation in 1948, Hong Kong has implemented a territorial tax system which taxes Hong Kong source income. Unlike most other advanced jurisdictions, with the notable exceptions of Singapore and Malaysia, Hong Kong does not tax worldwide income on the basis of residence, but broadly speaking levies tax on income arising in or derived from Hong Kong.

Hong Kong further has a schedular tax regime, which allocates income according to certain characteristics, subject to three principal direct taxing schedules: (1) profits tax; (2) property tax; and (3) salaries tax. Any income that is not within any one of these categories is not subject to tax. A taxpayer who has received salary income, property rental income and business income will be assessed separately under salaries tax, property tax and profits tax. It means the three types of income will be assessed separately, instead of one single assessment on all income, except if such taxpayer elects to be assessed under personal assessment. Hong Kong does not currently charge estate duty, payroll, turnover, sales, value-added, gift, dividend or capital gains taxes. Other indirect taxes in Hong Kong include stamp duty, betting duty and others.

The Inland Revenue Department (IRD) is the public body charged with tax collection. The principal taxing statute is the Inland Revenue Ordinance (IRO) and Stamp Duty Ordinance (SDO). In addition, Hong Kong is party to a number of double taxation agreements (DTA),



which are public international law instruments that allocate taxing rights between jurisdictions. Because Hong Kong has constitutionally enshrined the common law in the Basic Law, case law remains crucial to understanding the application of the IRO and SDO.

The IRD publishes Departmental Interpretation and Practice Notes (DIPN), which explain the IRD's interpretation of certain matters of tax law, though it is important to note that these are not legally binding.



1.1 INTRODUCTION TO TAX

Hong Kong has a schedular tax code that is compliant with OECD tax standards, even though Hong Kong is not a member of the OECD. It is based on low personal and corporate tax rates and a territorial system of taxation, under which – in general – only Hong Kong source income is chargeable to tax. There are three taxing schedules: (1) property tax; (2) salaries tax; and (3) profits tax. Taxing rights with respect to cross-border/transnational transactions are, where relevant, taxed by reference to any applicable and in force DTA. Hong Kong does not currently charge estate duty, payroll, turnover, sales, value-added, gift, dividend or capital gains taxes.

In Hong Kong a taxpayer is chargeable under three different schedules: property tax, salaries tax and profits tax. A **year of assessment** (or tax year) begins on 1 April of a year and ends on 31 March of the following year. The period that is used to compute the taxable profits for a year of assessment is called the **basis period**, which is normally the financial year ended in the year of assessment for profits tax and the period from 1 April of a year to 31 March of the following year for property tax and salaries tax.

1.1.1 Scope and Purpose

There are three principal direct taxes in Hong Kong: property tax, salaries tax and profits tax. Hong Kong tax law is territorial: generally speaking only income sourced in Hong Kong is chargeable to tax. There is therefore no domestic law distinction made between residents and non-residents. A resident may derive profits from outside of Hong Kong without being charged to Hong Kong tax; conversely, a non-resident may be charged to tax on profits arising in Hong Kong.

In addition to property tax, salaries tax and profits tax, Hong Kong charges stamp duty, an indirect tax on documents in writing. Written documents, also called instruments, must be stamped in order to be admissible as evidence in court. Failure to stamp documents that require it can result in penalties. Stamp duty is fully covered in Chapter 7.

Hong Kong has abolished estate duty, and does not impose any payroll, turnover, sales, value-added, gift, dividend or capital gains taxes.

The IRD is the government department that administers the tax laws and collects taxes. Hong Kong's tax law is based on statute, case law and, where applicable, double taxation

agreements/arrangements (DTAs). These are described here and are also discussed in Section 1.4.1:

- **Statutory law:** The IRO is the main taxing statute in Hong Kong.
- **Double taxation agreements (DTAs):** Many countries have entered into double tax agreements with other countries to avoid or mitigate double taxation. Hong Kong has entered into comprehensive DTAs with approximately 40 jurisdictions. Such DTAs allocate taxing rights between jurisdictions in the event of cross-border/transnational transactions and arrangements. A DTA can only apply between the jurisdictions that are party to it and does not apply to third party jurisdictions.
- **Case law:** Judgments by the Courts of Hong Kong, the Courts of other common law jurisdictions (most importantly the United Kingdom, but also Australia, Singapore and New Zealand) and of the Inland Revenue Board of Review assist in the construction and application of tax laws and DTAs.
- **Departmental Interpretation and Practice Notes (DIPNs):** The IRD publishes DIPNs, which set forth its views on certain matters of tax law and tax administration. It is important to note that they have no legally binding effect – it would be unusual, though, for the IRD not to follow the DIPNs.

Key Learning Point

Hong Kong has a schedular and territorial system of tax, under which in general only Hong Kong source income is chargeable to tax. The IRD is the government department that administers the tax laws and collects taxes.

1.1.2 Territorial Source Principle

Hong Kong has a territorial system of taxation. This means that, generally speaking, only Hong Kong source profits and income are chargeable to tax in Hong Kong. Offshore income is generally exempt.

S.5 of the IRO provides that income arising from the right of use of any land or buildings or land and buildings in Hong Kong is chargeable to property tax. Rental income is sourced from Hong Kong if the property is located in Hong Kong.

S.8 of the IRO provides that income from a Hong Kong employment is chargeable to salaries tax. Income from non-Hong Kong employments is not chargeable to salaries tax, unless employment services are rendered in Hong Kong. In general, the three important factors for determining the source of an employment are:

1. The residence of the employer;
2. The place where the employment contract is negotiated, concluded and enforceable; and
3. The place of payment of the employment income.

S.14 of the IRO provides for the following two-limbed test to determine whether a person is chargeable to profits tax:

1. The person must carry on a trade, profession or business in Hong Kong; and
2. They must derive Hong Kong source profits from that trade, profession or business.

Both limbs of the s.14 test must be met for the charge to profits tax to apply. Tax residence is in general not relevant to matters of domestic Hong Kong taxation, albeit it is relevant to the application of DTAs.

To determine the source of profits, the broad guiding principle is the 'operation test': one looks to see what the taxpayer has done to earn the profit, and where it has done it. In other words, the analytical focus must be on the operations that are the most direct cause of the profit-making activity. Generally, this will be a hard, practical matter of fact, to be evaluated from the perspective of a commercial man. Because the focus is on the most immediate and direct cause of the profit, one must discount matters that are purely antecedent or incidental. For example, assume that a person carries on a trade of manufacturing motor cars in Japan, but has a back-office in Hong Kong that exclusively conducts invoicing activities. A commercial man would say that the trader's profits are sourced in Japan, because that is the place where it manufactures the subject-matter of its trade. The activities carried on in Hong Kong are not profit-making activities as such – they are incidental to the profit-making transactions.

Key Learning Point

Hong Kong has a territorial taxing regime: generally speaking, only income sourced in Hong Kong is chargeable to Hong Kong tax.

For property tax, rental income is sourced from Hong Kong if the property is located in Hong Kong.

For salaries tax, the source rules are comprised of three important factors: residence of employer, place where the employment contract is negotiated, concluded and enforceable, place of salaries payment.

For profits tax, the operation test applies to determine the source.

Illustrative Example 1

Let's use the example of Golden Lotus Limited, as referred to in the Opening Case. Mr Wong's fragrance shop is operated through a corporation, Golden Lotus Limited.

Golden Lotus Limited:

- Has a shop physically situated in Hong Kong – this means that it carries on a trade or business in Hong Kong. Accordingly, the first limb of the test in s.14 of the IRO is met.
- Sells fragrance to customers in Hong Kong – this means that the contracts for the sale and purchase of the fragrance are effected in Hong Kong. The practical man would say that what Golden Lotus Limited does to earn its profits is to sell scents to retail customers and where it does it is in Hong Kong. Accordingly, the second limb of the test in s.14 of the IRO is met.
- Is chargeable to profits tax in Hong Kong because both limbs of the s.14 test are met.

These factors illustrate the territoriality principle and why Golden Lotus's profits are likely to be chargeable to profits tax.

1.1.3 Residence

The concept of residence is important in the context of international taxation issues such as application of DTAs, but not in the determination of taxable Hong Kong sources of income.

A body corporate generally is resident in Hong Kong if it is incorporated in Hong Kong or centrally managed and controlled in Hong Kong.

An individual is a tax resident in Hong Kong if he or she ordinarily resides in Hong Kong or stays in Hong Kong for more than 180 days during a year of assessment, or for more than 300 days in two consecutive years of assessment one of which is the relevant year of assessment.

Key Learning Point

Only Hong Kong source income is taxable. The concept of residence is important in the application of cross-border tax laws and DTAs, but not for determining the source of income.

Illustrative Example 2

In the Opening Case, Mr Wong was present in Hong Kong for 300 days out of 365 in the year of assessment 2017/18.

Article 4 of the Hong Kong – Austria Tax Treaty provides that any individual who is present in Hong Kong for more than 180 days in a given year of assessment is a tax resident in Hong Kong. Because Mr Wong was present in Hong Kong for 300 days, he was a Hong Kong resident in the year of assessment 2017/18 for the purposes of the Hong Kong – Austria DTA.

1.1.4 Capital Gains

Generally, long-term investment income (including foreign exchange gains) is regarded as capital gains, which are not subject to tax in Hong Kong. However, net gains on certain transactions may be liable for profits tax if they are regarded as trading income derived from a trade or business undertaken in Hong Kong. Generally, income derived from disposal of trading stock or investments held for short-term trading purpose are of trading nature and *not* capital gains. Such trading income will be chargeable to profits tax if it is derived from Hong Kong and from a business carried on in Hong Kong.

For example, ABC Limited buys and sells stocks for investment purposes. It prefers long-term investing and holds shares for many years to give its investments time to grow. ABC Limited does not engage in day trading or other types of speculative investments. In 2003, it purchased 200 shares of a publicly traded company called Paxana. In the year of assessment 2017/18, it sold its shares of Paxana and made a profit of HK\$1 million.

ABC Limited had held its Paxana shares for more than 10 years. The gains from the sale are likely to be classified as capital gains, so ABC Limited would not be subject to Hong Kong tax liability on this profit of HK\$1 million. (Note that different types of assets may require longer periods to be considered long-term investments and ownership period is just one of many indicators of whether a transaction is trading in nature.)

Key Learning Point

Long-term investment income is classified as a capital gain in general and is therefore not subject to tax in Hong Kong.

1.1.5 Double Taxation Relief

Hong Kong is currently party to approximately 40 DTAs. DTAs allocate taxing rights between jurisdictions. This means that the terms of a DTA can decide which of the two contracting jurisdictions can charge to tax a given stream of income or capital gain. DTAs generally provide for relief from double taxation; this is important because, were it not for the application of a DTA, the same income could be taxed twice. For example, assume that Dobermann Films GmbH is managed and controlled in Germany. It is therefore tax resident in Germany and so taxable on its worldwide income in Germany. If it starts carrying on a trade or a business in Hong Kong and derives Hong Kong source profits therefrom, it will also be chargeable to profits tax in Hong Kong. In the absence of a DTA, Dobermann Films GmbH would therefore be taxed twice on its profits sourced in Hong Kong: once in Hong Kong under the IRO, and again in Germany under its rules that tax the worldwide profits of German resident companies.

DTAs therefore play a crucial role in the structuring of transnational transactions and arrangements. They are useful in providing legal certainty as to the effect of the interaction of tax laws of different jurisdictions.

Illustrative Example 3

In the Opening Case, Mr Wong has rental income from a ski chalet in St. Anton, Austria, but he is a tax resident in Hong Kong. For purposes of the Hong Kong – Austria DTA, can Austria claim taxing rights on that rental income?

Article 6 of the DTA provides that rental income derived by a Hong Kong resident from property situated in Austria may be taxed in Austria. Therefore, Mr Wong may be subject to Austrian income tax on the rental income from his ski chalet based in St. Anton, Austria but would not be subject to property tax on that income in Hong Kong.

► Knowledge Check Questions

Question 1

Identify which of the following is not determinative on profits tax liability of a company.

- A** The company must trade in Hong Kong.
- B** The income of the company must arise from a trade carried on in Hong Kong.
- C** The income of the company must arise in or be derived from Hong Kong.
- D** The company must be a tax resident in Hong Kong.

► Knowledge Check Questions (*continued*)

Question 2

Identify the principal role of a DTA.

- A** Prevent tax identity theft between two jurisdictions.
- B** Allocate taxing rights between two jurisdictions.
- C** Facilitate tax structuring.
- D** Improve trading relations between two jurisdictions.

1.2 BASIC LAW OVERVIEW

The Sino-British Joint Declaration on the Question of Hong Kong (the Joint Declaration) was signed between the Chinese and British Governments on 19 December 1984. It sets out the basic policies of China regarding Hong Kong, based on the principle of ‘one country, two systems.’ This principle also applies to Hong Kong taxation.

1.2.1 Basic Law Provisions

The Basic Law of the Hong Kong Special Administrative Region of the People’s Republic of China provides that Hong Kong will retain its separate legislature, legal and judicial systems and full economic autonomy. It will be in effect for 50 years, until the year 2047.

In Hong Kong, the Basic Law is the source of the tax law and systems. The role of the DIPNs is to provide the IRD’s practical interpretation of the principles set forth under the Basic Law. DIPNs may be revised to reflect changes to how the Basic Law is to be implemented.

Hong Kong and the Mainland maintain two separate tax systems. As a result, all tax treaties entered into by the Mainland Government with other countries are *not* applicable to Hong Kong. DIPN 29 summarises the principle ‘one country, two systems’ and outlines the tax relations between Hong Kong and the Mainland. Under Article 151 of the Basic Law, the Hong Kong SAR has concluded around 40 DTAs as of June 2019. These dictate tax relations between Hong Kong and other countries.

Some Basic Law provisions relevant to the Hong Kong financial and tax system are presented here:

- Article 5 – Hong Kong’s social and economic systems will remain unchanged.
- Article 8 – The laws previously in force in Hong Kong will be maintained.
- Article 73 – The Legislative Council of the HKSAR will have the power to approve taxation policies.
- Article 106 – Hong Kong shall have independent finances, shall use its financial revenues exclusively for its own purposes and they shall not be handed over to the

Central People's Government and Central People's Government shall not levy taxes in the Hong Kong SAR.

- Article 107 – Hong Kong shall follow the principle of keeping expenditure within the limits of revenues in drawing up its budget, and strive to achieve a fiscal balance, avoid deficits and keep the budget commensurate with the growth rate of its gross domestic products.
- Article 108 – Hong Kong shall practice an independent taxation system, and shall (taking the low tax policy previously pursued in Hong Kong as reference) enact laws on its own concerning types of taxes, tax rates, tax reductions, allowances and exemptions and other matters of taxation.
- Article 151 – Hong Kong may on its own, use the name 'Hong Kong, China' to maintain and develop relations and conclude and implement agreements with foreign states and regions and relevant international organisations in the appropriate fields, including the economic, trade, financial and monetary, shipping, communications, tourism, cultural and sports fields.
- Article 153 – The application to the Hong Kong SAR of international agreements to which China is or becomes a party shall be decided by the Central People's Government in accordance with the circumstances and needs of the Region, and after seeking the views of the government of the Region. International agreements to which China is not a party but which are implemented in Hong Kong may continue to be implemented in the Hong Kong SAR. The Central People's Government shall, as necessary, authorise or assist the government of the Region to make appropriate arrangements for the application to the Region of other relevant international agreements.

► Knowledge Check Questions

Question 3

Assume that the Hong Kong SAR government is considering different options to apply excess funds on hand. Identify which of the following is NOT allowed under the Basic Law.

- A** Increase subsidy to elderly people.
- B** Provide free education to all university students in Hong Kong.
- C** Tax refund.
- D** Hand over funds to Central People's Government.

Question 4

Assume that the Hong Kong SAR Government is considering how to redesign Hong Kong's tax system to strengthen its competitiveness. Identify which of the following is NOT allowed under the Basic Law.

- A** Adopt China's tax system in Hong Kong.
- B** Reduce profits tax rates.
- C** Introduce Green tax.
- D** Broaden exemption scope for offshore funds.



1.3 OVERVIEW OF VARIOUS TYPES OF TAXES AND STAMP DUTY

The Inland Revenue Department (IRD) is the revenue authority in Hong Kong, which collects taxes, enforces tax laws and issues non-binding interpretive guidance on tax laws in Hong Kong.

1.3.1 Taxes Levied under the Ordinances

Taxes levied under the IRO consist of profits tax, salaries tax and property tax. Stamp duty is charged under the SDO.

1.3.1.1 Profits tax

Profits tax is levied under s.14 of the IRO on any person carrying on a trade, profession or business in Hong Kong in respect of its assessable profits arising in or derived from Hong Kong from such trade, profession or business. The word 'persons' includes individuals carrying on sole-proprietorship businesses, corporations and partnerships. Profits tax is levied according to the 'territorial principle' meaning that it is the source of the income rather than the residence of the person receiving the income that determines whether or not the income is subject to Hong Kong profits tax. Assessable profit is the net profit (i.e. the gross assessable income less deductible expenses) for the basis period sourced from Hong Kong, excluding profits arising from the sale of capital assets.

Profits tax is charged at a rate of 15% for individuals and unincorporated associations and at a rate of 16.5% for corporations. Since the introduction of the two-tiered profits tax rate in 2018, the first HK\$2 million of assessable profits are eligible for taxation at a reduced rate of 7.5% for individuals and unincorporated associations and 8.25% for corporations with effect from the year of assessment 2018/19, subject to certain conditions.

In ascertaining profits tax liability, no distinction is made between public and private companies. Dividend from a Hong Kong company is exempt from profits tax. In general, dividend from an overseas company is sourced outside Hong Kong and hence not taxable.

Hong Kong branches of foreign corporations are taxed at the same tax rates as Hong Kong subsidiaries of foreign corporations though the branches unlike the subsidiaries are not incorporated as legal entities which are separated from their overseas head offices in Hong Kong.

Partnerships are treated as taxable entities in Hong Kong though partnerships are not legal persons in Hong Kong. Profits distributed to partners are not taxable to partners because such profits have already been assessed under the partnership's account.

Profits tax will be charged on a withholding basis where the taxpayer is a non-resident person who does not have any business presence in Hong Kong. In practice, profits tax charged on withholding basis is referred to as a withholding tax (WHT). In general, WHT is charged on a non-resident person who derives income from a Hong Kong source and such person does not have a Hong Kong business presence and hence it cannot practically report and pay tax by itself. Thus, instead of requiring the non-resident person to file a tax return, it requires the resident person making the payment to the non-resident person to file a tax return on behalf of the non-resident and to withhold a portion of the payment on account of tax. There is no WHT on Hong Kong source dividends and interest income even though several other countries impose a WHT



on cross-border payments of dividend and interest income. Only specific types of payments are subject to WHT in Hong Kong such as royalties paid to non-residents for use of intellectual properties (including trademarks, patents and any copyright materials) in Hong Kong and fees paid to non-resident entertainers or sportsmen for their performances in Hong Kong. For the royalty paid to an overseas recipient who is a resident of a jurisdiction which has signed a DTA with Hong Kong SAR, the WHT may be reduced or eliminated by the application of the relevant DTA.

1.3.1.2 Salaries Tax

S.8 of the IRO provides that income from a Hong Kong employment, pension or office of profit is chargeable to salaries tax. In general, income from non-Hong Kong employment is not chargeable to salaries tax, unless the employee renders services in Hong Kong. The residence of an individual is not relevant in determining whether an item of income received by the individual is derived from a Hong Kong employment and non-Hong Kong employment. Salaries tax is charged on emoluments from employment, including pensions and remuneration from offices of profit, such as the directorship of a company. Individuals are taxed at progressive rates on their net chargeable income – assessable income after deductions and allowances – ranging from 2% to 17% (discussed further in Chapter 3).

Hong Kong does not operate a pay as you earn system; taxpayers are in the ordinary course exclusively responsible for the payment of any tax due. Tax is paid by the taxpayer to the tax authority, the IRD, in two instalments, the first instalment being 75% of the tax, due in the last quarter of the year of assessment and the remaining 25% due shortly after the end of the year of assessment.

1.3.1.3 Property Tax

Property tax is charged at the standard rate of 15% on the net assessable value derived from an immovable property situated in Hong Kong. Net assessable value refers to assessable value (AV) (i.e. rental income in general) less statutory allowance of 20% on the AV for repairs and maintenance. A corporation which owns and lets a real property in Hong Kong is deemed to carry on a Hong Kong business under s.2 of the IRO and is subject to profits tax under s.14. The corporation is also subject to property tax. To avoid double taxation, such corporation may elect to be exempt from property tax and to be charged to only profits tax or get refund from property tax paid.

Illustrative Example 4

In the Opening Case, Mr Wong owns shares in a corporation, Golden Lotus Limited, which in turn carries on the business of managing and operating a fragrance retail store in Hong Kong. Mr Wong extracts profits from the company by way of dividends.

The fragrance store's Hong Kong source assessable profits would be subject to profits tax at a tax rate of 16.5%, though the lower rate of 8.25% could apply in certain circumstances on the first HK\$2 million of assessable profit. The fragrance store's profits are taxable in Hong Kong because they are the profits of a business carried on in Hong Kong (i.e. the fragrance store is physically situated in Hong Kong) and such profits are Hong Kong source (i.e. they are derived from a source in Hong Kong, that is, sales to customers made in Hong Kong). The chargeable person is Golden Lotus Limited, which actually carries on the business.

Since dividend income, whether from Hong Kong or overseas, is not taxable, Mr Wong would not be subject to tax in Hong Kong on any dividend distributions from Golden Lotus Limited.

Illustrative Example 5

In the Opening Case, Mr Wong derives rental income from a property in Hong Kong and a property in St. Anton, Austria.

He would be chargeable to property tax at the standard rate of 15% on 80% of the actual rental income from the Hong Kong property, but not on rental income from the property located in St. Anton, Austria. That is because the rental income from Austria is not sourced in Hong Kong and therefore is not taxable on the basis of the territoriality principle. Such income is however likely to be taxable in Austria, under Austrian domestic law and on the terms of the Hong Kong – Austria DTA.

1.3.1.4 Stamp Duty

Ad valorem stamp duty (AVD) is charged under the SDO. It is a tax on instruments (i.e. documents in writing) and not transactions, albeit in practice it operates as a transactional tax. There are three principal classes of transaction that give rise to a charge to stamp duty: sale and purchase of Hong Kong immovable property (i.e. real estate), lease of Hong Kong immovable property and sale of Hong Kong stock.

As regards immovable property, AVD is charged on either the sale and purchase agreement or the assignment. AVD is charged at progressive rates depending on the price or value – whichever is higher – of the property transferred. In addition to AVD, special stamp duty (SSD) is charged where a residential property is sold within 36 months of acquisition. Buyer's stamp duty (BSD) may further be charged where a residential property is acquired by a non-Hong Kong Permanent Resident (HKPR).

Stamp duty is also charged on the lease of immovable property in Hong Kong. Stamp duty also applies to transactions involving shares of stock registered in Hong Kong. Hong Kong stock/share in general refers to shares of a company incorporated in Hong Kong and shares of a company incorporated overseas but listed on the Hong Kong Stock Exchange. The stamp duty on transfer of Hong Kong stock/share is charged at a flat rate of 0.2% (increased from 0.2% to 0.26% on 1 August 2021) on the higher of the value of the stock or the transfer consideration.

Key Learning Point

- The three taxing schedules for income are: profits tax, salaries tax and property tax.
- Stamp duty is charged on documents effecting sale of Hong Kong immovable property, lease of Hong Kong immovable property and transfer of Hong Kong stock.



► Knowledge Check Questions

Question 5

Identify which of the following taxes is chargeable to persons carrying on a trade or a business, on their Hong Kong source trading income.

- A Withholding tax
- B Profits tax
- C Salaries tax
- D Dividends tax

Question 6

Identify which of the following taxes is chargeable on an individual's rental income from letting of immovable property in Hong Kong.

- A Stamp duty
- B Profits tax
- C Property tax
- D Either profits tax or property tax

Question 7

Identify in which of the following the concept of residence is relevant in ascertaining tax exposure in Hong Kong.

- A Capital gains tax (residence of income recipient)
- B DTAs (residence of income recipient)
- C Stamp duty (residence of seller)
- D Salaries tax (residence of employee)

Question 8

Identify which of the following is not taxable in Hong Kong.

- A Capital gains.
- B Salaries derived from Hong Kong employment.
- C Hong Kong source profits of a company carrying on business in Hong Kong.
- D Royalty payments to a non-resident person for use of intellectual property in Hong Kong.

Illustrative Example 6

Dobermann Films GmbH, a company resident in Germany with no presence in Hong Kong, licenses the distribution of one of its films, 'Canis Major', to cinemas in Hong Kong. In return for this it is paid a royalty calculated as a proportion of the box office sales for the film in question. As Dobermann Films GmbH is not resident in Hong Kong, the Hong Kong cinemas are obliged to withhold a percentage of the royalties – a withholding tax – and pay this over to the IRD.

Illustrative Example 6 (continued)

2018/19 Tax Rates in Hong Kong

Profits Tax Rates

Income	Tax Rate
Tax rate for corporations	8.25% on assessable profits up to HK\$2m; and 16.5% on any part of assessable profits over HK\$2m*
Tax rate for unincorporated businesses	7.5% on assessable profits up to HK\$2m;** and 15% on any part of assessable profits over HK\$2m

Salaries Tax Rates

Income (in HK\$)***	Tax rate
1–50,000	2%
50,001–100,000	6%
100,001–150,000	10%
150,001–200,000	14%
Above 200,000	17%

* Subject to certain conditions.

** Idem.

*** Net chargeable income refers to income after deduction of all personal allowances. The final salaries tax liability is the lower of the tax payable computed based on the progressive tax rates or the tax payable computed based on income before deduction of personal allowances charged at the standard tax rate of 15%.

Property Tax Rate

Property Tax Rate	15%
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1.3.2 Roles of the Taxpayer, the Tax Advisor and the IRD

1.3.2.1 Taxpayer

Generally, taxpayers are required to file correct and complete tax returns, to pay their taxes and to provide duly requested information to the IRD in a timely manner. Taxpayers are required to keep sufficient records to validate their tax liability accurately as, in Hong Kong, the burden of proof lies with the taxpayer in the event of an enquiry, audit or investigation to show that an assessment made by the CIR is excessive. Specifically, taxpayers have the following obligations under the IRO:

- To complete and furnish returns and furnish information within a reasonable time stated in the notice issued by the assessor of the IRD – ss.51(1), 51(2A), 51(3), 51(4), 51(4A), etc.
- To notify his chargeability to tax not later than four months after the end of the basis period for a year of assessment – s.51(2)



- To notify his cessation of income within one month of such cessation – s.51(6)
- To notify his departure from Hong Kong of more than one month not later than one month before the expected date of departure, except for the frequent departures required in the course of his employment, business or profession – s.51(7)
- To notify his change of correspondence address within one month of the change – s.51(8)
- To keep sufficient business records in English or Chinese for not less than seven years after the completion of the transactions for ascertaining profits chargeable to profits tax – s.51C
- To keep sufficient rental records in English or Chinese for not less than seven years after the end of the transactions for ascertaining income chargeable to property tax – s.51D

A taxpayer dissatisfied with the IRD's tax determination has the right to appeal. Appeals, in the first instance, are to the Board of Review (though an appeal may be brought directly to the Court of First Instance under certain circumstances), which is Hong Kong's tax tribunal of first instance. A decision on a matter of law may be appealed to the Court of First Instance or, with leave, to the Court of Appeal, and thence to the Court of Final Appeal.

1.3.2.2 Tax Advisor

Tax advisors provide comprehensive tax and business advisory services regarding the Hong Kong tax regime including income tax, indirect tax and WHT. They assist taxpayers in complying with their financial and taxation reporting requirements and preparing supporting documents. A tax advisor may be instructed to advise on tax planning, restructuring and tax mitigation projects. They further advise on dispute resolution with the IRD and assist clients in tax audit and investigations, and in tax appeals, where they may collaborate with other professionals such as solicitors, barristers and expert witnesses to argue the taxpayer's case before the Board of Review and the higher courts.

Tax advisory services include but are not limited to:

- Corporate and personal tax compliance, planning and advisory;
- Lodgement of tax exemption/offshore claims;
- Application for advance tax rulings;
- Handling enquiries from the IRD;
- Tax field audit and investigation support;
- Tax due diligence reviews;
- Holding structure and operational advisory;
- Pre-Initial Public Offering tax provision reviews and advisory;
- IPO and group restructuring advisory services;
- Cross-border tax and business advisory;
- Transfer pricing health check and documentation;

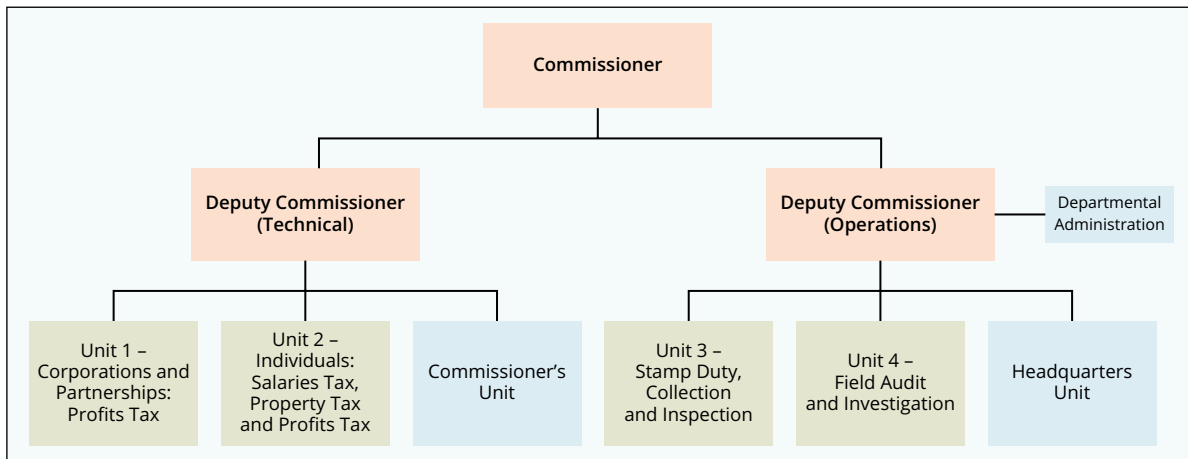
- Employee's tax efficient remuneration packages advisory;
- Trust and estate advisory;
- Representing the taxpayer in tax appeals; and
- Advice on Common Reporting Standard and FATCA compliance, scoping and analysis.

1.3.2.3 Structure of the IRD

The IRD is responsible for the administration of various ordinances such as IRO and SDO, as well as the rules and regulations issued under these ordinances. It is one of nine departments under the administration of the Financial Services and the Treasury Bureau.

The overall administration and operations of the IRD is undertaken by the Commissioner's Office comprising of the CIR and two Deputy CIRs who oversee six different units.

The Department is divided into various units and operating divisions as depicted in Exhibit 1.1.



► **EXHIBIT 1.1** Organisation chart of the IRD as at 1 June 2019

The duties and powers of various units of the IRD will be discussed in Chapter 2.

Assess First, Audit Later

The IRD raises revenue through taxes, duties and fees in accordance with the relevant legislation and adopts an 'assess first, audit later' (AFAL) approach under which profits tax assessments or statements of loss are issued to taxpayers based on the return submitted.

A taxpayer who is dissatisfied with an assessment may lodge a notice of objection within one month after the date of the notice of assessment to the Commissioner. If an agreement isn't reached, an objection is determined unilaterally by the CIR. A determination made by the CIR must be a reasoned decision, such that a taxpayer aggrieved by that determination may in turn bring an appeal to the Board of Review or to the Court of First Instance.

Advance Rulings

In advance of an arrangement or transaction being carried out, a taxpayer may apply to the CIR for a ruling on how the CIR considers that a provision of the IRO applies in relation to such arrangement or transaction. This advance ruling service is to provide taxpayers with



legal certainty, promote consistency in the application of tax laws, rules and regulations, and minimise disputes with taxpayers. Once made, an advance ruling is binding on the CIR. A fixed fee must be paid for a ruling request and certain formalities must be observed.

Key Learning Point

The IRD is responsible for the administration of tax laws and the collection of taxes.

► Knowledge Check Questions

Question 9

Identify which of the following is NOT required for a taxpayer.

- A** To inform the IRD in writing about acquisition of an immovable property in Hong Kong.
- B** To inform the IRD in writing about being chargeable to property tax within four months after 31 March for the relevant year.
- C** To keep accounting records for seven years after completion of the relevant transactions.
- D** To inform the IRD about leaving Hong Kong for more than one month at least one month before the leave for individual taxpayers.

Question 10

Identify which of the following about the IRD is correct.

- A** The IRD will raise enquiry and audit the business records of a company before issuing an assessment.
- B** The Commissioner of Inland Revenue reports to the Financial Services and the Treasury Bureau.
- C** The IRD has four operational units.
- D** The IRD may provide a ruling on a transaction before the transaction is reported in the tax return.



1.4 SOURCES OF HONG KONG TAX LAW OVERVIEW

The sources of tax laws in Hong Kong are the statutory law; DTAs; and Hong Kong and common law case law. The IRD issues DIPNs which explain IRD's interpretation and its application of tax laws, but with no legally binding effect.

1.4.1 Sources of Information for Hong Kong Tax Law

In Hong Kong, tax laws are based on statute, tax treaties and case law as outlined below.

Statutory Law: The IRO and its subsidiary legislation form the statutory framework governing direct taxation in Hong Kong. Indirect taxes, e.g. stamp duty, are governed by other statutes.

Double Taxation Agreements (DTAs): Hong Kong's extensive tax treaty network applies to relevant cross-border transactions and arrangements.

Case Law: Decisions of the Board of Review are not binding but are persuasive. Decisions of the courts of Hong Kong are binding on the lower courts. Thus, a decision of the Court of Final Appeal is binding on the Court of Appeal, the Court of First Instance and the Board of Review, whereas a decision of the Court of First Instance is only binding on the Board of Review. Decisions of the courts of other common law jurisdictions are generally persuasive rather than binding. However, decisions of the highest courts of the United Kingdom, especially pre-1997 decisions, are often treated as binding in practice.

Departmental Interpretation and Practice Notes (DIPNs): As previously mentioned, the IRD publishes DIPNs, which set forth its views regarding how key issues in tax administration should be implemented in practice. Remember that, unlike the Basic Law, DIPNs are not legally binding. Despite this, it would be unusual for the IRD to act in a way that contradicts a DIPN.

1.4.2 Interpreting the Provisions in the Ordinances

Statutes and tax ordinances are often written in legal language that is difficult for laypeople to understand. The language of the courts is different from everyday verbal communication, and certain familiar terms may have very particular meanings. This makes it necessary to understand the distinct terminology and definitions, which are typically established by the courts.

With practice and an understanding of the legal context, it will be easier to interpret statutes and ordinances. It is important to read these documents literally and avoid subjective application. This is not to say that it is always immediately clear how a particular tax situation should be addressed. While the statutes and ordinances are not open to interpretation, it is possible that tax law offers more than one way to approach a single case.

The language of the tax court and its related official documents is English. All cases thus far have been in English, even when a taxpayer has exercised the right to litigate in Chinese. This is important to remember when considering the definitions and literal interpretation of ordinances and case law.

There are a few things to keep in mind when approaching tax law:

- When a general and specific provision do not align, the specific provision should be followed. For example, a restaurant is treated as a business and is chargeable to tax under s.24(1). However, a nonprofit society for professional chefs and restaurateurs is chargeable under s.14, which outlines separate tax treatment of such clubs and societies.
- The decision of a higher court is final and overrules any decisions made by lower courts.

- The Interpretation and General Clauses Ordinance (IGCO), s.19, establishes guidelines to be followed when a statute's directions are unclear. The ultimate aim is to preserve the spirit and intention of the law, and this will be achieved with 'fair, large and liberal construction and interpretation as will best serve' that purpose (IGCO, s.19).
- DIPNs provide practical assistance to aid taxpayers and tax professionals in applying statutes and ordinances to a range of situations. The IRD issues DIPNs for guidance only; they cannot be taken as binding law.
- When taxpayers disagree with IRD decisions, they may file an appeal. Through this process, the courts may rule on the case and clarify the definitions of terms used in the relevant ordinances (as in *Lo & Lo* (1984) 2 HKTC 34). They may also specify how such ordinances should be applied in a particular context.

1.4.2.1 Steps to Interpreting a Tax Provision

The process outlined here can be used as a general guide to interpreting a tax provision:

Step 1: Identify the critical terms used in the ordinance. Many common legal terms are defined in the IGCO (Part II, s.3).

Step 2: If a word is not defined in the IGCO, apply its common, literal definition. Consult a dictionary if a word or its usage is unfamiliar.

Step 3: Check the relevant DIPNs to determine if a particular meaning is applied in practice.

Step 4: Review the existing relevant case law to determine how the courts have ruled on the subject in the past.

Step 5: Research the relevant provisions to determine the intention behind the legislation. Use this to guide your interpretation to ensure it aligns with the spirit of the law.

While reviewing statutes and ordinances, it may become apparent that certain terms appear frequently or are used in very specific ways. Understanding the definitions and usage of these terms is crucial to precisely interpreting tax law and accurately applying the provisions.

► Knowledge Check Questions

Question 11

Identify which of the following is legally binding.

- A** Board of Review decisions
- B** Departmental Interpretation and Practice Notes
- C** Pre-1997 Privy Council decisions
- D** Australian Courts decisions

Question 12

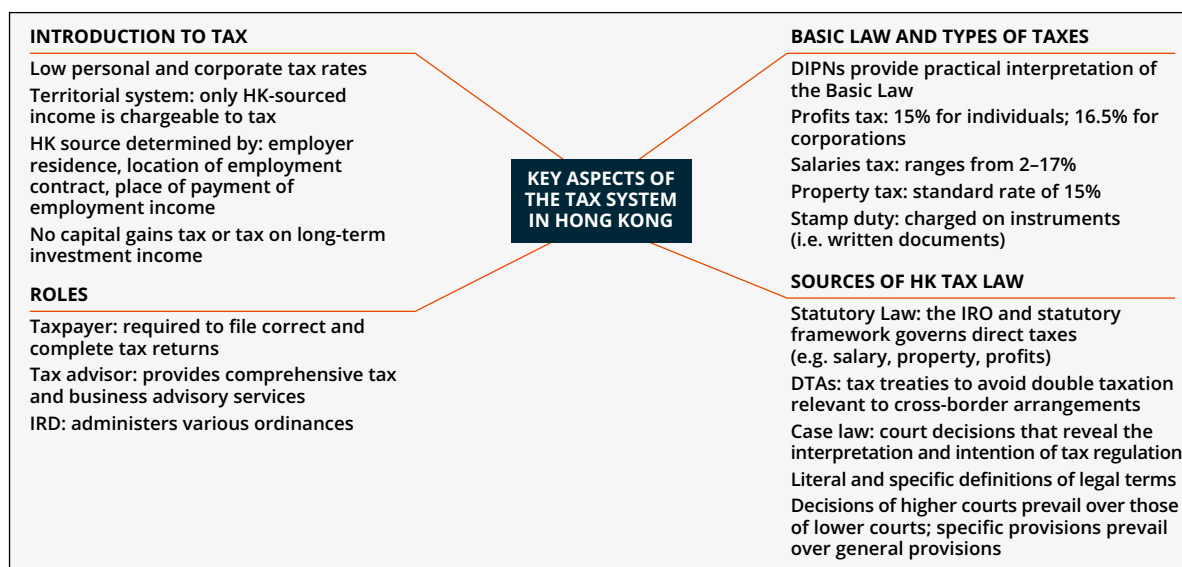
Identify which of the following about interpretation of the IRO is correct.

- A** General provision prevails specific provision
- B** Literal interpretation is the last step
- C** DIPNs interpretation is legally binding on the IRD
- D** Legislative intention is relevant

 S U M M A R Y

- The taxation system in Hong Kong is independent of, and different from, the tax system in Mainland China. Tax revenue raised in Hong Kong is not remitted to China.
- Hong Kong has a territorial system of direct taxation which imposes three types of taxes on Hong Kong source income: property tax, salaries tax and profits tax.
- Profits tax is levied on the Hong Kong source assessable trading or business profits of corporate entities, partnerships and sole proprietorships.
- Salaries tax is levied on income from an employment, pension, or office of profit sourced in Hong Kong.
- Property tax is levied on a taxpayer's Hong Kong property rental income based on the net assessable value of the property.
- Stamp duty is a tax on certain types of documents (e.g., those related to conveyance of immovable properties in Hong Kong and transfer of Hong Kong stocks).
- Hong Kong does not currently impose any estate duty, payroll, turnover, sales, value-added, gift, dividend or capital gains taxes.
- The concept of residence is relevant to the application of international tax laws, the most important of which are DTAs.
- The IRD is the government department which administers the tax laws and collects taxes.
- Hong Kong's tax law is based on statutory law, tax treaty law and case law. Reference may be made to DIPNs, but these are not legally binding.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. Whether a person carries on a trade in Hong Kong is one of the determinative factors.

Answer B is incorrect. Whether income is derived from a trade carried on in Hong Kong is another determinative factor.

Answer C is incorrect. Whether the income is arising in or derives from Hong Kong is also a determinative factor.

Answer D is correct. Under s.14 of the IRO, profits tax shall be charged on any person carrying on a business or trade in Hong Kong, in respect to profits derived from Hong Kong from that business or trade. Being a resident in Hong Kong is not determinative on whether a person is chargeable to profits tax.

Question 2

Answer A is incorrect. A DTA cannot prevent tax identity theft.

Answer B is correct. The principal role of a DTA is to define taxing right of the contracting states to avoid or reduce the possibility of double taxation.

Answer C is incorrect. Although the terms of a DTA may give certain planning opportunities, that is not the purpose of a DTA.

Answer D is incorrect. A DTA's principal role is to define taxing right of the contracting states. It may indirectly facilitate cross-border transactions and investments and may improve trade relations between contracting states. But facilitating trade relation is not the principal role of a DTA.

Question 3

Answer A is incorrect. Article 106 of the Basic Law provides that Hong Kong SAR shall have independent finances and shall use its financial revenues *exclusively* for its own purposes. Increasing subsidies to elderly people qualifies as this purpose.

Answer B is incorrect. Providing free education to all university students in Hong Kong would be considered using funds for Hong Kong's own purposes. As such, it would be allowable under Article 106.

Answer C is incorrect. Providing tax refunds to people who have paid taxes to the Hong Kong SAR government is permitted under the Basic Law.

Answer D is correct. Under Article 106, Hong Kong funds *shall not be handed over* to the Central People's Government, and Central People's Government shall not levy taxes in the Hong Kong SAR.

Question 4

Answer A is correct. According to Article 108 of the Basic Law, Hong Kong SAR shall practice an independent taxation system rather than adopting China's tax system.

Answer B is incorrect. Reducing profits tax rates is permitted under Article 108 of the Basic Law. Similarly, Hong Kong may enact laws concerning deductions, allowances and other matters of taxation.

Answer C is incorrect. Under Article 108, Hong Kong may introduce its own new taxes. Similarly, it may change or abolish types of existing taxes.

Answer D is incorrect. Changes to allowances and exemptions, such as broadening the scope for offshore funds, are permitted under Article 108.

Question 5

Answer A is incorrect. Withholding tax is not charged on trading income. It is charged on royalties paid to non-residents and fees paid to non-resident entertainers or sportsmen for their performances in Hong Kong.

Answer B is correct. Profits tax is levied under the IRO on the Hong Kong source income derived from a trade carried on in Hong Kong.

Answer C is incorrect. Salaries tax is charged on employment income, not on trading income.

Answer D is incorrect. There is no dividends tax in Hong Kong.

Question 6

Answer A is incorrect. Stamp duty is charged on the documents effecting the sale of Hong Kong immovable property, lease of Hong Kong immovable property and sale of Hong Kong shares. Specifically, stamp duty is charged on a lease agreement in respect of Hong Kong immovable property, but it is not charged on rental income.

Answer B is incorrect. Profits tax is charged on trading income derived from Hong Kong from a trade carried on in Hong Kong. Letting of immovable property by an individual is not a trade or business and hence the rental income so derived will not be subject to profits tax.



Answer C is correct. Property tax is charged on an owner of a property located in Hong Kong in respect of the rental income derived from such property. Hence individual property owners are charged to property tax on rental income from property in Hong Kong.

Answer D is incorrect. Letting of an immovable property by an individual is not subject to profits tax.

Question 7

Answer A is incorrect. There is no capital gains tax in Hong Kong.

Answer B is correct. The concept of residence is important for international taxation matters, including application of DTAs.

Answer C is incorrect. Stamp duty is charged on the documents effecting the sale and purchase of Hong Kong immovable property (i.e. real estate), lease of Hong Kong immovable property and sale of Hong Kong stock. Whether the seller is a Hong Kong resident is not relevant for determining liability to stamp duty. It should note that if the buyer of a residential property is not a Hong Kong permanent resident, BSD will be charged.

Answer D is incorrect. S.8 of the IRO provides that income from a Hong Kong employment is chargeable to salaries tax. Income from a non-Hong Kong employment is not chargeable to salaries tax in general. The residence of an employee is not relevant in determining whether an income received by the employee is derived from a Hong Kong employment or a non-Hong Kong employment. It should note that the residence of the employer is relevant for determining the source of employment and hence the salaries tax exposures.

Question 8

Answer A is correct. Capital gain is not taxable in Hong Kong. All the three types of income taxes: property tax, salaries tax and profits tax do not charge capital gains.

Answer B is incorrect. Salaries derived from a Hong Kong employment is chargeable to salaries tax.

Answer C is incorrect. Hong Kong source profit of a company carrying on business in Hong Kong is chargeable to profits tax.

Answer D is incorrect. Royalty payment to a non-resident person for use of intellectual property in Hong Kong is subject to profits tax on a withholding basis.

Question 9

Answer A is correct. There is no requirement under the IRO for the taxpayer to inform the IRD for acquisition of an immovable property.

Answer B is incorrect. A taxpayer is required to notify his chargeability to tax not later than four months after the end of the basis period for a year of assessment, as per s.51(2).

Answer C is incorrect. A taxpayer is required to keep sufficient business records in English or Chinese for not less than seven years after the completion of the transactions for ascertaining profits chargeable to profits tax, as per s.51C.

Answer D is incorrect. A taxpayer is required to notify his departure from Hong Kong of more than one month not later than one month before the expected date of departure, except for the frequent departures required in the course of his employment, business or profession, as per s.51(7).

Question 10

Answer A is incorrect. The IRD adopts an 'assess first, audit later' (AFAL) approach, rather than audit first and assess later.

Answer B is correct. The IRD is under the administration of the Financial Services and the Treasury Bureau.

Answer C is incorrect. The IRD has six units: Unit 1, Unit 2, Unit 3, Unit 4, Headquarters Unit and Commissioner's Unit.

Answer D is incorrect. Advance ruling means before a transaction is carried out, but NOT before the transaction is reported, a taxpayer may apply to the CIR for a ruling on the tax position of such transaction.

Question 11

Answer A is incorrect. Decisions of the Board of Review are not binding but are persuasive.

Answer B is incorrect. DIPNs explain IRD's interpretation and its application of tax laws, but with no legally binding effect.

Answer C is correct. Decisions of the highest courts of the United Kingdom, especially pre-1997 decisions, are often and in practice treated as binding.

Answer D is incorrect. Decisions of the courts of other common law jurisdictions are generally persuasive rather than binding.

Question 12

Answer A is incorrect. It should be that specific provisions prevail over general provisions.

Answer B is incorrect. To interpret a provision in the IRO, step 1 is to look at s.2 of the IRO. If no relevant definition is provided in s.2, then one should take step 2: to consider the literal and dictionary meaning. Literal interpretation is NOT the last step, which should be consideration of the legislative intent.

Answer C is incorrect. Step 1 is to consider s.2 of the IRO. Step 2 is to look at the literal and dictionary meaning. If it is still unclear, one should take Step 3: to consider interpretation provided in the DIPNs. However, DIPNs are not legally binding on either the IRD or the taxpayers.

Answer D is correct. Legislative intent is relevant for interpreting IRO.

EXAM PRACTICE

QUESTION 1

Identify which of the following does not accurately describe Hong Kong's 'schedular system of tax'.

- A.** A taxpayer who has received salary income, property rental income and business income will be assessed separately under salaries tax, property tax and profits tax, unless personal assessment is elected.

- B. It taxes worldwide income based on residence.
- C. It has relatively low tax rates.
- D. It is independent from the tax system of China.

QUESTION 2

Identify which of the following taxes is not an income tax.

- A. Profits tax
- B. Stamp duty
- C. Salaries tax
- D. Property tax

QUESTION 3

Identify which of the following taxes is levied on income from an employment or office of profit in Hong Kong.

- A. Stamp duty
- B. Withholding tax
- C. Territorial tax
- D. Salaries tax

QUESTION 4

Identify which of the following Hong Kong taxes may be imposed on royalties paid by a Hong Kong company to an overseas person.

- A. Salaries tax
- B. Territorial tax
- C. Profits tax
- D. All of the above

QUESTION 5

Identify which of the following the Inland Revenue Department is not responsible for.

- A. Administering tax laws.
- B. Tax audits.
- C. Processing and reviewing stamp duty assessment.
- D. Adjudicating tax appeals cases.

QUESTION 6

An individual resident in Japan owns a property in Hong Kong, which he rents for HK\$15,000 a month – that income is:

- A. Chargeable to profits tax.
- B. Not chargeable because the owner is resident offshore.
- C. Chargeable to property tax.
- D. Chargeable to stamp duty.

QUESTION 7

Identify which of the following taxes may apply to a foreign currency trading business.

- A. Stamp duty
- B. Salary tax
- C. Profits tax
- D. No tax

QUESTION 8

Identify which one of the following is not a source of law.

- A. Departmental Interpretation and Practice Notes
- B. Inland Revenue Ordinance
- C. DTA
- D. Case law

QUESTION 9

Identify which of the following incomes paid cross-border by a Hong Kong company to a non-resident person may give rise to a withholding tax obligation.

- A. Dividends
- B. Interest
- C. Capital gains
- D. Royalties

QUESTION 10

Identify which of the following taxes dividends are chargeable to in the ordinary course.

- A. Salaries tax
- B. Dividends tax
- C. Estate duty
- D. None of the above

QUESTION 11

Mr Chen is a Mainland China resident who planned to set up a company in Hong Kong. He is not certain whether the China legal and tax system would also apply in Hong Kong in the context of the Basic Law. He approached you as his tax advisor.

Required:

Advise Mr Chen how the Basic Law is relevant to the Hong Kong tax system.

QUESTION 12

Discuss the relevance of Hong Kong courts' decisions, BOR decisions and DIPNs in the context of ascertaining tax position of a person in Hong Kong.

(Source: Adapted from HKICPA June 2015)

 ANSWERS TO EXAM PRACTICE**QUESTION 1**

Answer A is incorrect because unless personal assessment is elected, different types of income will be assessed separately under salaries tax, property tax and profits tax.

Answer B is correct as Hong Kong's scheduler system does not tax worldwide income based on residence.

Answer C is incorrect as Hong Kong tax rates are relatively low comparing to other countries.

Answer D is incorrect as according to Basic Law, Hong Kong tax system should be independent and separate from Mainland China's tax system.

**QUESTION 2**

Answer A is incorrect as profits tax is charged on business income derived from Hong Kong from a business carried on in Hong Kong.

Answer B is correct as stamp duty is charged on documents effecting sale of Hong Kong immovable property, lease of Hong Kong immovable property and sale of Hong Kong stock. It is not an income tax.

Answer C is incorrect as salaries tax is charged on employment income derived from a Hong Kong employment.

Answer D is incorrect as property tax is charged on rental income derived from immovable property located in Hong Kong.

QUESTION 3

Answer A is incorrect as stamp duty is charged on documents effecting sale of Hong Kong immovable property, lease of Hong Kong immovable property and sale of Hong Kong stock.

Answer B is incorrect as a withholding tax means profits tax, on a withholding basis, is charged on royalties paid to overseas person for use of intellectual property in Hong Kong, or fees paid to overseas sportsman and entertainers for their performance in Hong Kong.

Answer C is incorrect as there is no territorial tax in Hong Kong.

Answer D is correct as salaries tax is levied on income derived from a Hong Kong source employment or office.

QUESTION 4

Answer A is incorrect as salaries tax is charged on employment income derived from a Hong Kong employment but not on royalties, which are not employment income.

Answer B is incorrect as there is no territorial tax in Hong Kong.

Answer C is correct as profits tax on withholding basis is charged on royalties paid to overseas persons for use of intellectual property in Hong Kong, which will be deemed as Hong Kong source.

Answer D is incorrect because salaries tax is not charged on royalties and because there is not territorial tax in Hong Kong.

QUESTION 5

Answer A is incorrect as the IRD is responsible for the administration of various ordinances such as IRO and SDO, as well as the rules and regulations issued under these ordinances.

Answer B is incorrect as in the course of administering the IRO, the IRD may perform tax audit for a taxpayer to check if the taxpayer has been properly assessed.

Answer C is incorrect as the IRD administers SDO for assessing and collecting stamp duty.

Answer D is correct as it is the Board of Review that handles tax appeal cases NOT the Inland Revenue Department.

QUESTION 6

Answer A is incorrect as rental income received by an individual owner will be chargeable to profits tax only if such letting of property constitutes a business (e.g. a furnished letting case). In general, an individual property owner, who leases out the property and receives rental income, will only be chargeable to property tax.

Answer B is incorrect as residence is not relevant for determining chargeability to property tax.

Answer C is correct as a person deriving rental income from a Hong Kong immovable property will be chargeable on that income to property tax.

Answer D is incorrect as stamp duty is chargeable on documents effecting lease of Hong Kong immovable property, sale of Hong Kong immovable property and sale of Hong Kong stock. But it is not chargeable on rental income from Hong Kong immovable property.

QUESTION 7

Answer A is incorrect as stamp duty is chargeable on documents effecting lease of Hong Kong immovable property, sale of Hong Kong immovable property and sale of Hong Kong stock. But it is not chargeable on any income received by a trading business. Also trading of foreign currency is not trading of Hong Kong stock and hence the document effecting the sale of foreign currency is not subject to stamp duty.

Answer B is incorrect as salaries tax is chargeable on income derived from a Hong Kong employment, pension or office of profit, but not chargeable on any trading income.

Answer C is correct as profits tax will be chargeable if the foreign currency trading business derives Hong Kong source trading income.

Answer D is incorrect as foreign currency trading income derived from Hong Kong by a Hong Kong business is chargeable to profits tax.

QUESTION 8

Answer A is correct as DIPNs are not a source of law, it only provides guidance of practice and it is not legally binding.

Answer B is incorrect as in Hong Kong, tax laws are based on statute, tax treaties and case law. Statutory Law refers to the IRO and its subsidiary legislation.

Answer C is incorrect as DTAs are part of Hong Kong tax law.

Answer D is incorrect as Hong Kong tax law includes case Law, which fundamentally refers to decisions of the courts of Hong Kong and decisions of the pre-1997 highest courts of the United Kingdom.

QUESTION 9

Answer A is incorrect as dividends received from a Hong Kong company is normally exempt from profits tax. There is no withholding tax on dividends in Hong Kong.

Answer B is incorrect as interest paid to a non-resident person is chargeable to profits tax only when the non-resident person carries on business in Hong Kong and derives interest income from Hong Kong. However, even if the interest is chargeable, it will not be charged on a withholding basis. The non-resident needs to report and pay profits tax by itself. There is no withholding tax on interest income in Hong Kong.

Answer C is incorrect as there is no capital gains tax in Hong Kong.

Answer D is correct as royalty fees paid to a non-resident person for the use of an intellectual property in Hong Kong is deemed as Hong Kong source trading receipts and subject to profits tax on a withholding basis.



QUESTION 10

Answer A is incorrect as salaries tax is charged on income derived from Hong Kong employment, office or pension, but not charged on dividends normally, except in the case where shares are paid to the employee as an employment income and dividend is received from such shares (refer to Chapter 4 Salaries Tax for chargeability of share-based payments).

Answer B is incorrect as there is no dividend tax in Hong Kong.

Answer C is incorrect as estate duty has been abolished in Hong Kong. Even if it was not abolished, it is not charged on dividends.

Answer D is correct as none of the taxes apply to dividends. Dividends paid by a company which is subject to profits tax in Hong Kong is exempt from profits tax. Dividends paid by an overseas company is offshore sourced and not chargeable to profits tax.

QUESTION 11

Some articles of the Basic Law that are relevant to Hong Kong taxation are as follows:

Article 5 - Hong Kong's social and economic systems will remain unchanged after 1 July 1997 until 30 June 2047.

Article 8 - The laws previously in force (before 1 July 1997) (i.e. the common law system) in Hong Kong will be maintained.

Article 73 - The Legislative Council of the HKSAR will have the power to approve taxation policies.

Article 106 - Hong Kong shall have independent finances, shall use its financial revenues exclusively for its own purposes, and they shall not be handed over to the Central People's Government, and Central People's Government shall not levy taxes in the Hong Kong SAR.

Article 107 - Hong Kong shall follow the principle of keeping expenditure within the limits of revenues in drawing up its budget, and strive to achieve a fiscal balance, avoid deficits and keep the budget commensurate with the growth rate of its gross domestic products.

Article 108 - Hong Kong shall practice an independent taxation system, shall, taking the low tax policy previously pursued in Hong Kong as reference, enact laws on its own concerning types of taxes, tax rates, tax reductions, allowances and exemptions and other matters of taxation.

Article 151 - Hong Kong may on its own, use the name 'Hong Kong, China' to maintain and develop relations and conclude and implement agreements with foreign states and regions and relevant international organisations in the appropriate fields, including the economic, trade, financial and monetary, shipping, communications, tourism, cultural and sports fields.

Article 153 - The application to the Hong Kong SAR of international agreements to which China is or becomes a party shall be decided by the Central People's Government in accordance with the circumstances and needs of the Region, and after seeking the views of the government of the Region. International agreements to which China is not a party but which are implemented in Hong Kong may continue to be implemented in the Hong

Kong SAR. The Central People's Government shall, as necessary, authorise or assist the government of the Region to make appropriate arrangements for the application to the Region of other relevant international agreements.

(Refer to DIPN 29 for more explanation on these articles.)

QUESTION 12

DIPNs

Issued by the IRD, DIPNs clarify the IRD's viewpoints on particular tax provisions and/or the practice of the IRD in certain given situations. It also outlines the IRD's respective procedures in administering relevant provisions of the IRO. Notwithstanding that DIPNs have no binding force in law (BOR D54/06, para. 25), the IRD would follow, in general, what has been laid down in the DIPNs, both with regard to interpretation of tax provisions and assessing practices.

BOR Decisions

BOR's decisions are not binding on other BOR cases. With reference to the BOR's decisions, taxpayers can identify how the relevant provisions in the IRO are interpreted and applied in the circumstances (details of the functions of BOR will be discussed in Chapter 2).

Local Court Cases for Tax

Decisions of the courts of Hong Kong are binding on the lower courts. Thus, a decision of the Court of Final Appeal is binding on the Court of Appeal, the Court of First Instance and the Board of Review, whereas a decision of the Court of First Instance is only binding on the Board of Review i.e. the doctrine of judicial precedent (details of the appeal procedures and the questions the courts will consider will be discussed in Chapter 2).

2

Administration of the Tax System in Hong Kong

CHAPTER TOPIC LIST

2.1 Inland Revenue Department (IRD) Overview and Structure

- 2.1.1** Duties and Powers of IRD Officers
- 2.1.2** Board of Inland Revenue
- 2.1.3** Board of Review

2.2 Returns

- 2.2.1** Taxpayer's Return
- 2.2.2** Employer's Return

2.3 Assessments

- 2.3.1** Notice of Assessment and Demand for Payment

2.4 Objection, Holdover and Error or Omission Claim

- 2.4.1** Objection Process
- 2.4.2** Holdover of Tax Payment
- 2.4.3** Error or Omission Claim

2.5 Offences and Penalties Overview

- 2.5.1** Offences
- 2.5.2** Taxpayer's Obligations
- 2.5.3** Employer's Obligations
- 2.5.4** Power of the IRD to Obtain Information from Taxpayers

2.6 Tax Appeal Process

- 2.6.1** Board of Review
- 2.6.2** Appeals to Court of First Instance (CFI)
- 2.6.3** Appeals Bypassing the Board
- 2.6.4** Appeals Bypassing the Court of First Instance

2.7 Payment of Taxes

LEARNING OUTCOMES

PRINCIPAL LO1: DEMONSTRATE AN UNDERSTANDING OF THE TAX SYSTEM AND ADMINISTRATION IN HONG KONG

State, describe and apply the following key aspects of the tax system in Hong Kong:

LO1.07: Structure and administration of the Inland Revenue

1.07.01 State the structure of the IRD

1.07.02 Explain the administration of the IRD

LO1.08: Duties and powers of officers of the IRD, and official secrecy

1.08.01 Explain the duties and powers of IRD officers

1.08.02 Explain the secrecy provisions under the IRO

LO1.09: Obligations and liabilities of a taxpayer, his agent or an executor

1.09.01 Explain the obligations and liabilities of a taxpayer, his agent or an executor under the IRO and SDO

LO1.10: Returns, offences and penalties

1.10.01 Describe the powers of IRD officers to require the furnishing of returns, statements and information

1.10.02 Describe the powers of IRD officers to seize books, records and documents by way of search warrant

1.10.03 Describe the obligations of a taxpayer in relation to keeping of business and rent records

1.10.04 Describe the obligations and rights of an employer under the IRO

1.10.05 Describe the tax offences and the penalty provisions under the IRO

LO1.11: Assessments, additional assessments and provisional assessments

1.11.01 Explain the provisions under the IRO regarding the raising of tax assessments

LO1.12: Payment, recovery, holding over and refund of tax

1.12.01 Explain the provisions under the IRO regarding payment of tax

1.12.02 Explain the provisions under the IRO regarding recovery, holding over and refund of tax

LO1.13: Objections, appeals and claims

1.13.01 Describe and apply the objection and appeal procedures, and the requirements to lodge a claim to correct error or omission in a tax return or statement

1.13.02 Describe and apply the provision under the IRO regarding finality of tax assessments

1.13.03 Apply DIPN 6

LO1.14: Board of Review

1.14.01 Describe the role, formation and functions of the Board of Review

LO1.15: Board of Inland Revenue

1.15.01 Describe the role, formation and functions of the Board of Inland Revenue

1.15.02 Describe and apply the Inland Revenue Rules



OPENING CASE

CHICHI'S GOT TAX PROBLEMS

Mr Andy Cheung, a Cantopop star from Hong Kong, who goes by the stage name 'Chichi', came to worldwide fame thanks to the song 'Love Someday' featuring Chichi crooning.

He derived the following income from his performance:

- HK\$1,500,000 salary income from a music talent TV show called *You've Got Talent*, recorded in Hong Kong;
- HK\$1,000,000 royalty income from the Japanese music company A-Tunes;
- HK\$1,000,000 services income arising from a share of ticket sales from Chichi's sold-out world concert tour 'Love Someday', which received intense global media coverage. Chichi performed in 60 countries, including Hong Kong. He received the concert ticket sales income/service fees as a sole proprietor;
- HK\$1,000,000 image rights income from a contract with Guapo S.A., a Spanish clothing company that paid a percentage of profits from sales of the T-shirt 'Love Someday, Maybe Sunday?';
- HK\$1,000,000 royalty income from a contract with TeaRoom Ltd, a U.K. beverage company that paid a percentage of profits from sales of a low calorie iced tea; and
- HK\$60,000 interest income from a certificate of deposit at Hong Kong Finance Bank.

Chichi's income from many sources and jurisdictions was difficult to keep track of and confused his accountant Chen, who had no experience dealing with international tax matters.

Chen made several errors in computing Chichi's assessable income. Consequently, Chen prepared and filed an erroneous individual tax return (Form BIR60) reporting only Chichi's salary income, but did not file a profits tax return for Chichi's other income. This erroneous tax return was signed by Chichi and filed with the Inland Revenue Department (IRD).

Chichi's annual tax return caught the attention of an IRD Unit 2 assessor, Emily. Emily first issued an assessment based on IRD's policy of 'assess first, audit later' (AFAL), which applies to profits tax returns, and then transferred Chichi's tax return for a tax audit to a Unit 4 assessor named Lily.

In Hong Kong, tax investigation targets are selected based on specific facts and circumstances of individual cases and certain criteria (e.g. income level) determined by the IRD. This chapter will explain the concepts and application of the administration of the tax system in Hong Kong using this case. 



OVERVIEW

The IRD is the revenue gathering authority in Hong Kong and is one of nine departments under the administration of the Financial Services and the Treasury Bureau. It collects taxes and enforces tax laws in Hong Kong based on the Inland Revenue Ordinance (IRO) Chapter 112, and its subsidiary legislation including Inland Revenue Rules and various orders made by the Chief Executive under the Ordinance ; double taxation agreements (DTAs); as well as case law.

The IRD is headed by the Commissioner of Inland Revenue (CIR) and two deputy CIRs who are responsible for the overall administration and operations of the IRD. Structurally speaking, the IRD is organised around six units. Civil servants at the IRD are bound by strict confidentiality obligations and in general cannot disclose the tax affairs of taxpayers to any person. The IRD conducts tax audits, issues assessments, tax rulings and Departmental Interpretation and Practice Notes (DIPN) which explain IRD's interpretation and their application of tax laws, although with no legally binding effect.

Hong Kong's tax system requires a high degree of compliance by taxpayers. It is the primary duty of every taxpayer under the law to file timely and accurate tax returns to the IRD and pay tax duly charged on time.

In Hong Kong both the employer and the employee separately have tax reporting obligations and failure by any taxpayer to file timely and accurate tax returns may result in a determination of omission of income without reasonable excuse, an act liable to heavy penalty or even prosecution.

Following submission of the tax return and its examination by the tax authority, the IRD will issue a notice of assessment. The IRD adopts an AFAL approach for profits tax returns, under which assessments or statements of loss are issued to taxpayers based on the return submitted. There will, nevertheless, be the possibility of audit subsequently.

On receipt of the notice of assessment, the taxpayer is obliged to review the amount of income assessed, profits assessed, allowances and deductions allowed, and the assessor's note (if any) to understand the basis of the assessment and the reasons for any rejection of a claim for allowances or deductions.

A taxpayer aggrieved by an assessment may raise an **objection** in writing, setting out their reasons for the same. The CIR will determine the objection – he may confirm, reduce, increase or annul the assessment. If the taxpayer disagrees with the determination, he or she can appeal to the Board of Review. If the taxpayer or the IRD disagrees with the Board's decision, either party can ask the Board to refer the case to the court.

If a taxpayer has not complied with the requirements under the IRO, the relevant punitive provisions empower the CIR, depending on the nature and/or the degree of culpability of the



offence and at his discretion, to institute prosecution, to compound or to assess additional tax (which is a form of penalty) for the offence.

The IRD also administers, via the Stamp Office sub-section, the Stamp Duty Ordinance, which is responsible for the assessment and collection of stamp duties, which are generally charged on documents effecting the transfer and lease of real property in Hong Kong and transfer of Hong Kong stock.



2.1 INLAND REVENUE DEPARTMENT (IRD) OVERVIEW AND STRUCTURE

The **IRD** is the main tax authority in Hong Kong and is one of nine departments under the administration of the Financial Services and the Treasury Bureau. It collects taxes and enforces tax laws in Hong Kong. The IRD conducts tax audits, collects taxes, issues assessments, tax rulings and DIPNs.

2.1.1 Duties and Powers of IRD Officers

The Commissioner's Office comprises the CIR and two deputy CIRs who are responsible for the overall administration and operations of the IRD. The duties are divided among six different units, namely, the Commissioner's Unit; the Headquarters Unit; and Units 1 to 4. Apart from the Commissioner's Unit, each unit is headed by an assistant CIR. The responsibilities of these units are as follows:

- The **Commissioner's Unit** is responsible for appeals, technical research, tax treaties, exemption of charitable organisations, complaints, internal audit, etc.
- The **Headquarters Unit** is responsible for training, inquiry services, information systems, tax processing (property tax – joint owners and corporations) and review (profits tax – sole-proprietorships, property tax and personal assessment)
- **Unit 1** is responsible for tax processing and review of profits tax – corporations and partnerships
- **Unit 2** is responsible for tax processing (salaries tax, profits tax – sole-proprietorships, property tax – sole owners and personal assessment)
- **Unit 3** is responsible for tax collection and inspection; stamp duty; estate duty and business registration
- **Unit 4** is responsible for field audits and investigations.

Tax assessors, inspectors, the CIR and deputy CIRs have discretionary powers to obtain all information needed for the IRD to determine a taxpayer's tax liability. Please see Section 2.5.4 for further details on the assessment process.

The CIR and deputy CIRs have the power to summon a taxpayer to attend a tax examination and answer questions concerning that person's tax liability; search under a warrant; and demand the taxpayer's financial statements and supporting documentation.

The IRO provides the following rights/powers for the IRD to discharge its duties:

- To require returns (property tax, salaries tax, profits tax and composite tax return) from any person (s.51(1));
- To require a personal assessment return from an individual who has elected for personal assessment (s.51(2A));
- To require a personal assessment return from an individual and his or her spouse who have elected for personal assessment (s.51(2B));
- To request a fuller and further return from any person (s.51(3));
- To require full information or documents from any person (including third parties) which may affect any tax liability of any persons (s.51(4)(a));
- To require any person to attend an interview and answer questions (including third parties) (s.51(4)(b));
- To require information from any person relating to property transactions or to require any person to attend an interview and answer questions relating to property transactions of any persons (s.51(4A));
- To require information relating to tax in an overseas territory where Hong Kong has entered into an exchange of information (EoI) agreement or double taxation arrangement (DTA) that requires information disclosure (s.51(4AA));
- With the consent of the Board of Review, to require a statement of assets and liabilities, and of expenditures and receipts from a suspected taxpayer (s.51A);
- To apply for a search warrant from a magistrate to enter premises and seize books/ records from a suspected taxpayer (s.51B); and
- To require information from other government departments or public bodies or employers (s.52).

Key Learning Point

- The IRD is the tax authority in Hong Kong that issues assessments, collects taxes and enforces tax laws and issues tax rulings and DIPNs, through the operation of six units: the Commissioner's Unit, the Headquarters Unit and Units 1 to 4.
- The IRD has the power to require any person to file tax returns, provide documents and information and attend interviews relating to taxes in Hong Kong.
- The IRD has the power to require any person to provide information relating to any person's tax in an overseas jurisdiction where Hong Kong has signed EoIs or DTAs.
- The IRD has the power to apply for a search warrant.

2.1.1.1 Secrecy Provisions under the IRO

The general rule is that taxpayer information is to be kept secret. Confidentiality is statutorily protected by s.4 of the IRO. An officer of the IRD shall preserve and aid in preserving **secrecy**



with regard to all matters relating to the affairs of any person coming to his knowledge with an exception where disclosure is required under the law (s.49(5)).

The CIR has authority to communicate taxpayer information to various other public bodies, but not other information.

Disclosure of tax information to treaty partners under and in accordance with the relevant exchange of information article in DTAs or tax information exchange agreements (TIEAs) does not breach the secrecy provisions under the IRO. Information received under the DTAs and TIEAs are treated as confidential and may be disclosed only to persons or tax authorities concerned with the assessment, collection and enforcement of the taxes (including the prosecution or the determination of appeals) and the information may be used only for such purposes. The confidentiality provisions of the DTAs and TIEAs create obligations under international law. These provisions take precedence over any domestic rules that permit disclosure to persons not referred to in the confidentiality provision.

Key Learning Point

An officer of the IRD is required to keep secret the affairs of a taxpayer, except when disclosure is required by law.

Illustrative Example 1

In the Opening Case, after receiving Chichi's tax returns and supporting documents for the tax audit, Lily must keep this information confidential and protect it from unauthorised disclosure. She may however, under various DTAs or TIEAs, exchange that information on the terms of the relevant agreements with tax authorities of partner jurisdictions.

2.1.2 Board of Inland Revenue

The Board operates independently of the **Inland Revenue Department** to:

- Prescribe returns to be used for property tax, salaries tax, profits tax and personal assessment or the form of the returns;
- Make and review Inland Revenue Rules (subject to Legislative Council's approval), e.g. prescribe what is 'machinery and plant' and annual rates for depreciation allowances; and
- Prescribe procedures relating to applications for refunds and relief, appeals procedures and miscellaneous matters as authorised.

The Board of Inland Revenue is headed by a Chairman who is the Financial Secretary of Hong Kong and has four other members (presently the CIR) and one secretary, who is the deputy CIR.

2.1.3 Board of Review

The **Board of Review (BOR)** is an independent statutory body constituted to hear and determine tax appeals. It is the tax tribunal of first instance in Hong Kong, though in rare cases an appeal against the determination made by the Commissioner may be brought directly to the Court of First Instance.

The Board comprises a chairman, 10 deputy chairmen, no more than 150 legal experts and prominent public figures and a clerk to handle administrative matters, who are all appointed by the Chief Executive (s.65). Each hearing is before a chairman, who may be the chairman or one of the deputy chairmen, and two other members. Decisions are by majority. Board hearings are informal as compared with court hearings, but in general follow the same rules of civil procedure.

Taxpayers may appear in person without legal representatives, or may be represented by accountants, solicitors or barristers. This makes the appeal process affordable for most taxpayers. That being said, the Board does not have jurisdiction to make a costs order; that means that a successful appellant who incurred professional fees in bringing the appeal cannot recover such fees from the other side, as would be the case in conventional civil proceedings.

To deter taxpayers from lodging vexatious or trivial appeals, the Board may impose a fee not exceeding HK\$25,000 on the appellant taxpayer. The facts found by the Board are final and cannot be appealed to court unless the facts found are so flawed or perverse that no reasonable Board could have arrived at the said findings of fact. Both the taxpayer and respondent can appeal a decision of the Board to the Court of First Instance or, with leave, to the Court of Appeal on a point of law. In order to bring such an appeal, the appellant must apply for leave to appeal and show that the appeal has a reasonable prospect of success, or that there is some other reason in the interests of justice why the proposed appeal should be heard.

Key Learning Point

The Board of Review is a statutory body that operates independently of the Inland Revenue Department to hear and determine tax appeals.

► Knowledge Check Questions

Question1

Identify the function of the Board of Review.

- A** It conducts tax audits.
- B** It collects taxes.
- C** It is headed by the Commissioner.
- D** It is an independent statutory body to hear and determine tax appeals.



► Knowledge Check Questions (*continued*)

Question 2

Identify which of the following is NOT a function of the IRD:

- A** To assess and collect taxes.
- B** To handle appeals before passing the case to courts.
- C** To issues DIPNs.
- D** To issue advance rulings.

2.2 RETURNS

Hong Kong's tax system requires a high degree of autonomous compliance by taxpayers. It is the primary duty of every taxpayer to file timely and accurate tax returns to the IRD. Unlike many other jurisdictions, Hong Kong does not operate a 'pay as you earn' system, by which employers make payments of salary and other income from employment to employees net of deductions on account of tax. In the ordinary course, each employee in Hong Kong is exclusively responsible for filing his own tax return and accounting for any tax due thereon.

In Hong Kong both the employer and the employee have tax compliance requirements and separately report income to the IRD. The employer's tax return shows the income from employment, including salaries, bonuses and other emoluments from employment paid by the employer to the employee. The employee's tax return should contain details of such taxable income as the employee received from all sources, including his employment. Failure by any taxpayer to file timely and accurate tax returns may result in an administrative penalty being imposed or more serious criminal consequences upon prosecution, including fines and imprisonment.

2.2.1 Taxpayer's Return

All taxpayers are obliged to file timely and accurate tax returns with the IRD and provide sufficient information to determine their tax liability. S.51 provides that every person chargeable to tax for any year of assessment must inform the Commissioner that he is so chargeable, thereby enabling the IRD to issue him with a tax return. Under the terms of s.51(2), notification must be given within four months following the end of the basis period. In practice, because all newly incorporated companies in Hong Kong are required to register under the Business Registration Ordinance, which is Hong Kong's de facto tax registration law, all newly incorporated companies are issued with tax returns, usually within 18 months of incorporation.

S.52 requires employers to file an employer's return with respect to employees who are or who are likely to be chargeable to salaries tax. The purpose of an employer's return is to enable the IRD to cross-check an employee's return with his employer's return, and verify any inconsistencies between the two.

2.2.1.1 Individual Tax Return

Individual tax returns are issued on the first working day of May each year. Form BIR 60 is issued to an individual taxpayer for him or her to report his or her salaries, rental income from solely owned properties and profits from sole-proprietorship businesses, and to elect for personal assessment, if appropriate.

Form BIR60 should be completed and signed by the individual taxpayer, or husband and wife if filing a joint return. Taxpayers are required to disclose in the individual tax returns:

- Transactions for/with non-resident persons;
- Payments to non-residents for use of intellectual property;
- Payments to non-residents for services rendered in Hong Kong; and
- Transactions with closely connected non-resident persons.

The filing deadline is usually within a month from the date of issue. For sole proprietors of unincorporated businesses, the deadline for submission is extended to the first working day in August, with a one-month automatic extension if the return is filed electronically.

However, individuals who are represented by a tax agent are normally granted an extension of an additional month for filing their returns. Further extensions for return filing may be possible upon application and will be considered on a case-by-case basis.

Taxpayers who have earned no taxable income or have not received assessable income in excess of their basic allowance are not required to pay tax. Nonetheless, should they receive a tax return from the IRD, they are still required to complete and send it back to the IRD on a timely basis.

Illustrative Example 2

In the Opening Case, Chen prepared and filed, taxpayer Chichi's Hong Kong sourced salary income from a music talent TV show called *You've Got Talent*.

Chen erroneously concluded that Chichi's income as set out in the opening case and summarised below was not Hong Kong sourced so he did not report them to the IRD on Form BIR60 or BIR52 for profits tax purposes, even though as further explained in Chapter 3, profits tax to this income would apply:

- HK\$1,000,000 royalty income from the Japanese music company A-Tunes;
- HK\$1,000,000 services income arising from a share of ticket sales from the world tour;
- HK\$1,000,000 image rights income from a contract with Guapo S.A.; and
- HK\$1,000,000 royalty income from a contract with TeaRoom Ltd

The errors on taxpayer Chichi's tax return caught the attention of IRD Unit 2 assessor Emily, who, upon receiving and reviewing Chichi's tax return, issued a tax assessment and then referred it to IRD Unit 4 assessor Lily, who began conducting a tax audit of Chichi's tax return.



2.2.1.2 Profits Tax Return

Companies incorporated in Hong Kong that have registered, as is now compulsory under the Business Registration Ordinance, are generally tracked by the IRD and issued with a tax return for the first anticipated 'year of assessment' – usually within 18 months of the date of incorporation. Such tax returns in general need to be filed annually, notwithstanding that the company does not derive any profits or income chargeable to tax in Hong Kong. The Companies Registry and the IRD jointly offer a one-stop company and business registration service to investors.

A year of assessment runs from 1 April to 31 March. Tax returns – forms BIR51 for corporations and BIR52 for entities other than corporations – are generally issued annually on the first working day of April. These provide for companies to report their profits for the accounting year ended in the previous tax year. The return should be filed within one month from the date of issue. Extension is available for certain companies. (Note that companies that follow a year-end cycle that ends in December or March are typically granted an extension until mid-August or mid-November, respectively.)

With the return, companies must pay a provisional profits tax at 16.5% rate based on previous fiscal years' profits (or the lower concessionary rate of 8.25% on the first HK\$2 million of assessable profits where the two-tiered regime applies). This payment is credited against the final profits tax, which is payable during the following fiscal year on assessment by the authorities. Any excess payment is applied to the provisional profits tax payable for the following fiscal year.

Upon receipt of the tax return, assessments are raised. When no tax return has been issued, however, the company has an obligation to notify the tax authority if assessable profits have arisen, within four months after the end of the relevant basis period.

2.2.1.3 Property Tax Return

Property tax is payable annually by the owner(s) of a property (i.e. home flat, apartment, land and/or building) in Hong Kong each year of assessment based on the property's 'net assessable value' (NAV). Property tax return form BIR57 is used for reporting income from property jointly owned or co-owned by an individual with other persons.

With the return, taxpayers must pay a provisional property tax based on previous fiscal years' profits. This payment is credited against the final property tax, which is payable during the following fiscal year on assessment by the authorities. Any excess payment is applied to the provisional property tax payable for the following fiscal year.

2.2.1.4 Withholding Tax Return

Hong Kong withholding tax liabilities and tax return filing obligations can arise on cross-border royalties paid to non-resident taxpayers for the use of intellectual property and for fees due to a non-resident entertainer or sportsman for a performance in Hong Kong. The withholding tax rate may be lowered or eliminated under a DTA. The profits tax return form for non-resident persons is BIR54 (see Chapter 8 for more details).

2.2.2 Employer's Return

Within three months after an employee commences employment, the employer has the duty to report on a Form IR56E to the IRD (with a copy to the employee) the employee's:

- full name and address;
- marital status; and
- date of commencement and the terms of employment.

Such information will enable IRD's computer to automatically create a tax file in the employee's name and to issue a tax return (if necessary) to the employee, normally within five months.

An employer is not obliged to withhold salaries tax from the remuneration paid to an employee except in cases where an employee is about to leave Hong Kong for more than one month, other than on a normal business trip. In such cases, the employer may be required to withhold payments from the departing employee. The amount to be withheld is the sum due to be paid to the employee from the date of filing the departure notice (normally it is one month before departure) to the date of departure of the employee.

Key Learning Point

It is the primary duty of every taxpayer under the law to file timely and accurate tax returns to the IRD. Both the employer and employee have tax return filing obligations.

Illustrative Example 3

In the Opening Case, the Hong Kong TV company, three months after employing taxpayer Chichi, reported on Form IR56E his full name and address; marital status; and date of commencement and the terms of Chichi's employment including his salary income from the music talent TV show that was recorded in Hong Kong.

► Knowledge Check Questions

Question 3

Identify which persons in Hong Kong have tax compliance requirements to report income to the IRD.

- A** The employee only.
- B** The employer only.
- C** The employer and the employee.
- D** The tenant of an immovable property.



2.3 ASSESSMENTS

Following the filing of a tax return and the IRD's examination of it, the tax authority will issue a notice of assessment. The IRD adopts an AFAL approach for profits tax returns, under which assessments or statements of loss are issued to taxpayers based on the return submitted. Where an assessor disagrees with the taxpayer's computation, he may raise an additional assessment under s.60, assessing the taxpayer to further tax. The Commissioner is generally empowered to issue a notice of assessment under s.62 requiring a person who has been assessed to pay the tax charged not later than a stipulated due date.

S.60(1) provides that an additional assessment must be made within six years of the end of the year of assessment to which it relates, but s.60(1)(b) extends that to 10 years in the case of fraud or wilful evasion. There are no provisions governing the time limit for the collection of tax.

The Notice of Assessment issued by the CIR gives details of amount assessed, amount of tax charged and tax payment due date. A notice of assessment can be served personally, or by mail.

There are three basic types of assessments:

- Standard assessment – when an acceptable tax return is filed (s.59(1));
- Estimated assessment – when an unacceptable tax return is filed; in the absence of a return or; when books are not kept in satisfactory form (s.59(3)); and
- Additional assessment – when the taxpayer is not adequately taxed (s.60(1)).

An assessor will not raise a property tax or a profits tax assessment if an election for personal assessment (PA) is made by an individual (the owner); and PA will result in a full refund of property tax if it were paid or assessable profits do not exceed total allowances entitled; and there is no other source of chargeable income for profits tax purposes (s.59(1A) and (1B)).

An assessment is final and conclusive when no valid objection or appeal has been lodged within the time limit; the objection has been withdrawn or dismissed by the Board of Review or a court; where a revised assessment has been agreed under s.64(3) of the IRO; or where an assessment is determined by the Board of Review which refuses to refer the case to court.

The IRO provides that under specified circumstances, such as an excessive assessment due to an **error or omission** in the tax return, the taxpayer may, pursuant to s.70A of the IRO apply for correction of the assessment within six years after the end of the relevant year of assessment or six months after the issue of the notice of assessment, whichever is later. Likewise, a taxpayer who has paid tax in excess of the amount payable, under certain circumstances may apply for a refund within six years after the end of the relevant year of assessment.

Taxpayers may be subject at a later date to post-assessment investigation by the IRD. Accordingly, under s.51C of the IRO a business operator must keep sufficient records of his income and expenditure for a period of not less than seven years after the end of the transactions, so as to enable the assessable profits of such business to be readily ascertained.

2.3.1 Notice of Assessment and Demand for Payment

A notice of assessment will be issued after the tax return has been examined by the IRD. Taxpayers may be subject at a later date to post-assessment investigation or field audit under the AFAL computerised random selection procedures of the IRD.

Collection of tax is by way of provisional assessment based on the previous year's income and final assessment on filing of the tax return for the year in question. Provisional tax paid is credited against the final tax payable, with any overpayment being refunded or underpayment being charged, as appropriate.

Salaries tax is usually payable in two instalments, while there is normally just one payment due date for property tax and profits tax assessments. The dates of payment of tax, which for salaries tax generally fall between January and April of the year following the year in which the tax return is issued, are determined by the CIR and specified in an assessment notice.

Key Learning Point

1. The IRD will issue a notice of assessment after the taxpayer has filed a tax return with the tax authority, and the tax return has been examined by the IRD. There are three types of assessment: standard, estimated and additional.
2. The IRD may issue additional assessments, charging the taxpayer to additional tax. In the ordinary course, the time limit for doing so is six years from the end of the year of assessment in question.

Illustrative Example 4

In the Opening Case, following receipt and scrutiny of Chichi's annual individual tax return, an IRD unit 2 tax assessor, Emily, issued a notice of assessment based on IRD's policy of AFAL and assessed to him additional tax under an additional assessment. Because the additional assessment was raised within six years of the year of assessment to which it relates, and stated clearly the amount of tax the IRD considered payable it was in time and valid.

► Knowledge Check Questions

Question 4

Which of the following is correct?

- A** The IRD adopts an 'audit first, assess later' approach.
- B** The IRD can issue additional assessments within 10 years after the end of the relevant year of assessment for all cases.
- C** The IRD cannot issue any assessment if no return is received.
- D** There are two tax payment due dates for salaries tax assessments.



2.4 OBJECTION, HOLDOVER AND ERROR OR OMISSION CLAIM

Upon receipt of the notice of assessment (including a notice of additional assessment), it is incumbent on the taxpayer to verify if it is accurate. He should in particular check the amount assessed, allowances and deductions granted and the assessor's note (if any) to understand the basis of the assessment and the reasons for any rejection of claimed allowances or deductions.

If the taxpayer disagrees with the assessment, he or she should lodge an objection in writing in accordance with s.64 of the IRO. The time limit for doing so is one month after the date of the notice of assessment, and the taxpayer must give reasons, though these need not be detailed, for his objection. To support the objection, the taxpayer will be called to adduce evidence to prove that the assessment is either incorrect or excessive. In essence, the burden of proof of an objection is on the taxpayer. Failing agreement, an objection is determined unilaterally by the IRD.

S.64(1)(a) provides that a taxpayer may apply to revise an assessment after the one-month statutory time limit if he was prevented from filing a timely notice of objection by virtue of absence from Hong Kong, illness or other reasonable excuse.

S.64(2) provides that the CIR must determine the objection in a reasonable time. A determination of the CIR may confirm, reduce, increase or annul the assessment. If the taxpayer disagrees with the determination, he or she may bring an appeal to the Board of Review or, in certain circumstances, to the Court of First Instance. If the taxpayer or the IRD disagrees with the Board's decision, the dissatisfied party may bring an appeal to the Court of First Instance or, subject to certain conditions, to the Court of Appeal.

2.4.1 Objection Process

A taxpayer wishing to dispute an assessment must file a notice of objection in writing, stating precisely the grounds of the objection, within one month after the date of issue of the notice of assessment in accordance with s.64(1). The objection can only be made upon assessment, i.e. no objection can be made in respect of tax loss unless it is in the year in which the loss is fully utilised and an assessment is made after the set-off.

To object to an estimated assessment raised in the absence of a return, a valid return must be filed together with the notice of objection, and within the objection period of one month.

When a taxpayer files an objection against an assessment, he will in the ordinary course be required to pay the disputed tax under the AFAL principle, subject to the CIR agreeing to hold over part or all of the tax claimed under s.71(2).

Usually, conditional holdover (also known as standover) will be granted in cases considered by the Commissioner to be of little merit. The holdover is granted on condition that the taxpayer purchases a Tax Reserve Certificate or provides a banker's undertaking. If the tax is subsequently discharged, the Tax Reserve Certificate will be redeemed with interest to the taxpayer.

Usually, unconditional holdover will be granted in cases where the tax in dispute is likely to be discharged. No tax is payable until a notice is issued by the Commissioner. If the tax is subsequently payable, the taxpayer has to pay interest on the tax payable at a rate specified by the Chief Justice.

To process an objection, the IRD may ask the taxpayer as well as other parties to supply information and make submissions of fact and law in support of the objection. The information required from the taxpayer may include books or documents in his custody. After gathering all the relevant information, the IRD may allow the taxpayer's objection, propose a revised assessment or ask for a withdrawal of objection. If the claim is accepted, a revised notice of assessment will be issued, and the relevant tax will be refunded (if the tax has been paid) or discharged (if the tax has not yet been paid). Should there be no agreement from the taxpayer, the case will be submitted to CIR who will determine the objection – he may confirm, reduce, increase or annul the assessment. If the taxpayer disagrees with the determination, he may appeal to the Board of Review.

The Board of Review is the tax tribunal of first instance, which has original jurisdiction to adjudicate tax disputes. S.68(4) provides that the burden of proof is on the taxpayer to show that the assessment is excessive. The Board will in effect operate as a court: it will hear submissions from the taxpayer and the CIR, witnesses and written evidence. It is the primary fact-finding tribunal, which means that it is charged with finding the factual basis to the taxpayer's objection and determining whether the evidence is sufficient to discharge the taxpayer's burden of proof.

Key Learning Point

If a taxpayer disagrees with an assessment, an objection must be lodged within one month after the issue of the assessment. Once an objection is lodged, the CIR must determine it within a reasonable period of time. If he dismisses the objection, the taxpayer may bring an appeal to the Board of Review, which is the tax tribunal of first instance.

Illustrative Example 5

In the Opening Case, after an assessment was raised by the IRD Unit 2 assessor, Emily, based on IRD's policy of AFAL, the Commissioner issued a Notice of Assessment to Chichi informing him of the amount assessed, the tax charged and the due date of payment. The Notice of Assessment was issued together with a demand for provisional tax.

After receiving the IRD's tax assessment, both Chichi and Chen reviewed the amount of income assessed, profits assessed, allowances and deductions granted, and the assessor's note to understand the basis of the assessment.

Since Chichi and Chen disagreed with the assessment, they lodged an objection with the IRD which stated the grounds of objection precisely. However, the one-month deadline for objection had passed because Chichi was on tour. Although, the basic deadline is one month, late filing can be accepted if the taxpayer was prevented from objecting in time due to absence from Hong Kong.



2.4.2 Holdover of Tax Payment

2.4.2.1 Holdover Final Tax under Objection

S.71(2) provides that the CIR may require the taxpayer to pay disputed tax upfront, notwithstanding that he has lodged a notice of objection. That being said, the CIR has discretion to hold over part or all of the disputed tax conditionally or unconditionally. Unconditional holdover is rare: this is when the CIR agrees not to require any upfront payment of tax. If, however, the objection is determined by the CIR or by the Board against the taxpayer, he will be required to pay the tax due plus interest at prevailing court judgment rates.

If an objection has some merit, but is not weighed definitely in favour of the taxpayer, then the taxpayer objecting to an assessment may be required to purchase Tax Reserve Certificates (TRC) to cover part or all of the tax in dispute. TRCs are governed by the Tax Reserve Certificates Ordinance (Cap. 289). There are two types of TRCs: ordinary TRCs and the TRCs for 'Conditional Standover Order'. Ordinary TRCs are to assist taxpayers to build up funds for tax payment. TRCs for 'Conditional Standover Order' are a form of security, which taxpayers are required to provide for the payment of tax held over upon objections or appeals against assessments. TRCs bear nominal interest, at a much lower than commercial rate, from the date of issue to the day of determination of the objection at the rate published by IRD on its website. Thus, if the taxpayer is ultimately successful, he is refunded the money he expended in purchasing the TRCs, plus interest. If he is unsuccessful, he has no further liability assuming he bought TRCs equal in value to the full amount of tax assessed and confirmed.

2.4.2.2 Holdover Provisional Tax Payment

A taxpayer may apply in writing for a partial or complete **holdover** of provisional tax on the following grounds:

Property tax (s.63O)	Salaries tax (s.63E)	Profits tax (s.63J)
N/A	Entitlement to further allowances under Part 5 of the IRO.	N/A
Assessable value of the property for the year is likely to be less than 90% of the provisional amount assessed.	Net chargeable income for the year is likely to be less than 90% of the provisional amount assessed.	Assessable profit for the year is likely to be less than 90% of the provisional amount assessed.
N/A	N/A	A loss brought forward has been omitted or is incorrect.
Cessation of income from property.	Cessation of income chargeable to salaries tax.	Cessation of trade, profession or business.
Election for personal assessment has been made which is likely to reduce the tax liability.	N/A	Election for personal assessment has been made which is likely to reduce the tax liability.
An objection has been lodged against the final assessment upon which the provisional assessment is based.	An objection has been lodged against the final assessment upon which the provisional assessment is based.	An objection has been lodged against the final assessment upon which the provisional assessment is based.

The application for holdover of provisional tax must be received by the Commissioner not later than:

- 28 days before the payment due date of the provisional tax; or
- 14 days after the date of the notice for payment of provisional tax; whichever is the later.

It should be noted that, unlike with the objection to the final tax assessment, the Commissioner has no discretionary power to extend the time limit for a holdover.

2.4.3 Error or Omission Claim

The general rule in s.70 is that an assessment becomes final when no valid objection has been lodged in time. That is a very harsh provision, which is mitigated by s.70A, which provides that a taxpayer may apply to correct an assessment within six years after the end of the year of assessment concerned, or six months after a related notice of assessment is served, whichever is later, if he can prove that the tax charged for that year of assessment is excessive by reason of an error or omission in any return or by reason of a mathematical error or omission in the calculation of the amount of tax.

The words error or omission are not defined in the IRO. From case law, 'error' refers to something that happened inadvertently, not a deliberate act. However, 'omission' includes an omission of fact and even an omission of claim by the taxpayer. In practice, the words '**error or omission**' include: an arithmetical error, an omission to claim an expense or a deduction or an allowance, an error or omission of fact, or an error of law (see for example *Extramoney Ltd v CIR*).

No correction may be made if an assessment was made in accordance with the practice prevailing at the time when the return or statement was made by a taxpayer or by the IRD.

In *Moulin Global Eyecare Trading Ltd (in liquidation) v CIR*, (2014) the directors falsified the company's accounts to inflate its profits and accordingly overpaid profits tax of HK\$89 million when in fact the company had sustained heavy losses. When the company was placed into liquidation, the liquidators brought an action against the CIR seeking repayment of tax paid by the company, but not due. Their appeal was ultimately dismissed by the Court of Final Appeal. The fraudulent record-keeping and tax filing of the directors was imputed to the company as a deliberated act: there was, therefore, no question of this having been a mistake or omission. It followed that s.70A could not be applied because 'error' refers to something done incorrectly through ignorance or inadvertence, but not to a deliberate and conscientious decision.

Illustrative Example 6

Taxpayer Sadie Lam, who works as an accomplished PR agent for the international Hong Kong PR agency Get Noticed Ltd realised that she made a transposition error while preparing her tax return and over reported her salary income for the year of assessment 2017/18.



Illustrative Example 6 (*continued*)

Explain to Sadie whether or not she is able to correct the 2017/18 salaries tax assessment.

A taxpayer can apply to correct an assessment within six years after the end of the year of assessment concerned, or six months after a related notice of assessment is served, whichever is later, if taxpayer can prove that the tax charged for that year of assessment is excessive by reason of an error in a return submitted (s.70A). The deadline for Sadie to do so is 31 March 2024.

Key Learning Point

- Tax in dispute must be paid notwithstanding a taxpayer's objection, subject to unconditional or conditional holdover.
- The CIR will determine the objection – he may confirm, reduce, increase or annul the assessment. If the taxpayer disagrees with the determination, he or she can appeal to the Board of Review. If the taxpayer or the IRD disagrees with the Board's decision, either party can ask the Board to refer the case to the court.
- TRCs may be purchased as part of the holdover process.
- A taxpayer can apply to correct an assessment within a timely fashion, if they can prove that the tax charged for that year of assessment is excessive by reason of an error or omission.

► Knowledge Check Questions

Question 5

Which of the following is correct?

- A** An error and omission claim must be lodged within one month after the date of issue of the assessment.
- B** An objection can be lodged within six years after the relevant year of assessment or six months after the date of issue of the assessment, whichever is later.
- C** A late holdover claim for provisional tax payment may be accepted if there are reasonable grounds, such as absence from Hong Kong or sickness.
- D** The Commissioner may unconditionally hold over tax in dispute upon receiving an objection lodged by the taxpayer.

2.5 OFFENCES AND PENALTIES OVERVIEW

Hong Kong's tax system requires a high degree of compliance by taxpayers. It is also the primary duty of every taxpayer under law to file timely and accurate tax returns to the IRD.

If the requirements under the IRO are not complied with, the relevant punitive provisions empower the CIR, depending on the nature and/or the degree of culpability of the offence and at his discretion, to institute prosecution, to compound or to assess additional tax (which is a form of penalty) in respect of the offence.

An offence may be committed either by noncompliance without a reasonable excuse or by wilful wrongdoing. Penal actions may be imposed by the IRD for offence committed by taxpayers.

Factors which may affect the course of action to be taken include the strength of evidence, the amount of tax undercharged or that would have been undercharged, the sophistication of the scheme and the period of time over which the offence was committed.

The three major categories of offences are as follows:

- 1 Failure to file an accurate tax return;
- 2 Fraud and wilful tax evasion; and
- 3 Breach of secrecy.

2.5.1 Offences

Part 14 of the Inland Revenue Ordinance provides for penalties for noncompliance with tax obligations. S.80 sets out penalties for failure to make returns or for making incorrect returns, and generally for administrative noncompliance. S.82 provides for the penalties for wilful default and fraud, and s.82A provides for a parallel regime whereby the penalty is charged by way of additional tax. Always consider, however, whose liability is engaged. In *Koo Ming Kown & Murakami Tadao v CIR* [2021] HKCA 1037, the Hong Kong Court of Appeal held that penalties for defaults relating to the filing of incorrect tax returns and attaching to a company as taxpayer could not be enforced against the directors of that company, even if they had authorised the signature of the incorrect tax returns in question. In other words, the directors of a company are not automatically liable for an act committed by the company of which they are a director, even if they had direct knowledge of the act in question.

S.82 is in effect a criminal sanctions regime for tax evasion. As with most other criminal proceedings, the burden of proof is beyond reasonable doubt and is borne by the prosecution. Intention (i.e. *mens rea*) must also be shown: that is, the prosecution must show the taxpayer to have been dishonest.

Conversely, penalties under s.80 and s.82A may be avoided if the taxpayer can adduce a reasonable excuse. Reasonable excuse is not defined by IRO, but the Board of Review described the concept of **reasonable excuse** as what one would expect a reasonable person to do in all of the circumstances such as honest belief of non-taxability; or reasonable reliance on expert advice; or simple slip of the mind. However, the Board of Review does not consider ignorance of law; or low level of education; or incompetent staff as reasonable excuses for these purposes.

For noncompliance offences not affecting the amount of tax charged, the Court may grant an order to instruct the defaulter to comply within a specified time together with a fine.

For offences affecting the amount of tax charged, the penalty may consist of a fine and/or up to 300% of the tax undercharged or the tax that would have been undercharged.

There are six levels of fine specified in Schedule 8 of the Criminal Procedure Ordinance as follows:

Level	Fine
1	HK\$2,000
2	HK\$5,000
3	HK\$10,000
4	HK\$25,000
5	HK\$50,000
6	HK\$100,000

Offences and Penalties Involving Tax Evasion: A taxpayer may be liable to penalty under ss.80(1) and (2), s.82(1) and s.82A in the following situations (see Exhibit 2.1):

1. A taxpayer without reasonable excuse does not comply with the IRDs notice of requirement to file a tax return (including employer's return) within the specified time limit, fails to attend in answer to a summons issued, or fails to keep rental record for immovable property for seven years (s.80(1)).
2. A taxpayer without reasonable excuse does not comply with taxpayer, employer or other obligations (s.80(1)).
3. A taxpayer without reasonable excuse makes an incorrect return or statement or supplies incorrect information to the IRD (s.80(2)).
4. A taxpayer, without reasonable excuse, gives incorrect information in relation to any matter that affects his or another person's liability to a foreign tax covered by an exchange of information article under a double taxation arrangement (s.80(2D)).
5. A taxpayer without reasonable excuse fails to keep records of business income and expenditure for a period not less than seven years (s.80(1A)).
6. A taxpayer deliberately, negligently or by illegal means makes a false statement or entry in a tax return (s.80(1AB) and s.82(1)). Where blatant tax evasion is involved, the IRD may take criminal prosecution against the offender under common law with the offence of cheating the public revenue. If the prosecution is convicted, the sentence will be very severe, including imprisonment.
7. The IRD may compound any of the offences under s.80 and s.82 in lieu of prosecution (s.80(5) and s.82(2) (i.e. the taxpayer to 'accept a monetary settlement instead of sanctioning the institution of a prosecution', DIPN 11 [Revised])).
8. The IRD may issue an assessment of additional tax against an offender that is usually called s.82A penalty. In such case, the maximum penalty will be up to an additional tax of three times the tax undercharged. Such assessment is made where the offence is not so serious to warrant a prosecution or where the evidence is insufficient for the proof required in a criminal prosecution.

Procedures for issuing an **s.82A additional tax assessment** include the following:

- A notice will be given to the taxpayer to specify the reasons for raising additional tax.
- The notice will also invite a written representation from the taxpayer within 21 days from the date of the notice.
- The IRD will then consider the taxpayer's representation.
- Addition tax assessment will be raised and served to the taxpayer.
- After additional assessment under s.82A, no criminal charge on the same facts again under s.80(2) or s.82(1).

IRO section	s.80(1)	s.80(2)	s.82(1)	s.82A
Offence	For offences without a reasonable excuse.	For offences without a reasonable excuse.	For wilful evasion cases.	For offences without a reasonable excuse.
Type of offence	Covers most noncompliance offences not involving tax undercharged.	Covers incorrect return involving tax undercharged.	Covers noncompliance offences (no return/late return/incorrect return/failure to inform chargeability for tax) involving tax undercharged.	Covers noncompliance offences (no return/late return/incorrect return/failure to inform chargeability for tax) involving tax undercharged.
Civil or Criminal	Civil proceeding.	Civil proceeding.	Criminal proceeding.	Administrative penalty. No legal proceeding either before or after the additional tax.
Burden of Proof	Taxpayer to prove, on balance of probability.	Taxpayer to prove, on balance of probability.	Prosecutor to prove, beyond reasonable doubt.	Taxpayer to prove, on balance of probability.
Penalty assessed by	Penalty assessed by Court.	Penalty assessed by Court.	Penalty assessed by Court.	Additional tax raised by the Commissioner or a Deputy Commissioner personally.
Penalty level	Penalty: a fine at level 3.	Penalty: a fine at level 3 and up to 300% of tax undercharged or would have been undercharged. Penalty: on summary conviction: a fine at level 3 and up to 300% of tax undercharged or would have been undercharged and six months' imprisonment.	On indictment: a fine at level 5 and up to 300% of tax undercharged or would have been undercharged and three years' imprisonment.	Penalty: additional tax not exceeding 300% of tax undercharged or would have been undercharged.
Appeal Process	Appeal to Court.	Appeal to Court.	Appeal to Court.	Appeal to Board of Review.

► **EXHIBIT 2.1 Comparison of tax offences**



The chief purpose for the penalty is 'commercial restitution' – that is to recover the loss due to the delay in the tax collection. Other purposes include deterring the public from tax offences and educating the offender to comply with the tax law in the future.

The penalty is imposed for tax offences without criminal intention of evading tax and for tax offences without sufficient evidence to take criminal prosecution.

Illustrative Example 7

In the opening case, for the first time during his career and as a result of his international hit song 'Love Someday', Chichi received an abundant income as set out in the opening case. 'Love Someday' was his duet with ShakiLO. Those details are as follows:

- HK\$1,500,000 salary income;
- HK\$1,000,000 royalty income from the Japanese music company A-Tunes;
- HK\$1,000,000 services income arising from a share of ticket sales from his world tour;
- HK\$1,000,000 image rights income from Guapo S.A.;
- HK\$1,000,000 royalty income from TeaRoom Ltd; and
- HK\$60,000 interest income from a certificate of deposit at Hong Kong Finance Bank.

However, Chichi's accountant Chen had no experience dealing with international tax matters. Consequently, Chen made several errors in characterising, sourcing and calculating Chichi's Hong Kong source income from his international recording, concert ticket, T-shirt and iced tea sales for tax purposes. As a result, Chen prepared and filed an erroneous tax return BIR 60 which only declared Chichi's Hong Kong source salary income of HK\$1,500,000. No profits tax returns were filed for Chichi's income of HK\$4,000,000 from his international recording, concert ticket, T-shirt and iced tea sales, which Chen wrongfully assumed was foreign-source income. The individual tax return was signed by taxpayer Andy Cheung also known as Chichi and filed with the IRD on a timely basis.

Ignorance of the law is not a reasonable excuse, even if the ignorance arises from a limited education, illiteracy or an inability to read English. However, Chen's compliance error may not subject Chichi to a penalty if the CIR or Board of Review decides that Chen's mistake (which was then accepted without comment by Chichi) constituted a reasonable excuse.

Key Learning Point

If a taxpayer does not comply with requirements under the IRO, the relevant punitive provisions empower the CIR to institute prosecution, to compound or to assess additional tax (which is a form of penalty) in respect of the offence.

2.5.2 Taxpayer's Obligations

Taxpayers are required to furnish returns and supporting information within a reasonable time stated in the notice. They are to inform IRD of their income, certain changes in their individual circumstances, keep proper business records supporting their tax returns and retain these records for a period of seven years. A taxpayer is subject to penalty for failure to:

- Notify the IRD if it is likely to be chargeable to profits tax (s.51(2) of the IRO);
- File an accurate tax return on time (s.51(1) of the IRO); and
- Keep sufficient business records to substantiate the tax return (s.51C of the IRO).

Illustrative Example 8

In the Opening Case, Lily commenced a tax audit with a site visit, a questionnaire and a letter requesting provision of supplementary analysis and information from Chichi. Next, Chichi should provide all tax records supporting his tax return to Lily, so she can conduct the audit.

A tax penalty may be imposed on Chichi if he fails to comply with the requirements of the IRO. Nevertheless, if Chichi has a reasonable excuse for his noncompliance, he will not be penalised. In some cases, even if the 'excuse' cannot exempt him totally from penalty, it can still reduce the penalty substantially.

The IRD says that the actual penalty to be imposed is the amount determined by the penalty table subject to a further adjustment that may be upward or downward according to the merits of each case. In practice, almost all the adjustments are downward when there are mitigating factors, such as:

- There was indication of misconception or confusion in completing the tax return by Chen who had poor knowledge of international tax law.
- Chichi has a previous good tax compliance record.
- Chichi has taken actions to ensure the omission is not repeated by hiring an international tax specialist with expertise in international tax law.

2.5.3 Employer's Obligations

Employers have the following obligations to the IRD:

- **Keep payroll records:** Employers must keep records of employees' personal particulars (name, address, identity card or passport number with country of issue, marital status); nature of employment (full time or part time); capacity in which employed; amount of cash remuneration; non-cash and fringe benefits; employer's and employee's contributions to the Mandatory Provident Fund (MPF) or its equivalent, employment contract and amendments to terms of employment. Even after the employment ends, the employer is required to keep business accounting records, including payroll records, for at least seven years (s.51C).



- **File tax returns:** Employers must file accurate and timely tax returns to the IRD within one month of receipt of the tax return. The employer must report all their employees on the employer's tax return (s.52(2)).
- **Report new employee:** The employer must notify the IRD within three months of employing a new person that is likely to be chargeable to salaries tax (s.52(4)).
- **Report termination of employee service (or death):** The employer should report to IRD one month before the date of termination of his employment (s.52(5)).
- **Report employee leaving Hong Kong for a substantial period of time:** Employer should report to IRD an employee leaving Hong Kong one month before the expected date of departure, except for regular departures for business purposes (s.52(6)).

2.5.4 Power of the IRD to Obtain Information from Taxpayers

The IRD has very wide information-gathering powers, as set forth in ss.51(3) to (4B). The IRD may ask the taxpayer, as well as other parties, to supply relevant information. The information required from the taxpayer may include books or documents in his custody, including statements of assets and liabilities (s.51A). The IRD may also issue search warrants (s.51B). Those information gathering powers may also be applied in complying with Hong Kong's international obligations under the various double taxation agreements and tax information exchange agreements to which it is party; therefore, the IRD may require information from a taxpayer that is not strictly speaking relevant to his liability to Hong Kong tax.

► Knowledge Check Questions

Question 6

Identify when a taxpayer will not be subject to a tax penalty.

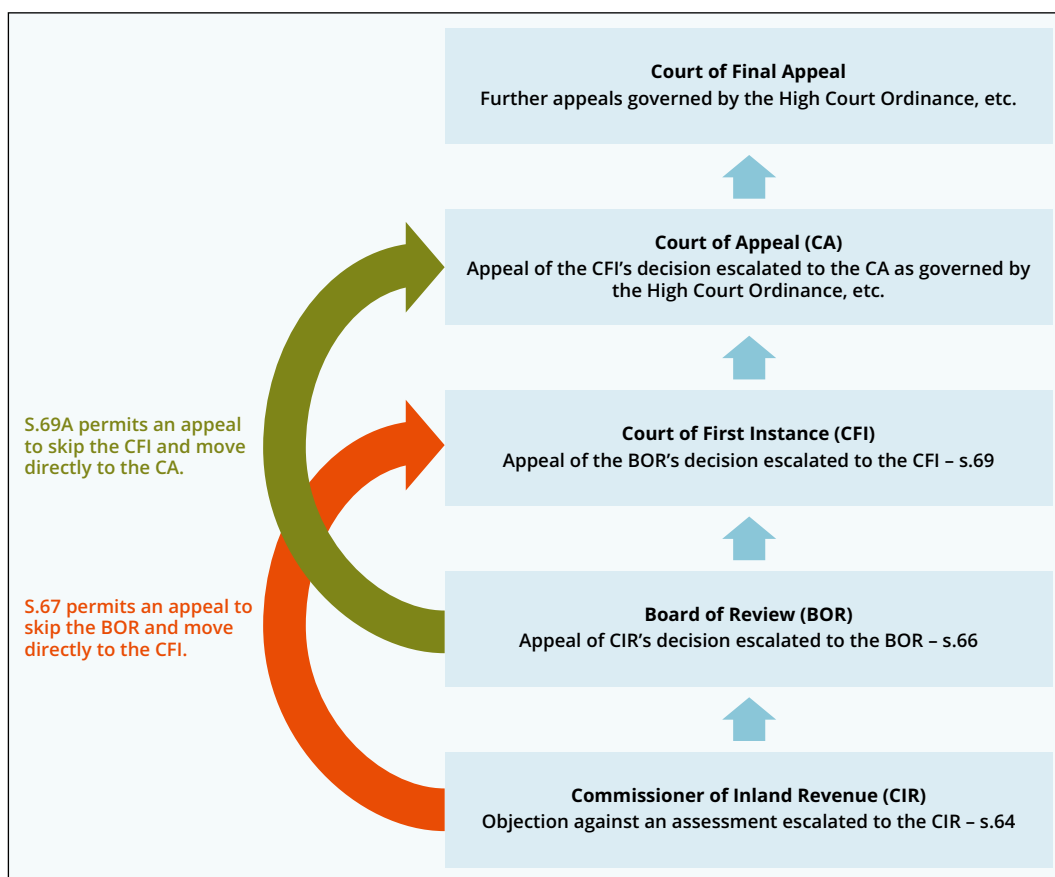
- A If the taxpayer fails to file an accurate tax return.
- B If the taxpayer conducts wilful tax evasion.
- C If the taxpayer files accurate and timely tax returns.
- D If the taxpayer fails to keep adequate business records.



2.6 TAX APPEAL PROCESS

The assessor is authorised to make an honest and reasonable assessment according to his or her judgment. On the other hand, the taxpayer, if aggrieved by the assessment, has the right to object and appeal.

If the CIR does not allow or cannot settle a taxpayer's objection, he will issue a determination. Then, if the taxpayer disagrees, he or she can lodge an appeal to the Board of Review. Exhibit 2.2 shows an overview of the entire objection and appeal process.



► **EXHIBIT 2.2** Flow of objection and appeal

2.6.1 Board of Review

A taxpayer must appeal in writing by setting out the grounds of appeal within one month after the CIR's determination and send a copy of such grounds to the CIR.

The Board of Review may extend the time limit for an appeal if the appellant was prevented by illness or absence from Hong Kong or other reasonable cause from giving the notice of appeal within the one-month period.

The Board is the primary fact-finding tribunal in Hong Kong. It will adjudicate appeals brought before it on questions of fact and law. Hearings are 'in camera', which means that they are not open to the public. Decisions of the Board published in law reports are redacted in such a way as to prevent the identification of the taxpayer. The appellant does not need to be represented by a professional: he may appear in person, or otherwise be represented by an accountant, solicitor, or barrister.

It should be noted that the Board may impose a charge not exceeding HK\$25,000 on the taxpayer if it thinks an appeal is without merit. A taxpayer disagreeing with the Board's decision can appeal to the Court of First Instance.

2.6.2 Appeals to Court of First Instance (CFI)

Following the Board of Review's decision, s.69 provides that a party dissatisfied with the decision may appeal to the CFI on a question of law provided that the application is made



within one month from the date of the Board's decision, or the date the decision was communicated to the appellant/CIR by notice in writing. Such appeals are subject to the standard rules of civil procedure in Hong Kong. Before an appeal can be brought, the appellant must apply for leave to appeal. Such leave will only be granted where the appellant has a reasonable prospect of success or when it is otherwise in the interests of justice for the appeal to be heard. Appeals may in general only be brought on points of law and the facts found by the Board will stand unless such facts were so wrong that no reasonable Board would have found them. A decision of the CFI may subsequently be appealed to the Court of Appeal.

2.6.3 Appeals Bypassing the Board

Upon lodging a notice of appeal to the Board of Review, a taxpayer or CIR may apply for the case to be transferred to CFI without being heard by the Board if both parties agree in writing within 21 days from date of appeal lodged to the Board of Review (s.67).

2.6.4 Appeals Bypassing the Court of First Instance

S.69A provides that a taxpayer may leapfrog an appeal from the Board to the Court of Appeal with permission from the court when the amount of tax in dispute is significant; or the matter is of public importance; or the case is extraordinarily difficult or any other good reason.

Exhibit 2.3 shows a comparison of the different avenues of appeals.

	Board of Review	Court of First Instance	Court of Appeal	Court of Final Appeal
Heard by	A panel of three: one chairman and two members	1 Judge	3 Judges	5 Judges
Decision	Matters of fact and law		On points of law	
Confidentiality of hearing	Heard in camera		Open to public Identity of taxpayer disclosed	
Cost	Minimal to substantial		Substantial	
Representation	By any person		By barrister or advocate	

► EXHIBIT 2.3 Comparison of appeals

Illustrative Example 9

In the Opening Case, after the CIR refused to allow Chichi's objection, Chichi lodged an appeal in writing to the clerk of the Board of Review, together with copies of:

- The Notice of Assessment;
- The Commissioner's determination;
- The taxpayer's representations; and
- A statement of the grounds of appeal.

Illustrative Example 9 (continued)

Chichi instructed Dobermann & Rottweiler, a firm of solicitors specialised in litigation, who in turn instructed Quentin Chung, SC, a barrister, to represent him before the Board. Chichi could, however, have appointed any other person to represent him. The Board heard evidence from Chichi and Chen, but found that Chen's ignorance of the law was not a reasonable excuse. Accordingly, they dismissed Chichi's appeal. Chichi instructed Quentin to prepare an opinion as to the merits of an appeal to the CFI or the Court of Appeal. It was Quentin's view that because the Board had found as a fact that Chen ought to have known that the return was materially incorrect and that this fact was fundamental in the decision handed down, bringing an appeal would be fruitless because it is in general impossible to appeal a decision of the Board on a point of fact.

► Knowledge Check Questions

Question 7

Identify which of the following document(s) a taxpayer will need to submit to lodge an appeal in writing to the clerk of the Board of Review.

- A** The Notice of Assessment only.
- B** The Commissioner's determination only.
- C** The taxpayer's representations including a statement of the grounds of appeal only.
- D** All of the above.

2.7 PAYMENT OF TAXES

Taxpayers can pay tax by cash or by cheque to the Collection Offices of the IRD or Post Offices on or before the tax due date. To assist the taxpayers in saving sufficient money for payment of tax, the IRD often encourages them to use Tax Reserve Certificates (TRC) for payment of tax. In case of delay or late payment not more than six months, a 5% surcharge is added to the total tax in default (including first and second instalments for salaries tax cases). In case of delay or late in payment for over six months, 10% surcharge is to be added to total tax in default (including the 5% surcharge imposed earlier). CIR may accept payment by instalments but surcharge may be added.

Salaries tax is usually payable in two instalments. The dates of payment of salary tax, which generally fall between January and April of the year following the year in which the tax return is issued, are determined by the CIR and specified in an assessment notice. A system of provisional tax payments applies whereby estimated tax payments are made during the current year. The provisional tax payable is normally estimated based on the previous year's

tax liability. The provisional tax already paid is credited against the final tax assessed for a year of assessment, which is determined after filing of the return.

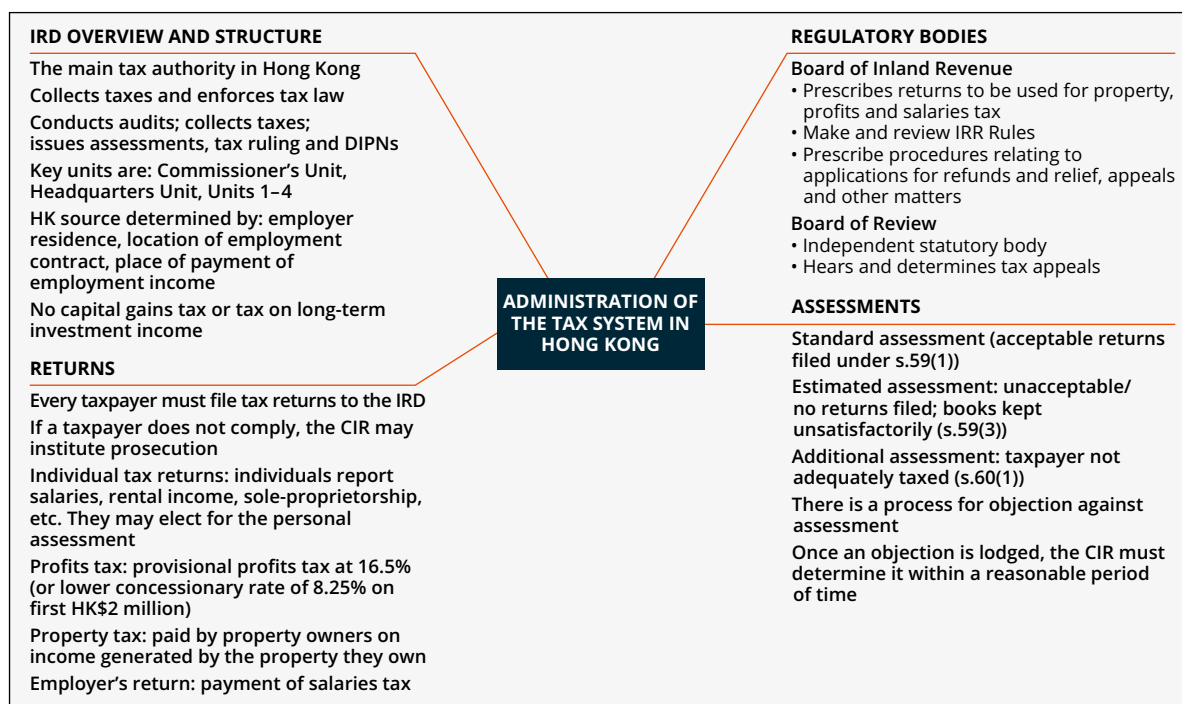
The IRD may take legal action against a tax defaulter (a person who fails to pay tax). In addition to the tax and the surcharge, the defaulter is also liable to pay a court fee of HK\$630, a cost of writ of HK\$300 and interest on the judgment sum from commencement of proceedings to full payment. The IRD may also issue recovery notices to third parties who owe money to the defaulter, requiring them to pay the outstanding tax. Such third parties include the defaulter's employers, banks or debtors. In addition, the IRD may also apply to the court for a Departure Prevention Direction to stop the defaulter from leaving Hong Kong.



SUMMARY

- The IRD is the main tax authority in Hong Kong that collects taxes and enforces tax laws, conducts audits and issues tax rulings and DIPNs.
- The Board of Review is an independent statutory body to hear and determine tax appeals.
- It is the primary duty of every taxpayer under the law to file timely and accurate tax returns to the IRD. Both the employer and employee have tax return filing obligations.
- Normally, the IRD will issue a notice of assessment after the taxpayer has filed a tax return with the tax authority, and the tax return has been examined by the IRD. But the IRD can issue an estimated assessment even if the return has not yet been filed, if it is expedient to do so, for example if the taxpayer is about to leave Hong Kong permanently.
- If a taxpayer does not comply with requirements under the IRO, the relevant sanctioning provisions empower the CIR to institute prosecution, to compound or to assess additional tax (which is a form of penalty) in respect of the offence.
- A taxpayer who disagrees with an assessment must lodge an objection in a timely fashion.
- A taxpayer can apply to correct an assessment in a timely fashion if they can prove that the tax charged for that year of assessment is excessive by reason of an error or omission, even if the assessment is final and conclusive.
- The CIR will determine the objection – he may confirm, reduce, increase or annul the assessment. If the taxpayer disagrees with the determination, he or she can appeal to the Board of Review.
- If the taxpayer or the IRD disagrees with the Board's decision, either may appeal to a higher court.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. It is the duty of the IRD to conduct tax audits.

Answer B is incorrect. It is the IRD's duty to collect taxes.

Answer C is incorrect. The Commissioner is the head of the IRD. The Board of Review is headed by its Chairman.

Answer D is correct. The Board of Review is an independent statutory body to hear and determine tax appeals.

Question 2

Answer A is incorrect. It is a function of the IRD to assess and collect taxes.

Answer B is correct. To handle appeals before passing the case to courts is NOT a function of the IRD, but of the Board of Review.

Answer C is incorrect. It is a function of the IRD to issue DIPNs to clarify its practices and views on administering the tax law.

Answer D is incorrect. It is a function of the IRD to issue advance ruling on an application made by the taxpayer, to give certainty to the taxpayer before the relevant transaction/ arrangement is implemented.

Question 3

Answer A is incorrect. Both the employee and employer have to file tax returns.

Answer B is incorrect. Both the employee and employer have to file tax returns.

Answer C is correct. Both the employer and the employee have tax compliance requirements.

Answer D is incorrect. Only property owners have the tax compliance obligation, but not the tenant.

Question 4

Answer A is incorrect. The IRD adopts the 'assess first, audit later' approach.

Answer B is incorrect. The IRD can raise additional assessments within 10 years ONLY for cases of fraud and wilful tax evasion. The normal time limit is six years.

Answer C is incorrect. The IRD can issue an estimated assessment in the absence of a return under s.59(3).

Answer D is correct. Normally salaries tax payable is split into two instalments, hence there are two tax payment due dates.

Question 5

Answer A is incorrect. The error and omission claim must be lodged within six years after the relevant year of assessment or six months after the date of the relevant assessment, whichever is later.

Answer B is incorrect. Objection must be lodged within one month after the date of issue of the relevant assessment.

Answer C is incorrect. Unlike with an objection, the Commissioner has no discretion to allow any late holdover claim.

Answer D is correct. The Commissioner may hold over tax in dispute upon receiving an objection from the taxpayer either conditionally or unconditionally.

Question 6

Answer A is incorrect. A taxpayer who without reasonable excuse files an inaccurate return is subject to penalty (s.80(1)).

Answer B is incorrect. A taxpayer who deliberately, negligently or by illegal means makes a false statement or entry in a tax return is subject to penalty (s.80(1AB) and s.82(1)). Where blatant tax evasion is involved, the IRD may take criminal prosecution. If the prosecution is convicted, the sentence will include imprisonment.

Answer C is correct. A taxpayer who files accurate and timely tax returns will not be subject to a tax penalty.

Answer D is incorrect. A taxpayer who without reasonable excuse fails to keep records of business income and expenditure for a period not less than seven years is subject to penalty (s.80(1A)).

**Question 7**

Answer A is incorrect. All documents from A to C are required. Just the notice of assessment is not sufficient.

Answer B is incorrect. All documents from A to C are required. Just the Commissioner's determination is not sufficient.

Answer C is incorrect. All documents from A to C are required. Just the taxpayer's representations including a statement of the ground of appeal only is not sufficient.

Answer D is correct. All documents from A to C are needed to lodge an appeal.

EXAM PRACTICE**QUESTION 1**

Identify what tasks Unit 4 of the IRD is responsible for.

- A. Tax audits.
- B. Taxing worldwide income based on residence.
- C. Determining low tax rates.
- D. Processing tax returns.

QUESTION 2

Identify which of the following tasks the CIR and deputy CIRs have the power to undertake.

- A. Audit profits tax returns only.
- B. Assess salaries tax only.
- C. Summon a taxpayer to attend a tax examination (a form of tax audit) and answer questions only.
- D. All of the above.

QUESTION 3

Identify which of the following tasks the IRD unit 2 assessors have the power to undertake.

- A. Assess and collect stamp duty.
- B. Review profits tax liability for corporations and partnerships.
- C. Conduct salaries tax audits.
- D. Process salaries tax, profits tax – sole-proprietorships, property tax – sole owners and personal assessment.

QUESTION 4

Identify which of the following is NOT a responsibility of the IRD.

- A. Collecting taxes
- B. Hearing tax appeal cases
- C. Enforcing tax laws
- D. Conducting audits

QUESTION 5

Identify the function of the Board of Review.

- A.** Administering tax laws.
- B.** Conducting tax audits.
- C.** Processing and reviewing indirect tax – stamp duty.
- D.** Adjudicating tax appeals cases.

QUESTION 6

In order to file a valid objection against the notice of assessment under s.64(1), identify which of the following conditions must be satisfied.

- A.** The objection should be made in writing, within a month after the date of the assessment.
- B.** The objection should be made in writing, within ten years after the date of the assessment where the discrepancies are due to fraud or wilful evasion.
- C.** The objection can be lodged within six years after the end of the relevant year of assessment or six months after the issue of the assessment, whichever is the later.
- D.** None of the above.

QUESTION 7

Define when an assessment is NOT final and conclusive by choosing the applicable case.

- A.** No valid objection or appeal has been lodged within the time limit.
- B.** The objection has been withdrawn or dismissed by the Board of Review or a court (and no further appeal is lodged).
- C.** A revised assessment has been agreed upon.
- D.** An assessment is determined by the Board of Review which refers the case to court.

QUESTION 8

Suppose an assessment is made by an assessor and honestly based on an accurate and complete return filed by a taxpayer. If the taxpayer disagrees with the assessment because a certain deduction is disallowed, identify which of the following actions the taxpayer could take.

- A.** Tax holdover claim
- B.** Error or omission claim
- C.** Appeal to Board of Review
- D.** Objection

QUESTION 9

In order to substantiate a taxpayer's objection, identify who must adduce evidence to prove that the assessment is either incorrect or excessive.

- A.** Taxpayer
- B.** IRD Unit 4 assessor
- C.** CIR
- D.** Employer of the taxpayer

**QUESTION 10**

Identify which of the following makes a unilateral determination should an objection not be agreed upon.

- A. IRD
- B. Board of Review
- C. Court of First Instance
- D. None of the above

QUESTION 11

Sunflower Ltd ('Sunflower') is a retailer and distributor of pet food. Sunflower is a limited company that is incorporated in Mainland China, where it also conducts its business. It has not conducted business in Hong Kong, but its management is considering establishing a company in Hong Kong to start distributing and selling its pet food there. If it decides to set up a company in Hong Kong, Sunflower would hire local, Hong Kong residents as employees.

Required

- (a) Explain what obligations Sunflower would have as an employer in Hong Kong.
- (b) Describe Sunflower's profits-tax obligations should it start doing business in Hong Kong.

QUESTION 12

Oswald Harrington is a U.S. resident employed by Silver State Inc ('SSI'), a U.S. based company. On 1 April 2018, Oswald assumed the role of regional marketing manager to oversee the operation of SSI and its Hong Kong subsidiary in the Asia-Pacific region. Oswald travelled to Hong Kong and performed duties there for 120 days for the year ended 31 March 2019.

SSI's Hong Kong subsidiary, Platinum Lotus, has filed an employer's return. Platinum Lotus's tax consultant has advised that only a portion of Oswald's remuneration should be chargeable to salaries tax in Hong Kong because Oswald's employment is considered offshore employment. However, Platinum Lotus ignored this advice and reported as taxable the total amount of Oswald's remuneration, which it paid for on behalf of SSI for the year of assessment 2011/2019.

Oswald has forgotten to file his own salaries tax return for the year 2018/19 due to his busy schedule.

Failing to receive any tax return from Oswald, the assessor raised an estimated salaries tax assessment on Barry in accordance with the employer's return on 14 September 2019.

Required

You are the tax manager of Superb Consultant Ltd Barry engaged your firm as his tax representative and decided to lodge an objection against the 2018/19 estimated salaries tax assessment. Prepare a notice of objection for Barry (assuming today is 21 September 2019).

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is correct. Unit 4 is responsible for tax audits and investigations.

Answer B is incorrect. Hong Kong does not charge tax on residence basis.

Answer C is incorrect. Unit 4 does not have the authority to determine low tax rates.

Answer D is incorrect. Units 1 and 2, not Unit 4, are responsible for processing tax returns.

QUESTION 2

Answer A is incorrect. The CIR's and deputy CIRs' power is not just to audit profits tax returns.

Answer B is incorrect. The CIR's and deputy CIRs' power is not just to assess salaries tax.

Answer C is incorrect. The CIR's and deputy CIRs' power is not just to summon a taxpayer to attend a tax examination and answer questions.

Answer D is correct. The CIR and deputy CIRs have the power to audit profits tax returns, to assess salaries tax and to summon a taxpayer to attend a tax examination and answer questions.

QUESTION 3

Answer A is incorrect. It is Unit 3's duty to process stamp duty cases.

Answer B is incorrect. It is Unit 1's duty to review profits tax for corporations and partnerships.

Answer C is incorrect. It is Unit 4's duty to conduct tax audits.

Answer D is correct. Unit 2 is responsible for processing salaries tax, profits tax – sole-proprietorships, property tax – sole owners and personal assessment.

QUESTION 4

Answer A is incorrect. IRD Unit 3 is responsible for collecting tax.

Answer B is correct. The Board of Review, not IRD, is responsible for hearing tax appeal cases.

Answer C is incorrect. The whole IRD is responsible for enforcing tax laws.

Answer D is incorrect. IRD Unit 4 is responsible for tax audits.

QUESTION 5

Answer A is incorrect. IRD, not the Board of Review, administers tax laws.

Answer B is incorrect. IRD Unit 4 conducts tax audits.

Answer C is incorrect. IRD Unit 3 processes and reviews indirect tax – stamp duty.

Answer D is correct. The Board of Review adjudicates tax appeals.

QUESTION 6

Answer A is correct. A notice of objection must be received by the Commissioner within one month after the date of the notice of assessment.

Answer B is incorrect. The objection period is one month after issue of the assessment. Late objection may be accepted if the IRD accepts that the taxpayer is prevented from lodging objection in time due to absence from Hong Kong, sickness or other reasonable excuses.

Answer C is incorrect. The objection must be lodged within one month after issue of the assessment. An 'error or omission' claim under s.70A can be lodged within six years after



the end of the relevant year of assessment or six months after the issue of the assessment, whichever is the later.

Answer D is incorrect. A notice of objection must be received by the Commissioner within one month after the date of the notice of assessment.

QUESTION 7

Answer A is incorrect. Under s.70, if no valid objection or appeal is lodged within the specified time limit, the assessment will become final and conclusive.

Answer B is incorrect. Under s.70, an assessment is final and conclusive if the objection has been withdrawn or dismissed by the Board of Review or a court (and no further appeal is lodged).

Answer C is incorrect. Under s.70, a revised assessment will become final and conclusive if it has been agreed upon by both the taxpayer and the IRD.

Answer D is correct. An assessment is not final and conclusive if determined by the Board of Review which refers the case to court.

QUESTION 8

Answer A is incorrect. A holdover claim is normally lodged based on certain specified grounds when the provisional tax payment demanded is excessive. A holdover claim is not lodged on an assessment. Upon receiving an objection, the IRD may hold over tax conditionally or unconditionally. However, just lodging a holdover claim cannot directly lead to revising the assessment. Hence, Answer D is better than Answer A.

Answer B is incorrect. As the assessment was raised honestly based on an accurate and complete return, there should be no 'error or omission' which warrants the application of s.70A.

Answer C is incorrect. An appeal to the Board of Review applies to the case where the taxpayer disagrees with the CIR's determination.

Answer D is correct. Under s.64(1) if a taxpayer disagrees with an assessment, he should lodge an objection in writing within one month after issue of the assessment.

QUESTION 9

Answer A is correct. The onus of proof is on the taxpayer, unless it is a prosecution case for penalty.

Answer B is incorrect. The IRD assessor has no responsibility to provide evidence except for prosecution cases.

Answer C is incorrect. The CIR has no responsibility to provide evidence except for prosecution cases.

Answer D is incorrect. The IRD has the power to require the employer to provide information in assessing the liability of the employee. But the onus of proof is on the taxpayer not his or her employer.

QUESTION 10

Answer A is correct. If the taxpayer fails to agree with the assessor, the CIR or deputy CIR will issue a determination on the objection case.

Answer B is incorrect. If the taxpayer disagrees with the IRD's determination, he should lodge an appeal to the Board of Review.

Answer C is incorrect. If the taxpayer disagrees with the Board of Review's decision, he should lodge an appeal to the Court of First Instance.

Answer D is not correct. If the taxpayer fails to agree with the assessor, the CIR or deputy CIR will issue a determination on the objection case.

QUESTION 11

- (a) As an employer in Hong Kong, Sunflower would be required to do the following:
- Furnish an employer's return within the time period requested in the assessor's notice (s.52(2)).
 - Inform the IRD, within three months, any time an individual begins employment with Sunflower in Hong Kong (s.52(4)).
 - Inform the IRD at least one month before ceasing any individual's employment with Sunflower (s.52(5)).
 - Inform the IRD, one month before the expected date of departure, anytime an employee will be leaving Hong Kong for more than one month (s.52(6)).
 - Withhold for a period of one month payments to any employee who departs under s.52(6) if the individual's employment in Hong Kong has ended or is about to end (s.52(7)).
- (b) Once it established a business in Hong Kong, Sunflower would be required to do the following, as related to profits tax:
- Provide a profits-tax return within a reasonable time (as determined by the assessor) or within the time limit stipulated in the tax return (s.51(1)).
 - Inform the IRD in writing on the chargeability of profits tax no later than four months after the end of the basis period for that year of assessment (s.51(2)).
 - Upon the IRD's request, provide additional tax-return information (s.51(3)) and any information that affects the tax liability of any taxpayer (s.51(4)).
 - Inform the IRD if it ceases to carry on any trade, profession or business in Hong Kong within one month of such cessation (s.51(6)).
 - Inform the IRD of any change of address for correspondence within one month of the change (s.51(8)).
 - Maintain records from which the company's assessable profits can be determined. Such records must be held for no less than seven years after the end of the relevant transaction (s.51C).

QUESTION 12

The Commissioner of Inland Revenue

G. P. O. Box 132 Hong Kong

(Our Reference)

Dear Sir,

Mr Oswald Harrington (IRD File No.)

Objection: Year of Assessment 2018/19

(Draft)

On behalf of our above-named client, we hereby object to the 2018/19 salaries tax assessment under Charge No: X-XXXXXXX-XX-X dated 14 September 2019 in accordance with s.64(1) of the IRO.

The grounds of objection are as follows:

1. The assessment is excessive.
2. Our client's employment has a source outside Hong Kong and his income from employment should be assessed to salaries tax on a time apportionment basis.

As the assessment was raised in the absence of our client's tax return, to validate the objection, we enclose herewith his duly completed tax return for the year of assessment 2018/19 for your attention.

In the meantime, before settlement of the objection, we would apply holdover of tax in dispute in respect of the portion of income not chargeable to salaries tax (based on the computation attached).

We should be grateful if you would agree to our objection and revise the assessment accordingly.

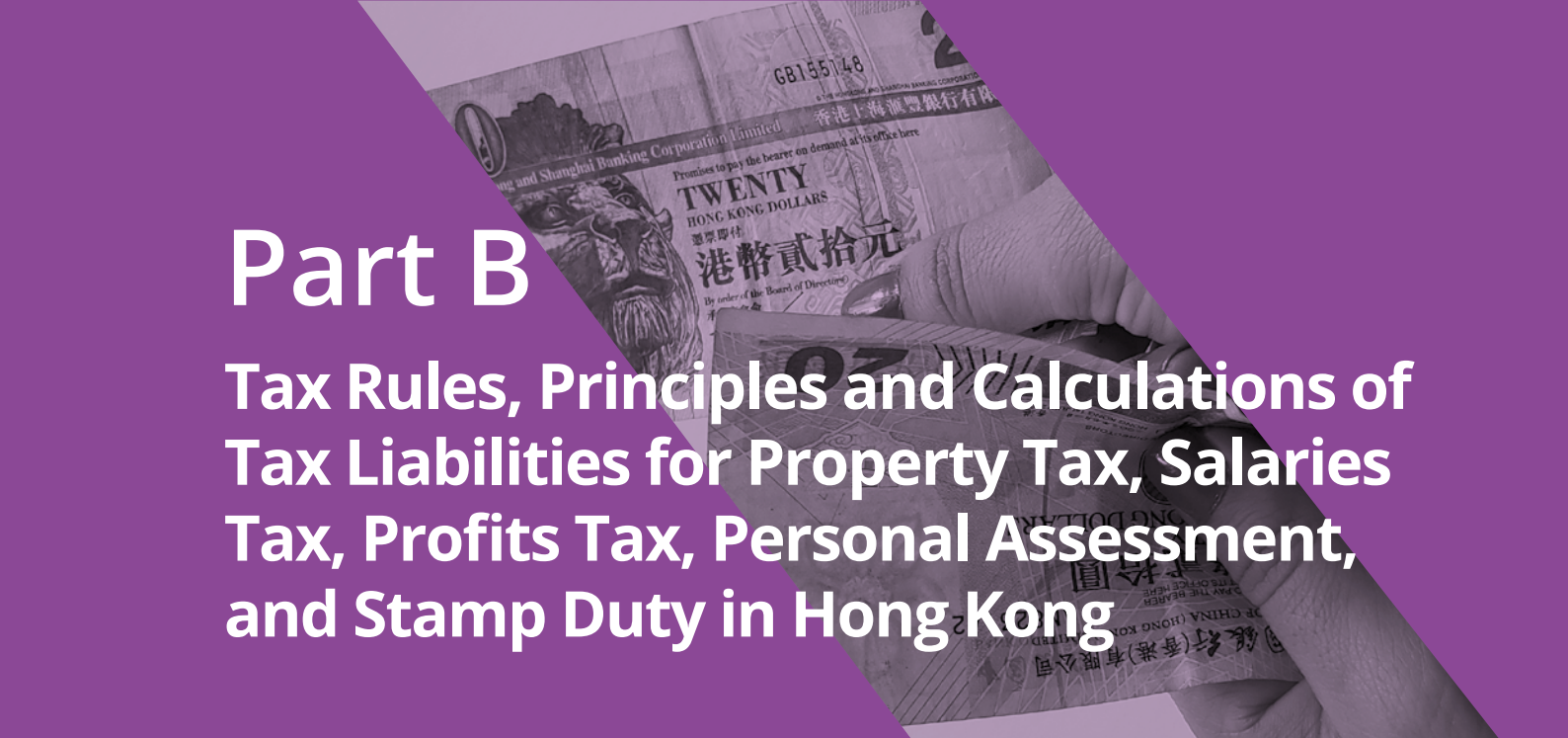
Yours faithfully,

For and on behalf of Superb Consultant Ltd

XXX

Manager – Tax Services

c.c. Mr Oswald Harrington



Part B

Tax Rules, Principles and Calculations of Tax Liabilities for Property Tax, Salaries Tax, Profits Tax, Personal Assessment, and Stamp Duty in Hong Kong

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- Chapter 3** Profits Tax
 - Chapter 4** Salaries Tax
 - Chapter 5** Property Tax
 - Chapter 6** Personal Assessment
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3

Profits Tax



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LO2.35 Ascertainment of profits tax liability

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OPENING CASE

GSHM

Mr. Taiping King Tsang ('Mr. Tsang') is an entrepreneur who has incorporated a company in Hong Kong, GSHM Ltd (GSHM). The main line of business of GSHM is retailing high street fashion. GSHM rents office premises both in Kowloon and Hong Kong to sell its own- brand of mid-market clothing, aimed principally at middle-class women in the 25 to 45 year-old age bracket. GSHM is supplied by third-party Chinese manufacturers, which produce textiles in China, where labour costs are much lower, and export them to Hong Kong. Because costs have been increasing in China too, GSHM has recently begun outsourcing production to Vietnam. Mr. Tsang personally owns all its brands and designs, and cultivates a strong brand identity, seeking to compete in the same market as H&M and Uniqlo. Mr. Tsang wishes to achieve greater tax efficiency through corporate structuring and accordingly decides to transfer all the intellectual property rights he currently holds to an offshore company, Red Lantern Ltd ('Red Lantern'), incorporated in the Cayman Islands. Red Lantern licences the intellectual property to GSHM in exchange for an annual royalty. You will be asked to advise on the profits tax implications of this business model, with a view to ensuring that Mr. Tsang, GSHM and Red Lantern are each aware of their tax liabilities, if any, in Hong Kong. 

 OVERVIEW

Unlike many other jurisdictions, Hong Kong does not have a general income tax on individuals or on corporations. The principal tax on business profits is called 'profits tax', which is charged on assessable profits. Profits are assessable to profits tax if, and to the extent that, they are the profits of a trade, profession or business carried on in Hong Kong and they are Hong Kong source. It is essential to understand this is a *three-limbed test*. In order for a charge to profits tax to arise the following conditions must be met:

1. There must be a person carrying on a trade, profession or business in Hong Kong; and
2. There must be Hong Kong source profits (that is, profits that arise in or derive from Hong Kong); and
3. Those Hong Kong source profits must be the profits of the specific trade or business carried on by the taxpayer in Hong Kong.

Simply having either a trade, profession or business in Hong Kong or deriving Hong Kong source profits is insufficient. All three limbs must be met for a charge to tax to arise.

Although there are some exceptions, which we shall consider in detail later in this chapter, generally speaking, profits sourced from outside of Hong Kong are not taxable in Hong Kong. As you by now know, Hong Kong has a territorial tax regime: the default position is that only profits that arise in, or are derived from, Hong Kong are chargeable to tax. Although on its face a simple and intuitive regime, the profits tax code can give rise to questions both for enterprises and for practitioners. For example, when is a profit sourced in Hong Kong? Under which circumstances, if at all, can a profit be said to be sourced in Hong Kong and in another jurisdiction? What about passive income, such as dividends, interest, and royalties?

In this chapter, you will be introduced to the charge to profits tax, the doctrine of source and some of the principal exceptions to the general rule that only Hong Kong source profits are chargeable to tax. Before you proceed, however, take the time to read s.14(1) of the Inland Revenue Ordinance (IRO) several times. This is by far the most important section of the IRO for tax practitioners, and you should be able to recall its exact phrasing from memory.

 3.1 SCOPE OF PROFITS TAX CHARGE

Profits tax is charged on the Hong Kong source profits of a person carrying on a trade, profession or business in Hong Kong. Note the use of the term 'profits'. Profits are different

from income or turnover. A **profit** is a notional unit of account denoting some economic gain. Very generally, a profit is computed by subtracting business expenditure from business income. The scope of the charge is, as we have indicated, territorial: a company may have extensive business income from a number of sources, but will only be charged to profits tax on its Hong Kong source profits, and not its profits sourced offshore. The concept of tax residence is therefore of limited importance as regards domestic Hong Kong taxation.

Profits tax is a charge to tax on assessable profits, as defined in the IRO. This is distinct from any accounting notion of profits, albeit in practice the two concepts often overlap. The question of what is a taxable profit is always a question of law, as distinct from a question of fact or accounting. In determining whether a profit is taxable, reference must be made to the terms of the IRO and the case law on point, and not to GAAP or any other applicable accounting standard.

Note that gains from the sale of capital assets are expressly excluded from being chargeable to profits tax in s.14(1) of the IRO. This is significant when we come to discuss the distinction between trading and investment income below. The distinction between revenue and capital is one of the oldest questions in tax law, and we shall consider it in greater detail when we discuss the deductions regime in ss.16 and 17 of the IRO.

3.1.1 Chargeable Persons and Tax Rates

S.14 of the IRO provides that profits tax is chargeable on the Hong Kong source profits of a person carrying on a trade, profession or business in Hong Kong. The key term here is 'person'. S.2 of the IRO defines a **person** as including a corporation, partnership, trustee or body of persons. That is a very broad definition. Essentially, any person or entity capable of carrying on an economic activity will be treated as a person, albeit it may not be a separate legal person at law, taxable under the IRO.

The rates of profits tax are set out in Schedules 1, 8, 8A and 8B of the IRO. Corporations (that is, bodies corporate) are charged at a standard rate of 16.5% of assessable profits, though, under certain circumstances, the first HK\$2 million of assessable profits are charged at half the corporate rate, i.e. 8.25% (effective from the year of assessment 2018/19 onwards). All other taxable persons are charged to profits tax at the standard rate of 15%, or, where the two-tiered profits tax regime applies, at half the standard rate of 7.5% on the first HK\$2 million of assessable profits. The two-tiered profits tax rate is available subject to certain conditions, the most important of which is that in a given group of connected entities only one such entity can avail itself of the two-tiered profits tax regime (Exhibit 3.1).

Assessable profits	Corporations	Non-corporations
First HK\$2 million	8.25%	7.5%
Exceeding HK\$2 million	16.5%	15%

► **EXHIBIT 3.1** The two-tiered tax basis

► Knowledge Check Questions

Question 1

Identify which of the following statements is true.

- A** Profits tax is charged on the income of companies carrying on a trade or business in Hong Kong.
- B** In order to determine whether a taxpayer carries on a trade, the activities and operations of that taxpayer have to be assessed against each of the badges of trade.
- C** Assessable profits are profits generated from a trade, profession or business carried on in Hong Kong.
- D** Whether a person carries on a trade or business is a pure matter of fact.

➤ 3.2 TRADE, PROFESSION OR BUSINESS

This section deals with the first limb of the s.14 charge to profits tax. First, you must consider whether a person carries on a trade, profession or business *in* Hong Kong. If no trade, profession or business is carried on in Hong Kong, the person in question is simply not chargeable to profits tax.

3.2.1 Trade

Trade is defined in s.2(1) as including every trade and manufacture and every adventure and concern in the nature of trade. This is a circular definition, so one looks to the case law for clarification. A trade is an organised activity that is carried on with a view to profit. This presupposes that there must exist a profit-generating activity that is carried on with some degree of recurrence and continuity (see for example *Kowloon Stock Exchange Ltd v CIR* (1984) STC 602 and *Simmons v IRC* (1980) 2 All ER 798). There are certain elements one would normally expect to find in trading activities, because a trade should be distinguished from an investment. The gains from an investment are not chargeable to profits tax. In most cases, trading profits arise from the sale of assets held as trading stock (as opposed to capital assets) or from the supply of services. In deciding whether a gain derived from the sale of an asset is a trading or capital sale, the landmark decision in *Marson v Morton* (1986) 1 WLR 1343 found the following 'badges of trade' to be of particular relevance:

- Profit seeking motive: Generally speaking, trading is carried on commercially and with a view to profit. This may be contrasted with activities that are carried on for pleasure or on a charitable basis, where no subjective profit-seeking motive is identifiable.

Illustrative Example 1

Mr. Montgomery Withnail QC is an amateur arts collector. He enjoys hanging antique Chinese scrolls in his apartment on the Peak. He bought one scroll for HK\$2 million. A friend of his subsequently made an offer to buy the scroll for HK\$3 million. Mr. Withnail initially refused, but on reconsideration agreed to part with the scroll for the offered sum. Under those circumstances, the gain he derived is likely not a trading profit. Mr. Withnail simply does not habitually trade in antiques, but accepted a generous offer on an exceptional basis.

- The subject matter of the transaction: A person acquiring trading stock and realising this daily at a retail outlet will likely be trading; however, a person buying and disposing of a building will be less likely to be regarded as trading unless he uses the building as his stock in trade (*Marson v Morton* (1986) STC 463). It seems that the subjective intention of a buyer of landed property at the time of its acquisition is especially important in determining whether it is acquired as a trading asset. This can also be triggered by one of the following:
 - the nature of the asset (e.g., whether it is used for personal enjoyment, income yielding, trading, etc.);
 - the quantity of such assets; and
 - the purpose to make inference on the trading intention.

The intention to elect to begin trading can also cause the asset to cease being a capital asset and become stock-in-trade (*Simmons v IRC* (1980) 1 WLR 1196). Conversely, in *Lee Yee Shing Jacky & Anor v CIR* (2008) 2 HKC 436, the Court of Final Appeal noted that in practice it would be rare for persons, especially individuals, to be found to be trading in shares unless they were professional securities dealers. Otherwise, transactions in shares are to be regarded as investments or speculation, and not trading.

Illustrative Example 2

Mr. Montgomery Withnail QC carries on the profession of being a barrister. He has a holiday home in Sai Kung, which he decides to sell because it is too inconvenient to travel there, and he now prefers to vacation in Thailand. He accordingly disposes of the home at a significant profit. That is unlikely to be a trading transaction. The house is not trading stock in Mr. Withnail's hands. Conversely, if he sold the house to a professional property trader, who subsequently re-sold it to a developer, that would more likely be a trading transaction, since immovable property is the stock-in-trade of a property trader.

- The number of transactions carried out: Repeated or systematic transactions are more likely to indicate trading activity than isolated or incidental transactions, though in certain cases an isolated transaction can nonetheless be a trading transaction (*Pickford v Quirke* 13 TC 251). Repeated transactions do not necessarily have to be trading transactions, however. Systematic and habitual investments, such as those in property, may be turned over quickly and yet not be regarded as trading disposals (*Rangatira Ltd v CIR* (1997) STC 47). A number of similar transactions carried out by the same person would indicate a systematic trade (*CIR v Fraser* 24 TC 498).

- The length of the period of ownership: Assets turned over very quickly will likely be regarded as having been disposed of in a trading transaction, whereas assets held for long periods of time are less likely to be held as trading stock.
- Supplementary work on or in connection with the property sold: The more value added by the person selling an asset (or providing a service) the greater the likelihood that the person will be found to be trading in that regard. This includes making a good or service more marketable than it would otherwise be (*Cape Brandy Syndicate v CIR* 12 TC 358).

Illustrative Example 3

Mr. Germano Lugaresi is an Italian artisan who is a resident in Hong Kong. He acquires leather from local suppliers from which he crafts designer bags. He sells the bags from his boutique in Sham Shui Po. Those sales are likely to be sales made in the course of trade. That is because Mr. Lugaresi has acquired a raw material and subjected it to a process that has made it more marketable – that is, he turned raw leather into a bag.

- Circumstances responsible for realisation: Situation may arise such that an asset is sold by the taxpayer due to unexpected factor or emergency. If it is proved to the satisfaction that the taxpayer has no choice but to realise the asset, it will tend to negate the idea that the asset was purchased for trading initially. For example in D10/88, a taxpayer bought an uncompleted building but subsequently realised that the sea view would be blocked, which defeated his purpose of buying that flat and hence subsequently sold it. It was held that the taxpayer was not carrying on a trade.
- The manner in which the sale of the asset was effected: If a transaction has the commercial characteristics one would normally associate with a trading activity, it may thereby be regarded as a trading disposal (*CIR v Livingston & Ors* 11 TC 538). By contrast there are situations where the disposal of the asset is opportunistic or outside the ordinary course of trade, where the transaction in question is unlikely to be regarded as a trading transaction (*Hudson's Bay Co v Stevens* (1909) 5 TC 424).
- The method by which the asset was acquired: Where an asset is inherited or gifted, that will likely be a prima facie indication of it not being a business asset. The same logic would apply to an asset initially acquired for personal purposes, though that would not prevent the taxpayer from changing his mind on the mode of utilisation of the asset (*Taylor v Good* (1974) STC 148). Conversely, an asset acquired on a market could indicate that it is held as trading stock.
- The source of financing: Where loan finance is contracted to purchase the asset, this would suggest that it must at some stage be resold for the loan to be repaid (*Wisdom v Chamberlain* (1969) 1 WLR 275), though obviously this does not necessarily apply in the context of mortgage finance for dwellings.

Illustrative Example 4

Billion Fortune Ltd is a company incorporated in Hong Kong that sells jewellery and other high-value items. In order to fund the acquisition of shop units in various department stores, it contracts frequent medium-term loans on the basis of a facility

Illustrative Example 4 (continued)

agreement it has contracted with Dragon Bank. The shop units are either used to carry on the trade of Billion Fortune Ltd or otherwise sold to other undertakings when the right business opportunity arises. Taken in the round, it seems likely that Billion Fortune Ltd carries on two trades: that of selling jewellery and that of selling shop unit space. Such sales are likely to be made in the course of trade because it is contracting loan finance on apparently commercial terms. The pattern of loan finance and the manner in which it acquires certain units with the apparent intention of utilising some itself and selling others – that is, on the basis of relatively short-term-loans (property is usually acquired through long-term financing, e.g., mortgages) with a view to realise these quickly so as to be able to repay the loan principal – all suggest a systematic pattern of activity that can readily be identified as trading. Taken in the round, the taxpayer's activities suggest property speculation rather than investment in the acquisition of a purely capital asset.

Where one or more of the badges of trade are found to apply as a matter of fact, a tenable argument could be made that the taxpayer is trading. That said, it is crucial to bear in mind that the badges of trade are not a checklist. The specific activities carried on by the person in question need to be assessed holistically and each case should be determined on its own facts (*CIR v Church Body of the Hong Kong Sheng Kung Hui* (2016) 1 HKC 1). Whether a person is found to be carrying on a trade is a mixed question of fact and law. A person can carry on more than one trade or business.

Illustrative Example 5

GSHM carries on the trade of retailing high street fashion. Separately, its board of directors acquired a commercial property in Lo Wu in June of 2014. It was envisaged that the property would operate as a warehouse, but market conditions were such that the Board of GSHM decided to rent it out instead. They advertised the property for a number of months, without success, until they ultimately found a tenant in January of 2015. The tenant left in February 2016, and thereafter GSHM used the site as a warehouse where its storage facilities in Hong Kong were not sufficient to cope with shipments of goods from its suppliers. In October 2018, GSHM was contacted by a developer, Billion Jumbo Gold Profit, which offered to purchase the property for redevelopment at a significant mark-up. Because the Board of GSHM decided that the company urgently needed liquidity for working capital, it agreed to the sale.

Under those circumstances, the disposal of the property is unlikely to be treated as a trading disposal for the purposes of s.14. By reference to the badges of trade and a holistic assessment of the situation, the subjective motive of GSHM was to acquire the property as a capital asset (that is, to store its stock-in-trade). There was apparently little work done to increase its value or marketability, and it was leased to a tenant for over a year,

Illustrative Example 5 (*continued*)

suggesting that GSHM expected to hold it in the long term. There is no evidence that GSHM regularly carried out property transactions and the asset was held for a total of over four years. The circumstances of disposal were opportunistic, and not in the ordinary course of the business of GSHM. It was not GSHM which marketed the property to the developer, but it was the developer that actively courted GSHM. It would follow that, on balance, the transaction is likely to be regarded as a sale of a capital asset under s.14(1) and consequently the gains arising from that are not chargeable to profits tax.

3.2.2 Profession

The term 'profession' is not defined in the IRO. In common law, a **profession** involves the idea of either purely intellectual skill, or of manual skill controlled by the intellectual skill of the operator, as in painting, sculpture or surgery. A profession is distinguished from an occupation, which is substantially the production, sale or arrangement for the production or sale of commodities. What constitutes a profession may depend on the time period and socio-cultural context (*IRC v Maxse* (1919) 1 KB 647).

It is essential to distinguish a profession from an employment. A profession is typically self-employed; typical examples could be a lawyer, accountant or consultant who have a number of clients and run their own businesses. Income from a profession would be subject to profits tax, while income from an **employment** would be subject to salaries tax. The following tests will be applied in general in this regard:

- The **control test**: This test considers whether the degree of **control** and supervision exercised by the putative employer over the person who provides the services is consistent with a relationship of employment (or, as classically phrased, master and servant). This would mean in practice the ability of an employer to dictate as a matter of course where, when, and how tasks are carried out.
- The **economic reality test**: This test examines whether the person who provides the services needs to provide his or her own equipment and hire his or her own helpers; to what extent the degree of financial risk is undertaken by the service provider and whether the service provider assumes the responsibility of management and investment.
- The **integration test**: This looks at whether the service provider is part and parcel of the company.
- The **mutuality of obligation test**: An employer is generally required to provide work for his or her employee and the employee is required to discharge that work.

Consider that an accountant is in certain circumstances an employee and in others a professional for the purposes of the IRO. An accountant can be employed as an associate, manager or partner in an accountancy firm, but he can also be a sole practitioner. In the former case, he is an employee: he must abide by the rules of his office. In the latter case, he carries on a profession for the purpose of s.14.

Apply and Analyse 1

Mr. Chan was employed by Chan Co. Ltd (by way of signing a contract of service) as a marketing manager, with fixed working hours. He is supervised by a director. He does not need to provide his own equipment while working at the company's office. He receives a fixed salary plus a commission based on the company's turnover. He has a business card that includes his name and that of the company.

Applying the control test, the economic reality test and the integration test, Mr. Chan worked fixed hours under supervision, used the infrastructure of the company and received a fixed salary. Therefore he was employed by with Chan Co. Ltd and is subject to salaries tax on his employment income received from the company.

Mr. Brand signed a contract for service with Brand Co. Ltd for the provision of marketing consultancy services. He also signed similar service contracts with other companies. He has no fixed working hours but needs to submit marketing proposals by specific due dates. He has to report to the marketing director. He hires his own assistants, rents an office and incurs various overheads. Hence, if his business does not perform, he will suffer loss. He holds a business card showing solely his name as a professional marketing consultant.

Applying the control test, the economic reality test and the integration test, Mr. Brand carries on a profession and is subject to profits tax in respect of his consultancy fee income. Specifically, Mr. Brand can largely decide for himself how to complete the services, has established his own infrastructure which he bears the costs and risks for, and has a number of other clients.

3.2.3 Business

The threshold for carrying on a business is much lower than carrying on a trade. A **business** is defined broadly in s.2 of the IRO, and includes agricultural undertaking, poultry and pig rearing and the letting or sub-letting by any corporation to any person of any premises or portion thereof, and the sub-letting by any other person of any premises or portion of any premises held by him under a lease or tenancy other than from the government. Because of the circularity of this definition, some clarification from the case law on point is necessary. Any commercial use to which a person puts its assets may in principle be capable of qualifying as the carrying on of a business for the purposes of s.14. For this see, for example, the *CIR v Bartica Investment Ltd* (1996) 4 HKC 599, where simply maintaining bank accounts in Hong Kong for business purposes was found to amount to carrying on a business in Hong Kong, and *American Leaf Blending Co Sdn Bhd v DGIR* (1978) STC 561. Ultimately, whether a company is carrying on a business is a matter of fact and degree.

Key Learning Point

Trade, profession and business are terms of very broad import. Any economic activity carried on by a person is in principle capable of being, at a minimum, a business. That being said, gains from the sale of capital assets are, notwithstanding that they may be sales in the course of business, exempt from profits tax.

Illustrative Example 6

Let us return to GSHM. We know that it operates retail shops selling high street fashion in Hong Kong. This means that it has leased business premises, has acquired trading stock from its Chinese suppliers and presumably seeks to turn over that trading stock with a view to making a gain at its shops. GSHM has all the characteristics of carrying on a trade. It buys its stock at cost, and sells this at a mark-up in a systematic and, we would assume, well-organised arrangement. If GSHM decided to branch off into selling jewellery as well as high-street fashion at dedicated jewellery outlets also branded GSHM, that would amount to the carrying on of a separate trade or business on the part of GSHM.

► Knowledge Check Questions

Question 2

Identify in which of the following *two* scenarios Hong Kong source profits would arise.

- A** A toy manufacturer assembles its products in a factory in the New Territories, and sells these to distributors at a profit.
- B** An investment manager in Hong Kong places orders on the Paris Stock Exchange, and derives profits from those trades.
- C** A merchandise trader based in Hong Kong sells its products in Vancouver through an independent agent in Canada, who executes contracts in Canada on its behalf.
- D** A financial planner based in Singapore undertakes financial planning consultancy while visiting his clients in Hong Kong.

3.3 SOURCES OF PROFITS

This is the second limb of the s.14 charging provision. At this stage, you should already have ascertained whether a trade, profession or business is carried on in Hong Kong.

The source of profits is perhaps the most important question in Hong Kong tax law. Profits sourced from outside of Hong Kong are not in general chargeable to profits tax. Enterprises therefore often go to great lengths to arrange their affairs so as to give rise to 'offshore' rather than Hong Kong source profits. Source as a concept should not be over-complicated. It is a commercial, and not a technical, matter which must be found on a case-by-case basis. Most importantly, it must be determined by reference to what exactly it is that the taxpayer has done. This will vary from trade to trade or from business to business. The source concept has a strong contextual element, which means that it is important for practitioners to understand

the precise economic and commercial characteristics of an enterprise's business to advise effectively on whether profits are sourced in Hong Kong or elsewhere.

3.3.1 Traditional Tests of Sources of Profits

CIR v Hang Seng Bank (1991) 1 AC 306 is the landmark judicial decision in Hong Kong on the source of profits. In that case, Lord Bridge, sitting on the Judicial Committee of the Privy Council, identified the *broad guiding principle* of source: you look to see what the taxpayer has done to earn its profits, and where it has done it. If that place is Hong Kong, then the profits are Hong Kong source; otherwise, the profits are sourced outside of Hong Kong and are therefore not taxable. More specifically, the source test may be framed as a so-called 'operations test': that is, one has to establish where the operations were effected, both in substance and as a commercial matter giving rise to the taxpayer's profits.

Thus, determining the source of profits is a hard practical matter of fact to be judged as a practical reality. It is, in other words, not a technical matter but a commercial one. The fundamental test is what the operations of the taxpayer were from which the profits in substance arise; and they arise in the place where his service was rendered or profit-making operations were carried on. The test thus has two limitations:

1. The relevant operations must be the operations of the taxpayer or performed on his behalf and for his account by a person acting on his instructions; and
2. The relevant operations do not comprise the whole of the taxpayer's operations but only those which produced the profits in question, and in that regard one cannot be distracted by antecedent or incidental matters (*ING Baring Securities (Hong Kong) Ltd v CIR* (2008) 1 HKLRD 412).

The focus of the source test is, therefore, the proximate source of the profits; that is, the operations or transactions that in substance, and as a matter of commercial reality, gave rise to the profits.

Department Interpretation and Practice Notes (DIPN) 21 (Revised) is a helpful and publicly accessible guide to the Hong Kong Inland Revenue Department's (IRD) policy on the source of profits, though this document does not have force of law. DIPN 21 acknowledges the broad guiding principle in the *Hang Seng Bank* case, but expands on it in asserting the IRD's assessing practice. In particular, it adopts positions that are not necessarily clear-cut at law. Notably, the following is a summary of the IRD's policy:

1. The question of locality of profits is a hard, practical matter of fact. No universal judge-made test will cover every case. Whether profits arise in or are derived from Hong Kong depends on the nature of the profits and the transactions giving rise to them.
2. The ascertainment of the source of profits though a practical, hard matter of fact requires an accurate legal analysis of the transaction.
3. The transactions must be looked at separately and the profits of each transaction considered on their own.
4. The broad guiding principle is that one looks to see what the taxpayer has done to earn the profits in question and where he has done it. In other words, the proper approach

is to ascertain what the operations which produced the relevant profits were and where those operations took place. This is the so-called 'operations test'.

5. The operations in question must be the operations of the taxpayer.
6. The relevant operations do not comprise the whole of the taxpayer's activities carried out in the course of his business but only those which produce the profit in question. It is necessary to appreciate the reality of each case, focusing on effective causes for earning the profits without being distracted by antecedent or incidental matters.
7. The distinction between Hong Kong profits and offshore profits is made by reference to gross profits arising from individual transactions.
8. In certain situations, where gross profits from an individual transaction arise in different places, they can be apportioned as arising partly in and partly outside Hong Kong, though in practice the IRD prefers to apportion on a fifty-fifty basis for certain Mainland manufacturing operations where there is a sustained element of value addition in Hong Kong.
9. The place where day to day investment decisions are taken does not generally determine the locality of profits derived from the realisation of those investments.
10. It is necessary to examine the operations of the taxpayer irrespective of the fact that the taxpayer may be a company within a group. The source of profits must be attributed to the operations of the taxpayer which produce them and not to the operations of other members of the group. The operations of the group should not be looked at on the basis of source. However, in appropriate cases, if a related company is in fact acting on behalf of the taxpayer, then the activities of the related company will be considered to see if appropriate weight should be accorded thereto.
11. If an arrangement or scheme is implemented in Hong Kong to free transactions from overseas regulations or overcome trade barriers, this in itself does not mean that the profits will be sourced outside Hong Kong.
12. Identifying an agent's acts with those of its principal, whilst imposing some unity on the law applicable to situations where one party represents or acts for another, should not be taken to an inappropriate degree or taken too literally since this is not conducive to arriving at the accurate legal analysis.
13. In the brokerage business, it is not necessary that the transaction which produced the profit was carried out by the taxpayer or his agent in the full legal sense (i.e. one who enters into a contract on his principal's behalf creating a contractual relationship between his principal and a third party). It is sufficient that the transaction was carried out on the taxpayer's behalf and for his account by a person acting on his instructions.
14. The absence of an overseas permanent establishment of a Hong Kong business does not, of itself, mean that all of the profits of that business arise in or are derived from Hong Kong.

15. The place where the taxpayer's profits arise is not necessarily the place where he carries on business. However, in *HK-TVB International Limited v CIR* (1992) 2 AC 397, Lord Jauncey said (obiter), 'it can only be in rare cases that a taxpayer with a principal place of business in Hong Kong can earn profits which are not chargeable to profits tax'. This is the so-called 'rare case' dictum – it is not binding, but it has been adopted by the IRD as an integral part of its assessing policy (DIPN 21, Para 17).

Illustrative Example 7

Super Lucky Gold Dragon Ltd (SLGD) is a company incorporated in Hong Kong, which carries on a letting business. It rents commercial premises situated in Hong Kong to businesses, including GSHM. Are SLGD's profits from its letting business Hong Kong source? Applying the operations test, and asking the fundamental question what it is the taxpayer did to earn its profits, and where it did it, one would find that SLGD let out property in Hong Kong. The property in question is Hong Kong immovable property, which is physically located in Hong Kong. On that basis, it is apparent that the profits of its letting business will be Hong Kong source.

You will recall that the s.14 test is a *three-limbed* charging provision. The mere fact of carrying on a trade, profession or business in Hong Kong is not sufficient for a charge to tax to arise. The three limbs to the s.14 charging provision are separate and distinct; that a person carries on a trade, profession or business in Hong Kong does not necessarily mean that it will be taxable in Hong Kong (*CIR v The Hong Kong & Whampoa Dock Co Ltd* (1960) 1 HKTC 85), though note the 'rare case' dictum in *HK-TVB International*.

Despite the case law being clear that a profit may in principle be sourced both in Hong Kong and in another jurisdiction, necessitating an apportionment of that profit between the two jurisdictions to determine how much of that profit is chargeable to tax, the IRD prefers to employ an 'all-or-nothing' approach, and in practice refuses to contemplate apportionment unless it is an apportionment on a fifty-fifty basis in certain manufacturing operations, which we will consider in further detail below.

Illustrative Example 8

GSHM establishes a subsidiary incorporated in Hong Kong, Glorious Exposition Ltd (GEL) to retail fashion aimed at the Taiwanese market. Because of significant differences in taste, GEL does not market its products in Hong Kong. It has a Hong Kong head office where its board of directors meets and where substantive business decisions are taken, but all of its retail facilities are located in Taiwan. It does not have any sales in Hong Kong. GEL carries on a trade, profession or business in Hong Kong; however, all of its profits are sourced in Taiwan. Accordingly, it is not taxable in Hong Kong: it has only met the first but not the second limb of the s.14 charging provision.

3.3.2 Source of Trading Profits

In merchandise trades and other trades or businesses involving the supply of goods, the profits of the trader are derived from the fact that it sells (i.e. contractually disposes of) the goods in question to another person, presumably at a mark-up relative to the cost of acquisition. In other words, the trader earns its profits by entering into contracts for the supply of goods to a buyer. If contracts form the essence of the business, then, for the purpose of determining the locality from which the income is derived, one looks no further back than the place where the contracts are made (*Whampoa Dock*). Thus, if the profit-making activity consists substantially of the making of contracts, the place where the contracts are made may be regarded as the only significant factor (*CoT v Cam & Sons Ltd* (1936) 36 SR (NSW) 544). It would follow that profits from buying and reselling of commodities were derived from the place where the contracts of purchase and sale were effected (*Hang Seng Bank*). 'Effected' in this context does not merely mean legally executed. 'Effected' generally extends to the process of contract formation, and contemplates all the relevant operations carried out to earn the profits, including the solicitation of orders, negotiation, conclusion, trade financing, shipment and performance of the contracts (*CIR v Magna Industrial Co Ltd* (1997) HKLRD 171). The IRD takes the view that in a scenario where a trading company acquires trading stock and then resells this to customers, it will look to the place where the contracts for sale and purchase were effected. Where the contracts were in each case effected in Hong Kong, the profits of the trader will be treated as Hong Kong source and, by the same logic, where neither is effected in Hong Kong, the profits will be treated as offshore and so not taxable. Where either contract is effected in Hong Kong, the initial presumption is that the profits of the trader are fully taxable, though in practice greater weight is usually attached to the contract of sale, which is the contract that in substance gives rise to the trader's profits. Sales to customers in Hong Kong will generally be regarded as uniformly Hong Kong source.

3.3.3 Source of Manufacturing Profits

Manufacturing profits are sourced in the jurisdiction where the manufacturing process actually takes place. That is because what a manufacturer does to realise its profits is manufacture goods. The value addition – that is, the process for which the manufacturer is paid by the persons contracting it to carry out the manufacturing operations – takes place where the manufacturing physically occurs. If a manufacturer in Hong Kong sells his goods to a merchant in Manila, the payment which he receives is no doubt sourced in Manila, but his profit on the transaction arises in and is derived from his manufacturing operation in Hong Kong (*HK-TVB International*). Thus, where goods are manufactured in Hong Kong, the profits arising from the sale of such goods will be fully taxable because the profit-making activities are considered to be the manufacturing operations carried out in Hong Kong. These activities should include the procurement of raw materials, the employment of labour, the design of products and the use of machinery and plant, etc. Inversely, where goods are manufactured elsewhere, and sold in Hong Kong, the relevant profit arising in Hong Kong will be the profit on sale – that is, the difference between the cost of acquisition of the manufactured good and its sale price.

The IRD accepts that in certain circumstances a fifty-fifty apportionment of profits between Hong Kong and another jurisdiction exists in so-called contract processing cases. Contract

processing is where manufacturing takes place offshore, but the Hong Kong company is actively involved in elements of the manufacturing process, such as supplying know-how, quality control or raw materials to the offshore processor. In other words, the Hong Kong company adds value to the manufacturing process, notwithstanding that the process itself takes place outside of Hong Kong. It is important to recognise that, for contract processing, legal title of goods is not transferred (DIPN 21, Para 34).

The logic behind allowing apportionment in a contract processing scenario is, therefore, that the person carrying on a trade or business in Hong Kong does more than simply acquire the products of the offshore manufacturer, but actively engages in the manufacturing process itself, such that, applying the broad guiding principle on the source of profits, it can be said that at least a portion of those profits arose in or was derived from Hong Kong.

Contrast this with import processing, where the manufacturing operations are carried out by a Mainland entity (or entity located in another manufacturing hub) related to the Hong Kong company; the Hong Kong company procures and sells raw materials (or other inputs) to the manufacturer and buys back the finished goods. In effect, this is a type of captive toll manufacturing. Broken down into its constituent parts, the Hong Kong company engages in the trading of raw materials and finished goods whilst the Mainland company manufactures the finished goods. Each transaction is a true transaction in the commercial sense of the word because legal title passes from one party to the other. Here, the general rule is that each set of operations is treated for tax purposes as being the operations of, on the one hand, the Hong Kong company and, on the other, the manufacturer. In *CIR v Datatronic Limited* (2009) 4 HKLRD 675, the Court of Appeal held that the profit-producing transactions were the purchase of goods from the manufacturer by the taxpayer and the subsequent resale of the same and that those activities took place in Hong Kong. Thus, the profits were derived from Hong Kong, although the manufacturer was a wholly-owned subsidiary of the taxpayer.

3.3.4 Source of Commissions and Service Fees

Again, one must apply the broad, guiding principle on the locality of profits as summarised above: seeing what the taxpayer has done to earn its profits, and where it has done it. The crucial question is therefore what the taxpayer did to earn its commissions. Management fees or performance fees that are in substance consideration for services rendered in Hong Kong will therefore likely be sourced in Hong Kong. Conversely, commissions, albeit received in Hong Kong, for services rendered abroad should not be sourced in Hong Kong. The source of the income is the place where the activities of the commission agent are performed and where services are rendered in connection with the earning of the commission both in and outside of Hong Kong, the profits should be apportioned accordingly (*CIR v Indosuez WI Carr Securities Ltd* (2002) 1 HKLRD 308).

3.3.5 Sources of Other Types of Profits

The three primary sources of other types of profits are service income, real estate and interest. These are covered in the following sections.

3.3.5.1 Service Income

Profits from the rendering of services are generally sourced in the jurisdiction where those services are rendered. Such a conclusion is consistent with the broad guiding principle. If one asks what it is that the service provider did to earn its profits, the answer to that question is plainly the rendering of services.

3.3.5.2 Real Estate

Profits from the sale of land, real estate, buildings and other immovable property are sourced in the jurisdiction in which the property is situated (*Rhodesia Metals Ltd v CoT* (1940) AC 774).

3.3.5.3 Interest

Interest income may be charged to profits tax either under s.14 or under one of the deeming provisions in s.15, which we shall consider later. A bank or other financial institution can carry on the trade or business of borrowing money and on-lending it, which means that interest income derived from those transactions can be assessed to profits tax under the principal charging provision in s.14. Under those circumstances, the source of profits comprised in that interest income is the place where the operations that in substance gave rise to the interest income took place. Where the borrowing and lending operations yielding the interest were effected in Hong Kong, the profits from those operations will be Hong Kong source (*CIR v Orion Caribbean Ltd* (1997) STC 923).

For entities that are not financial institutions, DIPN 21 and DIPN 13 provide guidance on the treatment of interest income; DIPN 34 provides guidance on the conditions in which interest income may be exempted from profits tax. For such entities carrying on business in Hong Kong, the provision of credit test is used to determine where the interest is earned. The primary focus of this test is where the funds are first made available to the borrower. That location is considered the source of the interest income.

The following factors are not considered in the provision of credit test:

- Location where the interest is payable
- Location where the debtor uses the loan
- Location of the account the debtor uses to pay the interest
- Location where a loan agreement is executed
- Residence of the debtor or creditor
- Currency of the loan

As such, a Hong Kong resident can receive offshore interest income without leaving Hong Kong.

Interest income derived from a bank deposit placed in Hong Kong, excluding interest received by or accrued to a financial institution is exempted from profits tax under Exemption from Profits Tax (Interest Income) Order. This is, in practice, perhaps the most important exemption from profits tax since it excludes all interest derived from banks or other financial institutions in Hong Kong for all taxpayers excluding financial institutions themselves. But there will be no exemption, if the relevant deposit has been used to secure any borrowing where the interest expense on such borrowing is deductible. Illustrations as to how this is applied in practice are shown below.

Exhibit 3.2 provides a helpful summary of the IRD's assessing policy on source.

Income or profits	Locality
Rental income from real property	Location of the property.
Profits derived by an owner from the sale of real estate	Location of the property.
Profits from the purchase and sale of listed shares and other listed securities	Location of the stock exchange where the shares or securities in question are traded. Where the purchase and sale took place over-the-counter, the place where the contracts of purchase and sale are effected.
Profits from the purchase and sale of unlisted shares and other unlisted securities	Place where the contracts of purchase and sale are effected, except financial institutions in instances where s.15(1)(l) applies.
Service fee income	Place where the services are performed which give rise to the fees. It should be noted that in the case of an investment adviser whose organisation and operations are located only in Hong Kong, profits derived in respect of the management of the clients' funds are considered to have a Hong Kong source. Included in chargeable sums are not only management fees and performance fees but also rebates, commissions and discounts received by the adviser from brokers located in Hong Kong or elsewhere in respect of securities transactions executed on behalf of clients.
Interest earned by persons other than financial institutions	Determined on the basis set out in DIPN 13 ('Profits tax – Taxation of Interest Received').
Royalties other than those deemed chargeable under ss.15(1)(a), (b) or (ba)	Place of acquisition and granting of the licence or right of use. Please refer to DIPN 49, Part B.
Cross-border land transportation income	Normally the place of uplift of the passengers or goods. However, where the contract of carriage does not distinguish between outward and inward transportation, apportionment will not be permitted. Article 8 of the Comprehensive Double Taxation Arrangement with the Mainland is relevant. See relevant paragraphs in DIPN 44 ('Arrangement between the Mainland of China and the Hong Kong Special Administrative Region for the Avoidance of Double Taxation and the Prevention of Fiscal Evasion with respect to Taxes on Income').

► **EXHIBIT 3.2** The IRD's assessing policy on source, under DIPN 21 (Source: Inland Revenue Department, Hong Kong, December 2009.)

3.3.6 Current Developments in Source Issues

Recent court decisions in Hong Kong have affirmed the broad guiding principle in the *Hang Seng Bank* case and emphasised the importance of source as a concept tied to the substantive and commercial operations carried on by the taxpayer. Source is therefore not a matter of 'impression' – simply because a taxpayer is a resident in Hong Kong, or has extensive activities in Hong Kong, does not necessarily mean that all or any of its profits are chargeable to profits tax.

DIPN 21, paragraph 17, examines how the source location of service income is determined. The following factors are especially relevant:

- The location of the business operations in question (i.e. those producing service income).
- Whether those operations that produce service income are owned by the taxpayer.

- Whether services are performed both onshore in Hong Kong and offshore, and are apportioned appropriately.
- Whether the taxpayer has an overseas permanent establishment to support services rendered offshore that can be used to support a claim that service income has an offshore source.

In *CIR v Li & Fung (Trading) Ltd* (2012) HKCU 643, the court emphasised the importance of looking at the actual profitmaking transaction, and discounting antecedent or incidental matters. In this case, a commission income was earned due to the sourcing and agency activities done outside Hong Kong. Simply because the taxpayer company was administered from Hong Kong and provided certain back-office functions in Hong Kong did not mean that the profits from its contracts effected offshore were in any measure sourced in Hong Kong. The commission income was held offshore and non-taxable.

One should nevertheless bear in mind that the specific trade or business carried on by the taxpayer is crucial in understanding how the source of profits is to be established. That is because finding what the taxpayer did to earn its profits as required by the 'broad guiding principle' depends on understanding how, economically speaking, the trade or business of the taxpayer operates. For example, in *Kim Eng Securities (Hong Kong) Ltd v CIR* (2007) 2 HKLRD 117, the taxpayer's business was to act as an intermediary between investors and certain overseas stock exchanges to enable the investors to invest on those exchanges without paying certain fees that would otherwise have accrued to them. The Court of Final Appeal held that what the taxpayer did to earn its profits was interpose itself between the investors and the overseas exchanges, but that it did this in Hong Kong. Consequently, its profits were sourced in Hong Kong and chargeable to profits tax.

Kim Eng Securities was very much decided on its own facts; however, in *Newfair Holdings Limited v CIR* [2022] HKCFI 1133, the Court of First Instance refused to expand the notion of territoriality, as had been suggested by the Commissioner, to include the 'interposition' of a company in Hong Kong for the purposes of securing a tax or commercial advantage. The Court emphasised that a company could only be taxed on what it *does*, and not what it *is*: carrying on a trade or business in Hong Kong requires there to be a substantive, profit-making operations taking place *in* Hong Kong. That a company in Hong Kong enables its corporate group to derive an aggregate tax advantage outside Hong Kong is irrelevant in ascertaining the source of profits. Newfair's business was structured so as to procure that its group pay less tax in the Netherlands than would otherwise have been the case. The Court, however, held that fact to be irrelevant to the determination of source. Merely because a company incorporated in Hong Kong is not taxable anywhere in the world does not mean that it should, thereby, be taxable in Hong Kong.

Key Learning Point

Source is a hard, practical matter of fact. One looks to what the taxpayer has done to earn its profits, and where it has done it, discounting antecedent or incidental matters.

► Knowledge Check Questions

Question 3

Summarise, in your own words, the source principle. Explain the general rule for establishing whether profits arise in or are derived from Hong Kong.

3.4 MISCELLANEOUS INCOME AND EXEMPTIONS

There are a number of additional rules applying to miscellaneous income and expenses.

3.4.1 Sums Specifically Chargeable to Profits Tax

You have learnt that the general charging provision to profits tax is in s.14 of the IRO. But that is not where profits tax ends. Certain sums are *deemed* to be chargeable to profits tax, irrespective of whether they independently meet the criteria in s.14. Deeming means that a sum that is not otherwise taxable under s.14 is nonetheless taxable by operation of an express section of the IRO. Conveniently, those deeming provisions are found in s.15. The most important deeming provisions are described in the following sections.

3.4.1.1 Royalties

Royalties are in essence payments for the right to use certain intellectual property rights. Royalties can be taxable under s.14. Certain royalties are, however, taxable irrespective of whether the licensor (i.e. the person receiving the royalty) carries on a business in Hong Kong if the royalty relates to the use of intellectual property in Hong Kong or to a performance in Hong Kong. These royalties and their treatment can be summarised as follows:

A. Chargeability of Royalties

1. S.15(1)(a): Royalties received by or accrued to a person from the exhibition or use in Hong Kong of cinematographic or television film or tape, any sound recording, or any advertising material connected with such film, tape or recording.
2. S.15(1)(b): Royalties received by or accrued to a person for the use, or the right to the use, in Hong Kong of any patent, design, trade mark, copyright material, layout-design (topography) of an integrated circuit, performer's right, plant variety right, secret process or formula, or other property or right of a similar nature, or for imparting or undertaking to impart knowledge directly or indirectly connected with the use in Hong Kong of any such patent, design, trade mark, copyright material, layout-design (topography) of an integrated circuit, performer's right, plant variety right, secret process or formula, or other property or right.
3. S.15(1)(ba): Royalties received by or accrued to a person for the use, or the right to the use, outside Hong Kong of any patent, design, trade mark, copyright material, layout-design (topography) of an integrated circuit, performer's right, plant variety right, secret process or formula, or other property or right of a similar nature, or for imparting or undertaking to impart knowledge directly or indirectly connected with the use outside Hong Kong of any such patent, design, trade mark, copyright material, layout-design (topography) of an integrated circuit, performer's right, plant variety right, secret process or formula, or other property or right, which are deductible in ascertaining the assessable profits of any person to profits tax. This is a tax symmetry provision: where a deduction has been claimed for a royalty in Hong Kong, then the royalty itself is taxable to the extent the deduction has been claimed.

4. S.15(1)(bb): Sums received by or accrued to a performer or an organiser for an assignment of, or an agreement to assign, a performer's right in relation to a performance given by the performer in Hong Kong. Accordingly, the performer's sums as regards performances in Hong Kong are chargeable to tax, notwithstanding that the performer in question neither is a resident nor carries on a business in Hong Kong.

B. Assessment of Royalties

5. The deemed assessable profit for the purposes of ss.15(1)(a), 15(1)(b) and 15(1)(ba) will be determined under s.21A. Normally the assessable profit will be 30% of the gross receipt of the royalty.
6. Under s.21A, if the following two conditions are satisfied:
 - income is received from an associated person, and
 - the intellectual property has, at any time, been owned, partly or wholly, by any person carrying on business in Hong Kong
 the assessable profit shall be 100% of the gross royalty receipt.
7. Suppose for two companies, X and Y, if X controls Y, or if Y controls X, or X and Y are controlled by the same person, they are considered 'associated persons.' Examples of 'associated persons' include group companies, a holding company and a subsidiary company, a proprietor and his or her proprietorship business, etc.

C. Withholding Obligation of the Hong Kong Agent

8. For tax on profits deemed as assessable under the above section, the relevant taxes have to be withheld by the royalty payer who is responsible for paying over the tax to the Inland Revenue Department under s.20B.

Illustrative Example 9

Mr. Tsang transferred all of the GSHM intellectual property (essentially, trademarks and the clothing designs), which he previously owned in his own name, to Red Lantern Ltd (Red Lantern), which then licenced it to GSHM for an arm's length fee of HK\$5 million per annum. Although Red Lantern does not carry on a trade or business in Hong Kong, and is therefore not taxable under s.14, it receives sums for the right to use trademarks and designs in Hong Kong. Accordingly, such sums are chargeable to profits tax under s.15(1)(b).

Tax under ss.15(1)(a) to 15(1)(bb) is collected by withholding, and profits tax on royalties is the only withholding tax currently levied in Hong Kong. Withholding tax means that instead of the payee having to file a tax return (which in practice is difficult to enforce and detect if it is a resident outside of Hong Kong), the payor withholds an amount from the payment on account of tax. S.20B(1) provides for the withholding mechanism, and imposes an obligation on the Hong Kong payor to withhold an amount on account of tax owed by the payee. S.21 provides for special withholding tax rates for non-residents. These apply if the true amount of its assessable profits cannot be readily ascertained. In such cases, the IRD may apply a fair percentage, the rate of which is not specified. This can apply to royalties in relevant situations, but it is not limited to royalties only.

The applicable withholding tax rate is the standard rate of 15% or corporate tax rate of 16.5% as the case may be for royalties paid to a non-resident. A lower rate (being 30% on the standard rate or corporate tax rate) is charged where the Commissioner is satisfied that no person carrying on a trade, profession or business in Hong Kong has at any time wholly or partly owned the property in respect of which the sum was paid. (See Chapter 8 for details.)

Compliance with the withholding tax regime is very important, because the IRD may recover tax due with respect to a royalty taxable under s.15(1) from the assets of the payor (see Chapter 8). Note that the withholding obligation is an absolute defence against any contractual claim the payee may have against the payor for failure to pay the royalty gross. In practice, licence agreements will include contractual stipulations as to which party must bear any tax withheld at source with respect to the royalty.

Illustrative Example 10

Red Lantern licences IP to GSHM. Accordingly, Red Lantern is chargeable to profits tax under s.15(1)(b). We assume Red Lantern is a non-resident in Hong Kong; it therefore does not file a tax return. GSHM, however, is required to file a tax return on Red Lantern's behalf and to withhold 4.95% (i.e. 30% on 16.5%) or 2.475% if two-tiered tax rate is applicable of the gross annual royalty payable to Red Lantern, and to pay this over to the IRD on account of profits taxed owed by Red Lantern.

Red Lantern and GSHM are **associated companies** and all the intellectual properties were previously owned by Mr. Tsang. If Mr. Tsang has been carrying on a business in Hong Kong previously, the lower rate of 30% is no longer applicable and the assessable profits will be 100% of the royalty. Hence the effective withholding rate will be 16.5% or 8.75% if two-tiered tax rate is applicable.

3.4.1.2 Interest

Interest is the consideration for the time-value of money. It is in effect a compensation to a lender for losing the utility of the principal he has loaned out to the borrower, and for assuming the risk of the borrower's default. Interest used to be taxable as an independent taxing schedule in Hong Kong, but that practice was abolished. Interest can be taxed under s.14 where the taxpayer carries on the trade or business of lending money (see *Orion Caribbean*). It is not taxable under s.14, but it can be taxable under s.15 in certain cases, as follows:

1. S.15(1)(f): Sums received by or accrued to a corporation carrying on a trade, profession or business in Hong Kong by way of interest derived from Hong Kong.
2. S.15(1)(g): Sums received by or accrued to a person, other than a corporation, carrying on a trade, profession or business in Hong Kong by way of interest derived from Hong Kong, where the interest is in respect of the funds of the trade, profession or business.
3. S.15(1)(i): Sums received by or accrued to a financial institution (e.g. a bank or other entity authorised under the Banking Ordinance) by way of interest which arises through or from the carrying on by the financial institution of its business in Hong Kong, notwithstanding that the moneys in respect of which the interest is received or accrues are made available outside Hong Kong.

Under ss.15(1)(f) and 15(1)(g), interest is taxable only to the extent that it is sourced in Hong Kong. The source of interest has therefore been the subject of extensive debate in the case law. The consensus view in Hong Kong is that interest derived from simple loans for the purposes of ss.15(1)(f) and 15(1)(g) is sourced in the place where the principal with respect to which the interest is payable was first made available to the borrower (*CIR v N V Philips Gloeilampenfabrieken*, 10 ATD 435 and *CIR v Lever Brothers & Unilever Ltd* (1946), 14 SATC 1), i.e. 'the provision of credit test'. As per DIPN 13, it should also be noted that the 'provision of credit test' is not applicable where the loans are not simple loans of money. The Privy Council held in the case of *Orion Caribbean Limited v CIR* 4 HKTC 432 that where the taxpayer earned its profits by borrowing and lending of money, the proper test to determine the source of the profits was the operation test, i.e. 'one looks to see what the taxpayer has done to earn the profit in question and where he has done it'. In the case of a money lending business, the taxpayer's business would normally encompass a broader range of activity, including the borrowing and/or lending of money. For this type of business, the IRD will apply the operation test instead of the provision of credit test in determining the source of the interest income.

Illustrative Example 11

GSHM Ltd decides to extend a commercial loan to an associated enterprise, Gyaru Inc., a Japanese fashion brand. GSHM agreed to a loan of HK\$15 million with an interest of 3% per annum. If the principal of the loan were made available to Gyaru Inc. in Hong Kong (for example, on a Hong Kong bank account), it would be Hong Kong source. Because GSHM is a corporation that carries on a trade in Hong Kong, the interest would thereby be chargeable to profits tax under s.15(1)(f).

3.4.2 Concessionary Trading Receipts Chargeable to Tax at Half of the Profits Tax Rate

As a consequence of the efforts of the government to encourage the establishment of certain industries in Hong Kong, concessionary tax regimes are available for profits derived in the course of certain trades or businesses that are considered strategic. Income derived from qualifying debt instruments (short or medium term); assessable profits of an insurance company derived from a qualifying business of reinsurance or insurance of offshore risks; corporate treasury centres; aircraft leasing income earned by 'qualifying aircraft lessors' and income up to HK\$2 million are all, subject to certain conditions, taxed at half the standard rate of profits tax. Refer to Exhibit 3.3.

Maturity period (qualifying debt instruments)	Tax rate	Section
Less than 3 years	Half tax rate	s.14A
Not less than 3 years but less than 7 years	Half tax rate	s.14A
Not less than 7 years	Exempt	s.26A(1)

► **EXHIBIT 3.3** Tax rates of qualifying debt instruments

You may recall that as regards the two-tiered profits tax regime, only one taxpayer in a given set of associated taxpayers can avail itself of a regime. Where a taxpayer is associated with

another, they must make an election as to which of them will be chargeable to tax on a two-tiered basis and which will be chargeable on the conventional basis. (Refer again to Exhibits 3.1 and 3.2).

3.4.3 Sums Specifically Exempt from Profits Tax

Certain sums are statutorily exempt from profits tax. The most relevant of these include:

- Gains from sale of capital assets (s.14(1)). Receipts of capital nature are exempt. Refer further to the discussion of the distinction between trading and capital transactions above: in practice, the IRD often asserts that transactions are trading and not capital in nature in order to charge the profits thereof to tax;
- Exemption of offshore funds if certain conditions are satisfied (s.20AC and s.20ACA). Hong Kong has sought to become a global centre for the funds industry. Accordingly, the IRO contains tax incentives for non-resident investment funds and similar collective investment schemes, exempting from profits tax to the extent that they carry out specified transactions (broadly, trading in securities) through licenced Hong Kong intermediaries; and
- Dividends received from corporations chargeable to profits tax (s.26). It is often stated that Hong Kong does not tax dividends. In practice, this is true, but note that the exemption for dividends technically relates only to dividends declared by a company that is chargeable to profits tax. Dividends declared by companies not incorporated in Hong Kong are not Hong Kong source and are accordingly not taxable by virtue of s.14, and not s.26.

Apply and Analyse 2

Company E carries on business in Hong Kong and receives interest income from a bank deposit in Hong Kong. The deposit is not used as security for any borrowing. The interest income from the deposit is exempt from profits tax.

Company F carries on business in Hong Kong and receives interest income from a bank deposit in Hong Kong. The deposit is used as a security for a loan borrowed to finance the general trading operation of Company F. All trading profits of Company F are taxable in Hong Kong. Hence, the interest expense is tax deductible.

The deposit interest income received is taxable. The interest income is not exempt because the exemption order does not apply. The exemption order does not apply because the deposit is used as a security for a loan, which has produced deductible interest.

Company G carries on business in Hong Kong and receives interest income from a bank deposit in Hong Kong. The deposit is used as a security for a loan borrowed to finance the general trading operation of Company G's overseas subsidiary, Company OV. All trading profits of Company OV are not taxable in Hong Kong. Hence, the interest expense is not tax deductible.

The deposit interest income received is exempt because the exemption order applies. The exemption order applies because the deposit is not used as a security for any loan that produced a deductible interest expense. The interest expense incurred is not deductible.

► Knowledge Check Questions

Question 4

Identify which of the following items of expenditure is deductible.

- A** Rent paid on the Pok Fu Lam apartment of the managing director of a company.
- B** Reinstatement costs for commercial premises used to retail wine in Hong Kong after a typhoon, where costs were recovered from the company's insurer.
- C** Acquisition by a restaurant of a liquor licence to increase the scope of services provided, and to attract new customers.
- D** Interest payable on a loan contracted with Ah Beng Bank, a Singaporean bank to fund the acquisition of trading stock.

3.5 GENERAL DEDUCTIONS AND SPECIFIC DEDUCTIONS

S.16 provides that expenditure and outgoings incurred (albeit not necessarily wholly and exclusively) by the taxpayer in the production of chargeable profits, which are not capital in nature or otherwise expressly excluded under s.17, are generally tax deductible. That means that they must be deducted from the trading revenue of a taxpayer to determine his liability to profits tax. Although capital expenditure is in general not deductible, capital allowances are available as regards specified capital assets. Capital allowances spread out the cost of the acquisition of a capital asset over a given period of time, enabling the taxpayer to make periodic deductions on account of such expenditure.

3.5.1 General Deduction Rule

S.16(1) of the IRO provides a deduction for all outgoings and expenses, to the extent to which they have been incurred by the taxpayer in the production of profits chargeable to profits tax. In that context, the qualifying words 'to the extent' mean that only outgoings and expenditure actually incurred, in a causal sense, to generate taxable profits are deductible. This refers to the apportionment of expenditures and outgoings in cases where:

1. Income is derived both onshore and offshore; and
2. Expenditures are incurred for both non-business purposes and the production of taxable profits.

Expenditure or outgoings occasioned for other reasons are not deductible in this way, which is a different from salaries tax, where under apportionment is made 'wholly and exclusively.' IRR Rule 2A states that apportionment shall be made on the basis most appropriate to the activities of the taxpayer.

The general deduction provision is not confined to cash payments, but also includes amounts of definite commitment or legal liability to pay, excluding contingent liabilities (*CIR v Lo & Lo* (1984); *Banque Nationale de Paris Hong Kong Branch v CIR* (1985)).

S.16 also relies upon a specific definition of the word 'incurred.' Under s.16, this term can be used to describe the following:

- An expense that has been paid;
- An expense that has become due and payable; and
- An expense to which the taxpayer is absolutely committed and/or has a legal liability to pay.

An expense may be allowable if it has been 'incurred' even if it has not yet been paid. Once an expense has been incurred in the production of profits subject to tax for any period, related deductions are allowable.

Pursuant to the discussion of the term 'incurred,' we must define the phrases 'in the production of profits' and 'for any period.'

Under s.16, 'in the production of profits' is interpreted as meaning 'for the purpose of enabling a person to carry on and earn profits in the trade.' The direct connection to the ability of a taxpayer to earn profits via business operations is necessary, but the related asset need not be income producing on its own. The *intention* of the expenses incurred is integral to fulfilling this definition.

Expenses with the following characteristics alone do not meet the definition of 'in the production of profits':

- Expenses that arise in the course of profitable trade;
- Expenses that are connected to the profitable trade but do not directly enable the operations; and
- Expenses that arise from the resultant profits.

Finally, the term 'for any period' has a distinct definition under s.16. It is not a requirement that expenses be deducted only in the basis period in which the related income is assessed. Once an expense is deducted, the related income may be charged profits tax in a prior or subsequent year. A deduction is allowable for an expense incurred in the production of profits for any period.

3.5.2 Deductible Items

Under s.16(1)(a) to (h) of the IRO, certain items of expenditure are expressly deductible. This list is not exhaustive, but provides examples of what will be deductible for the purposes of s.16:

- Rents paid on land/buildings to tenant's spouse; or to partner(s) by a partnership, not exceeding the assessable value (s.16(1)(b)).
- Foreign taxes paid on income that is subject to foreign tax (s.16(1)(c)), though note that the IRD is of the view that only withholding taxes or similar taxes are deductible, and not taxes that are in essence equivalent to income or profits taxes. S.16(2j) restricts the application of s.16(1)(c) such that s.16(1)(c) is not applicable if foreign tax is paid in a DTA territory where relief from double taxation is provided via a credit under s.50. The reason for this is that s.16(2j) aims to ensure that, in case of a conflict between the DTAs and the IRO, the DTAs are honored.

- Bad or doubtful debts, subject to certain conditions (s.16(1)(d)), the most relevant of which is that the debt should be really bad, which in effect means that it must be shown to be commercially irrecoverable. Debts incurred in any trade proved to the satisfaction of the assessor to have become bad during the year would be deductible (the proof is: recovery actions have been taken to chase the debts but in vain), provided that the debts are:
 - previously included as taxable trading receipts, *or*
 - in respect of money lent in the ordinary course of a money lending business carried on in Hong Kong. (To prove it is a money lending business, the relevant evidence includes: money lender licence, organised set-up, frequency of similar transactions, scope of activities mentioned in the Memorandum and Article of Association, etc.)

Subsequent recovery of bad debts previously allowed for deduction is taxable in the year of recovery.

Specific provision for doubtful debts, which is ascertained based on detailed rules and supporting documents, is regarded as 'incurred' because the provision amounts to an accrued liability, whether legal or practical, and is an accurate measured liability (see the *Lo & Lo* case).

General provision, which is ascertained based on rough estimation without sufficient documentary evidence, is not regarded as 'incurred'.

Apply and Analyse 3 – Bad Debt

Company A sold goods on credit. The trade debt has been included as a taxable trading income, but subsequently has become un-collectible. The trade debt is written off. Such written off debt is deductible.

Company A, which is not a money-lending business, lent money to a staff member. The staff member subsequently left Company A and the loan became un-collectible and was written off. Such a write-off is not deductible because lending money to staff is *not* a money-lending business (i.e. Company A does not engage in money-lending business activities) and the loan has never been included as a taxable trading receipt.

- Repair costs for articles, premises, machinery and plant used in producing profits (other than the cost of improvements) (s.16(1)(e)).
- The replacement costs of implements and utensils used in producing profits (no depreciation allowance would be allowed for the same items) (s.16(1)(f)).
- Legal expenses and trademark, copyright and patent registration costs (s.16(1)(g)).

Certain expenditure is expressly deductible under ss.16A to 16L. Such expenditure is deductible notwithstanding anything in s.17, which sets out outgoings and expenditure that are not, in general, deductible. The most relevant types of expressly deductible expenditure under those sections include:

- **Special payment under an approved retirement plan (s.16A)**

Employers carrying on business or trade in Hong Kong may deduct contributions and premiums, other than annual/regular contribution or premium made under approved retirement schemes. The deduction is made on a basis of 20% per year of assessment. Included under s.16A are contributions made to a fund established under a **recognised**

occupational retirement scheme (RORS) and premiums paid for a contract of insurance under an RORS (Ordinary annual contributions and ordinary annual premiums are excluded from the deduction). It also includes contributions made to a mandatory provident fund scheme (MPFS).

- **R&D expenditure (s.16B)**

This is one of Hong Kong's most important tax incentives, and allows for super-deductions of 300% (i.e. a HK\$3 deduction for each HK\$1 spent) for the first HK\$2 million of qualifying expenditure, and a super-deduction of 200% for all remaining qualifying expenditure ('Type B expenditure'). Non-qualifying R&D expenditure is still deductible on the normal 100% basis ('Type A expenditure'). Qualifying R&D expenditure is defined in Schedule 45 as a payment to an R&D institution or an expenditure on an in-house R&D activity, in relation to a person chargeable to profits tax: broadly speaking, it includes genuine expenditure in the pursuit of some technical or scientific discovery, improvement or breakthrough. Regardless the R&D activity is outsourced or in-house, only the R&D activity carried out in Hong Kong is eligible for super-deduction. For the R&D activity conducted outside Hong Kong, it may still be eligible for the existing 100% deduction.

Type B expenditure (entitled to a super deduction of 300% or 200%) refers to:

- A payment to a 'designated local research institution' for out-sourced R&D activities;
- An expenditure in relation to an employee (excluding a director) who is engaged directly and actively in a qualifying R&D activity; and
- An expenditure on a consumable item that is used directly in a qualifying R&D activity.

Type A expenditure (entitled to a normal 100% deduction) refers to:

- An R&D expenditure other than a type B expenditure, e.g. machine, equipment.

'Research institution' is defined to mean:

- A designated local research institute; and
- Any university or college that is not a designated local research institute.

- **Payment for technical education (s.16C)**

The deduction applies to any payment for the purposes of technical education to an approved institution which is defined as:

- any university, university college or technical college; or
- any other similar institution which is approved by the CIR.

- **Purchase of patent rights and know-how (s.16E)**

Should a taxpayer incur a capital expenditure purchasing patent rights or rights to know-how, a deduction is allowable in the basis period that the expense is incurred. However, this only applies if the patent or know-how will be used in the production of assessable profits.

Expenses connected to this type of activity include fees related to the valuation of such a patent (undertaken as part of due diligence) and legal connected to securing the patent rights or right to know-how. If the right is not used entirely in the production of profits, the expenditure is apportioned to reflect the actual usage.

Note the tax symmetry provision that deems the proceeds from the sale of a patent right, with respect to which a deduction was claimed under this section, to be chargeable to profits tax up to an amount not exceeding the original deduction claimed.

However, there will be no deduction if the patent right/know-how was acquired wholly or partly from an associate.

Apply and Analyse 4 – Purchase and Sale of Patent Right

In the year 2016/17, Company A acquired Patent Right A at a price of HK\$1 million. Company A sold Patent Right A at a price of HK\$1.2 million in 2020/21.

Company A can claim a deduction of HK\$1 million on the acquisition cost of Patent Right A for the year 2016/17 assuming the patent was used for the purpose of its trade. For the year 2020/21, the sale proceeds (limited to deduction allowed) of HK\$1 million is taxable.

Apply and Analyse 5 – Purchase of Patent Right from Associated Company

In the year 2016/17, Company B acquired Patent Right B at a price of HK\$1 million from its holding company. It sold Patent Right B at a price of HK\$1.2 million in 2020/21.

Company B cannot claim a deduction of HK\$1 million on the acquisition cost of Patent Right B for the year 2016/17 because it was acquired from an associate. For the year 2020/21, the taxable amount for the sale proceeds will be zero as the deduction amount of the acquisition cost is zero.

- **Purchase of certain specific intellectual property rights (IPR) (s.16EA)**

A specified IPR is defined as a copyright, performer's economic right, protected layout-design (topography) right, protected plant variety right, registered design or registered trade mark. The tax symmetry provisions in s.16EB deem that the proceeds from the sale of such specified intellectual property rights with respect to which a deduction has been claimed are a taxable receipt to the extent that the proceeds of sale exceed the allowable deduction. Deduction will be allowed in five equal amounts over five years of assessment (i.e. 20% per year), starting from the year in which the expenditure is incurred, provided that such IPR is owned at the end of the basis period for that year. If the IPR has an expiry period of less than five years, the purchase cost is deducted in equal amounts over the number of remaining years of protection. Deduction under s.16EA also includes legal and valuation fees incurred on the acquisition of the IPR. There will be no deduction if the IPR is acquired wholly or partly from an associate.

Upon disposal, the proceeds treated as trading receipts and the difference between the sales proceeds and the unallowed expenditure are deductible if the sales proceeds are *less* than the unallowed expenditure. The difference will be taxable if the sales proceeds are *greater* than the unallowed expenditure, but the taxable amount is restricted to the amount already deducted.

Apply and Analyse 6 – IPR

Company A paid HK\$500,000 to acquire Trademark A (registered in Hong Kong) and HK\$600,000 to acquire Trademark B (non-registered) in the year 2017/18.

Company A can claim a deduction of HK\$500,000 in respect of the acquisition cost of Trademark A over five years from 2017/18 onwards, in installments of HK\$100,000 each year. There will be no deduction for Trademark B because it is not registered.

Apply and Analyse 7 – Purchase of IPR with Remaining Protection Period Less than Five Years

Company A paid HK\$500,000 to acquire Trademark A (registered in Hong Kong) in the year 2017/18, with four years protection period from 2017/18 onwards.

Company A can claim a deduction of HK\$500,000 in respect of the acquisition cost of Trademark A over four years from 2017/18 onwards, in installments of HK\$125,000 each year.

Apply and Analyse 8 – Purchase and Sale of IPR

In the year 2019/20, Company A acquired Trademark A (registered in Hong Kong) at a price of HK\$1 million. Then it sold Trademark A at a price of HK\$1.2 million in 2020/21.

Company A can claim a deduction of HK\$200,000, this being one-fifth of the acquisition cost of Trademark A for the year 2019/20.

For the year 2020/21, the taxable amount is:

	HK\$
Acquisition price	1,000,000
Less: deduction in 2019/20	(200,000)
Unallowed expenditure	800,000
Less: sale proceeds	(1,200,000)
Sales proceeds in excess of the disallowed expenditure	400,000
Taxable amount limited to deduction allowed	200,000

If the sale price of Trademark A is HK\$700,000, the deductible amount will be:

	HK\$
Acquisition price	1,000,000
Less: deduction in 2019/20	(200,000)
Unallowed expenditure	800,000
Less: sale proceeds	(700,000)
Unallowed expenditure in excess of sale proceeds	100,000
Deductible amount	100,000

Apply and Analyse 9 – Purchase of IPR from Associated Company

In the year 2016/17, Company B acquired Trademark B at a price of HK\$1 million from its holding company. Then it sold Trademark B at a price of HK\$1.2 million in 2020/21.

Company B cannot claim a deduction of HK\$1 million on the acquisition cost of Trademark B for the year 2016/17 because it was acquired from an associate. For the year 2020/21, the taxable amount for the sale proceeds will be zero as the deduction amount of the acquisition cost is zero.

- **Refurbishment / renovation expenditure (s.16F)**

This is an exception to the general rule that expenditure on improvements to a structure that constitutes a capital asset is not deductible. For capital expenditure incurred on renovation or refurbishment of any non-domestic buildings or structures (i.e. not used for habitation, except for hotels or guesthouses) used in the production of chargeable profits, deduction may be allowed under s.16F.

Deduction will be allowed under s.16F in equal instalments over five years of assessment. S.16F does not apply to expenditure incurred:

- To enable a building to be first used to produce chargeable profits; and
- To enable a building to be used for a purpose different from that it was used for immediately before the refurbishment.

The capital expenditure incurred on initial construction and decoration of a building or structure will be entitled to an industrial building allowance or a commercial building allowance, which will be discussed in Sections 3.7.2 and 3.7.3.

Apply and Analyse 10 – Refurbishment of Non-domestic and Domestic Structures

In the year 2017/18, Company A paid HK\$1 million to refurbish its existing office and HK\$500,000 to refurbish its staff quarters. Company A also paid HK\$2 million to decorate a newly acquired retail shop.

Company A can claim a deduction of HK\$200,000 for the refurbishment cost of its office (non-domestic structure) under s.16F from 2017/18 onwards for five years (i.e. 2017/18 to 2021/22). No deduction is allowed under s.16F for the refurbishment cost of its staff quarters (domestic structure) and the new retail shop (first used to produce taxable profits). The refurbishment and decoration cost of the staff quarters and the new retail shop will be entitled to a commercial building allowance (you will learn more about this later).

Apply and Analyse 11 – Refurbishment into Another ‘Use’

In the year 2020/21, Company A paid HK\$1 million to refurbish its office into a research laboratory.

Company A cannot claim any deduction for the refurbishment cost of its office under s.16F because the structure is used as a research laboratory after refurbishment, which is not an office. An industrial building allowance will be available (you will learn more about this later). Please note there is no deduction under s.16B (research and development expenditure) as it is an expenditure on ‘building and structure’.

- **Prescribed fixed assets (PFA) (s.16G)**

This is an important exception both to the general prohibition against the deductibility of capital expenditure on the one hand and to the straight-line depreciation approach

to capital allowances on the other. Under this section, prescribed fixed assets are entitled to a 100% deduction in the year of assessment of acquisition. Prescribed fixed assets include, for these purposes, plant and machinery used directly in the manufacturing process, computer software and computer hardware. However, the following capital expenditure cannot be deductible according to s.16G:

- Capital expenditure that can be deducted in any other section (to avoid double deduction); or
- Capital expenditure incurred under a hire-purchase agreement.

PFA excludes any fixed asset held by a person as a lessee under a lease, i.e. an asset used by anyone, NOT the owner. 'Lease' includes any arrangement under which a right to use the machinery or plant is granted by the owner of the machinery or plant to another person (s.2(1)).

For PFA not qualified for deduction under s.16G (i.e. assets leased out or assets under hire-purchase), depreciation allowance may be available. (You will learn more about this in the chapter on depreciation allowance.)

If the PFA is sold or subsequently destroyed, sale proceeds or compensation receipts are treated as a trading receipt (limited to the original deduction).

Apply and Analyse 12 – Acquisition of PFA and Non PFA

In the year 2020/21, Company A paid HK\$1 million to buy a production machine and HK\$200,000 to buy office equipment.

For 2020/21, Company A can claim a deduction of HK\$1 million for the purchase price of the production machine under s.16G. Company A will be entitled to a depreciation allowance for the purchase price of the office equipment.

Apply and Analyse 13 – Acquisition of Leased Machine

In the year 2020/21, Company A paid HK\$1 million to buy a production machine. Company A allowed Company B to use the machine to produce goods, which will be sold to Company A.

For 2020/21, Company A cannot claim a deduction for the purchase price of the production machine under s.16G because it is a 'leased asset'.

Company A will be entitled to a depreciation allowance for the purchase price of the machine.

Apply and Analyse 14 – Acquisition by Hire-Purchase

In the year 2017/18, Company A bought a production machine under hire-purchase terms. The cash price is HK\$1 million. Company A paid a down payment of HK\$200,000. The remaining price of HK\$800,000 will be paid by 20 equal monthly instalments, starting from 1 February 2018.

For 2017/18, Company A cannot claim a deduction for the purchase price, down payment or instalment payment for the production machine under s.16G because it is a 'hire-purchased asset'. However, Company A will be entitled to a depreciation allowance under s.37A for the machine (See Section 3.7.1.6).

- **Capital expenditure on environmental protection facilities (ss.16H–16L)**

Deduction is allowed on capital expenditure incurred on:

- a. The provision of any environmental protection machinery;
- b. The construction of any environmental protection installation; or
- c. The provision of any environment-friendly vehicle.

The following lists examine each of these provisions more closely.

Environmental Protection Machinery

- Environmental protection machinery (EPM) means:
 - Low noise construction machinery or plant registered under the system administered by the Environmental Protection Department;
 - Air pollution control machinery in compliance with the Air Pollution Control Ordinance;
 - Waste treatment machinery or plant in compliance with the Waste Disposal Ordinance; and
 - Wastewater treatment machinery or plant in compliance with the Water Pollution Control Ordinance.
- ‘Specified capital expenditure’ does not include:
 - Capital expenditure that can be deducted in any other section (to avoid double deduction); or
 - Capital expenditure incurred under a hire-purchase agreement.
- EPM excludes any fixed asset held by a person as a lessee under a lease, i.e. an asset used by anyone, NOT the owner. ‘Lease’ includes any arrangement under which a right to use the machinery or plant is granted by the owner of the machinery or plant to another person (s.2(1)).
- For EPM, not qualified for deduction under s.16I (i.e. assets leased out or assets under hire-purchase), depreciation allowance may be available (you will learn about this later).
- Where an EPM is used partly in the production of profits chargeable to profits tax, the deduction allowable shall be for the relevant part of the specified capital expenditure.
- If the EPM is sold or is destroyed subsequently, sale proceeds or compensation receipts are treated as a trading receipt to the extent that they do not exceed the amount of the previously granted deduction.

Environment-Friendly Vehicles

- ‘Specified capital expenditure’ incurred on provision of environment-friendly vehicles is deductible in that year of assessment.
- Environment-friendly vehicle (EFV) means:
 - Vehicles qualified for remission of first registration tax under the relevant schemes administered by the Environmental Protection Department

- Hybrid electric vehicles
- Electric vehicles
- 'Specified capital expenditure' does not include:
 - Capital expenditure that can be deducted in any other section (to avoid double deduction); or
 - Capital expenditure incurred under a hire-purchase agreement.
- EFV excludes any fixed asset held by a person as a lessee under a lease, i.e. an asset used by anyone, NOT the owner. 'Lease' includes any arrangement under which a right to use the machinery or plant is granted by the owner of the machinery or plant to another person (s.2(1)).
- For EFV not qualified for deduction under s.16I (i.e. assets leased out or assets under hire-purchase), a depreciation allowance may be available (you will learn about this later).
- Tax treatments for vehicles partly used for producing profits and on disposal are the same as those for EPM.

Environmental Protection Installation

- Effective from 2008/09, specified capital expenditure incurred on construction of an environmental protection installation is deductible in equal instalments *over five years of assessment*, as long as the installation has not been sold at the end of the basis period.
- Effective from 1 April 2018, a 100% deduction is allowed in the year the expenditure is incurred.
- If a person has incurred capital expenditure on or before 1 April 2018 on the construction of a building or structure which is an environmental protection installation, effective from 1 April 2018, the person may elect to claim a full deduction on the residue of the expenditure (s.16L).
- Environmental protection installation (EPI) means any installation specified in Schedule 17 and forms a building or structure, including:
 - Solar water heating installations;
 - Offshore wind farm installations;
 - Wave power installations;
 - Hydroelectric installations; or
 - Energy efficient building installations registered under the relevant scheme administered by the Electrical and Mechanical Services Department.
- 'Specified capital expenditure' does not include:
 - Capital expenditure that can be deducted in any other section (to avoid double deduction); or
 - Capital expenditure incurred under a hire-purchase agreement.
- Excludes expenditure incurred for the acquisition of land or any rights over land.
- Note that there is no exclusion of a 'leased' asset for EPI similar to PFA, EPM and EFV. This means an EPI used by a person other than the owner may qualify for EPI deduction, if other conditions are satisfied.

- Where an EPI is used partly in the production of profits chargeable to profits tax, the deduction allowable shall be such a relevant part of the specified capital expenditure.
- If the EPI is sold or destroyed subsequently:
 - If the non-permitted amount is greater than the sale proceeds, the excess is deducted in the year of sale.
 - If the sale proceeds is greater than the non-permitted amount, the excess is treated as a taxable trading receipt (limited to the amount of the deduction).

A straightforward strategy to assess whether an item of expenditure or an outgoing is deductible is:

1. Start with s.16, and verify whether it is incurred in the production of taxable profits and, if it is interest, whether it meets the various deductibility conditions considered in Section 3.5.3.
2. If it falls within s.16, next verify whether it is excluded under s.17 by, for example, being a capital expenditure.
3. If it is excluded under s.17, verify whether it can nonetheless be deductible under the express deductibility provisions in ss.16A to 16L.

Other expressly deductible items include:

- Employee and/or director's salaries, wages, allowances, bonuses, severance or long service payments paid at termination of employments or payments to end strikes (*CIR v Cosmotron Manufacturing Co. Ltd* (1997) 2 HKC 417).
- Approved charitable donations from a minimum of HK\$100 to a maximum of 35% of taxable income before deduction of the approved charitable donation (s.16D) – donations must be made to an entity that is a charity as a matter of Hong Kong law – that is, exempt under s.88. The IRD maintains a register of entities that it recognises as charitable. The IRD has also published useful and comprehensive guidance on its policy on the recognition of charities and trusts of a public character in s.88 (https://www.ird.gov.hk/eng/pdf/tax_guide_for_charities.pdf).

3.5.3 Deductible Interest

The rules governing the deduction of interest are complex. In large part, that is in order to avoid aggressive tax planning centered on interest expense. That being said, interest paid to banks and other financial institutions is in the ordinary course deductible.

In order for loan interest and related expenditure (such as legal fees, stamp duty and other resultant expenses) to be tax deductible in Hong Kong, three (or, in the case of lenders, which are not financial institutions, four) cumulative tests must be satisfied:

- the production of profits test;
- the tax symmetry test (if the lender is not a financial institution or an overseas financial institution);
- the secured loan test; and
- the interest flow-back test.

An overview of the cumulative tests mentioned above is presented in the following sections.

3.5.3.1 The Production of Profits Test

Loan interest and related expenditure must be incurred in the production of profits in respect of which the taxpayer is chargeable to tax in Hong Kong. As long as the share qualifies as an onshore trade, subsequent sale of it is assessable to profits tax. As such, interest on a loan to finance the purchase of shares should meet the production of profits test.

For shares held as either long-term investments or offshore investments, a deduction of the interest on the loan to finance the purchase would be partly disallowed. In D68/87, a formula was set out:

Interest disallowed = (Average non-assessable profits producing assets / Average total assets) × Gross interest expense

In summary, as long as the assets are purchased with a view to carrying on a business in Hong Kong, this test should be satisfied.

3.5.3.2 The Tax Symmetry Test

This test only applies to loan interest payable to lenders which are not financial institutions or overseas financial institutions. Interest payable to such lenders will only be deductible if it is chargeable to Hong Kong tax in the hands of that lender.

3.5.3.3 The Secured Loan Test

Under this test, loan interest is not deductible if the following three cumulative conditions are met:

- The repayment of principal or interest is secured or guaranteed either in whole or in part, directly or indirectly, by a deposit or loan;
- The deposit or loan is made by the borrower or an associate of the borrower with or to the lender, or to a financial institution (whether domestic or overseas), or an associate of an overseas financial institution; and
- The interest payable on that deposit or loan is not chargeable to profits tax in Hong Kong.

3.5.3.4 The Interest Flow-Back Test

This test provides that interest will only be deductible where there is no arrangement between the borrower and the lender stipulating that the interest will ultimately be paid back to the borrower or a person connected with the borrower, and the recipient of that repayment is not chargeable to Hong Kong tax on that receipt.

3.5.3.5 Interest on Debentures

Deductions for interest are also allowed in respect of payments on debentures listed on the Hong Kong stock exchange or on other recognised exchanges, or on debentures authorised to be marketed to the public by the Hong Kong Securities and Futures Commission. The deductibility of interest paid on such debentures is subject to a flow-back test analogous to that summarised above.

Details of the deduction rules are presented in the following sections.

3.5.3.6 S.16(1)(a) Stipulations

S.16(1)(a) stipulates that interest (and related expenses) on money borrowed is deductible if:

- The borrowing is made for the purpose of producing chargeable profit;
- It satisfies any conditions under s.16(2); and
- It is subject to the limitations in ss.16(2A), 16(2B) and 16(2C).

Following are the related rulings:

- *CIR v County Shipping Co. Ltd* (1990)
 - Interest expense on money borrowed must satisfy s.16(2) conditions in order to qualify for deduction.
 - It is not sufficient if only the general rule under s.16(1) is satisfied.
 - However, interest charged on outstanding trade debt is not covered by s.16(1)(a) because there is no money borrowed. Just considering the general rule s.16(1) is sufficient.
- *Zeta Estates Ltd v CIR* (2007)
 - For interest on shareholders' loans to fund dividend payments, where the shareholders' loan is to maintain profits earning assets by avoiding disposal of trading stock, interest on the borrowings would be regarded as for the purpose of trade under s.16(1)(a).
 - Zeta sold certain residential units of a project, earned profits and declared a dividend. But certain residential units are still under development and/or not yet sold, and are therefore held as WIP/trading stock.
 - Zeta did not have enough cash to pay the dividend, hence it turned the dividend payable into an interest-bearing shareholders' loan.
 - The court held that, had the dividend payable not been turned into a shareholders' loan, Zeta would have to dispose the WIP/residential units at unfavourable prices. Therefore, the shareholders' loan was borrowed to maintain the profit earning assets of the company and hence for the purpose of Zeta's trade.

3.5.3.7 S.16(2) – the Conditions Referred to in s.16(1)(a)

S.16(2) stipulates the following conditions referred to in s.16(1)(a):

1. Money is borrowed *by* a financial institution:
 - 'Financial institution' is an authorised institution within the meaning of s.2 of the Banking Ordinance, e.g. licenced bank and deposit-taking company, including any associated corporation of such an authorised institution.
 - There is no limitation on deduction.

2. Money is borrowed *by* a public utility company:
 - i.e. HK Electric, China Light & Power and HK & China Gas
 - Interest is not exceeding the rate specified by the Financial Secretary
3. Money is borrowed *from* a person *other than* a financial institution:
 - Interest received by the lender is chargeable to tax in Hong Kong.
4. Money is borrowed *from* a *financial institution*.
5. Money is borrowed *wholly and exclusively* to finance:
 - a. the provision of:
 - *plant and machinery* qualifying for depreciation allowance;
 - *plant and machinery* for research and development;
 - *a prescribed fixed asset*;
 - *environmental protection machinery or environment-friendly vehicle*; or
 - b. the purchase of *trading stock*

and the lender is not an associate of the borrower.
6. Money is borrowed by a corporation by way of:
 - a. *Debentures* listed on a stock exchange in Hong Kong or other stock exchange recognised by the CIR; or
 - b. Other *instruments* issued:
 - Bona fide in the course of carrying on business and is marketed in Hong Kong or other major financial centre approved by the CIR (e.g. New York, Luxembourg, etc.); or
 - Pursuant to the authorisation of the Securities and Futures Commission under s.105 of the Securities and Futures Ordinance.

Where money is borrowed from an associated corporation which raises the proceeds from such an issue, the deduction is limited to the amount payable by the associated corporation to debentures/instruments holders.
7. The lender is a non-Hong Kong associated corporation (this will be discussed in more detail in Module 14) where:
 - Interest expenses on intra-group financing business; a Hong Kong company borrowed money from group companies for on-lending to other group companies.
 - Interest received is subject to tax in overseas at a rate not lower than the profits tax rate of the Hong Kong company which paid the interest.
 - The associated corporation (lender) is the beneficial owner (BO) of the interest, has real control over the interest, and is not constrained by any contractual or legal obligation to pass that interest to any other person.

3.5.3.8 SS.16(2A), (2B) and (2C) – Limitations on Deduction

SS.16(2A), (2B) and (2C) stipulate limitations on deductions. These include the secured loan test and the interest flow-back test.

S.16(2A) applies the secured loan test to deductions:

- Applicable to a loan under ss.16(2)(c), (d) or (e)
- Restriction on interest expense deduction applies if:
 - The loan is secured by a deposit or a loan made by the borrower or its associate with/to the lender, a financial institution, an overseas financial institution, or its respective associate; and
 - The interest on such deposit/loan is not taxable in Hong Kong.
- Deduction is to be reduced by an amount calculated on the most reasonable and appropriate basis, having regard to the amount of interest income arising from the deposit/loan.

Illustration of Secured Loan Test

Case	Borrowings		Securities			Deduction reduced HK\$	Interest allowed HK\$
	Loan HK\$	Interest HK\$	Deposit HK\$	Others ^a HK\$	Interest ^b HK\$		
1	1,000,000	50,000	1,000,000	-	40,000	40,000	10,000
2	1,000,000	50,000	500,000	500,000	20,000	20,000	30,000
3	1,000,000	50,000	2,000,000	-	80,000	80,000 × 1m/2m	10,000
4	1,000,000	50,000	1,000,000	500,000	40,000	40,000 × 1m/1.5m	23,333

^aOther securities: shares, real properties, personal guarantee, or any assets other than deposits or loan receivable

^bInterest income is not taxable as sourced outside Hong Kong

(Source: Adapted from DIPN 13A)

Case 1

The taxpayer borrowed HK\$1 million from a bank at 5% interest rate per annum for financing a general business operation. All profits of the taxpayer are subject to profits tax. The loan was secured by the taxpayer's overseas fixed deposit of HK\$1 million earning tax-free interest of 4% p.a. There was no other security. In the year of assessment, the taxpayer earned interest of HK\$40,000 from the deposit and paid interest of HK\$50,000 on the loan.

The amount of interest expenses allowable for deduction will be reduced by HK\$40,000, this being the tax-free interest earned. In other words, the allowable interest is HK\$10,000.

Case 2

Assume the HK\$1 million loan in Case 1 was secured by an overseas deposit of HK\$500,000 and some shares which were also worth HK\$500,000. The deposit generated tax-free interest of HK\$20,000.

The amount of interest expenses allowable for deduction will be reduced by the amount of tax-free interest (HK\$20,000) generated from the deposit. In other words, the allowable interest is HK\$30,000.

Case 3

Assume the HK\$1 million loan in Case 1 was secured by the taxpayer's overseas deposit of HK\$2 million that generated tax-free interest of HK\$80,000. There was no other security.

The amount of interest expenses allowable for deduction will be reduced by HK\$40,000, which is calculated as follows:

$$\text{HK\$80,000} \times \frac{\text{HK\$1M}(\text{loan})}{\text{HK\$2M}(\text{deposit})} = \text{HK\$40,000}$$

The deductible interest would be HK\$10,000.

Case 4

Assume the HK\$1 million loan in Case 1 was secured by the taxpayer's overseas deposit of HK\$1 million (which generated a tax-free deposit interest of HK\$40,000) and some shares valued at HK\$500,000.

The amount of interest expenses allowable for deduction will be reduced by HK\$26,667, which is calculated as follows:

$$\text{HK\$40,000} \times \frac{\text{HK\$1M}(\text{deposit})}{\text{HK\$1.5M}(\text{deposit} + \text{shares})} = \text{HK\$26,667}$$

Interest expenses of HK\$23,333 would be deductible.

The IRD states in DIPN 13A that the value of shares used as security may vary from time to time. For the purposes of this calculation, a reasonable basis of averaging, such as by reference to month end balances, will be accepted.

SS.16(2B) and (2C) apply the interest flow-back test to deductions:

- Applicable to a loan under ss.16(2)(c), (d) or (e), and debentures/instruments under s.16(2)(f).
- Restriction on interest expense deduction applies if there is an arrangement in place whereby interest payments are ultimately paid back to the borrower (issuer) or any **connected person**, and such interest income is not taxable.
- However, the restriction does not apply to the case of debenture/**debt instrument**, where the connected person receiving the interest is a market maker holding securities in the ordinary course of business (s.16(2G)).
- Partial deduction is allowed if only part of the interest payment flows back to the borrower or to a connected person.
- Apportionment will be made by reference to the portion of the loan assigned to or sub-participated by the borrower or connected person that generates the interest flow-back, and the length of time for which such an arrangement is in place.

Illustration of Interest Flow-Back Test (s.16(2B)) (Adapted from DIPN 13A)

Company H borrowed a loan of HK\$100 million from Bank J to finance its general business operation and all profits of Company H are subject to profits tax. Bank J entered into a loan sub-participation arrangement with Company K, which is an associated company of Company H. Under the arrangement, Company K advanced a loan of HK\$100 million to Bank J on the condition that the repayment of principal and interest of this loan by Bank J to Company K would

only be made on the condition of the repayment of the principal and interest of the bank loan by Company H to Bank J. Company K did not carry on business in Hong Kong and it provided the fund of the loan advanced to Bank J outside Hong Kong. In practical terms, Bank J is risk free.

In this situation, the interest paid by Bank J to Company K is treated as if it were the interest on the loan borrowed by Company H from Bank J when the restriction of s.16(2B) is considered. Company K did not carry on business in Hong Kong and the provision of credit of the loan was outside Hong Kong. Hence Company K would not be subject to profits tax in respect of the interest derived from the loan to Bank J. As the interest was paid to an associated company of the borrower (Company H) of the loan, the interest deduction claim would be denied.

Apply and Analyse 15 – Interest Flow-Back Test (s.16(2C))

Company A carried on business in Hong Kong and issued debentures of HK\$10 million to finance its Hong Kong trading business. Company A paid interest expenses of HK\$1 million for the year 2020/21. Out of the HK\$10 million debenture, HK\$8 million was held by Company A's overseas subsidiary for the whole year 2020/21. The overseas subsidiary did not carry on business in Hong Kong.

The interest would be flowed back to Company A's associate, i.e. the overseas subsidiary and would be disallowed: $\text{HK\$1 million} \times 8/10 = \text{HK\$800,000}$, allowable interest: HK\$200,000.

If the associate has only held the debenture for six months out of the whole 12-month year, interest to be disallowed will be time-apportioned: $\text{HK\$800,000} \times 6/12 = \text{HK\$400,000}$.

If the associate is a market maker who bought the debentures in its ordinary business, no restriction will apply.

Illustrative Example 12

GSHM has to meet certain urgent cashflow requirements. Accordingly, it contracts two loans. The first is with Ah Long Bank, a bank regulated under the Banking Ordinance, for a principal of HK\$100 million at 5% interest per annum. Realising that this first loan is insufficient to meet its funding needs, GSHM borrowed an intra-group loan from Red Lantern of HK\$15 million at 7% interest per annum. Interest expenditure incurred with respect to the Ah Long Bank loan is deductible. Ah Long Bank is a financial institution, and, to be clear, although there is no tax symmetry requirement for financial institutions, tax symmetry is in practice maintained because Ah Long Bank will be chargeable to profits tax with respect to the interest income under s.15(1)(i) or otherwise under s.14. Conversely, because Red Lantern does not pay tax in Hong Kong on the interest received as it is not a financial institution and does not carry on a trade, profession or business in Hong Kong, the tax symmetry test is not met. Accordingly, the interest payable with respect to the Red Lantern loan is not deductible.

3.5.4 Deductions Not Allowed

S.17 provides that certain items of expenditure are barred from being deductible under s.16. The relevant provisions include:

- Domestic or private expenses and any sums not expended for the purpose of producing the profits (s.17(1)(a)).

- Any loss or withdrawal of capital, the cost of improvements and any expenditure of a capital nature (s.17(1)(c)). This is the most important exclusion, and we shall consider it in further detail in Section 3.6.2.
- Any sum recoverable under insurance or contract of indemnity (s.17(1)(e)). In other words, no deduction is allowed unless the taxpayer claiming the deduction bore the actual economic cost of the expenditure or outgoings in question.
- Rent or expenses relating to premises not occupied or used for the purpose of producing the profits (s.17(1)(f)).
- Taxes payable under the IRO, except the salaries tax paid for employees' remuneration (s.17(1)(g)).
- The excess of 15% of the total emoluments of the employee for the ordinary annual/regular contributions to retirement scheme (s.17(1)(h)).

Refer to Exhibit 3.4 for a helpful overview.

Non-deductible expenses	Example
Domestic or personal expenses	• Meals, medical expenses, insurance premiums; • Birthday celebration expenses for the sole proprietor/partners and/or their family members, etc.; • Private share of utilities e.g. rates, electricity, water if the premises is used for both business and residential purposes; • Private share of motor vehicles expenses for vehicles used for both private and business purpose; • Costs of travelling between residence and place of business and overseas travelling taken not for business purpose; • Payments to spouse including salaries/remuneration; • Interest on personal capital/loans; and • Withdrawal of capital.
Capital expenditure or losses	• Costs of acquiring fixed assets such as plant and machinery; • Costs of acquiring the business premises including the related stamp duty and legal fees; • Costs of any improvements to business premises; • Loss of capital; and • Loss on disposal of fixed assets.
Sum expended not for producing assessable profits	• Penalties/fines for breaking the laws; • Entertainment expenses not expended for business purposes; and • Rent or expenses relating to premises not occupied for the purpose of producing assessable profits.
Limit on ordinary contribution to retirement scheme for employees	Illustration: Employee X's remuneration package: • Annual salary: HK\$100,000 • Ordinary contribution to recognised retirement scheme: HK\$20,000 (assume employer contributes 20% for each employee) • Deductible amount: HK\$15,000 (15% of HK\$100,000) • Non-deductible amount: HK\$5,000

► **EXHIBIT 3.4** Examples of non-deductible expenses

► Knowledge Check Questions

Question 5

Identify which of the following best summarises the deductibility of capital expenditure under the IRO.

- A** Capital expenditure is not deductible under any circumstances.
- B** Capital expenditure that is not deductible under ss.16A to 16L may nonetheless be eligible for depreciation allowances, provided that the capital asset in question was utilised in the production of assessable profits.
- C** Capital expenditure that is not deductible under ss.16A to 16L will be eligible generally for depreciation allowances.
- D** Capital expenditure that is not deductible under ss.16A – 16L may nevertheless be deductible if it is deductible under generally accepted accounting practices.

➤ 3.6 DISTINCTION BETWEEN CAPITAL AND REVENUE ITEMS

The distinction between revenue and capital is one of the oldest and most important questions in revenue law.

3.6.1 Capital Receipts and Revenue Receipts

The general rule under s.14(1) is that revenue profits are taxable and capital gains (or, specifically, gains derived from the sale of a capital asset) are expressly exempt from tax. What constitutes a capital asset as opposed to a revenue asset will depend on the specific trade or business carried on by the taxpayer. The distinction between revenue and capital is one of the oldest issues of revenue law. An introductory analogy that is often used is that capital is the plant and revenue is the fruit. Capital comprises those assets that are used in the production of profits, or are held otherwise than as the stock-in-trade of the taxpayer. Revenue assets are, generally speaking, trading stock – that is, an asset turned over to generate trading profits. Typically revenue receipts (also called *trading receipts*) include receipts from: services in the course of business, the disposal of trading stock, and activity that is only incidental to the business.

For example, from the perspective of a company providing consultancy services, immovable property is likely a capital asset: it is necessary to house the offices where the employees of the taxpayer work and meet their clients. But immovable property is not turned over in the ordinary course of a consultancy undertaking. Conversely, immovable property will likely be a revenue asset in the context of a property developer's trade. A property developer turns over immovable property in the ordinary course of its trade: immovable property is the subject-matter of its profit-making operations.

One approach to distinguishing revenue and capital assets is to consider the distinction between fixed capital and circulating capital. Receipts may be separated into those that are related to fixed capital and those related to circulating capital. Capital receipts are typically connected to a business's fixed assets (i.e. fixed capital), whereas revenue receipts are those that are connected to a business's current assets (i.e. circulating capital).

The English decision in *IRC v John Lewis Properties plc* (2003) STC 117 provides some helpful general guidance. The Court held in that case that one should consider: (1) an asset that is long-lasting is more likely to be a capital asset (although this factor must be considered in the context of the overall business), (2) the higher the value of the asset relative to the aggregate assets of the taxpayer as a whole, the likelier it is to be capital in nature, (3) if a payment permanently diminishes the value of an asset held by the taxpayer, it is more likely to be a capital payment, (4) a lump sum tends to indicate a capital payment, whilst recurring payments tend to be receipts of a revenue nature, and (5) where risk is transferred to the transferee, the transaction is more likely to be capital in nature. Those are very general rules, but the case law provides for additional guiding principles that can assist in distinguishing between a revenue asset and a capital asset in specific contexts:

1. Where a trader is deprived of an asset and receives compensation or damages, the sum received may be either a taxable trading receipt or a non-taxable capital receipt. Where the sum is received to compensate for lost trading profits, the compensatory sum assumes the same character of the trading profits themselves and is therefore taxable (*Lincolnshire Sugar v Smart* (1937) AC 697). Where the sum is received in compensation for the total cessation of the business or for the 'sterilisation' (that is, the total cessation of function) of a capital asset, the sum will, by the same logic, be a capital receipt (*Glenboig Union Fireclay Co Ltd v IRC* (1921) 12 TC 427).
2. Compensation for a temporary loss of use of an asset is revenue in nature whereas compensation for the permanent loss or cost of repair is capital in nature. For example, the compensation received for the loss of use during the period of repair was held to be revenue in nature and taxable because it represented the trading profit which the owner would have earned if he had had the use of the asset. (*London & Thames Haven Oil Wharves Ltd v Attwooll* (1966) 43 TC 491)
3. Compensation for the cancellation of a business contract affecting the very structure of the taxpayer's business will likewise be treated as a capital receipt, the view being taken that such contracts are in effect capital assets (*Van den Berghs Ltd v Clark* (1935) AC 431). Conversely, cancellation of ordinary trading contracts are, by analogy, comparable to compensation in lieu of trading profits and are therefore revenue receipts (*Kelsall Parsons & Co v IRC* (1938) 21 TC 608). Where a given contract goes to the very structure of the taxpayer's business or is a mere trading or business contract will be a mixed question of fact and law. You should always bear in mind the specific context of the taxpayer's business.
4. In D170/98, a sum received by a landlord from its tenant upon premature termination of the tenancy was held to be revenue in nature. It was because the landlord's profit-making abilities lied in the property rather than the tenancy agreement and the destruction of the tenancy agreement did not destroy the property.

5. A payment in consideration for a restriction on trade (such as an undertaking not to trade or otherwise to limit business activity) will in general not be treated as a revenue receipt because it will by definition be received outside the ordinary course of a trade or business (*Higgs v Olivier* (1952) Ch 311). Note that since the introduction of comprehensive competition legislation in Hong Kong, such payments may in certain cases be unlawful.
6. Even though a transaction is an isolated transaction, the profits thereof may nonetheless be of a revenue nature (*Edwards v Bairstow* (1956) AC 14). The underlying question will in any event be whether as a matter of fact and law the transaction was a trading transaction, for which you may refer back to the badges of trade. Thus, the one-off disposal of a single piece of immovable property may nonetheless give rise to a revenue receipt. By the same token merely because there are recurring transactions does not mean that the transaction was in the ordinary course of trade (*Lee Yee Shing v CIR* (2008) 3 HKLRD 51).
7. Merely deriving income or a gain from an asset does not necessarily mean that the income or gain in question are revenue in nature. Where a capital asset is turned to account apart from the ordinary course of the taxpayer's trade, or otherwise immediately prior to its commencement, receipts arising from the exploitation of that capital asset will not be revenue receipts (*Mamor Sdn Bhd v DGIR* (1985) STC 801).

Debt forgiveness (i.e. waiver of a loan) has been held not to be taxable (*British Mexican Petroleum Co Ltd v Jackson* (1932) 16 TC 570), though note the effect of s.15(2) is to tax any debt remitted with respect to which tax deductions had previously been claimed.

Illustrative Example 13

GSHM retails garments. Garments, supplied from its manufacturers, are therefore its stock in trade. Profits realised from the sale of garments are therefore income or trading profits: they arise from the sale of trading stock. Conversely, the leases to the various retail premises GSHM owns in Hong Kong are, in the context of its business, capital in nature. They are essential to the carrying on of the business of GSHM, but they are not its stock in trade: GSHM does not deal in leases, or sell these in the ordinary course of its business. If it did find a willing purchaser for one of its commercial leases, and decided to sell on the grounds that it no longer required the premises, any gains arising from that disposal would not be chargeable under s.14(1). That is because they would be gains from the sale of a capital asset.

The above illustrative example can be contrasted with the case of *Church Body of the Hong Kong Sheng Kung Hui v CIR* (2017) 1 HKC, where an ecclesiastical foundation owning a plot of land entered into a redevelopment project ultimately to realise that land for a profit. It was common ground that the disposal of the land was a trading disposal for the taxpayer, and not a capital disposal, because it had entered into an adventure in the nature of trade when it agreed to participate in the redevelopment project.

In the judgment, the court laid down the principle that one should look at whether the taxpayer has expended time, money, effort in selling the asset or commodity that goes beyond what might be expected of a non-trader seeking to sell an asset of that class.

The key issue, however, was when the change of intention occurred, because that would have established the 'base price' against which the profits of the taxpayer were to be computed upon realisation of the redevelopment project. That case serves as an important reminder that where an asset has been used as capital, it can become trading stock if the taxpayer changes its intention with regards to that asset. Similarly, an asset that was once trading stock can become capital in nature if it is no longer as a matter of fact and law used as trading stock.

3.6.2 Capital Expenditure and Revenue Expenditure

One of the distinguishing factors of revenue (or income) expenditure is that it tends to recur. Conversely, capital expenditure tends to be made once and for all. Contrast the yearly recursion of expenditure for the acquisition of trading stock, or the payment of utility bills on the one hand and, on the other hand, the once and for all character of the acquisition of a machine, or office premises (*Vallambrosa Rubber Co Ltd v Farmer* (1910) 5 TC 529). That is a useful starting point, but it is not necessarily applicable to all cases. In *British Insulated and Helsby Cables Ltd v Atherton* (1926) AC 205, the court held that when an expenditure is made, not only once and for all but with a view to bringing into existence an asset or an advantage for the enduring (albeit not necessarily permanent) benefit of a trade, in the absence of special circumstances leading to an opposite conclusion, it should be treated as capital.

Sometimes a distinction is drawn between expenditure for 'fixed capital' and 'circulating capital'. In summary, the distinction is as follows: fixed capital comprises assets for the purpose of producing income (such as machinery or land), while circulating capital comprises assets which are temporarily parted with to be circulated in the business and which return with an increment (such as trading stock).

In *Sun Newspapers Ltd and Associated Newspapers Ltd v FCT* (1938) HCA 73, the court held that expenditure is of a capital nature, if it was made to establish, replace or enlarge the capital structure of the taxpayer's business. Such expenditure is, however, to be distinguished from expenditure to preserve the capital, the profit-yielding or the structure of a business which would generally be deductible.

In determining whether expenditure is capital or revenue in nature, substance is more important than form. One needs to ask what the payment was for. The payment for a capital operation – for example, clearing a piece of land to make it suitable for cultivation or another form of exploitation – is capital in nature even if it is spread out over a number of years. Similarly, a lump sum payment as a prepayment of interest to a bank should be treated as revenue in nature, and so deductible if incurred in the production of taxable profits.

Note that the general rule in s.17(1)(c) is subject to the availability of deductions under ss.16A to 16L, and depreciation allowances.

Illustrative Example 14

GSHM wishes to expand its retail presence in the New Territories with a view to taking advantage of Chinese day trippers. Accordingly, it acquires the lease to commercial premises in Yuen Long, and acquires a sophisticated IT system to keep track of inventory and sales. The acquisition of the lease is capital in nature: it is a once and for all expenditure, because no further payments are required for GSHM to enjoy exclusive use of the premises. If, however, GSHM had merely rented the premises, with rent payable on a monthly basis, that would have been a periodic expenditure. Rent is consideration for the right to continue to occupy the property, but if GSHM fails to pay rent, the landlord may re-enter the premises. Accordingly, rent is distinguishable from a lease because renting on a monthly or even annual basis confers no lasting benefit. Conversely, a lease does. Similarly, the IT system is a once and for all expenditure that confers a lasting advantage to the business of GSHM. It is accordingly capital in nature. However, to the extent that it is IT software, it would likely qualify as a prescribed fixed asset under s.16G, and therefore the expenditure incurred in procuring the system would be deductible in full, notwithstanding anything in s.17(1)(c).

► Knowledge Check Questions

Question 6

Assume that GSHM derives the following profits in the year of assessment 2018/19: (i) HK\$75 million profit from retailing in shops in Hong Kong; (ii) HK\$500,000 of interest from a deposit with Ah Long Bank, a Hong Kong bank; and (iii) HK\$10 million gain from the disposal of an office in Causeway Bay.

- A** Determine the extent to which each item of profit or gain chargeable to profits tax.
- B** Explain what additional information would you need to provide a reasonably certain opinion in this matter.

3.7 DEPRECIATION ALLOWANCES

Expenditure of a capital nature is generally not deductible. Thus, s.18F provides for the assessable profits of a person for any year of assessment to be decreased by the amount of any depreciation allowances (also known as capital allowances) made to the person under Part VI of the Ordinance, and to be increased by the amount of any balancing charge directed to be made on the person under the same Part. The relevant allowances and charges apply in respect of certain:

1. industrial buildings and structures;
2. commercial buildings and structures; and
3. machinery and plant.

The prohibition against deducting capital expenditure is disadvantageous to capital-intensive industries, such as those that require extensive plant and machinery. Accordingly, the availability of depreciation allowances mitigates the harshness of s.17(1)(c) for capital-intensive sectors by allowing taxpayers acquiring a qualifying capital asset, such as machinery and industrial buildings, to deduct a portion of the acquisition cost each year, until the acquisition cost is fully used up. In practice, that approach enables the taxpayer to spread the cost of acquiring plant, machinery, and industrial or commercial buildings over a period of time. There is a significant difference between the rate of depreciation allowances applicable to different assets.

Balancing charges or allowances may arise to reflect the cessation of use or disposal of the asset subject to depreciation allowances. The general rule is that, because the depreciation regime is to provide for allowances on the acquisition cost of the capital asset, where the asset is then disposed of at a profit relative to the acquisition cost as adjusted to reflect depreciation, a balancing charge to tax will arise. Conversely, where the asset is sold at less than the adjusted acquisition cost, a corresponding balancing allowance will arise.

Note that the general test of use in the production of assessable profits must always be satisfied with respect to the capital asset for which depreciation allowances are claimed. If the asset is used outside of the course of the trade or business carried on by the taxpayer, no deductions are available and the depreciation allowance regime would not apply.

3.7.1 Depreciation Allowance for Machinery or Plant

Plant and machinery attract much more generous depreciation allowances than buildings, so it is important to identify assets correctly as either machinery buildings. 'Machinery' and 'plant' are not defined in the IRO. The case law on point – see for example *CLP Power Hong Kong Ltd v Commissioner of Rating and Valuation* (2017) 3 HKC 249 – suggests that machinery involves a complex system composed of constituent parts, such as a machine or electronic hardware, whereas plant is a physically fixed capital asset, like, for example, a drainage system, or electric wires. S.40(1) provides, inter alia, that 'capital expenditure on the provision of machinery or plant' includes capital expenditure on alterations to an existing building incidental to the installation of that machinery or plant.

Depreciation allowances for capital equipment are in general as follows:

- 100% of the first year allowances can be made for manufacturing plant and machinery, computer equipment, environmental protection machinery and environment-friendly vehicles (see Section 3.5.2 in this chapter);
- 60% of the cost of all other plant and machinery can be written off in the first year with a rate of 10-30% written off thereafter; and
- Special provisions apply to plant and machinery under a sale and leaseback arrangement.

You should consult Rule 2 of the Inland Revenue Rules for the exact rates of depreciation applied to various capital assets.

In general, depreciation allowances for machinery or plant are computed under the pooling system, which was introduced from the year of assessment 1980/81 and is implemented to avoid the frequent computation of balancing allowances or charges by creating a 'pool' of capital expenditure on machinery or plant which qualifies for an annual allowance at the same rate. This is primarily a matter of computation. The prior question always remains whether the asset in question qualifies for depreciation allowances and, if so, at what rate.

3.7.1.1 Initial Allowance under s.39B(1)

An initial allowance of 60% is granted to the person who has incurred a capital expenditure on the provision of machinery or plant, not being an expenditure related to machinery or plant used for research and development (allowable under s.16B), a prescribed fixed asset (allowable under s.16G) or environmental protection facilities (allowable under s.16H to s.16K), for the year of assessment in which the expenditure was incurred.

Provided that the machinery or plant is acquired or the capital expenditure is incurred with an intention to be used in the production of assessable profits/income and is so used in later years, there is no requirement for the machinery or plant to be in use in the basis period for the granting of the initial allowance.

For expenditures on provisions of machinery and plant—that are not used for certain identified purposes—the person who has incurred an expenditure is granted a 60% initial allowance for the year of assessment in which the expenditure was made. The purposes excluded from this allowance are listed in Exhibit 3.5.

Type of expenditure	Section for allowance
Machinery or plant used for research and development purposes	s.16B
Prescribed fixed assets	s.16G
Facilities used for environmental protection	ss.16H–K

► EXHIBIT 3.5 Exceptions to initial allowance under s.39B(1)

For certain types of machinery and plant, the basis period does not need to be used to grant the initial allowance of the capital expenditure. This is the case if there is a reasonable expectation that the asset will be used to generate assessable income or profits in future years.

3.7.1.2 Annual Allowance under s.39B(2)

Under s.39B(2), machinery or plant may be depreciated according to an annual allowance. In such cases, the value of a group of like assets (called a *pool*) is reduced according to a rate of 10%, 20% or 30%, depending on the type of assets contained in the pool. (All assets grouped together in a pool must have the same annual allowance rate.)

3.7.1.3 Balancing Charge or Balancing Allowance under s.39D

A balancing charge results when disposal proceeds exceed the reducing value of a pool. A balancing charge is taxable. The sale proceeds deducted from pool are limited to the assets' original costs ranked into the pool. When a company ceases its business, the reducing value of a pool would become deductible and be regarded as balancing allowance.

Illustration of Depreciation Allowance Calculation (Adapted from DIPN 7)

A taxpayer commenced business on 2 February 2018. The accounts of the business are made up to 31 December each year. During the first year of trading, the following items of machinery and plant were purchased:

1 automobile	HK\$150,000	(30% annual allowance rate)
3 electric cookers	HK\$50,000	(30% annual allowance rate)
1 set of office furniture	HK\$20,000	(20% annual allowance rate)
2 room air-conditioning units	HK\$28,000	(20% annual allowance rate)

Machinery and plant depreciable at the same annual allowance rate is organised into pools for the purpose of calculating the depreciation allowances. For example, the automobile and electric cookers, which all have a 30% annual allowance rate, would be pooled together. Similarly, the office furniture and air-conditioning units would be grouped into another pool with an annual allowance rate of 20%. For the year of assessment 2018/19, the company is entitled to depreciation allowances totalling HK\$176,640, computed as follows:

	30% Pool	20% Pool	Allowance
	HK\$	HK\$	HK\$
Cost	200,000	48,000	
Less: IA (60%)	<u>(120,000)</u>	<u>(28,800)</u>	148,800
	80,000	19,200	
Less: AA	<u>(24,000)</u>	<u>(3,840)</u>	27,840
Reducing value c/f	<u>56,000</u>	15,360	
		Total	<u>176,640</u>

During the year ended 31 December 2019, the automobile was damaged beyond repair in an accident. The insurance company paid HK\$30,000 and the taxpayer also obtained HK\$1,000 from a scrap dealer for the wreck. During the same year, a new van was purchased

for HK\$180,000, an electric cooker was disposed of for HK\$3,000 and a room air-conditioning unit was sold for HK\$2,000 and replaced with a new one purchased for HK\$8,000.

For the year of assessment 2019/20, the taxpayer would be entitled to depreciation allowances totalling HK\$144,312, computed as follows:

	30% Pool	20% Pool	Allowance
	HK\$	HK\$	HK\$
Reducing value b/f	56,000	15,360	
Add : New assets	<u>180,000</u>	<u>8,000</u>	
	236,000	23,360	
Less: IA	<u>(108,000)</u>	<u>(4,800)</u>	112,800
	128,000	18,560	
Less: Sale proceeds	<u>(34,000)^e</u>	<u>(2,000)</u>	
	94,000	16,560	
Less: AA	<u>(28,200)</u>	<u>(3,312)</u>	31,512
Reducing value c/f	<u>65,800</u>	<u>13,248</u>	
		Total	<u>144,312</u>

^eSale proceeds: HK\$34,000 = HK\$30,000 + HK\$1,000 + HK\$3,000

3.7.1.4 Assets Brought into Business after Non-business Use: s.37(2A) and s.39B(6)

When an asset previously acquired for non-Hong Kong business use, such as private use or use by an overseas branch where profits from the branch are of offshore nature and non-taxable, is subsequently transferred to the relevant pool for business purposes, no initial allowance is granted as no capital expenditure is incurred. Annual allowance is to be computed based on the written down value of the asset added to the pool (i.e. cost of the asset less notional amount of annual allowances for the period of non-business use). No entitlement to initial allowance arises in such circumstances. This is because entitlement only arises when the taxpayer incurred the capital expenditure on the provision of machinery or plant for the purpose of producing profits chargeable to tax. It follows that where the expenditure is incurred for some other purpose, irrespective of how the machinery or plant is subsequently used, the requirement for entitlement is not satisfied.

Illustrative Example: Assets Brought into Business Use

Mr. Chan carried on a trading business in Hong Kong, as a sole proprietorship business, namely Chan & Co., for some years. He in his own name purchased a car for private use on 10 May 2017 at a cost of HK\$160,000. The car was transferred to Chan & Co.'s business use on 12 August 2019. The Chan & Co.'s accounts are made up to 31 March each year.

		30% Pool
		HK\$
Actual Cost		160,000
Less:	2017/18 Notional annual allowance	
	HK\$160,000 × 30%	(48,000)
		112,000
Less:	2018/19 Notional annual allowance	
	HK\$112,000 × 30%	(33,600)
Notional cost of asset ^a		78,400

^aThe notional cost of HK\$78,400 will be transferred into Chan & Co.'s 30% pool. Note that for the purposes of the 30% pool in the 2019/20 and subsequent years of assessment, the car would be treated as if it had been purchased on 12 August 2019 for HK\$78,400.

3.7.1.5 Assets Succeeded from a Trade without Purchase

When an asset is succeeded from a trade without a purchase, the reducing value carried forward is transferred from the succeeding business to the successor (s.37) and the transferor sees no balancing adjustment (s.39D).

The reducing value transferred is used to determine the annual allowance for the successor. Because the successor has not incurred any capital expenditures on the provision of the succeeded assets, the successor sees no initial allowance.

Illustrative Example: Balancing Charge (Adapted from DIPN 7)

Company B has been trading in Hong Kong for several years. It owned three motor vehicles as at 30 June 2017. During the year ended 30 June 2018, Company B sold one for HK\$130,000 without replacing it, and during the following year another one for HK\$60,000, again without replacing it. In each case the vehicle was sold for less than its original cost. The accounts of the business are made up to 30 June each year.

The reducing value carried forward after the 2017/18 allowances was HK\$125,000 for the 30% pool. As a result of the disposals, balancing charges, computed as follows, would be made:

Year of Assessment 2018/19	
	30% Pool
	HK\$
Reducing value b/f	125,000
Less: Disposal value	(130,000)
Balancing charge [s.39D(1)(a)]	5,000
Reducing value c/f [s.39D(1)(b)]	Nil

Year of Assessment 2019/20

	30% Pool
	HK\$
Reducing value b/f	Nil
Reducing value c/f	Nil
Less: Disposal value	<u>(60,000)</u>
Balancing charge [s.39D(1)(a)]	<u>60,000</u>

Illustrative Example: Balancing Charge and Allowance (Adapted from DIPN 7)

Company C has been trading in Hong Kong for some years. Its accounts were made up to 30 September each year. On 15 May 2018, it ceased trading. During the final year it purchased machinery costing HK\$20,000, which qualified for the 20% annual allowance rate. The reducing values of the 20% and 30% pools after the 2017/18 allowances were HK\$13,000 and HK\$21,000, respectively. On cessation, the machinery and plant were sold for HK\$15,000 and HK\$28,000, for the 20% and 30% pools, respectively. The resulting balancing allowance and balancing charge for the cessation year would be computed as follows:

Year of Assessment 2018/19		
	30% Pool	20% Pool
	HK\$	HK\$
Reducing value b/f	21,000	13,000
Add: New asset		<u>20,000</u>
		33,000
Less: IA		<u>(12,000)</u>
		21,000
Less: Sale proceeds	<u>(28,000)</u>	<u>(15,000)</u>
Balancing allowance [s.39D(2)]		<u>6,000</u>
Balancing charge [s.39D(2)]	<u>7,000</u>	

3.7.1.6 Situations Where Pooling Does Not Apply

DIPN 7 outlines the situations where the pooling system does not apply. They are as follows:

- Assets are acquired under hire purchase.
- Total depreciation allowances are not to exceed the total capital expenditure.
- A balancing allowance concession applies.
- Machinery or plant is used partly for the purposes of the business or trade.
- These situations will be outlined in the following sections.

Assets Acquired under Hire Purchase (s.37A)

Assets acquired under a hire purchase agreement are covered in s.37A. It is important to define 'hire-purchase' and to distinguish such an arrangement from a 'lease'.

Under s.2, a 'hire-purchase agreement' is an agreement for the bailment of goods under which the bailee may buy the goods, or under which the property in the goods will or may pass to the bailee.

A lease, in relation to any machinery or plant, includes the following arrangements:

1. Any arrangement under which a right to use the machinery or plant is granted by the owner of the machinery or plant to another person; and
2. Any arrangement under which a right to use the machinery or plant, being a right derived directly or indirectly from a right referred to above, is granted by a person to another person.

A hire purchase agreement or a conditional sale agreement does not qualify as a lease unless, in the opinion of the Commissioner, the right under the agreement to purchase or obtain the property in the goods would reasonably be expected not to be exercised.

In general, a lease that provides an option to the lessee to acquire the asset upon the expiry of the lease would be regarded as a hire-purchase agreement. If a lessee exercises the option to acquire a leased asset, the reducing value is transferred to the applicable pool in the next year of assessment (s.39C).

If the lessee chooses not to exercise the option to acquire (or until the lessee chooses to do so), lease payments will normally be regarded as rental payments for the right to use an asset. If the asset is used in the production of assessable profits, the lease payment would be deductible under s.16(1).

For a 'hire-purchase' agreement, depreciation allowance will be granted as follows:

- Initial allowance is calculated at 60% on the capital portion of the payments made during the basis period (s.37A).
- Annual allowance is calculated at the appropriate rate of either 10%, 20% or 30% on the asset's reducing value at the end of the basis period (s.37A(2)).
- The reducing value is computed by subtracting the initial allowance and the annual allowance from the asset's cash price.

Balancing Charge or Balancing Allowance

Like other plant and machinery, assets acquired through a hire-purchase agreement may be destroyed, retired, or sold. When this happens, the asset is disposed of, which will result in either a balancing charge or a balancing allowance (s.38).

As stated in Section 3.7.1.3, a balancing charge results when disposal proceeds (limited to original acquisition cost) exceed the respective reducing value. A balancing charge is taxable. Yet unlike the mechanism in the pooling system, a balancing allowance results when the opposite occurs: the reducing of the value of the hire purchase asset exceeds the disposal proceeds. The amount is the balancing allowance and is deductible.

Illustrative Example: Hire-Purchase Assets (Adapted from DIPN 7)

Dee Ltd has been trading in Hong Kong for some years. It acquired a printing machine at a hire-purchase price of HK\$220,000 in January 2019. The cash price was HK\$160,000. A deposit of HK\$10,000 was paid in January 2019. The first of the 24 monthly instalments was paid in February 2019. Dee Ltd closes its accounts on 31 March annually. Depreciation allowances would be made to the taxpayer as follows:

	20% HP	Allowance	Y/A
	HK\$	HK\$	
Cost	160,000		
Less: IA (HK\$10,000 + HK\$150,000 × 2/24) × 60%	(13,500)	13,500	
	146,500		
Less: AA	(29,300)	(29,300)	
Reducing value c/f	117,200		
Reducing value b/f		42,800	2018/19
Less: IA (HK\$150,000 × 12/24 × 60%)	(45,000)	(45,000)	
	72,200		
Less: AA	(14,440)	(14,440)	
	57,760		
		59,440	2019/20
Less: IA (HK\$150,000 × 10/24 × 60%)	(37,500)	(37,500)	
	20,260		
Less: AA	(4,052)	(4,052)	
Reducing value c/f ^a	16,208		
		41,552	2020/21

^a The reducing value c/f of HK\$16,208 will be transferred into the 20% pool in the following year (i.e. 2021/22).

3.7.2 Industrial Building Allowance (IBA)

Depreciation allowances are available for industrial buildings and structures, as defined in s.40(1). In general, these include factories, plants generating electricity, structures for manufacturing and processing facilities and buildings for the business of agriculture and scientific research in relation to any trade, profession or business.

The initial allowance is 20% of the cost of construction of the premises, with an annual allowance of 4% thereafter (balancing allowance or charge will be due upon disposal of the premises).

'Industrial building or structure' means any building or structure, or part thereof, which is used in a qualifying trade. 'Structure' covers artificial works not commonly regarded as

buildings, such as walls, bridges, dams, roads, fish ponds, boreholes and wells, sewers, water mains, tunnel linings, wharves and railway sidings.

Buildings or structures that do not qualify as IBA include offices, showrooms, hotels, retail stores and other non-industrial spaces. If a building or structure is mixed use, meaning a portion of it qualifies as IBA, the 10% rule applies. Under the 10% rule, provide the non-qualifying part of the building does not exceed 10% of the space, IBA is still granted. However, if the non-qualifying portion exceeds 10%, IBA is not granted.

IBA is granted to the qualifying person who has incurred the qualifying expenditure and carries on a qualifying trade. These terms are explained in the following sections.

3.7.2.1 Qualifying Trade

Pursuant to s.40(1), 'qualifying trade' means:

- A trade carried on in a mill, factory or similar premises;
- A transport, tunnel, dock, water, gas or electricity undertaking or a public telephonic or telegraphic service;
- A trade consisting of the manufacture of goods or materials or the subjection of goods or materials to any process;
- A trade consisting of the storage of goods or materials:
 - Which are to be used in the manufacture of other goods or materials;
 - Which are to be subjected in the course of a trade to any process; or
 - On their arrival into Hong Kong.
- A farming business; or
- For the purposes of research and development related to any trade, profession or business.

If only part of a trade qualifies, no allowances would be granted. In *Tai On Machinery Works Ltd* (1969) 1 HKTC 411, the taxpayer, a retail distributor, packed goods but such activity was only part of its trade. Because the taxpayer's trade did not include manufacturing or processing goods or materials, no IBA was available.

In that same case, it was held that importing leather goods for sale in Hong Kong did not qualify as a trade of storage, even though the taxpayer stored the goods until they could be sold. As such, typical storage of a trader's or manufacturer's goods is not sufficient to qualify as a trade of storage.

In *Aberdeen Restaurant Enterprises Ltd* (1989) 2 HKTC 330, it was held that a floating restaurant did not qualify as an 'industrial building or structure' and that food that was cooked there did not qualify as 'goods or materials are subjected to a process'. The argument was that, 'process' connotes a substantial measure of uniformity of treatment or system of treatment. In the process of food preparation, 'each individual dish is prepared separately depending on the order placed by the customer,' making it very different from any manufacturing process. Furthermore, running a restaurant is generally accepted and described as a service industry—not a manufacturing industry—so the process of cooking food is only incidental to the business of a restaurant.

3.7.2.2 Qualifying Building or Structure

S.40(1) provides that once a qualifying trade is established, all buildings or structures (or a part thereof) used in that trade qualify, except:

1. Dwelling houses (other than for housing manual workers);
2. Retail shops;
3. Showrooms;
4. Hotels; and
5. Offices (except for design offices) (see *CIR v Lambhill Ironworks Ltd* (1950)).

In cases where part of a building or structure is not used for a qualifying purpose, the whole building will be regarded as falling within the definition if the following applies: The capital expenditure incurred on such part of the building or structure does not exceed 10% of the whole expenditure.

If it exceeds the 10% threshold, an apportionment of the capital expenditure on the building or structure is required for computing the industrial building allowance for the qualifying portion. A commercial building allowance will be granted for the part of the building or structure not used as an industrial building or structure.

3.7.2.3 Qualifying Expenditure

In order to qualify for the allowance, the expenditure must be a capital expenditure incurred on the construction of a building or structure, which includes:

1. Interest paid and commitment fees incurred in respect of a loan made for the sole purpose of financing the provision of an industrial building or structure, i.e. interest expenses and related borrowing costs incurred for the period up to the completion of the building. Normally, the date of issue of occupation permit is regarded as the time of completion of the building (see *Wharf Properties Limited v CIR* (1997) 1 HKRC 90-085); and
2. Expenditure incurred on site investigation, on ordinary work done in preparation for the laying of foundations, or on the laying of drains, sewers and water mains for a building; but excludes expenditure reimbursed by grant, subsidy or similar financial assistance; expenditure deductible under s.16F and expenditure incurred on:
 - a. The acquisition of land, or of rights in or over land (s.40(3));
 - b. Evicting existing tenants;
 - c. Demolishing an existing building on the land; and
 - d. Preparing and levelling the land.

Capital expenditure incurred prior to commencement of a trade, profession or business is treated as if it was incurred on the day the trade, profession or business commences (s.40(2)).

3.7.2.4 Qualifying Person

Industrial building allowance is granted to a person who incurs capital expenditure on the construction of an industrial building or structure and/or is entitled to the relevant interest in

relation to the qualifying expenditure and uses the building or structure for the purposes of his trade, profession or business to produce assessable profits (s.34).

3.7.2.5 Initial Allowance under s.34(1)

An initial allowance of 20% of the qualifying expenditure is granted to:

1. A person who has incurred the cost of construction; or
2. A purchaser who has purchased an unused building or structure and brought it into use.

Initial allowance is granted for the year of assessment in the basis period for which the expenditure is incurred. This is the case even if a structure will not be in use at that time (s.34(1)). Once a structure or building is put into use, any initial allowance can be withdrawn through an additional assessment if the building does not qualify as an industrial building or structure.

3.7.2.6 Annual Allowance under s.34(2)

An annual allowance, of 4% of the qualifying expenditure is granted to a person who has a 'relevant interest' in relation to the qualifying expenditure incurred on the construction of the building or structure. Under s.40(1), 'relevant interest' means the interest in a building or structure to which the person who incurred the expenditure was entitled when he incurred it. To qualify for the annual allowance, the building or structure must be in use as an industrial building or structure at the end of the basis period (s.34(2)(a)).

3.7.2.7 Balancing Charge or Balancing Allowance under s.35

A balancing adjustment (balancing charge or balancing allowance) in respect of a building or structure may arise in the following circumstances (s.35(1)):

1. The relevant interest in the building or structure is sold;
2. If it is a leasehold interest, the lease comes to an end except where the lessee acquires the reversionary interest (e.g. the lessee purchases the property from the lessor), the lessee remains in possession, an old lease is extended, or a new lease is granted (s.35A); or
3. The building or structure is demolished or destroyed, or ceases altogether to be used; and
4. The building or structure has been a commercial or an industrial building or structure at any time before the occurrence of such event.

A balance is computed between the residue of expenditure immediately before any of the above events and the sale price, insurance, salvage or compensation moneys (if any).

In the context of industrial buildings or structures, **residue of expenditure** begins with the amount of:

1. Any initial allowance (IBA) made under s.34(1);
2. Any annual allowance made under s.33A (commercial building allowance) or s.34(2) (IBA); or

3. Any balancing allowance made under s.35; and increased by any balancing charge made under s.35.

If a building is not used as a commercial or industrial building or structure in any year of assessment, a notional allowance at a rate equal to the annual allowance on the qualifying expenditure will be written off at the end of the basis period. Such a notational allowance cannot be deducted; it is used to determine the structure or building's residue of expenditure.

If the residue of expenditure exceeds the amount of the sale, insurance, salvage or compensation, the difference is a balancing allowance (s.35(2)(a)). In certain situations, no such balancing allowance is made. These include the following:

- (a) The building or structure is demolished for purposes unconnected with or not in the ordinary course of conduct of the trade, profession or business (s.35(2)(b)(ii)). For example, if an industrial site is demolished so it can be sold, or so a residential complex can be erected, the balancing allowance is not permitted. This is because the demolished industrial site is not being replaced by a building or structure to be used for the same trade or business purposes.
- (b) The building or structure did not qualify as being commercial or industrial immediately before being demolished. For example, if an industrial site is not in use for several years, so it no longer qualifies as an industrial site at the time it is demolished, it cannot be permitted the balancing allowance (s.35(2)(b)(i)).

If the amount of a sale, insurance, salvage, or compensation exceed the residue of expenditure, the difference is taxable as a balancing charge under s.35(3), unless the amount of the charge exceeds the total amount allowances granted to the entity under ss.33–35.

3.7.2.8 Purchase of Used Building or Structure

If an industrial building or structure is sold, the purchaser of the used industrial building or structure is entitled to an annual allowance calculated for a building first used during or after the basis period for 1965/66.

The amount of annual allowance for any year of assessment should not exceed the residue of expenditure at the end of the basis period for that year of assessment (s.33A(3)).

The residue of expenditure after sale is calculated as follows:

Qualifying expenditure

– Initial allowance

– Annual allowance

– Notational allowance

+ Balancing charge

– Balancing allowance _____

= Residue of expenditure after sale

Illustrative Example 15 – IBA Calculation (Adapted from DIPN 2)

Ace Ltd constructed a factory at a cost (excluding the value of the site) of HK\$500,000. The amount was due when the factory was first used, in February 2014. Ace Ltd carries on a qualifying trade, and makes up accounts to 31 December each year.

The factory was sold on 31 October 2018 for HK\$420,000 (excluding the value of the site), to Bee Ltd who started a similar trade on 10 November 2018, and makes up accounts to 31 March. Ace Ltd continues to trade.

	HK\$	HK\$
Ace: 2014/15		
Cost		500,000
Initial allowance @ 20%	100,000	
Annual allowance @ 4%	<u>20,000</u>	<u>(120,000)</u>
		380,000
2014/15 to 2017/18		
Annual allowance 3 yr @ 4%		<u>(60,000)</u>
Residue before sale		320,000
2018/19		
Sale price		<u>(420,000)</u>
Balancing Charge		<u>100,000</u>
Bee: 2018/19		
Residue before sale		320,000
Add balancing charge made on Ace		<u>100,000</u>
Residue after sale		<u>420,000</u>
Annual allowance ^a		20,000

^a Calculation of Annual Allowance for Bee:

- Year of first use 2013/14 (note it is the fiscal year, not the year for which allowances were first given)
- The 25th year after year of *first* use is 2038/39
- To Bee, the sale took place in 2018/19
- Number of years from 2018/19 to 2038/39 = 21
- Amount of annual allowance to Bee:
 $1/21 \times \text{HK\$}420,000 = \text{HK\$}20,000$
 (Note that only Bee gets an allowance for 2018/19.)

Illustrative Example 16 – IBA Calculation (Adapted from DIPN 2)

Ace Ltd constructed a factory at a cost (excluding the value of the site) of HK\$2,000,000. It was completed and brought into use in July 2015. The building contract provided that instalments should be paid monthly and HK\$500,000 was due and paid before 31 March 2015. The balance was paid during the year ended 31 March 2016.

Ace Ltd has carried on a qualifying trade since 2008, and makes up accounts to 31 March each year.

The factory was sold to Bee Ltd, who had been carrying on a qualifying trade for some years, on 31 October 2018 for HK\$5 million (including the value of the site). Bee Ltd makes up accounts to 30 June each year. The site value is estimated at HK\$2.5 million. Ace Ltd continues to trade.

		HK\$	HK\$
Ace:	2014/15		
	Cost		2,000,000
	Initial allowance @ 20% of HK\$500,000 (no annual allowance as building not in use at 31 March 2015)		<u>(100,000)</u>
			1,900,000
	2015/16		
	Initial allowance @ 20% of HK\$1,500,000	300,000	
	Annual allowance @ 4% of HK\$2,000,000	<u>80,000</u>	<u>(380,000)</u>
			1,520,000
	2016/17 and 2017/18		
	2 yr annual allowance residue before sale		<u>(160,000)</u>
			1,360,000
	2018/19		
	Sale price (HK\$5m less HK\$2.5m) excess		<u>2,500,000</u>
			<u>1,140,000</u>
	Balancing charge, limited to allowances given		<u>640,000</u>
Bee:	2019/20		
	Residue before sale		1,360,000
	Balancing charge made on A		<u>640,000</u>
	Residue after sale		<u>2,000,000</u>
	Annual Allowance ^a		90,910

Illustrative Example 16 (continued)

^a Calculation of Annual Allowance for Bee:

- Year of first use 2015/16
- The 25th year after year of *first* use is 2040/41
- To Bee, the sale took place in the year 2019/20
- Number of years from 2019/20 to 2040/41 = 22
- Amount of Annual Allowance to Bee:
 $1/22 \times \text{HK\$}2,000,000 = \text{HK\$}90,910$ (2019/20 to 2039/40, 21 yr)
- Final year of allowance 2040/41 (annual allowance HK\$90,890) (= HK\$2,000,000 – HK\$90,910 × 21)

(Note that neither Ace nor Bee receives an annual allowance in respect of 2018/19. There is, however, no notional allowance written off, as the building was an industrial building throughout.)

3.7.2.9 Purchase of Unused Building or Structure under s.35B

If a building or structure, which has never been used as an industrial building, is sold, the vendor is not entitled to any IA and AA. The purchaser is *deemed* to incur qualifying expenditure on construction and therefore is entitled to IA as well as AA.

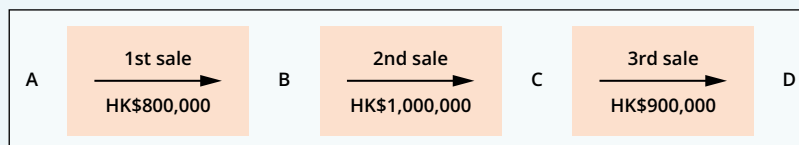
The deemed qualifying expenditure to the purchaser is:

- If the building is sold by a person whose business is developing properties for sale purposes (i.e. a property developer), the deemed qualifying expenditure is the building price paid; or
- If it is not sold by a property developer, the deemed qualifying expenditure is the lower of
 - the cost of construction, and
 - the building price paid.

The deemed qualifying expenditure for the cases where there is a series of sales before the building is brought into use:

- If the first sale is made by a property developer, the deemed qualifying expenditure is the lower of
 - the building price on first sale, and
 - the building price on last sale; or
- If the first sale is NOT made by a property developer, the deemed qualifying expenditure is the lower of
 - the cost of construction, and
 - the building price on last sale.

Illustrative Example 17 – IBA for Sale of Unused Building



A sold an unused building to B, which then sold it to C, which then sold it to D. D carried on a qualifying trade and put the building in qualifying use, hence the qualifying person is entitled to IBA.

The cost of construction of the building incurred by A was HK\$500,000.

If A is a property developer, the deemed qualifying expenditure to D is the lower of HK\$800,000 and HK\$900,000.

If A is not a property developer, the deemed qualifying expenditure to D is the lower of HK\$500,000 and HK\$900,000.

3.7.3 Commercial Building Allowance (CBA)

A commercial building is defined in s.40 as any building or structure or part of any building or structure used by the person entitled to the relevant interest for the purposes of his trade, profession or business other than an industrial building or structure. Under s.33A, an annual allowance is granted to the qualifying person at 4% on qualifying expenditure. Balancing allowance or charge will be due upon disposal of the building or structure.

3.7.3.1 Qualifying Expenditure

A qualifying expenditure is any capital expenditure incurred on the construction of a building or structure. This is calculated in the same way as that for industrial building or structure. However, s.35B, which is concerned with industrial building or structure bought unused, does not apply to a commercial building or structure.

3.7.3.2 Qualifying Person

A qualifying person is a person who is entitled to the relevant interest in relation to the qualifying expenditure and uses the building or structure for the purposes of his or her trade, profession or business to produce assessable profits (s.33A).

3.7.3.3 Annual Allowance under s.33A

An annual allowance of 4% of the qualifying expenditure is granted for every year of assessment in which:

1. The building or structure is in use for commercial purposes; and
2. The relevant interest is not sold at the end of the basis period.

For commercial buildings or structures placed into use before the year of assessment 1998/99, 1998/99 is considered the first year of use.

3.7.3.4 Balancing Charge or Balancing Allowance under s.35

Before the year of assessment 1997/98, a balancing adjustment was not considered on commercial buildings or structures. The following year was the first year that such a balancing adjustment was available for this disposal of commercial buildings and structures. Since year of assessment 2004/05, s.35 has detailed the treatment of a balancing charge or balancing adjustment for industrial and commercial buildings and structures.

3.7.3.5 Purchase of Used Building or Structure

When an interest in any commercial or industrial building or structure results in a capital expenditure, the purchaser can determine the annual allowance on the sale using the following formula:

$$\text{Residue of expenditure after sale} \times \frac{1}{\text{No. of years from the Y/A in the basis period for which the sale takes place to the 25th year after the year of first use of the building or structure}}$$

The amount of annual allowance for any year of assessment should not exceed the residue of expenditure at the end of the basis period for that year of assessment (s.33A(3)).

Illustrative Example 18 – CBA Calculation (Adapted from DIPN 2)

Peter Ltd purchased an office from a developer at a price of HK\$6 million in November 1988. The cost of construction is ascertained to be HK\$2 million. Peter Ltd makes up accounts to 31 March each year.

In March 2019, Peter Ltd sold the office to Queen Ltd for (a) HK\$4 million; or (b) HK\$600,000 (site values are excluded throughout). Queen Ltd makes up accounts to 31 March each year.

	HK\$	HK\$
Cost of construction		2,000,000
1988/89 to 1989/90		
Rebuilding allowance (HK\$2m × ¾% × 2)	30,000	
1990/91 to 1997/98		
Rebuilding allowance (HK\$2m × 2% × 8)	320,000	(350,000)
Residue under s.33A(4)(a) (deemed qualifying expenditure)		1,650,000
1998/99 to 2017/18		
Annual allowance (HK\$1.65m × 4% × 20)		(1,320,000)
Residue of expenditure		<u>330,000</u>

	HK\$	HK\$
(a) Office sold for HK\$4 million		
Peter Ltd		
<i>2018/19</i>		
Residue of expenditure before sale		330,000
Sale price		(4,000,000)
Excess		<u>(3,670,000)</u>
Balancing charge restricted to allowances made to Peter Ltd in 1998/99 to 2017/18		<u>1,320,000</u>
Queen Ltd		
<i>2018/19</i>		
Residue of expenditure before sale		330,000
Add: Balancing charge		<u>1,320,000</u>
Residue of expenditure after sale		<u>1,650,000</u>
Year of first use (deemed)		1998/99
Year of assessment in the basis period of which the sale takes place		2018/19
25th year from the year of first use		2023/24
No. of years from 2018/19 to 2023/24		6 (inclusive)
Annual allowance to Queen Ltd = HK\$1.65m/6 =		<u>HK\$275,000</u>
(b) Office sold for HK\$600,000		
Peter Ltd		
<i>2018/19</i>		
Residue of expenditure before sale		330,000
Sale price		(600,000)
Balancing charge		<u>270,000</u>
Queen Ltd		
<i>2018/19</i>		
Residue of expenditure before sale		330,000
Add: Balancing charge		270,000
Residue of expenditure after sale		<u>600,000</u>
Year of first use (deemed)		1998/99
Year of assessment in the basis period of which the sale takes place		2018/19
25th year from the year of first use		2023/24
No. of years from 2018/19 to 2023/24		6
Annual allowance to Queen Ltd = HK\$600,000/6 =		<u>HK\$100,000</u>

Illustrative Example 19 – IBA and CBA Calculation (DIPN 2)

Cecil Ltd constructed a building at a cost of HK\$800,000 in September 2015 and used it as a workshop in its existing manufacturing trade since then. It prepares accounts up to 31 December each year.

Illustrative Example 19 (continued)

In January 2018 Cecil Ltd sold the building for HK\$700,000 to Dee Ltd, which used it for a time as a showroom in its existing manufacturing business. In May 2019 Dee Ltd re-converted it to a workshop. Dee Ltd makes up accounts to the 31 March each year. Cecil Ltd continues to trade. (Site values are excluded throughout.)

		HK\$	HK\$
Cecil:	2016/17		
	Cost		800,000
	Initial allowance @ 20% of HK\$800,000	160,000	
	Annual allowance @ 4% of HK\$800,000	<u>32,000</u>	
			(192,000)
			608,000
	2016/17 and 2017/18		
	Annual allowance – 2 yr @ 4% residue before sale		(64,000)
			<u>544,000</u>
	2018/19		
	Sale price		<u>(700,000)</u>
	Balancing Charge		<u>156,000</u>
Dee:	2017/18		
	Residue before sale		544,000
	Balancing charge made on A		<u>156,000</u>
	Residue after sale		700,000
	2017/18 onwards		
	Annual allowance ^a		29,167

^a Dee would be entitled to an annual allowance (commercial building) for 2017/18 and 2018/19, and an annual allowance (industrial building) for 2019/20 onwards, calculated as follows:

Calculation of Annual Allowance

- Year of first use is 2015/16.
- The 25th year after year of *first* use is 2040/41.
- To Dee, the sale took place in 2017/18.
- From 2017/18 to 2040/41 inclusive there are 24 yr.
- The amount of Annual Allowance to Dee:
 $1/24 \times \text{HK\$}700,000 = \text{HK\$}29,167$ (2017/18 to 2039/40, 23 yr)
- Final year of allowance 2040/41
 $\text{Annual Allowance HK\$}29,159 = \text{HK\$}700,000 - (\text{HK\$}29,167 \times 23)$

Illustrative Example 20

GSHM acquires a warehouse in the New Territories for HK\$50 million solely for the purpose of maintaining its stock of apparel. The HK\$70 million acquisition cost includes both the land and the building. Of the HK\$70 million, HK\$20 million accounts for the land cost, which is not regarded as a qualifying expenditure on the construction of a building or structure.

HK\$50 million of the acquisition price was construction cost, which is a qualifying expenditure for claiming the CBA annual allowance. This is the amount that should be used to calculate the annual allowance.

When required, the stock is moved by lorry from the warehouse to individual retail shops in Hong Kong. The warehouse is a commercial building because it is a building or structure used for the purposes of the trade carried on by GSHM, but it is not an industrial building. If, hypothetically, the building housed a garment production facility, it would likely be an industrial building instead. Accordingly, GSHM will be entitled with respect to the warehouse to an annual deduction of HK\$2 million, this being 4% of the acquisition cost.

► Knowledge Check Questions

Question 7

Identify which of the following factors are relevant considerations in choosing a tax-efficient vehicle. (Choose all that apply.)

- A** Compliance costs associated with establishment and annual reporting.
- B** Allocation of profits between the participants.
- C** The domestic rates of withholding tax.
- D** The domestic corporation tax regime.

➤ 3.8 PREPARATION OF THE PROFITS TAX COMPUTATION

Every person carrying on a trade, profession or business in Hong Kong is required to complete and furnish a profits tax return. In practice, there are two ways that the obligation arises: first, the IRD will as a matter of course issue a tax return to any business registered under the Business Registration Ordinance within 18 months of registration and, once issued with a tax return, the taxpayer must complete it and file it as provided in s.51(1). Registration under that Ordinance is compulsory for all persons carrying on or commencing to carry on a business (and, therefore, by definition, also a trade or profession) in Hong Kong. Separately, s.51(2) provides that it is the obligation of every person chargeable to profits tax, to notify the

IRD of that liability not later than four months after the end of the basis period for that year of assessment unless he has already been required to furnish a return under s.51(1). Once notified, the IRD will issue the taxpayer with a tax return.

The following forms are used: Form BIR 51 (Corporation), Form BIR 52 (business entity other than a corporation) and Form BIR 60 (individual sole proprietors). A tax return must be supported by the following information and documents:

- A certified copy of the statement of financial position, auditor's report (for a corporation) and profit and loss account/income statement;
- A tax computation with supporting schedules showing how the assessable profits/adjusted loss is arrived at; and
- Other documents and information as specified in the notes and instructions enclosed with the return.

Taxpayers are also required to keep sufficient business records, either in English or traditional Chinese, for income and expenditure so as to ensure that assessable profits are ascertained by IRD under s.51C. Business records should be kept for at least seven years.

3.8.1 Preparing a Profits Tax Computation

Profits tax in Hong Kong is calculated on a person's assessable profits. The starting point in the computation of a person's assessable profits is its profit before taxation (i.e. accounting profits or losses (P&L)), from which non-taxable incomes are deducted whereas non-deductible expenses are added back. Finally, items not included in the accounting P&L such as specific deductions on certain capital expenditures, depreciation allowance and unrelieved losses carried forward must be set off against assessable profits to arrive at the net assessable amount, which is the amount on which profits tax is actually charged.

This is a general guide on various factors that should be taken into account when determining the taxable income of Hong Kong companies. A company's profits tax liability is calculated by making certain adjustments to its accounting net profit and loss.

3.8.1.1 Step 1: Deduct Non-assessable Profits

Profits of non-assessable nature are deducted from the company's net income (*CIR v Secan Ltd & Anor* (2000) HKCFAR 411). Only those included in the accounting P&L should be adjusted. Non-assessable profits include:

- Profits not arising in or derived from Hong Kong;
- Gains from the sale of capital assets;
- Dividends or profits for which profits tax has already been assessed;
- Interest income derived from a deposit placed in Hong Kong, excluding interest received by or accrued to a financial institution; and
- Other specific exempt receipts under the provisions of the Hong Kong Inland Revenue Ordinance.

3.8.1.2 Step 2: Add Back Non-deductible Expenditure and Outgoings

Expenditure and outgoings that are incurred in the production of business income are deductible and are detailed in Section 3.5. Charitable donations are first added back in the computation. A deduction is made after Step 4 for the charitable donations of a minimum of HK\$100 and up to a maximum of 35% assessable profits after depreciation allowance and balancing charge.

No tax adjustment is needed for deductible expenditures, provided that they have been included as expense in the accounting P&L. By contrast, if a non-deductible expenditure has been included in the P&L, the tax adjustment should be made by adding the absolute amount to the computation.

You may recall that non-deductible expenditure includes:

- Domestic or private expenses (for sole proprietorships or partnership business structures);
- Expenses not incurred in the production of profits;
- Cost of making improvements to property or assets;
- Sums recoverable under insurance contracts;
- Any tax paid under the IRO other than employees' salaries tax;
- Certain capital expenses or losses that are deemed as 'non-deductible' under s.17 of the IRO;
- Payments to or for the benefit of spouses or partners for sole proprietorships and partnership business structures; and
- Expenses connected with premises not occupied for profit-generating purposes.

3.8.1.3 Step 3: Add Balancing Charges

A balancing charge arises when the sale proceeds of a capital asset (i.e. building, structure, plant or machinery) exceeds its written down value (cost of the asset less the amount of capital allowances previously claimed).

3.8.1.4 Step 4: Deduct Depreciation/Capital Allowances and Specific Deduction for Certain Capital Expenditures

Capital allowances in the form of an initial allowance and subsequent annual deductions are available for expenditure incurred in acquiring plant and machinery, commercial and industrial buildings used in the production of profits.

Certain capital expenditures such as plant and machinery used for research and development, renovation and refurbishment, prescribed fixed assets and environmental friendly machinery and installation are specifically deductible. Those expenditures are usually included in the statement of financial position. If so, a tax adjustment is necessary.

3.8.1.5 Step 5: Set Off Unrelieved Losses Carried Forward

Losses are the mirror image of profits. Unrelieved losses carried forward may be set off against the future profits of a trade, business or profession. To the extent that unrelieved losses are not fully used up in being set off against assessable profits in one year of assessment, the

balance is to be carried forward to be set off against assessable profits in future years of assessment. See Section 3.10 for further details.

Note that an adjustment factor applies when unabsorbed losses incurred from concessionary trading receipts (trading receipts that are subject to a concessionary rate of tax) are set off against normal trading receipts (trading receipts that are subject to a normal rate of tax) and vice versa. Those rules are beyond the scope of the present chapter, but will be revisited in Module 14.

3.8.2 Post-Cessation Receipts and Payments

When a person ceases to carry on its trade, profession or business in Hong Kong, all of its trading stock that is not, at that time, sold or otherwise realised is deemed to have been disposed for market consideration (s.15C).

S.15D provides that if a person ceases to carry on a trade, profession or business, any sums received or paid shall be deemed to be assessable profits or allowable expenses for the year of assessment in which the cessation occurs provided that such income is taxable and such expenses are deductible in that tax year. Deduction is allowed for actual payments made. It would follow that provisions after cessation are not deductible (for example, provisions for bad debts). By concession, recovery of previously allowed bad debts after cessation will not be assessed, whereas the general rule is that if a deduction has been allowed for a bad debt, and a portion or all of the debt is subsequently recovered, the amount so recovered is treated as a taxable receipt.

As with establishing whether a person is carrying on a trade, profession or business, determining the date of cessation is a mixed question of fact and law. In essence, the same tests are used: where a person no longer carries on the systematic or repeated activity normally required to be found to carry on a trade or a business, it will likely be regarded as having ceased carrying on that trade or business. Cessation should be distinguished from a temporary suspension of a trade. The fact that a liquidator is appointed does not mean that the business is ceased, as the liquidator may continue the trade for some time after a winding-up order has been made to protect the assets of the company or for the benefit of the creditors. If, however, the liquidator was merely realising assets to wind up the company, it cannot be considered as continuing the business; and the date of appointment of the liquidator is the same as the date of cessation (*Overseas Textiles Ltd v CIR* (1990) 3 HKTC 29).

3.8.3 Effect of Accounting Policies on Tax Computations

Hong Kong tax legislation requires various adjustments to be made to accounting profits in order to arrive at assessable profits, and these are usually reflected in a separate tax computation in the relevant tax return. It is important to bear in mind that whereas generally accepted accountancy principles are helpful and relevant in ascertaining profits chargeable to tax in Hong Kong, the question of what an assessable profit is, is purely a matter of tax law, and not of accounting (*Secan*). The IRO does not lay down a complete code on how assessable profits are to be computed as the term 'profits' is not defined in the IRO. It would therefore appear that the term 'profit' should bear its ordinary meaning – that is, a notional unit of account to show a net positive change in economic position from one point of reference in time to another.

In practice, commercial principles are applied as far as they do not conflict with the statute, and taxable profits are usually computed by making adjustments to the accounting profits (*Secan and Nice Cheer Investment Limited v CIR* (2013) 16 HKCFAR 813). Where, however, the rules of accounting conflict with the terms of the IRO, the terms of the IRO prevail. In *Secan* and

Nice Cheer the Court of Final Appeal made clear that because a 'profit' as understood in the IRO did not include an unrealised profit, the accounting practice of booking unrealised profits and losses in financial statements could not displace the terms of the IRO and, accordingly, such computations were not treated as binding in determining the taxpayer's liability to profits tax.

S.15BA, a new section of the IRO (added in 2018), provides for a holistic evaluation of unrealised profits. This is derived from the case *Sharkey v Wernher* (1955), which was lodged in the UK. Under s.15BA, a reclassification from trading to capital results in the trading stock's being assumed to be sold at fair market value. At the time of reclassification, any appreciation is chargeable to profits tax.

When the reverse occurs, and there is a reclassification from capital to trading, the capital asset is assumed to be sold at fair market value, which will provide the basis of the trading stock's cost for calculating future realised profits.

Note that if s.15C must be applied over s.15BA, when a company ceases business and sells its trading stock to an entity carrying on business in Hong Kong, the actual price may be used to calculate related profits tax.

Illustrative Example 21

GSHM retains a firm of accountants, Chim, Pan & See (CPM), to advise on structuring its affairs in Hong Kong. GSHM has acquired an industrial washing machine to launder its garment prior to sale. CPM advised that generally accepted accounting principles enabled GSHM to claim a deduction for the full purchase price of the machine in the year of assessment in which it was acquired, notwithstanding that the machine is under the IRO eligible only for depreciation allowances. CPM's approach may be correct as a matter of accounting, but it is not necessarily correct as a matter of law. The question of whether expenditure is deductible under the IRO is purely a matter of law, to be determined by reference to the IRO.

3.8.4 Profits Tax - Prepaid or Deferred Revenue Expenses

The accounting concept of matching revenue with expenditure is applied to the treatment of prepaid or deferred revenue expenses (prepayments). Revenue expenses that are paid in advance of the periods to which they are related are prepaid expenses. Common examples of prepaid expenses are insurance premiums, car licence fees, rates and subscription fees etc. The period or periods to which prepaid expenditure relates may extend beyond the end of the accounting year in which it is paid, and the expense is thus to be apportioned and charged to the profit and loss accounts of more than one year. Accordingly, a taxpayer may not claim a deduction for the full amount of a prepaid expense in the year of prepayment if any part of the expense relates to a subsequent year or period. Such prepaid expenditure is typically debited to a current asset account in the balance sheet of the business as deferred expenditure, and then amortised (i.e. written down on an annual basis until the expenditure is fully utilised) in subsequent years of assessment by charging to the profit and loss account the amount of the expenditure that relates to each such period. Deductions for a particular year are only available for that part of the prepaid expenditure that is charged to the profit and loss account of that year, provided that the accounts are prepared in accordance with acceptable financial reporting standards. If, however, the accounting treatment adopted by a taxpayer for any prepaid

expense is inconsistent with the relevant financial reporting standard, adjustment would be made to the accounting profit to compute the profit that should have been arrived at had the relevant financial reporting standard been applied in the accounts.

Illustrative Example 22

GSHM is asked to pay HK\$10 million by way of a premium for five years of fire and accidents insurances on its retail stores in Hong Kong. Because the insurance is incurred in the production of profits chargeable to tax, it is deductible. Although the premium is a once and for all payment, it should not be treated as capital expenditure on the basis of the substance over form approach: in essence, it is a recurring payment that was front-loaded by the insurance provider. GSHM cannot deduct all HK\$10 million immediately; it may deduct HK\$2 million for the first year of assessment, and HK\$2 in each subsequent year of assessment reflecting the duration of the insurance coverage.

► Knowledge Check Questions

Question 8

Assume GSHM incurs the following expenditure in the year of assessment 2018/19:

- (i) acquisition of apparel from a supplier in Vietnam for resale in Hong Kong at HK\$25 million;
- (ii) HK\$45 million in employee salaries and mandatory provident fund contributions for its Hong Kong retail outlets;
- (iii) HK\$2 million in electricity costs, being the aggregate electricity bill for all its Hong Kong retail outlets;
- (iv) HK\$10 million in modernising the appearance of its flagship store in Wanchai; and (v) acquisition of exclusive rights to a garment design from Gyarū Inc., a Japanese company.

A Determine whether each such item of expenditure is deductible in the computation of the assessable profits of GSHM.

B Explain what additional information is required to provide a reasonably certain opinion in this case.

3.9 BASIS PERIOD

For profits tax purposes, a year of assessment runs from 1 April to 31 March of the following year. In practice, however, many taxpayers make up their accounts on a calendar year basis (i.e. from 1 January to 31 December) or on some other basis that is not congruent with the standard tax year in Hong Kong. In those cases, the period that is used to compute the taxable profits for a year of assessment is called the basis period, which is normally the financial year of the taxpayer ended in the year of assessment. The basis period is the common basis as

between the taxpayer and the IRD for the computation of assessable profits. The relevant provisions governing the relationship between a taxpayer's basis period and the standard year of assessment are ss.18 to 18E.

3.9.1 Normal or Continuing Business

The term basis period is used to refer to the period covered by an assessment.

The basis period is either:

- The year ended 31 March during the relevant year (the year of assessment);
- Where the annual accounts are made up to any day other than 31 March, the year ended on that day in the relevant year; or
- Where the accounts are made up for each lunar year, the lunar year ended in the relevant year.

Illustration of Basis Periods for Different Years

Accounting year end	Year of assessment	Basis period	Provision
31/3/2019	2018/19	1/4/2018 – 31/3/2019	(s.18B(1))
1/4/2019	2019/20	2/4/2018 – 1/4/2019	(s.18B(2))
31/12/2019	2019/20	1/1/2019 – 31/12/2019	(s.18B(2))

3.9.2 Commencement of Business

A newly incorporated business in Hong Kong usually receives its first profits tax return around 12 to 18 months from the date of commencement of business or the date of incorporation.

There are three possible cases for the first accounting period:

Case 1

- If the first accounting period is less than or equal to 12 months and ended within the year the business commenced, the basis period for the year of commencement is from the date of commencement to the first accounting date (s.18C(1)(a)).

Illustrative Example 23

Ace Ltd commenced business on 1 July 2018 and closes its accounts on 31 December each year. Its adjusted profits for the first two accounts are as follows:

1/7/2018 – 31/12/2018 (6 months), HK\$40,000

1/1/2019 – 31/12/2019, HK\$50,000

The year of commencement is 2018/19. The basis period and adjusted profits for the relevant years of assessment are determined as follows:

Year of assessment	Basis period	Assessable profits	Provision
2018/19	1/7/2018 – 31/12/2018	HK\$40,000	(s.18C(1)(a))
2019/20	1/1/2019 – 31/12/2019	HK\$50,000	(s.18B(2))

Case 2

- If the first accounting period is less than or equal to 12 months and ended within the following year, there will not be any basis period for the year of commencement, and the assessable profit for the year of commencement is Nil (s.18C(2)).

Illustrative Example 24

Bee Ltd commenced business on 1 March 2019 and closes its accounts on 31 December each year. Its adjusted profits for the first two accounts are as follows:

1/3/2019 – 31/12/2019 (10 months), HK\$20,000

1/1/2020 – 31/12/2020, HK\$32,000

The year of commencement is 2018/19. The basis period and assessable profits for the relevant years of assessment are determined as follows:

Year of assessment	Basis period	Assessable profits	Provision
2018/19	Nil	Nil	(s.18C(2))
2019/20	1/3/2019 – 31/12/2019	HK\$20,000	(s.18B(2))
2020/21	1/1/20 – 31/12/2020	HK\$32,000	(s.18B(2))

Case 3

- If the first accounting period is more than 12 months, the basis period for the first two years of assessment will be determined at the Commissioner's discretion (s.18C(1)(b)). Usually, the basis period for the second year of assessment is a period of 12 months counted backwards from the end of the first accounting period. The basis period for the year of commencement is the remaining accounting period counted from the date of commencement.

Illustrative Example 25

Cee Ltd commenced business on 1 July 2018 and closes its accounts on 31 December each year. The first accounts were closed on 31 December 2019. Its adjusted profits for the first two accounts are as follows:

1/7/2018 – 31/12/2019 (18 months), HK\$90,000

1/1/2020 – 31/12/2020, HK\$68,000

The year of commencement is 2018/19. The basis period and assessable profits for the relevant years of assessment are determined as follows:

Year of assessment	Basis period	Assessable profits	Provision
2018/19	1/7/2018 – 31/12/2018	HK\$30,000 (90,000 × 6/18)	(s.18C(1)(b))
2019/20	1/1/2019 – 31/12/2019	HK\$60,000 (90,000 × 12/18)	(s.18C(2))
2020/21	1/1/2020 – 31/12/2020	HK\$68,000	(s.18B(2))

3.9.3 Cessation of Business

The basis period for the year of assessment in which the business ceases depends on whether the business commenced on or after 1 April 1974.

For businesses which commenced on or after 1 April 1974 (New Business), the basis period is the period from the day following the basis period for the preceding year of assessment to the date of cessation.

Illustrative Example 26 – New Business

D Ltd commenced business in 2007 and closed its accounts on 30 September each year. It ceased business on 31 December 2019.

The year of cessation is 2019/20. The basis period for the year of cessation and the preceding year is determined as follows:

Year of assessment	Basis period	
2018/19	1/10/2017 – 30/9/2018	(s.18B(2))
2019/20	1/10/2018 – 31/12/2019	(15 mth) (s.18D(1))

For businesses which commenced before 1 April 1974 (Old Business), there are two sets of rules for determining the last basis period on cessation of business.

Rule 1 - Old business under s.18D(2) proviso

- If the cessation is not due to the death of the proprietor *and* the business is transferred to a successor, the treatment is the same as Case (1), i.e. a new business case as mentioned above.

Rule 2 - Old business under s.18D(2) and s.18D(2A)

Case 1

- If the accounting date falls on 31 March, the basis period for the year of cessation is from 1 April in the year of cessation to the date of cessation (s.18D(2)).

Case 2

- If the accounting date falls on a date other than 31 March and the cessation is due to the death of the proprietor, or the business is not transferred to a successor, the basis period for the year of cessation is from 1 April in the year of cessation to the date of cessation (s.18D(2)); plus the excess of (i) profits for the period from the end of basis period of the preceding year of assessment to the following 31 March (i.e. the drop-out profits) over (ii) drop-out profits of the equivalent period in 1974/75 (i.e. the transitional amount) (s.18D(2A)).

Assessable profits for the year of cessation under s.18D(2) and s.18(2A) Basis period: 1 April in the year of cessation to the date of cessation

Assessable profits from 1 April to date of cessation	A
Add: Assessable profits of the 'relevant period' (i.e. drop-out period in year of cessation)	B
Less: Transitional amount (i.e. profits of the equivalent drop-out period in 1974/75)	(C) ^a
	D
Assessable profits for the year of cessation	A+D

^aC is limited to B, i.e. no loss can be allowed for D; and if C is a loss, enter 'zero' for C.

Illustrative Example 27

Elephant Ltd commenced business on 1 January 1972. Its normal accounting date was 31 December. It ceased business on 31 August 2019, and there was no successor. Its adjusted profits for the relevant years were as follows:

1/1/2019 – 31/8/2019	HK\$72,000
1/1/2018 – 31/12/2018	HK\$98,000
1/1/1975 – 31/12/1975	HK\$15,000
1/1/1974 – 31/12/1974	HK\$12,000

The year of cessation is 2019/20. The basis period and assessable profits for the year of cessation are determined as follows:

Assessable profits for the year of cessation 2019/20 Basis period: 1 April 2019 – 31 August 2019

	HK\$	HK\$
Assessable profits from 1/4/2019 – 31/8/2019 ($\text{HK\$}72,000 \times \frac{5}{8}$)		45,000
Add: Assessable profits from 1/1/2019– 31/3/2019 ($\text{HK\$}72,000 \times \frac{3}{8}$)	27,000	
Less: Transitional amount from 1/1/1975 – 31/3/1975 ($\text{HK\$}15,000 \times \frac{3}{12}$)	(3,750)	23,250
Assessable profits for 2019/20		<u>68,250</u>

3.9.4 Change of Accounting Date

When there is a change in accounting date, the IRD is empowered to compute the profits for the year of change and the previous year on such basis as he thinks fits. The CIR will normally choose a basis which will not unduly prejudice either the taxpayer or the revenue.

For these purposes, the following situations are considered as a change in accounting date:

- Failure to make up an account on the corresponding day in the following year of assessment; or
- Accounts are made to more than one day in the following year of assessment.

Return to the examples of Old Business and New Business from the previous section to consider a change in their accounting dates.

1. In the case of Old Business (i.e. business commenced before 1 April 1974), the normal basis period is limited to 12 months. The IRD's objectives/principles for selecting the new basis period are:
 - a. Adopt the new accounting date as soon as possible; and
 - b. Ensure that the period dropped out of assessment should not be of 'high profit'.
2. In the case of New Business (i.e. business commenced on/after 1 April 1974), the basis period for the year of change may exceed 12 months (s.18E(2)(b)). The IRD's objectives/principles for selecting the new basis period are:
 - a. Adopt the new accounting date as soon as possible;
 - b. Ensure that no profit made over the life of the business is dropped out of assessment;
 - c. Accept a basis period of less than 12 months if there is a compelling reason for the change (e.g., matching the accounting date of a parent company or related group); and
 - d. Otherwise, adhere to a basis period of 12 months and some profits may be assessed twice.

Illustrative Example 28 – More than 12-Month Period

Gigi Ltd's normal accounting date was 30 June. In 2019, it changed its accounting date to 31 October. The accounting date is not changed for the sole or dominant purpose of obtaining a tax benefit. Its adjusted profits for the relevant years were as follows:

Year ended 30/6/2018	HK\$48,000
16 mth to 31/10/2019	HK\$96,000

Since accounts are not made up to the corresponding day of 30 June in 2019, the year of change of accounting date is 2019/20. The basis period and assessable profits for the relevant years of assessment are ascertained as follows:

Case 1 – Assume Gigi Ltd is a new business

Year of assessment	Basis period	Assessable profits
2019/20	1/7/2018 – 31/10/2019 (16 mth)	HK\$96,000
2018/19	1/7/2017 – 30/6/2018	HK\$48,000

Illustrative Example 28 – More than 12-Month Period (continued)

As no profits have dropped out of assessment, the IRD normally would not re-compute the assessable profits for the year preceding the year of change (2018/19).

Case 2 – Assume Gigi Ltd is an old business

Year of assessment	Basis period	Assessable profits
2019/20	1/11/2018 – 31/10/2019 (12 mth)	HK\$72,000 ($\$96,000 \times 12/16$)
2018/19	If follows the original assessment Year ended 30/6/2018	HK\$48,000
	If re-computed with the new accounting date 1/11/2017 – 31/10/2018	HK\$56,000 ($\$48,000 \times \frac{8}{12} + \text{HK\$}96,000 \times \frac{4}{16}$)

As four months' profits would have dropped out of assessment, the IRD will likely re-compute the assessable profits for the year preceding the year of change (2018/19); and profits for the period from 1 July 2017 to 31 October 2018 would be dropped out of assessment.

Illustrative Example 29 – Less than 12-Month Period, No Profits Dropped Out

Henry Ltd's normal accounting date was 31 December. In 2019, it changed its accounting date to 30 September. Its adjusted profits for the relevant years were as follows:

Year ended 31/12/2018	HK\$240,000
8 mth to 30/9/2019	HK\$80,000

Since accounts are not made up to the corresponding day of 31 December in 2019, the year of change of accounting date is 2019/20. The basis period and assessable profits for the relevant years of assessment are ascertained as follows:

Case 1 – Assume Henry Ltd is a new business

Year of assessment	Basis period	Assessable profits
2019/20	1/10/2018 – 30/9/2019 (12 mth)	HK\$140,000 ($\text{HK\$}240,000 \times \frac{3}{12} + \text{HK\$}80,000$)
2018/19	1/1/2018 – 31/12/2018	HK\$240,000

If there is a compelling reason for the change of accounting date (e.g. to conform to the accounting date of the holding company), the IRD may accept a basis period of less than 12 months, i.e. 9 months to 30 September 2019 as the basis period for the year of change

(2019/20). If a 9-month period is not allowed, the profits for 1 October 2018 to 31 December 2018 will be assessed twice. As no profits have been dropped out of assessment, the IRD normally would not re-compute the assessable profits for the year preceding the year of change (2018/19).

Case 2 – Assume Henry Ltd is an old business

Year of assessment	Basis period	Assessable profits
2019/20	1/10/2018 – 30/9/2019 (12 mth)	HK\$140,000 (HK\$240,000 × $\frac{3}{12}$ + HK\$80,000)
2018/19	1/1/2018 – 31/12/2018	HK\$240,000

For an old business, the basis period must be 12 months (see *CIR v Yick Fung Estates Ltd* (1999) 5 HKTC 52). Therefore, profits for the period from 1 October 2018 to 31 December 2018 will be assessed twice. As no profits have dropped out of assessment, the IRD normally would not re-compute the assessable profits for the year preceding the year of change (2018/19).

Illustrative Example 30 – Less than 12-Month Period, Profits Dropped Out

Justine Ltd's normal accounting date was 30 June. In 2019, for a compelling reason, it changed its accounting date to 30 November and prepared two sets of accounts. Its adjusted profits for the relevant years were as follows:

Year ended 30/6/2018	HK\$24,000
Year ended 30/6/2019	HK\$60,000
5 mth to 30/11/2019	HK\$32,000

Since accounts are made up to more than one day in 2019, the year of change of accounting date is 2019/20. The basis period and assessable profits for the relevant years of assessment are ascertained as follows:

Case 1 – Assume Justin Ltd is a new business

Year of assessment	Basis period	Assessable profits
2019/20	1/7/2018 – 30/11/2019 (17 mth)	HK\$92,000 (HK\$60,000 + HK\$32,000)
2018/19	1/7/2017 – 30/6/2018	HK\$24,000

As no profits have been dropped out of assessment, the IRD normally would not re-compute the assessable profits for the year preceding the year of change (2018/19).

Case 2 – Assume Justin Ltd is an old business

Year of assessment	Basis period	Assessable profits
2019/20	1/12/2018 – 30/11/2019 (12 mth)	HK\$67,000 (HK\$60,000 × $\frac{7}{12}$ + HK\$32,000)
2018/19	If it follows the original assessment 1/7/2017 – 30/6/2019	HK\$24,000
	If re-computed with the new accounting date 1/12/2017 – 30/11/2018	HK\$39,000 (HK\$24,000 × $\frac{7}{12}$ + HK\$60,000 × $\frac{5}{12}$)

As five months' profits would have been dropped out of assessment, the IRD will likely re-compute the assessable profits for the year preceding the year of change (2018/19); and profits for the period from 1 July 2017 to 30 November 2017 would be dropped out of assessment.

► Knowledge Check Questions

Question 9

Percival Ltd had used a normal accounting date of 31 July. Percival joined a group of companies and, in 2019, changed its accounting date to 31 December to align with the accounting date of the group. At that time, it prepared two sets of accounts. Percival's adjusted profits were:

Period	Adjusted Profits
Year ended 31 July 2018	HK\$36,000
Year ended 31 July 2019	HK\$90,000
31 July 2019 to 31 December 2019	HK\$48,000

- A** Determine the basis period and assessable profits for relevant years of assessment, assuming Percival is a new business.
- B** Determine the basis period and assessable profits for relevant years of assessment, assuming Percival is *not* a new business.

3.10 PARTNERSHIPS AND JOINT VENTURES

Partnerships – whether they be general partnerships or limited partnerships, and whether they be established in Hong Kong or abroad – are not in general separate legal persons in the way companies are. Partnerships are therefore not persons distinct from their partners. At common law, a partnership arises where a group of persons, whether individuals or companies, carry on

a trade, profession or business together with a view to profit from it. Partners are entitled to a share of a partnership's profits, but are jointly and severally liable for partnership debts – that is, debts incurred by the partnership business, as opposed to their own private debts. Limited partnerships are similar to general partnerships, but there is an important distinction in that a limited partner's liability is limited to the extent of his capital contribution of the partnership, and he does not carry on any part of the trade or business of the partnership – that is done by the general partner, who in the ordinary course has unlimited liability for the partnership's debts. Joint ventures are distinct from partnerships in that they are commercial arrangements that contractually provide for profit and risk sharing between the joint venturers, but fall short of partnerships. There is no technical, legal definition of a joint venture. Accordingly, a number of arrangements are termed joint ventures, despite the fact that some may, at law, be partnerships.

A general comparison between a partnership and a joint venture appears in Exhibit 3.6.

Partnership	Joint venture
- Each partner is regarded as an agent of the partnership and his acts will bind the partnership. - All partners (other than a limited partner) are jointly and severally liable. - Usually for long-term purposes. - May have a large number of partners. - Has a whole set of books of account. - Assessments issued in the partnership name.	- The acts of a joint venturer will not bind the joint venture. - Each joint venturer is liable for its own stake. - Usually for short-term purposes. - Usually consists of a small number of venturers. - May not have separate books of account. - Separate assessments on individual venturers.

► **EXHIBIT 3.6 Partnerships versus joint ventures**

3.10.1 Partnerships

S.2(1) definition of a taxable person includes partnerships. A partnership is therefore treated as a separate chargeable person for profits tax and property tax purposes, so tax is chargeable at the partnership level, and not on the individual partners. Although a partnership is assessed as a separate legal entity under the IRO for profits tax purposes, the assessable profit of a partnership is not allocated among partners unless any one of the following applies:

- There is a partner electing for personal assessment.
- There is a corporate partner.
- There is a loss brought forward for a partner.

As such, when a partner elects the personal assessment, the tax liability of the partnership is not the aggregate of all partners' holdings. Similarly, when a loss is not fully set off, the tax liability of the partnership is not the aggregate of all partners. Accordingly, the amount of tax payable on the partnership profits is affected by the tax profiles of the individual partners and whether the partners are corporate entities (such that the corporate tax rates of 16.5% and 8.25%) or individuals (such that the standard tax rates of 15% and 7.5%). You will recall that s.26(b) provides that profits that have borne tax at the partnership level are not again taxed when distributed or allocated to partners.

The tax burden of the partnership may be divided between the existing partners in such a manner that each one pays according to his share of the profits and losses and by reference to the fiscal attributes of each. The full tax liability may also be settled by one single partner. A profits tax return (BIR52) is issued for partnerships in Hong Kong. The precedent partner is required to furnish the return together with the statement of profit or losses of the partnership (s.22(2)).

3.10.2 Profits Tax Computation for a Partnership Business

S.22(1) of the IRO provides that where a trade, profession or business is carried on by two or more persons jointly, the assessable profits therefrom shall be computed in one sum and the tax in respect thereof shall be charged in the partnership name. In general, there is no difference between the profits tax computation of a partnership and that of a sole trader or a limited company, except an allocation of profit or loss among the partners in accordance with s.22A of the IRO may be required. However, as a partnership is a single taxable entity separate and distinct from its partners, expenses incurred by individual partners are not allowed, even though such expenses are incurred for the benefit of the partnership. See Exhibit 3.7.

Specific rules applicable to partners/partnership	IRO Section
Rent paid by a partnership to any partner or his spouse is restricted to the assessable value of the property in question.	s.16(1)(b)
Mandatory contribution to MPF by a self-employed person (sole-proprietor or a partner in a partnership) is deemed as deductible, provided that it is not otherwise deductible and not exceeding HK\$18,000 per annum (2017/18).	s.16AA
Salaries or other remuneration paid to any partner or his spouse, interest on capital or loan from any partner or his spouse, and MPF contribution in respect of any partner's spouse are disallowed. These payments are regarded as appropriation of profits to the partners, and therefore need to be adjusted and allocated to each relevant partner before the general sharing of profit/loss.	s.17(2)
Salaries or remuneration paid by a person subject to profits tax which was not deductible under s.17(2), would be excluded from salaries tax.	s.8(2)(k)
Non-corporate partner's share of profit from a partnership is subject to the standard rate, while that of corporate partner is subject to corporate profits tax rate.	s.14
When there are changes in a partnership, e.g. admission or retirement of partner(s), s.22(3) treats the partnership as continuing if at least one partner stays.	s.22(3)

► EXHIBIT 3.7 Profits tax rules as applied to partnerships

3.10.3 Allocation of Profit/Loss

Profits tax is charged in the name of the partnership, and is not divided among the partners; however, allocation and reallocation of profit or loss to the partners is required in the following situations:

- When a partner elects for personal assessment (PA), his share of profit or loss is transferred to PA;

- The share of loss of the retired individual partners, if not being transferred to personal assessment, will lapse upon retirement of the partner;
- When there is a corporate partner, its share of profit is subject to the corporate tax rates of 16.5% and 8.25%; and
- When the partnership has unrelieved losses carried forward, and/or a partner has a share of loss brought forward, the loss is that partner's personal loss.

In making an allocation, the principle is that when a partnership has assessable profits, no partner should have a tax loss from the partnership. Conversely, when a partnership has allowable loss, no partner should have a taxable profit from the partnership. When either of these situations occurs, reallocation is necessary. The share of profit or loss of each individual partner is ascertained in accordance with the profit or loss sharing ratio during the basis period for the year of assessment concerned. When there is a change in partnership in any year, it is necessary to divide the basis period into periods, one before and one after the change. The profit or loss is then allocated to the partners in accordance with the profit or loss sharing ratio in the respective periods. The share of loss of a partner who has withdrawn from the partnership will lapse and cannot be reused, even the partner re-joins the partnership in the future.

Illustrative Example 31

Mr. Chan, Mr. Li and Cheung Ltd carry on a partnership business in Hong Kong, namely Chan, Li & Cheung for some years, sharing profits or losses in the ratio: 1 : 1 : 2 (Mr Chan : Mr. Li : Cheung Ltd). The income statement of the partnership for the year ended 31 March 2019 shows a net loss of HK\$2,525,000, after charging the following items:

1. Mr. Chan and Mr. Li were each paid a monthly salary of HK\$30,000 for the whole year. A monthly salary of HK\$24,000 was paid to Mr. Li's wife, who was the accountant of the partnership, for the whole year;
2. An interest expense of HK\$180,000 (HK\$15,000 for each month) was paid to Cheung Ltd for capital contribution to the partnership.
3. An interest expense of HK\$360,000 (HK\$30,000 for each month) was paid to Mr. Chan's wife for a loan advanced to the partnership.
4. A depreciation of HK\$225,000.

The following additional information is provided by the partnership:

1. Mr. Li retired from the partnership on 31 January 2019. Thereafter, the profits or losses sharing ratio was changed to 1 : 2 (Mr. Chan : Cheung Ltd).
2. Tax depreciation allowances as agreed with the IRD for 2018/19 is HK\$400,000.
3. Mr. Chan and his wife elected to be personally assessed in 2018/19. Mr. Li had no other sources of income and he did not elect for personal assessment.

Illustrative Example 31 (continued)**Required**

- (a) Prepare a computation for assessable profit/adjusted loss for the partnership for the year of assessment 2018/19.
- (b) Prepare a statement of profit/loss allocation for the partnership, together with the profits tax payable by the partnership, if any, for the year of assessment 2018/19.
- (c) Advise Mr. Li in relation to his share of the partnership loss for the year of assessment 2018/19.

(a) Chan, Li & Cheung Partnership

Profits tax computation for the year of assessment 2018/19

Basis period: year ended 31 March 2019

	HK\$	HK\$
Loss per account		(2,525,000)
Add:		
Salaries to Mr. Chan	360,000	
Salaries to Mr. Li (HK\$30,000 × 10/12)	300,000	
Salaries to partner's spouse (Mrs. Li) (HK\$24,000 × 10)	240,000	
Interest to partner's spouse (Mrs. Chan)	360,000	
Interest to Cheung Ltd for capital contribution	180,000	
Depreciation	<u>225,000</u>	<u>1,665,000</u>
		(860,000)
Less: Depreciation allowance		<u>(400,000)</u>
Adjusted loss		<u>(1,260,000)</u>

(b) Statement of loss allocation

1 April 2018 – 31 January 2019 (HK\$1,260,000 × $\frac{10}{12}$ = HK\$1,050,000)

	Partnership	Mr. Chan	Mr. Li	Cheung Ltd
	HK\$	HK\$	HK\$	HK\$
Salaries to partners (HKHK\$60,000 × 10)	600,000	300,000	300,000	-
Salaries to partner's wife (HK\$24,000 × 10)	240,000	-	240,000	-
Interest to partner's wife (HK\$30,000 × 10)	300,000	300,000	-	-
Interest on capital (HK\$15,000 × 10)	<u>150,000</u>	-	-	<u>150,000</u>
Balance (1:1:2)	(2,340,000)	(585,000)	(585,000)	(1,170,000)
Share of allowable loss	<u>(1,050,000)</u>	<u>15,000</u>	<u>(45,000)</u>	<u>(1,020,000)</u>
Reallocation to Mr. Li (HK\$15,000 × HK\$45,000/ HK\$1,065,000)	-	(634)	634	-
Reallocation to Cheung Ltd (HK\$15,000 × HK\$1,020,000/HK\$1,065,000)	-	<u>(14,366)</u>	-	<u>14,366</u>
Net share of loss	<u>(1,050,000)</u>	-	<u>(44,366)</u>	<u>(1,005,634)</u>

Illustrative Example 31 (continued)

1 February 2019 – 31 March 2019 ($\text{HK\$}1,260,000 \times \frac{2}{12} = \text{HK\$}210,000$)

	Partnership	Mr. Chan	Cheung Ltd
	HK\$	HK\$	HK\$
Salaries to partners ($\text{HK\$}30,000 \times 2$)	60,000	60,000	
Interest to partner's wife ($\text{HK\$}30,000 \times 2$)	60,000	60,000	
Interest on capital ($\text{HK\$}15,000 \times 2$)	30,000		30,000
Balance (1:2)	<u>(360,000)</u>	<u>(120,000)</u>	<u>(240,000)</u>
Share of allowable loss	<u>(210,000)</u>	-	<u>(210,000)</u>

Total allocation 1 April 2018 – 31 March 2019

	Partnership	Mr. Chan	Mr. Li	Cheung Ltd
	HK\$	HK\$	HK\$	HK\$
Share of loss	(1,260,000)	-	(44,366)	(1,215,634)
Loss lapsed upon retirement	<u>44,366</u>	-	<u>44,366</u>	-
Loss c/f	<u>(1,215,634)</u>	-	-	<u>(1,215,634)</u>
Tax payable	<u>Nil</u>			

- (c) Upon retirement from the partnership, Mr. Li's share of the partnership loss will be lapsed, and will not be available for set-off to the partnership or to him, unless he elects for personal assessment. Although Mr. Li had no other sources of income in 2018/19, he might have other assessable income in future years. To benefit from these losses, he should elect to be personally assessed in 2016/17 so that the share of partnership loss could be carried forward to future years (personal assessment will be discussed in Chapter 6).

3.10.4 Joint Ventures

As per the introductory comments to this section, the term joint venture does not carry a specific legal meaning under Hong Kong law. It is used as a generic term to describe a variety of situations in which two or more parties co-operate with one another by pooling resources (such as capital, know-how, marketing and management) together in a mutual business endeavour with a view to achieving certain business goals or to achieve a commercial objective (*HKSAR v Gammon* (2003) 3 H.K.C. 276).

The exact legal relationship between the joint venturers is determined by reference to the joint venture agreement. In Hong Kong, incorporated, unincorporated (or contractual) and partnership joint ventures are possible. The juristic character of the relationship between joint venturers must be determined by reference to a combination of common law and legislation

(for example, company and partnership law, competition law and laws governing intellectual property, commercial, trade and tax).

A joint venturer is not responsible in law for acts of its co-venturers, unless, of course, the joint venture constitutes a partnership at law. A joint venture as such is therefore not a legal person and is not deemed to be a chargeable person for the purposes of the IRO. The assessable profits and expenses of the joint venture are reported in the joint venturer's own profits tax returns. Whether and to what extent a joint venturer is taxable will therefore depend on what it does in the context of a joint venture. Arguably, entering into a joint venture, by its very nature, constitutes the carrying on of a trade or a business. Accordingly, if the joint venturer operates in or through Hong Kong with respect to the joint venture, it would likely be regarded as carrying on, in part, the trade or business of the joint venture. It should separately be ascertained whether the profits of the joint venture are sourced in Hong Kong and, for those purposes, the conventional rules for the determination of the locality of profits will apply.

Illustrative Example 32

GSHM enters into a joint venture agreement with Gyaru Inc., a company incorporated in Japan, to develop a line of clothing aimed at young women in the 18 – 25 age range in Hong Kong. The terms of the joint venture agreement provide for the allocation of capital investment and profit shares, but taken in the round, they do not constitute a partnership under the Partnership Ordinance. GSHM and Gyaru Inc. will therefore fill tax returns separately. If, however, the joint venture agreement was in substance a partnership agreement, the partnership so constituted would be a separate taxable person under the IRO. Assuming GSHM were the principal partner, it would be required to file a partnership tax return in the name of the partnership and the tax liabilities of GSHM and Gyaru Inc. would be computed accordingly.

3.10.5 Entity Choice for Business and Tax Purposes

The main types of investment vehicles used to carry on business in Hong Kong are a body corporate, permanent establishment of a company with its head office outside of Hong Kong, or a partnership or unincorporated joint venture. Rarely, businesses may be carried on by way of a trust. Generally, any person carrying on a trade, profession or business in Hong Kong will be required to register under the Business Registration Ordinance, and to file an annual tax return, even if it has no assessable profits in that year of assessment. Hong Kong is considered a relatively 'light-touch' jurisdiction from a tax compliance standpoint. That being said, the reporting requirements for all business vehicles in Hong Kong are essentially the same, and need to be substantiated by reference to financial statements and accounts drawn up to acceptable accounting standards.

The choice of business vehicle will depend on the specific commercial priorities of an enterprise. An important advantage a company incorporated or resident in Hong Kong has is that dividends are generally not taxable upon receipt, and there is no withholding tax on dividends. This is in contrast with the position in other jurisdictions, where dividends are taxable both upon receipt and subject to withholding tax when declared to non-residents. Hong Kong is therefore a very convenient tax planning jurisdiction for companies acting to channel

dividends between one jurisdiction and another. In that regard, Hong Kong has a growing network of double taxation agreements, which can make it a convenient jurisdiction through which to channel income sourced abroad: offshore income to a Hong Kong resident person will be subject to lower rates of withholding as established under the relevant double taxation agreement and will, in general, not be taxable upon receipt in Hong Kong.

Key Learning Point

An advantage of setting up a holding company in Hong Kong is that any profit derived from the subsequent exit by sale or disposal of the local holding company should generally be treated as exempt from profits tax because Hong Kong does not tax profits derived from the sale of capital assets. Similarly, the disposal of any subsidiaries held by a local holding company will not in the ordinary course be taxable in Hong Kong because of the express exemption from profits tax for capital profits in s.14(1).

► Knowledge Check Questions

Question 10

Identify which of the following most accurately describes the taxation of a partnership.

- A** Partners are taxed individually on their share of partnership profits.
- B** Partnerships are separate legal persons and are accordingly assessable as such under the IRO.
- C** Partnerships are deemed to be separate taxable persons under the IRO, and each partner is therefore required to make a partnership return in the name of the partnership.
- D** Partnerships are deemed to be separate taxable persons under the IRO, and the principal partner is required to file a partnership return on behalf of the partnership.

3.11 LOSS RELIEF FOR INDIVIDUAL, PARTNERSHIP AND CORPORATION

Unrelieved trading losses may be carried forward indefinitely, to be set off against assessable profits. That means that unrelieved losses may be deducted from assessable profits in order to arrive at the amount actually chargeable to profits tax. Losses are in effect the mirror image of profits and are computed in the same manner and over the same basis periods. Because losses are the mirror image of profits, it would follow that in order to be an allowable loss, available for set-off against future profits, the loss in question must be a trading loss – that is, a loss that arose in the course of a trade, profession or business carried on in Hong Kong. Non-trading losses (such as losses arising from the sale of a capital asset), or losses sourced from outside

of Hong Kong are not allowable losses and are therefore unavailable for utilisation. Losses are treated differently depending on whether the taxable entity is a body corporate, partnership or an individual.

Illustrative Example 33

In the year of assessment 2017/18, GSHM realised a loss of HK\$75 million. In 2016/17, it realised a loss of HK\$25 million. In the year of assessment 2018/19, it realised a profit of HK\$80 million. The full amount of accumulated losses of HK\$100 million are to be set off against that amount; however, even reducing the amount of assessable profit to zero, there remains HK\$20 million of unrelieved, unutilised losses carried forward by GSHM. GSHM may therefore carry such losses forward to be applied against profits (if any) in the years of assessment 2019/20 onwards.

3.11.1 Individual (Sole-Proprietorship)

Any loss incurred by an individual is carried forward and set off against future assessable profits of the same trade carried on by the same individual unless PA is elected, and the loss is transferred and set off under the rules governing PA. If now PA is made, unrelieved losses are surrendered upon cessation of the trade carried on by the individual with respect to which they were first incurred. For example:

Illustrative Example 34

Mr. Theodore Eugenides carries on the trade of distributing Macedonian wine as a sole proprietor, and has accumulated and unrelieved losses of HK\$1 million for the year of assessment 2017/18. In the year of assessment 2018/19, he realises an assessable profit of HK\$1.2 million. He must set off the full amount of losses carried forward against his assessable profits, thereby leaving HK\$200,000 as taxable profits. If, however, in the year of assessment 2018/19, instead of making a profit through distributing wine, he ceased to be a wine merchant and instead began a separate trade as a fruit merchant realising in that year an assessable profit of HK\$500,000, the HK\$1 million loss would be surrendered, and the full HK\$500,000 would be chargeable to profits tax.

3.11.2 Partnership

Any loss incurred by a partnership is to be allocated to the partners in accordance with the profit or loss sharing ratio during the basis period for the year of assessment concerned. Therefore, losses are allocated individually to each partner. The amount of loss allocated to a partner who is an individual is carried forward and set off against his or her share of future assessable profits of the partnership; unless PA is elected, and the loss is transferred to and dealt with under PA. If PA is not elected, unrelieved losses are surrendered when the individual ceases to be a partner. Conversely bodies corporate that are partners in a partnership follow the same rules that apply generally to corporations.

3.11.3 Corporation

Losses may be carried forward by a corporation indefinitely until fully set off against assessable profits irrespective of the trade or business carried on by that corporation.

Key Learning Point

Losses are the mirror image of profits. Trading losses incurred in the course of a trade, profession or business carried on in Hong Kong may be set off against assessable profits. Where a company changes business line, losses are surrendered.

► Knowledge Check Questions

Question 11

Identify which of the following receipts is chargeable to profits tax.

- A** A royalty paid to a company incorporated in Hong Kong by a company incorporated in New Zealand to use the Hong Kong company's IP in New Zealand.
- B** Interest received by a company incorporated in Hong Kong with respect to principal that was lent to a creditor incorporated and resident in Taiwan on its bank account in Hong Kong.
- C** A lease payment by a company incorporated and resident in Hong Kong to a Dubai corporation to use ship containers in Oman.
- D** Dividends declared by a company carrying on a trade retailing automobiles in Hong Kong



SUMMARY

The principal tax on business profits is called 'profits tax', which is charged on assessable profits.

There is a three-limbed test in order for a charge to profits tax to arise the following conditions must be met:

1. There must be a person carrying on a trade, profession or business in Hong Kong and,
2. There must be Hong Kong source profits (that is, profits that arise in or derive from Hong Kong), and
3. Those Hong Kong source profits must be the profits of the specific trade or business carried on by the taxpayer in Hong Kong.

The two-tiered profits tax rate is available subject to certain conditions, the most important of which is that in a given group of connected entities only one such entity can avail itself of the two-tiered profits tax regime.

A trade is an organised activity that is carried on with a view to profit. This presupposes that there must exist a profit-generating activity that is carried on with some degree of recurrence and continuity.

A business is defined broadly in s.2 of the IRO, and includes agricultural undertaking, poultry and pig rearing and the letting or sub-letting by any corporation to any person of any premises or portion thereof, and the sub-letting by any other person of any premises or portion of any premises held by him under a lease or tenancy other than from the government.

Generally speaking, profits sourced from outside of Hong Kong are not taxable in Hong Kong, but this is assessed on a case-by-case basis.

Under ss.15(1)(f) and 15(1)(g), interest is taxable only to the extent that it is sourced in Hong Kong.

Income derived from qualifying debt instruments (short or medium term); assessable profits of an insurance company derived from qualifying business of reinsurance or insurance of offshore risks; corporate treasury centres; and aircraft leasing income earned by 'qualifying aircraft lessors' and income up to HK\$2 million are, subject to certain conditions, taxed at half the standard rate of profits tax.

S.16(1) of the IRO provides a general deduction for all outgoings and expenses, to the extent to which they have been incurred by the taxpayer in the production of profits chargeable to profits tax.

In order for loan interest and related expenditure (such as legal fees, stamp duty and other resultant expenses) to be tax deductible in Hong Kong, three (or, in the case of lenders which are not financial institutions, four) cumulative tests must be satisfied:

- the production of profits test;
- the tax symmetry test (if the lender is not a financial institution or an overseas financial institution);
- the secured loan test; and
- the interest flow-back test.

Receipts must be separated into those that are related to fixed capital and those related to circulating capital. Capital receipts are typically connected to a business's fixed assets (i.e. fixed capital), whereas revenue receipts are those that are connected to a business's current assets (i.e. circulating capital).

Whereas expenditure of a capital nature is generally not deductible, s.18F provides for the assessable profits of a person for any year of assessment to be decreased by the amount of any depreciation allowances (also known as capital allowances) made to the person under Part VI of the Ordinance, and to be increased by the amount of any balancing charge directed to be made on the person under the same Part. The relevant allowances and charges apply in respect of certain:

- (a) industrial buildings and structures;
- (b) commercial buildings and structures; and
- (c) machinery and plant.

Depreciation allowances are available for industrial buildings and structures, as defined in s.40(1). In general, these include factories, plants generating electricity, structures for manufacturing and processing facilities, and buildings for the business of agriculture and scientific research in relation to any trade, profession or business.

The initial industrial building allowance (IBA) is 20% of the cost of construction of the premises, with an annual allowance of 4% thereafter (balancing allowance or charge will be due upon disposal of the premises).

A commercial building is defined in s.40 as any building or structure or part of any building or structure used by the person entitled to the relevant interest for the purposes of his trade, profession or business other than an industrial building or structure. Under s.33A, an annual allowance is granted to the qualifying person at 4% on qualifying expenditure.

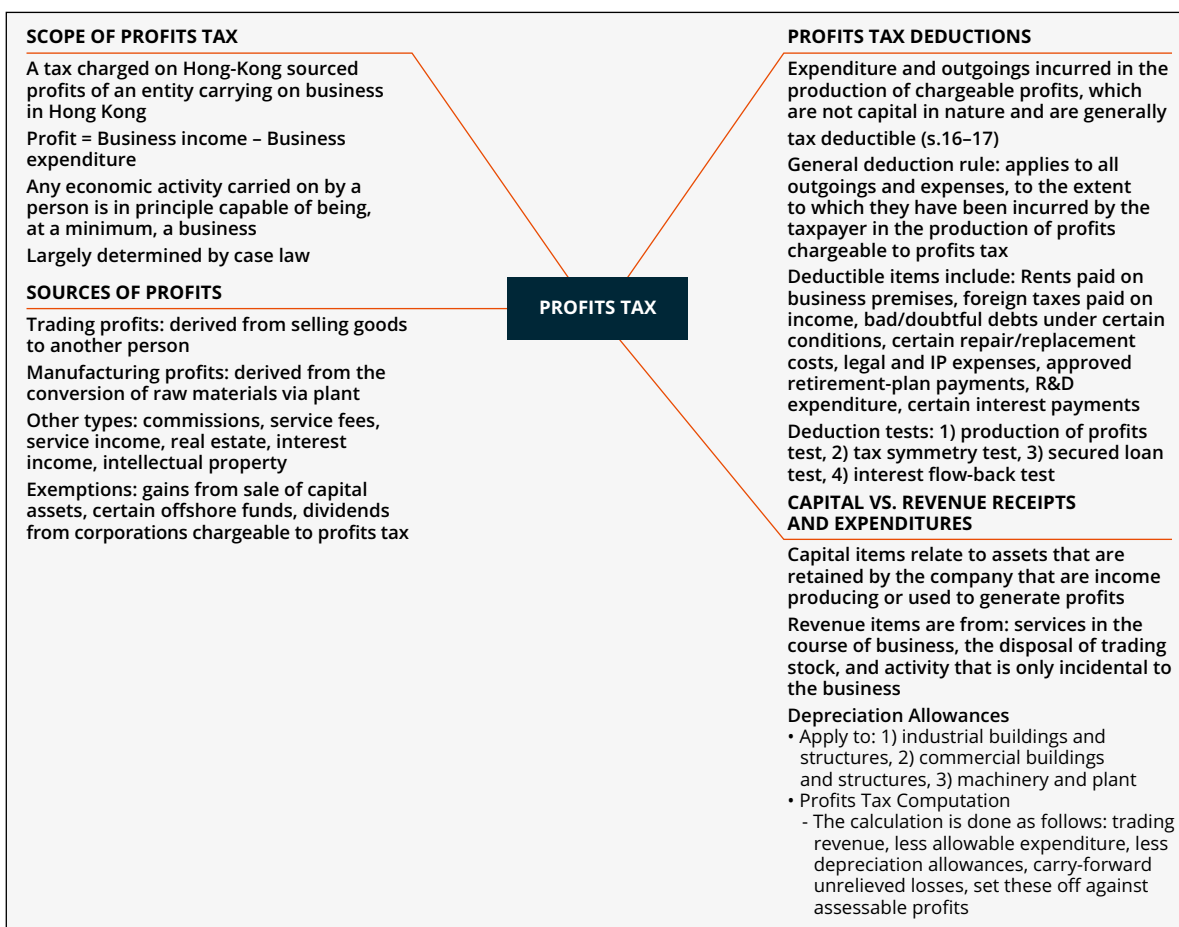
Profits tax in Hong Kong is calculated on a person's assessable profits.

The starting point in the computation of a person's assessable profits is its trading revenue, from which there must be deducted the various items of allowable expenditure in sections et seq. and any depreciation allowances. Finally, unrelieved losses carried forward must be set-off against assessable profits to arrive at the net assessable amount, which is the fund on which profits tax is actually charged.

The amount of tax payable on a partnership's profits is affected by the tax profiles of the individual partners and whether the partners are corporate entities (such that the profits tax rate of 16.5% and 8.25%) or individuals (such that the standard tax rate of 15% and 7.5%).

An advantage of setting up a holding company in Hong Kong is that any profit derived from the subsequent exit by sale or disposal of the local holding company should generally be treated as exempt from profits tax because Hong Kong does not tax profits derived from the sale of capital assets.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because profits tax is charged on assessable profits, not income. There is no general income tax on corporations in Hong Kong.

Answer B is incorrect because the badges of trade are indicative, but they are not to be treated as a checklist.

Answer C is correct because in order to be chargeable under s.14 profits must be the profits of a trade, profession or business carried on in Hong Kong, or deemed to be so.

Answer D is incorrect because determining whether a person carries on a trade, profession or business is a mixed question of fact and law.

Question 2

Answer A is correct. The source of manufacturing profits is the place where the manufacturing actually takes place.

Answer B is incorrect. The source of profits derived from the sale and purchase of listed securities is the jurisdiction in which they are listed.

Answer C is incorrect. The contracts for sale and purchase are effected outside of Hong Kong; accordingly, the profits are not Hong Kong source.

Answer D is correct. The source of profits from the rendering of services is the jurisdiction where such services are rendered.

Question 3

Source is a hard, practical matter of fact. One looks to what the taxpayer has done to earn its profits, and where it has done it, discounting antecedent or incidental matters. The focus of the inquiry should be the proximate source of a person's profits – that is, the transactions that in substance give rise to the profits.

Question 4

Answer A is incorrect. This is expenditure of a private or domestic nature.

Answer B is incorrect. Expenditure recoverable under an indemnity or a contract of insurance is not deductible.

Answer C is incorrect. A liquor licence is likely capital expenditure because it confers a lasting benefit on the business of being a restaurateur and is a one-off expenditure.

Answer D is correct. Interest payable to an overseas financial institution is deductible, provided it is incurred in the production of assessable profits.

Question 5

Answer A is incorrect. Capital expenditure is deductible under certain circumstances, and subject to certain conditions.

Answer B is incorrect. Capital expenditure is generally not deductible under s.17(1)(c).

Answer C is correct. Depreciation allowances are available with respect to expenditure incurred on capital assets that is not otherwise deductible under the IRO.

Answer D is incorrect. Capital allowances are available subject to the fulfilment of certain conditions, the most relevant of which is that the capital asset in question be a commercial or industrial building, or plant or machinery.

Question 6

Answer A. The HK\$75 million is likely the profit of a trade, profession or business carried on in Hong Kong, and, because it derives from retail sales in Hong Kong, it is likely to be Hong Kong source applying the broad guiding principle for the determination of locality of profits. Accordingly, it should be taxable. The HK\$500,000 bank interest is not taxable, because bank interest derived from banks in Hong Kong is not taxable under the Exemption from Profits Tax (Interest Income) Order. As regards the gain from the sale of the Causeway Bay office, this should, on first blush, be a capital disposal, since we know that GSHM is a garment retailer. Thus, from its perspective, the disposal of a property should be a capital disposal, because property is not its stock in trade.

Answer B. You may first have to determine whether GSHM has separately begun a trade or business dealing in property. A person may have more than one trade or business, and whether it carries on a trade or business in property will in each case be a mixed matter of fact and law.

Question 7

Answer A is correct. Compliance costs are important, because they establish a baseline cost profile for the vehicle in question.

Answer B is correct. The allocation of profits between participants is commercially essential: profits in a partnership arise directly to the partners, whereas profits arise to shareholders only if and when dividends are declared.

Answer C is correct. Withholding tax rates establish the essential fiscal profile of the investment vehicle, and are therefore of fundamental importance.

Answer D is correct. Corporation tax rates establish the essential fiscal profile of the investment vehicle, and are therefore of fundamental importance.

Question 8

Answer A. The acquisition of trading stock is a revenue expenditure incurred in the production of taxable profits. It is accordingly deductible. Employee salaries are likewise a recurring, revenue expenditure incurred in the production of taxable profits, and are therefore deductible. The same argument would apply to electricity costs.

Answer B. Costs of improvements are expressly barred from being deductible in s.17(1), though one could query whether this could be regarded as a refurbishment rather than an improvement. The purchase of an intellectual property right may be deductible, notwithstanding that it is a capital expenditure, under s.16EA.

Question 9

A. Assuming Percival is a new business, the basis period and assessable profits are:

Year of Assessment	Basis Period	Assessable Profits
2019/20	1 August 2018 – 31 December 2019 (17 months)	HK\$138,000 ^a
2018/19	Year ended 31 July 2018	HK\$36,000 ^b

^aCalculation: HK\$90,000 + HK\$48,000 = HK\$138,000

^bNo profits have dropped out of assessment, so they year of the change (2018/19) would probably not be recomputed.

B. Assuming Percival is an old business, the basis period and assessable profits are:

Year of Assessment	Basis Period	Assessable Profits
2019/20	1 January 2018 – 31 December 2019 (12 months)	HK\$93,000 ^a
2018/19	If it follows the original assessment, year ended 31 July 2019	HK\$36,000
	If it is recomputed with the new accounting date, 1 January 2017 – 31 December 2018	HK\$108,000 ^b

^aCalculation: $\text{HK\$}90,000 \times \frac{6}{12} + \text{HK\$}48,000 = \text{HK\$}93,000$

^bFive months' of profits have dropped out of assessment, so the IRD would probably recomputed the assessable profits for 2018/19 (the year preceding the change). Profits for the period 1 August 2017 – 31 December 2017 would drop out of assessment. Calculation: $\text{HK\$}36,000 \times \frac{6}{12} + \text{HK\$}90,000 = \text{HK\$}108,000$

Question 10

Answer A is incorrect. Tax is charged in the name of the partnership.

Answer B is incorrect. Partnerships are not separate legal persons.

Answer C is incorrect. A single partnership return needs to be filed in the name of the partnership.

Answer D is correct. Partnerships are deemed to be separate taxable persons under the IRO, and the principal partner is required to file a partnership return on behalf of the partnership.

Question 11

Answer A is incorrect. Royalties are expressly chargeable to profits tax to the extent they are for the use or the right to use intellectual property rights in Hong Kong, and not abroad. Note, however, that a royalty for the use or the right to use intellectual property outside of Hong Kong can be taxable in Hong Kong if the licence agreement were effected in Hong Kong.

Answer B is correct. Interest received by or accrued to a body corporate carrying on a trade, profession or business in Hong Kong is chargeable to tax if it was sourced in Hong Kong. The source of interest payable on simple loans of money is in general the place where the principal was made available to the borrower.

Answer C is incorrect. Dividends paid by companies chargeable to profits tax in Hong Kong are not taxable.

Answer D is incorrect. The mere grant of a loan is not chargeable to profits tax in the hands of the debtor.

 EXAM PRACTICE**QUESTION 1**

BB Ltd (BB) is engaged in manufacturing and trading of electronics products. It closes its accounts annually on 31 December. In respect of the year ended 31 December 2018, the company has the following results:

			HK\$	HK\$
Income				
	Sales gross profits	1	5,800,000	
	Interest income	2	700,000	
	Profit from sale of patent	3	500,000	
	Gain on disposal of fixed assets		<u>60,000</u>	7,060,000
Expenditure				
	Salaries and wages		2,000,000	
	Office rent		300,000	
	Products research expense	4	400,000	

		HK\$	HK\$
Depreciation		400,000	
Bank interest	5	300,000	
Repairs and maintenance		40,000	
Bad debts	6	55,000	
Legal and professional fee	7	200,000	
Donations	8	50,000	
Advertising		266,000	
Miscellaneous expenses (all deductible)		<u>430,000</u>	
			(4,441,000)
Net profit before taxation			<u>2,619,000</u>

Explanatory Notes:

- BB has a research and development department in Hong Kong. Currently, the products are manufactured by BB's wholly owned subsidiary company, Pear Ltd (PL), in Shenzhen of mainland China. Machines were provided by BB to PL free of charge. Suppliers of raw materials are mainly located in Taiwan and the Mainland. PL purchases raw materials from BB and other suppliers in mainland China. BB purchases finished goods from PL. BB's products are usually sold in the markets located in the Mainland, Hong Kong and the United Kingdom. BB runs exhibitions twice a year in the Mainland and the United Kingdom. Its sale managers travel frequently to these two markets to solicit customers and orders. BB has treated all of its sales profits as subject to Hong Kong profits for many years.

2.

	HK\$
Interest on euros fixed deposits placed with the head office of Hong Kong Bank, in Central Bank	300,000
Interest on US\$ fixed deposits with Hong Kong Bank, New York branch	200,000
Interest paid by a customer in the US on its overdue trading accounts balance	<u>200,000</u>
Total per accounts	<u>700,000</u>

3.

Original acquisition cost of the patent	500,000
Less: accumulated amortisation	(400,000)
Net book value brought forward	100,000
Proceeds of sale during the year	<u>600,000</u>
Net profit from sale per accounts	<u>500,000</u>

(The patent was used for the company's Hong Kong business, and has been fully written off for tax purposes in the year of acquisition.)

4. The products research expense included HK\$50,000 for acquisition of research equipment, HK\$100,000 for decoration of the research centre and HK\$200,000 annual royalty paid to an overseas unrelated company for the right to use a patent for product development.
5. BB incurred an interest expense of HK\$300,000 on bank overdraft for purchase of trading stock. The overdraft was secured by a personal guarantee of the director of BB's holding company.
- 6.

Provision b/f – on trade debts aged more than 6 mth	(40,000)
Write off of trade debts	20,000
Write off of a loan to a supplier	30,000
Bad debts recovered (trade debts written off in prior years)	(10,000)
Provision c/f – on trade debts aged more than 6 mth	<u>55,000</u>
Total per accounts	<u>55,000</u>

7. The legal fee consisted of:
 - (a) HK\$50,000 being a provision for an annual audit and tax filing service fee based on the amount charged in the prior year; and
 - (b) HK\$100,000 being a professional fee for a tax appeal.
8. Donations included:
 - (a) HK\$10,000 paid to Hong Kong Community Chest;
 - (b) HK\$10,000 to Po Leung Kuk to purchase charity tickets for a concert; and
 - (c) HK\$30,000 to an education fund for promoting education in China.
9. Tax written down values of depreciable assets ranking for the 20% pool and the 30% pool are HK\$100,000 and HK\$200,000, respectively. Details of additions to fixed assets during the year are as follows:

	HK\$
Office equipment	100,000
Environmental protection cleaning machine	452,000

Required

- (a) Compute the Hong Kong profits tax liability (or adjusted loss) for BB Ltd in respect of the year ended 31 December 2018, on the basis all of its sales profits are subject to profits tax. Ignore provisional tax. (All workings must be shown.)
- (b) The management of BB would like to evaluate if the tax treatment of reporting all BB's sales profits as subject to profits tax is correct, given that all products are produced by PL in the Mainland. Discuss the Hong Kong profits tax position of BB in respect of selling of products manufactured in the Mainland.
- (c) Explain in detail the profits tax treatment in respect of the interest income under note (2).

ANSWERS TO EXAM PRACTICE

QUESTION 1

(a) BB Ltd

Profits Tax Computation for 2018/19

Basis Period: Year Ended 31 December 2018

	HK\$	HK\$
Net profit before tax		2,619,000
Add		
Depreciation	400,000	
Write off of the loan to supplier	30,000	
Professional fee on tax appeal	100,000	
Donations	50,000	
Decoration of research centre	100,000	
Sale proceeds of patent (limited to deduction allowed before, i.e. the cost)	<u>500,000</u>	<u>1,180,000</u>
		3,799,000
Less		
Interest on Hong Kong fixed deposits	300,000	
Interest on overseas fixed deposits	200,000	
Profits on sale of patent	500,000	
Gain on disposal of fixed assets	60,000	
Environmental protection machines	452,000	
Industrial building allowance	24,000	
Depreciation allowance	<u>148,000</u>	<u>(1,684,000)</u>
		2,115,000
Donation to approved organisation		<u>(10,000)</u>
Assessable profits		<u>2,105,000</u>
Profits tax @8.25% × HK\$2,000,000		165,000
Profits tax @16.5% × HK\$105,000		<u>17,325</u>
		182,325
Less: Tax reduction 100% (capped at HK\$20,000)		<u>(20,000)</u>
		<u>162,325</u>
Withholding tax liability for royalty paid to an overseas company: HK\$200,000 × 30% × 8.25%		4,950
Less: Tax reduction 100% (capped at HK\$20,000)		<u>(4,950)</u>
		<u>Nil</u>

Computation of Depreciation Allowances

	20%	30%	Total
	HK\$	HK\$	HK\$
Tax written values b/f	100,000	200,000	
Addition	100,000		
Less: IA	<u>(60,000)</u>		60,000
	140,000		
Less: AA	<u>(28,000)</u>	<u>60,000</u>	<u>88,000</u>
Tax written values c/f	<u>112,000</u>	<u>140,000</u>	<u>148,000</u>

Computation of Industrial Building Allowances

	HK\$	HK\$
Decoration of research centre	100,000	
IA (20%)	<u>(20,000)</u>	20,000
	80,000	
AA (4%)	<u>(4,000)</u>	<u>4,000</u>
	<u>76,000</u>	<u>24,000</u>

(b) S.14(1) of the Inland Revenue Ordinance (IRO) imposes three conditions for profits to be chargeable to Hong Kong profits tax.

There is no doubt that BB has been carrying on a business in Hong Kong.

For manufacturing profit, the profit-making activity is the manufacturing operation (see the *Hang Seng Bank* case).

For import processing, where the Hong Kong company's involvement in the Mainland production process is minimum, with the support from *Datatronic* case, the Inland Revenue Department (IRD) takes the position that the manufacturing operations of the Mainland enterprise are not performed on behalf of, or for the account of, the Hong Kong company, and so the Hong Kong company derives trading profits instead of manufacturing profits. The source of profits of the Hong Kong company under import processing arrangement is governed by the normal sourcing rules for trading profits (i.e. not entitled to the fifty-fifty apportionment which applies to contract processing arrangements).

For trading profits, in the DIPN 21, the IRD maintains the position that the locations where the contracts of sale and purchase are effected are important factors for determining the source of trading profits. However, the IRD will contemplate all of the relevant operations carried out to earn the profit, including the solicitation of orders, negotiation, conclusion, trade financing, shipment and performance of the contracts. The IRD's position is that if either of the sale contract or purchase contract is effected in Hong Kong, as an initial presumption and subject to review of totality of facts, the IRD would regard the profits as having a Hong Kong source.

In this case, machines were provided by BB. BB sold raw materials to PL and purchased finished goods from PL. It seems BB did not have substantial involvement in the Mainland production activities. It is an import processing arrangement.

If it is an import processing arrangement, the IRD would regard BB's profits as trading profits in determining its source. The IRD would look at the location where the contracts of sale and purchase were effected. The IRD would also consider other relevant factors as mentioned in the DIPN 21. Unless both the contracts of sale and purchase were effected outside Hong Kong, BB would not be successful in securing an offshore claim. Additional information would be necessary to ascertain BB's tax position more exactly. This includes how and where the contracts of sale and purchase were effected, the related travel document copy for those staff travelling abroad to negotiate and conclude the contracts if any, where the trade finance, shipment and performance of contracts were done, etc.

(c) Interest income

Interest on foreign currency deposits with Hong Kong Bank in Hong Kong is taxable under s.15(1)(f), on the basis that the interest is sourced in HK by virtue of provision of credit test. However, by exemption order issued in 1998, any interest derived from authorised institutions on or after 22 June 1998 is exempt from payment of HK profits tax. In the circumstances, the interest income is exempted.

Interest on US\$ fixed deposits is not taxable on the basis that the interest is not sourced in HK.

Interest from the US customer on its overdue trade accounts balance is taxable on the basis that the interest is part of the company's trading profits, which are sourced in Hong Kong and hence taxable. Accordingly, the interest income should also be regarded as sourced in Hong Kong and therefore taxable. Provision of credit test does not apply in this case. The citizenship of the customer is also irrelevant.

4

Salaries Tax



CHAPTER TOPIC LIST

4.1 Salaries Tax Overview

- 4.1.1 Scope of Charge – s.8(1)
- 4.1.2 Exemptions and Reliefs

4.2 Office, Employment and Pension

- 4.2.1 Employment
- 4.2.2 Office
- 4.2.3 Pension

4.3 Time Basis Assessment Overview – s.8(1A)(a)

- 4.3.1 Time Apportionment

4.4 Income Chargeable to Salaries Tax

- 4.4.1 Income Specifically Chargeable to Salaries Tax
- 4.4.2 Accommodation Benefits
- 4.4.3 Employee Share-Based Benefits
- 4.4.4 Education Benefits
- 4.4.5 Holiday Journey Benefits
- 4.4.6 Other Fringe Benefits
- 4.4.7 Retirement Benefits

4.5 Benefits Specifically Excluded from Salaries Tax

- 4.5.1 Payment or Refund of Rent
- 4.5.2 Lump Sum Receipts from Retirement Scheme

4.6 Allowable Deductions

- 4.6.1 Outgoings and Expenses
- 4.6.2 Depreciation Allowances – s.12(1)(b)
- 4.6.3 Loss Brought Forward – s.12(1)(c)
- 4.6.4 Excess of Allowable Deductions of a Spouse under Joint Assessment – s.12(1)(d)
- 4.6.5 Self-Education Expenses – s.12(1)(e)
- 4.6.6 Concessionary Deductions

4.7 Personal Allowances

- 4.7.1 Full Valuable Consideration
- 4.7.2 Maintain or Treated as Being Maintained

4.7.3 Ordinary Resident in Hong Kong

4.7.4 Sole or Predominant Care

4.7.5 Claims by More than One Taxpayer

4.8 Computation of Salaries Tax

4.8.1 Ascertainment of Assessable Income

4.8.2 Lump Sum Payment on Cessation of Employment or Deferred Pay

4.8.3 Salaries Tax Computations

LEARNING OUTCOMES

PRINCIPAL LO2: APPLY TAX RULES AND PRINCIPLES AND CALCULATE TAX LIABILITIES FOR PROPERTY TAX, SALARIES TAX, PROFITS TAX, PERSONAL ASSESSMENT AND STAMP DUTY IN HONG KONG

Describe, explain and analyse the following tax issues as they impact and interact on transactions, individuals and entities: Salaries tax

LO2.03: Scope of salaries tax charge

2.03.01 Explain the scope of charge of salaries tax

2.03.02 Explain and apply the various exemptions available under salaries tax

LO2.04: Time basis assessment

2.04.01 Analyse circumstances to determine whether time apportionment is applicable

2.04.02 Apply DIPN 10

LO2.05: Incomes

2.05.01 Describe and apply the rules governing the source of income from office, employment and pension

2.05.02 Apply DIPN 10

LO2.06: Benefits in kind, housing benefits, share-based benefits and holiday journey benefits

2.06.01 Explain the taxation of benefits in kind, housing benefits and share-based benefits

2.06.02 Explain the taxation of holiday journey benefits

2.06.03 Apply DIPNs 16, 38 and 41

LO2.07: Lump sum receipts

2.07.01 Explain the taxation of lump sum receipts and retirement scheme benefits

2.07.02 Apply DIPN 23

LO2.08: Expenses and deductions

2.08.01 Explain the rules governing the deduction of expenses and depreciation allowances available under salaries tax

2.08.02 Explain the rules governing the deduction of concessionary deductions

2.08.03 Apply DIPNs 9, 23, 35, 36 and 37

LO2.09: Losses

2.09.01 Describe the nature of losses

2.09.02 Explain the treatment of losses

LO2.10: Personal allowances

2.10.01 Explain and apply the rules governing the claims for various personal allowances

2.10.02 Apply DIPN 18

LO2.11: Separate taxation on spouses and joint assessment

2.11.01 Explain the issues relating to the separate taxation and joint assessment of a married person and his/her spouse

2.11.02 Apply DIPN 18

Calculate the following tax liabilities for transactions, individuals and entities: Salaries tax**LO2.34: Ascertainment of salaries tax liability**

2.34.01 Calculate the assessable income from an office, employment and pension, including using time apportionment method

2.34.02 Calculate the allowable outgoings and expenses, depreciation allowances, losses brought forward, concessionary deductions and personal allowances

2.34.03 Calculate the net assessable income

2.34.04 Calculate the net chargeable income

2.34.05 Calculate the salaries tax payable including provisional salaries tax under separate taxation or joint assessment



OPENING CASE

YEO – THE MULTICULTURAL FAMILY FROM MALAYSIA AND SINGAPORE LIVING IN HONG KONG

Adrian Yeo is from Penang of Malaysia. He is married to Mei-ling Tan of Singapore. Adrian and Mei-ling were classmates when they pursued tertiary education at the National University of Singapore (NUS). The Yeo family's first child, Jonathan, was born five years ago in Singapore.

Adrian joined the Internal Audit Division of the Singapore Branch of German Bank AG (GBank) as a Management Trainee after he graduated from NUS. GBank is one of the top banks in Germany and has branches all over the world, including in Singapore and Hong Kong. Since the credit crisis in 2008, the compliance function of a financial institution has played a more important role internally in ensuring a sound corporate governance framework and risk management model have been implemented according to the relevant guidelines imposed by the regulatory authorities. Adrian was transferred to work in the Compliance Division of GBank since then.

Mei-ling started her career with Kowloon Pharmaceutical Pte Ltd (KP-Singapore), a Singaporean subsidiary of the famous Kowloon Pharmaceutical Company Ltd (KP-HK), a Hong Kong based multinational corporation (MNC) in the pharmaceutical sector. She joined KP-Singapore as a Graduate Trainee in the Finance Department and has progressed well up the bureaucratic ladder reaching the position of Financial Controller for Southeast Asian region two years ago.

In early 2019, Adrian was offered a Regional Compliance Director role to be based in the Hong Kong Branch of GBank from 1 April 2019 onwards. The initial term of this new job arrangement was for three years up to 31 March 2022. The employment was concluded with the Singapore Branch of GBank and then seconded to the Hong Kong Branch. This role required Adrian to frequently travel to all branches of GBank within the Asia Pacific region. Coincidentally, Mei-ling was able to secure an open position in the Corporate Controllershship Department of KP-HK under local terms. The Yeo Family then relocated from Singapore to Hong Kong in late March 2019.

Three months after they moved to Hong Kong, Mei-ling realised she was pregnant. The couple's second child, Rachel, was born in Hong Kong on 1 April 2020. Mei-ling then resigned from KP-HK and became a full-time housewife in order to take care of the family and the two children. Since Mei-ling was pregnant, both Adrian's mother, Marie Yeo (from Malaysia), and Mei-ling's mother, Eileen Tan (from Singapore), have taken turns to live with the Yeo Family

in Hong Kong in order to take care of Mei-ling and Jonathan while Adrian was frequently travelling for work.

Apart from the two mothers, Adrian has his grandfather (Ah-heng Yeo), father (Gilbert Yeo) and younger sister (Barbara Yeo) who live in Malaysia; whilst Mei-ling's grandfather (Ah-seng Tan), father (Tok-weng Tan) and younger brother (Chee-keong Tan) live in Singapore.

We will use various situations that the Yeo family and their close relatives have experienced during this relocation from Singapore to Hong Kong to illustrate the salaries tax principles and their implications as stipulated by the Learning Outcomes of this chapter. 



OVERVIEW

The Hong Kong tax system is territorial in nature. Income from an employment, office or pension arising in, or derived from, Hong Kong by an individual is subject to salaries tax. This chapter discusses the scope of charge, derivation of office, employment and pension income, the factors relevant to the determination of an employment location, various salaries tax exemptions, deductions and allowances, as well as how salaries tax liability is computed.

This chapter covers the 60-day exemption rule, time apportionment basis of assessment, special rules which apply to aircraft crew and ship personnel as well as the exemption for services rendered in a jurisdiction with which Hong Kong does not have a comprehensive double taxation agreement (CDTA).

This chapter addresses the definition of income from an office or an employment under the Inland Revenue Ordinance (IRO), the assessability of various fringe benefits, how these benefits are taxed and the timing of taxation. It describes circumstances where a contract for services is deemed to be such and analyses the elements critical to test if an employment exists. Special focus is given to the taxation of housing benefits, share-based compensations and benefits from recognised occupational retirement schemes.

It also looks at the criteria for the various deductions available under the salaries tax regime as well as the obligations imposed on the taxpayer with regards to such claims. It presents an overview of personal allowances, identifies the taxpayers who are eligible, the circumstances of the claim as well as the restrictions imposed by the IRO.

Step-by-step guidance is provided on the computation of salaries tax payable under separate and joint assessments, with and without time apportionment, as well as on provisional salaries tax calculations.

By the end of this chapter, you will be able to apply the relevant provisions of the IRO, the case laws and Inland Revenue Department's (IRD's) interpretations to determine the source of an employment, office or pension income, identify if employment exists, distinguish the taxable and non-taxable receipts, assess if an item is deductible or allowable, compute the assessable income and chargeable income of an individual and a married couple and prepare the salaries tax and PST computations under different scenarios.



4.1 SALARIES TAX OVERVIEW

We have learned in Chapter 1 that the income of an individual is taxed under three different taxing schedules depending on the type of income. Salaries tax, one of the taxing schedules, is

the tax on income from an employment, office or pension. Parts 3 and 10A of the IRO contains the salaries tax and provisional salaries tax provisions, respectively.

The basic charging section for salaries tax is s.8, which provides that salaries tax shall be charged on every person in respect of his or her Hong Kong sourced employment, office or pension income. The income of a person from carrying on of a profession, i.e. contract for services, is chargeable to profits tax instead (s.14(1)).

S.9 of the IRO enumerates various receipts which are to be considered income from an office or employment. These **statutory incomes** are discussed in Section 4.4.1 of this chapter.

Given that Hong Kong adopts a territorial basis of taxation, determination of the source of income from an employment, office or pension is critical. Only Hong Kong sourced income from employment, office and pension is subject to salaries tax. Non-Hong Kong sourced income is not taxable.

To calculate the salaries tax liability of an individual, the following are deducted from total income from employment, office and pension arising in or derived from Hong Kong to arrive at the individual's net chargeable income:

- Income which is specifically exempt under the IRO;
- Allowable deductions under s.12;
- Losses under s.12A;
- **Concessionary deductions** under Part 4A; and
- Personal allowances under Part 5.

Salaries tax is charged at the lower of the progressive tax rates on the **net chargeable income** (NCI) or the standard rate (currently 15%) on the **net income** (NI) of an individual. The standard tax rate and progressive tax rates are prescribed in Schedules 1 and 2 of the IRO, respectively.

Note that a married taxpayer is taxed separately from his or her spouse under the regime unless an election is made for a **joint assessment** (JA) (s.10(1)). A JA election is beneficial if the total tax payable by the married couple living together is lower when assessed jointly as compared to separately assessed (s.10(2)). Section 4.8 of this chapter covers provisional salaries tax.

The term marriage, as defined in s.2 of the IRO, has been reinterpreted to include a same-sex marriage following a recent Hong Kong Court of Final Appeal case, *Leung Chun Kwong v Secretary for the Civil Service* (2019) 22 HKCFAR 127. In this case, the taxpayer, a civil servant, is legally married in New Zealand with the taxpayer's same-sex spouse. The Court of Final Appeal ruled in favour of the taxpayer, recognising his rights to enjoy the same civil servant spousal benefits as his heterosexual counterparts and to elect for salaries tax joint assessment. The court ruled that:

- the term marriage shall mean any marriage, whether or not so recognised, entered into outside Hong Kong according to the law of the place where it was entered into and between persons having the capacity to do so, provided where the persons are of the same sex and such a marriage between them would have been a marriage under this Ordinance but for the fact only that they are persons of the same sex, they shall be deemed for the purposes of such a marriage to have the capacity to do so; and

- for the purposes of the IRO, references to
 - 'husband and wife' shall be read as 'a married person and his/her spouse';
 - 'not being a wife living apart from her husband' shall be read as
 - not being a spouse living apart from the married person'; and
 - 'either the husband or wife' shall be read as 'either the married person or his or her spouse'.

A same-sex marriage is therefore a valid marriage for the purposes of the IRO and a same-sex married taxpayer is treated the same as a heterosexual married taxpayer. A same-sex married taxpayer and his/her spouse may elect for a joint assessment or a personal assessment joint filing. He/she is also entitled to claim the deductions or allowances available to a married taxpayer and his/her spouse under the IRO.

A taxpayer who is liable to salaries tax would also be liable to pay provisional salaries tax in respect of the year of assessment (YA) (s.63B(1)). Generally, provisional salaries tax is calculated by applying the:

- Progressive tax rates applicable to the YA in question on the NCI; or
- Standard rate on the NI of the preceding YA, whichever is lower.

4.1.1 Scope of Charge – s.8(1)

Under s.8(1), salaries tax is charged on income arising in or derived from Hong Kong from an employment, office or pension during the YA. This means that the employment income of an individual with a Hong Kong employment will be subject to salaries tax irrespective of the place the services are performed.

An employee with a Hong Kong employment is fully taxable in Hong Kong. It does not matter where the services are performed unless:

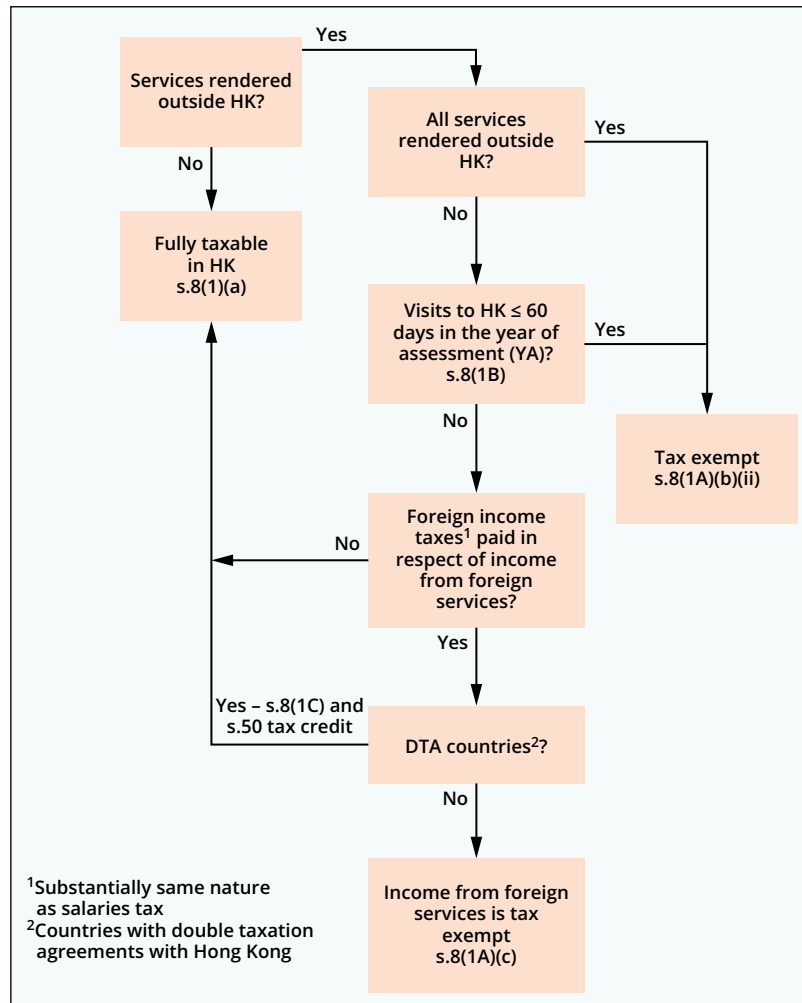
- All services are performed outside of Hong Kong (s.8(1A)(b)(ii)); or
- The income for services rendered outside Hong Kong has been subject to similar foreign income taxes and such taxes have been paid (s.8(1A)(c)).

In addition to s.8(1), s.8(1A)(a) provides that employment income arising in or derived from Hong Kong includes all income attributable to services rendered in Hong Kong. This means that the income of an employee with a non-Hong Kong employment will be chargeable to salaries tax to the extent of services rendered in Hong Kong. Such an employee will be subject to salaries tax on the income derived from the days he or she rendered services in Hong Kong under the **time apportionment basis** of assessment.

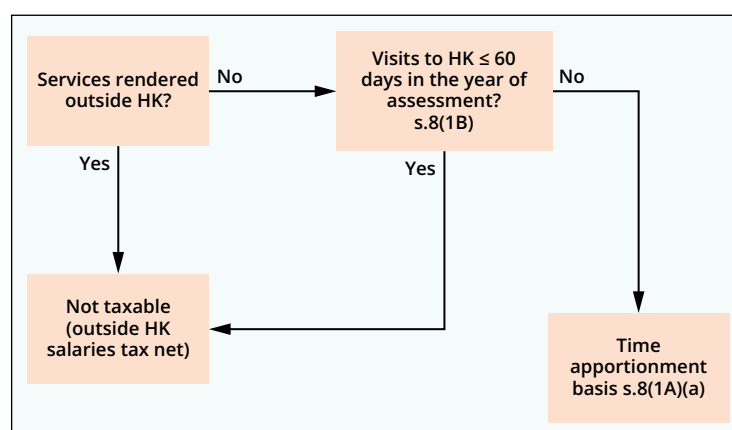
In the case of income from an office (e.g. director's fees), the income is Hong Kong sourced if the company paying the fees is centrally managed and controlled in Hong Kong.

Pensions are generally considered Hong Kong sourced income if the funds from which the pensions are paid are controlled and managed in Hong Kong and the pensions (except government pensions) are attributable to services rendered in Hong Kong.

Whilst we are going to explain to you the details in the upcoming sections, Exhibits 4.1 and 4.2 provide you with the decision flowcharts (except for government employees, visiting teachers/researchers and, aircraft/ship crew members) to be applied on determining the chargeability of salaries tax on employment.



► **EXHIBIT 4.1** Chargeability to salaries tax – Hong Kong employment (not government employees, visiting teachers/researchers and air/sea crew members)



► **EXHIBIT 4.2** Chargeability to salaries tax – not a Hong Kong employment (excludes government employees, visiting teachers/researchers and air/sea crew members)

4.1.2 Exemptions and Reliefs

S.8(2) sets out a list of incomes which are exempt from salaries tax. These incomes are:

- Official emoluments of a staff member of a consulate;
- Commutation of certain recognised retirement schemes;
- Most payouts from employers' mandatory contributions of the Mandatory Provident Fund (MPF);
- Certain scholarships;
- Periodic alimony received from the taxpayer's former spouse; and
- Non-deductible remuneration paid to the spouse of a sole proprietor or, in a partnership, to a partner or their spouse under s.17(2) for profits tax (s.8(2)(k)), etc.

There is another exemption, called the **60-day exemption rule** s.8(1B), that applies to employment income from Hong Kong sources. Such income is not taxable if all of the employment services provided during the year of assessment are delivered outside of Hong Kong. Under this rule, up to and including 60 days of visits to Hong Kong during the year of assessment's basis period, are allowed. If services are rendered in Hong Kong on more than 60 days, the exemption does not apply.

Meanwhile, please note that exemptions do not apply to the income of a government employee or crew of a ship or aircraft. There is specific tax exemption provided under s.8(2)(j) of the IRO in respect of the income of aircraft or ship personnel.

4.1.2.1 60-Day Exemption Rule – s.8(1B)

The income derived from services rendered by a person, excluding a government employee or a ship or air crew member, is exempt from salaries tax if all services in respect of the employment were performed outside Hong Kong (s.8(1A)(b)). For the purpose of determining if all services were performed outside Hong Kong, services rendered in Hong Kong during visits not exceeding a total of 60 days in the YA are disregarded (s.8(1B)). Thus, an individual who rendered services in Hong Kong and his/her visits to Hong Kong were 60 days or less in the YA, would not be subject to salaries tax for that year. This is commonly known as the 60-day exemption rule.

Note that s.8(1A)(b) would not apply to the income of a visiting teacher or researcher who was a Hong Kong tax resident immediately prior to the foreign posting, if such income was exempted from tax in the foreign country of posting pursuant to the CDTA Hong Kong has concluded with that country.

On page 3 of its pamphlet *A Guide to Salaries Tax for People Coming to Work in Hong Kong*, the Inland Revenue Department (IRD) has stated that a person who makes a trip to HK for the purpose of training, attending a conference or reporting work progress is regarded as rendering a service in Hong Kong.

Meaning of 'Visits'

The IRO does not define the term 'visit'. 'Visit' is defined in the *Oxford Dictionary* to mean a temporary stay at a place. Thus, the plural 'visits' means multiple temporary stays at a place. The word 'visit' was also considered in various BOR cases. In IRBRD D29/89, the BOR held that

the taxpayer could not have 'visited' Hong Kong as his home and normal place of residence was in Hong Kong. However, in a later case, i.e. IRBRD D11/97, the BOR questioned the view adopted in IRBRD D29/89 and stated: 'The meaning of the word must of course be construed in its context. The context of s.8(1B) is that the person is ex-hypothesis outside the jurisdiction for most of the year and the word 'visit' may not be inapposite to describe a period of a short stay. It seems to us somewhat precarious to hang on that single word an intention, not otherwise expressed, on the part of the legislature to exclude from the beneficial application of s.8(1B) all persons who have their home in Hong Kong'.

The BOR supported the approach above in IRBRD D27/03 and stated that the BOR would not deprive a taxpayer of the s.8(1B) exemption purely because the taxpayer was a Hong Kong resident or had a home in Hong Kong. Instead, the BOR will take into account the 60-day exemption rule in s.8(1B) when assessing if the taxpayer has rendered all services outside Hong Kong.

Similarly, in IRBRD D79/05, the taxpayer who was employed as a project manager to supervise two projects in China returned to Hong Kong during weekends. Thus, his visits to Hong Kong totalled more than 60 days. The taxpayer and his manager gave evidence that he did not render any services in Hong Kong during his visits and the BOR held that the taxpayer had rendered all services outside of Hong Kong and set aside the assessment issued.

The IRD has indicated that whether the nature of a trip to Hong Kong is a visit depends on the circumstances of each case and, generally, an occasional return to Hong Kong by a Hong Kong resident who is a permanent employee of a foreign work base will be considered as a 'visit' (see the IRD website: <https://www.gov.hk/en/residents/taxes/salaries/salariestax/exemption/employee.htm#exempt>). In the case of a foreign employee on a short-term assignment to Hong Kong, the IRD has indicated that the type of visa held by the employee alone is not the decisive factor in determining if the assignee meets the conditions stated in regards to 'visits' for the purposes of s.8(1B).

The BOR has focused on whether all services were rendered outside of Hong Kong in taking into account the 60-day exemption rule. If a taxpayer's total days in Hong Kong in a YA exceeded 60 days, the onus of proof falls on the taxpayer to prove that he did not perform any services during these days in Hong Kong; see IRBRD D90/03 and IRBRD D19/16.

Another issue concerning the word 'visits' in s.8(1B) was analysed by the High Court in *CIR v So Chak Kwong, Jack* (1986) 2 HKTC 174. The Court ruled that the 60 days in s.8(1B) referred to 'visits' and not 'services rendered'. Thus, if a taxpayer worked in Hong Kong, albeit minimally, i.e. less than 60 workdays, he or she must not visit Hong Kong for a total of more than 60 days in the relevant period in order for his employment income to be exempted from salaries tax. By the same token, a taxpayer must not render any services if his or her visits exceed 60 days in the YA.

In IRBRD D2/06, the taxpayer was employed in Hong Kong to work in the office of the employer in China. The taxpayer spent her weekends with her family in Hong Kong, which resulted in visits of more than 60 days during the YA. In addition, she attended a meeting in Hong Kong as the representative of the mainland China entity. She was registered as a 'visitor' at the Hong Kong company's reception. The BOR acknowledged from the facts that the taxpayer had provided all services outside of Hong Kong except for the one-day meeting in Hong Kong and dismissed the case given that her visits exceeded 60 days in total.

Meaning of 'Days'

Due to the absence of a definition of 'days' in the IRO, the BOR has adopted its ordinary meaning. In IRBRD D20/00, the BOR held '... When a person arrives today and leaves tomorrow even if the duration of his visit is less than 48 hours, one would treat his visit as two days'.

Similarly, in IRBRD D40/07, the BOR adopted the view in IRBRD D20/00 and held that part of a day should be counted as a day. Consistent with the BOR's interpretation, the IRD has indicated on page 3 of its pamphlet, *A Guide to Salaries Tax for People Coming to Work in Hong Kong*, that in counting the days for the 60-day exemption rule, both the arrival and departure days are to be included, i.e. part of a day is counted as one day.

In general, a point of contention is whether 'days' refers to days actually spent rendering services or days of stay generally. The IRD generally assumes the latter and will typically assess on the basis that a day spent in Hong Kong is, subject to compelling evidence to the contrary, a day spent rendering services in Hong Kong. The technical soundness of that approach may be questionable, but because the burden of proof is on the taxpayer to show an assessment to be excessive, it is difficult to prove that one did not render any services in employment while staying in Hong Kong.

Illustrative Example 1 – The 60-Day Exemption Rule

Scott is employed by a Hong Kong consulting firm to work in mainland China. He is required to attend quarterly meetings in Hong Kong. Scott's visits to Hong Kong for YA 2019/20 are summarised below.

Purpose of visit	Arrival		Departure		Days
	Time	Date	Time	Date	
Meetings (25–29/6/2019)	22:30	22/6/2019	01:50 ^a	3/7/2019	12
Travelling from Hong Kong to London (return)	10:00	10/8/2019	00:30	12/8/2019	3
	19:45	18/8/2019	06:30	20/8/2019	3
Meetings (24–28/9/2019)	21:00	22/9/2019	06:30	1/10/2019	10
Meetings (17–21/12/2019) and annual leave	22:30	1/12/2019	07:25	23/12/2019	23
Meetings (25–29/3/2020)	19:30	2/1/2020	19:00	11/1/2020	10
Total					61

^a Rather than flying back to China in the evening of 2 July 2019, it was more efficient for Scott to take a flight directly from Hong Kong to Osaka for his next meeting in Japan.

For the purpose of computing the days in Hong Kong under s.8(1B), part of a day is considered as one day. Thus, Scott's early morning departures from Hong Kong for Osaka and London have resulted in an additional two days in Hong Kong (i.e. one day for each departure). As a result, he would not meet the 60-day exemption and his employment income would be subject to salaries tax under s.8(1).

4.1.2.2 Services Rendered and Tax Paid in Non-DTA Jurisdiction – s.8(1A)(c)

The income exclusion claim provided under s.8(1A)(c) is intended to prevent the employment income of a person from being double taxed; i.e. once in the country where the services were rendered and a second time in Hong Kong under s.8(1), being a Hong Kong employment. To qualify for an income exclusion claim under s.8(1A)(c), the following three criteria must be satisfied:

1. The income must be derived from services rendered outside Hong Kong (including leave attributable to such services) (*CIR v Lo Wa Ming Patrick* [2022] HKCA 710).
2. The income must be chargeable to tax of substantially the same nature as salaries tax in the jurisdiction where the services were rendered; and
3. The Commissioner of Inland Revenue (CIR) is satisfied that that person has, by deduction or otherwise, paid the foreign tax.

For the purpose of criterion 2 stated above, the IRD has expressed in paragraph 37 of DIPN 10 (Revised) that the IRD will generally accept as sufficiently similar any tax charged by reference to the amount of employment income. The tax rate and assessment method are irrelevant. To qualify for the s.8(1A)(c) income exclusion claim, chargeability and actual payment of foreign tax are crucial. The amount of foreign tax paid is irrelevant because s.8(1A)(c) only exempts from salaries tax income attributable to services rendered in another jurisdiction. As long as some foreign tax is paid, the taxpayer is eligible for the s.8(1A)(c) income exclusion claim. If for any reason no foreign tax was paid, the income exclusion claim would not apply, and the relevant income would be chargeable to salaries tax.

Given the tax year in the foreign jurisdiction may not coincide with Hong Kong's and the foreign tax may not have been paid at the time of tax assessment, the taxpayer must lodge an objection to the assessment issued on the basis that foreign tax will be paid in due course. Upon payment of the foreign tax and submission of documentary evidence, the IRD will amend the assessment to exclude the relevant income accordingly.

With effect from YA 2018/19, the income exclusion claim provided by s.8(1A)(c) only applies to foreign taxes paid in a tax jurisdiction with which Hong Kong does not have a DTA. A taxpayer who is subject to foreign tax for services rendered in a tax jurisdiction with which Hong Kong has a DTA, e.g. mainland China, will only be able to claim an FTC under s.50 if he or she is a Hong Kong tax resident on the terms of the 'Residence' article of the DTA in question (s.8(1C)). This means that a person with a **Hong Kong employment** who is not a Hong Kong resident and does not ordinarily reside in Hong Kong will not be eligible for FTC if he or she spent more than 183 days working in China and is subject to the Individual Income Tax in China.

Note that under s.50AA(2), a taxpayer is required to take steps to minimise the amount of foreign taxes paid as a condition for claiming an FTC. The FTC must not exceed the amount of relief that would have been granted had all foreign tax minimisation steps been taken. The IRD has not released to date any published guidance on the application of the FTC.

Illustrative Example 2 – Chargeability and Payment of Foreign Tax s.8(1A)(c)

Ms. Chin, a Singapore citizen, was employed by KP-HK since January 2012. In 2019, KP-HK assigned her to a project in Singapore. Ms. Chin was based in Singapore from 1 April 2019 to 31 December 2019. She returned to work in Hong Kong after the completion of the project in January 2020.

Ms. Chin's employment income derived from services rendered in Singapore for the calendar year ended 31 December 2019 was chargeable to Singapore tax. However, after the available deductions and reliefs (including the working mother child relief available to a Singaporean), her Singapore tax liability for the YA 2020 (covering the preceding calendar year 2019) was nil. Would Ms. Chin be eligible to exclude the employment income derived during her assignment in Singapore from the salaries tax net in accordance with s.8(1A)(c)?

Let's analyse this by applying the flowchart in Exhibit 4.1:

- Ms Chin has a Hong Kong employment.
- From 1 April 2019 to 31 December 2019, she rendered services in Singapore and from 1 January 2020 to 31 March 2020, she returned to Hong Kong to work. In other words, she did not render all services outside Hong Kong for 2019/20 and hence exemption under s.8(1A)(b)(ii) would not apply.
- She worked in Hong Kong for more than 60 days and hence the 60-day exemption under s.8(1B) would not apply.
- Even though her employment income during the period in Singapore was chargeable to Singapore tax, her Singapore tax liability was nil due to deductions and reliefs available to her. Hence, she did not meet criterion three under s.8(1A)(c)(ii) and the income exclusion claim would not apply here.
- Her employment income derived for the period she worked in Singapore would be chargeable to Hong Kong salaries tax in the YA 2019/20 as per s.8(1)(a) i.e. fully taxable.

Note that the s.8(1A)(c) income exclusion claim does not apply if the services are rendered in a jurisdiction where Hong Kong has entered into a CDTA. In such a situation, the foreign income is chargeable to salaries tax under s.8(1)(a). Any foreign tax payable is allowed as a tax credit provided under s.50 of the IRO against the Hong Kong tax payable on the same income (s.8(1C)).

4.1.2.3 Income of Ship or Aircraft Crew – s.8(2)(j) Exemption

Income derived by a person from services rendered as master, commander or member of a crew of a ship or an aircraft is exempt from salaries tax if the person is present in Hong Kong for:

- Not more than a total of sixty (60) days in a YA, and
- lesser than a total of one hundred and twenty (120) days in two consecutive YAs, one of which related to the YA concerned (s.8(2)(j)).

In computing the days under s.8(2)(j), transit days are considered days present in Hong Kong. This position is confirmed in the [IRBRD D11/13](#). In this case, the taxpayer was a member

of an aircraft crew and spent his transit time in the airport area after landing and before taking off. The BOR held that for the purpose of s.8(2)(j), it did not matter that the taxpayer did not pass airport control. The ordinary meaning of 'present' was 'being here'. The fact that the taxpayer spent his time in a Hong Kong airport, and therefore was present in Hong Kong.

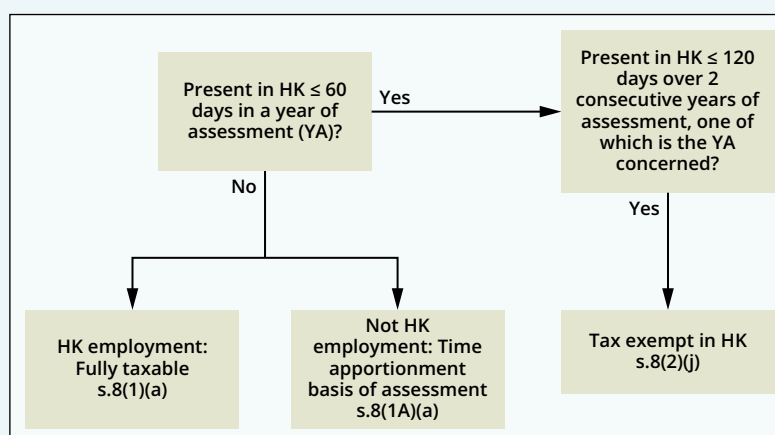
Illustrative Example 3 – Income of an Aircraft Crew Member (s.8(2)(j))

William is a trained A350 pilot and he joined Phoenix Airways Company Limited (PACL), a Hong Kong based airlines, in January 2019. His contract of employment was negotiated and concluded in Hong Kong, and PACL is tax resident in Hong Kong. William flies international long-haul sectors. For the YA 2019/20, he was in Hong Kong 29 days. In the same YA, he transited at Hong Kong airport 32 occasions on 32 different dates.

William was present in Hong Kong for a total of 61 days. Even though he did not enter Hong Kong on the transit days, William was present in Hong Kong on those dates for the purpose of s.8(2)(j). Thus, his entire income from PACL is chargeable to ST under s.8(1)(a).

In the case where a crew member of an aircraft or ship has a non-Hong Kong employment, his/her income will be subject to ST on a time apportionment basis if he/she does not qualify for an exemption under s.8(2)(j).

Exhibit 4.3 provides a decision flowchart on the exemption under s.8(2)(j).



► **EXHIBIT 4.3** Exemption under Hong Kong (HK) salaries tax - aircraft/ship crew

4.1.2.4 Exemption under the Anti-epidemic Fund (AEF) Order

The Hong Kong government has introduced AEF to provide financial assistance and relief to support individuals and businesses adversely impacted by the coronavirus pandemic. To ensure that the recipients fully benefit from such financial assistance, the government has, under s.87 of the IRO, issued the Exemption from Salaries Tax and Profits Tax (Anti-epidemic Fund) Order (the 'Order') to provide tax exemption for most of the payments granted under the AEF. The Order took effect on 29 May 2020. Under the Order, the AEF receipts are specifically exempted from salaries tax with effect from the YA 2019/20. Details can be found in the IRD's website at <https://www.ird.gov.hk/eng/tax/aef.htm>.

Key Learning Point

Salaries tax is charged on any income arising in or derived from Hong Kong from an employment, office or pension except for income which is specifically exempt under the provisions of the IRO.

► Knowledge Check Questions**Question 1**

Identify which of the following items is not subject to salaries tax.

- A** Mei-ling's monthly salary received from KP-HK prior to her resignation.
- B** Adrian's monthly salary received from the Hong Kong Branch of GBank after his secondment.
- C** Eileen's dividend income received from the KP-HK shares she acquired from the Hong Kong Stock Exchange.
- D** Gilbert's director's fees received from a company with its central management and control exercised in Hong Kong.

4.2 OFFICE, EMPLOYMENT AND PENSION

Under the primary charging provision for salaries tax (s.8(1)), all income arising in or derived from Hong Kong from an office, employment or pension should be subject to salaries tax. We shall consider the applicability of s.8(1) in the context of these income categories in the following sections.

4.2.1 Employment

Employment income is income received by a person in consideration for his services under an employment contract, i.e. contract *of* services. On the contrary, a Hong Kong sourced income received by a person under a contract *for* services is subject to profits tax instead.

By now, we know that a Hong Kong sourced employment income is subject to salaries tax. Briefly, salaries tax is charged on two categories of employment income (i.e. basic charge and extended charge).

1. *Basic charge*: Income from an employment located in Hong Kong under s.8(1)(a), except where the services are:
 - (a) fully rendered outside Hong Kong (s.8(1A)(b)(ii));
 - (b) rendered during visits not exceeding 60 days (s.8(1B)); or
 - (c) rendered in a territory outside Hong Kong and tax of substantially the same nature as salaries tax, has been paid on the income under the laws of the territory (s.8(1A)(c)).
2. *Extended charge*: Non-Hong Kong employment income derived from services rendered in Hong Kong.

4.2.1.1 What Is an Employment?

Whether a person is rendering services as an employee or otherwise is a mixed question of fact and law. Several tests were developed by case law to examine if there existed an employer-employee relationship. We shall look at these tests and how they are applied by the IRD and various BOR's decisions.

Control Test

The traditional control test under a master-servant relationship established in *Yewens v Noakes* (1880) 6 QBD 530 is whether the servant (employee) is 'a person subject to the command of his master as to the manner in which he shall do his work'. The element of control would be exercised in the nature of the work to be performed. Control or direction on how a task is to be done may not be appropriate in the case of an employee hired with specialised skills, knowledge and expertise as the employee is likely to exercise his or her judgement in performing the specialised duties assigned. The latter does not mean that the person is not an employee. The control the employer has over the employee in such a situation may relate to the duties to be assigned rather than how the assigned duties were to be done.

Integration Test

Under this test, the issues to be considered are whether and how the person participated in the business which engaged him or her, e.g. if the person held a position and reported to a manager in the organisation, how the person represented himself or herself to outsiders and if the person was part of the organisation (see *Bank voor Handel en Scheepvaart NV v Administrator of Hungarian Property* (1954) 35 TC 311). In paragraph 41, DIPN 25 (Revised), the IRD acknowledges the adoption of the integration test in examining the employer-employee relationship if the control test is inadequate.

Economic Reality Test

The economic reality test was laid down in *Market Investigations Ltd v Minister of Social Security* (1969) 2 QB 173 and in *Fall v Hitchen* (1972) 49 TC 433. In *Market Investigations Ltd v Minister of Social Security* (1969) 2 Q.B. 173, 184–185, Cooke J summarised as follows:

The fundamental test to be applied is this: 'Is the person who has engaged himself to perform these services performing them as a person in business on his own account?' If the answer to that question is 'yes', then the contract is a contract for services. If the answer is 'no,' then the contract is a contract of services. No exhaustive list has been compiled and perhaps no exhaustive list can be compiled of the considerations which are relevant in determining that question, nor can strict rules be laid down as to the relative weight which the various considerations should carry in particular cases. The most that can be said is that control will, no doubt, always have to be considered, although it can no longer be regarded as the sole determining factor; and that factors which may be of importance are such matters as whether the man performing the services provides his own equipment, whether he hires his own helpers, what degree of financial risk he takes, what degree of responsibility for investment and management he has, and whether and how far he has an opportunity of profiting from sound management in the performance of his task.

Thus, the facts supporting a contract for services are amongst others: business registration, risk borne by the person, assets deployed in the business and expenses incurred by him or her in generating the service income.

Mutuality of Obligation Test

Under this test, we examine whether there is an obligation on the person to work and on the business engaging the person to pay him or her and provide work during the time of the contract.

In a recent case, *Hafal v Lane-Angell* 2018 EAT 0107/17, Hafal, a charity, appointed Miss Lane-Angell and put her on its on-call shift rota. If work was available, Hafal would call a person on their rota who could accept or reject the work. Hafal implemented a 'three strikes' rule to resolve operational difficulties. Miss Lane-Angell was removed from the rota under this policy and claimed unfair dismissal. The Employment Appeal Tribunal found that the working arrangement demonstrated no obligation to provide or accept work and there was no overarching contract of employment. According to J Choudry: 'It is a trite observation that an expectation that the Claimant would provide work is not the same as an obligation to do so'.

Summary – Totality of Facts

Contemporary practice is not to rely on the application of any given test or a combination of them in a 'check-list' format but to look holistically at the relationship between the putative employer and employee. The IRD applied the four tests above in Appendix B, DIPN 25 (Revised) that sets out a list of questions which are to be answered by the taxpayer when he or she requests for an advance ruling on whether an employer-employee relationship exists. The answers to these questions would enable the IRD to analyse all facts in totality in making the determination.

This totality of facts approach was applied in a recent Court of First Instance case, *CIR v Pang Fai* HCIA2/2016. In this case, a certified public accountant received honorarium from the Hong Kong Institute of Certified Public Accountants (HKICPA) for his services as a workshop facilitator and an exam marker. The IRD relied on the facts that HKICPA controlled the work assignments, e.g. workshop structure and material, date, time and venue of the workshop, etc. plus the fact that the taxpayer did not have any financial risk, and concluded the existence of an employer-employee relationship between the taxpayer and the HKICPA. Salaries tax was assessed in respect of the honorarium.

On appeal, both the BOR and the court looked at all the facts and circumstances and concluded that it would not be appropriate to apply the control and economic reality tests here. The BOR and the court considered the following:

- The taxpayer did not take up the roles for gainful employment or monetary gain but to assist the profession in maintaining proper education and qualification program. Thus, the economic reality test would not be suitable here.
- The taxpayer was engaged as a practitioner to contribute his skills, expertise and guidance and it would be 'totally inapt to adopt the 'control test', the object of which was the identification of a superior-subordinate dominant-subservient relationship'.
- The reward was inconsistent with an employer-employee relationship.
- Both parties could rescind the arrangement at any time without any adverse consequence.
- HKICPA did not regard the workshop facilitators or exam markers as an integral part of its organisation.

- The taxpayer was providing professional services as the workshop facilitator and exam marker and the honorarium for such services should be assessed under profits tax. An employer-employee relationship did not exist.

It is important to note that while each test is relevant, the extent of their relevance must be considered alongside the circumstances of the case. All facts should be examined in totality in deciding if there was an employer-employee relationship.

4.2.1.2 Source of Employment Income

We have learned that the income arising in or derived from an employment in Hong Kong is subject to salaries tax (s.8(1)(a)). The IRO does not define what constitutes income arising in or derived from Hong Kong from an employment. However, this matter has been considered in Hong Kong case law; of significance here is *CIR v George Andrew Goepfert*, 2 HKTC 210 (1987), also known as the *Goepfert* case.

***Goepfert* Case**

Goepfert was employed by a company in the US and was seconded to work for a company in the group in Hong Kong. His services were for the benefits of other affiliated companies in the region. The master-servant relationship was between the taxpayer and the US company. At all times, Goepfert was paid by the US company and costs of his housing were partly borne by him and partly by the affiliates outside of Hong Kong. Since he reported back to the US, the Hong Kong company was merely hosting him administratively. The court ruled that the source of income was the US and not Hong Kong. The following summarises the court's interpretation of the relevant charging provisions in the *Goepfert* case:

- For the purpose of s.8(1), the proper consideration is not the place where the employee performed his or her duties but the location of the employment.
- Three factors are relevant in deciding the location of the employment:
 - the place where the contract was negotiated and concluded;
 - the residence of the employer; and
 - the place where the employee was paid.
- The place where the services were performed is irrelevant in making this determination.

The CIR may need to examine beyond the employment contract and look at other factors that point to the real locus of the source of income under the totality of facts test. All facts (except place of work) must be considered in each case. If evidence showed that a taxpayer was employed by a Hong Kong company, the fact that his remuneration was paid outside of Hong Kong would not exempt him or her from salaries tax.

- If a person's income falls within the basic charge to salaries tax under s.8(1) during a YA (i.e. location of his or her employment is in Hong Kong), his or her entire employment income will be subject to salaries tax irrespective of the place the services are performed unless all the services are rendered outside Hong Kong (s.8(1A)). Thus, once income is addressed by s.8(1) there is no provision for apportionment. Note that services rendered in Hong Kong during visits not exceeding 60 days in a YA are deemed services rendered outside Hong Kong (s.8(1B)). Further, s.8(1A)(c) provides for employment income from services rendered outside Hong Kong (beyond the 60-day

exemption threshold) to be excluded from salaries tax if foreign taxes similar to salaries tax are charged and paid.

- If s.8(1) is not applicable, a person may still be subject to salaries tax if he or she derived income from an employment in respect of which he or she rendered services in Hong Kong under s.8(1A)(a). In this case, the person will only be liable to salaries tax on the portion of the income which relates to the days he or she rendered services in Hong Kong, subject to the 60-day exemption rule (s.8(1B)).

Please refer to Exhibits 4.1 and 4.2, which provide the decision flowcharts on the chargeability of employment income to salaries tax.

DIPN 10 (Revised) incorporated the *Goepfert* case into the IRD's approach to employment income source determination. The IRD acknowledges that, while the employment contract is a key factor, it will review each case based on all relevant facts and apply the substance over form principle (meaning that it will be the actual facts of how things work in practice, rather than the legal documents, which will be pivotal).

Contract of Employment

As we have seen in *Goepfert* case, where the employment contract is negotiated, executed and enforceable plays an important role in deciding if the income from an employment is Hong Kong sourced. If an employment is located in Hong Kong, any income from the employment will be Hong Kong sourced and thus subject to salaries tax.

With regards to the employment contract determination, the IRD expects a copy of the written contract from the taxpayer or, in the absence of a written contract, documentary proof of the employment with terms (start date, etc.) signed by both the employer and the employee (paragraph 8, DIPN 10 (Revised)).

The BOR and Hong Kong court have applied the *Goepfert* case to disputes raised with them on the determination of an employment. Some of these are listed below for your further reference:

1. *Lee Hung Kwong v CIR* (2005) 4 HKLRD 80

In this case, both the court and BOR considered all the facts gathered and concluded that the taxpayer worked under the direction of his Hong Kong employer and was sent to China to discharge the employer's obligations under a co-operation agreement with a Chinese company. Thus, the remuneration paid to him in China stemmed from his employment contract which was entered into, and enforceable, in Hong Kong. His employer was a resident in Hong Kong. All these facts outweigh the fact that the taxpayer was paid in China. The remuneration was held to be Hong Kong sourced.

2. *Ahn Sang Gyun v CIR*, HCIA 4/2008

Similarly, the BOR applied the totality of facts test in the *Goepfert* case and held that Mr. Ahn's employment with Goldman Sachs (Asia) LLC (GSALLC) was Hong Kong sourced on the basis that:

- Mr. Ahn's contract of employment was most closely connected with Hong Kong. He was interviewed by GSALLC Hong Kong's key personnel, was recruited for and belonged to part of a team in Hong Kong. He also reported to various supervisors in Hong Kong.

- GSALLC was a resident in Hong Kong given that GSALLC had (in regulatory filings) made representations that it was controlled by its directors, a majority of whom were Hong Kong based. Thus, the central management and control of GSALLC was in Hong Kong.

Note that this case was dismissed by consent as the taxpayer withdrew his appeal.

Residence of the Employer/Company

Under paragraph 12, DIPN 10 (Revised), the IRD has opined that it would be unlikely for the IRD to accept a claim for a non-Hong Kong employment if the employer was a resident in Hong Kong. This position is taken even if the contract was negotiated and executed outside of Hong Kong. The IRD referred to IRBRD D8/92 where the BOR concluded that the master-servant relationship was between the taxpayer and a Hong Kong company. The fact that the contract was negotiated, received and concluded when he was physically in the US is not material.

In deciding the residence of the employer, the IRD relied on the common law principle. Under common law rule, a company is a resident where its real business is carried on, which is where its central management and control actually abide (as discussed in Section 4.2.1.1).

The IRD has acknowledged in DIPN 10 (Revised) that it will follow the three key guiding principles in *Re Little Olympian Each Ways Ltd* (1995) 1 WLR 560 in deciding the residence of a limited company. These are:

- The mere assertion of where the company's central management and control are located is not sufficient. The primary facts must support such an assertion.
- All the circumstances in which the company carries on its business should be taken into account, though the weight to be applied to each factor may differ from case to case. These factors include the provisions of the company's objects clause, the place:
 - of incorporation;
 - where the company's real trade and business is carried on;
 - where the company's books are kept;
 - where the company's administration is carried out;
 - where the directors with power to disapprove of local steps or to require different ones to be taken themselves meet;
 - where its chief officer or the company secretary is; and
 - where the most significant assets are.
- In applying the test to a non-trading company, it may be more important than would otherwise be the case to consider the nature of the company's corporate activities (paragraph 17, DIPN 10 (Revised)).

In the case of a parent-subsidary situation, control by a parent company is not sufficient, per se, to constitute central management and control. However, if the subsidiary board of directors merely executes the decisions made by the parent company and there was no strategic autonomy, then the central management and control would be found to be with the parent company.

The IRD would require the taxpayer to provide the following details of individuals who are responsible for the central management and control of the company if the taxpayer claimed that such central management and control are exercised outside Hong Kong (paragraph 20, DIPN 10 (Revised)):

- names;
- location;
- capacities in the employer's organisation; and
- specific tasks undertaken.

Location of Remuneration Payment

While the place of payment may infer the location of an employment, we have seen from the above that it may not carry the same weight as the other two factors discussed above. A party may make payment for and on behalf of another; thus, the place where payments are made alone would not *prima facie* infer the location of the employment.

We have seen in *Lee Hung Kwong v CIR* (2005) 4 HKLRD 80 that the place where an employee is paid is not a deciding factor in determining the source of an employment income. The IRD has, in DIPN 10 (Revised), acknowledged that the place of remuneration payment on its own should not be the decisive factor; see also IRBRD [D20/97](#) where the BOR remarked that the source of an employment income should not depend on the place where an employee was actually paid.

Summary

Following the High Court decision in the *Goepfert* case, the IRD adopts the 'totality of facts' test and looks at all the facts and circumstances in determining the locality of an employment. Consideration is given to the three factors above. If situations call for a closer review, the IRD would scrutinise and look beyond the form and look at other factors that point to the source of the employment income. Case law would suggest that the most relevant factors are the locality of the effectuation of the employment contract and the jurisdiction of fiscal residence of the employer.

Apply and Analyse 1 – Source of Income from an Employment and the 60-Day Exemption Rule

Before Adrian took up the secondment to the GBank Hong Kong Branch on 1 April 2019, he had taken up a short-term assignment to work in Hong Kong from 5 February 2019 to 7 February 2019, in order to assist the Hong Kong Branch to handle a routine regulatory audit initiated by the Hong Kong Monetary Authority. During this period of time, he basically reported to his Line Manager located in the German headquarters and the Regional General Counsel located in the Singapore Branch. The GBank Singapore Branch continued to pay his remuneration into his bank account in Singapore. He also continued to contribute to the Central Provident Fund in Singapore. The GBank Hong Kong Branch had provided Adrian with a serviced apartment in Wanchai, and the GBank Singapore Branch had reimbursed the rents paid by the GBank Hong Kong Branch in addition to all other business-related expenses incurred locally by Adrian. Did Adrian fall into the salaries tax net for the YA 2018/19?

Apply and Analyse 1 – Source of Income from an Employment and the 60-Day Exemption Rule (*continued*)

1. The Hong Kong salaries tax implication of Adrian is analysed here.

Following the principles established under *Goepfert* case, Adrian had a non-Hong Kong employment because:

- He was employed by GBank Singapore Branch. His master-servant relationship is with the Singapore Branch who pays for his services and he reports to managers located outside Hong Kong. Thus, the place where his contract is negotiated and concluded is not Hong Kong.
- GBank Singapore Branch is not a Hong Kong resident.
- Though of lesser weight, his remuneration continues to be paid by the GBank Singapore Branch.

Since Adrian had a non-Hong Kong employment, his income for the services rendered in Hong Kong would be chargeable unless exemptions apply. If no exemptions could be applied, Adrian's income would be assessed based on time apportionment.

2. Pursuant to s.8(1B) of IRO, the employment income is exempt if the employee provides his services during visits to Hong Kong of not more than 60 days in the YA. Hence, the second line of defence for Adrian is that he was a visitor and his stay in Hong Kong for the YA 2018/19 was temporary and not more than 60 days although he had rendered services in Hong Kong.

In conclusion, since Adrian's stay in Hong Kong during YA 2018/19 was temporary and did not exceed 60 days, s.8(1B) exemption applied and he would not have a salaries tax liability with regards to that YA.

4.2.2 Office

Income received by a person from holding an office as a company director or a company secretary is subject to salaries tax if the fee is Hong Kong sourced. Office is not defined in the IRO. The definition of an **office** was given in the English case *Great Western Railway v Bater* (1922) 8 TC 231 as 'a subsisting permanent substantive position which had an existence independent of the person who filled it, which went on and was filled in succession by successive holders'.

4.2.2.1 Source of Income from an Office

Generally speaking, the source of income from an office is where the office is located. Thus, the source of a director's fee is determined by the location where the company making the payment is resident. 'Resident' as regards a company is not defined in the IRO specifically in the salaries tax context (though it is defined elsewhere in the IRO in other contexts). Case law provides that a company is resident in the jurisdiction where its central management and control actually abide.

On the assumption that the real business of a company was carried on at the board of directors' meeting, the place where such meetings were held was an important factor in determining the location of the company's central management and control. However, in today's electronic world, directors are highly mobile, and it is common for directors to be located in different places while board meetings are often conducted via video conferencing. Thus, the location of the board meetings has become less relevant in deciding where central management and control is exercised.

In IRBRD D21/13, the BOR held that, while the place where the board meetings are held is not necessarily pivotal in determining the central management and control of the company. There is no one single factor which determines the residence of a company, but all facts and circumstances must be taken into account. In this case, considerations were given to the company's main activities, principal place of business and place of incorporation and registration, where the company held its annual general meetings, employed staff, conducted its business, as well as maintained its books and bank accounts. The company was held to be a Hong Kong resident and the director's fees were arising in or derived from Hong Kong.

Illustrative Example 4 – Source of Income from an Office

Mr. and Mrs. Li live in Taipei and are the sole shareholders of a property investment and management company incorporated in Hong Kong. They are also the directors of the Hong Kong company. The company owns and manages several commercial properties in Hong Kong. It has an office in Wanchai and employs 8 staff. The Hong Kong staff attends to the day-to-day business of the company with no management directing authority. Mr. Li travelled to Hong Kong for business monthly to meet with staff and customers. Mrs. Li only visited Hong Kong once in the YA 2019/20, to attend the company's annual dinner with the staff. All directors' meetings were held outside Hong Kong, however, such meetings did nothing more than endorse decisions in substance already taken in Hong Kong.

For the year ended 31 March 2020, the Hong Kong company paid Mr. and Mrs. Li a director's fee each of HK\$150,000 and HK\$100,000 respectively. Are Mr. and Mrs. Li liable for salaries tax in Hong Kong?

Only income arising in or derived from Hong Kong from an office is chargeable to salaries tax. Applying the BOR's decision in IRBRD D21/13, the company is likely a Hong Kong resident as its central management and control is exercised in Hong Kong. Thus, although board of directors' meetings were held outside of Hong Kong, these did little more than 'rubber stamp' decisions, in substance, previously made in Hong Kong. The directors' fees are therefore treated as Hong Kong sourced and are chargeable to salaries tax.

4.2.3 Pension

Under s.8(1)(b), income arising in or derived from Hong Kong from any pension falls within the salaries tax net. As the IRO does not define the term 'pension', the ordinary meaning of 'pension' is adopted; i.e. a periodic payment made to a person upon retirement or cessation

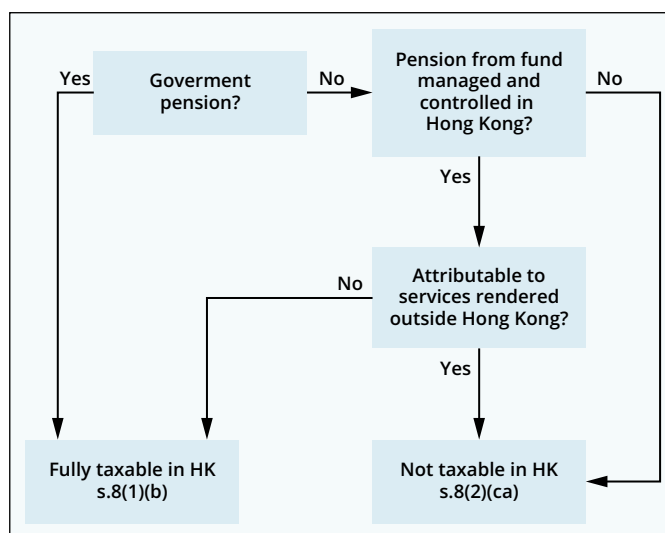
of an employment. S.9(3) provides that a pension includes one which is voluntary or is capable of being discontinued. This provision was introduced after the decision in *Stedford v Beloe* (1929–1932) 16 TC 505 where it was held that voluntary payment was not pension but a mere gift or donation.

4.2.3.1 Source of Pension

From case law, the source of pension is dependent on the location of the pension fund. The pension fund in turn is located in the place where it is managed and controlled. Thus, pension paid from a fund managed and controlled in Hong Kong is Hong Kong sourced and subject to salaries tax. Pension paid from a non-Hong Kong managed and controlled fund is not taxable in Hong Kong under the territorial basis of taxation. Further, pension attributable to non-government services rendered outside Hong Kong is exempt from salaries tax under s.8(2)(ca).

Government pensions are fully assessable to salaries tax irrespective of whether the services were rendered in or outside Hong Kong.

Exhibit 4.4 summarises taxation of pension in Hong Kong.



► **EXHIBIT 4.4** Pension chargeable to Hong Kong (HK) salaries tax

Key Learning Point

Income from a Hong Kong employment is chargeable to salaries tax (s.8(1)(a)) whereas income from a non-Hong Kong employment is chargeable to salaries tax only if the services are rendered in Hong Kong (s.8(1A)(a)). However, income will be exempt, if all services are rendered outside Hong Kong save for 60 days (ss.8(1A)(b)(ii) and 8(1B)), or equivalent taxes are paid where the services are performed (s.8(1A)(c)), s.8(1A)(b) and s.8(1B) exemptions are independent of the source of employment).

► Knowledge Check Questions

Question 2

State the three factors in deciding the location of employment provided by the court in the *Goepfert* case.

Question 3

Identify who of the following taxpayers has a Hong Kong employment.

- (I) Stefan is a freelance IT specialist. He rendered services to a Hong Kong company on an *ad hoc* basis and was paid based on the hours he worked. Stefan works independently and usually from his home. He only goes in to the Hong Kong company's office to update Mr. Wong, who is the IT manager of company.
- (II) Miss Tam interviewed in London upon completion of her doctorate. She signed her contract of employment with a UK company for a position with the company's subsidiary in Hong Kong. Her manager and team are based in Hong Kong and she is paid by the Hong Kong subsidiary.
- (III) James was assigned to Hong Kong on a two-year contract. He met a local girl and decided to stay in Hong Kong after his assignment period expired in 2019. His US employer organised for James to be transferred to Hong Kong on a local contract.
- (IV) Pierre is a comedian. He signed an exclusive contract with a private radio studio in Hong Kong to perform every Monday to Friday night at the studio. The studio has reserved a room and set a schedule for Pierre, although he can decide on his show's content to the extent that it is not politically controversial.

A I and II

B II, III and IV

C I, II and IV

D III and IV

Question 4

Identify which of the following incomes is chargeable to salaries tax.

- (I) The pensions received by a civil servant who worked at the Hong Kong Economic and Trade Office in Tokyo.
- (II) Peyton Cheong's salary. He is contracted with a Hong Kong company to work in their factory in Shenzhen. Peyton commutes each Monday morning to Shenzhen and Friday night back to his parents at Taikoo Shing. Sometimes, Peyton works from home.
- (III) Mr. Tze, a Hong Kong tax resident, is one of the four directors on the board of a Chinese company based in Guangzhou. The other three directors are brothers living in Guangzhou and all board meetings are held there. In June 2019, Mr. Tze was paid a director's fee of RMB50,000.
- (IV) Mr. Tze also sits on the board of a Hong Kong manufacturing and sales company with four other directors. All directors including the Chief Executive Officer (also the main shareholder) are Hong Kong residents except for the Chief Financial Officer, who is based in the company's production site in Beijing. The board held four meetings

► **Knowledge Check Questions (*continued*)**

during the year: three were conducted via video conference and one was conducted in Beijing. The company's sales team is based in its main office in Wanchai.

- A I, II, IV
- B I, III and IV
- C II and IV
- D III and IV

4.3 TIME BASIS ASSESSMENT OVERVIEW – s.8(1A)(a)

We have learned in the earlier sections that the income from a non-Hong Kong employment is only chargeable to Hong Kong salaries tax if the employee renders the services in Hong Kong, subject to 60 days rule under s.8(1B). Under such a scenario, the income chargeable to salaries tax is that part which relates to services rendered in Hong Kong, including leave pay attributable to such services. Income attributable to services rendered outside Hong Kong is out of the salaries tax scope.

Unless the amount of income which relates to services rendered in Hong Kong is clearly identifiable, e.g. the services can be identified to specific rate under the contract of employment, the IRD uses the time apportionment basis or the **time-in-time-out basis** with reference to the days spent in Hong Kong to calculate the income attributable to services rendered in Hong Kong.

Please note that if a taxpayer is chargeable to salaries tax based on time-in-time-out basis as provided under s.8(1A)(a), the income exclusion claim as provided under s.8(1A)(c) will have no effect because the income derived from services rendered outside Hong Kong is already not chargeable (i.e. excluded under time apportionment).

4.3.1 Time Apportionment

Under the time apportionment basis, the income attributable to services rendered in Hong Kong is computed by allocating the remuneration of the employee (including leave pay) based on the days the employee spent in Hong Kong:

$$\begin{aligned} &\text{Income attributable to services rendered in Hong Kong in the YA} \\ &= \frac{\text{Days in Hong Kong during the YA}^1}{\text{Total number of days in the YA}} \times \text{Annual income} \end{aligned}$$

Including leave days attributable to services rendered in Hong Kong computed as follows:

$$\frac{\text{Business days in Hong Kong during the YA}^1}{\text{Total business days in the YA}} \times \text{Leave days}$$

¹ where the sum of business days in Hong Kong, business days outside Hong Kong and leave days is 365 or 366 as the case may be.

Referring to page 6 of the IRD pamphlet *A guide to Salaries Tax for people coming to work in Hong Kong, HK or non-HK office, HK or non-HK employment, the days-in-days-out basis of assessment*, the IRD has indicated that the day of arrival together with the day of departure would be counted as one day (also known as the '**midnight rule**') for the purpose of computing the days in Hong Kong during a YA. This is unlike the calculation of days under the 60-day exemption rule where part of a day is counted as one day.

The IRD has indicated in paragraph 29 of DIPN 10 (Revised) that it would apply a different approach if the time apportionment basis proved to be inappropriate. Note that the IRD referred to 'exceptional circumstances' and a circumstance where the employee 'can establish' that the rate of remuneration for the services rendered outside Hong Kong was substantially greater than the rate he received in Hong Kong. The onus of proof lies with the taxpayer and in the absence of documentary evidence supporting a different basis of allocation, the IRD will apply the 'time-in-time-out' basis of apportionment.

When the income derived from Hong Kong services is clearly identifiable (e.g. clearly specified in the contract of employment), the time apportionment basis rule will not apply. The BOR supports this view in IRBRD [D106/89](#). Here, the BOR has held that the time-in-time-out apportionment basis is a rough and ready method of assessing income chargeable to tax where payment for services rendered in Hong Kong cannot be readily ascertained. When the derivation of an item of income is clearly identifiable, there is no room for the application of the time-in time-out formula.

In *CIR v Lo Wa Ming Patrick* [2022] HKCA 710, the Court of Appeal held that the 'time-in-time-out-basis' may in certain circumstances produce arbitrary or counter-intuitive results. Instead of a generally applicable rule, it would be prudent to treat this as a 'rebuttable presumption', which may not apply in all cases.

Illustrative Example 5 – Time Apportionment Rule

Let's expand Adrian's case by assuming that he had visited the GBank Hong Kong Branch quite a few times during YA 2018/19 before the short-term assignment as mentioned in Apply and Analyse 1. His travel schedules for YA 2018/19 are shown below:

Arrival date	Departure date	Days in HK
1/4/2018	3/4/2018	2
6/5/2018	14/5/2018	8
7/6/2018	16/6/2018	9
3/8/2018	12/8/2018	9
10/9/2018	18/9/2018	8
30/9/2018	15/10/2018	15
1/11/2018	17/11/2018	16
21/11/2018	29/11/2018	8
5/2/2019	7/2/2019	54
		129
Leave days attributable to ^a		11.55
Days chargeable to salaries tax		140.55

Illustrative Example 5 – Time Apportionment Rule (*continued*)

We assume that Adrian's annual remuneration for YA 2018/19 of HK\$1,550,000 was based on the buying exchange rates published by the IRD. We also assume that he had visited the GBank Hong Kong Branch quite a few times during YA 2018/19 before the short-term assignment mentioned in Apply and Analyse 1. As a result, his total number of days visiting Hong Kong during YA 2018/19 had exceeded 60 days. During the same YA, he took his 30 days leave entitlement outside Hong Kong.

^a Leave days attributable to Hong Kong:

$$\frac{\text{Business days in HK (129)}}{\text{Total business days (335)}} \times \text{Leave days (30)} = 1.55 \text{ days}$$

Adrian's income attributable to Hong Kong under the time-in-time-out basis for salaries tax purposes is computed as follows:

$$\frac{\text{Days in Hong Kong (140.55)}}{\text{Total number of days in the YA (365)}} \times \text{Annual income (HK\$1,550,000)} = \text{HK\$596,750}$$

Key Learning Point

Time basis assessment applies only in the case of a non-Hong Kong employment income earned by an employee from services rendered in Hong Kong when the payment for services cannot be readily ascertained.

► Knowledge Check Questions

Question 5

Identify which of the following are subject to the time-in-time-out basis of apportionment for ascertaining the salaries tax liability in Hong Kong.

- (I) Gary Fisher is an Argyle diamond specialist. He has a contract of employment with a UK company as a Senior Fancy Diamond Advisor. In addition, Gary travels to Hong Kong every month for a week (seven days) to provide services to the Hong Kong office of the UK company.
- (II) Sally works as Regional Finance Manager for an IT company in Hong Kong. Every month, she travels to China, Macau and Taiwan for work.
- (III) Mr. Wong is employed by the Hong Kong subsidiary of a US multinational company as the Tax Director for North Asia. He is also required to cover South Asia and Oceania and has a separate contract of employment with the Singapore subsidiary of the same US multinational company.

► Knowledge Check Questions (continued)

(IV) Billy is a SAP specialist consultant with a US multinational corporation. He was seconded to their Hong Kong subsidiary in April 2019 to roll out the system for the company's subsidiaries in the Asia Pacific region. Billy travels extensively and he was in Hong Kong for just 70 days in the YA 2019/20.

- A** I and II
- B** II and III
- C** I and IV
- D** III and IV

4.4 INCOME CHARGEABLE TO SALARIES TAX

The IRO does not define the term 'income' exhaustively, thus, guidance is sought under common law principles. Case law has established a set of principles which provides constructive guidance in determining if an item constitutes income under the ordinary concepts. Income according to ordinary concepts clearly includes remuneration from an employment. Receipts from winning a lottery or undertaking a hobby are ordinarily not income. Similarly, reimbursement of a business expense incurred by the employee on behalf of the employer is not income.

Under common law principles, income under ordinary concepts must be:

- Beneficially derived by the recipient; i.e. there must be an inflow of money to the taxpayer's own benefit (*Federal Commissioner of Taxation (FCT) v Cooke and Sherden* 80 ATC 4140, where the receipt of an item which saved a taxpayer from incurring expenditure was held not to be income).
- A real gain (*Hochstrasser v Mayes* (1960) AC 376, where compensation for work related expenses was held not to be income as it was not a real gain).
- Convertible into money or money's worth. This is one of the key factors used in deciding if a benefit provided to an employee is chargeable to salaries tax. A benefit which cannot be converted into money is not income to the taxpayer (*FCT v Cooke and Sherden* 80 ATC 4140, where frequent flyer points earned from work travels were held not to be income on the basis that the flight rewards from frequent flyer programs arose as a result of a personal contractual relationship between the individual and the airline company and the points were not convertible to cash (*Payne v FCT* (1996) 66 FCR 299)).
- A reward for services rendered. An amount being a payment for personal exertion or a reward which can be related to some services provided by the recipient constitutes ordinary income; e.g. tips paid for good services (*Calvert v Wainwright* (1947) 27 TC 475).
- Periodic, recurrent and regular.

The above is the broad characteristic of income under the common law. DIPN 16 (Revised), paragraph 11, outlines benefits that are exempt from chargeability under salaries tax under

certain circumstances. This includes employer expenditures that are made for some non-contractual reasons, provided that they are not expected and will not continue. For example, DIPN 16 (Revised) states that benefits resulting from expenditure by an employer on compassionate grounds would be exempt.

Let us now look at the income specifically chargeable to salaries tax under the provisions of the IRO.

4.4.1 Income Specifically Chargeable to Salaries Tax

S.9(1) of the IRO defines a set of receipts which qualify as income from any office or employment for salaries tax purposes. Generally speaking, most income from an employer to an employee is subject to salaries tax as long as such income represents money or is capable of being converted into money, regardless of whether such income is received pursuant to the employment contract or otherwise. This 'money's worth' principle originated from *Tennant v Smith* (1892) 3 TC 158. It has been adopted in later cases, including *David Hardy Glynn v CIR* (1990) 3 HKTC 245.

Under s.9(1)(a), income derived from any office or employment, irrespective of whether they are from the taxpayer's employer or another party, includes wages, salary, leave pay, fee, commission, bonus, gratuity, perquisite and allowances. This also includes the payments or perquisite an employee receives from parties related to his or her employer e.g. shareholders, directors etc. It was held in *D21/16*, that the dividends received by a taxpayer from certain restricted stock awards from his employer, perquisite from his employment, is subject to salaries tax. Here, the taxpayer was granted certain restricted stock awards which he could not deal in until the expiry of the restriction period. In the interim, the shares were held in trust and the taxpayer received cash dividends. When assessed on the dividends, the taxpayer appealed, and the BOR concluded that the 'dividends' had the character of a perquisite akin to an extra bonus to the taxpayer. The BOR cited *PA Holdings Ltd v Revenue and Customs Commissioners* (2012) STC 582 'the correct approach is to consider all the facts to the receipt of the income. This requires the court not to be restricted to the legal form of the source of the payment but to focus on the character of the receipt in the hands of the recipient . . . '.

The following are specifically classified as income under s.9(1):

Income under s.9(1)	Relevant IRO provision
Receipts from a pension or provident fund, occupational retirement scheme or society being:	
• amounts representing the employer's contributions to a non-recognised retirement fund or scheme, or non-approved retirement scheme in Hong Kong	s.9(1)(aa)
• amounts (other than a pension) representing the employer's contributions to a recognised occupational retirement scheme other than on termination of service, death, incapacity, terminal illness or retirement	s.9(1)(ab)(i)
• any amount (other than a pension) paid on termination of service which is attributable to the employer's contributions to a recognised occupational retirement scheme that exceeds the proportionate benefit calculated in accordance with s.8(5)	s.9(1)(ab)(ii)
• any payment received pursuant to a judgment given under s.57(3)(b) of the Occupational Retirement Schemes Ordinance (Cap.426) (ORSO) that is attributable to the employer's contributions to the occupational retirement scheme in respect of which the judgment was given	s.9(1)(ac)

Income under s.9(1)	Relevant IRO provision
so much of the accrued benefit that an employee has received, or is taken to have received, from an MPF scheme representing the employer's contributions other than on retirement, death, incapacity, terminal illness or termination of service	s.9(1)(ad)
so much of the accrued benefit that an employee has received, or is taken to have received, from an MPF scheme representing the voluntary contributions paid to the scheme by the employer that exceeds the proportionate benefit calculated in accordance with s.8(5)	s.9(1)(ae)
The rental value of any place of residence provided rent-free by the employer or an associated corporation	s.9(1)(b)
The excess of the rental value over rent where an employer or an associated corporation provides a place of residence at a rent less than the rental value	s.9(1)(c)
Any gain realised by the exercise of, or by the assignment or release of, a right to acquire shares in a corporation obtained by a person as the holder of an office in or an employee of that or any other corporation	s.9(1)(d)

Note that s.9(6) defines 'employee' to include a holder of an office, such that all categories of income are chargeable not only in the hands of an employee but also in the case of an office holder.

While some items specified in s.9(1)(a), like salary, wages, bonus, allowances etc. are straightforward income categories, the term perquisite and what constitutes taxable perquisite was considered under various case laws in Hong Kong. Prior to *David Hardy Glynn v CIR* (1990) 3 HKTC 245, also known as the '*Glynn case*', the IRD generally took the position that fringe benefits in the form other than money, would only be chargeable unless specifically covered under a specific provision in the IRO, if:

- It was capable of being converted into money by the recipient; or
- It involved the discharge of a personal liability of the employee.

In the *Glynn case*, the term perquisite was held to include money which is paid in discharge of a debt of an employee. The taxpayer, David Hardy Glynn was assessed to salaries tax in respect of school fees paid directly by his employer to his child's school, for which his employer was liable under his employment contract. The court held that all sums paid by the employer for the benefit of the employee are taxable as perquisite. This deviates from the convertibility into money principle under common law, which was the position adopted by the IRD. In view of the *Glynn case*, the IRO was amended to include the 'liability test' provision; i.e. s.9(1)(a)(iv).

Under s.9(1)(a)(iv), an amount paid by an employer to, or for the credit of, a person other than the employee is not chargeable to salaries tax if:

- the payment is made in discharge of a sole and primary liability of the employer to that person; and
- not a liability for which any person was surety.

This means that as long as an employer is paying under its own obligations to a third party, the payment does not constitute income from an employment or office. However, there are three exceptions to this general rule, and they represent any payment:

- in relation to a benefit provided by an employer not in connection with a holiday journey that is capable of being converted into money by the recipient – s.9(2A)(a);
- in connection with the education of a child of an employee – s.9(2A)(b); and
- in connection with a holiday journey – s.9(2A)(c).

The above exceptions are benefits that are specifically chargeable to salaries tax.

Illustrative Example 6 – s.9(1)(a)(iv) Liability Test

GBank Hong Kong Branch pays for the utility bills of its senior executives who are seconded from GBank's headquarters in Germany. The utilities service contracts are executed between the utilities company and GBank Hong Kong Branch.

Are the utilities payments made by GBank Hong Kong Branch the benefits chargeable to salaries tax in the hand of the senior executives?

Under s.9(1)(a)(iv), the utilities paid by GBank Hong Kong Branch to the utilities company in discharge of the bank's primary liability are not chargeable to salaries tax as the payments are not convertible to cash to the senior executives.

DIPN 16 (Revised) provides guidance on the IRD's position with regards to the chargeability of non-cash fringe benefits derived by an employee or an office holder. In paragraph 18 of this DIPN, the IRD has cautioned where a transaction was fictitious or structured for the dominant purpose of obtaining a tax benefit, the IRD would disregard or take the necessary action to counter the tax benefit.

4.4.2 Accommodation Benefits

An employer or an associated corporation may provide an employee with accommodation benefits in different forms. Such benefits are chargeable to salaries tax as follows:

Types of benefit	Taxable	Chargeable amount	IRO provision
Housing/rental/mortgage allowance	Yes	100%	s.9(1)(a)
Rent-free residence	Yes	Rental value as stipulated in s.9(2)	s.9(1)(b)
Partially subsidised residence	Yes	Rental value (as above) less amount paid by the employee	s.9(1)(c)

S.9(6) defines an associated corporation as:

- a corporation over which the employer has control; and
 - which has control over the employer; or
 - which is under the control of the same person as is the employer.

Control in relation to a corporation is defined in s.9(6) to mean the power of a person to secure:

- a. by means of the holding of shares or the possession of voting power in or in relation to that or any other corporation; or
- b. by virtue of any powers conferred by the articles of association or other documents regulating that or any other corporation

so that the affairs of that corporation are conducted in accordance with the wishes of that person.

Where an accommodation benefit is provided, the actual rent paid by the employer (or an associated corporation), or the rent refunded by the employer (or an associated corporation) to the employee, is deemed not to be income in the hands of the employee (s.9(1A)). The employee will only be taxed on the rental value of the accommodation benefit as stipulated in s.9(2) (see the table above).

The IRO defined the term 'place of residence' to include a residence provided by an employer or an associated corporation regardless of whether the employee is required to occupy that place of residence by or under his terms of employment and regardless of whether doing so helps him better perform his duties.

In IRBRD D46/87, the BOR highlighted that the word residence may receive a different meaning according 'to the position in which it is found and must be construed according to the object and intent of the particular legislation . . . primarily the word residence means the dwelling and home where a man is supposed usually to live and sleep'. If the taxpayer only made use of the accommodation for the purpose of eating, sleeping and relaxing when performing his duties, he received no personal benefit. For the rental value of a place of residence to be held taxable as income arising from employment, there must be some element of benefit to the employee beyond enabling him to eat, sleep and relax while on duty.

Further, in IRBRD D36/95, the BOR referred to *CIR v Chow Hung-kong* (1978) HKLR 475 and concluded that no benefit arose from the provision of the hotel room to the taxpayer as he has no exclusive control and possession of any part of the accommodation provided. The room merely enabled him to rest and sleep while on duty and did not qualify as a place of residence for the purpose of s.9(2).

4.4.2.1 Rent-Free or Partially Subsidised Accommodation versus Housing Allowance

It is important to distinguish a provision of a rent-free or subsidised accommodation (through the provision of a place of residence or a refund of rent paid) from a housing allowance as the salaries tax implication of the two items is quite different and significant. An allowance for housing is fully assessable under s.9(1)(a) while a rent-free or subsidised accommodation is taxed at the rental value, typically at 10% of the income of the employee, which often is lower than the actual rent paid or refunded by the employer.

Given the tax significance, the rent refund is a commonly disputed issue in Hong Kong. There are many courts and BOR cases on this matter which are summarised here.

Rent Refund

In page 8 of its pamphlet *How to Tax the Provision of a Place of Residence to the Employee*, the IRD has provided clear guidelines on the control the employer is to put in place with regards to rent

refund to meet the provision of rent-free or subsidised accommodation. In IRBRD [D149/00](#), the taxpayer claimed that HK\$38,000 paid to him each month pursuant to the following clauses in his contract of employment was a housing benefit and should be classified as a refund of rent and not an allowance that is wholly subject to salaries tax:

1. August to October 1995:

Up to 31 August 1995, on full company paid housing; and after 1 September 1995, a housing allowance of HK\$38,000 per month plus utilities.

2. November 1995 to March 1998:

A housing benefit up to a maximum amount of HK\$38,000 per month in the form of a refund of rent where employer accommodation was not available.

The BOR considered the following key issues:

- The ordinary meaning of 'refund' connotes a repayment or reimbursement, not a mere payment. There must be an actual payment of rent in the first place before a subsequent reimbursement by the employer could constitute a refund of rent (see IRBRD [D92/95](#)).
- One of the indicia distinguishing a rent refund from a cash allowance is the control exercised by the employer over a refund to ensure that it cannot be spent in any way the employee wants. This control must exist as a matter of fact and not just in theory (IRBRD [D33/97](#)).
- The question whether a housing allowance is a rent refund, or a cash allowance also depends on the parties' intention at the time they enter into the contract of employment (IRBRD [D18/99](#)).

The BOR found that for the period from August 1995 to October 1995, the payments of HK\$38,000 per month constituted a fixed cash allowance. There was no evidence of a lease agreement and rent was not recorded in the profit and loss account of the employer. Further, the company had not set up any control as to how the taxpayer would spend the allowance.

With regards to the period from November 1995 to March 1998, the BOR held that the monthly sum of HK\$38,000 paid to the taxpayer was a refund of rent as the taxpayer had entered into a valid tenancy agreement under which he paid a monthly rent, and rental receipts for each month were passed to the company payroll staff. The BOR was satisfied that sufficient control was exercised by the employer to ensure that the monthly payment of HK\$38,000 was a refund of rent and not simply a cash allowance that the taxpayer could spend as he wished.

'What Transpired at the Time of Payment' Test

In *CIR v Peter Leslie* Page 5 HKTC 683 (IRBRD [D38/04](#)), the judge acknowledged that the intention of the parties is the real test but 'what transpired at the time of payment' is relevant. Here, the taxpayer's contract provided him with a housing benefit capped at a fixed monthly amount. The contract required him to submit to the employer the evidence of the actual rental payment made. However, in actual fact, the taxpayer did not do so, and the employer had also by its conduct agreed that he needed not do so. The taxpayer considered that he was entitled to be paid the maximum amount capped regardless of whether he actually spent any sum on rent at all.

Therefore, the housing benefit received by him could not be a rental refund because, under the arrangement, there was nothing to be refunded. Thus, the court agreed with the CIR that the monthly housing payments were not a rent refund but allowances.

The correct test of 'what transpired at the time of payment' was adopted in *Roger Jesse Robertshaw v CIR* (2006) HKRC. Other cases of relevance are:

- *Yau Wah Yau v CIR* 3 HKLRD 586 (D53/04) – The court held that the lack of a stamped tenancy agreement did not change the fact that a bona fide tenancy existed and was performed although informally entered.
- IRBRD D20/09 – the BOR stated considerations must be given to whether or not the rent was at a market rate. The BOR found that the monthly rental far exceeded the market rents and thus concluded that the tenancy agreement was commercially unrealistic and artificial.

4.4.2.2 Rental Value

The rental value of any place of residence provided (but not a hotel, hostel or boarding house) by the employer is deemed to be 10% of the income from the said employer after deducting:

- employment expenses or capital allowances under ss.12(1)(a) and 12(1)(b), respectively; and
- any lump sum payment or gratuity paid upon the retirement or termination of the employment (s.9(2)).

Note that as the rental value is computed based on s.9(1)(a), other incomes under s.9(1) such as stock option gains under s.9(1)(d) are irrelevant to rental value computation.

Alternatively, the employee may elect to substitute the rental value with the rateable value included in the valuation list prepared under s.12 of the Rating Ordinance (Cap.116) or, if the place of residence is not included, the rateable value ascertained in accordance with Part III of the Rating Ordinance. The alternative is often not beneficial to the taxpayer.

Where the place of residence is a hotel, hostel or boarding house, the percentages used for the deemed rental value are 8% where the accommodation consists of not more than two rooms, and 4% where the accommodation consists of not more than one room (s.9(2)(a)). This is a useful tool for the purposes of tax planning. Evidently, deeming a rent-free property provided by an employer to be a relatively modest proportion of the aggregate salary is, in a city like Hong Kong with infamously high property prices, treating the benefit in kind for tax purposes as well below its market value.

Illustrative Example 7 – Rent-Free Residence Provided by Employer

Tom works as an Accounting Manager in a Hong Kong company. For YA 2019/20, his annual salary was HK\$600,000. His employer provided him with an apartment and reimbursed his medical insurance costs of HK\$16,800. Tom has not incurred any expenses eligible for a deduction under ss.12(1)(a) and 12(1)(b). Let us compute the rental value under s.9(2).

Illustrative Example 7 – Rent-Free Residence Provided by Employer (continued)

YA 2019/20	HK\$
Salary	600,000
Perquisite – medical insurance	16,800
	616,800
Rental value:	
10% × HK\$616,800	61,680

For an employee with a non-Hong Kong employment, the rental value of the residence provided by the employer is computed based on the portion of the employee's income which is attributable to services rendered in Hong Kong.

Illustrative Example 8 – Rent-Free Residence Provided to a Non-Hong Kong Employee under Time-Basis Assessment

Adrian stayed in a room at the Conrad Hotel whenever he was in Hong Kong during YA 2018/19. Assuming that Adrian did not receive any other assessable perquisite apart from his salary income of HK\$1,550,000 and he did not have any deductible expenses under s.12(1)(a) and s.12(1)(b), let's compute the rental value of the accommodation provided to him.

Adrian was in Hong Kong for 140.55 days (including leave days attributable) during the period 1 April 2018 to 31 March 2019.

The rental value of Adrian's accommodation benefit for YA 2018/19 would be computed as follows:

Period	Days in HK	Leave days	Total	Income attributable to services in HK	Assessable rental value s.9(2), s.9(2)(a)
				HK\$	HK\$
Hotel: 1/4/2018 – 31/3/2019	129	11.55	140.55	= 140.55/365 × 1,550,000 = 596,750	= 4% × 596,750 = 23,870
Rental value					HK\$23,870

4.4.2.3 Rental Value – Shared Accommodation

Where the company provided accommodation is shared by more than one employee, the value of the accommodation assessable to salaries tax in the hand of each employee is the percentage of the employee's taxable emoluments as set out in s.9(2). In IRBRD D78/90, the BOR held that there is no provision for apportionment of the value of quarters provided by the employer under s.9(2). In Example 4 of the IRD's pamphlet *How to Tax the Provision of a Place of Residence to the Employee*, the IRD has indicated that where an apartment is provided by the employer and the rooms are shared by the employees, such form of housing provided is akin to occupying a room in a boarding house and the rental value is computed based on 4% of the employee's income. You may contrast this with Illustrative Example 8.

Illustrative Example 9 – Shared Accommodation Provided by Employer

Heng and Yau worked in the kitchen of Majestic Restaurant in Northern Territory, Hong Kong. Heng's annual income was HK\$150,000 while Yau earned HK\$120,000 in the year of assessment 2019/20. Their employer provided them lodgings in a three-bedroom flat occupied by other restaurant employees. Heng and Yau shared one of the rooms. What are the rental values of the accommodation provided to Heng and Yau?

Based on Example 4 of the IRD's pamphlet, the assessable rental value under s.9(2) would be 4% of Heng and Yau's income respectively. Such accommodation provided is regarded as occupying a room in a boarding house. The following are the assessable rental values:

Taxpayer	Rental Value Computation	HK\$
Heng	4% × HK\$150,000	6,000
Yau	4% × HK\$120,000	4,800

4.4.3 Employee Share-Based Benefits

A share-based benefit is one of the popular compensation elements used for recruiting, retaining and rewarding employees. Tax rules all over the world have been evolving to deal with taxing share-based compensation without undermining the fairness of the tax systems. In Hong Kong, the relevant taxing provisions are ss.9(1)(a), 9(1)(d), 9(4) and 9(5). Shares granted to an employee are a taxable perquisite under s.9(1)(a), and stock option awards fall within the ambit of ss.9(1)(a), 9(1)(d), 9(4) and 9(5).

4.4.3.1 Stock Options

A stock option is the right to acquire a certain amount of the company's shares at a pre-determined price, the **strike price** (commonly, the share price at the date of grant) for a specified period in the future. When a taxpayer is granted a right to acquire shares in a company by virtue of his employment, such a right is a perquisite under s.9(1)(a) and would normally be chargeable to salaries tax in the year the right was granted to the taxpayer; i.e. the year the income was derived.

In brief, s.9(1)(d) includes income from an employment or an office, any gain realised by the exercise of or by the assignment or release of a right to acquire shares in a company obtained by a person as the holder of an office in or an employee of that or any other company. The wording of s.9(1)(d) has the effect of taxing a stock option benefit:

- derived by virtue of an employment or office;
- to acquire shares of the corporation or any other corporation, e.g. parent company of the corporation; and
- at the time when a gain is realised upon the exercise, assignment or release of the right.

S.9(5) was introduced to ensure that the same stock option benefit is not subject to salaries tax twice, i.e. when the right was granted and when it was subsequently exercised, assigned or released.

It is important to note that only gains from stock options derived from Hong Kong (through a Hong Kong employment or services rendered in Hong Kong exceeding 60 days in a year of assessment) are chargeable to salaries tax.

Gain Realised

S.9(4) provides that income from an employment includes the gains realised by the:

- Exercise of the right shall be taken to be the difference between the amount a person might reasonably expect to obtain from a sale in the open market, i.e. the open market value (OMV) at that time that the shares or stocks were acquired, and the amount or value of the consideration given, which could be for the share, for the grant of the right or for both; and
- Assignment or release of the right shall be taken to be the difference between the amount or value of the consideration for the assignment or release and the amount or value of the consideration given for the grant of the right.

The amount of stock option gain chargeable to salaries tax is computed based on the following:

Stock option gain	=	OMV at the time of 'exercise' of the right	Less	Any consideration paid
		OR		
	=	Consideration given for the assignment or release of the right	Less	Consideration given for the grant

Under s.9(4)(a), when a stock option is exercised, the taxpayer might acquire the shares and hold them for investment purposes. Thus, no sale actually takes place. Nevertheless, the gain from the stock option benefit is computed notionally for salaries tax purposes at the time of the exercise. This position is upheld by the BOR in IRBRD [D66/06](#).

The table below is a summary on the determination of OMV.

Type of shares	OMV	Reference
Listed shares	- Closing price quoted for shares of the same kind on exercise date OR - The IRD would consider a lower realistic price due to downward influencing factors, e.g. volume involved, if it could be proven to affect the OMV	- Paragraph 22 of DIPN 38 (Revised) - IRBRD D46/95 and IRBRD D120/02
Shares listed in multiple exchanges:		Paragraph 22, DIPN 38 (Revised)
Including HKSE^a	Closing price on the HKSE	
Excluding HKSE	Closing price quoted which is more favourable to the taxpayer	
Unquoted shares	The price that a hypothetical willing, but not anxious, purchaser will need to pay to a hypothetical willing, but not anxious, seller in the open market to acquire the relevant shares on exercise date	Estate duty case law guidance on valuation - paragraphs 25 and 26 of DIPN 38 (Revised)

^a Hong Kong Stock Exchange

‘Consideration’ refers to any amount given for the shares, for the grant of the right (e.g. brokerage, stamp duty, fees or other charges) or for both. S.9(4) further provides that the consideration shall be apportioned if it includes something beside the shares covered by the option. The consideration shall not include the performance of any duties in or in connection with the office or employment, and the amount of consideration given for the grant shall not be deducted more than once (paragraph 20, DIPN 38 (Revised)).

Time of Exercise

Given that the gain or notional gain from an exercise of stock options is computed based on the OMV at the time of exercise, it is important to determine the point in time at which an option is exercised to obtain the OMV. In IRBRD [D84/03](#), it was held that the taxpayer’s inability to sell the shares upon exercise due to insider trading provisions was not relevant in determining the correct date to compute the gain under s.9(4). The IRD has confirmed, in paragraph 17 of DIPN 38 (Revised), that the gain is required to be calculated by reference to the open market value on the day of exercise and it will generally not be relevant to consider value at any later date. However, in view of the BOR’s decision in IRBRD [D43/99](#), the IRD would consider another date if the taxpayer can establish that the acquisition of the shares indeed occurred at that date.

By the same token, the BOR concluded in IRBRD [D7/15](#) that the taxpayer had only acquired the shares when the company decided to allot the shares to him, even though he could sell the shares on the date he exercised the options under a stock-borrowing agreement.

Based on the BOR's decisions in a majority of the cases, including the more recent ones, the relevant date for the purpose of s.9(4) is the date when shares are allotted to the taxpayer, rather than the actual exercise date.

Illustrative Example 10 – Taxable Gains When Stock Option Is Exercised

Samuel was employed by PACL as an aeronautical engineer. By virtue of his employment, he was given the opportunity to invest in PACL. In 2017/18, he paid HK\$6,000 for an option to acquire 5,000 shares at HK\$12 each. The OMV of the shares at the time was HK\$24 each. When he exercised this option in YA 2019/20, the value of the shares of PACL was increased to HK\$30. Samuel subsequently disposed the shares during 2020/21. Let us compute the chargeable gains under s.9(1)(d). Please disregard any Stamp Duty and other relevant charges.

	HK\$
OMV at date of exercise (5,000 shares x HK\$30)	150,000
Less: Consideration given (5,000 shares x HK\$12)	(60,000)
Less: Cost of option	(6,000)
Chargeable gains (assessed in 2019/20)	<u>84,000</u>

Assignment or Release of a Right to Acquire Shares

The IRD has clarified the meaning of 'assignment' and 'release' in page 12 of DIPN 38 (Revised) as follows:

- Assignment refers to a situation where the taxpayer transfers the whole of his or her interest in the right to acquire shares under an option agreement to a third party.
- Release means discharge for valuable consideration or under seal (by deed) of the right to acquire shares under a share option scheme (without exercising).

If the employee were to receive compensation because he or she had suffered a loss as a result of having to delay the exercise of an option, the compensation would be regarded as a perquisite. If the perquisite were derived from Hong Kong, it would be chargeable to salaries tax (see IRBRD [D4/91](#)).

In paragraph 31, DIPN 38 (Revised), the IRD noted that the tax outcome would be the same for any compensation received by an employee for agreeing to let an option expire or lapse without exercising.

Exchange of Rights

Sometimes, a right to acquire shares of a particular type is exchanged for a right to acquire shares of another type without any monetary consideration, e.g. in the case of a company reorganisation. The IRD accepts that such an exchange does not constitute an assignment or a release under s.9(1)(d) and thus, no salaries tax liability arises at this time of an exchange. However, s.9(1)(d) applies to the 'new' right received when such a right is exercised, assigned or released subsequently. The consideration given for the grant of the original right, if any, is taken into account in computing the gain under s.9(4).

Gain from Stock Options Chargeable to Salaries Tax

The stock option gain derived by a person with a Hong Kong employment is subject to salaries tax under s.8(1)(a), thus the person will only be relieved from salaries tax when he or she qualifies for an exemption under s.8(1A)(b)(ii), i.e. if all services are rendered outside Hong Kong. Note that all services would be deemed rendered outside Hong Kong if services rendered in Hong Kong during visits did not exceed 60 days in the YA concerned.

Vesting

Often, employee stock option plans come with certain conditions (i.e. conditional stock options). These include amongst others, a vesting period subject to the employee's employment with the company. In this context, vesting means that an employee either has or earns the right to own some asset or benefit in the future. For example, an employee is granted 1,000 stock options on 1 April 2017. The vesting schedule may state that 200 options will be vested on 1 April 2018, another 200 options will be vested on 1 April 2019, and so on. The employee is unable to exercise (or assign/release, if permissible under the plan) stock options until they are vested. As benefits, vested stock options are typically designed to retain employees and reward them for longer terms of service.

Given that the gain from stock options is chargeable to salaries tax, if such gain is arising in or derived from Hong Kong, the employment status of the taxpayer at the time of grant and the employment status over the period of vesting, dictate if the gain from stock options falls within the scope of salaries tax. Exhibit 4.5 is a summary of the salaries tax implication of stock options for a Hong Kong employment.

Hong Kong employment	Share option type	
	Unconditional	Conditional
Relevant period to determine taxability:	At grant	All year(s) of assessment during vesting period
Exemption applies during relevant period?		
Exemptions not apply	Fully taxable	
Exemption applies	Exempt under s.8(1A)(b)(ii) or s.8(1B)	
(i.e. all services rendered outside HK / services rendered in HK during visit ≤ 60 days)		

Non-Hong Kong employment	Share option type	
	Unconditional	Conditional
Relevant period to determine taxability:	At grant	All year(s) of assessment during vesting period
Exemption applies during relevant period?		
Exemptions not apply	Time apportionment with reference to days in year of grant, but only taxable in the year of exercise	$\text{Gains computed under s.9(1)(d)} \times \frac{\text{Days in HK plus attributable leave days during vesting period*}}{\text{Total no. of days in vesting period}}$
Exemption applies	Exempt under s.8(1A)(b)(ii) or s.8(1B)	
(i.e. all services rendered outside HK / services rendered in HK during visit ≤ 60 days)		

*Note: If exemption applies to a YA within the vesting period, the days in that YA are not taken into consideration

In computing the days in Hong Kong plus attributable leave days during the vesting period, the day of arrival and the day of departure will be counted as one day, i.e. the same 'midnight rule' as in the time apportionment basis.

► **EXHIBIT 4.5 Stock options taxation for an employee with a Hong Kong employment and non-Hong Kong employment**

Illustrative Example 11(a) – Exercise of Conditional Stock Option (Hong Kong Employment) (adopted from DIPN 38)

The taxpayer, Mr. X, had a Hong Kong employment. The right was conditionally granted, subject to the completion of a vesting period of 2 years from 1 April 2018.

The position during the vesting period was as follows:

Year ended 31.3.2019: More than 60 days in Hong Kong rendering services

Year ended 31.3.2020: No services rendered in Hong Kong

He exercised the option on 1 July 2020. During the year ended 31 March 2021, he did not render service in Hong Kong.

Illustrative Example 11(a) – Exercise of Conditional Stock Option (Hong Kong Employment) (adopted from DIPN 38) (continued)

For a Hong Kong employment case, income can only be excluded from the charge to Salaries Tax if the taxpayer renders outside Hong Kong all the services in connection with his employment (taking into account the 60 days allowance provided under section 8(1B)). Accordingly, if during any year of assessment included in the vesting period, the taxpayer rendered services in Hong Kong during visits exceeding 60 days, all of the gain from the exercise of the option would be chargeable to Salaries Tax. On the other hand, if during each such year the taxpayer's visits did not exceed a total of 60 days, no part of the gain would be treated as chargeable (ss. 8(1A)(b)(ii) and 8(1B) would apply).

Even though Mr. X did not render services in Hong Kong during 2019/20, the share option gain was still fully taxable in the year of exercise (i.e. 2020/21) because exemptions did not apply to all years of assessment during the vesting period. Mr. X could only be exempted from Salaries Tax in respect of the share option gain if he rendered services outside Hong Kong in each year of assessment during the vesting period.

Whether or not the taxpayer is rendering services in the year of assessment in which the right was exercised is not relevant to the chargeability of any gain on exercise. As such, even though Mr. X did not render services in 2020/21, the share option gain was fully taxable.

Illustrative Example 11(b) – Exercise of Conditional Stock Option (Hong Kong Employment)

Elise Wong works in Wealth Management at GBank Hong Kong. On 1 April 2019, the bank granted her 1,000 stock options under the GBank Employee Stock Option Plan ('Plan'). Under the Plan, 250 stock options will vest every year over a four-year period with the first vest date falling on 31 March 2020. GBank bears all cost associated with the exercise of the option under the Plan.

Elise exercised the stock option vested on 31 March 2020 and acquired 250 GBank shares. On 1 April 2020, she received a notification from GBank confirming that 250 shares were allotted to her at a total price of €5,160 (based on the option strike price of €20.64 per share). GBank closed at €28 on 31 March 2020 on the Frankfurt Stock Exchange. What gain, if any and when, will be included in Elise's assessable income?

Even though Elise has not sold the GBank shares, she is chargeable to salaries tax on the notional gain derived from the exercise of her stock options in the year the stock option was exercised to acquire the shares of GBank under s.9(1)(d) and s.9(4)(a).

Illustrative Example 11(b) – Exercise of Conditional Stock Option (Hong Kong Employment) (*continued*)

The gain as computed below will be included in Elise's assessable income:

Assessable stock option gain – notional gain:		€
	OMV at the time of exercise; i.e. 31/3/2020 (€28 × 250)	7,000
Less	Consideration paid – strike price €20.64/share (€20.64 × 250)	(5,160)
		€1,840
	Converted to HK\$ @ 8.6536 (IRD published buying rate for March 2020)	HK\$15,923

The amount of HK\$15,923 is subject to salaries tax in YA 2019/20.

In the case of an employee with a non-Hong Kong employment, the gains from an unconditional stock option grant is subject to salaries tax if he or she:

- Renders services in Hong Kong; and
- The 60-day exemption rule does not apply.

The stock option gains will be included in the total income of an employee who qualifies for the time-basis assessment in computing the income attributable to Hong Kong.

In the case where conditional stock options are granted and the vesting takes place after the employee commences rendering services in Hong Kong, the gains would generally be assessed based on the vesting time-basis of apportionment; i.e. the days the employee was in Hong Kong during the vesting period over the total number of days in the vesting period (see the formula below in the summary table). This is to recognise that the stock options granted prior to the employee's commencement of employment in Hong Kong are partly attributable to services rendered outside Hong Kong and should not be fully assessable in Hong Kong. See also paragraphs 44 to 50 of DIPN 38 (Revised).

Apply and Analyse 2 – Non-Hong Kong Employment with Stock Option Exercised under Time-Basis Assessment

Apply

Siew-mei is one of Mei-ling's sub-ordinates in the finance department of KP-Singapore. As part of her training programme in the succession plan of the finance department, Siew-mei was seconded from Singapore to Hong Kong on 3 January 2019. Prior to the secondment, Siew-mei has never visited Hong Kong. She was granted three tranches of conditional stock options under KP-HK Group's Employee Stock Option Plan on 2 January 2017, 2 January 2018 and 2 January 2019, respectively, as follow:

Apply and Analyse 2 – Non-Hong Kong Employment with Stock Option Exercised under Time-Basis Assessment (*continued*)

Option tranches	I	II	III
	2 January 2017	2 January 2018	2 January 2019
Units granted	4,000	6,000	10,000
Strike price (HK\$)	80	110	135
Vest dates	2 January 2018	2 January 2019	2 January 2020
	2 January 2019	2 January 2020	2 January 2021
	2 January 2020	2 January 2021	2 January 2022
	2 January 2021	2 January 2022	2 January 2023
Units vested at each vest date	1,000	1,500	2,500

Under the plan, the stock options vest evenly over a four-year period. KP-HK Group bears all cost associated with the exercise of the options under the Plan. Siew-mei has been exercising the stock options as and when vested.

On 2 January 2020, Siew-mei did a cashless exercise; i.e. exercised and sold, her vested options. KP-HK Group closing share price on 2 January 2020 was HK\$165. Let us analyse the tax implications on the exercise.

Analysis

First, let us calculate the relevant vesting days in Hong Kong based on Siew-mei's travel itineraries for the YAs 2018/19 and 2019/20.

	Arrival date	Departure date	Days in HK	Days in HK under the 60-day exemption rule
YA 2019/20 ^a	3/1/2019	14/1/2019	11	12
	29/1/2019	3/2/2019	5	6
	19/2/2019	6/3/2019	15	16
	26/3/2019	31/3/2019	5	6
			36	40 (≤60 days)
	1/4/2019	3/4/2019	2	3
	6/5/2019	14/5/2019	8	9
	7/6/2019	16/6/2019	9	10
	3/8/2019	22/8/2019	19	20
	28/8/2019	18/9/2019	21	22
	30/9/2019	15/10/2019	15	16
	1/11/2019	17/11/2019	16	17
	12/12/2019	20/12/2019	8	9

Apply and Analyse 2 – Non-Hong Kong Employment with Stock Option Exercised under Time-Basis Assessment (*continued*)

Arrival date	Departure date	Days in HK	Days in HK under the 60-day exemption rule
Days in HK up till 2/1/2020		98	106
Leave days attributable to HK up till 2/1/2020 ^b		8	
Total days in HK during vesting period		106	

^a As Siew-mei was in Hong Kong for a total of 40 days for the purpose of the s.8(1B) 60-day exemption in YA 2018/19, these days shall be disregarded in determining the days in Hong Kong during the vesting period for computing the gain attributable to services rendered in Hong Kong.

^b Leave days attributable to Hong Kong:

$$\frac{\text{Business days in HK (98)}}{\text{Total business days (336)}} \times \text{Leave days (30)} = 8.75; \text{ i.e. 8 days}$$

Now, let us look at the stock options exercised on 2 January 2020. The total number of days for the relevant options in the vesting period, i.e. from grant date to vest date, are:

Option Trench	Grant date	Vest date	Total no. of days in the vesting period (A)	Days in HK during vesting period* (B)	YA covered
I	2/1/2017	2/1/2020	1,095	106	2016/17 – 2019/20
II	2/1/2018	2/1/2020	730	106	2017/18 – 2019/20
III	2/1/2019	2/1/2020	365	106	2018/19 – 2019/20

Note*: 2016/17 & 2017/18: 0 days in HK; 2018/19: 36 days in HK (ignored due to exemption); 2019/20: 106 days in HK

Option tranches	2/1/2017 I	2/1/2018 II	2/1/2019 III
Strike price in HK\$ (C)	80	110	135
Vested on:			
2/1/2020 (D)	1,000	1,500	2,500
Notional consideration (E = C × D)	80,000	165,000	337,500
OMV at time of exercise (F = HK\$165 × D)	165,000	247,500	412,500
Notional gain (cashless exercise) (G = F – E)	85,000	82,500	75,000

Apply and Analyse 2 – Non-Hong Kong Employment with Stock Option Exercised under Time-Basis Assessment (*continued*)

Option tranches	2/1/2017 I	2/1/2018 II	2/1/2019 III
Gain attributable to services in HK: vesting-time-basis apportionment ($H = G \times B/A$)	8,228	11,979	21,781
Total gain attributable to services rendered in HK (HK\$)			41,988

See DIPN 38 (Revised) for further examples on how stock option gains are taxed under different scenarios.

Permanent Departure from Hong Kong

A gain realised from the exercise, assignment or release of a stock option after permanent departure from Hong Kong may still be subject to salaries tax. This is affirmed in *CIR v Sawhney, Subhash Chander* (2005) HKRC. The taxpayer was granted stock options during his period of employment in Hong Kong. A few years later, his employment was terminated and the taxpayer left Hong Kong. The taxpayer subsequently exercised the stock options and made several gains. The CIR assessed him on the gains in the relevant years and the taxpayer objected. The BOR ruled in favour of the taxpayer and the CIR appealed. The court construed the provisions of s.11C purposively and held that s.11C is a deeming provision to be applied to the rules regarding the calculation of assessable income, for the purpose of fixing the day on which a taxpayer would be deemed to commence or cease to derive income from a source. The court also considered the purpose of s.9(1)(d) and s.9(4) and concluded that the provisions when read together, have the effect that the gain was assessable income. The court further quoted that 'the amount of the gain is calculated when the option is exercised, whenever that may be, on the difference between what the employee pays for the option, and its market value; and where tax may become chargeable in respect of a future gain it is not chargeable under any other provision. . .the object. . .was not simply to bring option gains into the tax net, but to bring them in whenever they might be realised'.

With a view to finalising the tax liability of a taxpayer before his departure from Hong Kong, the IRD will, as a matter of concession, allow a person to elect to have the liability ascertained on the basis of a notional exercise (and deemed vesting where appropriate) of all stock options granted but not exercised, assigned or released by accepting:

- That the liability can be finalised based on the gain (calculated in accordance with s.9(4)(a)) that would have been realised if the option were to be exercised on a day within seven days before the date of submission of the taxpayer's final tax return.
- An election made within three months from the date of permanent departure from Hong Kong if it was not made prior to departure. In this case, the departure date would be deemed the date of the notional exercise for purposes of calculating the gain.

The notional gain will be returned and assessed on the basis that no further liability will arise when the option is eventually exercised, assigned or released after departure from Hong Kong.

Kong. Once an election is made, it cannot be withdrawn before the actual exercise, assignment or release, unless:

- The objection is made within the statutory period, i.e. one month after the date of issue of the notice of assessment; or
- There was a total forfeiture of the options with no replacement or compensation before the actual exercise.

The IRD has indicated that it will consider favourably an application for re-assessment should the actual gain from an eventual exercise, assignment or a release of the option turn out to be less than the notional amount assessed (paragraph 73, DIPN 38 (Revised)).

Cash flow aside, there is no benefit for an employee to elect for a notional vesting and exercise unless the person expects a significant increase in the price of the underlying share. The gains are subjective; i.e. the person may leave the employ of the company and forfeit his or her unvested stock options, or there may not be any real gain in a volatile stock market. Further, non-election means any gains from a subsequent exercise will be brought to tax in that year of assessment if the taxpayer is likely to have no other assessable income in Hong Kong and a full year of statutory personal allowance. Thus, a lower effective tax rate would apply to the gains.

Both the employer and the employee have the obligation to notify the IRD of the gains when the stock options are subsequently exercised, assigned or released if the options were granted during the taxpayer's period of employment in Hong Kong – see paragraphs 75 to 83 of DIPN 38 (Revised). Note though that the IRD has indicated, in paragraph 80 of DIPN 38 (Revised), that there is no requirement to notify the IRD if the gain from stock options of an ex-employee computed in accordance with the IRO is lower than the basic allowance applicable to the relevant year.

4.4.3.2 Stock Awards

Stock or share awards are another form of equity-based compensation which has become popular in recent years. Stock awards are part of a taxpayer's remuneration, being a perquisite chargeable to salaries tax under s.9(1)(a) of the IRO. While some share awards are granted upfront unconditionally without any payment, most stock awards are subject to vesting periods, i.e. a certain number of shares to be vested proportionately over the next period, typically three to five years. The key issues relating to stock awards are:

- the time the benefits accrue to the taxpayer; and
- the assessable value of the benefits.

The IRD has come out with two general approaches to determine the timing of assessment of stock award benefits (paragraphs 60 and 61, DIPN 38 (Revised)). The IRD applies the upfront approach if the shares were allotted to the employee with full economic benefits (e.g. voting rights and dividends) as any normal shareholders at the time of grant. The employee may not be allowed to sell the shares until certain holding period. In situations in which the shares are only vested over a period of time, and the shares are forfeited if the employee leaves the employment of the company prior to vesting, such share awards plan is more of a promise of shares to be vested to ensure the employee remains in the employment of the company.

The following table deals with the two key issues relating to share awards.

	Upfront	Back-End
Applicable to	Shares allotted with full economic benefits at grant	Shares vested over a period of time and shares are forfeited if employee leaves the employment prior to vesting
Time of assessment	At grant	Upon vest
Assessable amount	OMV at grant ^a	OMV at vest
Dividends distributed	Not taxable – investment income	Taxable being perquisite from employment (see IRBRD D21/16)

^a The IRD will consider a discount on the valuation of the shares if restriction on sale is imposed. The discount is generally at 5% for each year, see paragraph 61, DIPN 38 (Revised).

Gain from Stock Awards Chargeable to Salaries Tax

The stock awards benefit, like other income from an office or employment, is only chargeable to salaries tax if the gain falls within the charging provisions of the IRO. In the case of an employee with a Hong Kong employment, the stock awards are chargeable to salaries tax unless the employee renders all services outside of Hong Kong or renders some services in Hong Kong during visits not exceeding 60 days in the YA. Any shares vested after the cessation of a Hong Kong employment are deemed to accrue on the last day of employment (s.11D(b)(ii)) - see paragraph 62, DIPN 38 (Revised).

Illustrative Example 12 – Stock Awards – Back-End Approach (Hong Kong Employment)

Gabriela joined the subsidiary of a listed Silicon Valley IT company (SVIT) in Hong Kong on 1 August 2017. Her compensation included a stock award of 1,000 SVIT common stock that would be vested evenly over a four-year period. Under the SVIT Employee Stock Plan (ESP), unvested shares are forfeited if an employee leaves the employment of the company. When Gabriela was granted the stock award, SVIT closed at US\$56.58. 200 shares each were vested on 30 August 2018 and 2019, respectively. SVIT closed at US\$74.77 on 31 August 2017 and at US\$112.33 on 31 August 2018.

The back-end approach applies to the stock award granted to Gabriela as she is not entitled to the 1,000 common stocks of SVIT until the completion of a four-year service period. The gain of US\$14,954 (US\$74.77 × 200) and US\$22,466 (US\$112.33 × 200) would be included in her salaries tax returns for the YAs 2018/19 and 2019/20, respectively.

In the case of an employee with a non-Hong Kong employment, stock awards subject to vesting period accrue to the employee in the year in which the vesting takes place. For an employee who is subject to tax on a time basis of apportionment, the value of the share awards chargeable to salaries tax is apportioned based on the days the employee is in Hong Kong during the YA:

$$\text{Assessable gain} = \text{Value of shares at vest date} \times \frac{\text{Days in HK in the YA that vesting takes place}}{\text{Days in the YA that vesting takes place}}$$

Inbound Employees with a Non-Hong Kong Employment

The above taxation for a non-Hong Kong employment taxpayer does not apply in the case of an inbound employee who was granted share awards subject to a vesting period prior to taking up the assignment in Hong Kong. If shares are vested in the employee and the terms of the stock award clearly state that the vesting of the shares depends on a the period of employment, then the IRD will exclude a portion of the gain on time apportionment referable to the vesting period before his or her transfer to Hong Kong (see paragraph 66, DIPN 38 (Revised)).

Apply and Analyse 3 – Stock Awards for Inbound Employee (Non-Hong Kong Employment)

Yuji Uchida has worked in SVIT in Seattle, starting in 2006. He was seconded from the US to SVIT's subsidiary in Hong Kong on 1 July 2018 to manage the company's gaming division for the Asia Pacific region. Yuji has travelled often to Japan to meet with various Japanese game developers in addition to other frequent visits to the region and Seattle. His employment remains with SVIT Seattle and he reports to the VP for Gaming Division in Seattle.

The following are the relevant ESP (same ESP as in Illustrative Example 12) granted to Yuji over the last few years.

SVIT	Number of shares - vest equally over a four-year period					
	31/8/17	31/8/18	31/8/19	31/8/20	31/8/21	31/8/22
Nasdaq closing price on 31/8 (US\$)	57.46	74.77	112.33			
Grant date:						
1/9/2014	250	250				
1/9/2015	300	300	300			
1/9/2016	600	600	600	600		
1/9/2017		800	800	800	800	
1/9/2018			1,000	1,000	1,000	1,000

Using the 'midnight rule', the following are the days Yuji was in Hong Kong including the attributable leave days. Yuji spent most of his time in Seattle and Tokyo due to a major launch in Japan.

YA	Days in HK		Days outside HK	Total
YA 2018/19 (transfer date 1/7/18 – 31/3/19)		125	149	274
YA 2019/20:		60	305	365
	Arrived HK	Departed HK		
	1/4/19	1/5/19	30	
	31/5/19	2/6/19	2	
	1/7/19	5/7/19	4	

Apply and Analyse 3 – Stock Awards for Inbound Employee (Non-Hong Kong Employment) (continued)

YA		Days in HK	Days outside HK	Total
	1/8/19	6/8/19	5	
	3/9/19	9/9/19	6	
	28/11/19	2/12/19	4	
	5/1/20	9/1/20	4	
			55	
	Attributable leave days ^a	5		

^a Leave days attributable to Hong Kong:

$$\frac{\text{Business days in HK (55)}}{\text{Total business days (335)}} \times \text{Leave days (30)} = 5 \text{ days}$$

Applying what we have learnt, advise Yuji which of his stock awards are chargeable to salaries tax in Hong Kong.

Yuji continues to be employed by SVIT in the US and he reports to a manager in the US. Thus, Yuji has a non-Hong Kong employment. As the vesting of the stock awards is tied to his period of service with the company, the back-end approach applies. Therefore, a portion of the gain computed based on the vesting period before Yuji's secondment to Hong Kong is excluded from salaries tax (paragraph 66, DIPN 38 (Revised)).

Given that Yuji was seconded to Hong Kong on 1 July 2018, the stock awards vested on 31 August 2017 were vested prior to his secondment and would be out of scope for salaries tax purposes.

Part of the gain from the stock awards vested after his secondment to Hong Kong will be subject to salaries tax for the YA 2018/19 and YA 2019/20. We will now compute the amounts chargeable to salaries tax for YA 2018/19 and YA 2019/20. We were told that Yuji was in Hong Kong for a total of 60 days (including leave days attributable to Hong Kong). To determine if Yuji meets the s.8(1A)(b)(ii) and s.8(1B) exemption for the YA 2019/20, we need to calculate the days Yuji was in Hong Kong under the 60-day exemption rule. As we have learnt in the earlier sections, for the purpose of the 60-day exemption rule, part of a day in Hong Kong is counted as one day. Thus, Yuji would have visited Hong Kong for more than 60 days in the YA 2019/20 (see below) and his employment income would therefore be chargeable to salaries tax.

YA 2019/20:		Midnight rule	60-day exemption rule
Arrived HK	Departed HK		
1/4/19	1/5/19	30	31
31/5/19	2/6/19	2	3
1/7/19	5/7/19	4	5
1/8/19	6/8/19	5	6

Apply and Analyse 3 – Stock Awards for Inbound Employee (Non-Hong Kong Employment) (*continued*)

YA 2019/20:		Midnight rule	60-day exemption rule
Arrived HK	Departed HK		
3/9/19	9/9/19	6	7
28/11/19	2/12/19	4	5
5/1/20	9/1/20	4	5
		55	62

To compute the amount chargeable to salaries tax, we need to first compute the gain attributable to the vesting period after Yuji's secondment to Hong Kong.

SVIT closing price as listed		31/8/2018 (B1)	US\$74.77	
		31/8/2019 (B2)	US\$112.33	
YA 2018/19				
Vesting period from transfer: 1/7/18 – 30/8/18 (C1)			61 days	
Period from grant to vest	Share awards A	Value US\$ D = (A × B1)	No. of days grant to vest E	Amount before time-basis apportionment US\$ C1/E × D
1/9/14– 30/8/18	250	18,692	1,460	781
1/9/15 – 30/8/18	300	22,431	1,095	1,250
1/9/16 – 30/8/18	600	44,862	729	3,754
1/9/17 – 30/8/18	800	59,816	364	10,024
			Total US\$	15,809
			HK\$	123,604 ^a

YA 2019/20				
Vesting period from transfer: 1/7/18 – 30/8/19 (C2)				426 days
Period from grant to vest	Share awards A	Value US\$ D = (A × B2)	No. of days grant to vest E	Amount before time-basis apportionment US\$ C2/E × D
1/9/15 – 30/8/19	300	33,699	1,460	9,833
1/9/16 – 30/8/19	600	67,398	1,094	26,245
1/9/17 – 30/8/19	800	89,864	729	52,513
1/9/18 – 30/8/19	1,000	112,330	364	112,330 ^b
			Total US\$	200,921
			HK\$	1,568,088 ^a

^a Based on an exchange of 7.8186 and 7.8045 for August 2018 and August 2019, respectively – IRD's published buying rate.

^b This share award was granted to Yuji after his secondment to Hong Kong.

Apply and Analyse 3 – Stock Awards for Inbound Employee (Non-Hong Kong Employment) (*continued*)

After calculating the gain attributable to Hong Kong, we compute the portion of gain attributable to services rendered in Hong Kong using the time apportionment basis:

Gain attributable to services in HK for:					
YA 2018/19	123,604	×	125/274	=	HK\$56,389
YA 2019/20	1,568,088	×	60/365	=	HK\$257,768

The gains from share awards chargeable to salaries tax in Hong Kong are:

YA 2018/19:	HK\$56,389
YA 2019/20:	HK\$257,768

Outbound Employees with a Non-Hong Kong Employment

Similarly, for outbound employees, the stock awards which are subject to a vesting period may be vested after the employee with a non-Hong Kong employment has been transferred outside Hong Kong and such awards may have been granted to the employee during the period of assignment in Hong Kong. If the terms of the stock award clearly state that the vesting of the shares depends on a period of employment, the value of the shares is attributable to the vesting period before the employee was transferred outside Hong Kong; i.e. for services rendered in Hong Kong, the value of the shares should be chargeable to salaries tax.

In an unusual case where an employee continues to be entitled to vesting of unvested shares after resignation, the value of the share award granted during the taxpayer's time of employment in Hong Kong should be included as assessable income in the year of resignation.

Valuation

The valuation adopted by the IRD is similar to that used for stock options; i.e. the OMV of shares – see 'Gain Realised' in Section 4.4.3.1.

Permanent Departure from Hong Kong

If an employee leaves Hong Kong and stock awards were granted but not yet vested at the time of departure and the back-end approach applies, as a matter of administrative concession, the taxpayer may elect to be assessed based on:

- The deemed value on a day within seven days before submitting his or her return for the final assessment applicable to the year of assessment in which he or she permanently departs Hong Kong, if an election is made before the taxpayer departs Hong Kong; or
- The deemed value on the date of his or her departure if an election is made within three months from the date of permanent departure from Hong Kong (paragraph 74, DIPN 38 (Revised)).

Once an election is made, it cannot be withdrawn. No partial election is allowed. The IRD will only accept the election if it applies to all unvested shares chargeable to tax. When an assessment is issued in accordance with the election, a subsequent request to amend the assessment will not be entertained, unless an objection is made within the statutory time; i.e. one month after the date of issue of the notice of assessment. By the same token, the IRD will not seek to increase the assessment for the sole reason that the value upon vesting has increased. A sample of the election form is attached as Appendix 2 to DIPN 38 (Revised).

Illustrative Example 13 – Stock Awards – Employee Departing Hong Kong Permanently (Hong Kong Employment)

Maggie Wong works for SVIT Hong Kong. She was granted Australia permanent residency and decided to migrate to Sydney. Her manager at SVIT arranged for her transfer to SVIT Sydney effective 1 November 2019. Maggie's last day at work with SVIT Hong Kong was 15 October 2019 and she departed Hong Kong on 24 October 2019. At the time of departure, Maggie has the following unvested stock awards.

SVIT	SVIT closing price on 24/10/2019				US\$102.32	
	Vest date of shares				Total	Total (US\$)
	31/8/20	31/8/21	31/8/22	31/8/23		
Grant date						
1/9/2017	100	100			200	20,464
1/9/2018	120	120	120		360	36,835
1/9/2019	150	150	150	150	600	61,392
					US\$	118,691
					HK\$	926,490 ^a

^a Based on an exchange of 7.8059 – IRD's published buying rate for October 2019.

If Maggie were to elect for the unvested stock awards to be assessed on a deemed vesting on the date of her departure, she will be assessed on a deemed vested value of HK\$926,490. If Maggie does not elect for a deemed vesting, she will be charged salaries tax on the share award gains upon vesting. The assessable amount, i.e. the number of shares vested multiplied by the SVIT closing price at the respective vest date, is deemed to accrue to Maggie on the last day of her employment; i.e. 15 October 2019 (s.11D(b)(ii)). Thus, Maggie will receive notices of additional assessment for the YA 2019/20 as and when the shares vest on her.

Cash flow aside, the gains from the unvested stock awards are not definite. Should Maggie leave the employment of SVIT, she would not be entitled to the unvested shares. Unless Maggie is very sure of her employment with SVIT and expects only upside on the share price of the company, there is really no incentive for her to elect for a deemed vesting other than the administrative aspect of having to remember to report the gains to the IRD as and when vesting takes place (s.51(2)). See paragraphs 75 to 78 of DIPN 38 (Revised) on the reporting requirements.

Illustrative Example 14 – Stock Awards – Employee Departing Hong Kong Permanently (Non-Hong Kong Employment)

Stan is employed by SVIT Singapore. He is required to travel to support SVIT customers and partners in the region. Stan was seconded to SVIT Hong Kong on a three-year assignment on 1 July 2017. On 1 September 2017, Stan was granted a 1,000 SVIT stock under SVIT ESP (see Illustrative Example 12 above), which would be vested evenly over the following four years; i.e. 250 shares each year.

Stan was granted a second tranche of 1,200 SVIT ESP on 1 September 2018. Due to family reasons, Stan asked his manager for a transfer back to Singapore. He was repatriated on 15 August 2019.

Stan's days in Hong Kong for YA 2019/20 are computed based on the 'midnight rule' including attributable leave days up to the date he left Hong Kong:

Basis period	Days in HK	Days outside HK	Total
1/4/19 to 14/8/19	70	66	136

The amount of gains from share awards to be included in Stan's YA 2019/20 tax return if he had not elected for a deemed vesting is:

SVIT closing price as listed 31/8/2019 (B)					US\$112.33
Grant date	Share vested on 31/8/19 A	Value of Shares C = (A × B)	Days from grant to 30/8/19 D	Days from grant to 14/8/19 E	Amount before time-basis apportionment US\$ E/D × C
1/9/2017	250	28,082	729	713	27,466
1/9/2018	300	33,699	364	348	32,218
Total US\$					59,684
Gains attributable to vesting period before repatriation HK\$					465,804 ^a

^a Based on an exchange of 7.8045 – IRD's published buying rate for August 2019.

$$\text{Gains attributable to services in HK for YA 2019/20} = 465,804 \times \frac{70}{136} = \text{HK\$239,752}$$

Apply and Analyse 4 – Stock Awards

Apply

Let's have a look at Stan's stock awards scenario if he had elected for a deemed vesting within three months from the date of his departure from Hong Kong. The gains would be computed as follows based on DIPN 38 (Revised):

SVIT closing price on 15/8/2019 (B)					US\$105.18	
SVIT	Vest date of shares				Deemed vested A	Amount US\$ C = (A × B)
Grant date	31/8/19	31/8/20	31/8/21	31/8/22		
1/9/2017	250	250	250		750	78,885
1/9/2018	300	300	300	300	1,200	126,216
					Total US\$	205,101

$$\begin{aligned} \text{Gains attributable to services in HK for YA 2019/20 (US\$)} &= 205,101 \times \frac{70}{136} = 105,567 \\ &= \text{HK\$}823,898^a \end{aligned}$$

^a Based on an exchange of 7.8045 – IRD's published buying rate for August 2019.

Analysis

If an election is absent, the following would be the gains applicable to the vesting period in Hong Kong:

Grant date	Vest date	Days: grant to vest C	Days: grant to transfer D	Share awards A	Closing price ^a US\$ B	Amount before time-basis apportionment US\$ (D/C) × (A × B)
1/9/17	31/8/19	729	713	250	112.33	27,466
1/9/18		364	348	300		32,218
Gains assessable in when vested on 30/8/19 ^b					US\$	59,684
1/9/17	31/8/20	1,095	713	250	108.22	17,617
1/9/18		730	348	300		15,477
Gains assessable in when vested on 30/8/20 ^b					US\$	33,094
1/9/17	31/8/21	1,460	713	250	118.10	14,419
1/9/18		1,095	348	300		11,260
Gains assessable in when vested on 30/8/21 ^b					US\$	25,679
1/9/18	31/8/22	1,460	348	300	123.23	8,812
Gains assessable in when vested on 30/8/22 ^b					US\$	8,812
Total gains attributable to vesting period in HK					US\$	127,269

^a Based on the SVIT close price on the date of vest.

^b To be converted to HK\$ based on the buying rate published by the IRD for August of the respective year.

Apply and Analyse 4 – Stock Awards (*continued*)

The above gains will then be applied to the time apportionment ratio applicable to Stan's days in Hong Kong for YA 2019/20; i.e. the departure year. This is because the gains would be deemed to accrue to Stan on the date that he departed Hong Kong under s.11D(b)(ii). The IRD would raise additional assessments for YA 2019/20 on each of the gains upon vesting as follows:

Vesting period ends on:	1. Amount relating to vesting period in HK (US\$)	2. Apportionment ratio YA 2019/20	Assessable gains in HK (US\$); i.e. (1 × 2)
31/8/19	59,684		30,720
31/8/20	33,094	70/136	17,034
31/8/21	25,679		13,217
31/8/22	8,812		4,536
		US\$	65,507

In practice, it is unlikely for a taxpayer with a non-Hong Kong employment to elect for an upfront assessment with regards to the unvested stock awards given that deemed vesting would result in a bigger portion of the gain attributed to services rendered in Hong Kong as the vesting period after the taxpayer has left Hong Kong will be disregarded.

As in the case of stock option gains, both the employer and the employee have the obligations to notify the IRD of the gains when the stock awards are vested if these were granted during the taxpayer's period of assignment in Hong Kong.

4.4.3.3 Phantom Share Awards

A phantom share plan is essentially a deferred compensation plan which gives an employee the right to receive a cash payment tied to the value of the company's share at a future date. Tax is not charged at the time an employee is granted the phantom shares. Salaries tax is only chargeable at the time when the cash payment is made to the employee. Given that a phantom share award is a form of deferred pay, the employee may apply to have the payment related back to the years of assessment in respect of which the payment was made under s.11D(b)(i), if relating back would reduce his or her tax liability.

4.4.4 Education Benefits

We have learned that payments in relation to the education of an employee's child are excluded from the 'liability test'. Thus, such payments are specifically subject to salaries tax under s.9(1) and s.9(2A)(b) irrespective of whether the payment is made directly to the school or capable of being converted into cash. For the purpose of s.9(2A)(b), 'child of an employee' is defined to mean any child including the adopted or step child of an employee, or of his or her spouse or former spouse.

The IRD has provided in paragraph 24, DIPN 16 (Revised) its view on what constitutes a payment in connection with the education of a child. Besides tuition fees, payments for incidental education expenses including amongst others, boarding fees and the cost of school outings are considered assessable education benefits for salaries tax purposes. However, a nursery school provided by an employer for the children of all its employees are not considered not chargeable to the employees on the basis that such benefits are not convertible to money or attributable wholly or proportionately to an employee (see paragraph 11, DIPN 16 (Revised)). Further, the IRD adopts the position that there is no chargeable benefit to an employee if his or her child education expenses are made through an education trust funded by the employer (*Barclays Bank v Naylor* 39 TC 256) – paragraph 25, DIPN 16 (Revised).

4.4.5 Holiday Journey Benefits

Similar to the child education benefit, s.9(2A)(c) excludes from the 'liability test' any amount paid by an employer in connection with a holiday journey. Thus, a holiday journey provided by an employer is chargeable to salaries tax under s.9(1) and s.9(2A)(c) irrespective of whether the holiday journey is convertible into cash or if the primary liability for the benefit is the employee's own.

4.4.5.1 Assessable Value of Holiday Journey Benefit

A holiday journey benefit is assessed based on the actual amount paid by the employer. The benefit is assessable even though the employer may not incur an additional cost for the benefit, e.g. an employee who is entitled to travel on a business class seat exchanged the ticket for two economy seat tickets. The other ticket is for the employee's spouse/partner or family member to travel with him or her. Under such a scenario, the amount relating to the economy ticket for the employee's spouse/partner or family member is taxable.

Expenses in relation to a holiday journey include all expenses incurred in connection with the said journey, e.g. airfare and other transportation costs, accommodation, meals, sight-seeing tours, travel insurance, etc. Annual home leave passages provided to employees and their family members are taxable holiday journeys. However, amounts paid by an employer to relocate an employee and his or her family members when the employee took up an assignment or on repatriation would not be considered as holiday journey benefits. The IRD has indicated that stopover visits to another location en route to or from Hong Kong would also be disregarded (paragraph 19, DIPN 41).

4.4.5.2 Business-cum-Holiday Journeys

'Holiday journey' means a journey taken for holiday purposes, or, where the journey is taken for mixed purposes, the part of the journey taken for holiday purposes (s.9(6)). Thus, when an employee takes a holiday in conjunction with a business trip, it is necessary to identify the portion of the expenses paid by the employer which relates to the 'holiday' as this is an assessable benefit. The IRD has provided in paragraph 15, DIPN 41, the following guidance on the approach the IRD would take in relation to business-cum-holiday journey assessment:

- Distinct and separable expenses, e.g. additional hotel nights while on holidays and the employer paid for the extra nights spent on holidays are assessable.
- Other combined expenses will be allocated based on 'holiday-days basis', i.e.

$$\text{Total amount spent for the combined journey} \times \frac{\text{Number of days spent on holiday}}{\text{Total number of days in the journey}}$$

- Cost for the air-ticket will not be apportioned on the basis that the cost is incurred irrespectively of the holiday component.
- Business trips spanning over Saturdays and Sundays will not be considered as a 'holiday journey'. However, weekends prior to and at the end of the business trips will be considered based on the circumstances. The IRD will most likely not tax a holiday which is merely incidental to the business trip. By the same token, if the business component is incidental to the holiday journey, then the entire journey will be taxed as holiday journey.
- Stopovers are considered incidental if the stopover days are not excessive when taken into consideration the circumstances.

4.4.5.3 Organised Holiday Journeys for Staff

When an employer provides holiday journeys, e.g. group tours for the staff, and the amount paid is not separately identifiable, an appropriate (practical, consistent and reasonable) allocation driver, e.g. headcount, may be used.

4.4.6 Other Fringe Benefits

Let us return to the examination of the *Glynn* case, in which an employer paid the school directly for an employee's daughter's school fees. The Court of Appeal held that the IRD was correct in determining that the payments were chargeable to salaries tax.

Strictly applying this decision would result in all benefits derived by an employee from his/her employer as being taxable under salaries tax, however, the 'liability test' determines certain exclusions. (See Exhibit 4.5.) The liability test excludes benefit payments for which the employer holds the sole and primary liability, and no other entity offers assurance or guarantee. Under s.9(1)(a), any perquisite is included as chargeable income. However, not all fringe benefits are taxable, as determined by the liability test.

In the *Glynn* case, education benefits were identified as excluded from the liability test, and so school fees paid by an employer for an employee's child's education are always treated as chargeable under salaries tax to the employee.

Another category of fringe benefits that require special consideration are convertible benefits, meaning benefits that can be converted into cash. If such a benefit is an asset, it could be sold, which would convert it into money for the employee. For instance, if an employer gave an employee an automobile which could be sold (i.e. converted into money) by the employee

at his discretion, it became a convertible benefit. In such situations, the IRD will use as the assessable amount the value of the vehicle as sold on the open market at the time of the receipt of the benefit. This would be considered the second-hand value.

Another type of convertible benefit is that which may not be able to be sold but could be converted into money via some other means. Consider the case of an employer that provides an employee with the use of an automobile, but the employer retains ownership so the vehicle could not be sold. However, suppose the employer would permit the employee to give up the car in exchange for higher wages. In this case, the use of the car would be considered convertible into money and would be charged as such.

DIPN 16 (Revised) provides the IRD's view on the assessability of various non-cash fringe benefits derived by an employee or an office holder from his or her employer or others. The following reflects the IRD's view as set out in DIPN 16 (Revised).

4.4.6.1 Certain Assets Made Available by an Employer for the Private Use of an Employee

Where an employee is allowed to use certain assets, e.g. a car or boat of the employer for private purposes, the benefit is not assessable as long as the use of the assets cannot in any way be converted into money. Note that benefits which are not convertible into money by sale may be convertible by other means. For instance, an employee is given the free use of a car (though not ownership) under an arrangement whereby an employee has the choice of opting for money instead of the car usage, in such a situation, the benefit is treated as a benefit convertible into money and assessed accordingly (paragraph 22 of DIPN 16 (Revised)). The value of such a benefit is the sum the employee would have received if he or she had chosen not to take the car benefit. If ownership of the said asset is transferred to the employee, the value of the asset at the time of transfer is considered a taxable benefit. This is on the basis that the employee is able to dispose of the asset and convert into money.

Recreational facilities and holiday homes provided by an employer for the private use of employees are also not chargeable as long as such benefits are not convertible into money. In the event that the employer discharged an amount relating to the private use of an asset for which an employee is liable, the amount paid by the employer would be an assessable benefit to the employee.

4.4.6.2 Benefits Relating to the Employee's Residence

If an employer paid for utilities, telephone and costs associated with domestic help, such benefits are not taxable provided that the employer is the only party liable for the expenses, and the employee cannot convert the benefits into money. The IRD accepts that the employer is the only party liable for the costs if the utility or telephone account or domestic help agreement etc. is in the name of the employer.

4.4.6.3 Interest-Free or Loans Provided at Reduced Rates

The IRD accepts that interest-free or loans provided by an employer to an employee at less than market rates are not assessable benefits if the costs of providing such loans are the sole liability of the employer and the benefits are not convertible to money.

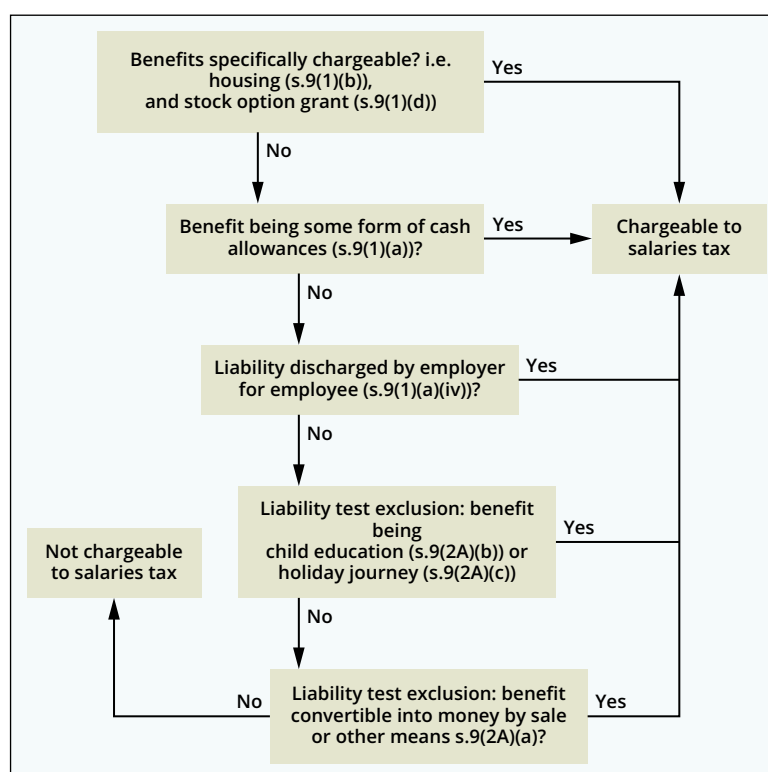
4.4.6.4 Credit Cards Used for Private Purposes

If an employer paid for the private charges accruing on a credit card provided to an employee, the benefit is assessable to salaries tax. The employer by paying for the private charges on the credit card is essentially discharging the private liabilities of the employee who used the card.

4.4.6.5 Club Memberships

The costs incurred by an employer to acquire corporate club memberships are not assessable benefits to the employees who are entitled to use the club membership benefits. Corporate club memberships may be transferred from one employee to another and the costs incurred cannot be attributed to a specific individual. However, if the employer paid for the club membership fee or expenses of an employee for which the employee was personally liable, such payments are benefits assessable to salaries tax.

Exhibit 4.6 below provides the decision flowchart on the chargeability of fringe benefits to salaries tax.



► **EXHIBIT 4.6** Fringe benefits (not being retirement benefits) chargeable to salaries tax

4.4.7 Retirement Benefits

There are two main recognised retirement schemes governed by different regulations in Hong Kong, namely:

- Mandatory defined contribution schemes governed by the Mandatory Provident Fund (MPF) Schemes Ordinance with an inception effective on 1 December 2000; and

- Voluntary Recognised Occupational Retirement (ROR) schemes set up by the employers under the Occupational Retirement Schemes Ordinance (ORSO) prior to the introduction of the MPF.

For retirement schemes, salaries tax liability arises at the time when an amount is received or taken to have been received. Only the voluntary contributions made by the employer are of relevance for salaries tax purposes. The employee's contributions are considered savings and the investment income thereon is not assessable to salaries tax. Thus, any withdrawal from the fund is not taxable to the employee (paragraph 24, DIPN 23 (Revised)).

Any amount received by an employee from a non-ROR or non-MPF scheme, provident fund or society to the extent attributable to the contributions made by the employer, is defined as income from an employment or office subject to salaries tax (s.9(1)(aa)). Further, any amount attributable to the voluntary contributions of an employer:

- received by an employee from a ROR scheme; or
- received or deemed received (see 'Sums Received on Termination of Services' in Section 4.4.7.1 on *taken to have received*) by an employee from an MPF scheme other than on retirement, death, incapacity, terminal illness or termination of service,

is income from an employment or an office subject to salaries tax (ss.9(1)(ab)(i) and 9(1)(ad)).

For the purpose of retirement benefits provisions, s.8(3) defines the following terms:

- Retirement means whichever is later of;
- Retirement from the service of the employer at a specified age of not less than 45 years;
- Retirement after a service period with the employer of not less than 10 years; or
- Reaching the specified retirement age or 60 years.
- Incapacity is permanent unfitness to perform the duties the person was performing prior to becoming incapacitated.
- Terminal illness follows the definition for MPF purposes and means an illness which is likely to reduce the life expectancy of the individual to 12 months or less.
- Termination of service means a termination of employment with the employer other than upon retirement, death, incapacity or terminal illness.

4.4.7.1 MPF Schemes

MPF schemes are mandatory since MPF's inception on 1 December 2000. Mandatory contributions are 5% of the earnings each by the employee and the employer and are subject to a current maximum earning limit of HK\$30,000 per month, respectively. Employers, employees and self-employed persons are required to contribute to MPF schemes. In addition to the mandatory contributions, voluntary contributions can also be made to the MPF schemes.

With regards to the accrued benefit received from an MPF scheme, the payment method does not play a role in how the receipt is taxed. The receipt can be made in a lump sum or an instalment. However, the circumstances under which the benefit is received must be taken into consideration in determining if the receipt is tax exempt or taxable. To provide for a person's retirement, the government discourages early withdrawal from retirement schemes. Thus, s.8(2) (cb) exempts from tax all receipts from MPF schemes upon retirement, death, incapacity, terminal illness or permanent departure from Hong Kong to the extent of mandatory contributions.

Sums Received on Termination of Services

Under s.8(2)(cc)(ii), a sum of the accrued benefit received from the approved trustee of an MPF scheme or taken to have been received by an employee from an MPF scheme upon termination of service (see definition below), is exempt to the extent that it does not exceed an amount equal to the proportionate benefit stipulated under s.8(5). If the receipt exceeds the proportionate benefit, the excess is income from an employment or an office which is chargeable to salaries tax (ss.9(1)(ab)(ii) and 9(1)(ae)).

A person is *taken to have received* from the MPF scheme on the date of termination of service such part of the person's accrued benefit as is attributable to the employer's voluntary contributions, if the services of a person are terminated and the said benefit is retained within the scheme or is transferred to another MPF scheme (s.8(9)). Once the accrued benefit is deemed received by the employee, this part of the accrued benefit will not be subject to the proportionate benefit rule again when the employee subsequently receives the accrued benefit (s.8(10)).

S.8(5) provides the following formula for calculating the proportionate benefit which is tax exempt:

$$\text{Proportionate benefit} = \frac{\text{completed months of service}}{120} \times \text{Accrued benefit}$$

Accrued benefit is defined in s.8(6) to mean:

1. If the person is a member of a ROR scheme, the maximum benefit that the person would have been entitled to receive from the scheme for the person's service recognised for the purposes of the scheme if, at the date on which the person's employment was terminated, the person had retired (within the meaning of subsection (3)); and
2. If the person is a member of an MPF scheme, the person's accrued benefits attributable to voluntary contributions paid to the scheme in respect of the person for that service.

Please note that paragraph 35 of DIPN 23 (Revised) has multiple examples on how the proportionate benefit applies under various scenarios.

4.4.7.2 ROR Schemes

A ROR scheme is defined under s.2 of the IRO as an occupational retirement scheme registered in accordance with ORSO or a retirement scheme approved by the CIR and such approval has not been withdrawn. ROR schemes were the main retirement schemes prior to MPF schemes in Hong Kong. With MPF schemes, ROR schemes are being phased out over time.

As in the case of MPF, a termination payment attributable to the voluntary contributions of the employer made to an employee whose employment is less than 10 years is subject to the proportionate benefit rule described above. Appendix 4.B provides a summary of the taxation of accrued benefits received from ROR Schemes.

Exhibit 4.7 is a summary of the taxation of accrued benefits received from retirement schemes (adapted from paragraph 25 of DIPN 23 (Revised)).

Circumstances under which the accrued benefits are received	Accrued benefit or sums attributable to employer's contributions ^a		
	MPF schemes	Recognised occupational retirement schemes	Other non-approved schemes
Retirement	Exempt s.8(2)(cb), s.8(2)(cc)(ii)	Exempt s.8(2)(cc)(i)	Assessable in full s.9(1)(aa)
Death			
Incapacity			
Terminal illness			
Termination of service	Mandatory: Exempt ^b Voluntary: Exempt but 'Proportionate Benefit Rule' applies s.8(2)(cc)(ii) s.9(1)(ae)	Exempt but 'Proportionate Benefit Rule' applies s.8(2)(c)(i) s.8(2)(cc)(i) s.9(1)(ab)(ii)	
Permanent departure from HK without termination of service	Mandatory: Exempt s.8(2)(cb) Voluntary: Assessable in full s.9(1)(ad)	Assessable in full s.9(1)(ab)(i)	
Circumstances other than those listed above	Assessable in full s.9(1)(ad)	Assessable in full s.9(1)(ab)(i)	

^a An employer who is subject to profits tax in Hong Kong.

^b The accrued benefit received under the circumstance is not regarded as income in s.9(1)(ad).

► **EXHIBIT 4.7 Taxation of accrued benefits received from retirement schemes** (Source: Adapted from DIPN 23 (Revised).)

4.4.7.3 Employers Who Are Not Chargeable to Profits Tax

Under s.8(7), when an employee:

- withdraws on retirement, death, incapacity, terminal illness or termination of service, the accrued benefits attributable to the voluntary contributions made by his or her employer to a ROR scheme, and
- the employer is not chargeable to profits tax,

the amount exempted under s.8(2)(cc) subject to the proportionate benefit, shall not exceed the amount computed in accordance with s.8(8).

S.8(8) formula:

$$\text{Amount to be exempt} = \left[\left(\text{Annual income}^1 \times \frac{15}{100} \right) \times \text{Completed years of services}^2 \right] - \text{Accrued benefits attributable to mandatory contributions to a MPF scheme received}$$

¹ The employee's income for the period of 12 months preceding the date on which the relevant benefit is received or taken to have been received.

² The employee's completed years of service with the employer.

This applies to employees of charitable organisations or non-profit organisations, e.g. a university, as most other businesses in Hong Kong would be chargeable to profits tax.

Key Learning Point

S.9 of the IRO brings into the salaries tax net the following income and benefits, whether they are derived from an employer or others:

- wages, salary, leave pay, fee, commission, bonus, gratuity, perquisite or allowance;
- accommodation provided or subsidised;
- gains from stock option or share award;
- child's education benefit;
- holiday journey benefit;
- an amount paid by an employer to discharge the employee's liability;
- any benefit which is convertible into money by sale or other means; and
- certain retirement benefits.

► Knowledge Check Questions

Question 6

Identify which of the following is not a taxable benefit.

- A** Gabriel lives in Kowloon Tong with his wife and two young children. He is the head chef at one of the leading hotels in Hong Kong and he is provided a hotel room for his exclusive use at work.
- B** Alice Chan was assigned to work at her employer's office in Shenzhen, and she has to drive during weekdays to work. Her employer reimbursed part of the travelling expenses; i.e. the petrol cost she incurred due to the additional distance from her home to the new office location.
- C** Jack was provided a fully maintained company car. Employees who opt not to receive the car benefit are paid a monthly transport allowance.
- D** Reimbursement to a managing director of his monthly subscription fees to a private health club.
- E** Hotel porter's laundry allowance.

Question 7

Identify which of the following statements is correct.

- A** Tim exercised his employee stock option (ESO) to acquire 100 shares at a strike price of US\$20 per share on 31 August 2019. The closing price of the share on Nasdaq was US\$32. Under the ESO plan, Tim could also do a cashless exercise; i.e. exercise to buy and sell immediately. Tim was advised that 100 shares were registered in his name on 3 September 2019 and the closing share price on Nasdaq was US\$33. Tim will be assessed on the notional gain of US\$1,300.

► Knowledge Check Questions (*continued*)

- B** Mr. Park works for a Korean company in Hong Kong. His employer paid for his two-room service apartment. The housing benefit is assessed at 8% of Mr. Park's total net assessable income from the company.
- C** Stanley was provided with a weekend stay for free at the company's Repulse Bay bungalow when he won the 'Employee of the Month' award. The award is non-transferrable but Stanley can exchange it for a HK\$4,000 Starbucks card. The award is not chargeable to salary tax.
- D** Mr. Cheong should not be taxed on the accrued benefits relating to his employer's mandatory contributions to an MPF scheme when he resigned from his job after five years.

4.5 BENEFITS SPECIFICALLY EXCLUDED FROM SALARIES TAX

Under s.9(1)(a)(iv), income from an employment is defined to specifically exclude any payment made by the employer to the benefit of the employee and where it is paid in discharge of the employer's sole and primary liabilities, not being a liability for which any person was surety. Such excluded payment does not include the following taxable fringe benefits provided to the employee:

- holiday journey benefits;
- child education benefits; and
- any benefits which are capable of being converted into money by the recipient.

Besides the above general exclusion, the following are items which are specifically excluded from the definition of income from any office or employment.

4.5.1 Payment or Refund of Rent

We have learned that employer provided housing is chargeable to salaries tax based on the rental value of the accommodation (ss.9(1)(b) and 9(1)(c)). The rental value is deemed to be 10% (8% or 4% if the accommodation provided were a hotel or hostel of a certain size as the case may be) of the total emolument of the employee from the said employer less any outgoings or expenses wholly, exclusively and necessarily incurred in the production of the income (s.9(2)). In view of this, rent paid, in part or in full, by an employer or an associated company for an employee, or any rent refunded by an employer to an employee, is deemed not to be income under s.9(1A) to ensure that the same perquisite is not taxed twice in the hands of the employee.

However, if the amount paid or refunded by an employer or an associated company to an employee was not a housing fringe benefit in nature, the exclusion from income under s.9(1A)

would not apply. In such case, the employee would be taxed on the amount paid or refunded by the employer instead of the rental value of the accommodation.

4.5.2 Lump Sum Receipts from Retirement Scheme

We have learned that lump sum receipts being commutation of pension under ROR schemes are tax exempt under s.8(2)(c)(i). All lump sum or instalment payments from MPF schemes on retirement, death, incapacity, and terminal illness are also tax exempt under ss.8(2)(cb) and 8(2)(cc)(ii).

A lump sum receipt from a ROR scheme on termination of employment is tax exempt if the employee's period of service with the employer making the voluntary contributions is at least ten years. Similarly, accrued benefits from an MPF scheme received or deemed received by an employee on termination of service after a minimum service period of ten years are tax exempt. If the employee's period of service was less than 10 years, the tax exemption is capped at an amount computed based on the proportionate benefit formula provided in s.8(5).

A further limitation is imposed on the amount exempted from salaries tax if the employer is not subject to profits tax. Exhibit 4.7 at the end of Section 4.4.7.2 provides a summary of the tax implications on payments from the different retirement schemes.

Key Learning Point

Two items are specifically excluded from salaries tax, namely:

- Rent paid or refunded by an employer if the employee is provided with accommodation or subsidised accommodation, and assessed on the rental value of the accommodation; and
- Lump sum receipts from ROR schemes or MPF schemes, on retirement, death, incapacity, terminal illness or termination of service where the service period is at least ten years.

► Knowledge Check Questions

Question 8

Identify which of the following is not exempt from tax.

- (I) Pete was paid a lump sum amount from an occupational retirement scheme when he retired at the age of 43.
- (II) Pensions from a ROR scheme.
- (III) A lump sum receipt from the employer's mandatory contribution to an MPF scheme on permanent departure from Hong Kong.
- (IV) Various payouts from an MPF scheme to Jane who was diagnosed with terminal stage cancer.
- (V) Mrs. Li resigned from her employer of 12 years and the accrued benefits were kept in her MPF scheme account.

- A** I, II and III
- B** I, III and IV
- C** II, IV and V
- D** III, IV and V

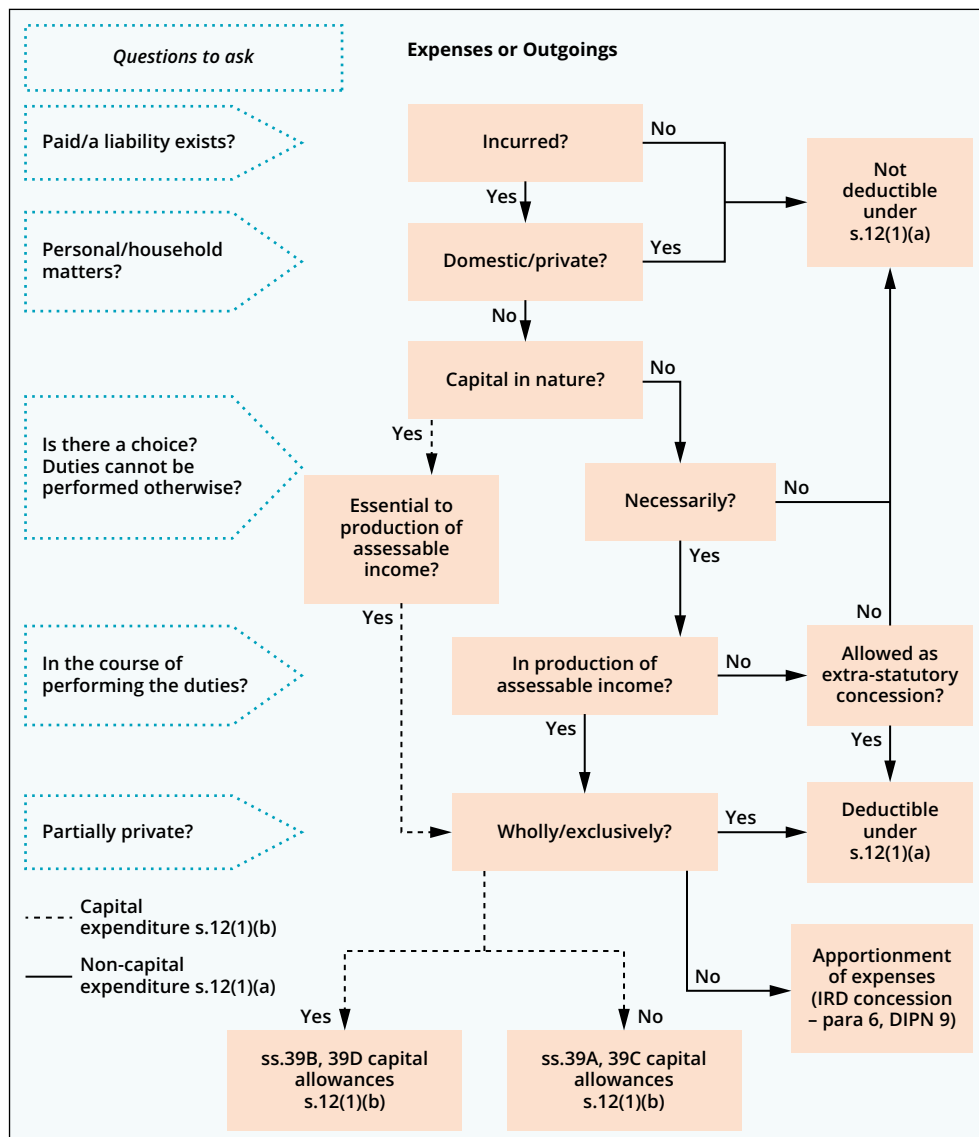
4.6 ALLOWABLE DEDUCTIONS

There are two main categories of deductions available under salaries tax assessment, i.e.

- deductions under s.12 for outgoings or expenses incurred in the production of income, where there exists a nexus between the deductions and the assessable income; and
- **concessionary deductions** under Part 4A of the IRO. These are specific items comprising approved charitable donations, elderly residential care expenses, home loan interest and contributions made to recognised retirement schemes.

S.12(1) of the IRO provides a limited list of items which may be deductible against the income of an individual to arrive at the net assessable income for any year of assessment. Net assessable income is defined in s.2 to mean assessable income as adjusted in accordance with s.12. S.11B provides guidance on the ascertainment of assessable income.

Exhibit 4.8 below is a decision flowchart on the deductibility of expenses or outgoings under ss.12(1)(a) and 12(1)(b).



► EXHIBIT 4.8 Ss.12(1)(a) and 12(1)(b) deductions

4.6.1 Outgoings and Expenses

Under s.12(1)(a), all outgoings and expenses, other than expenses of a domestic or private nature and capital expenditure, wholly, exclusively and necessarily incurred in the production of the assessable income are deductible expenses. Broadly, an expense is deductible if, and only if, it satisfies all the requirements of s.12(1)(a):

- not domestic or private expenses;
- not capital in nature;
- wholly, exclusively;
- necessarily;
- incurred; and
- in the production of an assessable income.

4.6.1.1 Domestic and Private Expenses or Outgoings

A deduction will be denied if the expense or outgoing is a domestic or private expenditure. Domestic expenditure is expenditure relating to the taxpayer's household or domestic affairs while private expenditure relates to the taxpayer's personal matters. Typical domestic or private expenses are:

- personal living and family expenses, e.g. food, household and entertainment expenses for the taxpayer and the taxpayer's family members and friends;
- costs of travelling to and from home and office; and
- medical insurance costs.

In IRBRD D54/94, the taxpayer was an ordinary resident in the UK and worked in Hong Kong for over six months. He stayed in a hotel and was provided living expenses. The BOR held that the expenses which the taxpayer claimed, i.e. his hotel accommodation and living expenses in Hong Kong were not expenses deductible for the purposes of salaries tax. Such expenses were expenses of a domestic or private nature and were also not wholly, exclusively and necessarily incurred in the production of the assessable income.

4.6.1.2 Capital Expenditure

The IRO does not provide guidance on what constitutes capital or revenue expenditure. However, case law has developed a number of indicia which help in distinguishing between capital and revenue expenditure. Examples of capital expenditure are assets acquired (e.g. computers) and entrance fees for club memberships. Capital expenditure when its use is essential to the production of assessable income is deductible under depreciation allowances. For further details on what constitutes capital and revenue expenditure, please refer to the relevant sections in Chapters 1 and 3.

4.6.1.3 Wholly, Exclusively and Necessarily Incurred

Wholly and Exclusively

Expenses or outgoings must be wholly, exclusively and necessarily incurred in generating the assessable income in order to qualify for a deduction. Though the term 'wholly and exclusively' in its strict sense means no deduction will be given where an expense is incurred

partly for business and partly for non-business purposes, the IRD has stated in paragraph 6 of DIPN 9 (Revised) that if an expenditure is incurred for more than one purpose, such expenditure should be apportioned, and the part attributable to the employment would be allowed, provided the other tests under s.12(1)(a) are satisfied. The IRD made reference to a car used for business and private purposes whereby the expenses can be apportioned based on mileage. However, based on precedence, the words 'wholly', 'exclusively' and 'necessarily' were given very precise interpretations when a deduction under s.12(1)(a) was claimed.

Necessarily

The test to 'necessarily incurred' is not whether the employer imposes the expense but whether the duties do, i.e. the duties cannot be performed without incurring the expenditure. In *Brown v Bullock* 40 TC 1, a bank manager who was expected as part of his job to join and entertain clients in a club was disallowed a deduction for the expenditure.

Paragraph 7 of DIPN 9 (Revised) commented that if the employer required the employee to incur an expense or outgoing in performing his or her duties, the employer would generally reimburse for these expenses. Thus, it would be difficult for an employee to claim that the job required him or her to incur the expense, unless the contract of employment provided for it.

Incurred

The deduction under s.12(1)(a) requires an expense or outgoing to be incurred by the taxpayer in the year of assessment in order for the expense or outgoing to be deductible in that year. The term 'incurred' is not defined in the IRO, thus, it is necessary to look to common law principles. Generally, an expense or outgoing that is not paid is incurred if the taxpayer is definitively committed to it or there is a presently existing liability of a known amount (see *Ogilvy and Mather Pty Ltd v FCT* (1990) 90 ATC 4836). That is, there exists a liability, as opposed to just a pending, contingent or anticipated obligation, no matter how certain the obligation may appear. An amount that has been paid would have been incurred.

4.6.1.4 Production of the Assessable Income

A deduction is only allowed if there exists the requisite link between the expenditure and the production of assessable income. However, an expense or outgoing, necessarily incurred to enable the taxpayer to earn the income does not automatically mean that it is necessarily incurred in the production of the income.

The term incurred in the production of assessable income was considered by the court in Hong Kong in *CIR v Humphrey* (1970) HKTC 451 where the court held that the expression 'in the production of assessable income' bore the same meaning as 'in the performance of the duties of the office or employment...'. Thus, the travelling expenses between home and office claimed by the taxpayer were held not to be incurred in the performance of duties but to enable the duties to be performed. Whilst expenses might be incurred in order to place the taxpayer in a position in which he or she was able to earn part of the assessable income, they might not be incurred in the production of the income – see *CIR v Robert P. Burns* 1 HKTC 1181 and *CIR v SIN Chun-wah* (1988) 2 HKLR 496 at 498 and *CIR v Franco Tong Sui Lun* (2006) HCIA 2/2006.

Paragraph 9 of DIPN 9 (Revised) provides examples of expenses which are not incurred in the performance of the duties, but to enable the duties to be done. These include expenditure to acquire an employment or appointment and the costs of memberships to social or sports clubs whether or not required by the employer.

Illustrative Example 15 – Domestic/Private and Necessarily Incurred in the Production of Assessable Income

Marcus works as a graphic designer in a Hong Kong company. He met Kong, the creative director of a reputable company and invited Kong for a drink at a pub nearby. Marcus's main purpose of inviting Kong for a drink was to get Kong's insight into the current graphic design trend. The information would be useful to Marcus's work. On his way home, Marcus walked past a stationery shop. He likes to write with the Mitsubishi Uni Jetstream pen as the ink is very smooth. His employer only provides simple pens at work. Marcus picked up a dozen of the Mitsubishi pens for his office use. Can Marcus claim a deduction for the drinks at the pub and the dozen Mitsubishi pens he bought?

To satisfy the provisions of s.12(1)(a), the expenses must not be domestic or private in nature. Marcus is not required to invite and pay for the drinks to do his work. The pens are his personal choice and not required for his work as well. He can do his work using the simple pens provided by his employer. Both expenses are private and domestic in nature. Further, both are not necessarily incurred in the production of assessable income.

In IRBRD D76/90, the BOR summarised the meaning of wholly, exclusively and necessarily incurred in the production of income: '... wholly means that if an expense is incurred partly for the production of the assessable income but partly for the benefit of the taxpayer or any other person, the expense is not deductible. It does not matter if the principle object of the expense or the majority of the expense is attributable to the employment. ... necessarily. ... this test has two limbs. The expense must be something which the employee must incur and has no choice. If there is any choice, then it is not necessarily incurred. Secondly, it must be necessarily incurred in the production of the assessable income. This means that it is not sufficient for the employment contract or employer to impose a condition upon the employee if the expense is not incurred in the production of the assessable income'. Thus, this test requires a connection between the expenses or outgoings and the performance of the duties. A mere connection to the employment is not sufficient.

4.6.1.5 Other Specific Expenditures

DIPN 9 (Revised) addressed the following specific expenditures which may be deductible under s.12(1)(a) as being work related expenses wholly, exclusively and necessarily incurred in the production of income – see paragraphs 13 to 19.

Clothing

Replacement costs of specific clothing required in the performance of the taxpayer's job, e.g. uniform or overall etc. may be deductible. Otherwise, the IRD has indicated that the prerequisite 'wholly and exclusively' incurred would not be satisfied. In IRBRD D41/92, the BOR upheld the CIR disallowance of 50% of the clothing expenses claimed by the taxpayer, who is a solicitor. The BOR referred to the UK case *Mallalieu v Drummond* (1983) 2 AC 861 where the House of Lords held that 'The effect of the word exclusively is to preclude a deduction if it appears that the expenditure was not only to serve the purposes. . .but to serve some other purposes. . .the private purposes of the taxpayer'. Further, the expenses did not meet the 'necessarily' prerequisite given they were incurred in relation to her office and are personal to herself (*Ricketts v Colquhoun* (1926) AC 1).

On the apportionment of the expenses, the BOR held that s.16 of the IRO tacitly recognises that apportionment is permissible with the wording used 'to the extent to which it was incurred'. However, s.12(1)(a) contains no similar wordings. Thus, the 50% cost was not wholly, exclusively and necessarily incurred and the apportionment was not permissible.

Commission Payment for Services

The IRD has indicated that in a situation where a commission earner taxpayer paid commissions to others in order to earn the income, deduction is available if the conditions under s.12(1)(a) are met.

Entertainment Expenses

A deduction is permissible if the taxpayer can prove that the entertainment expenses were necessarily incurred and that it would not have been possible to produce the income from the employment without incurring the expenditure. For example, the entertainment would need to have a direct correlation with a business negotiation and the taxpayer would need to have kept records of the names of the people entertained and the nature of the business in question besides costs (paragraph 15 of DIPN 9 (Revised)). The IRD has clearly indicated that mere social entertaining would not meet the wholly and exclusively requirement. Further, the IRD has made it clear that any round sum entertainment allowances in excess of admissible entertainment expense deductions would be assessable to salaries tax.

In IRBRD D5/93, the taxpayer claimed as a deduction certain expenses being entertainment and travelling. The taxpayer was entitled to claim reimbursement from his employer of all entertainment expenses which were legitimately incurred in the performance of his duties which are supported by valid bills. He claimed some of them which were duly reimbursed to him and sought to claim other entertainment expenses which he did not recover from his employer. The BOR was not convinced that the entertainment expenses were incurred in the performance of the taxpayer's duties. The view taken is that no one is better qualified to adjudicate on the validity of business expenses than the employer.

Payments to Assistant

Such expenses are generally not necessarily incurred unless it can be clearly established that assistance is justifiable based on the volume of work or business transacted and the expenses incurred are reasonable relative to it.

Subscription to Professional Institution

Subscriptions paid to professional institutions are generally not deductible under the strict interpretation of the provision (see IRBRD D11/01). However, as an extra-statutory concession, it is the IRD's policy to allow a deduction for the subscription fee paid to one professional association if the holding of a full professional qualification is a prerequisite of employment and the membership retention and keeping abreast of current developments in the profession are of regular use and benefit in the performance of the taxpayer's duties, e.g. accountants subscriptions to the HKICPA. Only full membership qualifies. Student membership is not eligible.

Further, the IRD has stated that trade union subscriptions would not qualify for such extra-statutory concession.

Travelling Expenses

While travelling expenses between home and office are not deductible under s.12(1)(a), reasonable travel expenses from a place of employment to another are deductible, although often, the employer would reimburse such expenses. Note that admissible expenses must be necessarily incurred in the performance of the taxpayer's duties. The IRD has stressed that for a taxpayer who claimed motor vehicle expenses would be regarded as to whether the amount claimed is reasonable given the availability of public transport. In IRBRD [D25/87](#), it was held that the taxpayer's car expenses did not meet the requirements of s.12(1)(a) as it was a matter of convenience and not practical necessity.

If the employment required the use of a car in order for the taxpayer to carry out his duties, the claim should specify the basis on which the employer reimbursed the expenditure incurred, and the extent to which the car was used for non-work purposes. The cost of repairs and running expenses would be apportioned between the use for the employment and other (private) purposes. The latter is not deductible.

Flat Rate Deductions for Certain Employment

In page 5 of the IRD Pamphlet *A Guide to Salaries Tax 2*, the IRD has indicated that, as an extra-statutory concession, a taxpayer who must work in uniform may claim deduction for laundry expenses. To minimise the need for the IRD to review numerous small claims, the IRD applied as a matter of discretion a flat standard deduction of HK\$2,400 given to certain categories of employment. These are employees in disciplined services who must work in uniforms. Examples are the Hong Kong Regiment, Police Force, Fire Services, Auxiliary Air Force and airline pilots, etc.

Similarly, it is the practice of the IRD to allow as a concession, a deduction at a flat 10% of the commission income to cover allowable outgoings and expenses incurred in earning the commission income of certain employment which is commission based, e.g. insurance agent employee, sales representatives, club hostesses, etc. Reference can be made to various BOR decisions, such as IRBRD [D76/90](#) and IRBRD [D25/87](#).

An employee who incurred a higher amount of deduction may claim the actual amount of expenses incurred if the expenses satisfied all the requirements of s.12(1)(a). The onus of proof, as we have learned, is on the taxpayer, and given the stringent provision of s.12(1)(a) and the flat 10% of commission being an administrative practice of the IRD, it would be difficult for the taxpayer to meet the 'wholly, exclusively and necessarily incurred' tests.

4.6.1.6 Expense Allowances from Employer

The IRD has indicated in paragraph 12 of DIPN 9 (Revised) that reasonable allowances from an employer, which are intended to cover the work-related travel expenses, e.g. hotel accommodation, and other related expenses when the employee is required to travel for work away from his usual base, would not be assessed. However, any claim for expenses in excess of the employer's reimbursements would fail the 'necessarily' incurred prerequisite. Further, a reimbursement by the employer for disallowable expenses, e.g. private or personal expenses, would be chargeable to salaries tax.

4.6.1.7 Summary

As we can see from the above, the requirements of s.12(1)(a) are so stringent that other than the items specifically permitted under extra-statutory concessions, there are limited deductions

under the salaries tax assessment. Note that there is no merit in appealing when it concerns extra-statutory concession. In IRBRD [D24/87](#) and [D23/14](#), the BOR held that it had no power to extend the scope of an extra-statutory concession since it was an administrative measure devised by the CIR.

4.6.1.8 Record Keeping and Substantiation

A taxpayer may claim various deductions to the extent that the expenses incurred meet the requirements of s.12(1)(a). Receipts and other supporting documentation need not be submitted but must be kept for verification when requested. Given that s.64(2) places the onus of proof on the taxpayer, it is in the interest of the taxpayer to keep all receipts, car logbook and other relevant supporting documents in respect of the expenses claimed (see paragraph 2, DIPN 9 (Revised)). It is therefore crucial for the taxpayer to prove the quantum of the expenses claimed for deductions. S.68(4) of the IRO places the onus on a taxpayer that the assessment is excessive or incorrect. The BOR held in IRBRD [D25/87](#) in relation to the claim for transportation expenses, that the taxpayer had to first prove that the transportation expenses satisfied the prerequisites of s.12(1)(a). In addition, the taxpayer had to prove the quantum of the expenses so incurred with reference to IRBRD [D37/92](#).

Receipts or documentation must be kept for six years after the expiration of the YA. We have learned that the statute of limitation is six years after the YA (s.60(1)). Thus, record must be kept for the same time period for substantiation.

Discharging the Onus of Proof

The IRD and the BOR adopt the approach of the Australian Board of Review (10 CTBR [Case 47](#)) in determining if the taxpayer has discharged the onus of proof – see IRBRD [D25/87](#) and [D37/92](#). The BOR has in various cases stated, in connection with entertainment expenses claimed: ‘In our opinion, it is necessary in order to establish an outgoing or outgoings in a case of this kind, for the taxpayer to provide details of the expenditure incurred, showing with reasonable precision when, where, and upon whom the sum or each of the sums concerned was spent, and the person or persons entertained in the process’.

The BOR went further and commented: ‘Having in mind the nature of the outlays we can appreciate the difficulty of procuring vouchers, but we consider it incumbent on the taxpayer to maintain a contemporaneous written record in a notebook (or similar book possessing a measure of permanence) of the expenditures outlaid by him’. If the taxpayer had no records to substantiate his claim, not even a diary record, he or she was not therefore in a position to discharge the statutory onus placed on him or her.

In IRBRD [D43/00](#), the taxpayer was denied a deduction for payments he allegedly paid to his sub-agents as he failed to discharge the onus of proof that he indeed incurred the payments and the payments were made wholly, exclusively and necessarily in the production of the commissions he earned.

It is therefore crucial for taxpayers to keep all records relevant to substantiate the expenses claimed. Lack of evidence will result in the deductions being denied. For further cases relating to expense rejections of deductions due to the taxpayer’s inability to prove the requirements of s12(1)(a), see IRBRD [D6/17](#), [D98/00](#), [D121/97](#), [D37/92](#), [D76/90](#), [D36/90](#) or [D25/87](#).

4.6.2 Depreciation Allowances – s.12(1)(b)

In arriving at the net assessable income of a taxpayer, depreciation allowances are granted in respect of capital expenditure on machinery or plant the use of which is essential to the production of the assessable income (s.12(1)(b)). The capital allowances are calculated in accordance with Part 6 of the IRO (see Chapter 3 on depreciation allowances for machinery or plant and DIPN 7 (Revised)). The deduction under s.12(1)(b) is a lot less stringent compared to s.12(1)(a). As long as the plant or machinery is essential to the production of assessable income, deductions by way of capital allowances are granted.

In claiming a depreciation allowances under s.12(1)(b) the provisions of s.39A, s.39B, s.39C and s.39D are relevant. If the machinery or plant is used wholly and exclusively in the production of a taxpayer's assessable income, depreciation allowances are claimable under s.39B and s.39D. Where any machinery or plant is not used wholly and exclusively in the production of assessable income, the amount of the allowances provided for in s.12(1)(b) shall be reduced in the proportion considered by the assessor to be fair and reasonable (s.12(2)). The applicable depreciation allowance provisions are s.39A and s.39C.

In IRBRD D7/04, the taxpayer, a first associate concertmaster whose main duty was to play violin in concert performances, bought the violin of his choice after he had accumulated enough funds. He claimed depreciation allowances in respect of the violin. The CIR disallowed his claim on the basis that the particular violin purchased was not 'essential' given the alternatives available to the taxpayer to buy, hire or borrow a good fine violin. The CIR is of the view that the purchase was the taxpayer's own volition as there was nothing inherent in his duties that required him to use a violin of such quality. However, the BOR concluded in favour of the taxpayer.

Let us have a look at the applicability of s.12(1)(b) in the illustrative example below.

Illustrative Example 16 – Depreciation Allowance (s.12(1)(b))

Lisa is a full-time teacher. Her school provided the permanent teaching staff with desktop computers for general usage. Lisa found it hard to do all her teaching preparation at school and bought a laptop so that she could do her class preparation work at home after school hours. She uses the laptop to video chat with her family in the U.K. once a week. Can Lisa claim depreciation allowances on her laptop?

S.12(1)(b) provides that depreciation allowances shall be granted to a person on capital expenditure (in this instance the expenditure on the laptop) incurred, if the use of the laptop is essential to the production of her assessable income from teaching.

In IRBRD D11/08, a teacher was denied the capital allowances on the computer she used to prepare for school work after school hours. Similar to Lisa, the taxpayer's employer provided desktop computers at school for general usage of all teaching staff. In this case, the BOR concluded that the 'essential' criteria for a deduction under s.12(1)(b) is the same as 'necessarily' under s.12(1)(a) except that s.12(1)(a) deals with revenue expenditure and s.12(1)(b) deals with capital expenditure. For a deduction under s.12(1)(a), the taxpayer must show that she had no choice, i.e. without the laptop computer, she could not perform her teaching duties. The test in allowing a capital deduction should not be different. Thus, if there were a choice the expenditure would not be 'essential' to the production of the assessable income.

In view of the above, Lisa would not be able to claim capital allowances on the laptop.

4.6.2.1 Computation of Depreciation Allowances

Generally, for a salaries taxpayer where single capital expenditure is involved, the reducing value of the asset is the capital expenditure incurred less the initial allowance and any annual allowances claimed in respect of the asset (s.39B(4)). (For a full discussion of calculation of depreciation allowances, see Chapter 3.)

If the taxpayer ceased to use or disposed of an asset on which a deduction was claimed under s.12(1)(b), a balancing charge, calculated by the open market value or sale proceeds less the reducing value of the asset, would accordingly be added to the assessable income of the taxpayer (s.12(5)).

Illustrative Example 17 – Computation of Initial and Annual Allowances

Danny Yue works in the same school as Lisa on a casual basis. For security reasons, casual staff do not have access to the desktop computers provided to permanent staff. Instead, they are expected to prepare their work using their own computers. When Danny started with the school in January 2019, he borrowed a laptop from his brother occasionally to prepare the schoolwork. After teaching for three months, he realised he needed a laptop if he planned to continue teaching at the school. He eventually bought the cheapest laptop available which suited his school needs for HK\$5,000 on 2 April 2019. Danny started using the laptop the following day at school. Can Danny claim depreciation allowances in respect of the laptop? What allowances are available to him for the YA 2019/20?

Unlike Lisa, where the school provides desktop computers for the teaching staff, Danny has no choice but to get a laptop which is essential for his teaching use. It would not be realistic for him to use his brother's laptop on an on-going basis. Thus, he can claim depreciation allowances under s.12(1)(b) as the laptop is essential in the performance of his duties. Given that Danny bought and used the laptop in the YA 2019/20, he can claim the following allowances in the same year:

	% A	HK\$ B	Allowances HK\$ (A × B)
Cost: laptop		5,000	
Less: Initial allowance (s.39B(1A)(c))	60	(3,000)	3,000
Reducing value		2,000	
Less: Annual allowance (s.39B(2), IRR Rule 2)	30	(600)	600
Reducing value carried forward to YA 2020/21		1,400	
Depreciation allowances (s.12(1)(b))			3,600

Danny can claim HK\$3,600 being the depreciation allowances under s.12(1)(b) for the YA 2019/20. The balance of HK\$1,400 will be carried forward to the YA 2020/21. If Danny continues to use the laptop for his casual teaching employment, an annual allowance of HK\$420 (30% × HK\$1,400) will be claimable as a deduction, being the annual allowance, in the YA 2020/21.

Illustrative Example 18 – Computing the Balancing Charge (s.12(5))

After a year as a casual teacher at the school, Danny Yue left his casual employment for a permanent position at another school. His new employer provides him with a laptop solely for school use. Danny sold his laptop to his successor at the last school at HK\$2,200. Will Danny be taxed on the sale proceeds?

Under s.12(5), the balancing charge in respect of the laptop will be included as Danny's assessable income for the YA 2020/21. The balancing charge is computed as follows:

	HK\$
Reducing value brought forward from YA 2019/20	1,400
Less: Disposal value	(2,200)
Balancing charge (s.39D(1)(a))	800

Please refer to Section 3.7 for further information of depreciation allowances on plant and machinery.

4.6.3 Loss Brought Forward – s.12(1)(c)

The excess of outgoings, expenses and allowances deductible under ss.12(1)(a) and 12(1)(b) over the amount of a person's assessable income is to be carried forward and set off against his or her assessable income in subsequent YA (s.12A(1)). It is unlikely that a salaries taxpayer will generate any loss, given the limited deductions available under s.12. In the event a loss was generated, the loss brought forward would be set off first against the taxpayer's assessable income in the year immediately following the year the loss occurred (s.12A(3)). Any remaining excess shall be set off against his or her assessable income for the next YA until the excess has been completely utilised.

Where a married taxpayer had elected for a joint assessment with his or her spouse, the loss brought forward shall first be set off against the assessable income of the person who incurred the loss. Any excess thereof shall be set off against the assessable income of the spouse under s.12A(4). Should there still be any unutilised loss remaining, the loss shall be carried forward to the following YA for set-off against the assessable income of the taxpayers in the same manner as aforesaid if a joint assessment is elected. If no joint assessment was elected, the remaining loss shall be set off against the assessable income of the person who incurred the loss under s.12A(3) as described in the earlier paragraph.

4.6.4 Excess of Allowable Deductions of a Spouse under Joint Assessment – s.12(1)(d)

Where an election is made for a joint assessment, the excess of allowable deductions of a spouse for the YA is deducted from the assessable income of the other spouse to arrive at the net assessable income of that other spouse for that year (ss.12(1)(d) and 12(3)).

4.6.5 Self-Education Expenses – s.12(1)(e)

Under s.12(1)(e), a taxpayer may claim a deduction for self-education expenses paid in the YA up to the capped amount prescribed in Schedule 3A if the requirements under s.12(6) below are met.

- The expenses are of a category defined in s.12(6)(b);
- The course is a prescribed course of education under s.12(6)(c); and
- The education provider is an institution listed in s.12(6)(d) or an institution approved by the CIR (s.12(6)(e)).

It is important to remember that self-education expenses are strictly for deduction under salaries tax and may not be otherwise deducted through the election of the personal assessment. The course of education or examination taken must be to gain or maintain qualifications for use in any employment. General interest classes or courses will not be deductible (see IRBRD [D82/06](#) where the BOR and the IRD disallowed a self-education expense deduction claimed by a qualified solicitor taxpayer in respect of a course on acupuncture). The BOR held that to meet the s.12(1)(e) deduction, the taxpayer must prove that:

- The taking of the course would enable him to gain or maintain some qualification or qualifications; and
- The qualification or qualifications gained or maintained by taking the course would be used by him for some prospective employment.

It is also important to note that self-education expenses are deductible only if the course has been undertaken. If a course has not been attended, no deduction will be allowed even if money has been paid.

4.6.5.1 Expenses Must be Paid in the YA

The wordings of s.12(1)(e) provide that the claim for a deduction must be made in the YA the self-education expenses are paid; i.e. if the taxpayer paid for the course fee in January 2020 and the course only commences in April 2020, the expenses must be claimed in the YA 2019/20 (see IRBRD [D88/99](#)).

Where the taxpayer's employer reimburses the taxpayer the self-education expenses, a deduction will not be allowed. If the employer reimburses the taxpayer part of the self-education expenses, the taxpayer may claim the balance of the expenses which is not reimbursed.

The maximum amount prescribed in Schedule 3A is HK\$100,000 for the YAs 2019/20 and 2020/21.

4.6.5.2 Expenses of Self-Education – s.12(6)(b)

Expenses of self-education are defined to include:

- Fees, including tuition and examination fees in relation to a prescribed course of education undertaken by the taxpayer.
- Fees in respect of an examination set by an education provider or a trade, professional or business association, and undertaken by the taxpayer to gain or maintain qualifications for use in any employment.

However, s.12(6)(b) specifically excludes the following from expenses of self-education:

- Expenses for which a deduction is allowable or has been allowed to the taxpayer in any YA under any other provision of IRO; or
- Expenses to the extent to which they have been reimbursed or are reimbursable to the taxpayer by his employer or any other person unless the reimbursement has been or will be included in the assessable income of the taxpayer.

4.6.5.3 Prescribed Course of Education – s.12(6)(c)

A prescribed course of education means a course undertaken to gain or maintain qualifications for use in any employment and being:

- a course of education provided by an education provider;
- a training or development course provided by a trade, professional or business association; or
- a training or development course accredited or recognised by an institution specified in Schedule 13 of IRO (which contains a list of trade or professional institutions, societies or associations).

4.6.5.4 Education Provider and Approved Institution – ss.12(6)(d) and 12(6)(e)

Generally, the term ‘education providers’ refers to universities, university colleges or technical colleges, schools registered under the Education Ordinance (Cap.279) or institutions approved by the CIR. A list of the education providers can be found at: <https://www.gov.hk/en/residents/taxes/salaries/allowances/deductions/selfeducation.htm>.

4.6.6 Concessionary Deductions

S.12B(1)(a) provides that in arriving at the net chargeable income of a taxpayer, concessionary deductions under Part 4A are allowed as deductions. Unlike personal allowances which are only allowed to taxpayers charged under the progressive tax rates, concessionary deductions are also available to taxpayers who are subject to tax under the standard rate. According to Part 4A concessionary deductions are:

- approved charitable donations (s.26C);
- elderly residential care expenses (s.26D and Schedule 3C);
- home loan interest (s.26E and Schedule 3D);
- contributions to recognised retirement schemes (s.26G and Schedule 3B);
- qualifying premiums paid under the Voluntary Health Insurance Scheme policy (s.26K and Schedule 3E); and
- qualifying annuity premiums paid and MPF voluntary contributions (s.26O, s.26S and Schedule 3F).

The following sections discuss the circumstances under which the concessionary deductions are allowed.

4.6.6.1 Approved Charitable Donations – s.26C

Under s.26C(1), a deduction is allowed, subject to a cap, in respect of the aggregate amount of donations made by a taxpayer or his or her spouse (not being a spouse living apart from the taxpayer) if the donations are made:

- in money;
- to charitable institutions or trusts of a public character which are exempt from tax under s.88 of the IRO or the government;
- for charitable purposes; and
- of HK\$100 and above in aggregate.

The amount of donations deductible is limited to 35% of:

- The assessable income of the taxpayer for the YA after deducting outgoings or expenses allowed under s.12(1)(a) and capital allowances under s.12(1)(b); or
- The aggregate assessable income of the taxpayer and his or her spouse heterosexual or same-sex (see Sub-section 4.1) where an election for joint assessment has been made, after deducting outgoings and expenses allowed under s.12(1)(a) and capital allowances under s.12(1)(b). (ss.26C(2)(a)(ii) and (2A)(c)).

Note that the capping is not on the net assessable income of the taxpayer but the assessable income after deducting outgoings or expenses permissible under s.12(1)(a) and capital allowances under s.12(1)(b). Carried forward losses and self-education expenses deductions are not taken into account.

Illustrative Example 19 – Approved Charitable Donations

Let's have a look at Danny Yue from Illustrative Example 17. In April 2019, he enrolled for a part-time study in a Bachelor of Education (Honours) in Early Childhood Education at The Education University of Hong Kong, an education provider under s.12(6)(d). He paid a tuition fee of HK\$42,500 for the first year. Danny's teaching salary for the YA 2019/20 was HK\$384,000. Besides the laptop he bought for his teaching use, Danny made a cash donation of HK\$50,000 to F.O.C.U.S. (Focus on Children's Understanding in School), a charitable institution which is exempt from tax under s.88. Can Danny claim a deduction for the donation of HK\$50,000?

Under s.26C, Danny can claim a deduction for the cash donation subject to a cap at 35% of his assessable income less expenses allowed under s.12(1)(a) and capital allowances allowed under s.12(1)(b). The cap amount in Danny's case is:

	HK\$	
Salary	384,000	
Less:		
Depreciation allowance (s.12(1)(b))	(3,600)	As per Illustrative Example 17
(A)	380,400	
s.26C(2A)(c) cap amount: 35% × A	133,140	

Danny can claim a deduction for the full amount of the donation made of HK\$50,000 since the amount is below the cap amount of HK\$133,140 for the YA 2019/20.

Under s.26C(3)(a), the same approved charitable donation will not be allowed as a deduction to more than one person. Thus, a married taxpayer who has not elected for a joint assessment must decide who will make the claim for an approved charitable donation.

What Constitutes an Approved Charitable Donation?

S.2(1) of the IRO defines ‘approved charitable donation’ to mean a donation of money to any charitable institution or trust of a public character which is exempt from tax under s.88 or to the government, for charitable purposes. The list of approved charities can be found at https://www.ird.gov.hk/eng/tax/ach_index.htm.

The IRO does not define the term ‘donation’. Paragraph 3 of DIPN 37 (Revised) describes what constitutes a donation. In brief, a donation is a gift or a voluntary transfer of property for no valuable consideration, i.e. no material benefit in return. The IRD has provided examples of items which would fall outside ‘donations’ including payments for grave spaces (see IRBRD D54/11), purchases of raffle tickets, admission fees to charity film shows (see *Sanford Yung-tao Yung v CIR* 1 HKTC 1081) and the cost of tickets for charity balls and concerts, etc. On the other hand, receipts by the donors of badges, flags and other similar token acknowledgements are minute and do not breach the materiality requirement to preclude the payments from being a donation.

In paragraph 8 of DIPN 37 (Revised), the IRD quoted the decision of Lord MacNaghten in *Income Tax Special Commissioners v Pemsel* 3 TC 95 on objectives which are charitable as:

- the relief of poverty;
- the advancement of education;
- the advancement of religion; and
- any other purposes of a charitable nature beneficial to the community and not coming within the scope of the preceding three categories.

For the purposes of the IRO, the approved charitable donation must be a donation of money. Donations made in any other form, other than money would not be deductible for tax purposes. Further, the total amount of all approved charitable donations made in a YA must be at least HK\$100 when added together.

4.6.6.2 Elderly Residential Care Expenses – s.26D

If a taxpayer or his or her spouse paid for the residential care expenses of the taxpayer’s or his or her spouse’s parent or grandparent, the taxpayer would be entitled to claim a deduction up to the prescribed maximum amount, in respect of the residential care expenses paid in the YA (s.26D(1)).

Eligibility

The elderly residential care expenses are deductible if the following conditions are met:

- The parent or grandparent is the parent or grandparent of the taxpayer or his or her spouse;
- The parent or grandparent was aged 60 or over at any time during the YA in question or if under 60, was eligible to claim an allowance under the Government’s Disability Allowance Scheme;
- The parent or grandparent lived in a residential care home; and

- The residential care home is situated in Hong Kong and licensed or exempted from licensing under the Residential Care Homes (Elderly Persons) Ordinance (Cap.459) or is a nursing home registered under the Hospitals, Nursing Homes and Maternity Homes Registration Ordinance (Cap.165) or the Private Healthcare Facilities Ordinance (Cap.633) from 1 January 2021.

'Parent' and 'grandparent' are defined in s.26D(5) and s.2(1) to include the taxpayer's or his or her spouse's or deceased spouse's natural, legally adopted or step-parents/grandparents.

The maximum deduction available is prescribed in Schedule 3C (s.26D(3)). This amount is set at HK\$92,000 for the YA 2017/18 and HK\$100,000 for the YA 2018/19 onwards.

Expenses Allowable

The residential care expenses must have been paid in the YA in order to qualify for a deduction in that YA. The deduction is allowed for the cost of residential care expenses e.g. accommodation, food, nursing care and other sundry expenses, actually paid to the residential care home, subject to the capped amount, for each parent or grandparent (s.26D(2)). In paragraph 4 of DIPN 36, the IRD has stressed that this concessionary deduction is only available for the cost of care provided to a parent or grandparent who is a resident in a residential care home to satisfy the 'residential' requirement. Further, private or personal expenses paid by the residential care home on the resident's behalf and subsequently recovered from the taxpayer or his or her spouse is not deductible residential care home expenses (paragraph 4, DIPN 36).

How the Deduction Operates

The deduction for the same parent or grandparent can only be granted to one taxpayer (s.26D(4)(a)). Thus, the taxpayer must decide together with family members who may also have contributed to the residential care expenses, on who will claim for the deduction. The taxpayer who will be claiming the deduction can only claim the residential care expenses he or she (and his or her spouse if not living apart) has actually paid up to the capped amount. The person named in the invoice or account will be deemed to be the person who has made the payment even though different family members may have contributed for the residential care expenses.

If a married couple, both with income, has more than one parent or grandparent living in a residential care home, the married taxpayer may claim a deduction for the residential care home expenses paid for one of the parents or grandparents and his spouse may also claim a deduction for the expenses paid for the other parent or grandparent. The deductions are permissible whether the married couple is assessed separately or elected for a joint assessment.

Once a taxpayer claimed the deduction for residential care home in respect of a parent or grandparent, no one would be entitled to claim dependent parent/grandparent or additional dependent parent/grandparent allowances in respect of the same parent or grandparent (ss.30(5) and 30A(5)). Paragraph 24 of DIPN 36 explained how the CIR would resolve a situation where two or more taxpayers (other than a married couple not living apart from each other) had claimed and were allowed the deduction. The CIR can withdraw the deduction previously granted as in the case of personal allowances (s.26D(4)(b)) when such scenario occurred (see IRBRD [D31/05](#)).

Illustrative Example 20 – Elderly Residential Care Expenses

Ah-seng Tan, Mei-ling's 88-year old grandfather, has decided to move in to a residential care home in Singapore after the Chinese New Year holiday season in 2020. This is mainly because Ah-seng happened to note that quite a number of primary schoolmates had also moved in to this residential care home over the past few months. These life-long buddies are very much treasuring the opportunity of reunion in such a senior age in their life. Being the eldest grandchild to Ah-seng, Mei-ling is more than happy to pay the monthly charge of this residential care home, which equates to HK\$8,000 after converting from Singapore Dollar, for her grandfather. Is Mei-ling eligible to claim elderly residential care expenses in this regard?

One of the conditions for the eligibility of claiming elderly residential care expenses as stipulated in s.26D(1) is that the elderly residential care home is situated in Hong Kong and licensed or exempted from licensing under the Residential Care Homes (Elderly Persons) Ordinance (Cap.459) or is a nursing home registered under the Hospitals, Nursing Homes and Maternity Homes Registration Ordinance (Cap.165). Thus, Mei-ling is unable to claim the elderly residential care home expenses that she paid for Ah-seng in Singapore for salaries tax purposes.

4.6.6.3 Home Loan Interest (HLI) – s.26E

Under s.26E(1), a taxpayer who paid interest on a mortgage obtained to acquire a dwelling which is used exclusively or partly as his place of residence can claim a deduction for the loan interest paid during the YA up to the capped amount prescribed in Schedule 3D (s.26E(2)(a)(ii)). DIPN 35 (Revised) provides the details of the deduction and the following summarise the key elements of s.26E. The maximum HLI deduction prescribed in Schedule 3D is HK\$100,000. This capped amount has not changed since YA 2003/04.

Eligibility

To be eligible for HLI deduction, the taxpayer must satisfy the following conditions:

- The taxpayer must be the sole or part owner of the dwelling;
- The dwelling is situated in Hong Kong as a separate rateable unit under the Rating Ordinance (Cap.116) (s.26E(9));
- The dwelling is used wholly or partly as the taxpayer's residence (s.26E(9));
- The taxpayer paid interest on the loan obtained to finance the purchase of the dwelling;
- The loan is secured by a mortgage or a charge over a property in Hong Kong (s.26E(9));
- The lender is an approved institution listed in s.26E(9); and
- The taxpayer has not been granted HLI deduction in the previous twenty or more years of assessment (s.26E(4)(c)). Note that the number of years for HLI deduction was fifteen years prior to YA 2017/18 and ten years prior to YA 2012/13.

Definition of HLI and Approved Lenders

S.26E(9) defines HLI as 'interest paid by the person as a sole owner, or as a joint tenant or tenant in common of the dwelling for the purposes of a home loan to:

- the government;
- a financial institution;
- a credit union registered under the Credit Unions Ordinance (Cap.119);
- a money lender licensed under the Money Lenders Ordinance (Cap.163);
- the Hong Kong Housing Society;
- an employer of the person; or
- any recognised organisation or association'.

Home loan is defined as a loan of money which is:

1. Applied wholly or partly for the acquisition of a dwelling which:
 - a. during any period of time in that YA is held by the person as a sole owner, or as a joint tenant or tenant in common; and
 - b. during that period of time is used by the person exclusively or partly as his place of residence; and
2. Secured during that period of time by a mortgage or charge over that dwelling or any other property in Hong Kong (s.26E(9)) – see IRBRD [D11/07](#).

Qualifying Dwelling

Where the taxpayer paid interest in respect of a loan obtained to acquire a dwelling which is used exclusively or partly as his or her place of residence and the loan was also applied for the acquisition of a car parking space, located in the same development as the dwelling, the car parking space is deemed to be part of the dwelling (s.26E(8)). Interest paid on that part of the loan in respect of the car parking space qualifies as HLI.

A taxpayer can only claim HLI in respect of his principal place of residence. If the taxpayer owned more than one property and used different properties as his or her place of residence at distinct periods during a year, the taxpayer can claim HLI for each dwelling for the respective periods where the dwelling was used as his or her principal place of residence (s.26E(3)(b)). However, the IRD would not accept an alternating use of dwellings at regular intervals, e.g. in the weekdays at one dwelling and in the weekend at another. In such a scenario, the dwelling where the taxpayer and his or her family spent most of their time would be considered the principal place of residence (see paragraphs 17 and 18, DIPN 35).

Dwelling Wholly Used as Residence for Part of the Year or Used Partly as Principal Residence

If during the YA, a taxpayer paid interest on a mortgage in respect of his or her residence, an HLI deduction up to the maximum prescribed amount would be available to the taxpayer regardless of the months he or she lived in the property. However, where a dwelling was used partly as the taxpayer's principal residence, the HLI deduction allowable would be based on an amount that was reasonable in the circumstances of the case (s.26E(2)(a)(i)(B)).

Home Loan Used Partly for Dwelling

Where an HLI was paid in respect of a dwelling which the taxpayer used exclusively or partly as his or her place of residence, but the loan was not applied wholly for the acquisition of the dwelling, the HLI deduction allowable would be such part of the HLI paid as was reasonable in the circumstances of the case (s.26E(3)(a)).

In the case of a home loan account which allows flexibility in repayments and permits subsequent withdrawals, any interest incurred on subsequent withdrawals would not qualify as HLI – see IRBRD [D40/12](#).

Recognised HLI Organisations

In order to qualify for the HLI deduction, the interest must have been paid to ‘specific bodies and recognised organisations and associations’ (paragraph 41, DIPN 35). This includes the following:

- the government
- authorised financial institutions
- the Hong Kong Housing Society
- an individual’s employer

Other types of organisations or entities must ‘stand at arm’s length’ to the loan recipients. Approval for such entities to be recognised by the Commission may be requested by applying directly to the Inland Revenue Department. It is unlikely that an entity would be approved if the taxpayer or any of his/her family members (including spousal relatives) holds any level of financial stake – direct or indirect – in it.

Shared Ownership

Where the taxpayer is the sole owner of the dwelling, he or she is entitled to claim an HLI paid subject to the cap amount of HK\$100,000. Where the property is jointly owned or owned by multiple persons as tenants in common, interest is deemed to be paid in accordance with the ownership ratio (ss.26E(2)(b) and 26E(2)(c)). Thus, each owner can claim an HLI deduction following his or her share of ownership as long as the HLI has been paid.

In IRBRD [D5/02](#), the taxpayer had to purchase her residence under a joint ownership with her mother as part of the condition of the home loan scheme from the government. She paid for all the mortgage instalments and claimed the full HLI deduction of HK\$100,000. The BOR upheld the CIR’s position that under s.26E(2)(b)(i), the taxpayer can only claim a deduction to the extent of 50% because there was another joint tenant.

Period of Deduction – s.26E(4)(c)

HLI deductions are granted to each taxpayer for a maximum period of 20 YAs. The HLI claim does not have to be continuous and is not limited to one dwelling. A taxpayer can claim an HLI in respect of any dwelling in any year as long as the requirements under s.26E are met.

Deduction for Married Taxpayers

For a married couple not living apart, there can only be a single principal place of residence at any one point in time. A married couple not living apart from each other cannot each claim a different principal place of residence and seek HLI deductions in respect of the properties owned.

In the case of a separately assessed married couple, an HLI deduction will be allowed based on each spouse's ownership of the dwelling subject to a total maximum amount of HK\$100,000.

Nomination for Spouse to Claim an s.26E Deduction – s.26F

A taxpayer who is entitled to claim an HLI deduction may nominate for his or her spouse to claim the deduction if the taxpayer has no income chargeable to tax for the year of assessment (s.26F(1)). Once a nomination is made, the taxpayer's entitlement to an HLI deduction ceases and the spouse assumes the deduction allowable (s.26F(2)(a)). The taxpayer is regarded as having been granted the s.26E HLI deduction for the purposes of determining the remaining number of years the taxpayer is entitled to an HLI (s.26F(2)(b)).

Upon allowance of an HLI deduction to the taxpayer's spouse, the CIR will send a written notification to the taxpayer of the allowance under s.26F(3). The taxpayer has up to six months from the date of this notification to revoke his or her nomination. If a revocation is submitted, the nomination is deemed not to have been made (s.26F(4)).

4.6.6.4 Contributions to Recognised Retirement Schemes – s.26G

Mandatory contributions made by an employee to an MPF scheme are deductible in the YA that the contributions are made subject to a cap of HK\$18,000. This amount is prescribed in Schedule 3B. In the case of a recognised occupational retirement scheme, the deduction allowable under s.26G is the lower of:

- the contributions paid by the employee, and
- the amount the employee would have been required to pay had the scheme been an MPF scheme (s.26G(3)(a)),

up to the maximum amount prescribed in Schedule 3B of the IRO.

4.6.6.5 Qualifying Premiums Paid under the Voluntary Health Insurance Scheme (VHIS) Policy s.26K

Qualifying premiums paid by a taxpayer and/or the taxpayer's spouse (not being a spouse living apart from the taxpayer) as policy holder(s) of a VHIS policy are deductible up to a maximum amount of HK\$8,000 (s.26K and schedule 3E of the IRO). This deduction is effective from the year of assessment 2019/20.

What Constitutes Qualifying Premiums Paid under a VHIS Policy?

S.26I(1) of the IRO defines 'qualifying premiums' to mean the net sum of moneys that are payable under a VHIS policy to the insurer for writing or renewing the policy (being an insurance plan certified by the Secretary for Food and Health to be in compliance with the Government's VHIS).

If the insurance policy covers both VHIS and other components (e.g. a life insurance), only the net premium relating to VHIS is eligible for a deduction.

Eligibility for Deduction

In order to claim the deduction, the following conditions must be met,

- the qualifying premiums must be paid by the taxpayer and/or the taxpayer's spouse (not being a spouse living apart from the taxpayer);
- the insured person is either the taxpayer or a **specified relative** of the taxpayer in the year of assessment; and

- the insured person is either
 - a holder of a HKID card at any time during the year of assessment or
 - under the age of 11 and not an HKID card holder at any time during the year of assessment, where the child's natural parent or adoptive parent was an HKID card holder when the insured person was born or adopted (s.26K(1)).

An individual is a **specified relative** of a taxpayer if the individual at any time during the year of assessment is:

- the taxpayer's spouse;
- a parent or grandparent of the taxpayer or his/her spouse who is at any time during the year of assessment is
 - aged 55 or more; or
 - under 55 but eligible to claim an allowance under the Government's Disability Allowance Scheme;
- a child or sibling of the taxpayer or his/her spouse who is at any time during the year of assessment unmarried and
 - under the age of 18; or
 - aged 18 or more but under 25 years of age and receiving full time education at a university, college, school or other similar educational establishment; or
 - aged 18 or more but by reason of physical or mental disability, incapacitated for work (s.26J).

How the Deduction Operates

The amount of qualifying premiums deductible to the taxpayer for each insured person is the actual net qualifying premium paid in the year of assessment or HK\$8,000, whichever is lower. Qualifying premiums payable but not paid within the relevant year of assessment would only be taken into consideration in the year of assessment when such premiums are actually paid – see paragraph 11 of DIPN 56 (Revised).

If there is more than one policy holder for a VHIS policy, the qualifying premiums paid are deemed as paid by all the policy holders in equal share (s.26K(2)).

There is no cap on:

- the number of VHIS policies; and
- the number of specified relatives

claimable by a taxpayer. A deduction can be made in respect of the same insured person under more than one VHIS policy.

More than one taxpayer can claim for a deduction of qualifying premiums paid in respect of the same insured person subject to:

- the capped deductible amount of HK\$8,000 for each insured person in a year of assessment (s.26K(3), schedule 3E); and
- the total deduction claimed by the taxpayers does not exceed the qualifying premiums paid in respect of the insured person in the relevant year of assessment.

Illustrative Example 21 – VHIS Policy with More Than One Policy Holder

Bob and his brother Billy purchased a VHIS policy for their 80-year-old father, a HKID holder. Bob paid HK\$15,000 and Billy paid HK\$4,000 in respect of the VHIS policy in the year of assessment 2019/20. Both Bob and Billy are the named policy holders. What VHIS qualifying premium deduction, if any, is available to Bob and Billy in the year of assessment 2019/20?



Under s.26K(2), the total net premium of HK\$19,000 is deemed to have been paid by Bob and Billy in equal share. Thus, Bob can claim a deduction of HK\$8,000 and Billy can also claim a deduction of HK\$8,000 in respect of the VHIS policy, irrespective of the actual amount paid by Bob and Billy. Note that the amount of deduction claimable is capped at HK\$8,000. The total amount claimable by Bob and Billy is HK\$16,000, which does not exceed the actual premium paid of HK\$19,000.

Note that s.26K(1) specifies that qualifying premiums paid during a year of assessment is deductible for the year of assessment. Thus, the excess premium paid by Bob and Billy of HK\$3,000 would not be available for a deduction in the following or future years of assessment – see Examples 8 and 9 of paragraph 25, DIPN 56 (Revised).

Married Taxpayers

S.26K(1)(a) provides that the qualifying premiums must be paid by the taxpayer or his/her spouse, not being a spouse living apart from the taxpayer, as a policy holder of the VHIS. This means that in the case of a married taxpayer not living apart from his/her spouse, the qualifying premiums are deductible to either of the married taxpayer and/or the taxpayer's spouse or to both in so far as one of them is the VHIS policy holder and the other prerequisites of a deduction are met. The deduction is available as long as:

- the amount deductible to each of the married taxpayers in respect of the insured person does not exceed HK\$8,000 in the year of assessment; and
- the total amount deductible does not exceed the qualifying premiums paid (s.26L(2)).

Illustrative Example 22 – Qualified VHIS Premiums Paid by a Married Taxpayer or His/Her Spouse, Not Being a Spouse Living Apart from the Taxpayer

Jim is married to Julia. For the year 2019/20, Jim and Juliet paid the following VHIS qualifying premiums:

Specified relative	Policy holder(s)	Premium paid in HK\$
Jim's father (age 65)	Jim	12,000
Jim's mother (age 66)	Jim	10,000
Julia's father (age 60)	Julia	9,000
Julia's mother (age 60)	Julia	8,000

Illustrative Example 22 – Qualified VHIS Premiums Paid by a Married Taxpayer or His/Her Spouse, Not Being a Spouse Living Apart from the Taxpayer (*continued*)

Both Jim, Julia and their parents are HKID holders. Given that Jim earned significantly more than Julia, Jim and Julia agreed that Jim should claim the maximum deductions available in respect of the VHIS premiums paid for their parents. Let us now compute the amount of qualifying premiums deductions available to Jim and Julia.



Specified relative	Qualifying premiums claimable (HK\$) by		Total
	Jim (s.26L(2)(a))	Julia (s.26L(2)(b))	
Jim's father (age 65)	8,000	4,000	12,000
Jim's mother (age 66)	8,000	2,000	10,000
Julia's father (age 60)	8,000	1,000	9,000
Julia's mother (age 60)	8,000	0	8,000
	32,000	7,000	39,000

For the year of assessment 2019/20, Jim can claim the maximum deduction of HK\$8,000 per insured person (a total of \$32,000) and Julia would claim a deduction of HK\$7,000. The amounts claimed by Jim and Julia in respect of each insured parent do not exceed the cap of HK\$8,000 and the total deductions claimed by Jim and Julia do not exceed the actual premiums paid in respect of each insured parent (s.26L(2)).

A married taxpayer must agree on how to divide the amount of deduction to be claimed by each. If there is no agreement, the IRD would not consider any claim made if the total claim exceeded the amount of qualifying premiums paid (s.26L(3)). If excessive claims were made by married couples, additional assessment would be raised by the IRD to withdraw a deduction previously allowed to reflect an agreement reached, or failure to reach an agreement by the married taxpayer and his/her spouse within a reasonable time (s.26L(5)).

Refund of Qualifying Premiums Paid

Under s.26M(2), the qualifying premiums paid are reduced by any premium refunded. If the refund is made after a claim has been made by the taxpayer, he/she must notify the Commissioner in writing within 3 months after the date of refund. Failure to do so without reasonable excuse constitutes an offence under s.80(2) of the IRO. Additional assessment may be made despite any time limit under s.60 on making an additional assessment (s.26M(3)).

4.6.6.6 Qualifying Annuity Premiums and MPF Voluntary Contributions

From the year of assessment 2019/20, a taxpayer is allowed to claim a concessionary deduction in respect of qualifying annuity premiums paid during the year of assessment under a qualified deferred annuity policy and tax deductible MPF voluntary contributions (TVC).

Qualifying Annuity Premiums

S.26N(1) defines qualifying annuity premiums to mean the net sum of moneys that is payable under a Qualifying Deferred Annuity Policy (QDAP) to the insurer for writing or renewing the policy in so far as it relates to the provision of annuity payments. A QDAP in turn is defined as an insurance policy

- under which a regular payment is receivable by an annuitant during an annuity period; and
- that is certified by the Insurance Authority to meet the criteria specified in the guidelines published by the Insurance Authority under section 133 of the Insurance Ordinance. See paragraph 10 of DIPN 57 (Revised) for the criteria and features that a deferred annuity insurance policy must have for certification.

Only premiums relating to the deferred annuity payment under a QDAP qualify for a tax deduction. Premiums paid and attributable to riders in the same QDAP must be separated from qualifying annuity premiums as the former is not tax deductible.

Conditions for Deduction

Under s.26O(1), the following conditions must be met to be eligible for a deduction:

- the qualifying annuity premiums must be paid by the taxpayer and/or the taxpayer's spouse, not being a spouse living apart from the taxpayer;
- the policy holder must be
 - the taxpayer or
 - the taxpayer's spouse as sole policy holder; or
 - the taxpayer and his/her spouse in the case of joint policy holders;
- the annuitant(s) must be
 - the taxpayer and/or his/her spouse at any time during the year of assessment; and
 - a HKID card holder.

Illustrative Example 23 – Deduction for Qualifying Annuity Premiums

Suzy and Sam were planning to get married and they bought a QDAP on 1 April 2019 as joint policy holders and annuitants. Suzy and Sam married on 1 May 2019. Sam paid qualifying annuity premiums of HK\$4,000 per month for the QDAP. Can Sam claim a deduction for the qualifying annuity premiums paid of HK\$48,000 in the year of assessment 2019/20?



For Sam to claim a deduction in respect of the qualifying annuity premiums, all the conditions under s.26O(1) must be met. Let us analyse these conditions:

- Sam paid for the qualifying annuity premiums from 1 April 2019.
- The policy holders are Suzy and Sam. Suzy is Sam's spouse effective from 1 May 2019. Prior to 1 May 2019, the condition requiring the policy holder(s) to be Sam and his spouse is not satisfied.

Illustrative Example 23 – Deduction for Qualifying Annuity Premiums (continued)

- Suzy and Sam are the annuitants and as Suzy is required to be Sam's spouse at any time during the year of assessment, this condition is met.

Given that not all the conditions are met in the month of April, the qualifying annuity premiums paid of HK\$4,000 (for the month of April 2019) would not be eligible for a deduction. However, the qualifying annuity premiums paid from May 2019 to March 2020 are eligible for a deduction as all the conditions of s.26O(1) are met.

Illustrative Example 24 – Qualifying Annuity Premiums Must Be Paid

Sam's (Illustrative Example 23) qualifying annuity premiums are due payable on the first day of each month. Sam was admitted to the hospital for a major operation while travelling in Malaysia. As such, he did not pay the March 2020 qualifying annuity premium until 15 April 2020. Can Sam claim a deduction for the March 2020 qualifying annuity premium?



The provision of s.26O(1) refers to qualifying annuity premiums paid during a year of assessment. Given that the March 2020 premium was only paid in April 2020, the amount would only be eligible for a deduction in the year of assessment 2020/21.

Married Taxpayers

A deduction may be claimed by the taxpayer and/or the taxpayer's spouse in respect of qualifying annuity premiums paid by either or both as long as

- the total deductions allowed to each of them under s.26O and s.26S do not exceed the amount specified in schedule 3F in relation to the year of assessment; and
- the total deductions allowed to them under s.26O do not exceed the qualifying annuity premiums paid (s.26P(2)).

Similar to the provisions governing VHIS premiums claimable by a married couple, a married taxpayer must agree on how to divide the amount of deduction to be claimed by each. If there is no agreement, the IRD would not consider any claim made if the total claim exceeded the amount of qualifying annuity premiums paid (s.26P(3)). If excessive claims were made by married couples, additional assessment would be raised by the IRD to withdraw a deduction previously allowed to reflect an agreement reached, or failure to reach an agreement by the married taxpayer and his/her spouse within a reasonable time (s.26P(5)).

Refund of Qualifying Annuity Premiums Paid

Under s.26Q(2), the qualifying annuity premiums paid are reduced by any qualifying annuity premium refunded. If the refund is made after a claim has been made by the taxpayer, he/she has the obligation to notify the Commissioner in writing within 3 months after the date of refund. Failure to do so without reasonable excuse constitutes an offence under s.80(2) of the

IRO – see Chapter 2. Additional assessment may be made despite any time limit under s.60 on making an additional assessment (s.26Q(3)).

Tax Deductible MPF Voluntary Contributions (TVC)

S.26S(2) defines TVC to mean tax deductible voluntary contributions as defined by s.2(1) of the Mandatory Provident Fund Schemes Ordinance (Cap. 48S). TVC is a separate and distinct account that has no relation to the mandatory or voluntary contributions made to MPF under an employment. However, TVC is subject to the same preservation requirements as mandatory MPF contributions in that withdrawal is only allowed upon retirement or on statutory grounds.

A taxpayer may open a TVC account of his/her own choice in an MPF scheme and contributions can be made at any time and in any amount. A taxpayer does not have to be employed or self-employed when making contributions to the TVC account. Such TVC when paid during a year of assessment is allowed as a deduction to the taxpayer under s.26S with effect from the year of assessment 2019/20. Unlike qualifying annuity premiums, a taxpayer can only claim a TVC deduction in respect of his/her own contributions. TVC paid by a taxpayer cannot be claimed by his/her spouse.

Maximum Allowable Deduction under ss.26O and 26S

A taxpayer can claim a deduction for qualifying premiums paid in respect of multiple QDAPs. However, s.26U(1) provides that the maximum deduction allowable to a taxpayer in respect of qualifying annuity premiums and TVC is HK\$60,000 in a year of assessment (s.26T and schedule 3F). Note that the capped amount of HK\$60,000 is the aggregate amount claimable by a taxpayer for both qualifying annuity premiums paid and TVC.

S.26U(2) sets out the deduction order if a taxpayer is eligible to claim deductions under both qualifying annuity premiums and TVC. TVC deduction shall first be allowed before qualifying annuity premiums. This deduction order ensures that any excess qualifying annuity premiums (excess of qualifying annuity premiums over the capped allowable after TVC) can be claimed by the taxpayer's spouse.

Illustrative Example 25 – Maximum TVC and Qualifying Annuity Premiums Deduction Allowable

Mr. and Mrs. Yue, HKID holders, purchased a QDAP as joint policy holders and annuitants. Mr. Yue paid HK\$50,000 qualifying annuity premiums during the year of assessment 2019/20. In addition, Mr. Yue paid HK\$55,000 into his TVC account. What deductions are allowable to Mr. and Mrs. Yue under ss.26O and 26S?



Under s.26U, the capped aggregate deductions allowable to Mr. Yue are HK\$60,000 comprising HK\$55,000 TVC and HK\$5,000 qualifying annuity premiums paid. Mrs. Yue would be able to claim a deduction for the qualifying annuity premiums of HK\$45,000. This amount is within the capped amount claimable by Mrs. Yue (HK\$60,000) and the total qualifying annuity premiums deductible to Mr. and Mrs. Yue does not exceed the qualifying annuity premium paid by Mr. Yue of HK\$50,000 (s.26P(2)).

Key Learning Point

There are two main categories of deductions available under salaries tax, namely s.12 deductions and the concessionary deductions under Part 4A.

► Knowledge Check Questions

Question 9

Identify which of the following is a deductible expense for YA 2018/19.

- (I) Richard Wong paid HK\$50,000 to Hong Kong University when he was successful in his application for the MBA course in February 2019. His course started in August 2019. He claimed self-education expenses of HK\$50,000 in YA 2018/19.
- (II) Mr. Lim made a mandatory contribution of HK\$18,000 to his employer's MPF scheme.
- (III) Leslie contributed HK\$98,000 towards his 88-year old mother's Hong Kong residential care home fees. His sister also paid HK\$98,000 and the invoices were issued under her name.
- (IV) Nick is a senior manager at an auditing firm and he paid a A\$645 annual subscription to the Chartered Accountants Australia and NZ.
- (V) Madam Chan is a policewoman. She kept the receipts totalling the HK\$2,000 she paid to have her uniform dry-cleaned.

- A** II and III
- B** I, III and IV
- C** I, II, IV and V
- D** I, IV and V

Question 10

Identify which of the following can be deducted as HLI.

- A** Mr. Li paid an HLI of HK\$100,000 on the loan he applied for to pay the premium levied by the Hong Kong Housing for the purpose of removing the restriction on alienation in respect of the flat he acquired under the home ownership scheme.
- B** Liz Cheong lives with her mother in an apartment registered under both her mother's and her names. Liz's mother used her savings to pay for the deposit and Liz took a loan to finance the remaining purchase price. The interest paid during YA 2019/20 was HK\$140,000.
- C** Teng Teng took a mortgage to buy an apartment in Diamond Hill. Her mother and her ten-year old brother live in the apartment. Due to her work schedules, Teng Teng stayed with her boyfriend in Stanley and returned to Diamond Hill once a month during weekends. She paid HK\$110,000 HLI in 2019/20.
- D** In 2007, Mr. Leung borrowed from the bank and bought his residence at Mid-Levels. The loan was fully repaid in January 2019. In June 2019, he re-mortgaged his Mid-Levels apartment to secure a loan for the purchase of an investment property in Wanchai. In YA 2018/19, Mr. Leung paid HK\$150,000 interest on the mortgage.

4.7 PERSONAL ALLOWANCES

There are two major differences between personal allowances and concessionary deductions:

1. Concessionary deductions are limited to the actual amount the taxpayer paid in the year of assessment whereas personal allowances are granted at fixed amounts if the taxpayer meets the conditions for the claim of the allowances.
2. Concessionary deductions are available to taxpayers who are assessed under both the standard rate as well as the progressive rates of tax, but personal allowances are only granted to taxpayers who are assessed under the progressive tax rates.

A taxpayer who is eligible can claim the personal allowances under Part 5 in his or her current year tax return. If he or she has omitted a claim, the taxpayer can make the claim in writing no later than six years after the end of the YA to which it relates. An allowance shall be granted only if the claim contains such particulars and is supported by such proof as the CIR may require (s.27(2)). The following sections discuss the conditions which must be met for the allowance to be granted.

Exhibit 4.9 summarises the personal allowances under Hong Kong salaries tax. Personal allowances are granted in full amount as long as the requirements for the claim of the allowances are met.

Type of allowances	IRO provisions	Eligible person(s) and requirements:
Basic allowance	s.28	- All taxpayers - If married and taxpayer couple is not making married person's allowance (see below)
Personal disability allowance (with effect from YA 2018/19)	s.28A	Taxpayers who are eligible to claim allowances under the Government's Disability Allowance Scheme
Married person's ^a allowance (in year of marriage, separation, divorce or death)	s.29	- A married taxpayer and: - his or her spouse has no assessable income; - joint assessment has been elected; or - personal assessment has been elected by the couple jointly
	s.29(4)	- A taxpayer who is married but lives apart from but continues to maintain and support his or her spouse - A taxpayer will not be eligible effective the year he or she is legally divorced (see <i>Sit Kwok Keung v CIR</i>, 5 HKTC 647 and IRBRD D22/11).
	s.29(6)	A taxpayer may revoke the claim within the YA where the claim was made or within six years after the expiration of the relevant YA

► **EXHIBIT 4.9 Summary of personal allowances under Hong Kong salaries tax**

Type of allowances	IRO provisions	Eligible person(s) and requirements:
Dependent parent allowance (DPA) in respect of each parent ^b maintained	ss.30(1) and 30(1A)	- Taxpayer and/or spouse not living apart maintains taxpayer's or spouse's parent at any time during the YA; and the parent is: - an ordinary resident in Hong Kong; and
	s.30(1)	- aged 60 or more; or - below 60 and was eligible to claim an allowance under the Government's Disability Allowance Scheme; or
	s.30(1A)	aged between 55 to below 60 and was throughout the year not eligible to claim an allowance under the Government's Disability Allowance Scheme
	s.30(5)	Not eligible if elderly residential care expense deduction has been granted in respect of that same parent under s.26D
	s.33(1)	Grantable to only one taxpayer in respect of a parent for a YA
Additional DPA	s.33(1A)(a)	No DGA has been claimed in respect of the same person by any taxpayer
	ss.30(3)(b) and 30(3A)(b)	In addition to the above conditions, the parent resided with the taxpayer for less than full valuable consideration continuously throughout the YA
Dependent grandparent allowance (DGA) ^c in respect of each grandparent ^b maintained	ss.30A(1) and 30A(1A)	- Taxpayer and/or spouse not living apart maintains taxpayer's or spouse's grandparent at any time during the YA; and - the same age and residency requirements for DPA are met in respect of the grandparent
	s.30A(5)	Not eligible if elderly residential care expense deduction has been granted in respect of that same grandparent under s.26D
	s.33(1)	Grantable to only one taxpayer in respect of a grandparent for a YA
	s.33(1A)(a)	No DPA has been claimed in respect of the same person by any taxpayer
	ss.30A(3)(b) and 30A(3A)(b)	In addition to the above conditions, the grandparent resided with the taxpayer for less than full valuable consideration continuously throughout the YA
Additional DGA		

► **EXHIBIT 4.9** Summary of personal allowances under Hong Kong salaries tax (*Continued*)

Type of allowances	IRO provisions	Eligible person(s) and requirements:
Dependent brother or dependent sister allowance for each brother or sister maintained including an adopted or a step brother or sister	s.30B	- Taxpayer and/or spouse not living apart has sole or predominant care taxpayer's or spouse's brother or sister at any time during the YA^d, and the brother or sister must be ◦ unmarried ◦ <18 years old; or ◦ ≥18 but under 25 years of age and was receiving full time education at a university, college, school or other similar educational establishment ◦ ≥18 years of age and was, by reason of physical or mental disability, incapacitated for work
	s.33(1)	Grantable to only one taxpayer in respect of a brother or sister for a YA
	s.33(1A)(b)	No child allowance has been claimed by a taxpayer in respect of the same brother or sister
Child allowance for own child (legitimate or otherwise), legally adopted or step child of taxpayer or spouse ^e (capped at 9 children)	s.31(1)	- Taxpayer who at any time during the YA, was living with and maintained a child who was: ◦ unmarried ◦ <18 years old; or ◦ ≥18 but under 25 years of age and was receiving full time education at a university, college, school or other similar educational establishment ◦ ≥18 years of age and was, by reason of physical or mental disability, incapacitated for work
	s.31(3)	For a married couple not living apart, all child allowances grantable shall be claimed by one spouse only as nominated by the couple^f
	s.31(2)	Where more than one taxpayer is entitled to claim a child allowance in respect of the same child, the allowance will be apportioned based on the contributions made by each to the maintenance and education of the child during the YA
Additional child allowance	s.31(1A)	Taxpayer who is eligible for the child allowance is granted an additional child allowance of the same prescribed amount in the year the child was born
Disabled dependent allowance	ss.31A(1) and 31A(4)	- Taxpayer is eligible for married person's child, dependent brother or sister allowances or DPA, DGA or a deduction under s.26D elderly residential care expenses in respect of a dependent who is: ◦ Eligible for an allowance under the Government's Disability Allowance Scheme
	s.33(1)	Grantable to only one taxpayer in respect of the dependent family member in a YA
	s.31A(3)	Granted to the spouse nominated for the child allowance in the case of a disabled child of a married couple not living apart
	s.31A(2)	Disabled child where the child allowance was apportioned between taxpayers will be apportioned on the same basis as that used for the child allowance

► **EXHIBIT 4.9 Summary of personal allowances under Hong Kong salaries tax (Continued)**

Type of allowances	IRO provisions	Eligible person(s) and requirements:
Single parent allowance in respect of the first child only	ss.32(1) and 32(2)(a)	- Taxpayer is not married at any time during the YA and - had sole and predominant care of a child in respect of whom he or she was entitled to the grant of a child allowance
	s.32(2)(c)	Granted in respect of first child only
	s.32(3)	Where more than one taxpayer is entitled to claim the allowance in respect of the same child in a YA, apportionment can be made based on the period each taxpayer has sole and predominant care of the child or as the Commissioner deems just^g - see IRBRD D140/01.

^a In paragraphs 4 to 8 of DIPN 18 (Revised), the IRD has clarified that besides legally recognised marriages (except polygamous marriages), Chinese customary marriages prior to 7 October 1971 and same-sex marriages (see Sub-section 4.1) are recognised.

^b 'Parent' or 'grandparent' refers to the same persons as those defined in s.26D(5) and s.2(1) for elderly residential care expense deduction (see 'Eligibility' in section 4.6.6.2).

^c The operation of dependent grandparent allowance (DGA) mirrors that of dependent parent allowance (DPA), except DGA is in relation to a grandparent and DPA is in respect of a parent.

^d The provision of s.30B(1) is drafted such that the dependent brother or dependent sister allowance is granted to a taxpayer even if the maintained sibling did not meet the requirement during part of the year. For example, the taxpayer maintained his or her sister, who was receiving full time education at the university. In the year of assessment 2017/18, the taxpayer's sister turned 26 years of age. The full amount of dependent sister allowance of HK\$37,500 would still be granted to the taxpayer in that year of assessment.

^e A 'child' is defined in s.27(3) to mean any child of a person chargeable to tax or of his or her spouse or former spouse whether born in wedlock and includes the adopted or step child of either one or both of them. In the case of an adopted child, the adoption must be done in a manner recognised by the laws in Hong Kong.

^f The nomination once made is not revocable without the consent of the Commissioner whose decision in the matter shall be final and not subject to objection or appeal (s.31(4)). In paragraph 61 of DIPN 18 (Revised), the IRD has indicated that the variation of a nomination would be considered favourably, where the change will result in an overall reduction in the tax liability for the married couple. In general, it is more advantageous for the spouse with a higher net income to claim the child allowance unless he or she is assessed under the standard rate of tax.

^g If custody of a child changes at some point during the year, the allowance will normally be apportioned on a time basis (paragraph 65, DIPN 18 (Revised)).

► **EXHIBIT 4.9 Summary of personal allowances under Hong Kong salaries tax (Continued)**

The following sections discuss some of the pertinent issues relating to the claim of specific personal allowances.

4.7.1 Full Valuable Consideration

The term 'full valuable consideration' under ss.30(3)(b), 30(3A)(b), 30A(3)(b) and 30A(3A)(b) means the benefit that the parent (or grandparent) obtains in being able to share the taxpayer's residence, that is to use the taxpayer's residence also as his or her own residence. This is a tangible benefit that can be easily valued and capable of being paid for by the giving of full valuable consideration. The value is represented by the market rental value of the premises,

with an appropriate discount to allow for the fact that the parent (or grandparent) would have to share the same with the taxpayer and his family. Intangible benefits such as love and care, or the spiritual satisfaction of togetherness, etc. are excluded (IRBRD [D30/07](#)).

4.7.2 Maintain or Treated as Being Maintained

Under s.30(4) (or s.30A(4)), the taxpayer ‘maintains’ a parent (or grandparent), who is treated as ‘being maintained’ by him or her, if the following are met:

- That parent (or grandparent) resides, otherwise than for full valuable consideration, with the taxpayer and his or her spouse for a continuous period of not less than six months in the YA; or
- The taxpayer or his or her spouse contributes not less than the prescribed amount of HK\$12,000 (Schedule 4 Item 4(e)) in money towards the maintenance of that parent (or grandparent) in the YA.

It was held in IRBRD [D20/10](#) that a taxpayer residing at his or her parents’ property does not amount to ‘maintaining a parent’.

4.7.3 Ordinary Resident in Hong Kong

The term ‘ordinary resident in Hong Kong’, though not defined in the IRO, is extensively looked at in case law. In paragraph 52 of DIPN 18 (Revised), the IRD has clarified this to mean one who has his or her normal and usual place of residence in Hong Kong. Merely holding a Hong Kong Permanent Identity Card is insufficient.

Briefly, a person is an ordinary resident in Hong Kong if:

- He habitually and normally resides, apart from temporary or occasional absences of long or short duration; or
- He lawfully, voluntarily and for a settled purpose, as part of the regular order of life, lives in Hong Kong (see *Reg v Barnet London Borough Council ex parte Shah* (1983) 2 AC 309 and *Vallejos Evangeline B. v Commissioner of Registration and Another* (2013) 2 HKLRD 533).

4.7.4 Sole or Predominant Care

Under s.30B(3)(a), if the taxpayer or his or her spouse has ‘maintained’ the taxpayer’s or the spouse’s brother or sister at any time during the YA, the taxpayer or his or her spouse had sole or predominant care of the brother or sister. Sole or predominant care is also a requirement for single parent allowance under s.32(1). The provision of money was not completely irrelevant to maintenance, but this alone could not be enough to show sole or predominant care of the dependent (IRBRD [D3/14](#) and [D10/11](#)).

The Court of Appeal in *Sit Kwok Keung v CIR* (2002) 5 HKTC 647, addressed the term ‘sole and predominant care’ for the purpose of s.32(1). Accordingly, the taxpayer’s marriage was dissolved by a court decree and he was ordered to make periodical payments to his ex-wife for her and their two sons. Custody of the children was given to her. The taxpayer claimed the single parent allowance in his tax return for the following year.

The BOR opined that the concept of 'predominant care' involves a comparison of the respective roles played by the taxpayer and his ex-wife as a parent and held that he did not have sole care of his sons. The court upheld the BOR's decision on the basis that the taxpayer had failed to discharge the burden of proof that his care for the sons in all aspects of the day-to-day living is predominating and supreme over that of the mother's.

Whether a taxpayer or his or her spouse meets the requirement under s.30B(3)(a) was analysed by the BOR in IRBRD D10/11. The case involved a taxpayer who claimed that his wife maintained her 37-year old sister. The taxpayer's sister-in-law suffered from polio shortly after birth, which caused deformity in her lower limbs. She was wheelchair bound and lived with her retired parents in mainland China. The taxpayer and his spouse provided financial support to cover the daily and medical expenses of his sister-in-law and parents-in-law. His wife visited her sister and parents several times a year, bringing them their daily needs. She talked to her sister on phone weekly. The BOR upheld the decision of the CIR and denied the taxpayer's claim for a Dependent Sister Allowance. The BOR cited the Court of Appeal's opinion on 'sole and predominant care' in *Sit Kwok Keung v CIR*, 5 HKTC 647 and concluded that the amount of care provided by the taxpayer towards the dependent sibling must have supremacy or ascendancy over others, i.e. his parents-in-law. Despite the taxpayer's and his wife's efforts and resources provided to his sister-in-law, given the distance between the taxpayer and his sister-in-law, her daily needs could only be taken care of, and were indeed so, by the taxpayer's parents-in law.

4.7.5 Claims by More than One Taxpayer

S.33 deals with the claim of allowances and how the CIR will resolve a situation where more than one taxpayer is entitled to an allowance but a claim is only permitted to one taxpayer.

For all allowances, except child, disabled dependent (child) and single parent allowances where apportionments are permitted under certain circumstances, only one taxpayer is permitted to claim all other types of allowances in respect of the same person to whom the allowances are granted. If, besides the taxpayer, another taxpayer is also entitled to claim the allowance for the same parent, grandparent, brother or sister, etc. in the same YA, the taxpayers must agree among themselves on who will be claiming the allowance. If there is no agreement, the IRD is likely not to grant the allowance to any of the taxpayers – see IRBRD D15/15.

The CIR is entitled not to consider any claim until he is satisfied that the eligible taxpayers have agreed on who would claim the allowance. In the event that the taxpayers eligible for the allowance were unable to decide who would have the allowance within a reasonable time, the CIR would raise additional assessments to disallow all taxpayers who were granted the allowance previously. The CIR can raise such additional assessment within the YA or within six years after the expiration thereof (ss.33(3), 33(3B) and 33(3D)).

Illustrative Example 26 – Child Allowance (s.31)

Jane Sum, divorced, has custody of her twins who live with her. Her twins turned 19 in February 2019 and both finished school in June 2018. Her daughter, Ling Ling, 19, commenced a two-year full time Diploma in Bakery, Pastry and Confectionary with Vocational Training Council (VTC) in September 2019. Her son, Mun Ho, started his technician apprenticeship with MTR the same month. Can Jane claim child allowances in respect of her twins for the YAs 2018/19 and 2019/20?

Under s.31(1) Jane is eligible to claim child allowances of HK\$100,000 each in respect of her twins for YA 2018/19 if her unmarried twins, though above 18 years of age, were attending school full time for part of the YA 2018/19.

Her daughter, Ling Ling, started a two-year full-time course with VTC and is therefore receiving full time education at VTC. Jane can therefore claim a child allowance of HK\$100,000 in respect of her. However, her son, Mun Ho, is doing his apprenticeship under a contract of employment with MTR. Thus, he is working and not receiving full time education, and the requirement of s.31(1)(b) was not met for the YA 2019/20.

Key Learning Point

In the case of a taxpayer who is assessed under the progressive rates of tax, personal allowances are only granted to him or her if the prerequisites of granting of allowances are met.

► Knowledge Check Questions

Question 11

Identify which of the following is eligible to claim the relevant personal allowances.

- (I) Jim and John both contributed HK\$13,000 each to their mother and father who live in Hong Kong. Their parents turned 60 in June 2019. They agreed Jim will claim DPA in respect of their mother and John will claim DPA in respect of their father.
- (II) Mr. Huang's 90-year old mother lives with Mr. and Mrs. Huang, who are both retired. Their youngest son who lives two blocks from them claims dependent grandparent allowance and additional dependent grandparent allowance.
- (III) Jess Mok is separated from her husband. She works part-time and has no net chargeable income due to a basic allowance. Her husband claimed a married person's allowance as he is supporting her.
- (IV) Mr. Tang claimed a dependent brother allowance. He is supporting his 20-year old brother who studies full time at HKU. His brother lives with him since their retired parents moved to China a few years ago.

► **Knowledge Check Questions (*continued*)**

(V) Simon and Simone have two children both aged under ten. Given that only one parent can claim a child allowance in respect of any one child, Simon and Simone agree that Simon will claim the child allowance in respect of one child, and Simone will claim the child allowance in respect of the other.

- A I and II
- B II and III
- C I and IV
- D I and V



4.8 COMPUTATION OF SALARIES TAX

In the earlier sections we have analysed which income is assessable and the deductions and allowances available under salaries tax. In this section, we shall look at how salary tax liabilities are computed for both an individual taxpayer and a married couple.

4.8.1 Ascertainment of Assessable Income

Before diving into the tax computations, we need to understand which taxable income is brought into assessment in the relevant YA. The provisions of s.11B, s.11C and s.11D are relevant in determining the assessable income to be brought to tax in a YA. Under s.11B, the assessable income of a taxpayer in any YA is the aggregate amount of income accruing to him or her from all sources in that YA. As we have learned at the beginning of this chapter, Hong Kong tax is territorial and only income arising in or derived from Hong Kong falls within the salaries tax net. In view of this, the income accruing to a taxpayer from all sources is subject to the income analysed under s.8 as discussed before.

4.8.1.1 Income Accrued and Received

Let us have a look at the provisions of ss.11B, 11C and 11D as these provisions are important in computing the assessable income of a taxpayer for a YA. For income to be included as assessable income in a YA, s.11B requires the income to be accrued to a taxpayer. Income accrues to a taxpayer when he is entitled to claim a payment of it (s.11D(b)).

Income Accrued but Not Received

S.11D(a) provides that income accrued to, but not received by, a taxpayer during the basis period for a YA shall not be included in his or her assessable income for that YA. Such income is only assessed at the time when the taxpayer received it by way of an additional assessment in respect of the YA in which the income accrued to the taxpayer.

Illustrative Example 27 – Income Accrued and Received (ss.11B and 11D(a))

Casey is a sales executive at SureSell. Based on his sales for the months of February and March 2019, the accounting department of SureSell has computed his commission income to be HK\$40,000. Under SureSell's internal control, the sales executive's manager as well as the finance manager must approve all commissions before payment can be made. Casey's manager was admitted to the hospital unexpectedly at the end of February and was away until 1 April 2019. He signed off Casey's commissions on his return. Casey was subsequently paid on 15 April 2019.

Although the commission income was accrued to Casey, s.11D(a) provides that income accrued to, but not received by Casey during the basis period for a YA shall not be included in his assessable income for that YA. The commission income would only be assessed at the time when Casey received it, i.e. 15 April 2019 but in respect of the YA in which the income was accrued, i.e. YA 2018/19.

If the commission income were only paid to Casey at a time after the 2018/19 Notice of Assessment has been issued, Casey would be assessed on the commission by way of an additional assessment for the YA 2018/19.

Contrast the above with the following illustrative example.

Illustrative Example 28 – Income Accrued but Not Received (s.11D(b) and Adapted from IRBRD D78/88)

Joyce signed a contract of employment with a Hong Kong company on 1 May 2019. Her employment contract has a clause 'You will not be entitled to receive payment of salary for any month until the fifth day of the following month'. Joyce received her March 2020 salary amounting to HK\$80,000 on 5 April 2020. In which YA will Joyce's March 2019 salary be assessed?

Under s.11D(b), the salary only accrues to Joyce when she becomes entitled to claim payment thereof, i.e. on 5 April 2020. Thus, the March salary of HK\$80,000 would only be assessable in the YA 2020/21 as Joyce is only entitled to claim the March 2020 salary on 5 April 2020.

Income Deemed Received

Under s.11D(a), a person is deemed to have received the accrued income:

- which has been made available to him or her; or
- when the income has been dealt with on his or her behalf or as directed by him or her.

In IRBRD D17/12, the taxpayer joined his company's benefit scheme whereby he was entitled to the benefit amount which comprised the employer's contribution to the Fidelity Fund. Under the benefit scheme, withdrawals from the Fidelity Fund were subject to a vesting condition. On expiry of the vesting period of 2.5 years, the taxpayer could either cash out and

withdraw the remaining benefit amount or instruct his employer's parent company to invest, on his behalf, in the Fidelity Fund. After over four years with the company, the taxpayer left his employment. The IRD assessed the benefit amounts based on vesting. The taxpayer argued that tax should only be levied at the time of withdrawal. The BOR upheld the CIR's assessments on the ground that s.11B provided that a taxpayer is subject to salaries tax on income which accrued to him during the relevant YA. S.11D(a) provides that income which has either been made available to a person or has been dealt with on his behalf or according to his directions shall be deemed to have been received by him. In this case, the taxpayer's right to claim payment of the benefit has crystallised on the expiry of the vesting period and he was deemed to have received the benefit.

Deemed Commencement and Cessation of an Employment

In determining the assessable income of a person under s.11B, a person is deemed to commence or cease, as the case may be, to derive income from a source whenever and as often as he commences or ceases:

- to hold any office or employment of profit; or
- to become entitled to a pension (s.11C).

Whether a person has commenced or ceased his or her employment is often a question of fact and ascertainable given the obligations imposed under the IRO. We have learned in Chapter 2 that an employer has the obligation to notify the IRD when an employee commences and ceases an employment with the employer (ss.52(4) and 52(5)).

Income Deemed Accrued

S.11D(b)(i) deals with a lump sum payment upon cessation of an employment or deferred pay which is addressed in Section 4.8.2. S.11D(b)(ii) deals with payment made by an employer to a person after he has ceased or been deemed to cease to derive income. The payment shall be deemed to have accrued on the last day of employment if it was made on the last day of the period during which the employee derived income and was included in his assessable income for the YA in which he ceased to derive income.

Income Received but Not Accrued

We have seen how income accrued but not received is not brought to tax until the time when the income is received or deemed received by a person under s.11D(a). By the same token, income received but not accrued is not taxable to an individual until the income is accrued.

In IRBRD D26/07, the taxpayer joined a bank on 21 February 2005. His contract of employment provided for a sign-on bonus of HK\$390,000 and a settling-in allowance of HK\$66,000 payable with his first month's pay. Under the employment terms, the taxpayer would be required to repay these two payments on a pro-rata basis if he resigned within the first 12 months of employment. The taxpayer included these payments in his tax return for the YA 2004/05 and he was assessed accordingly.

The taxpayer terminated his employment on 5 September 2005 and refunded his employer a pro-rata portion of the sign-on bonus and the settling-in allowance. He wrote to the IRD asking for an amendment to his YA 2004/05 assessment and the IRD disagreed. The taxpayer appealed to the BOR.

The BOR allowed the appeal on the basis that a person cannot be taxed for money that he has not received under s.8 of the IRO. The taxpayer was only entitled to receive the full sign-on bonus and settling-in allowance contingent on his having served the full 12 months from the date of employment. He did not and was thus not entitled to the full sign-on bonus or the full settling-in allowance.

Apply and Analyse 5 – Ascertainment of Assessable Income

Apply

Under KP-HK's policy, the company would reimburse a course fee of an employee for a relevant course, on the condition that the employee remained in the employment of the company for at least one year upon completion of the course. After relocating to Hong Kong, Mei-ling enrolled in a part-time EMBA course with Hong Kong Baptist University (HKBU). The course was scheduled to commence in September 2019 and to be completed in June 2021. Mei-ling paid her first year course fees of HK\$150,000 in May 2019 and KP-HK reimbursed her the full amount for the claim shortly after. However, she had applied for a deferral with HKBU after noting her pregnancy. Subsequently, she had decided to resign in order to take care of the family and the two young children. Mei-ling was reminded by the HR Department of KP-HK that should she leave the employment of KP-HK within a year from the completion of the course, she would be required to repay the company the course fee reimbursed.

Analysis

We have learned from Section 4.4.1 and the *Glynn* case that the reimbursement of a course fee is a perquisite assessable to tax because money was paid to reimburse Mei-ling for her liability to pay the course fee to HKBU. Based on IRBRD [D26/07](#) and [D55/12](#), Mei-ling will only be entitled to the sum of HK\$150,000 if she stays with KP-HK at least a year after the completion of her course, i.e. until June 2022. For the purpose of s.11B, the income will only be accrued to her in YA 2022/23. Thus, the course fee reimbursement will only be included as assessable income to Mei-ling in YA 2022/23.

We have addressed the 'income' aspect. Let's look at the deductions available to Mei-ling. Mei-ling will not be able to successfully claim a deduction for the course fee under s.12(1)(a) as the course is not wholly, exclusively and necessarily incurred in the production of her income. However, we have learned that a deduction for self-education expenses under s.12(1)(e) may be claimed. Under s.12(1)(e), the claim for self-education expenses must be made in the year the expenses are paid. Although paragraph 25 of DIPN 9 (Revised) states: 'Fees that have been reimbursed or are reimbursable by an employer or any other person are not allowable', Mei-ling should make a claim for the self-education expenses in the YA 2019/20 and in any subsequent YA in which she resumes her studies and paid her second batch of the tuition fees, i.e. the years she paid for the tuition fees (see IRBRD [D55/12](#)).

4.8.2 Lump Sum Payment on Cessation of Employment or Deferred Pay

An employee may apply to have a gratuity or lump sum payment related back to the YA in respect of which the payment was made under s.11D(b)(i), if relating back would reduce his or her tax liability, where:

- Lump sum payments were made upon cessation of an employment or completion of services, e.g. gratuities; or
- Lump sum payment of **deferred pay** or arrears of pay arising from an award of salary or wages, paid by an employer during employment or post cessation.

For the purpose of s.11D(b)(i), the lump sum payment may be paid by the employer while the taxpayer is still under the employer's employ or after he or she has left the employment. Note, however, that s.11D(b)(i) does not apply to:

- leave payments (IRBRD D21/84); or
- lump sum payments not being lump sum payment of deferred pay or arrears of pay arising from an award of salary or wages, received not upon termination or retirement (IRBRD D39/94).

4.8.2.1 Time and Manner an Application May be Made

An application must be made in writing within two years after the end of the YA in which the payment is made. The payment is then treated as income accruing:

- During the periods in which the services were performed or the employment was exercised; or
- If the service period exceeded three years, at a constant rate over the three years ending on the last day of employment or the date of entitlement of the payment, whichever is earlier.

We have learned in earlier chapters that an assessment becomes final and conclusive if no objection was made within one month from the date of the notice of assessment under the provisions of the IRO (ss.64 and 70). However, an application made by any person under s.11D(b)(i) for the adjustment of an assessment is to be regarded as a valid objection to the assessment even though the one-month time limit stipulated has lapsed.

Illustrative Example 29 – Contract-End Gratuity Related Back

Tatiana Cheung had a two-year contract (1 January 2018 to 31 December 2019) as an English tutor at a reputable tuition centre in Kowloon. Under the contract, she was entitled to an end of contract gratuity amounting to HK\$90,000. If Tatiana were to apply to have the lump sum payments related back to the service period for which they were made, how would the gratuity be assessed?

Based on s.11D(b)(i), Tatiana could have her gratuity related back as follows:

Total no. of months (A)		24	
Tax year	Gratuity assessable B/A × HK\$90,000	No. of months (B)	Period
YA 2017/18	11,250	3	1/1/2018–31/3/2018
YA 2018/19	45,000	12	1/4/2018–31/3/2019
YA 2019/20	33,750	9	1/4/2019–31/12/2019
Total HK\$	90,000		

Illustrative Example 30 – Gratuity Related Back under Redundancy

Victor was entitled to a contract gratuity of HK\$140,400 when he was made redundant on 31/7/2020 after 7 years and 11 months of service. Given that the total service period exceeded three years, the amount would be related back evenly over thirty-six months ending on the date of payment or the last date of employment, whichever is the earlier.

Total no. of months (A)		36 ^a	
Tax year	Gratuity assessable B/A × HK\$140,400	No. of months (B)	Period
YA 2017/18	31,200	8	1/8/2017–31/3/2018
YA 2018/19	46,800	12	1/4/2018–31/3/2019
YA 2019/20	46,800	12	1/4/2019–31/3/2020
YA 2020/21	15,600	4	1/4/2020–31/7/2020
Total HK\$	140,400	36	

^a Deemed to be accruing at a constant rate over 36 months under s11D(b)(i).

4.8.3 Salaries Tax Computations

By now, we are familiar with what income is assessable and the expenses deductible under salaries tax, when such income is brought to tax and the timing of deductions as well as the eligibilities for allowances. In this section we shall learn how to compute the salaries tax payable by an individual taxpayer and a married taxpayer when assessed separately or jointly. Note that post *Leung Chun Kwong v Secretary for the Civil Service* (2019) 22 HKCFAR 127, same-sex marriages are regarded as valid marriages under the IRO. Thus, married couple whether heterosexual or same-sex, may elect to be jointly assessed. Exhibit 4.10 below provides an overview of how salaries tax is computed.

The following are the steps involved in computing the salaries tax liability of a taxpayer whether assessed separately or jointly.

Step 1: Applying the relevant IRO provisions, the assessable income of a taxpayer in a YA is computed as follows:

Add:	Salary, wages, bonus, allowances, commission, leave pay
	Taxable perquisites including share award gains
	Taxable termination payment including payment in lieu of notice
	Taxable sum from retirement schemes
	Income deemed received
	Income from an office
	Pension
Add/Less:	Lump sum payment on cessation of employment, deferred payment

Less: Income accrued but not received
 Income received but not accrued
 Income specifically excluded

Step 2: From the above assessable income of an individual, we shall make the adjustments for deductible expenses and any balancing charge to arrive at the net assessable income (s.12):

Assessable Income (AI)	
Less:	Deductions under s.12 (nexus to assessable income)
	• Outgoings and expenses wholly, exclusively and necessarily incurred in the production of assessable income • Depreciation allowances and balancing allowance • Loss brought forward • Self-education expenses • Excess of spouse allowable deductions (if joint assessment is elected)
Add:	Balancing charge
=	Net Assessable Income (NAI)

Step 3: Next, we calculate the net chargeable income in accordance with s.12B:

Less:	Concessionary deductions under Part 4A
	• Approved charitable donations • Elderly residential care expenses • HLI • Contributions to recognised retirement schemes • Qualifying premiums paid under VHIS policy – Section 4.6.6.5 • Qualifying annuity premiums and TVC – Section 4.6.6.6
=	NI
Less:	Personal allowances under Part 5
=	NCI

If a JA were elected, the NAI would be the aggregated NAI of the taxpayer and his or her spouse and the concessionary deductions and personal allowances available to the married couple.

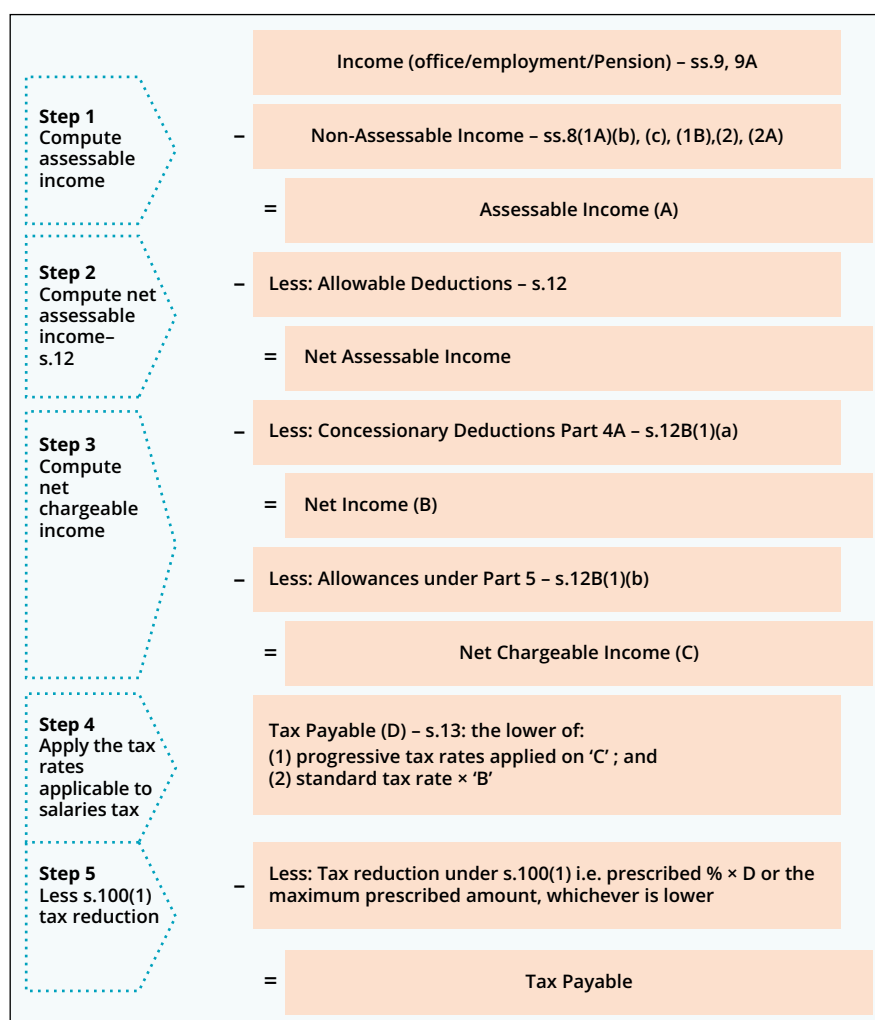
Step 4: The last step involves applying the applicable tax rates to the net chargeable income and reducing that amount by the s.100(1) tax waiver to determine the net tax payable. As we have learned by now, salaries tax payable is the lower of:

- Progressive tax rates (Schedule 2) on net chargeable income; and
- Standard tax rate of 15% (Schedule 1) on net income.

A one-off 100% tax reduction up to a maximum of HK\$10,000 is granted to reduce the tax payable for the YA 2020/21 (s.100(1) and Schedule 43). Thus, the tax payable and net tax payable are computed as below:

The lower of	$\left\{ \begin{array}{l} \text{NCI} \times \text{progressive rates}^a \\ \text{OR} \\ \text{NI} \times 15\% \end{array} \right.$
=	Salaries Tax Payable (STP)
Less:	(100% × STP) or HK\$10,000, whichever is lower
=	Net Salaries Tax Payable

^a See the progressive tax rates table at Schedule 2 of the IRO.



► **EXHIBIT 4.10** Salaries tax computation

Apply and Analyse 6 – Salaries Tax Computation (Individually Assessed on Hong Kong Employment)

Apply

Adrian Yeo joined the GBank Hong Kong Branch (GBHK) as a Regional Compliance Director on 1 April 2019. For YA 2019/20, he received an annual salary of HK\$1,500,000 and a bonus of HK\$200,000. GBHK provided him and his family with housing and paid a total of HK\$490,000 for his apartment plus associated costs (management fee and utilities, accounts of which were in the name of GBHK). In addition, he did a cashless exercise of the stock option vested on 31 March 2020, i.e. 400 of the 1,600 units granted on 1 April 2019 (strike price of €20.64 per share). GBank closed at €28 on 31 March 2020 on the Frankfurt Stock Exchange.

Adrian is a member to The Institute of Singapore Chartered Accountants (ISCA) and he paid an annual fee of S\$214 in June 2019. He donated HK\$50,000 to Médecins Sans Frontières, Hong Kong in YA 2019/20. Adrian also enrolled in a Master of Applied Finance in Risk Management part-time with the Open University of Hong Kong in June 2019 and paid a tuition fee of HK\$77,100. He did not seek a reimbursement from GBHK due to the one-year post completion bond.

Adrian is married to Mei-ling. They have a five-year old son, Jonathan. Their second child, Rachel, was born on 1 April 2020. Both Adrian's mother, Marie, and Mei-ling's mother, Eileen, have been taking turns to visit the Yeo Family in Hong Kong every two months in order to take care of Jonathan, as well as the entire family, during Mei-ling's pregnancy period in YA 2019/20.

Assuming that Adrian and Mei-ling did not elect for joint assessment and they agreed to have Adrian to claim those allowances if only one taxpayer was allowed to, please compute Adrian's salaries tax liability for YA 2019/20.

Analysis

Adrian Yeo Salaries Tax Computation YA 2019/20 Basis Period: 1 April 2019 to 31 March 2020			
	HK\$	HK\$	HK\$
Salary		1,500,000	
Bonus		200,000	1,700,000
Add: Rental value $(1,700,000 - 1,179^b) \times 10\%$		169,882	
Less: Rent paid by employee		-	
Add: Gain on stock option ^a		25,476	195,358
	A		1,895,358
Less:			
- Professional subscription ISCA ^b		(1,179)	
- Self-education expenses		(77,100)	(78,279)
Net Assessable Income			1,817,079

Apply and Analyse 6 – Salaries Tax Computation (Individually Assessed on Hong Kong Employment) (continued)

Adrian Yeo Salaries Tax Computation YA 2019/20 Basis Period: 1 April 2019 to 31 March 2020			
		HK\$	HK\$
Less: Concessionary deduction			
- Approved charitable donation (capped at 35% of A)			(50,000)
- Mandatory contribution to MPF			(18,000)
Net income	B		1,749,079
Less: Personal allowances ^c			
- Basic allowance		(132,000)	
- Child allowance ^d		(120,000)	
			(252,000)
Net Chargeable Income			1,497,079
Tax at progressive rates (Schedule 2)			
On first	HK\$50,000	2%	1,000
On next	HK\$50,000	6%	3,000
On next	HK\$50,000	10%	5,000
On next	HK\$50,000	14%	7,000
	HK\$200,000		16,000
Balance	HK\$1,297,079	17%	220,503
	C	236,503	
Tax @ standard rate (B x 15%)	D	262,361	
Tax payable (lower of C and D)			236,503
Less: 100% tax reduction s.100(4)			(20,000)
Net tax payable			216,503

Notes:

^a The stock option gains under s.9(4)(a) are computed as below:

Assessable stock option gain:	€
OMV at time of exercised; i.e. 31/3/2020 (€28 × 400)	11,200
Consideration paid – strike price €20.64/share (€20.64 × 400)	8,256
	2,944
Converted to HK\$ @ 8.6536 (IRD published buying rate for March 2020)	HK\$25,476

^b S\$214 exchange based on a published average selling rate of 5.5085 as of 31 March 2020.

^c The parent and additional parent allowance of HK\$50,000 each (s.30(3)) are not eligible due to the fact that both Marie and Eileen are not ordinary residents of Hong Kong.

^d Only one child allowance is claimable because Rachel was born on 1 April 2020 which falls into YA 2020/21.

4.8.3.1 Provisional Salaries Tax (PST)

Pursuant to s.63B(1), every person who is chargeable to salaries tax for a YA is liable to pay PST in respect of that YA. Although PST is calculated based on a taxpayer's preceding year's income, it is the salaries tax on the taxpayer's current year income.

If a taxpayer expects his NCI to be significantly lower in the current year, he can request for a holdover of PST in writing:

- within 28 days before PST payment is due; or
- 14 days after the date of payment notice,

whichever is later (s.63E(1)). Please refer to Chapter 2 for details of the holdover of taxes.

Illustrative Example 31 – Applying for Holdover of PST

Adrian received a demand note on 6 August 2020. The first instalment (typically, 75% of PST) is due on 7 January 2021 and the second instalment (25% of PST) is due on 8 April 2021. Under s.63E(1), if Adrian were to request for a holdover of PST in respect of the first instalment, he must lodge the holdover application by the later of:

- 20 August 2020; i.e. 14 days after the issue of the demand note; or
- 10 December 2020; i.e. 28 days before 7 January 2021.

And the holdover application in respect of the second instalment must be made no later than 11 March 2021; i.e. 28 days before 8 April 2021.

The reasons a taxpayer may request for a holdover of PST are set out in s.63E(2). These are:

- He or she will be entitled to allowances not available in the previous year, e.g. birth of child;
- His or her net chargeable income is likely to be less than 90% of the net chargeable income for the preceding year. This could be due to the expenses which qualify for deductions and the amounts are likely to be in excess of the prescribed amounts and such expenses were not paid in the preceding year;
- He or she has ceased or will cease, before the end of the basis period for the YA, to derive income chargeable to salaries tax, e.g. retirement; or
- An objection was lodged and pending for the preceding year.

Illustrative Example 32 – PST Computation

We have assisted Adrian Yeo with his YA 2019/20 salaries tax computation in Apply and Analyse 6. Let us now compute Adrian's PST for the YA 2020/21. For PST purposes, Adrian's NCI is to be computed in accordance with ss.63C(1) and 63CA.

Illustrative Example 32 – PST Computation (*continued*)

Adrian Yeo PST Computation YA 2020/21 Basis Period: 1 April 2020 to 31 March 2021			
		HK\$	HK\$
Salary		1,500,000	
Bonus		200,000	1,700,000
Less: Allowable expenses (ss.12(1)(a) & (b))			
- Professional subscription ISCA			(1,179)
Less: Lump-sum payment (s.9(2))			
	A		1,698,821
Add: Rental value (A x 10%)		169,882	
Less: Rent paid by employee			
Add: Gain on stock option		25,476	195,358
Assessable Income (AI)	B		1,894,179
Less: Allowable deductions (s.12)			
- Loss brought forward			
- Self-education expenses ^a		(77,100)	(77,100)
Net Assessable Income (NAI)			1,817,079
Less: Concessionary deduction (Part 4) ^a			
- Mandatory contribution to MPF			(18,000)
- Approved charitable donation (capped at 35% of AI (B))			(50,000)
Net income (NI)	C		1,749,079
Less: Personal allowances ^a			
- Basic/married person's allowance		(132,000)	
- Child allowance		(120,000)	(252,000)
Net Chargeable Income (NCI)			1,497,079
PST at progressive rates on NCI (Sch2) ^a :			
On first	HK\$50,000	2%	1,000

Illustrative Example 32 – PST Computation (continued)

Adrian Yeo PST Computation YA 2020/21 Basis Period: 1 April 2020 to 31 March 2021				HK\$	HK\$	HK\$
On next	HK\$50,000	6%		3,000		
On next	HK\$50,000	10%		5,000		
On next	HK\$50,000	14%		7,000		
	HK\$200,000			16,000		
Balance	HK\$1,297,079	17%		220,503		
		D			236,503	
PST @ standard rate (NI (C) x 15%)		E			262,361	
PST payable (lower of D and E)						236,503
Net PST payable						236,503 ^b

Notes:

^a To apply the prescribed capped amounts, personal allowances and progressive tax rates applicable to the YA 2020/21 (s.63CA).

^b Tax reduction does not apply in the calculation of PST.

Given that PST is calculated based on a taxpayer's tax information for the preceding YA provided through the lodgement of the salaries tax return for the preceding YA, any latest change to the taxpayer's salaries tax position for current year will only be taken into account after the salaries tax return for current year is lodged. As a result, the second child allowance related to the birth of Rachel on 1 April 2020 will only be applied to Adrian's salaries tax assessment for YA 2020/21 by the time such assessment is finalised. Hence, his PST position for YA 2020/21 will still reflect the status that he has only one child.

PST will be used to offset the salaries tax payable by that person for that YA. Any excess thereof will then be applied to offset the PST for the succeeding YA, before a refund is made (s.63F). If a married couple were to elect for a joint assessment, the spouse nominated would be liable for PST.

Key Learning Point

Salaries tax is computed by:

- Ascertaining the taxpayer's assessable income and net assessable income following the provisions of ss.11B, 11C, 11D and 12;
- Deducting from the above net assessable income concessionary deductions under Part 4A, and personal allowances under Part 5 to arrive at the net chargeable income (s.12B); and

Key Learning Point (*continued*)

- Applying the progressive tax rates in Schedule 2 on the net chargeable income of the taxpayer (s.13(1)); or apply the standard tax rate in schedule 1 on the net assessable income as reduced by the concessionary deduction (s.13(2)(a)); whichever is lower.

► Knowledge Check Questions

Question 12

Identify which of the following adjustments must be made to the total income in computing a Hong Kong taxpayer's assessable income for the YA 2019/20.

- (I) Discretionary bonus accrued in the books of the employer as of 31 March 2019 but not paid until June 2019.
- (II) Gratuities paid to a taxpayer upon completion of a two-year project.
- (III) Payouts from an MPF scheme which is attributable to the mandatory contributions upon the person's permanent departure from Hong Kong.
- (IV) Donations made to an approved charitable organisation in Hong Kong.
- (V) Balancing charge upon the disposal of an asset used in the production of assessable income.

- A** I and II
- B** I, II and III
- C** II and IV
- D** II, IV and V

Question 13

Identify which of the following are deductible in arriving at the net chargeable income of a taxpayer for the YA 2019/20.

- A** Travelling expenses to and from home and office.
- B** Fees paid in March 2019 by an auditor to HKICPA for the qualifying program which only commenced after March 2019.
- C** Payment of HK\$92,000 to a nursing home in Macau for the care of the taxpayer's grandmother.
- D** Payment made for the Hong Kong Red Cross gala dinner tickets.
- E** Mortgage interest paid on a loan applied to acquire the residence/apartment and the carpark lot of the taxpayer in the YA 2019/20.



SUMMARY

Salaries Tax Overview

- Salaries tax is charged on pension, income from an employment or from office arising in or derived from Hong Kong.
- Income from a Hong Kong employment and income from services rendered in Hong Kong are income arising in or derived from Hong Kong.
- An employment is a Hong Kong employment if the following conditions are met:
 - The employment contract is negotiated, executed and enforceable in Hong Kong;
 - The employer is resident in Hong Kong; and
 - The employee is paid in Hong Kong for his services.
- Certain specific receipts are exempt from salaries tax under s.8(2), e.g. mainland China government employees' emoluments, certain payments from recognised retirement schemes, etc.
- The Exemption from Salaries Tax and Profits Tax (Anti-epidemic Fund) Order provides tax exemption for most AEF payments made effective YA 2019/20.

Income Chargeable to Salaries Tax

- Income from a Hong Kong employment (except income of a Hong Kong government employee or a crew member of a ship or an aircraft) is fully taxable in Hong Kong except when:
 - All services are performed outside Hong Kong; or
 - When the services are rendered in a non-DTA jurisdiction and the income is subject to tax of substantially the same nature as salaries tax and such foreign tax is paid (s.8(1A)(c)).
- All services are deemed rendered outside Hong Kong if services rendered in Hong Kong during visits is not more than 60 days in the year of assessment under s.8(1B).
- In the case of DTA jurisdiction, s.50 FTC will be allowed as a set-off against salaries tax payable on the same income (s.8(1C)).
- All income of Hong Kong SAR government employees is subject to salaries tax.
- The income of a crew member of an aircraft or a ship is exempt from Hong Kong salaries tax if he or she is present in Hong Kong for not more than a total of:
 - 60 days in the year of assessment; and
 - 120 days over two consecutive years of assessment (s.8(2)(j)).
- In computing the 60 or 120 days under s.8(2)(j), part of a day is counted as one day.
- In the case of a non-Hong Kong employment, salaries tax is chargeable on income derived from services rendered in Hong Kong for visits in excess of 60 days (ss.8(1A) and 8(1B)).
- The time basis of apportionment based on the days the employee stays in Hong Kong, is used to attribute the income subject to salaries tax.

- Unlike the 60-day exemption rule, the day of arrival and the day of departure is counted as one day in total for the time apportionment.

Income from an Office

- The source of income of a director is where the company making the payment is managed and controlled.
- The exemption provisions which apply to employment income do not apply to income from an office.

Income from a Pension

- Pensions are chargeable to salaries tax if the pension fund is managed and controlled in Hong Kong.
- Non-government pensions attributable to services rendered outside Hong Kong are tax exempt (s.8(2)(ca)).

Income from an Employment

- Income from an employment includes perquisites whether from an employer or others (s.9(1)(a)).
- Excluded from an employment income are any amounts paid to discharge the employer's sole and primary liability other than payment in connection with:
 - a holiday journey;
 - employee's child education; or
 - any benefit that is in anyway convertible into money (s.9(2A)).
- Accommodation provided or subsidised is taxed at the rental value of the residence or the rental value less the employee's contributions to rent (ss.9(1)(b) and 9(1)(c)).
- The actual rents paid or reimbursed by the employer or an associate are not taxable (s.9(1A)(a)) unless the reimbursements are allowances.
- The rental value of any residence provided is deemed to be 10% of the income under s.9(1)(a) from the employer less deductions claimable under ss.12(1)(a) and 12(1)(b).
- Where the residence is a hotel, boarding house or hostel, the deemed rental value percentage is 8% for a two-room or 4% for a one-room accommodation.
- A stock option granted to an employee is taxed on the notional gain when exercised, assigned or released (s.9(1)(d)).
- The notional gain on exercise of a stock option is the difference between the open market value of the shares acquired and the amount an employee is required to pay for the shares or grant (s.9(4)(a)).
- The notional gain on assignment or release of a stock option is the difference between the amount of the consideration and the amount an employee is required to pay for the grant of the right (s.9(4)(b)).
- Unconditional stock awards granted to an employee are taxed based on the market value of the shares at the time they are granted (upfront approach).

- Share awards which are vested over a period of time subject to an employee remaining in the employ of the company (conditional share awards) are taxed at the time of vest.
- Conditional share awards are taxed based on the market value of the shares at the time of vesting.

Retirement Benefits

- Any sum received being commutation of pension under a recognised occupational retirement scheme upon retirement, death, incapacity or terminal illness are salaries tax exempt (s.8(2)(c)).
- A lump sum benefit attributable to voluntary contributions made by an employer and received on termination of service is exempt if the service years with the employer are ten or more years ss.8(2)(c)(i), 8(4)(a) and 8(5)).
- The benefit attributable to the shortfall in 10 years of service will be subject to salaries tax (s.9(1)(ab)(ii)).

Allowable Deductions

- There are two categories of deductions under salaries tax; namely deductions under s.12 and concessionary deductions under Part 4A.
- Generally, an expense or outgoing, not being private, domestic or capital in nature, which is wholly, exclusively and necessarily incurred in the production of an assessable income is deductible under s.12(1)(a).
- The s.12(1)(a) test is applied stringently and very few expenses meet all the requirements.
- The IRD allows certain expenses as extra-statutory concessions as a deduction under s.12(1)(a).
- The extra-statutory concession deductions are professional subscription fees and laundry expenses for a taxpayer who must work in a uniform.
- Certain flat rate deductions are also allowed for specified employment, e.g. commissions-based employments to cover entertainment or travel expenses incurred to earn the commission income and laundry expenses of disciplined servicemen.
- Reasonable expense allowance, e.g. a per diem from an employer to cover work related travel expenses, is generally not taxable.
- The depreciation allowances, the initial allowance and annual allowance, are granted in respect of the expenditure incurred on plant and machinery essential to the production of assessable income.
- Self-education expenses paid in respect of a course undertaken is deductible up to the prescribed amount if the course taken is to gain or maintain qualifications for use in an employment.
- Concessionary deductions under Part 4A are deductible under salaries tax and personal assessment.
- Cash donations to approved charitable institutions totalling HK\$100 or more are deductible up to 35% of the assessable income of the taxpayer less deductions under s.12(1)(a) and (1)(b) (s.26C).
- Qualifying elderly residential care expenses, paid to a residential care home in Hong Kong in respect of each eligible parent or grandparent, are deductible up to the prescribed amount (s.26D).

- Home loan interest expenses paid on a loan used to acquire the taxpayer's primary residence in Hong Kong are deductible up to the prescribed capped amount of HK\$100,000 (s.26E).
- A taxpayer with home loan interest expenses and no assessable income may nominate his or her spouse to claim the deduction (s.26(F)).
- Contributions to recognised retirement scheme up to HK\$18,000 or mandatory contributions to MPF scheme are deductible (s.26G).
- Qualifying premiums paid under the VHIS policy are deductible up to a maximum amount prescribed of HK\$8,000 from year of assessment 2019/20.
- The aggregate of qualifying annuity premiums paid under QDAP and TVC paid into a TVC account are deductible up to a maximum of HK\$60,000 for the effective year of assessment 2019/20.

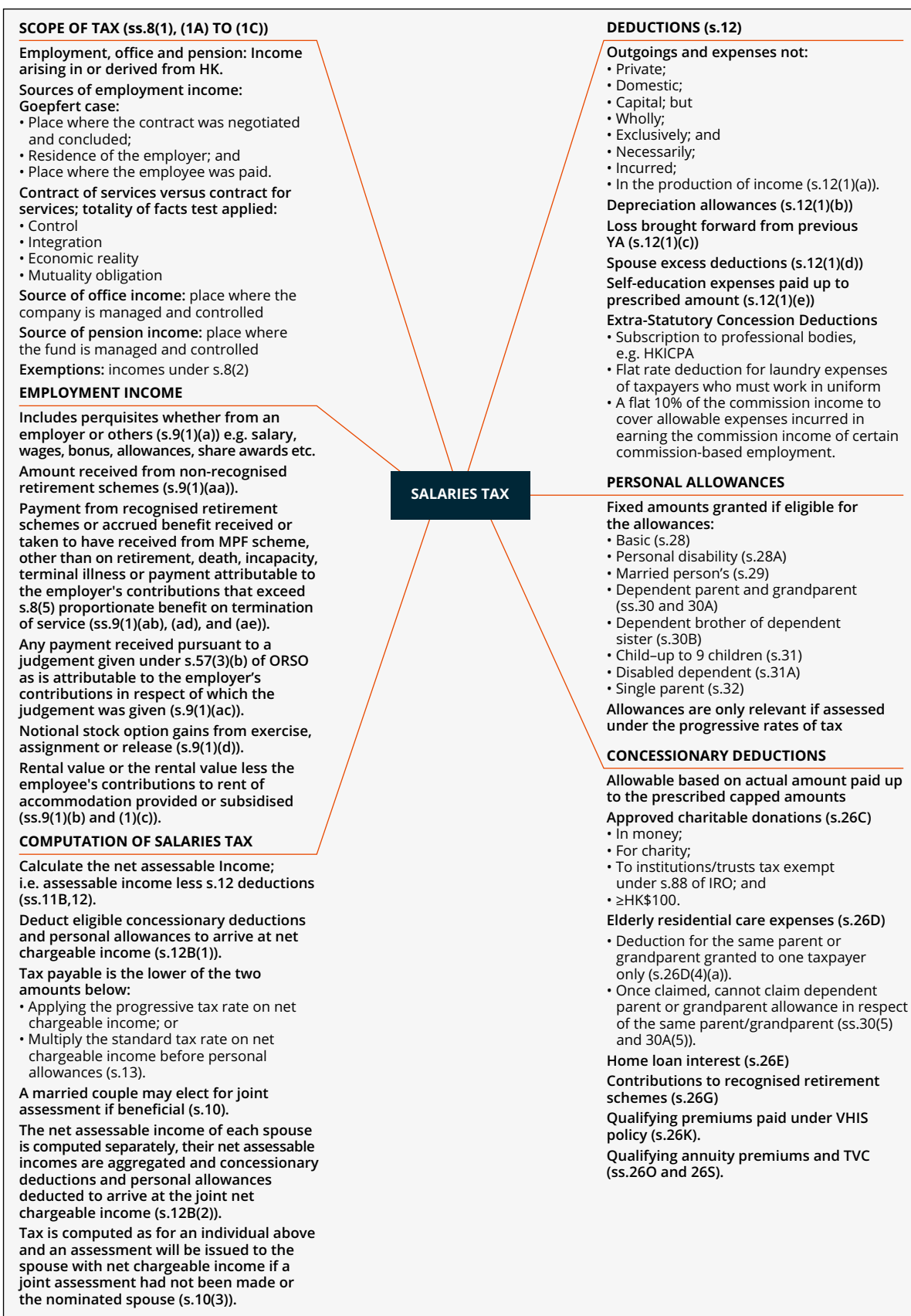
Personal Allowances

- Personal allowances are prescribed sums allowable to a taxpayer in a YA (s.27).
- A taxpayer is entitled to a basic allowance and can claim other personal allowances if he or she is eligible for the allowances (s.28(1)(a)).
- A married taxpayer is entitled to a basic allowance or can claim a married person's allowance if his or her spouse did not claim for both allowances (s.28(2)).
- All of the child allowance grantable to a married couple must be claimed by one nominated spouse only (s.31(3)(a)).
- If the child allowance is grantable to both parents not living together, disabled dependent allowance in respect of the child will be grantable to both in the same ratio (s.31A(2)).
- If two or more persons are entitled to claim single parent allowance in respect of the same child, the allowance shall be apportioned as determined by the CIR (s.32(3)).
- All other personal allowances may be claimed by one taxpayer only in respect of the same dependent.
- No taxpayer is eligible for DPA or DGA if a deduction is claimed under elderly residential care expenses in respect of the same parent or grandparent (s.30(5) and s.30A(5)).

Computation of Salaries Tax and PST

- If lump sum payments were made upon cessation of an employment or an employee received a deferred pay, the employee may apply to have the payment related back to the YA in respect of which the services were rendered if doing so would reduce his or her tax liability (s.11D(b)(i)).
- In computing the salaries tax liability of a taxpayer, income accrued but not received or deemed received shall be excluded from his assessable income (s.11D(a)).
- Similarly, an income received but not accrued to a taxpayer may be excluded in computing the person's assessable income.
- A taxpayer who is chargeable to salaries tax in any YA is required to pay provisional tax in respect of that YA (s.63B).
- Provisional tax is generally computed based on income less allowances of the preceding year adjusted by using the current year's prescribed amounts for concessionary deductions and personal allowances (ss.63C and 63CA).

MIND MAP



APPENDIX

4.A Counting Days in Hong Kong

	Day of arrival	Day of departure	Total number of day(s)
60-day exemption rule	1 day	1 day	2 days
Time apportionment: midnight rule		1 day	1 day

4.B Taxation of Accrued Benefits Received from ROR Schemes (Adapted from IRD's Pamphlet *Employer's Tax Obligation Under MPF Schemes and ROR Schemes*)

Accrued benefits attributable to:	Circumstances received	Salaries tax status
• Employee's contributions and investment return thereof	Any circumstance	Exempt
• Employer's contributions and investment return thereof	Retirement, death, incapacity or terminal illness	Exempt (s.8(2)(cc)(i))
	Termination of services where service year(s):	
	• ≥10 years	Exempt (s.8(2)(c)(i))
	• < 10 years	• Amount not exceeding proportionate benefit: Exempt • Amount in excess of proportionate benefit: Taxable (s.9(1)(ab)(ii))
	Other circumstances	• Taxable (s.9(1)(ab)(i))

4.C Personal Allowances

Type of allowance	Year of Assessment		Provision in IRO
	2019/20 HK\$	2020/21 HK\$	
Basic	132,000	132,000	s.28, Schedule 4 Item 1
Personal disability	75,000	75,000	s.28A, Schedule 4 Item 2
Married person's	264,000	264,000	s.29, Schedule 4 Item 3
Dependent parent (DPA): age			s.30
• ≥60 years of age ^a	50,000	50,000	s.30(1), s.30(3)(a), Schedule 4 Item 4(a)
• 55 or more but <60	25,000	25,000	s.30(1A), s.30(3A)(a), Schedule 4 Item 4(c)

Type of allowance	Year of Assessment		Provision in IRO
	2019/20 HK\$	2020/21 HK\$	
Additional DPA: age			
• ≥60 years of age ^a	50,000	50,000	s.30(1), s.30(3)(b), Schedule 4 Item 4(b)
• 55 or more but <60	25,000	25,000	s.30(1A), s.30(3A)(b), Schedule 4 Item 4(d)
Dependent grandparent (DGA): age			s.30A
• ≥60 years of age ^a	50,000	50,000	s.30A(1), s.30A(3)(a), Schedule 4 Item 5(a)
• 55 or more but <60	25,000	25,000	s.30A(1A), s.30A(3A)(a), Schedule 4 Item 5(c)
Additional DGA: age			
• ≥60 years of age ^a	50,000	50,000	s.30A(1), s.30A(3)(b), Schedule 4 Item 5(b)
• 55 or more but <60	25,000	25,000	s.30A(1A), s.30A(3A)(b), Schedule 4 Item 5(d)
Dependent brother/ dependent sister	37,500	37,500	s.30B, Schedule 4(6)
Child	120,000	120,000	s.31, Schedule 4 Item 7(a)
Additional child - year of birth	120,000	120,000	s.31(1A), Schedule 4 Item 7(b)
Disabled dependent	75,000	75,000	s.31A, Schedule 4 Item 8
Single parent	132,000	132,000	s.32, Schedule 4 Item 9

► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. Mei-ling had a Hong Kong employment with KP-HK. Hence, her monthly salary received from KP-HK should be treated as a Hong Kong sourced income from an employment and chargeable to salaries tax accordingly.

Answer B is incorrect. Although Adrian's secondment to GBank Hong Kong Branch was regarded as a non-Hong Kong employment, his monthly salary received from the GBank Hong Kong Branch should be time apportioned according to his time-in and time-out of Hong Kong. The portion related to his time spent onshore will be treated as his Hong Kong sourced income and subject to salaries tax.

Answer C is correct. Eileen's dividend income is not an income from office/employment/pension and should not be taxable under salaries tax.

Answer D is incorrect. Given that the source of income from an office of directorship is where the company making the director's fees is centrally managed and controlled, Gilbert's director's fees received fall under the salaries tax net.

Question 2

Pursuant to the Goepfert case, the three factors in deciding the location of employment are as follows:

1. the place where the employment contract was negotiated and concluded;
2. the residence of the employer; and
3. the place where the employee was paid.

Question 3

Answer B (II, III and IV) is correct due to the following:

- (I) While Stefan provides services to a Hong Kong company, he is not an employee of the company.
- (II) Miss Tam has a Hong Kong employment as her contract of employment was most closely connected with Hong Kong. She was recruited for a position that belonged to part of a team in Hong Kong and she reported to a manager in Hong Kong. The UK company was resident in Hong Kong as its central management and control was in Hong Kong (see *Ahn Sang Gyun v CIR*, HCIA 4/2008).
- (III) James was on a non-Hong Kong employment until the date he was transferred to a local contract which turned him into a Hong Kong employment.
- (IV) Is Pierre performing the services as a person in business on his own account? Pierre's hours are regular and controlled by the studio, his contract is exclusive and he has a room reserved for him. Pierre is an employee and has a Hong Kong employment because he is employed by a Hong Kong entity.

Question 4

Answer A (I, II, IV) is correct due to the following:

- (I) Pensions from Hong Kong government are chargeable to tax. S.8(2)(ca) specifically excludes them from exemption.
- (II) Peyton has a Hong Kong employment. He did not render all his services outside Hong Kong (s.8(1A)(b)(ii)). He did not meet the 60-day exemption rule as he lived in Hong Kong (s.8(1B)).
- (III) The source of a director's fee is determined by the location where the company making the payment has its central management and control. The Guangzhou company is likely to have its management and control in Guangzhou (where the three other directors are located). Thus, the director's fee is not chargeable to salaries tax.
- (IV) The company is likely to have its management and control in Hong Kong given that the majority of the directors including the Chief Executive Officer who is also the main shareholder, are Hong Kong based. Other than the manufacturing, the company's main office is in Hong Kong and is likely to conduct substantial business operations and keep house in Hong Kong (see D123/02). The director's fee is Hong Kong sourced and chargeable to salaries tax.

Question 5

Answer C (I and IV) is correct due to the following:

- (I) Since Gary has a non-Hong Kong employment and his visits to Hong Kong exceed 60 days, his income attributable to Hong Kong will be computed based on the time-in-time-out basis (s.8(1A)(a)).

- (II) Sally has a Hong Kong employment and her income is fully assessable as being Hong Kong sourced (s.8(1)(a)).
- (III) Mr. Wong has two separate contracts of employment; one with Hong Kong and the other is a non-Hong Kong employment. His contracts would have provided for the remuneration for each service rendered; i.e. Hong Kong and non-Hong Kong. Thus, no apportionment is permissible (D106/89) and required.
- (IV) Billy is assessed under s.8(1A)(a) and his income will be attributed to Hong Kong using the time apportionment basis.

Question 6

Answer A is correct. See D46/87 – the Board held that if an employee only made use of the accommodation for the purpose of eating, sleeping and relaxing when performing his duties, he received no personal benefit. Gabriel's family lives in their Kowloon Tong home. As a head chef, he is required to also work at odd hours as and when his employer requires. The room is used for days when he needs to rest in between and is not his residence.

Answer B is incorrect. Home-office travel expenses are private expenses. The reimbursements are thus chargeable to salaries tax being money in value.

Answer C is incorrect. The car benefit is convertible into money by other means; i.e. opting for a monthly transport allowance. The taxable value is the amount of monthly transport allowance paid to employees who opt out of the car benefit (s.9(2A)(a)).

Answer D is incorrect. Reimbursement of monthly subscription fees to a private health club is a discharge by the employer of the managing director's private liability and is therefore assessable. See D37/09.

Answer E is incorrect. The hotel porter's laundry allowance is assessable under s.9(1)(a).

Question 7

Answer A is incorrect. The gain from an exercise of the stock option is the notional gain computed based on the OMV of the shares less the strike price. The IRD has in paragraph 17 of DIPN 38 (Revised) confirmed that the gain is required to be calculated by reference to the open market value on the day of exercise and any other date is generally not appropriate. Since Tim exercised the options on 31 August and the closing price at Nasdaq was US\$32, the OMV for notional gains purposes is US\$32. Thus, for the purposes of s.9(1)(d) and s.9(4)(a), the notional gain is the difference in the open market value of the shares; i.e. US\$3,200 (US\$32 × 100) less the considerations paid by Tim of US\$2,000. The assessable amount is US\$1,200 and not US\$1,300.

Answer B is incorrect. Mr. Park is provided a service apartment and the IRD does not treat a service apartment as a hotel or boarding house. Also, the rental value is 10% on the income net of the s.12(1)(a) and s.12(1)(b) deductions; i.e. assessable income less outgoings and expenses. Self-education expenses are not deducted in computing the rental value.

Answer C is incorrect. Given that the award is otherwise convertible to a HK\$4,000 Starbucks card which operates more like a pre-loaded cash card, the award is assessable.

Answer D is correct. Mandatory contributions to MPF are not regarded as income to an employee under s.9(1)(ad).

Question 8

Answer D (III, IV, V) is correct due to the following:

- (I) As the occupational retirement scheme is not a recognised scheme, the lump sum paid to Pete is assessable under s.9(1)(aa).
- (II) A pension from a ROR scheme is chargeable to salaries tax under s.8(1)(b).
- (III) A lump sum received being the employer's mandatory contribution to an MPF scheme on permanent departure from Hong Kong is exempt under s.8(2)(cb).
- (IV) Payouts from an MPF scheme to Jane who was diagnosed with terminal illness is exempt under s.8(2)(cb) and s.8(2)(cc)(ii).
- (V) Mrs. Li was with her employer for more than 10 years of service, thus the accrued benefits deemed to be received by her are tax exempt (s.8(2)(cc)(ii)).

Question 9

Answer C (I, II, IV and V) is correct due to the following:

- (I) S.12 (1)(e) provides that the claim for a deduction must be made in the year of assessment the self-education expenses are paid.
- (II) Under s.26G(3)(b) and schedule 3B, the mandatory contribution to an MPF scheme up to HK\$18,000 is deductible.
- (III) Under s.26D(4)(a), the deduction will only be granted to one taxpayer. As Leslie's sister was named in the invoices, she is deemed to be the party who has paid for the expenses – see paragraph 23 of DIPN 36 (Revised).
- (IV) Nick is a senior audit manager and being a member of an institution like the Chartered Accountants of Australia and New Zealand is a prerequisite of his employment and helps keep him abreast with current developments which are key to the performance of his duties. The IRD's policy allows a deduction for such a subscription fee paid to one professional association as an extra-statutory concession – paragraph 17 of DIPN 9 (Revised).
- (V) The IRD applied as a matter of discretion a flat standard deduction of HK\$2,400 given to certain categories of employment, including the uniformed members of the Hong Kong Police Force.

Question 10

Answer A is incorrect. What Mr. Li acquired via the premium was the right to alienate a flat which has always been his dwelling. The premium was the consideration for removal of the restriction over his subsisting dwelling. He was not entitled to deduct interest on the loan as home loan interest ([D139/01](#)).

Answer B is correct. Liz can claim home loan interest under s.26E(2)(c)(i) up to her 50% ownership ratio; i.e. HK\$70,000 in year of assessment 2019/20.

Answer C is incorrect. To claim a deduction under s.26E(1), the Diamond Hill apartment must be Teng Teng's principal place of residence and used by her as such. Teng Teng's principal place of residence is in Stanley, she is not entitled to claim home loan interest deduction ([D62/09](#)).

Answer D is incorrect. The loan obtained in June 2019 was not applied for the acquisition of the Mid-Levels apartment. Thus, the claim for home loan interest is not allowable – s.26E(1), s.26E(3)(a) and s.26E(9).

Question 11

Answer C (I and IV) is correct due to the following:

- (I) Jim and John can claim DPA as they maintained their parents; i.e. they contributed at least HK\$12,000 each (s.30(4)(a)(ii)/Schedule 4), and their parents are ordinary residents in Hong Kong who are aged 60 for part of the year (s.30(1AA)(1)).
- (II) Mr. Huang (junior) is not eligible for the dependent grandparent allowances as he did not maintain his grandmother. His parents did.
- (III) Jess Mok and her husband cannot, and did not, elect a joint assessment under s.10(2) and personal assessment under Part 7. Therefore, her husband cannot claim a married person's allowance as Jess has assessable income in the relevant year (s.29(1)(a)).
- (IV) Mr. Tang's brother meets the requirement of s.30B(1)(b). Since Mr. Tang's parents no longer live in Hong Kong, Mr. Tang is supporting his brother who lives and depends on him, being his brother's only family in Hong Kong. He is likely to have sole and predominant care of his brother (s.30B(3)(a)).
- (V) Under s.31(3)(a), all child allowances must be claimed by one spouse only. Simon and Simone are required to nominate the person who will claim all child allowances (s.31(3)(b)).

Question 12

Answer B (I, II and III) is correct due to the following:

- (I) Discretionary bonus accrued in the books of the employer as of 31 March 2019 but not paid until June 2019 will not be assessable to the taxpayer until he or she receives the bonus (s.11D(a)).
- (II) Gratuities paid to a taxpayer upon completion of a two-year project can be related back to the period in which the services were performed (s.11D(b)(i)).
- (III) A pay-out from an MPF scheme which is attributable to the mandatory contributions upon permanent departure from Hong Kong is tax exempt under s.8(2)(cb).
- (IV) A donation made to an approved charitable organisation is not a deduction made to arrive at the assessable income of a person (s.12B(2)(a)).
- (V) Balancing charge is deducted to arrive at net assessable income and not assessable income (s.12(5)).

Question 13

Answer A is incorrect. Home to office travelling expenses are domestic/private in nature (see Section 4.6.1.1).

Answer B is incorrect. Self-education expenses are only deductible in the year the expenses are paid and not when the course commenced (s.12(1)(e)).

Answer C is incorrect. The nursing home in Macau is not licensed under the Residential Care Homes (Elderly Persons) Ordinance (Cap.459) and does not fall within the definition of residential care homes under s.26D(5). Thus, no deductions will be allowable.

Answer D is incorrect. Payment made for the Hong Kong Red Cross gala dinner tickets is not a donation of a charitable nature (Paragraph 4 of DIPN 37 (Revised)).

Answer E is correct. Mortgage interest paid on the loan applied to acquire the residence/apartment of the taxpayer including a carpark lot is deductible up to the maximum amount of HK\$100,000 in the year of assessment 2019/20 (s.26E(8)(a)).

EXAM PRACTICE

QUESTION 1

Lutz Schumacher

Lutz joined a construction company as a Senior Quality Assurance Engineer on the following contract terms:

1. Period of contract: 1 December 2017 – 30 November 2019
2. Basic salary: HK\$50,000 per month
3. Contract gratuity: HK\$150,000 upon completion of contract

Upon completion of the contract, Lutz was employed by the same employer as a permanent staff starting from 1 December 2019 with a monthly salary of HK\$55,000.

Other relevant information:

- (i) Lutz also received the following during his employment with the construction company:

	1 April 2018 – 31 March 2019 HK\$	1 April 2019 – 31 March 2020 HK\$
Home to office allowance	1,000/month	1,200/month
Bonus	Nil	40,000/year
Holiday passage allowance	5,000	10,000

- (ii) Lutz had spent HK\$13,000 and HK\$10,000 for the purchase of his holiday passage when he was on annual leave in January 2019 and in February 2020.
- (iii) Lutz was provided with a company's staff quarters in Discovery Bay starting from 1 December 2018, and the company deducted HK\$2,250 monthly from his salaries as rent.
- (iv) On 1 February 2019, Lutz was granted an option to purchase 10,000 shares of the company's shares at HK\$10 per share. He took the option and paid HK\$1,000 for it on 1 February 2019. On 1 May 2019, he exercised the option to take up the shares when the shares were traded at HK\$18/share on the Hong Kong Stock Exchange. On 30 May 2019, he sold all the shares at the market value of HK\$17.
- (v) Lutz received a contract gratuity on 30 November 2019, and he elected to have the contract gratuity spread back under s.11D(b) of the IRO.
- (vi) Lutz is married to Mirjam who is a German language teacher at the German-Swiss International School on the Island. They have a son aged 10. Lutz is living with his grandfather who is 85 years old and has been receiving allowances under the Government's Disability Allowance Scheme for a few years already.

- (vii) Lutz and Mirjam have made the following donations:

	1 April 2018 – 31 March 2019 HK\$	1 April 2019 – 31 March 2020 HK\$
<i>Lutz:</i>		
• Cash donation to Orbis Hong Kong (an approved charitable organisation)	5,000	Nil

	1 April 2018 – 31 March 2019 HK\$	1 April 2019 – 31 March 2020 HK\$
• Two karaoke sets to local elderly home run by an approved charitable organisation with total costs equivalent to:	Nil	18,000
<i>Mirjam:</i>		
Cash donation to Hong Kong Red Cross (an approved charitable organisation)	4,000	5,000

Required

- Compute Lutz's assessable incomes for YAs 2018/19 and 2019/20 taking into account the gratuity spread back under s.11D(b) of the IRO; and Lutz and Mirjam have elected to be separately assessed for salaries tax purposes.
- State how to make a valid application for spreading back a contract gratuity.

QUESTION 2

Barbara Yeo

Barbara Yeo, Adrian's younger sister, graduated with a first class honour degree in aviation management from Nanyang Technological University in Singapore. Barbara has decided to join Phoenix Airways Company Ltd (PACL) as a Kuala Lumpur-based air-stewardess in order to attain more practical airline operational experience and enjoy travelling around the world. Her employment contract was negotiated and concluded with PACL's subsidiary in Malaysia.

Given that Hong Kong International Airport is PACL's main hub, Barbara is frequently operating flights between Kuala Lumpur and Hong Kong, PACL's ongoing flights from Kuala Lumpur to other ports located in Southeast Asia and South Asia regions. As such, she is often in Hong Kong either as a final destination or in transit to other ports of arrival, although she is based in Kuala Lumpur. Besides salary and hotel accommodation, which is provided by PACL, Barbara is paid with the following items by PACL:

- hotel accommodation (if she is required to stay overnight outside Kuala Lumpur while on-duty);
- outport overnight allowance (if she is required to stay overnight outside Kuala Lumpur while on-duty);
- meal allowances depending on the length of her stay in the outport; and
- a laundry allowance for every 24 hours staying in an outport.

The rate of all these allowances vary depending on the city visited and the hotel stayed at.

Please find below Barbara's travel records to Hong Kong for the past three YAs for your information:

Basis period	Days in HK	No. of transit days in HK
1/4/2016–31/3/2017	37	12
1/4/2017–31/3/2018	48	13
1/4/2018–31/3/2019	56	15
1/4/2019–31/3/2020	38	12

Required

- Advise Barbara if she is liable to Hong Kong salaries tax.
- Which part of Barbara's remuneration is taxable in Hong Kong?

Answer with reference to the relevant provisions of the IRO and the IRD practices and ignore any foreign and international tax issues.

QUESTION 3

Robert Yeo

Robert, Adrian's uncle, has been employed by Oil & Gas Ltd (OGL), a company incorporated and managed in Brunei Darussalam, for many years. Robert was required to render services in Hong Kong and other Asian countries. On 1 April 2019, he was appointed as a director of Oil & Gas (HK) Ltd (OGLHK), a subsidiary of OGL that is incorporated and managed in Hong Kong. The IRD Assessor accepted that Robert's employment with OGL is located outside Hong Kong.

Please find below the additional information in respect of Robert for the last two YAs:

- He stayed in the following places during the relevant years of assessment:

	YA 2018/19	YA 2019/20
Hong Kong	90	130
Malaysia	70	65
Brunei	150	100
Singapore	55	46
Norway (vacation leave)	0	25
Total:	365	366

- He received the following income during YAs 2018/19 and 2019/20:

	YA 2018/19 HK\$	YA 2019/20 HK\$
Salary	960,000	996,000
Bonus	80,000	85,000
Holiday passage allowance ^a	18,000	24,000
Allowance for stays in Hong Kong	63,000	73,500
Director's fees from OGLHK	Nil	120,000

^aRobert spent the two years' holiday passage allowance of HK\$42,000 in total during his vacation leave to Norway in YA 2019/20.

- OGL rented a flat in Hong Kong for Roberts accommodation at a monthly rent of HK\$30,000. The flat was available to Robert even though he was not in Hong Kong. Nominal monthly rent of HK\$1,000 would be deducted from his salary as rental contribution.

- (iv) On 1 May 2018, OGL granted Robert an unconditional option at a cost of HK\$10,000 to purchase 100,000 shares of HK\$2 each in OGL which is traded on Hong Kong Stock Exchange. Robert purchased the option on 1 July 2018. On 31 March 2019, he sold half of the option to his friend for a consideration of HK\$50,000. On 31 March 2020, he exercised the remaining option.

The OMV of the shares at the relevant dates were as follows:

	HK\$
1 May 2018:	5
1 July 2018:	7
31 March 2019:	10
31 March 2020:	8

- (v) Robert paid residential care expenses of HK\$54,000 for each of the YAs 2018/19 and 2019/20 in respect of his father, Ah-heng Yeo, who is aged 86. The residential care home is located in Penang, Malaysia.
- (vi) Robert is married to Mary who is a housewife. They have two children, Andy and Bo. Both children have graduated and commenced their full-time jobs.

Required

- (a) Compute the chargeable gains on Robert's share option for YAs 2018/19 and 2019/20.
- (b) Compute Robert's net assessable income before concessionary deductions for YA 2018/19.
- (c) Compute Robert's salaries tax liability for YA 2019/20. Please show all your workings and assumptions but ignore tax reduction and PST.

QUESTION 4

Chee-keong Tan

Mei-ling's younger brother, Chee-keong, has also managed to secure a job offer with Ultra Rich Bank Ltd (URBL), a company incorporated and carrying on business in Hong Kong. Chee-keong is employed as the Transfer Pricing Manager of URBL with effect from 1 April 2019.

Under the terms of the employment contract, he is required to periodically visit the branches of URBL in mainland China, as well as other Asian cities, to ensure that all operations of URBL are in compliance with the latest requirements as imposed by the BEPS Project formulated by OECD. You have been provided with the following information concerning YA 2019/20:

- a) Chee-keong visited mainland China for 65 days on different occasions during the year to assist the Mainland branch in preparing the transfer pricing documentation and the Country-by-Country Reporting package.
- b) Annual salary: HK\$960,000
- c) Bonus: HK\$68,800.

- d) Holiday passage allowance: HK\$40,000. He spent HK\$30,000 on overseas travelling during his vacation.
- e) On 1 May 2019, Chee-keong was appointed as a director of another non-banking subsidiary company of the URBL Group, a company incorporated in Hong Kong. He received director's fees of HK\$88,000 during the year.
- f) On 1 April 2019, Chee-keong was granted an option to subscribe for 100,000 of URBL's shares at HK\$5 each. He paid HK\$5,000 for the option on 30 April 2019. He exercised the option to purchase 60,000 shares and 40,000 shares on 1 June 2019 and 1 October 2019, respectively. Chee-keong sold all the shares on 15 March 2020. The respective OMV per share was as follows:

	HK\$
1 April 2019	12
30 April 2019	15
1 June 2019	14
1 October 2019	18
15 March 2020	22

- g) Chee-keong rented a flat for his residence at a monthly rent of HK\$25,000. His employer refunded HK\$22,000 to him upon producing/rental receipts but deducted 5% of his salary per month as rent paid to the employer. The rateable value of the flat for the year was HK\$200,000.
- h) Chee-keong was provided with a company car for his own private use. The company car was purchased by URBL in 2018 for HK\$250,000. The second-handed value of the car as at 31 March 2020 was HK\$100,000. He also received a petrol allowance of HK\$12,000 during the year.
- i) At the annual dinner held by URBL on 26 December 2019, Chee-keong won a TV set in the lucky draw. The cost of the TV set was HK\$2,600. The second-handed value of the TV set was HK\$2,000.
- j) Under his employment contract, a domestic helper was provided by the employer to serve Chee-keong's family. During the period 1 April 2019 to 30 September 2019 a local maid was employed by URBL at a monthly salary of HK\$5,000. Starting from 1 October 2019, a foreign domestic helper started to work for Chee-keong at a monthly salary of HK\$3,800. Although the contract with the domestic helper was signed by Chee-keong, another contract was signed between URBL and Chee-keong under which the domestic helper's monthly salary was to be borne and paid directly by URBL.
- k) Chee-keong attended a number of professional education seminars organised by the Hong Kong Institute of Certified Public Accountants for a total fee of HK\$40,000. His employer refunded HK\$20,000 of this to him.
- l) Chee-keong has paid the following annual subscriptions:
- Hong Kong Institute of Certified Public Accountants: HK\$2,000
 - The Institute of Singapore Chartered Accountants: HK\$1,700

m) Chee-keong has made the following donations:

- Donation of toys to Salvation Army, Hong Kong: HK\$2,000
- Cash donations to the Community Chest of Hong Kong: HK\$3,000

The above organisations are approved charitable organisations.

n) Chee-keong is married to Hsu-hsien who is a housewife. They have a son, Rex, one year old. Since Eileen (Chee-keong's mother) has been travelling back and forth between Singapore and Hong Kong in order to take care of Mei-ling and her two young children, Hsu-hsien and Rex have been staying in an acquired flat in Singapore, together with Hsu-hsien's mother. The acquisition of the flat in Singapore was financed by a mortgage loan and the total interest paid during the year was equivalent to HK\$80,000.

o) Chee-keong has contributed HK\$18,000 as his mandatory contribution to the MPF.

p) Although they are temporary staying in Singapore, both Hsu-hsien and Rex are dependents to Chee-keong and are in possession of Hong Kong Identity Cards.

Required

Compute the salaries tax payable by Chee-keong for YA 2019/20. Kindly disregard any foreign tax issues and ignore PST. All workings and assumptions must be clearly shown and stated.

ANSWERS TO EXAM PRACTICE

QUESTION 1

(a)

Lutz Schumacher Salaries Tax Computation YA 2018/19 Basis Period: 1 April 2018 to 31 March 2019		
	HK\$	HK\$
Salary	600,000	
Home to office allowance	12,000	
Holiday passage allowance ^a	5,000	
Gratuity related back ^b	75,000	
A		692,000
Add: Rental value ($A \times 4/12 \times 10\%$)	23,066	
Less: Rent paid by employee ($\text{HK\$}2,250 \times 4$)	(9,000)	14,066
B		706,066
Less: Concessionary deduction		
• Approved charitable donation (capped at 35% of B)	(5,000)	
• Contributions to mandatory MPF	(18,000)	(23,000)
Net assessable income		683,066

Lutz Schumacher Salaries Tax Computation YA 2019/20 Basis Period: 1 April 2019 to 31 March 2020		
	HK\$	HK\$
Salary (HK\$50,000 × 8 + HK\$55,000 × 4)	620,000	
Bonus	40,000	
Home to office allowance	14,400	
Holiday passage allowance ^a	10,000	
Gratuity related back ^b	50,000	
Share options ^c	79,000	
A		813,400
Add: Rental value (A – HK\$79,000) × 10%	73,440	
Less: Rent paid by employee (HK\$2,250 × 12)	(27,000)	46,440
B		859,840
Less: Concessionary deduction		
• Approved charitable donation (capped at 35% of B)	(0) ^d	
• Contributions to mandatory MPF	(18,000)	(18,000)
Net assessable income		841,840

Notes and Workings:

^a Holiday passage allowance is taxable starting from 1 April 2003. Hence, the same received and utilised for YAs 2018/19 and 2019/20 are treated as taxable income for salaries tax purposes.

^b The related back of the contract-end gratuity is calculated as follows:

Period	No. of Months	Amount (HK\$)
1 December 2017 – 31 March 2018	4	25,000
1 April 2018 – 31 March 2019	12	75,000
1 April 2019 – 30 November 2019	8	50,000
Total:	24	150,000

Since the contract lasted for two years, the maximum spread back period should therefore be 24 months.

^c Gains on share options:

	HK\$	HK\$
OMV at the time the option was exercised (HK\$18 × 10,000)		180,000
Less: Cost of option	(1,000)	
Less: Cost of shares (HK\$10 × 10,000)	(100,000)	(101,000)
Chargeable gains for YA 2019/20		79,000

As a separate note, share option benefits will not be included in the computation of determining the rental value.

^d Donation of the karaoke sets is not allowed for the purposes of claiming tax deduction because it is not made in cash.

- (b) The application for relating back a contract gratuity must be made in writing to the CIR within two years after the end of the year of assessment in which the contract gratuity is made.

QUESTION 2

- (a) S.8(2)(j) provides that the income of a crew member of a ship or an aircraft shall be exempt from salaries tax if he or she was present in Hong Kong for not more than:
- (1) a total of 60 days in the basis period for that YA; and
 - (2) a total of 120 days falling partly within each of the basis periods for two consecutive YAs, one of which is that YA.

For the purpose of determining the days in Hong Kong under s.8(2)(j), part of a day in Hong Kong is counted as one day. In IRBRDs D40/07 and D20/00, the BOR held that part of a day should be counted as a day. Further, transit days are also counted as days present in Hong Kong as upheld in D11/13. Thus, Barbara was in Hong Kong the following number of days and her tax positions for the years are as shown below:

Basis period	Days in HK	No. of transit days in HK	Total days in HK	s.8(2)(j) exemption
1/4/16 – 31/3/17	37	12	49	Exempt
1/4/17 – 31/3/18	48	13	61	No exemption – exceeded 60 days, thus did not meet s.8(2)(j)(i)
1/4/18 – 31/3/19	56	15	71	No exemption – exceeded 120 days for YA2018/19 and 2019/20, thus did not meet s.8(j)(ii)
1/4/19 – 31/3/20	38	12	50	

Based on the above, Barbara is chargeable to salaries for the years of assessment 2017/18, 2018/19 and 2019/20.

- (b) Barbara has a non-Hong Kong employment as she works for a Malaysian subsidiary of PACL. Under s.8(1A)(a), her income attributable to the services rendered in Hong Kong is chargeable to salaries tax. The IRD uses the time basis apportionment rule, i.e. days she was in Hong Kong plus leave days attributable to her income from services rendered in Hong Kong. The various allowances paid by her employer to cover her meals and living expenses are assessable income (paragraph 29, DIPN 10 (Revised)). The actual expenses incurred by her on meals, etc. are not deductible as they are expenses of a private nature and not wholly, exclusively and necessarily incurred in the production of income (D54/94). The hotel accommodation provided to her by PACL during Barbara's duty stays in Hong Kong is not assessable based on the arguments that Barbara does not have any exclusive right to the accommodation since she can only stay in the hotel during her duty stays, and the benefits provided to Barbara cannot be converted into money or money's worth.

QUESTION 3

Robert Yeo Computation of Gains on Share Option YA 2018/19 Basis Period: 1 April 2018 to 31 March 2019

	HK\$
Proceeds of option	50,000
Less: Cost of option ($\text{HK\$}10,000 \times \frac{1}{2}$)	(5,000)
Total gain	45,000
Chargeable gains attributable to Hong Kong services ($\text{HK\$}45,000 \times 90/365$)	11,095

Computation of Gains on Share Option YA 2019/20 Basis Period: 1 April 2019 to 31 March 2020
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	HK\$	HK\$
OMV of shares at the date of exercise ($50,000 \times \text{HK\$}8$)		400,000
Less: Cost of shares ($\text{HK\$}2 \times 50,000$)	(100,000)	
Less: Cost of option ($\text{HK\$}10,000 \times \frac{1}{2}$)	(5,000)	(105,000)
Total gain		295,000
Chargeable gains attributable to Hong Kong services ^b ($\text{HK\$}295,000 \times [130 + (25 \times 130/341)]/366$)		112,463

Robert Yeo Salaries Tax Computation YA 2018/19 Basis Period: 1 April 2018 to 31 March 2019

	HK\$	HK\$
Salary	960,000	
Bonus	80,000	
Holiday passage allowance ^a	18,000	
		1,058,000
Income attributable to Hong Kong services ($\text{HK\$}1,058,000 \times 90/365$)		260,876
Add: Allowance for staying in Hong Kong		63,000
	A	323,876
Add: Rental value ($A \times 10\%$)	32,387	
Less: Rent suffered ($\text{HK\$}1,000 \times 12$)	(12,000)	20,387
		344,263
Add: Gain on share option		11,095
Assessable income		355,358

Robert Yeo Salaries Tax Computation YA 2019/20 Basis Period: 1 April 2019 to 31 March 2020				HK\$	HK\$
Salary ($\text{HK\$}50,000 \times 8 + \text{HK\$}55,000 \times 4$)				996,000	
Bonus				85,000	
Holiday passage allowance ^a				24,000	
					1,105,000
Income attributable to Hong Kong services ^b					421,261
$\text{HK\$}1,105,000 \times [130 + (25 \times 130/341)/366]$					
Allowance for staying in Hong Kong					73,500
Director's fees					120,000
A					614,761
Add: Rental value ($A \times 10\%$)				61,476	
Less: Rent suffered ($\text{HK\$}1,000 \times 12$)				(12,000)	49,476
					664,237
Add: Gain on share option					112,463
Net assessable income				B	776,700
Less: Personal allowances					
Married person's allowance ^c					(264,000)
Net chargeable income					512,700
Tax at progressive rates on NCI (Schedule 2):					
On first	HK\$50,000	2%	1,000		
On next	HK\$50,000	6%	3,000		
On next	HK\$50,000	10%	5,000		
On next	HK\$50,000	14%	7,000		
	HK\$200,000		16,000		
Balance	HK\$312,700	17%	53,159		
C				69,159	
Tax @ standard rate ($B \times 15\%$)				D	116,505
Salaries tax payable (lower of C and D)					69,159
Less: 100% tax reduction s.100(4)					(20,000)
Net tax payable					49,159

Notes:

^a The holiday passage allowance is taxable starting from 1 April 2003. Hence, the same received and utilised for YAs 2018/19 and 2019/20 are treated as taxable income for salaries tax purposes.

^b The paid leave attributable to Hong Kong services rendered should also be taxable for salaries tax purposes.

^c A married person's allowance is deductible from Robert's net assessable income since he is married and his wife, Mary, does not have any assessable income in the current YA.

QUESTION 4

Chee-keong Tan Salaries Tax Computation YA 2019/20 Basis Period: 1 April 2019 to 31 March 2020				
			HK\$	HK\$
Salary			960,000	
Bonus			68,800	
Holiday passage allowance ^a			40,000	
Petrol allowance ^b			12,000	
Domestic helper (\$3,800 x 6) ^c			22,800	
Director's fees ^d			88,000	1,191,600
Less: Allowable expenses (ss.12(1)(a) & (b))				
- Professional subscription ^e			(2,000)	
Less: Lump-sum payment (s.9(2))			-	(2,000)
	A			1,189,600
Add: Rental value (A x 10%)			118,960	
Less: Rent suffered ^f			(84,000)	34,960
				1,224,560
Add: Gains on share option ^g				1,055,000
<i>Assessable Income (AI)</i>	B			2,279,560
Less: Allowable deductions (s.12)				
- Self-education expenses ^h				(20,000)
<i>Net Assessable Income (NAI)</i>				2,259,560
Less: Concessionary deductions (Part 4)				
- Approved charitable donation (Capped at 35% of B) ⁱ			(3,000)	
- Mandatory contribution to MPF			(18,000)	(21,000)
<i>Net Income (NI)</i>	C			2,238,560
Less: Personal allowances				
- Married person's allowance ^j			(264,000)	
- Child allowance ^j			(120,000)	(384,000)
<i>Net Chargeable Income (NCI)</i>				1,854,560
Tax at progressive rates on NCI (Schedule 2):				
On first	HK\$50,000	2%	1,000	
On next	HK\$50,000	6%	3,000	

Chee-keong Tan Salaries Tax Computation YA 2019/20 Basis Period: 1 April 2019 to 31 March 2020				HK\$	HK\$
On next	HK\$50,000	10%	5,000		
On next	HK\$50,000	14%	7,000		
	HK\$200,000		16,000		
Balance	HK\$1,654,560	17%	281,275		
		D		297,275	
Tax @ standard rate on NI (C x 15%)		E		335,784	
Salaries tax payable (lower of D and E)					297,275
Less: 100% tax reduction s.100(4)					(20,000)
Net tax payable					277,275

Notes and Workings:

- ^a The holiday passage allowance is taxable starting from 1 April 2003. Since the holiday passage allowance of HK\$40,000 was provided to Chee-keong in cash, the entire amount should be taxable, regardless how much he had utilised during the YA.
- ^b As the petrol allowance was provided in money or money's worth, it should be qualified as income and hence taxable. The use of the company provided car cannot in any way be converted into money or money's worth and is thus not assessable.
- ^c The local domestic helper was employed by URBL for rendering employment services for Chee-keong's family. As the benefit could not be converted into money or money's worth, it was not income per se and, therefore, was not assessable. However the costs borne by URBL for the domestic helper Chee-keong contracted directly are assessable income.
- ^d The director's fee is assessable because the source of such office is in Hong Kong, given that the related company's central management and control are exercised in Hong Kong.
- ^e Only one subscription is deductible. Hence, the more expensive one has been taken.
- ^f The rent suffered is computed as follows:

$$(\text{HK\$}25,000 - \text{HK\$}22,000) \times 12 \text{ months} + \text{HK\$}960,000 \times 5\% = \text{HK\$}84,000$$

- ^g Gains on share options:

	HK\$	HK\$
OMV at the time the option was exercised (HK\$14 × 60,000 + HK\$18 × 40,000)		1,560,000
Less: Cost of option	(5,000)	
Less: Cost of shares (HK\$5 × 100,000)	(500,000)	(505,000)
Chargeable gains for YA 2019/20		<u>1,055,000</u>

As a separate note, share option benefits will not be included in the computation of determining the rental value.

^h Only the portion borne by the taxpayer is deductible.

ⁱ Donation of toys is not allowed for the purposes of claiming tax deduction because it is not made in cash.

^j Chee-keong should be eligible to claim both a married person's allowance and child allowance because being an ordinary resident in Hong Kong is not a prerequisite for these two types of allowances.

The conditions for claiming a married person's allowance are that the taxpayer is married and either:

- his or her spouse did not have an assessable income in the YA;
- joint assessment to salaries tax has been elected by the couple; or
- the taxpayer has elected to be assessed by personal assessment.

Whilst the eligibility of claiming child allowance is that, at any time during a YA, the taxpayer was living with and had maintained an unmarried child who was:

- under 18 years of age;
- between 18 and 25 years of age and receiving full-time education at a university, college, school or other similar educational establishment; or
- 18 years of age or older and, due to physical or mental disability, incapacitated for work.

5

Property Tax



CHAPTER TOPIC LIST

5.1 Scope of Property Tax Charge

- 5.1.1 Definition of Owner
- 5.1.2 Joint Ownership and Husband and Wife
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- 5.1.4 Property Letting Amounting to a Business

5.2 Assessable Value of Land or Buildings, or Land and Buildings

- 5.2.1 Rent
- 5.2.2 Payment for the Right of Use of Furniture in the Premises
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5.3 Allowable Deductions

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5.4.3 Provisional Property Tax

5.5 Obligations of Property Owners

LEARNING OUTCOMES

PRINCIPAL LO2: APPLY TAX RULES AND PRINCIPLES AND CALCULATE TAX LIABILITIES FOR PROPERTY TAX, SALARIES TAX, PROFITS TAX, PERSONAL ASSESSMENT AND STAMP DUTY IN HONG KONG

Describe, explain and analyse the following tax issues as they impact and interact on transactions, individuals and entities: Property tax

LO2.01: Scope of property tax charge

- 2.01.01** Explain the scope of charge of property tax
- 2.01.02** Determine whether property letting amounts to a business
- 2.01.03** Describe the relief and exemptions available under property tax
- 2.01.04** Apply DIPN 14

LO2.02: Chargeable property and owners of land and/or buildings

- 2.02.01** Describe an owner of a property as defined under the IRO
- 2.02.02** Describe the obligations of a property owner under the IRO
- 2.02.03** Apply DIPN 14

Calculate the following tax liabilities for transactions, individuals and entities: Property tax

LO2.33: Ascertainment of property tax liability

- 2.33.01** Calculate the assessable value of a property
- 2.33.02** Calculate the allowable deductions
- 2.33.03** Calculate the net assessable value and the property tax payable, including provisional property tax
- 2.33.04** Apply DIPNs 4 and 14

OPENING CASE

THE TONG'S FAMILY

Mr Tong is a Hong Kong resident and works in a large CPA firm in Hong Kong. Mrs Tong is a Mainland resident and works in China. She visited Hong Kong 20 days during the year ended 31 March 2019.

Mr and Mrs Tong own three properties in Hong Kong and all properties have been rented out since 2011. The lease details for the properties, and major recent events, are as follows:

	Property A	Property B	Property C
Commencement date of the lease	1 December 2015	1 October 2017	1 June 2018
Lease period	5 years	3 years	2 years
Owner	Jointly owned by Mr and Mrs Tong	Mr Tong	Mr Tong
Tenant	Amy	Betty	Cindy
Rent-free period	No	1 month	2 months
Rental deposit	HK\$100,000	HK\$40,000	HK\$30,000
Monthly rent	HK\$50,000	HK\$20,000	HK\$15,000
Payment for the use of furniture	–	HK\$2,000 / month	–
Payment of management fee to landlord for providing cleaning services	–	–	HK\$1,000 / month
Premium	HK\$360,000	HK\$240,000	HK\$144,000
Expenses paid by landlord:			
Rates	HK\$4,000 / quarter	–	–
Repairs	–	–	HK\$18,000 on 1 Jan 2019
Government rent	HK\$2,000 / month	HK\$1,500 / month	HK\$1,100 / month
Building management fee	HK\$600 / month	–	–
Mortgage loan interest	HK\$6,000 / month	HK\$3,000 / month	–
Expenses paid by tenant:			
Rates	–	HK\$2,800 / quarter	HK\$1,200 / quarter
Building management fee	–	HK\$400 / month	HK\$300 / month
Repair expenses (broken window)	–	HK\$13,000 on 1 March 2019 (Mr Tong refused to repay Betty)	–

As property owners, the Tong's family faces exposure to property taxes and also to liabilities. These scenarios will be explored throughout this chapter.



OVERVIEW

Property tax is levied on any owners of land or buildings, or of land and buildings, situated in Hong Kong at the standard rate of 15% based on the property's net assessable value.

Net assessable value represents the net amount of the assessable value after allowable deductions. The **assessable value** is the consideration payable for the right to use the land or buildings, or land and buildings.

In this chapter, you will learn the basis for computing the property tax payable. This includes the determination of assessable value, tax treatments on lump sum payment, irrecoverable rent and the allowable deductions in determining the net assessable value.

Where a corporation derives income generated from letting of property located in Hong Kong, such rental receipts earned are generally subject to profits tax. This would trigger a double taxation issue because the same rental receipts should also be subject to property tax on the basis that the corporation is the owner. To remove the double taxation burden, the corporation may make an application in writing, for exemption from paying the property tax (s.5(2)(a)), or to otherwise allow the amount of property tax paid to be deducted from the amount of profits tax assessed (s.25).

By the end of this chapter, you will be able to calculate the property tax payable, deal with situations where property tax is deducted from profits tax and understand the obligations of property owners.



5.1 SCOPE OF PROPERTY TAX CHARGE

Property tax is charged for each year of assessment on every owner of any land or buildings, or land and buildings, situated in Hong Kong. It is computed at the standard rate on the net assessable value of such land or buildings, or land and buildings for each such year (s.5(1)). The standard rate is 15% from the year of assessment 2011/12 onwards.

The basis period of each year of assessment commences on 1 April and ends on 31 March of the following year. For example, the year of assessment 2017/18 covers the 12 months from 1 April 2017 to 31 March 2018.

The meaning of 'land and buildings' as provided by s.7A of the IRO includes piers, wharves and other structures. The term 'buildings' is also defined to include any part of a building, including walls, advertising signs, lightboxes and structures like dams, oil stations and so on, as mentioned in DIPN 14.

5.1.1 Definition of Owner

The definition of owner as provided by s.2(1) of the IRO includes the following:

- A person holding the land or buildings, or land and buildings directly from the Government;
- A beneficial owner;
- A tenant for life;
- A mortgagor;
- A mortgagee in possession;
- A person with adverse title to land receiving rent from buildings or other structures erected on that land;
- A person who is making payments to a co-operative society registered under the Co-operative Societies Ordinance (Cap.33) for the purpose of the purchase of the land or buildings, or land and buildings;
- A person who holds land or buildings, or land and buildings, subject to a ground rent or other annual charge;
- (In so far as common parts are concerned) a corporation registered under s.8 of the Building Management Ordinance (Cap.344) or a person who, on the person's own behalf or on behalf of another person, receives any consideration, in money or money's worth, in respect of the right of use of any common parts solely or with another; and
- An executor of the estate of an owner.

5.1.2 Joint Ownership and Husband and Wife

Property tax is imposed on each property separately rated under the Rating Ordinance. Thus, if a husband and wife each owns properties separately rated, each is separately assessed. However, if they jointly own a property they are jointly assessed. An owner of several apartments, each of which is separately rated will receive a separate property tax assessment for each apartment.

If two or more people jointly own a property, they are not required to calculate the property tax liability of each owner separately. Whether the owners are related (e.g. spouses, siblings, etc.) has no effect on the property tax treatment.

Illustrative Example 1

Referring to the Opening Case, Property A is jointly owned by Mr and Mrs Tong, so the property tax liability of this property should not be calculated separately. However, Mr Tong also owns Properties B and C, which means that the property tax liabilities of those two properties should be calculated separately.

5.1.3 Non-resident Owner

The residence status of owner is not relevant for the purpose of property tax. A non-resident owner of property situated in Hong Kong is subject to property tax in respect of any Hong Kong property which he or she owns (as per definition in Section 5.1.1).

Illustrative Example 2

Example 1: Although Mrs Tong is a mainland China resident, she is one of the legal owners of Property A, which is situated in Hong Kong. As a result, she is chargeable to property tax in respect of the income earned.

Example 2: On 15 January 2019, Mrs Tong bought a new property in mainland China. The lease started on 1 February 2019, for a monthly rental of HK\$3,200.

As the property was not situated in Hong Kong, Mrs Tong is not chargeable to property tax in respect of the rental income earned during the year ended 31 March 2019.

Example 3: Mr Tong owned three properties (one jointly owned and two solely owned) in Hong Kong. The rental income of each property should be separately assessed. He has to calculate the property tax payable for each individual property and should not consolidate the computation together.

5.1.4 Property Letting Amounting to a Business

In DIPN 14, the Inland Revenue Department (IRD) explained its views that the letting and sub-letting by a corporation and sub-letting by any person other than a corporation would amount to a business. The relevant rental receipt is therefore chargeable to profits tax under s.14 of the IRO. This would trigger a double taxation issue because the same rental receipts should also be subject to property tax on the basis that the corporation is the owner. To release the double taxation burden the corporation can apply for an exemption.

Under s.5(2)(a) of the IRO, any corporation carrying on trade, profession, or business in Hong Kong may apply in writing to the Commissioner of Inland Revenue (CIR) for an exemption from property tax.

The exemption provided under s.5(2)(a) only applies to corporations and not individuals, partnerships, or other persons. The term 'corporation' is defined in s.2(1) to mean any company which is either incorporated or registered under any enactment or charter in force in Hong Kong or elsewhere but does not include a co-operative society or a trade union.

An application under s.5(2)(a) should be made for each property and may be lodged, in practice, when filing the property tax return, by the corporation making a statement to the effect that the property is occupied or used by it for the purpose of producing the corporation profits subject to profits tax.

Once an exemption is granted by the CIR, the corporation is exempt from property tax in respect of the relevant property, in all subsequent years until there is a change in the circumstances for which the exemption was originally granted.

If no exemption application is made, the corporation will still be required to pay the property tax. Pursuant to s.25 of the IRO, the property tax paid in respect of that property is set off against its profits tax liability for that particular year of assessment.

In the case of sub-letting, any rental income generated is chargeable to profits tax because property tax cannot be charged due to the fact that a person sublets the property is not the owner of that property.

Key Learning Point

S.2(1) of the IRO, letting and sub-letting by a corporation and sub-letting by any person other than a corporation would amount to a business. As such, the related rental receipt should be subject to profits tax instead of property tax.

► Knowledge Check Questions

Question 1

Determine the basis period of the year of assessment 2018/19 for property tax.

Question 2

Consider the details of the case of Mr and Mrs Tong:

- Mr Tong is a resident of Hong Kong; he also works there.
- Mrs Tong is a resident of mainland China and works in Hong Kong.
- Mr and Mrs Tong jointly own Property A, which is located in Hong Kong.
- Mr Tong also solely owns Properties B and C, which are both located in Hong Kong.
- Mrs Tong solely owns Properties C and D, which are both located in mainland China.

Identify which of the following is correct.

- A** Only Mr Tong is chargeable to property tax.
- B** Only Mrs Tong is chargeable to property tax.
- C** Mr and Mrs Tong are chargeable to property tax.
- D** None of them is chargeable to property tax.

Question 3

Identify which of the following persons can apply for exemption from property tax.

- A** An individual who is a permanent resident or temporary resident of Hong Kong.
- B** A sole proprietor carrying on a business in Hong Kong with rental income chargeable to profits tax.
- C** Joint tenants who do not have other source of income chargeable to tax in Hong Kong.
- D** A corporation carrying on a trade, profession or business in Hong Kong with the rental income included as part of its profits chargeable to profits tax.

► Knowledge Check Questions (*continued*)

Question 4

Identify which of the following scenarios should be charged to profits tax instead of property tax.

- A** Mr and Mrs Tong jointly owned Property A and rented out to Amy.
- B** Mr Tong rented out three properties and earned rental income.
- C** Tong Investment Company Ltd a company owned by Mr and Mrs Tong, acquired Property D in Causeway Bay. Property D was rented out to an Australian.
- D** Mrs Tong owned a property in the mainland China and rented out to a Hong Kong resident.

Key Learning Point

Property tax is levied on the owner of the property situated in Hong Kong, regardless of the residency status of the property owner. It is charged on each separately rated property with no consolidated reporting mechanism. Only joint ownership will be jointly assessed.

➤ 5.2 ASSESSABLE VALUE OF LAND OR BUILDINGS, OR LAND AND BUILDINGS

The assessable value of any property is the consideration, in money or money's worth, payable in a relevant year of assessment to the owner for the right to use that property (s.5B(2)).

The term **consideration** is defined in s.5B(6) to include any consideration payable in respect of the provision of any services, or benefits connected with or related to the right of use of any property, such as management or services fees payable to the owner.

The consideration should be accounted for under the accruals basis. Outstanding rent is merely a delay in payment and the assumption is the tenant will pay up the outstanding rent within a few months. Therefore, rent receivables should be included as the assessable value and chargeable to property tax.

Assessable value includes the following:

- Rent;
- Payments for the right of use of premises under licence (e.g. car park fee, advertisement on the wall or roof of a building);
- Payment for the right of use of furniture in the premises;
- Management fee paid to the owner;
- Non-refundable deposit;
- Owner's expenditure borne by the tenant;

- Lump sum premium (s.5B(4)); and
- Rent recovered (s.7C(2)).

Regardless of the number of properties an owner has, and the taxable rental income generated by each individual property, the assessable value of each property should be computed separately and assessable to property tax correspondingly, unless the respective properties have been leased out under a single tenancy agreement with an aggregate amount of rental income for all of the subject properties.

5.2.1 Rent

Rent received and receivable in respect of the use of the immovable property is included as the assessable value, notwithstanding that payment of the outstanding rentals may not have yet been received.

Illustrative Example 3 – Rent Received and Receivable

In the Opening Case, Betty failed to pay rent to Mr Tong starting from 1 January 2018, but the rental income for the year of assessment 2017/18 should be HK\$240,000 (HK\$20,000 × 12). The outstanding rental payment remained as ‘consideration payable’ to Mr Tong. Therefore, the rental in arrears was still part of the assessable value.

5.2.2 Payment for the Right of Use of Furniture in the Premises

In addition to the monthly rent paid to the landlord, a tenant might also pay for the right of use of furniture provided by the landlord. The consideration paid for the use of furniture should also be included as assessable value.

Illustrative Example 4 – Right of Use of Furniture

In the Opening Case, referring to Property B, the payment for the use of furniture of HK\$24,000 (HK\$2,000 × 12) should be included as assessable value in the year of assessment 2017/18.

5.2.3 Management Fee Paid to the Owner

Management fees or service fees paid to the owner for value added services should be included as assessable value.

S.5B(6) specifically includes as consideration any sum payable for the provision of any services or benefits connected with or related to the right of use the property. Therefore, management fees paid by a tenant to a landlord who rents out a building to different tenants, and who provides management services to all the tenants in the building, should be included in ascertaining the assessable value. If it is the tenant’s responsibility to pay management fees to the third-party property management company as provided in the rental agreement, the fee should not be included in computing the assessable value, even though it is paid through the landlord, when the landlord merely acts as an agent for the tenant.

Illustrative Example 5 – Management Fee

In the Opening Case:

- (a) The management fee of HK\$10,000 (HK\$1,000 × 10) paid by Cindy to Mr Tong should be included as assessable value in the year of assessment 2017/18. (Refer to the example in Section 5.4.1 for details.)
- (b) Regarding Property B and Property C, it is the tenant's responsibility to pay the management fees and they should not be included as assessable value even though they were paid through Mr Tong. (Refer to the example in Section 5.4.1 for details.)

5.2.4 Non-refundable Deposit

In practice, a tenant may be required to pay a rental deposit to the landlord strictly for the purpose of setting off any outstanding rent or to compensate any damages made by the tenant. Typically, this deposit is fully refundable upon expiry of the lease if the abovesaid conditions had not been appeared. Hence, the rental deposit should not be regarded as assessable value. If the deposit is partly or wholly utilized for the said purposes, such amount would not be regarded as assessable value neither.

In some cases, the deposit is purposefully not refunded as contractually entered by the landlord and tenant. Referring to DIPN 4, it is regarded as premium on lease. The IRD clearly stated that such non-returnable deposit should be chargeable to property tax.

5.2.5 Owner's Expenditure Borne by Tenant

It is the responsibility of the owner to pay for expenses related to the property he or she owns (e.g. expenses incurred for repairing the window broken by a strong typhoon). If the repair expenses are paid and borne by the tenant, this amount should be regarded as the assessable value and chargeable to property tax.

Illustrative Example 6 – Owner's Expenditure Borne by Tenant

In the Opening Case, a tree falls over and breaks a window and damages the balcony of Betty's apartment (Property B), which she rents from Mr Tong, who is the sole owner. Even though she is not responsible for the damage, Betty pays the repair expenses of HK\$13,000 on 1 March 2019. She does not tell Mr Tong about the damage and she does not ask him in advance to pay for the expense. When she does ask him to repay her for the window and balcony repair, several things could happen.

Case 1: Mr Tong Repays Betty Directly

Mr Tong writes Betty a check for the full amount of the repair. In this case, the repair expense cannot be regarded as assessable value because it was ultimately paid for by Mr Tong.

Illustrative Example 6 – Owner’s Expenditure Borne by Tenant (continued)**Case 2: Mr Tong Adjusts Betty’s Rent to Repay Her**

Mr Tong would like to repay Betty for the full amount of the repair, but he prefers not to write her a check for the full amount. Instead, he and Betty formally agree that she will deduct the full amount of the repair from her next monthly rental payment. Per the terms of her lease, Betty pays HK\$20,000 in rent each month. She and Mr Tong agree that her next rent check will be for HK\$7,000. As such, Mr Tong bears the full expense of the repair so it cannot be regarded as assessable value. Specifically in such case the assessable value of Property B in that next month would be remained as HK\$20,000.

Note that such agreements should be made in advance of any rental payment. In this case Betty was very lucky that Mr Tong agreed to repay her for the repair. Had he not agreed to the rental deduction, Betty would have been legally obligated to continue paying the full rental amount. Had she deducted the amount of the repair from her rent without Mr Tong’s advance agreement, he would have been able to take legal action to recover the outstanding rental amount of HK\$13,000.

Case 3: Mr Tong Refuses to Repay Betty

When Betty asks Mr Tong to repay her the HK\$13,000, he refuses because he did not agree to the expense in advance. As a result, Betty bears the full amount of the expense. In this case, the owner’s expenditure is borne by the tenant. As such, Mr Tong should include the HK\$13,000 as assessable value in the year of assessment 2018/19.

5.2.6 Lump Sum Premium

It is also common that a tenant is required to pay a premium (i.e. lump sum payment) in addition to the monthly rent. For property tax purposes, the premium (lump sum payment) is non-refundable to the tenant upon the termination of the rental arrangement. It is therefore taxable for property tax purposes.

A **lump sum premium** is defined as any payment in respect of the right of use of property for a period exceeding one year of assessment and is deemed to be paid on an equal monthly installment basis over the leased period of the right of use, or over three years, whichever is the shorter (s.5B(4), DIPNs 4 and 14).

Illustrative Example 7 – Lump Sum Premium

Referring to the Opening Case, the premium of Property A should be spread as follows:

Property A

For a five years lease, the lump sum premium can only be spread over three years (i.e. 36 months) according to s.5B(4).

Illustrative Example 7 – Lump Sum Premium (*continued*)

Period	Year of assessment	Number of months	Calculation	Amount HK\$
1/12/2015–31/3/2016	2015/16	4	$360,000 \times 4/36$	40,000
1/4/2016–31/3/2017	2016/17	12	$360,000 \times 12/36$	120,000
1/4/2017–31/3/2018	2017/18	12	$360,000 \times 12/36$	120,000
1/4/2018–30/11/2018	2018/19	8	$360,000 \times 8/36$	80,000
	Total	36		360,000

Apply and Analyse 1

We have seen from Illustrative Example 7 how s.5B(4) applies to spread the premium. Let us now apply s.5B(4) to Property B and Property C.

Property B

It is a three-year lease, so the lump sum premium is spread over the lease period (i.e. 36 months).

Period	Year of assessment	Number of months	Calculation	Amount HK\$
1/10/2017–31/3/2018	2017/18	6	$240,000 \times 6/36$	40,000
1/4/2018–31/3/2019	2018/19	12	$240,000 \times 12/36$	80,000
1/4/2019–31/3/2020	2019/20	12	$240,000 \times 12/36$	80,000
1/4/2020–30/9/2020	2020/21	6	$240,000 \times 6/36$	40,000
	Total	36		240,000

Property C

It is a two-year lease, so the lump sum premium is spread over the lease period (i.e. 24 months).

Period	Year of assessment	Number of months	Calculation	Amount HK\$
1/6/2018–31/3/2019	2018/19	10	$144,000 \times 10/24$	60,000
1/4/2019–31/3/2020	2019/20	12	$144,000 \times 12/24$	72,000
1/4/2020–31/5/2020	2020/21	2	$144,000 \times 2/24$	12,000
	Total	24		144,000

5.2.7 Rent Recovered

Under s.7C(2), recovery of amounts previously deducted as irrecoverable rent, also known as **rent recovered**, should be included as assessable value in the year of recovery.

Illustrative Example 8 – Rent Recovered

In the Opening Case, the outstanding rent of HK\$8,000, which was due from the former tenant of Property C was proven to be bad debt, and was deducted in the year of assessment 2016/17. On 1 May 2018, half of this amount was recovered and received by Mr Tong. As the irrecoverable rent of HK\$4,000 ($\text{HK\$}8,000 \times 50\%$) was received on 1 May 2018, it should be included as assessable value in the year of assessment 2018/19.

5.2.8 Calculation of Assessable Value

Illustrative Example 9 – Calculation

In the Opening Case, regarding Property A, the assessable value for the year of assessment 2018/19 includes rent and lump sum premium and is calculated as follows:

	HK\$
Rental income ($\text{HK\$}50,000 \times 12$)	600,000
Premium (refer to Illustrative Example 7)	80,000
Total	680,000

Apply and Analyse 2

We have seen from the Illustrative Example 9 how to calculate the assessable value of Property A. Let us calculate the assessable value of Properties B and C.

For Property B, the payment of HK\$24,000 for the use of furniture and the repair expenses of HK\$13,000 paid by tenant on 1 March 2019 should also be included as assessable value in the year of assessment 2018/19. The assessable value is calculated as follows:

	HK\$
Rental income ($\text{HK\$}20,000 \times 12$) (refer to Illustrative Example 3)	240,000
Premium (refer to Illustrative Example 7)	80,000
Payment for the use of furniture (refer to Illustrative Example 4)	24,000
Repair expenses borne by tenant (refer to Illustrative Example 6)	13,000
Total	357,000

Apply and Analyse 2 (continued)

For Property C, the payment of the management fee to Mr Tong, and rent recovered, should also be included as assessable value in the year of assessment 2018/19. No rent would be received during the rent-free period and therefore only eight months rental were included. However, as the premium is spread over the lease period, 10 months, including the rent-free period, it should be included in the year of assessment 2018/19. The assessable value is calculated as follows:

	HK\$
Rental income ($\text{HK\$}15,000 \times 8$)	120,000
Premium (refer to Illustrative Example 7)	60,000
Rent recovered (refer to Illustrative Example 8)	4,000
Payment of management fee to Mr Tong (refer to Illustrative Example 5)	10,000
Total	194,000

Key Learning Point

Assessable value includes rent, payments for right of use (e.g. of premises, of furniture), management fees, non-refundable deposits, owner's expenditures borne by the tenant, lump sum premiums and rent recovered. In most cases, a property's assessable value should be computed separately from that of any other property under the same ownership.

► Knowledge Check Questions

Question 5

Identify which of the following is not included as a consideration for property tax.

- A** Repairs paid by the tenant.
- B** Building management fee agreed to be paid by the tenant.
- C** Lump sum premium.
- D** Non-refundable deposit.

Question 6

Identify which of the following is chargeable to property tax in the year of assessment 2017/18.

- A** Rent recovered on 1 March 2018 in respect of irrecoverable rent deductible in the year of assessment 2016/17.
- B** Rent recovered on 1 March 2018 in respect of outstanding rent from 1 January 2016 to 31 March 2016.

► **Knowledge Check Questions (*continued*)**

C Rent recovered on 1 March 2019 in respect of irrecoverable rent deductible in the year of assessment 2017/18.

D Rent recovered on 1 March 2019 in respect of outstanding rent from 1 January 2018 to 31 March 2018.

Question 7

Mr Wu owns a property in Wanchai and he lets it to Mr Lee at a monthly rent of HK\$25,000. Both parties agreed that Mr Wu is responsible for the payment of rates. Starting from 1 February 2018, Mr Lee was unable to pay the rent and he paid the outstanding rent on 15 May 2018. Calculate the assessable value of Mr Wu's property for the year of assessment 2017/18.

5.3 ALLOWABLE DEDUCTIONS

The following three items are deductible for deriving the net assessable value (NAV) of a property for property tax purposes:

1. Irrecoverable rent;
2. Government rates agreed and paid by the owner (subject to rates concession, if any); and
3. A one-off statutory allowance of 20% of the assessable value after deducting rates, if applicable.

5.3.1 Irrecoverable Rent

Any claim for deduction of **irrecoverable rent** may be allowed in the year of assessment during which it is proved to the satisfaction of the assessor that it has become irrecoverable in accordance with s.7C(1) of the IRO. The landlord is required to provide evidence to the IRD to prove that the debt is irrecoverable (e.g. evidence of bankruptcy or legal letters sent to tenant but returned as undelivered).

The following are examples of situations which may prove to the satisfaction of the assessor that the outstanding rent is irrecoverable:

- The tenant has become bankrupt or
- The owner has lost contact with the tenant and is unable to trace them.

Any excess will be carried backward to be deducted from the assessable value of that property in the immediate preceding year (s.7C(3)).

Apply and Analyse 3

Danny owns a property in North Point that he has leased out to Elsa for a period of two years commencing from 1 July 2016 at a monthly rent of HK\$10,000. Elsa is responsible to pay rates and building management fee. Commencing 1 January 2017, Elsa has been unable to pay the rent and disappeared on 1 May 2017. The assessor agreed that the rent outstanding at 1 May 2017 was bad and irrecoverable.

Apply

Danny Property Tax Computation For the year of assessment 2016/17 (original)	
	HK\$
Rent	90,000
Less: 20% statutory deduction ($\text{HK\$}90,000 \times 20\%$)	(18,000)
Net assessable value	<u>72,000</u>
Property tax payable ($\text{HK\$}72,000 \times 15\%$)	<u>10,800</u>

Danny Property Tax Computation For the year of assessment 2017/18	
	HK\$
Rent	10,000
Less: bad debts ($\text{HK\$}10,000 \times 4$)	(40,000)
Losses carried backward	<u>(30,000)</u>

Danny Property Tax Computation For the year of assessment 2016/17 (revised)	
	HK\$
Rent	90,000
Less: losses carried backward	(30,000)
Assessable value	60,000
Less: 20% statutory deduction ($\text{HK\$}60,000 \times 20\%$)	(12,000)
Net assessable value	<u>48,000</u>
Property tax payable ($\text{HK\$}48,000 \times 15\%$)	<u>7,200</u>
Tax paid (original)	10,800
Less: revised tax payable	(7,200)
Tax refund	3,600

Apply and Analyse 3 (continued)

Analysis

There can be no claim for deduction of irrecoverable rent if the rent is merely unpaid, and hence outstanding, but not irrecoverable.

Illustrative Example 10 – Irrecoverable Rent

Let us revisit Illustrative Example 3 under Section 5.2.1. The outstanding rent for the period from 1 January 2018 to 31 March 2018 is merely unpaid and not irrecoverable, therefore no deduction is allowed in the year of assessment 2017/18.

5.3.2 Rates

Under s.5(1A)(b)(i), rates are deductible if paid by owner during the lease period.

Illustrative Example 11

Frank owned a property in North Point and leased it out to Gordon at a monthly rent of HK\$12,000 per month commencing 1 April 2017. The property tax treatment is different if (1) the rates of HK\$4,000 are paid by Frank or (2) the rates of HK\$4,000 are paid by Gordon.

1. If the rates are paid by the owner, the HK\$4,000 can be deducted from the total rental income. The assessable value for the year of assessment 2017/18 would be HK\$140,000 (HK\$144,000 – HK\$4,000).
2. If the rates are paid by the tenant, no deduction of rates is allowed. The assessable value for the year of assessment 2017/18 would be HK\$144,000.

Government rent is a similar charge by HKSAR but deduction is only allowed to rates but not rent.

5.3.3 20% Statutory Deductions

According to s.5(1)(b)(ii), the 20% **statutory deduction** is calculated on the reduced balance (after deducting irrecoverable rent and rates), not on gross consideration received by the owner. It is an allowance for repairs and outgoings related to the property. The statutory allowance is deemed to cover all the related expenses incurred by the owner of the property, and thus, all other actual expenses including repairs, management fees and mortgage loan interest will not be separately considered for property tax purposes.

Apply and Analyse 4

Example 1: For Property A, government rent, building management fees and mortgage loan interest paid by Mr and Mrs Tong are not deductible. The actual expenses incurred are deemed to be covered by the 20% statutory deduction.

Example 2: Same as above, the repairs expenses of HK\$18,000 and government rent paid by Mr Tong for Property C are not deductible as they are covered by the 20% statutory deduction.

Key Learning Point

When deriving the NAV, government rates are deductible but not the government rent. A one-off statutory allowance of 20% applies in computing the NAV. The actual amount of expenditure incurred is disregarded.

► Knowledge Check Questions

Question 8

Identify which statement is correct.

- A** Repair expenses paid by landlord are deductible.
- B** Repair expenses paid by tenant are deductible.
- C** Repair expenses paid by tenant are taxable.
- D** Repair expenses paid by landlord are taxable.

Question 9

Identify which of the following statements on irrecoverable rent is *incorrect*.

- A** It should be proved to the satisfaction of the assessor.
- B** It is deductible in the year that rent has not yet been received.
- C** Claims should be supported by documentary evidence.
- D** It is deductible in the year of that rent proved to be irrecoverable.

Question 10

Identify which of the following is not deductible in the property tax computation.

- A** Rents paid by owner.
- B** Repair expenses paid by owner.
- C** Irrecoverable rent.
- D** 20% Statutory deduction.

► Knowledge Check Questions (*continued*)

Question 11

Starting from 1 January 2018, Betty failed to pay rent to Mr Tong. She advised Mr Tong that all outstanding rental would be settled in a few months. Betty moved out from Property B and declared bankruptcy on 31 July 2018 and was unable to repay the outstanding rentals. Identify which of the following is correct.

- A** The unpaid rent for the period 1 January 2018 to 31 July 2018 is deductible in the year of assessment 2017/18.
- B** The unpaid rent for the period 1 January 2018 to 31 July 2018 is deductible in the year of assessment 2018/19.
- C** The unpaid rent for the period 1 January 2018 to 31 March 2018 is deductible in the year of assessment 2017/18 and unpaid rent for the period 1 April 2018 to 31 July 2018 is deductible in the year of assessment 2018/19.
- D** The unpaid rent is not deductible neither in the year of assessment 2017/18 nor in the year of assessment 2018/19.

5.4 PROPERTY TAX COMPUTATION

Property tax is computed at the standard rate on the net assessable value (NAV) of any property.

5.4.1 Computation of Property Tax

Below is the template provided in DIPN 14 for the computation of property tax liability:

Mr Tong Property Tax Computation For the year of assessment 2017/18	
	HK\$
Considerations received (Note)	A
Add: Rent recovered	B
	C
Less: Irrecoverable rent	(D)
Assessable value	E
Less: Rates (paid by owner)	(F)
	G
Less: 20% statutory deduction (G × 20%)	(H)
Net assessable value (NAV)	I
Property tax = NAV (I) × standard rate (15%)	

Note:

'Considerations received' includes the following:

- Rent received and receivable;
- Payments for the right of use of premises under licence (e.g. car park fee, advertisement on the wall or roof of a building);
- Payment for the right of use of furniture in the premises;
- Management fee paid to the owner;
- Non-refundable deposit;
- Owner's expenditure borne by the tenant; and
- Lump sum premium.

Apply and Analyse 5

With the template illustrated above, calculate the property tax liabilities of Mr and Mrs Tong.

Mr and Mrs Tong – Property A Property Tax Computation For the year of assessment 2017/18	
	HK\$
Rent	600,000
Premium	80,000
Assessable value (from Illustrative Example 9)	680,000
Less: rates paid by Mr and Mrs Tong ($\text{HK\$}4,000 \times 4$)	(16,000)
	664,000
Less: 20% statutory deduction ($\text{HK\$}664,000 \times 20\%$)	(132,800)
Net assessable value	531,200
Property tax payable ($\text{HK\$}531,200 \times 15\%$)	79,680

Mr Tong – Property B Property Tax Computation For the year of assessment 2017/18	
	HK\$
Rent	240,000
Premium	80,000
Payment for the use of furniture	24,000
Repair expenses	13,000
Assessable value (from Apply and Analyse 2)	357,000

Apply and Analyse 5 (continued)

**Mr Tong – Property B
Property Tax Computation
For the year of assessment 2017/18 (continued)**

	HK\$
Less: 20% statutory deduction ($\text{HK\$}357,000 \times 20\%$)	(71,400)
Net assessable value	285,600
Property tax payable ($\text{HK\$}285,600 \times 15\%$)	42,840

**Mr Tong – Property C
Property Tax Computation
For the year of assessment 2017/18**

	HK\$
Rent	120,000
Premium	60,000
Rent recovered	4,000
Payment of management fee to owner	10,000
Assessable value (from Apply and Analyse 2)	194,000
Less: 20% statutory deduction ($\text{HK\$}194,000 \times 20\%$)	(38,800)
Net assessable value	155,200
Property tax payable ($\text{HK\$}155,200 \times 15\%$)	23,280

Notes:

Total property tax liabilities of Mr and Mrs Tong are as follows:

Mr Tong ($\text{HK\$}79,680 \times \frac{1}{2} + \text{HK\$}42,840 + \text{HK\$}23,280$)	105,960
Mrs Tong ($\text{HK\$}79,680 \times \frac{1}{2}$)	39,840

Although Mr Tong owned three properties, the property tax payable of each property must be calculated separately. As they are listed as joint owners of Property A, the property tax is split 50/50 between Mr and Mrs Tong for that property.

For assessment purposes, the details of rental information for Property B and Property C would be reported in Mr Tong's individual tax return, whilst a separate property tax return for Property C would be issued by the IRD to the owners of Property C for completion.

5.4.2 Deduction of Property Tax from Profits Tax

A corporation is allowed to apply for an exemption to property tax. If no exemption application is made as mentioned in Section 5.1.4, or the exemption is not granted before the property tax is due and payable, the corporation will still be required to pay the property tax. Pursuant to s.25 of the IRO, any property tax paid in respect of that property is set off against its profits tax

liability for that particular year of assessment, and any excess is refunded to the corporation, if a corporation satisfies the CIR that:

- The profits derived from a property form part of its business profits chargeable to profits tax; or
- The property is used or occupied for the purposes of producing chargeable profits.

This arrangement is on the basis that profits tax is already being charged on the business, and therefore the property tax should be deductible to ensure there is no double taxation. The application has to be lodged to the IRD in writing.

Apply and Analyse 6

Tong Investment Company Ltd (TICL), a company owned by Mr and Mrs Tong, acquired Property D in Causeway Bay. Property D was rented out to an Australian. The rental income was included in the profits of TICL and chargeable to profits tax. TICL did not apply an exemption from the property tax and paid a property tax of HK\$3,000 for the year of assessment 2017/18.

	HK\$
Profits tax payable for the year of assessment 2017/18	10,000
Less: property tax paid (as stated above)	(3,000)
Net profits tax payable	7,000

5.4.3 Provisional Property Tax

The taxpayer is required to pay provisional tax under s.63L and provisional property tax is payable at the standard rate on the net assessable value of the preceding year. Provisional property tax will be payable in two instalments.

On the notice of assessment, two due dates for tax payment can be found. Normally the first payment date will fall in November of the same year of the issue date and the second payment date will fall in April of the next year.

Illustrative Example 12 – Provisional Property Tax Calculation

Let us revisit the Apply and Analyse 5 example under Section 5.4.1 and assume a provisional tax of HK\$60,000 was paid for the year of assessment 2017/18 in respect of Property A. The total property tax payable is calculated as follows.

	HK\$
Final tax payable (from Apply and Analyse 5 under Section 5.4.1)	79,680
Less: provisional tax charged for 2017/18	(60,000)
Balance of final tax payable	19,680
Provisional tax for 2018/19	79,680
Total property tax payable	99,360

Key Learning Point

Corporations can apply to be exempt from property tax but charged to profits tax by writing to the IRD, if specific criteria are satisfied. If no exemption is applied, the property tax paid is set off against its profits tax liability for that particular year of assessment. This relieves any double taxation on rental receipts under the respective charging section of property tax (i.e. s.5) and profits tax (i.e. s.14).

► Knowledge Check Questions

Question 12

Asia Investment Ltd (AIL) is a company carrying on trading business in Hong Kong. It owned a property in Central and rented out during the year ended 31 March 2018. The profit of AIL for the year of assessment 2017/18 is HK\$500,000 which includes the rental income of HK\$100,000. Identify which of the following is correct.

- A** Profits tax is chargeable on the profit of HK\$400,000 (excluding the rental income).
- B** AIL can apply for an exemption from payment of profits tax.
- C** AIL needs to pay profits tax on the profit of HK\$500,000 and property tax on rental income of HK\$100,000.
- D** AIL can apply for an exemption from payment of property tax.

Question 13

Mr Tong's friend, Thomas, let his flat for a period of two years from 1 January 2018 at a monthly rent of HK\$12,000. During the year ended 31 March 2018, he received rent of HK\$24,000 only and incurred the following expenses:

Rates of HK\$2,100 per quarter

Repair expenses of HK\$1,800

Government rent of HK\$2,400

Calculate Thomas's property tax liability for the year of assessment 2017/18.

5.5 OBLIGATIONS OF PROPERTY OWNERS

DIPN 14 has set forth the following obligations of property owners:

1. *Filing of Returns, s.51(1)* – Property owners are obligated to complete the property tax returns issued to them with due care and submit the tax returns to the IRD within the time limit stipulated in the tax returns (which is normally one month from the date of issuing the return).

2. *Notification of Chargeability to Tax, s.51(2)* – Every person who is chargeable to property tax for any year of assessment, but has not received a tax return, should notify the CIR in writing that he/she is so chargeable within four months after the end of that year of assessment.
3. *Notification of Cessation of Ownership, s.51(6)* – Where the ownership of the property has transferred, the seller or the transferor is required to notify the IRD of the change in writing within one month of the sale or transfer being effected.
4. *Notification of Change of Address, s.51(8)* – In the event a property tax payer changes his/her address, he/she should, within one month, inform the CIR in writing of the particulars of the change.
5. *Keeping of Sufficient Rental Records, s.51D* – The owner of a property is required to keep sufficient records of rent received, such as rental agreements and duplicates of rent receipts, to enable their property tax liability to be readily ascertained by the IRD. The records mentioned should be in the English or Chinese language, and retained for a period of not less than seven years.
6. *Notification of Change in Exemption Status, s.5(2)(c)* – The property owner must notify the CIR in writing within 30 days of any change in the ownership or use of the property or any other circumstances affecting the exemption previously granted, if the owner is a corporation exempted from property tax under s.5(2)(a).
7. *Responsibility of Joint Owners or Co-owners, s.56A* – Where two or more persons are joint owners or co-owners of any property, each and every owner is fully responsible for fulfilling the obligations of a property owner as if he/she is the sole owner, including the completion and submission of property tax returns and paying the tax liabilities quantified.

Key Learning Point

A property owner must be aware of his obligations as stipulated in DIPN 14.

► Knowledge Check Questions

Question 14

The owner of properties should keep sufficient rental records according to s.51D of the IRO. Identify which of the following is not correct.

- A** Two sets of property records must be kept, one in English and the other in Chinese.
- B** Property records may be kept in either the English or Chinese language.
- C** Property records must be kept for a period of at least seven years.
- D** Records should include lease agreements and duplicates of rent receipts.

Question 15

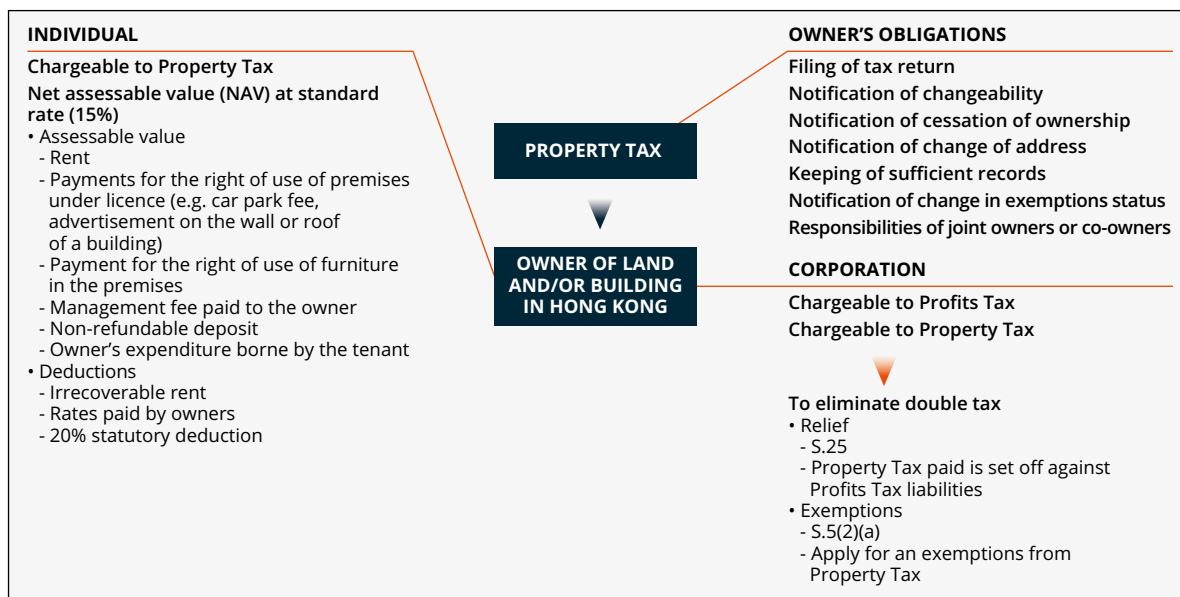
Explain the obligation of Able Corporation Ltd, a company which acquired and rented out a property in Central on 1 July 2017.



SUMMARY

- Property tax is charged on the owners of land or buildings, or land and buildings in Hong Kong and is computed at the standard rate on the net assessable value of the property. The standard rate is 15%. The residence status of owners is irrelevant in determining the chargeability.
- The assessable value is computed by taking into account the consideration received and receivable by the owner in respect of the right of use of the property.
- Examples of consideration to be included in the assessable value are gross rent received or receivable, payment for the right of use of premises under licence, lump sum premium, service charges or management fees paid to the owner and the owner's expenditure paid by the tenant.
- The net assessable value is the assessable value less rates paid by owner and 20% statutory allowance for repairs and outgoings. However, any sums previously deducted as irrecoverable and then recovered should be treated as assessable value in the year of recovery.
- A corporation letting property in Hong Kong is regarded as carrying on business in Hong Kong and should be subject to profits tax in respect of its property income. However, if the income from property chargeable to property tax is included in the taxpayer's profits for profits tax purposes, or if the property owned by the taxpayer is occupied by him/her for producing chargeable profits, the amount of property tax paid will be set off against the amount of profits tax payable. Any excess property tax paid will be refunded.
- As an alternative, corporations carrying on a trade, profession or business in Hong Kong, on application made in writing to the Commissioner, may be exempt from paying property tax.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

The basis period of the year of assessment 2018/19 for property tax is 1 April 2018 to 31 March 2019.

Question 2

Answer A is incorrect because property tax must be paid by anyone who owns property in Hong Kong, regardless of where they are a resident.

Answer B is incorrect because both Mr and Mrs Tong own properties in Hong Kong. As such, they are both chargeable to Hong Kong property tax.

Answer C is correct because both Mr and Mrs Tong own properties in Hong Kong.

Answer D is incorrect because property tax is chargeable to all property owners located in Hong Kong.

Question 3

Answer A is incorrect because an individual cannot apply for exemption from property tax, regardless of his or her residency.

Answer B is incorrect because a person paying rental income chargeable to profits tax cannot apply for an exemption of property tax. Sole proprietors cannot apply for an exemption, even if they own property that is used exclusively for business purposes. The exemption is only for corporations.

Answer C is incorrect because sources of income not related to property ownership are not chargeable to property tax. Under no circumstances can individuals apply for an exemption.

Answer D is correct because exemption provided under s.5(2)(a) only applies to corporations, not individuals, partnerships or sole proprietors.

Question 4

Answer A is incorrect because Mr and Mrs Tong are individuals who jointly own Property A. As individuals, they cannot apply for the exemption.

Answer B is incorrect because Mr Tong is an individual. If he would prefer to charge his rental income to profits tax and apply for the exemption from property tax, he would need to create a corporation and transfer ownership of the three properties to that corporate entity.

Answer C is correct because when a corporation rents out a property, that would amount to a business, as stated in DIPN 14. In this regard, the rental income is therefore chargeable to profits tax under s.14 of the IRO. Note that if Mr and Mrs Tong personally owned this property, they would not be permitted to apply for the exemption. The property must be owned by a corporation for the exclusion to be permitted.

Answer D is incorrect because a property located in mainland China would not be subject to Hong Kong property tax, regardless of the residency of the owner or renter.

Question 5

Answer A is incorrect because the cost of repairs paid by the tenant is considered assessable value as applied to property tax.

Answer B is correct because the building management fee is an expense paid by the tenant to the management company and not paid to the landlord.

Answer C is incorrect because a lump sum premium is paid to the landlord and is considered for property tax.

Answer D is incorrect because a non-refundable deposit, similar to rent, is considered for property tax.

Question 6

Answer A is correct because rent recovered would be chargeable to property tax in the year of recovery provided that it was deductible as irrecoverable rent in the previous year. As the irrecoverable rent was recovered on 1 March 2018, it was chargeable in the year of assessment 2017/18.

Answer B is incorrect because the outstanding rent from 1 January 2016 to 31 March 2016 was not deductible in the previous year because it had not been proved to be irrecoverable. Therefore, the receipt of outstanding rent should not be taxable again.

Answer C is incorrect because the rent was recovered on 1 March 2019 and it should be taxable in the year of assessment 2018/19 and not 2017/18.

Answer D is incorrect because of the same reason as described in B. It is only outstanding rent and not yet allowed as a deduction in the previous year.

Question 7

Rental income (HK\$25,000 × 12) = HK\$300,000.

Although the outstanding rent from 1 February 2018 to 31 March 2018 was received on 15 May 2018, it should be included as assessable value in the year of assessment 2017/18.

Question 8

Answer A is incorrect because repair expenses paid by the landlord are neither taxable nor deductible.

Answer B is incorrect because the reverse is true. Repair expenses paid by a tenant are taxable to the landlord.

Answer C is correct because repair expenses borne by the tenant are considered assessable value under property tax.

Answer D is incorrect because rental expenses are only taxable if they are paid for by the tenant.

Question 9

Answer A is incorrect because any claims of irrecoverable rent must be proved to the assessor.

Answer B is correct because only outstanding rent is not allowed as a deduction. It is deductible in the year that it can be proved as irrecoverable. Deducting it earlier, in the year in which the rent should have been paid, may not give the assessor time to evaluate a landlord's claims.

Answer C is incorrect because landlords must gather evidence to document the tenant's failure to pay in order to support their claims.

Answer D is incorrect because irrecoverable rent is deductible in the year in which it is proved to be irrecoverable. It cannot be deducted until the assessor is satisfied that is the case.

Question 10

Answer A is incorrect because rents paid by the owner are considered in the owner's property tax computation.

Answer B is correct because repair expenses paid by the owner are not deductible in the property tax computation.

Answer C is incorrect because irrecoverable rent is deductible in the property tax computation once it has been proven to the assessor.

Answer D is incorrect because the 20% statutory deduction affects the assessable value of the property, which is part of the property tax computation.

Question 11

Answer A is incorrect because the unpaid rent cannot be deductible before it has been proven irrecoverable, which occurs when Jessie declared bankruptcy on 31 July 2018.

Answer B is correct because the outstanding rent is not deductible in the year of assessment 2017/18 as it is only unpaid but not irrecoverable. It would be treated as irrecoverable and deductible in the year until Jessie declared bankruptcy on 31 July 2018 (i.e. year of assessment 2018/19).

Answer C is incorrect because the unpaid rent cannot be deducted until it is proven to be irrecoverable. That must happen after Jessie declares bankruptcy in the year of assessment 2017/18.

Answer D is incorrect because the unpaid rent would be deductible once it is proven to be irrecoverable, which occurs when Jessie declares bankruptcy, in the year of assessment 2018/19.

Question 12

Answer A is incorrect because profits tax could be charged on the rental income because AIL is a corporation. As such, it can apply for the property tax exemption to charge rental income to profits tax.

Answer B is incorrect because AIL cannot apply for an exemption of profits tax. The exemption is for payment from property tax.

Answer C is incorrect because this option taxes the rental income twice, once under profits tax and once under property tax. The rental income should only be taxed once. It would be taxed under profits tax if AIL has been granted an exemption from property tax.

Answer D is correct because, as a corporation, AIL can apply for an exemption from payment of property tax. In this case, the HK\$100,000 rental income would be taxed as profits tax instead.

Question 13

Thomas Property Tax Computation For the year of assessment 2017/18	
	HK\$
Rent ($\text{HK\$}12,000 \times 3$)	36,000
Less: rates	(2,100)
	<u>33,900</u>
Less: 20% statutory deduction ($\text{HK\$}33,900 \times 20\%$)	(6,780)
Net assessable value	<u>27,120</u>
Property tax payable ($\text{HK\$}27,120 \times 15\%$)	<u>4,068</u>

Although only HK\$24,000 was received, the outstanding rent of HK\$12,000 should also be included as assessable value. The outstanding rent is not allowed as irrecoverable rent as there is no evidence to prove that it is irrecoverable.

Question 14

Answer A is correct because records can be kept in English or Chinese but there is no obligation to keep records in both. Many business owners do keep records in both languages, but doing so is not a requirement.

Answer B is incorrect because records may be kept in either English or Chinese.

Answer C is incorrect because rental records should be retained for at least seven years.

Answer D is incorrect because lease agreements and duplicate rent receipts are important documentation to include in rental records.

Question 15

Able Corporation Ltd has to inform the Commissioner of Inland Revenue in writing that the corporation is chargeable to property tax for the year of assessment 2017/18. It must notify the CIR on or before 31 July 2018 unless the corporation receives a tax return from the IRD before that date.

EXAM PRACTICE

QUESTION 1

The following information relates to the property owned by Eva in Hong Kong:

1)	Tenant	Fanny
2)	Lease term	4 year from 1 October 2017
3)	Rent = free period	1 month at the beginning of the lease
4)	Monthly rent, payable in advance	HK\$15,000
5)	Rent deposits (refundable)	HK\$30,000
6)	Initial premium, payable at the beginning of lease	HK\$90,000
7)	Rates and government rent	HK\$6,000 rates per quarter payable by landlord HK\$5,000 government rent was paid by landlord
8)	Management fee	HK\$1,500 / month payable by landlord
9)	Repairs	HK\$2,000 was paid by tenant for repair of drainage on 1 March 2018
10)	Mortgage loan interest	HK\$20,000 was paid for the year ended 31 March 2018

Additional information:

- Irrecoverable rent of HK\$10,000 was proven to be bad and was deducted in the year of assessment 2015/16. On 1 January 2018, half of this amount was recovered and received by Eva.
- Due to financial difficulties, Fanny was unable to pay for the rent of March 2018 on due date and she promised to settle in May 2018.

Required

Compute Eva's property tax liability for the year of assessment 2017/18. (Ignore provisional property tax and tax reduction.)

QUESTION 2

Wyman is a US resident and works as the marketing manager of a US company. On 1 July 2016, Wyman bought a property in North Point and leased it out for rental purpose. Wyman obtained a loan of HK\$6,000,000 from the Bank of China to finance the acquisition of the property and paid a mortgage loan interest of HK\$18,000 per month.

Details of the terms of the two lease agreements are as follows:

Tenancy 1 (Notes 1 and 2)		
1)	Tenant:	Lily
2)	Term of lease:	2 year from 1 August 2016
3)	Monthly rental:	HK\$24,000, payable in advance on the first day of each month
4)	Rent-free period:	2 month at the beginning of the lease

Tenancy 1 (Notes 1 and 2)

5)	Rental deposit:	Nil
6)	Government rent:	HK\$2,000 / quarter, payable by Wyman
7)	Rates:	HK\$4,000 / quarter, payable by tenant
8)	Management fee:	HK\$2,500 / month, payable by the tenant directly to the management company.

Note 1

As requested by Lily on 1 April 2017, Wyman purchased an air-conditioner of HK\$11,000 to replace the old one.

Note 2

Commencing 1 May 2017, Lily was unable to pay the rent and disappeared on 1 September 2017. The assessor agreed that the rent outstanding at 1 September 2017 was bad and irrecoverable.

Tenancy 2 (Note 3)

1)	Tenant:	Nancy
2)	Term of lease:	4 year from 1 January 2018
3)	Monthly rental:	HK\$50,000, payable in advance on the first day of each month
4)	Rent-free period:	Nil
5)	Rental deposit:	HK\$100,000, payable on 1 January 2018
6)	Initial premium:	HK\$180,000, payable on 1 January 2018
7)	Rates:	HK\$4,000 / quarter, payable by Wyman
8)	Management fee:	HK\$12,500 / month, payable by tenant through Wyman to the management company

Note 3

On 1 January 2018, Wyman rented the property to a new tenant, Nancy. On 25 March 2018, a window was broken due to a typhoon, and Nancy paid HK\$5,000 for repairing the broken window. However, Wyman did not pay her back.

Required

Calculate the property tax liability of Wyman for the year of assessment 2017/18.
(Ignore provisional property tax and tax reduction.)

ANSWERS TO EXAM PRACTICE

QUESTION 1

Eva Property Tax Computation For the year of assessment 2017/18	
	HK\$
Rent $\text{HK\$}15,000 \times 5$ (1 Nov 2017 – 31 Mar 2018)	75,000
Premium $(\text{HK\$}90,000 \times 6/36)$	15,000
Repairs	2,000
Recovery of bad debts $(\text{HK\$}10,000 \times \frac{1}{2})$	5,000
Assessable value	97,000
Less: rates $(\text{HK\$}6,000 \times 2)$	(12,000)
	85,000
Less: 20% statutory deduction $(\text{HK\$}85,000 \times 20\%)$	(17,000)
Net assessable value	68,000
Property tax rate	15%
Property tax payable	10,200

Note:

- Although the tenant has not yet paid the rent for March 2018, no bad debt deduction will be allowed to Eva in the year of assessment 2017/18 as the outstanding rent is only unpaid and not irrecoverable. As the property was still under lease and outstanding rental payment remained as 'consideration payable to Eva'. Therefore, the rental in arrears is still part of the assessable value.
- No deduction for government rent, management fee and mortgage loan interest as deemed to be covered by the 20% statutory deduction.
- The repairs of HK\$2,000 paid by tenant was assessable to property tax as it was regarded as owner's expenditure borne by tenant.
- Irrecoverable rent of HK\$5,000 was received by Eva on 1 January 2018 and should be assessed in the year of assessment 2017/18.
- The premium is spread over the shorter of lease period or three years. As the lease period is three years, so it is spread over 36 months including the rent-free period.

QUESTION 2

Wyman Property Tax Computation For the year of assessment 2017/18	
	HK\$
Lily – Rent, 1 April 2017 – 31 August 2017 ($\text{HK\$}24,000 \times 5$)	120,000
Nancy – Rent, 1 January 2018 – 31 March 2018 ($\text{HK\$}50,000 \times 3$)	150,000
- Premium $\text{HK\$}180,000 \times 3/36$	15,000
- Repairs	5,000
	290,000
Less: irrecoverable rent, May – August 2017 ($\text{HK\$}24,000 \times 4$)	(96,000)
Assessable value	194,000
Less: rates	(4,000)
	190,000
Less: 20% statutory deduction ($\text{HK\$}190,000 \times 20\%$)	(38,000)
Net assessable value	152,000
Property tax rate	15%
Property tax payable	22,800

6

Personal Assessment



CHAPTER TOPIC LIST

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- 6.2.3 Concessionary Deductions
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- 6.2.5 Deduction of Personal Allowances and Application of Progressive Tax Rates
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LEARNING OUTCOMES

PRINCIPAL LO2: APPLY TAX RULES AND PRINCIPLES AND CALCULATE TAX LIABILITIES FOR PROPERTY TAX, SALARIES TAX, PROFITS TAX, PERSONAL ASSESSMENT AND STAMP DUTY IN HONG KONG

Describe, explain and analyse the following tax issues as they impact and interact on transactions, individuals and entities: Personal assessment

LO2.23: Election for personal assessment

2.23.01 Explain the issues, including eligibility and application procedures, relating to personal assessment election

2.23.02 Analyse how a taxpayer can benefit from a personal assessment election

2.23.03 Apply DIPN 18

Calculate the following tax liabilities for transactions, individuals and entities: Personal assessment

LO2.36: Ascertainment of tax liability under personal assessment

2.36.01 Calculate total income and tax payable under personal assessment for individuals and spouses



OPENING CASE

MR WONG AND MRS WONG

Mr Wong and Mrs Wong are considering how to report their incomes in order to minimise tax. Mr Wong is employed by ABC Company as an engineer. He also owns and rents out a property in Hong Kong. Most of the rental income is used to cover the repayment of the loan taken to purchase the property. Mrs Wong runs a sole-proprietorship business but profits from the business fluctuate. The business ran at a loss for the current year. Despite the unexpected downturn, Mrs Wong has donated a substantial amount of her gross business income to a church in Hong Kong for the current year. For many years, the couple have reported their income separately. Mr Wong has paid salaries tax and property tax, and Mrs Wong has paid profits tax. The couple noticed that even though Mr Wong's salary income and Mrs Wong's business income were similar in amount in the last tax year, Mr Wong had paid a lesser amount of tax than Mrs Wong. The couple are looking for a more tax-efficient method of reporting their income. 



OVERVIEW

An individual who has received salaries income, property income and business income can report each source of income separately. This individual then will receive assessments separately in respect of different types of income and for each business the individual runs. That is, a salaries tax assessment for salaries income, a property tax assessment for each rental income-producing property and a profits tax assessment for each business. However, reporting incomes separately may not be tax beneficial in certain situations. For instance, mortgage interest is not deductible under property tax. Also, losses sustained in a business cannot be offset against profits of another business owned by the same individual under separate reporting. But mortgage interest may be deductible and business loss offsetting may be allowable under **personal assessment**. Personal assessment, in brief, is an assessment on aggregated income from all sources. For married couples, each spouse separately reports his or her different types of income separately and hence each receives an assessment for each type of income. This may not be beneficial in certain situations. For example, business losses incurred by one spouse cannot be used to offset income of another spouse. Again, such inter-spouse loss offsetting may be allowable under personal assessment.

This chapter will first give an overview of what is personal assessment. It will then discuss the benefits of electing for personal assessment. We will explain situations where there are no benefits to electing for personal assessment. The qualifying criteria, procedures and time limits for electing for personal assessment will then be discussed. Lastly, this chapter will teach you how to compute tax liability under personal assessment for an individual and a married couple. The issues and techniques related to the personal assessment computation will be specifically discussed.



6.1 PERSONAL ASSESSMENT OVERVIEW

We have learnt in earlier chapters the three types of taxes that may be charged on an individual taxpayer, i.e. property tax on rental income, salaries tax on income from employment, office and pension and profits tax on business income. Instead of having separate assessments on each type of income, an individual taxpayer may, subject to meeting certain criteria discussed below, elect for personal assessment whereby his or her total income would be aggregated and taxed in a single assessment, if he or she believes such an election would result in a reduction of his or her total tax liabilities. Personal assessment provides an alternative method of computing the tax liability of an individual (and of his or her spouse, if any). Personal assessment may reduce the tax payable by individual taxpayers who are liable to pay only profits tax and/or property tax. If an individual taxpayer derives income chargeable only to salaries tax, he or she will not benefit from electing for personal assessment.

Key Learning Point

Personal assessment is an alternative method of assessing the tax liability of an individual or of married couples. It is a relief from tax, but not a separate charge of tax.

6.2 BENEFITS OF ELECTING FOR PERSONAL ASSESSMENT

In this section we will learn how personal assessment may reduce tax liability in general. With the help of illustrative examples, we will then look at how personal assessment may reduce tax liability under various scenarios. Finally, we will highlight that for higher income earners, personal assessment may not be tax efficient at all.

6.2.1 How May Personal Assessment Reduce Tax Liability?

Individuals who carry on sole-proprietorship or partnership businesses and property owners who receive rental income are assessed to profits tax and property tax respectively at the standard rate. By electing for personal assessment, they may claim the following deductions and their tax liabilities will be computed at progressive rates applicable to salaries tax:

1. Deduction of interest. The interest payable on money borrowed for the purchase of property by the individual (and his or her spouse) that is subsequently rented out will be allowed under personal assessment. However, the amount of the interest deduction is limited to the net assessable value of the property, so it may not be used to create a loss.
2. Concessionary deductions. Individuals who have no income chargeable to salaries tax will be entitled to concessionary deductions (i.e. approved charitable donations, elderly residential care expenses, home loan interest and contributions to recognised retirement schemes).
3. Offset of business losses. Any business losses suffered by the individual (and his or her spouse) can be offset against other taxable income (e.g. assessable income under salaries tax, net assessable value under property tax) to reduce the tax burden of the individual (and his or her spouse).
4. Deduction of personal allowances and application of progressive tax rates. Tax payable under personal assessment is the lower amount of:
 - (a) Applying progressive tax rates on **reduced total income** (i.e. total income reduced by interest expense on property, concessionary deductions and business losses), after deduction of personal allowances; or
 - (b) Applying the standard rate on reduced total income before deduction of personal allowances.

Key Learning Point

The benefits of electing for personal assessment are:

- Deduction of interest expense becomes available on rental property.
- Concessionary deductions become available.
- Business losses may be deductible.
- Personal allowances are available.
- Progressive tax rates are applied.

6.2.2 Deduction of Interest Expense for Rental Income Producing Property

The following section will discuss the issues related to the deduction of interest expense. The situation of owning one income-producing property and multiple income producing properties will be analysed.

6.2.2.1 One Income-Producing Property

Individual property owners who have incurred interest expense on loans for the purchase of properties that generate rental income chargeable to property tax cannot claim a deduction of such interest expense under property tax assessment. But, if the individual property owner elects for personal assessment, the interest expense may be deductible in computing the individual's tax liability under personal assessment.

Nevertheless, the deductible amount of interest expense is limited to the net assessable value of that property. The excess of the interest expense over the net assessable value is not deductible and can neither be used to create a loss nor be carried forward to future years to set off against rental income.

Illustrative Example 1 – Interest Deduction

In the Opening Case, Mr Wong, who is a Hong Kong permanent resident, owned and leased out a property located in Hong Kong (Property A) at a monthly rent of HK\$20,000 for the year of assessment 2017/18.

His property tax liability for the year of assessment 2017/18 is as follows:

	HK\$
Rental income	240,000
Less: 20% statutory deduction	(48,000)
Net assessable value	192,000
Property tax payable @15%	28,800

Illustrative Example 1– Interest Deduction (*continued*)

Further, Mr Wong has taken a loan to finance the purchase of Property A and has paid interest in the amount of HK\$200,000 for the year of assessment 2017/18. Mr Wong has elected for personal assessment. His tax liability under personal assessment for the year of assessment 2017/18 is calculated as follows:

	HK\$
Net assessable value (Property A)	192,000
Less: Interest expenses	(192,000)
Total chargeable income under personal assessment	Nil
Total tax payable under personal assessment	Nil

Note the following points:

- By electing for personal assessment Mr Wong will have no tax liability in respect of his property income.
- The maximum deductible interest expense is equal to the net assessable value. The excess of the interest expense over the net assessable value, i.e. HK\$8,000 (HK\$200,000 – HK\$192,000), cannot be carried forward to future years to offset against later income, nor can it create a loss for the current year.

6.2.2.2 More than One Income-Producing Property

We now consider the situation where an individual owns more than one property and has borrowed money to buy those properties. The interest expense incurred on the loan on one property is higher than the net assessable value of that property (i.e. there is unrelieved interest expense). But the interest incurred in respect of the loan on another property is lower than the respective net assessable value. Note that in such circumstances, the unrelieved interest expense cannot be set off against the net assessable value of the other property.

Illustrative Example 2 – Interest Expenses Exceeding Net Assessable Value for More than One Property

Mr Lee, who is a Hong Kong permanent resident, owned and leased two properties located in Hong Kong for the year of assessment 2017/18. He has taken loans to purchase those properties. He has elected for personal assessment for the year 2017/18. The respective rental income and interest expense for the year were as follows:

- Property A: Rental income of HK\$200,000; interest expense of HK\$200,000
- Property B: Rental income of HK\$300,000; interest expense of HK\$100,000

Illustrative Example 2 – Interest Expenses Exceeding Net Assessable Value for More than One Property (*continued*)

Mr Lee's total chargeable income under personal assessment for the year of assessment 2017/18 is calculated as follows:

Step 1: Computation of net assessable values for the properties

	Property A	Property B
	HK\$	HK\$
Rental income	200,000	300,000
Less: 20% statutory deduction	(40,000)	(60,000)
Net assessable value	160,000	240,000

Please note that Mr Lee will be subject to property tax at the standard rate charged on the above net assessable values if he does not elect for personal assessment. There will be a separate assessment for each property.

Step 2: Computation of total chargeable income under personal assessment

	HK\$
Net assessable value (Property A)	160,000
Net assessable value (Property B)	240,000
Total income before interest deduction	400,000
Less: Interest expenses deduction	
Property A (limited to net assessable value)	(160,000)
Property B	(100,000)
Total chargeable income	140,000

Please note that the maximum deduction of interest expense for Property A is limited to the net assessable value of Property A. The excess of the interest expense of Property A over the net assessable value of Property A cannot be carried forward to future years. Such excess also cannot be offset against the net assessable value of Property B.

6.2.3 Concessionary Deductions

We have learnt that concessionary deductions may be available under salaries tax provisions. Concessionary deductions include approved charitable donations, home loan interest, contributions to a mandatory provident fund or recognised retired scheme and elderly residential care expenses for parents and grandparents. An individual who derives only income chargeable to profits tax can claim a deduction for approved charitable donations, but not other concessionary deductions. An individual who derives only income chargeable to property tax can claim no concessionary deductions at all. However, individuals electing for personal assessment may claim all concessionary deductions.

Illustrative Example 3 – Concessionary Deductions: Home Loan Interest and Elderly Residential Care Expense

In the Opening Case, Mr Wong, who is a Hong Kong permanent resident, owned and leased out Property A located in Hong Kong. He derived annual rental income of HK\$200,000 from Property A for the year of assessment 2017/18. Mr Wong had no other sources of income. Mr Wong also owned another property, Property B, which was used as his residence. During the year 2017/18, he paid mortgage interest of HK\$100,000 on Property B. Also, during the year 2017/18, he paid elderly residential care expense of HK\$90,000 to a registered nursing home for his father.

If Mr Wong does not elect for personal assessment, his property tax liability for 2017/18 is computed as below:

	HK\$
Rental income	200,000
Less: 20% statutory deduction	(40,000)
Net assessable value	160,000
Property tax payable @15%	24,000

If Mr Wong elects for personal assessment, his total chargeable income under personal assessment for 2017/18 is computed as below:

	HK\$
Net assessable value (Property A)	160,000
Less: Concessionary deductions	
Elderly residential care expense	(90,000)
Home loan interest (Property B)	(100,000)
Total chargeable income	Nil

Therefore Mr Wong will have no tax liability for the year if he elects for personal assessment.

Please note that all the rules applicable in ascertaining deductibility of concessionary deductions under salaries tax are also applicable to the personal assessment computation.

6.2.3.1 Approved Charitable Donations

A deduction for approved charitable donations is available under salaries tax, profits tax and personal assessment, but not under property tax. An individual who derives only rental income from property can nevertheless elect for personal assessment so that his charitable donations can be deducted in computing his total income chargeable to tax under personal assessment.

The maximum amount of charitable donations is equal to 35% of the aggregated income from employment, business and property, as reduced by interest incurred on loans for the acquisition of property generating rental income.

Charitable donations that have not been allowed under salaries tax and profits tax may be deducted from the total personal assessment income based on the following formula:

(Personal Assessment Total Income before business losses*

– Mortgage interest for rental property (see Section 6.2.2 above)

+ Donations already allowed under profits tax

+ Self-education expenses allowed under salaries tax)

× 35%

– Donations already allowed under profits tax

*Personal Assessment Total Income before business losses =

Net Assessable Value (property tax) + Net Assessable Income (salaries tax)^a + Assessable Profits (profits tax)^b

^a Remember that net assessable income generally means all income assessable under salaries tax reduced by outgoings and expenses and self-education expenses. Approved charitable donation, which is a concessionary deduction is not deducted in computing the net assessable income.

^b Note that approved charitable donations have been allowed in arriving at the profits assessable under profits tax.

Illustrative Example 4 – Approved Charitable Donations

In the Opening Case, Mr Wong, who is a Hong Kong permanent resident, owned and leased out Property A located in Hong Kong. He derived an annual rental income of HK\$250,000 from Property A for the year of assessment 2017/18. During the same year, Mr Wong earned salaries income of HK\$400,000 and business profits of HK\$350,000 from his sole-proprietorship business. He donated cash of HK\$400,000 to an approved charitable organisation (HK\$140,000 and HK\$122,500 have been deducted under salaries tax and profits tax respectively, i.e. the limitation to 35% of the salaries and business profits). Mr Wong elected for personal assessment for 2017/18.

Computation of chargeable income under personal assessment before personal allowances

	HK\$
Net assessable value of property (HK\$250,000 × 80%)	200,000
Net assessable salary income (before deduction of charitable donations)	400,000
Assessable business profits (after deduction of charitable donations)	227,500
	<u>827,500</u>
Less: Charitable donation [limited to 35% × (HK\$827,500 + HK\$122,500) – HK\$122,500]	(210,000)
Chargeable income under personal assessment before personal allowances	<u><u>617,500</u></u>

Illustrative Example 4 – Approved Charitable Donations (continued)

Please note that the total donations deductible, if personal assessment is elected, will become HK\$332,500 [= 35% × (200,000 + 400,000 + 227,500 + 122,500)], which is more than the total donation deductible under salaries tax (HK\$140,000) and profits tax (HK\$122,500), i.e. HK\$262,500 in total.

6.2.4 Offset of Business Losses

Where an individual who is running two or more sole-proprietorship businesses or partnership businesses, each of these businesses shall be separately assessed under profits tax. Therefore, any assessed loss of one business cannot be offset against the assessable profits of another business carried on by the same individual. However, under personal assessment, business losses of an individual derived from his or her sole-proprietorship business or partnership business may be offset against other income of that individual. Hence, the overall tax liability of that individual may be reduced.

Illustrative Example 5 – Offset of Business Loss against Business Income

Mr Lee incurred a business loss of HK\$500,000 for the year 2017/18 from Business A and derived assessable profits of HK\$500,000 from Business B during the same year.

If there is no election for personal assessment, Mr Lee's tax position for 2017/18 is as follows:

Profits Tax payable – Business B	HK\$
Assessable profits	500,000
Tax at standard rate 15%	75,000
Less: 75% tax reduction, limited to HK\$30,000 ^a	(30,000)
Tax payable	45,000
Profits Tax payable – Business A	HK\$
Business loss for the year and carried forward	(500,000)
Tax payable	Nil

If personal assessment is elected, Mr Lee's tax position is as below:

	HK\$
Assessable profits – Business B	500,000
Less: Business loss – Business A	(500,000)
Total chargeable income	Nil

Note:

^a For the year 2017/18, 75% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$30,000 per each assessment (see Section 6.2.5 for tax reduction for the respective years).

By electing for personal assessment, the tax liability of Mr Lee is reduced to nil because his loss from Business A can be offset against his income from Business B assessed in the year.

Illustrative Example 6 – Offset of Business Loss against Salaries Income

Mr Lee incurred a business loss of HK\$500,000 for the year 2017/18. He derived salaries income of HK\$500,000 from an employment during the same year.

If there is no election for personal assessment, Mr Lee's tax position is as below:

Salaries Tax payable	HK\$
Salaries income	500,000
Less: Basic allowance	(132,000)
Net chargeable income	368,000
Tax at progressive rates $(\text{HK\$}368,000 - \text{HK\$}135,000) \times 17\% + \text{HK\$}45,000 \times 2\% + \text{HK\$}45,000 \times 7\% + \text{HK\$}45,000 \times 12\%$	49,060
Less: 75% tax reduction ^a	(30,000)
Tax payable	19,060
Profits Tax payable	HK\$
Business loss for the year and carried forward	(500,000)
Tax payable	Nil

If Mr Lee elects for personal assessment, his tax position is as below:

	HK\$
Salaries income	500,000
Less: Business loss	(500,000)
Total chargeable income	Nil

Note:

^a Note that for the year 2017/18, 75% of the final tax payable under profits tax, salaries tax and tax under personal assessment would be waived, subject to a ceiling of HK\$30,000 per each assessment (see Section 6.2.5 for tax reduction in the respective years).

By electing for personal assessment, Mr Lee's tax liability is reduced to nil because his business loss can be offset against his salaries income assessed in the year.

6.2.5 Deduction of Personal Allowances and Application of Progressive Tax Rates

We have learnt in earlier chapters that personal allowances (e.g. basic allowance, married person's allowance, child allowance, etc.) are available for salaries income taxpayers. However, such allowances are not available to individuals who are paying profits tax and property tax. By electing for personal assessment, however, these allowances will become available against any income.

As with salaries tax, the tax payable under personal assessment is the lower of the following two amounts as calculated by:

1. Applying progressive tax rates to the reduced total income (i.e. total income reduced by interest on rental property, concessionary deductions, current year business losses, personal assessment losses brought forward) reduced by personal allowances; and
2. Applying the standard rate to the reduced total income before deduction of personal allowances.

Again, as with salaries tax and profits tax there is a one-off reduction for tax payable under personal assessment for the following years of assessment:

Tax Reduction		
Year of assessment	% of tax reduction	Maximum per each assessment
2012/13–2013/14	75%	HK\$10,000
2014/15–2016/17	75%	HK\$20,000
2017/18	75%	HK\$30,000

However, please note that the advantage of electing personal assessment may be diminished or even eliminated on the basis that there is only *one* one-off reduction of tax under personal assessment, whilst there is a tax reduction for each of the salaries and profits tax assessments, respectively.

Illustrative Example 7 – Deduction of Personal Allowances, Application of Progressive Tax Rates and Tax Reduction

Mr Wong, who is a Hong Kong permanent resident, owned and leased out a property located in Hong Kong at a monthly rent of HK\$40,000 for the year of assessment 2017/18.

His property tax liability for the year of assessment 2017/18 is as follows:

	HK\$
Rental income	480,000
Less: 20% statutory deduction	(96,000)
Net assessable value	384,000
Property tax payable @15%	57,600

Illustrative Example 7 – Deduction of Personal Allowances, Application of Progressive Tax Rates and Tax Reduction (*continued*)

If Mr Wong elects for personal assessment, his tax liability is computed as follows:

	HK\$
Net assessable value	384,000
Less: Basic allowance	(132,000)
Net chargeable income under personal assessment	252,000
Tax at progressive rates: $(\text{HK\$}252,000 - \text{HK\$}135,000) \times 17\% + \text{HK\$}45,000 \times 2\% + \text{HK\$}45,000 \times 7\% + \text{HK\$}45,000 \times 12\%$	29,340
Tax at standard rate: $\text{HK\$}384,000 \times 15\%$	57,600
Tax payable (at progressive rates) before tax reduction	29,340
Less: 75% tax reduction	(22,005)
Tax payable after tax reduction	7,335

By electing for personal assessment, Mr Wong's tax liability is reduced by HK\$50,265 (i.e. HK\$57,600 – HK\$7,335) because the basic allowance is deducted, progressive tax rates are applied and the 75% tax reduction is given.

6.2.6 When Will Election for Personal Assessment Not Be Advantageous?

Under personal assessment, tax is calculated at progressive tax rates on the aggregated income from all sources. As the marginal scale of the progressive rates is higher than the standard rate, it may not be advantageous for high-income taxpayers to elect personal assessment.

Illustrative Example 8 – No Benefit under Personal Assessment

During the year 2017/18, Miss Chan owned and rented out a property in Hong Kong at a monthly rent of HK\$50,000. She paid mortgage interest of HK\$42,000 on the property for the year. Miss Chan derived salaries income of HK\$500,000 from an employment during the same year.

If Miss Chan does not elect for personal assessment, her tax liabilities are computed as follows:

Salaries tax payable	HK\$
Salaries income	500,000
Less: Basic allowance	(132,000)
Net chargeable income	368,000
Tax at progressive rates $(\text{HK\$}368,000 - \text{HK\$}135,000) \times 17\% + \text{HK\$}45,000 \times 2\% + \text{HK\$}45,000 \times 7\% + \text{HK\$}45,000 \times 12\%$	49,060
Less: 75% tax reduction (capped at HK\$30,000)	(30,000)
Tax payable	19,060

Illustrative Example 8 – No Benefit under Personal Assessment (continued)

Property tax payable	HK\$
Rental income (HK\$50,000 × 12)	600,000
Less: 20% statutory deduction	(120,000)
Net assessable value	480,000
Tax at standard rate 15%	72,000
Total tax payable	HK\$
Salaries tax payable	19,060
Property tax payable	72,000
Total tax payable	91,060

If Miss Chan elects for personal assessment, her tax liability is computed as follows:

	HK\$
Tax payable under personal assessment	500,000
Net assessable income (i.e. salaries income)	
Net assessable value	480,000
Total income	980,000
Less: Mortgage interest	(42,000)
	938,000
Less: Basic allowance	(132,000)
Net chargeable income	806,000
Tax at progressive rates (HK\$806,000 – HK\$135,000) × 17% + HK\$45,000 × 2% + HK\$45,000 × 7% + HK\$45,000 × 12%	123,520
Tax at standard rate HK\$938,000 × 15%	140,700
Tax payable before tax reduction	123,520
Less: 75% tax reduction (capped at HK\$30,000)	(30,000)
	93,520

Note that Miss Chan's salaries income is chargeable to salaries tax at the marginal rate of 17%, and her property income aggregated under personal assessment will also be charged at 17%. Therefore, it is not advantageous for her to elect for personal assessment. If she has nevertheless made such an election, the Inland Revenue Department will issue a salaries tax assessment and a property tax assessment separately and will, by way of an Assessor's note in the respective tax demand note, advise that it is not advantageous for her to elect for personal assessment for the relevant year of assessment.

► Knowledge Check Questions

Question 1

Identify which of the following is NOT a benefit of electing for personal assessment.

- A Deduction of more private expenses, which are not allowable under salaries tax.
- B Deduction of mortgage interest, which is not allowable under property tax.
- C Deduction of personal allowances, which are not allowable under profits tax.
- D Applying progressive tax rates, which are not applicable to property tax.

Question 2

Identify which of the following is a potential benefit under personal assessment.

- A More concessionary deductions for a taxpayer whose only source of income is employment income.
- B Offsetting of offshore business loss.
- C Tax is always based on standard rate.
- D Deduction of approved charitable donations for a taxpayer who receives property income only.

➤ 6.3 PERSONS WHO MAY ELECT FOR PERSONAL ASSESSMENT

Only individuals who have satisfied the criteria set out in Section 6.3.1 can elect for personal assessment. There are further requirements for married persons (see Section 6.3.2) and special treatment for deceased persons (see Section 6.3.3).

6.3.1 Eligibility Criteria

Personal assessment may be elected by a person who is:

- An individual;
- Aged 18 or above (but permitted under that age if both his or her parents are dead); and
- Either a permanent or temporary resident in Hong Kong or, if he or she is married and for the Year of Assessment up to 2017/18, whose spouse is either a permanent or temporary resident of Hong Kong.

According to s.41(4) of the Inland Revenue Ordinance (IRO), a **permanent resident** means an individual who ordinarily resides in Hong Kong. The IRO does not further define the meaning of 'ordinarily resides'. From case law:

- **Ordinarily resides** means
 - Having regular visits and those visits being of a substantial period from year to year (*Lysaght v CIR*);

- Maintaining a place of abode (*Cooper v Cadwalader*);
- **Resides** means to dwell permanently or for a considerable time, to have one's settled or usual abode, to live in or at a particular place.

The Inland Revenue Department (IRD) expresses in its 'A Brief Guide to Personal Assessment' on page 5:

'A person will be regarded as 'ordinarily resident' in Hong Kong if he/she resides in Hong Kong voluntarily and for a settled purpose (such as for education, business, employment or family, etc.) with sufficient degree of continuity. Such person should habitually and normally reside in Hong Kong apart from temporary or occasional absences of long or short duration, and is living in Hong Kong as an ordinary member of the community for all the purposes of his/her daily life.'

The concept of ordinary residence was looked at in the Board of Review in case D11/15. In 2006, the taxpayer of D11/15, who was a civil servant, applied for retirement to accompany his children to study abroad. Thereafter he lived outside Hong Kong. For the years 2007/08 to 2012/13, he stayed in Hong Kong for periods ranging from 23 days to 40 days in a year. He received rental income from a property in Hong Kong, which was assessed to property tax. The IRD refused his application for personal assessment on the grounds that he did not ordinarily reside (s.41) in Hong Kong.

The Board dismissed the taxpayer's appeal on grounds including:

- 'Ordinary residence' is not a legal status that can be remained once it has been acquired before and is one based on fact, rather than intention.
- That the taxpayer stayed in Hong Kong for short periods only provided strong evidence that he was not ordinarily resident in Hong Kong.
- A person who keeps a dwelling place in Hong Kong does not necessarily mean that he 'ordinarily resides' there.
- A person having the right of abode in Hong Kong (granted under the Immigration Ordinance) does not necessarily mean that he 'ordinarily resides' there.
- A close connection with Hong Kong, e.g.:
 - owning a property here;
 - keeping the mandatory provident fund account, bank and credit card accounts, telephone number, driving licence, registration as a voter; and
 - holding a SAR passport

demonstrates a link with Hong Kong but not that the taxpayer 'ordinarily resided' there.

A **temporary resident** refers to an individual who stays in Hong Kong for more than:

- 180 days during the year of assessment in respect of which the election is made; or
- 300 days over two consecutive years of assessment, one of which is the year of assessment in respect of which he or she elects for personal assessment.

6.3.2 Husband and Wife

Up to and including the year of assessment 2017/18, there is no separate taxation for married couples under personal assessment. A married couple's chargeable income is aggregated together to compute the total joint income chargeable to tax under personal assessment. Up to and including the year 2017/18, there has been a joint election requirement for married couples. That is, where an individual is married and he or she is not living apart from his or her spouse and where both spouses:

- have income assessable under the IRO; and
- are eligible to make an election for personal assessment,

the personal assessment must be elected by them both (see Illustrative Example 9a).

Tax payable under personal assessment is computed based on the total joint income, reduced by certain deductions (see Section 6.4.3). The total tax payable is apportioned between the spouses in the same proportion that their individual assessable income bears to the total income. They will receive separate notices of assessment for the apportioned tax (see Section 6.4.5).

The joint election requirement can be relaxed in the following situations:

- Where an individual is married, he or she is not living apart from his or her spouse and only one spouse has income assessable, the income-earning spouse can elect for personal assessment provided that the age and residence requirements mentioned above are satisfied.
- Where an individual is married, he or she is not living apart from his or her spouse and both spouses have income assessable but only one spouse is eligible for election, the eligible spouse can elect for personal assessment by himself or herself (see Illustrative Example 9b).

For the situation where a couple got married during a year of assessment to which the election for personal assessment relates, they shall be deemed to be married at the commencement of that year.

From the year of assessment 2018/19 onwards, a married person may elect for personal assessment separately from or jointly with his/her spouse. If an individual elects for personal assessment jointly with his/her spouse, both the husband and the wife must have income assessable to tax. If the husband and the wife are jointly assessed under salaries tax, election for personal assessment must be made by both of them jointly.

Illustrative Example 9a – Married Couple Joint Election Requirement

Mr Chan carried on a sole-proprietorship business in Hong Kong and has incurred a tax loss for the year of assessment 2017/18. He was employed by ABC Company Ltd and received a salary. His wife received a salary from DEF Company Ltd. Both Mr and Mrs Chan's employment incomes are subject to salaries tax. Both are permanent residents of Hong Kong. Mr Chan wanted to elect for personal assessment for the year of assessment 2017/18 so that he can offset the business loss against his employment income.

Illustrative Example 9a – Married Couple Joint Election Requirement (continued)

The election must be made by both spouses. By electing for personal assessment, both spouses would be aware of their respective employment income and business losses. If either spouse wished to keep details of their income or losses private, they would not elect for personal assessment. If either spouse refused to make the election, current law does not allow for one spouse to elect separately. However, as noted above, this situation may change starting from the year of assessment 2018/19 (subject to the separate election rule being approved by the Legislative Council).

Illustrative Example 9b – Married Couple Joint Election Requirement Relaxed

During the year 2017/18, Miss Chan, aged 17, and Mr Wong, aged 21, were married. They both are permanent residents in Hong Kong. Miss Chan's parents are still alive. For the year 2017/18, Miss Chan derived business income of HK\$500,000. Mr Wong received salaries income of HK\$400,000 and incurred business loss of HK\$100,000.

For 2017/18, Miss Chan is not eligible to elect for personal assessment as she was below the age of 18 and her parents are not dead. Mr Wong is eligible as he was over 18 years old and was a Hong Kong permanent resident. Mr Wong can elect for personal assessment by himself.

6.3.3 Deceased Taxpayer

For a deceased taxpayer who was eligible to elect for personal assessment, his or her executor shall have the same right to elect for personal assessment on the total income of the deceased as the deceased would have had if he or she were alive.

Illustrative Example 10 – Deceased Taxpayer

Mr Li carried on a sole-proprietorship business in Hong Kong and has incurred a tax loss for the year of assessment 2017/18. He was employed by ABC Company Ltd with employment income subject to salaries tax. Mr Li died on 1 May 2018. His executor is his wife. His wife, who is not a Hong Kong permanent resident, can nevertheless elect for personal assessment on behalf of Mr Li so that the business loss may be offset against total income.

6.3.4 Time Limit for Election for Personal Assessment

Election for personal assessment must be made in writing. An election may be made by completing the relevant section in the tax return or by completing the Form IR76C and submitting it to the Inland Revenue Department within the time limit specified below.

The written election must be lodged with the Commissioner within the later of:

- Two years after the end of the year of assessment in respect of which the election is made (e.g. election for personal assessment for the year of assessment 2017/18 must be made no later than 31 March 2020);
- One month after an assessment of income or profits forming part of the individual's total income for such year of assessment becomes final and conclusive under s.70 (i.e. two months after the issue of the assessment); or
- Such further period, if any, as the Commissioner may allow as being reasonable in the particular circumstances.

We have learnt in earlier chapters that an assessment will become final and conclusive one month after such assessment is issued, if no valid objection is lodged. Therefore, 'one month after the assessment is final and conclusive', in effect is two calendar months after the date of issue of the assessment.

Illustrative Example 11 – Due Date for Election of Personal Assessment

In the Opening Case, Mr Wong is a Hong Kong permanent resident. He received his property tax assessment for the year 2015/16 on 31 March 2018.

What is the due date for electing personal assessment for 2015/16 in Mr Wong's case?

- Under the 'two-year limit':
Two years after the year of assessment 2015/16, in relation to which Mr Wong wants to elect for personal assessment, is 31 March 2018.
- One month after the assessment is final and conclusive:
The assessment was issued on 31 March 2018. Therefore, it will become final and conclusive on 30 April 2018. One month after the assessment is final and conclusive is 31 May 2018.

31 May 2018 is later than 31 March 2018. Therefore, the due date for submitting the personal assessment election (Form IR76C) is 31 May 2018.

► Knowledge Check Questions

Question 3

Identify which of the following statements about personal assessment is correct.

- A** The husband and wife may nominate either one of them to receive the demand note and pay the tax.
- B** For married couples, the income-earning spouse can elect for personal assessment just by himself or herself if the other spouse has no income assessable to tax.
- C** Personal assessment is not available to a deceased person.
- D** Personal assessment can be elected within six years following the end of the relevant year of assessment.

 Knowledge Check Questions (continued)**Question 4**

Identify which of the following persons may be eligible to elect for personal assessment.

- A** A holder of a Hong Kong permanent resident identity card.
- B** An individual who has resided in Hong Kong for more than 150 days in a year.
- C** An individual aged 17, whose parents are Hong Kong permanent residents.
- D** An individual who is neither a permanent resident nor a temporary resident in Hong Kong, but his or her spouse is a temporary resident in Hong Kong.



6.4 PERSONAL ASSESSMENT COMPUTATION

In this section we will outline the three steps for making a personal assessment computation (Section 6.4.1). Section 6.4.2 addresses the issues relevant to aggregation of income chargeable to property tax, salaries tax and profits tax. Section 6.4.3 covers the concepts of deduction of interest on rental property, concessionary deductions and business losses. Section 6.4.4 discusses how to compute tax payable using progressive rates and the standard rate. Section 6.4.5 explains the issues related to married couples. Finally, Section 6.4.6 teaches you how to apply the concepts and skills covered in Sections 6.4.2 to 6.4.5 in preparing a personal assessment computation for an individual and for married couples.

6.4.1 Steps in Personal Assessment Computation

A personal assessment computation includes three steps:

1. Aggregation of income chargeable to property tax, salaries tax and profits tax.
2. Deduction of interest expenses, concessionary deductions, business losses incurred for the current year, losses under personal assessment brought forward from a previous year, to arrive at reduced total income, then further deduction of personal allowances to arrive at **total chargeable income**.
3. Computation of tax payable, which is the lower of progressive rates on total chargeable income and the standard rate on reduced total income.

6.4.2 Aggregation of Income Chargeable to Property Tax, Salaries Tax and Profits Tax

Net assessable value (NAV) is the income derived from property calculated as follows:

Rental income	A
Add: Recovered bad rent	B
Less: Irrecoverable rent	(C)

Assessable value (AV)	D
Less: Rates agreed and paid by landlord	(E)
	F
Less: 20% statutory deduction (20% × F)	(G)
Net assessable value (NAV)	<u>H</u>

Net assessable income (NAI) is the assessable income derived from employment/office/pension with adjustments as shown below:

Assessable income (AI)	A
Less: Outgoings and expenses – s.12(1)(a)	(B)
Depreciation allowance – s.12(1)(b)	(C)
Self-education expenses – s.12(1)(e)	(D)
Add: Balancing charge – s.12(5)	<u>E</u>
Net assessable income (NAI)	F

Please refer to previous chapters for the above adjustments under salaries tax but note that NAI is after deduction of self-education expenses but before concessional deductions.

Net assessable profits (NAP) is the income chargeable to profits tax. The NAP is determined after offset of business losses brought forward from previous years and after deduction of approved charitable donations. NAP from all sole-proprietorship businesses and any share of NAP from all partnership businesses owned by an individual will be included in his or her personal assessment computation.

6.4.3 Deduction of Interest, Concessional Deductions and Business Losses

Interest expenses incurred for the purchase of property that generates rental income are deductible. The deduction is limited to NAV of the relevant property according to the Board of Review case D51/04.

Concessional deductions refer to approved charitable donations (ACD), elderly residential care expenses, home loan interest and contributions to a mandatory provident fund/recognised retirement scheme.

Business losses incurred for the current year of assessment are deductible. Business losses include losses derived from a sole-proprietorship business and any share of a loss from a partnership business.

Where the aggregate amount of the concessional deductions and the business losses of a taxpayer exceeds his or her total income, only that part of the excess representing business losses will be carried forward to set off against the total income of the taxpayer for future years of assessment.

In general, prior years' losses brought forward under personal assessment will only be set off against the total income of the taxpayer when personal assessment is elected. Where personal assessment is not elected, income of the taxpayer will be assessed under the respective primary charge and the loss will be carried forward for set-off in the next year when a personal assessment election is made.

Please note that deduction of self-education expenses is only applicable to salary income assessed under salaries tax, and not applicable to rental income or business income, with or without applying for personal assessment.

6.4.4 Computation of Tax Payable

As discussed in Section 6.2.5, the tax payable under personal assessment is the lower of the following two amounts as calculated by:

- Applying progressive tax rates to the reduced total income (i.e. total income reduced by interest on rental property, concessionary deductions, current year business losses, personal assessment losses brought forward) after deduction of personal allowances; and
- Applying standard rate to the reduced total income before deduction of personal allowances.

There is a one-off reduction for tax payable under personal assessment in the following years.

Tax Reduction		
Year of assessment	% of tax reduction	Maximum per each assessment
2012/13–2013/14	75%	HK\$10,000
2014/15–2016/17	75%	HK\$20,000
2017/18	75%	HK\$30,000

6.4.5 Calculation of Tax Liability for Married Couples

For a husband and a wife who have elected to be personally assessed, their total incomes reduced by interest expense for rental property, concessionary deductions, business losses, personal assessment losses brought forward (i.e. reduced total incomes) are in the first instance computed individually before being aggregated.

The personal assessment tax is computed on a joint basis. But the tax payable is apportioned between the husband and wife based on the proportions of their reduced total incomes borne to their joint total income. They will receive separate notices of assessment for the apportioned tax.

For the purposes of computing the couple's joint income, a husband and a wife who marry during the year of assessment are deemed to have married at the commencement of that year of assessment.

Losses incurred by married taxpayers will be computed individually. However, in any year of assessment where personal assessment is elected, the loss will be set off against the total income of both the individual to whom the loss belongs and his or her spouse before any unused residue can be carried forward. In any year of assessment in which a spouse with a loss brought forward does not elect to be personally assessed because he or she has no income, and his or her spouse makes an election individually, the loss will still be set off against the chargeable income of the electing spouse for that year of assessment, and only the balance of the loss will be carried forward to the subsequent year of assessment in the name of the spouse who incurred it. Please refer to Illustrative Example 16.

6.4.6 Personal Assessment Calculation

Taking into account the steps up to this point, the following format can be used for a tax calculation under personal assessment.

6.4.6.1 Format for Personal Assessment Calculation for an Individual

NAV – property	A
NAI – employment/office/pension	B
AP – business (after set-off of business losses brought forward from prior years; and ACD)	C
Total income	D
<i>Less:</i>	
Interest on property included in 'A' above ^a	(E)
<i>Concessionary deductions:</i>	
Approved Charitable Donations (ACD) ^b	(F)
Elderly Residential Care Expenses (ERCE)	(G)
Home Loan Interest (HLI)	(H)
Mandatory Contributions to Recognised Retirement Schemes (RRS Contributions)	(I)
Business losses (current year)	(J)
	K
PA loss brought forward	(L)
Reduced total income	M
Personal allowances	(N)
Total chargeable income	<u>O</u>

Tax payable = Lower of: [progressive rates on **O**] and [standard rate on **M**]

PA loss carried forward = **K** (maximum = J) + L

^a Interest incurred on money borrowed to finance the purchase of a property which produces income chargeable to property tax is deductible. But the deductible amount is limited to the net assessable value of that property (D51/04).

^b Approved charitable donations (ACD) made by an individual (and his or her spouse), which are not yet allowed under profits tax, would be deductible under personal assessment.

Key Learning Point

A personal assessment computation includes three steps:

1. Aggregation of net assessable value (NAV), net assessable income (NAI) (after self-education expense), assessable profits (AP) (after losses brought forward and approved charitable donation [ACD]).
2. Deduction of interest expenses (limited to NAV of the relevant property), concessionary deductions, business losses incurred for the current year, loss under personal assessment brought forward from a previous year to arrive at reduced total income, then further deduction of personal allowances to arrive at total chargeable income.
3. Computation of tax payable, which is the lower of progressive rates on total chargeable income and the standard rate on reduced total income.

Illustrative Example 12 – PA Calculation for an Individual

In the Opening Case, Mr Wong has the following income, losses and outgoings for the year of assessment 2017/18. He has elected for personal assessment.

	HK\$
<i>Income:</i>	
Property (NAV)	60,000
Employment (NAI)	580,000
<i>Loss and outgoings:</i>	
Mortgage interest in respect of the property	70,000
Loss from business	300,000
<i>Concessionary deductions:</i>	
Approved charitable donation	210,000
MPF contribution	18,000

Personal Assessment Calculation of Mr Wong for the year of assessment 2017/18

	HK\$
Net assessable value	60,000
Net assessable income	580,000
Total income	640,000
Less: Mortgage interest (limited to NAV)	(60,000)
	580,000
Less: ACD (HK\$580,000 × 35%)	(203,000)
MPF contribution	(18,000)
	359,000
Less: Business loss	(300,000)
	59,000
Less: Basic allowance	(132,000)
Net chargeable income	0

Illustrative Example 13 – PA Loss Limited to Business Loss

In the Opening Case, Mr Wong has the following income, losses and outgoings for the year of assessment 2017/18:

	HK\$
<i>Income:</i>	
Property (NAV)	60,000
Employment (NAI)	80,000
<i>Loss and outgoings:</i>	
Mortgage interest in respect of the property	70,000
Loss from business	90,000
<i>Concessionary deductions:</i>	
Approved charitable donations	30,000
Other concessionary deductions	102,000

Personal Assessment Calculation of Mr Wong for the year of assessment 2017/18

	HK\$
Net assessable value	60,000
Net assessable income	80,000
Total income	140,000
Less: Mortgage loan interest (limited to NAV)	(60,000)
	80,000
Less: ACD [limited to 35% × (140,000 – 60,000)]	(28,000)
Other concessionary deductions	(102,000)
	(50,000)
Less: Business loss	(90,000)
	(140,000)
Loss to be carried forward (limited to business loss)	90,000

6.4.6.2 Format for Personal Assessment Calculation for Husband and Wife

	Husband	Wife
NAV– property	A1	A2
NAI – employment/office/pension	B1	B2
AP – business	C1	C2
(after set-off of business loss b/f from prior years and ACD)		
Total income	D1	D2
<i>Deduct:</i>		
Interest on property included in ‘A’ above ^a	(E1)	(E2)

	Husband	Wife
<i>Concessionary deductions:</i>		
ACD ^b	(F1)	(F2)
ERCE	(G1)	(G2)
HLI	(H1)	(H2)
RRS contributions	(I1)	(I2)
Business losses (current year)	(J1)	(J2)
	K1	K2
PA loss brought forward and spouse's loss	(L1)	
Reduced total income (separated)	<u>M1</u>	+ <u>M2</u>
Reduced total income (aggregated)		M3
Personal allowances		(N3)
Total chargeable income		<u>O3</u>

Tax payable = Lower of: [progressive rates on **O3**] and [standard rate on **M3**]

Tax payable by husband and wife: Total tax payable apportioned **M1:M2**

^a Interest incurred on money borrowed to finance the purchase of a property which produces income chargeable to property tax is deductible. But the deductible amount is limited to the net assessable value of that property (*D51/04*).

^b Approved charitable donations (ACD) made by an individual (and his or her spouse), which are not yet allowed under profits tax, would be deductible under personal assessment.

The maximum amount of total allowable ACD is computed by:

$$\begin{aligned}
 & \text{Aggregate income after interest } (A + B + C - E) \\
 & + \text{ACD already deducted in AP } (C) \\
 & + \text{Self-education expense deducted in NAI } (B) \\
 & = X \\
 & \times 35\% \rightarrow \text{the maximum ACD deduction}
 \end{aligned}$$

Hence, the amount of ACD (*F*) allowed under PA is:

$$\begin{aligned}
 & \text{Actual ACD made (subject to the maximum calculated above)} \\
 & \rightarrow \text{ACD already deducted in } (C)
 \end{aligned}$$

Key Learning Point

For married couples, their reduced total incomes are in the first instance computed individually before being aggregated. The personal assessment tax is computed on a joint basis. But the tax payable is apportioned between the husband and wife based on the proportion of individual reduced total incomes relative to their joint total income.

Illustrative Example 14 – PA Calculation for Married Couple

Mr and Mrs Kam have the following incomes and expenses for the year of assessment 2017/18. They have elected for personal assessment for the year.

Mr Kam	HK\$
Employment income (net assessable income)	460,000
Charitable donations	(100,000)
Allowable losses from Business Y	(50,000)
Interest on mortgage used to acquire Property B ^a	(50,000)
Contribution to MPF	(18,000)

Mrs Kam	HK\$
Net assessable value of Property A	200,000
Interest on mortgage used to acquire Property A	(300,000)
Interest on mortgage used to acquire Property B ^a	(50,000)
Assessable profits from Business X	100,000
Contribution to MPF as a self-employed person	(18,000)

^a Jointly owned and occupied by the couple as their matrimonial home

Using the above format, the couple's personal assessment tax liability is computed as follows:

Personal Assessment Computation – Year of assessment 2017/18

	Mr Kam	Mrs Kam	Total
	HK\$	HK\$	HK\$
Net assessable value of Property A	–	200,000	
Net assessable income	460,000	–	
Assessable profits from Business X	–	100,000	
	460,000	300,000	

Illustrative Example 14 – PA Calculation for Married Couple (continued)

	Mr Kam	Mrs Kam	Total
	HK\$	HK\$	HK\$
Less:			
Interest on mortgage loan used to acquired Property A (limited to NAV)	-	(200,000)	
	460,000	100,000	
Less:			
Approved charitable donations	(100,000)	-	
Home loan interest	(50,000)	(50,000)	
Allowable losses from Business Y	(50,000)	-	
MPF contribution	(18,000)	(18,000)	
Reduced total income	242,000	32,000	274,000
Less: Married person's allowances			(264,000)
Net chargeable income			10,000
Tax thereon:			
HK\$10,000 @ 2%			200
Less: 2017/18 tax reduction			(150)
Tax payable for 2017/18			50

The total tax payable (per demand notes) will be shared by the couple as follows:

	HK\$
Husband's share of the total tax liability: $\text{HK\$}50 \times 242,000/274,000$	44
Wife's share of the total tax liability: $\text{HK\$}50 \times 32,000/274,000$	6
Total	50

Illustrative Example 15 – Approved Charitable Donations for Married Couple

In the opening case, Mr and Mrs Wong have the following incomes and expenses for the year of assessment 2017/18:

	Mr Wong	Mrs Wong
	HK\$	HK\$
Property income (NAV)	160,000	80,000
Salaries income (NAI)	200,000	80,000
Business profit (before ACD)	480,000	120,000
Total ACD (made in the name of the business)	320,000	60,000

Assume no mortgage interest on property

Illustrative Example 15 – Approved Charitable Donations for Married Couple (*continued*)

Personal Assessment Calculation of Mr and Mrs Wong: Year of assessment 2017/18

	HK\$		HK\$
Net assessable value	160,000		80,000
Net assessable income	200,000		80,000
Assessable profits (after ACD, restricted to 35%; HK\$480,000 – 168,000/HK\$120,000 – 42,000)	312,000		78,000
Total income	672,000		238,000
Less: ACD	(126,000)	(A)	(44,000) (B)
Total income after ACD	546,000		194,000

(A) Mr Wong

Calculation of ACD allowable under PA and transferrable to Mrs Wong

	HK\$
Total income	672,000
Add: ACD under profits tax	168,000
Total income before any ACD	840,000
Maximum ACD allowable: 35% on total income before any ACD (i.e. 35% × HK\$840,000)	294,000
Less: Actual ACD made	(320,000)
Unutilised ACD transferrable to Mrs Wong	(26,000)
Maximum ACD allowable	294,000
Less: ACD already allowed under profits tax	(168,000)
ACD allowable under PA	126,000

(B) Mrs Wong

Calculation of ACD allowable under PA

	HK\$
Total income	238,000
Add: ACD under profits tax	42,000
Total income before any ACD	280,000
Maximum ACD allowable: 35% on total income before any ACD (i.e. 35% × HK\$280,000)	98,000
Actual ACD made	60,000
ACD transferred from Mr Wong	26,000
Total ACD available (the whole amount HK\$86,000 is deductible as it is lower than the maximum limit of HK\$98,000)	86,000
Less: ACD already allowed under profits tax	(42,000)
ACD allowable under PA	44,000

Illustrative Example 16 – Loss Set-off for Married Couple

Mr and Mrs Li have the following income/(loss) and expenses for the following years:

2016/17 (Mr Li and Mrs Li jointly elect personal assessment)		
	Mr Li	Mrs Li
	HK\$	HK\$
Salary income	300,000	-
Property income	50,000	-
Business loss	-	(40,000)
	350,000	(40,000)
Inter-spouse loss set-off [s.42(5)] ^a	(40,000)	40,000
Total income after loss set-off	310,000	Nil
Reduced total income	310,000	
Less: Married person's allowance (Year 2016/17)	(264,000)	
Net chargeable income	46,000	

Note:

^a Under s.42(5) of the Inland Revenue Ordinance, in any year of assessment where personal assessment is elected, a business loss of an individual will be set off against the total income of both the individual to whom the loss belongs and his or her spouse before any unused residue can be carried forward. Hence, there will be an inter-spouse loss set-off.

2017/18 (Mr and Mrs Li jointly elect for personal assessment)		
	Mr Li	Mrs Li
	HK\$	HK\$
Salary income	100,000	-
Property income	50,000	-
Business loss (business ceased on 31 March 2018)	-	(350,000)
	150,000	(350,000)
Inter-spouse loss set-off [s.42(5)]	(150,000)	150,000
Total income after loss set-off	Nil	(200,000)
Loss carried forward		(200,000)

Illustrative Example 16 – Loss Set-off for Married Couple (*continued*)

2018/19 (Mr Li elects for personal assessment – Mrs Li has no income)		
	Mr Li	Mrs Li
	HK\$	HK\$
Salary income	100,000	–
Property income	50,000	–
	150,000	–
Inter-spouse loss set-off [s.42(5)]	(150,000)	
Total income after loss set-off	Nil	Nil
<i>Statement of loss</i>		
Loss brought forward		(200,000)
Loss set-off under s.42(5)		150,000
Loss carried forward		(50,000)

(Source: Adapted from DIPN 18 Appendix B.)

► **Knowledge Check Questions**

Question 5

Identify which of the following is deducted in calculating the net assessable income of an individual for personal assessment purpose.

- A** MPF contributions
- B** Self-education expenses
- C** Home loan interest
- D** Approved charitable donations

Question 6

Identify which of the following is the correct element to be included in a personal assessment calculation of income from property.

- A** Rental income.
- B** Rental income less 20% statutory deduction.
- C** Net assessable value less interest on loan for purchasing the income-producing property.
- D** Net assessable value less home loan interest.

Question 7

For the year 2017/18, an individual who ran two sole-proprietorship businesses (Business A generated assessable profits and Business B sustained loss), has elected for personal assessment. The individual also shared a loss from a partnership business. The individual

► **Knowledge Check Questions (*continued*)**

did not have any income assessable to salaries tax. He made approved charitable donation and paid self-education expense. Identify which of the following is deducted in calculating the amount of assessable profits from Business A to be included in the personal assessment computation.

- A** Business loss from Business B.
- B** Approved charitable donation made by the individual.
- C** Self-education expense paid by the individual.
- D** Share of loss from the partnership business.

Apply and Analyse 1 – Individual Comprehensive Computation

Mr Chan is a resident of mainland China and has started his business and investment in Hong Kong since 1 November 2017. Before 1 November 2017, he has never come to Hong Kong. He married Miss Li on 28 February 2018. Miss Li is a Hong Kong permanent resident. She did not have any income assessable to tax. Mr Chan has the following income and expenses for the year of assessment 2017/18:

	HK\$
Business profits from a sole-proprietorship Business X (before deduction of any approved charitable donation)	800,000
Donation in cash to an approved charitable organisation	(400,000)
Rental income from Property Y	400,000
Interest on mortgage used to acquire Mr Chan's residence	(240,000)

Required

- (a) Analyse whether Mr Chan is eligible to elect for personal assessment.
- (b) If Mr Chan is eligible, analyse whether Mr Chan should elect for personal assessment.
- (c) State the procedure and time limit for making the election.

Answer

- (a) Mr Chan's wife, Miss Li is a Hong Kong permanent resident. Hence, Mr Chan is eligible for election of personal assessment no matter whether he is a permanent resident or temporary resident in Hong Kong.
- (b) To analyse whether Mr Chan should elect for personal assessment, the tax payable without election of personal assessment should be compared to the tax payable with the election of personal assessment.

Apply and Analyse 1 – Individual Comprehensive Computation (*continued*)

Without election of personal assessment, tax payable by Mr Chan for the year of assessment 2017/18 is as follows:

Profits Tax – Business X	
	HK\$
Business profits from Business X	800,000
Less: Approved charitable donation (maximum 35% on HK\$800,000)	(280,000)
Assessable profits from Business X	520,000
Tax rate	15%
	78,000
Less: 75% tax reduction (limited to HK\$30,000)	(30,000)
Tax thereon	48,000

Property Tax – Property Y	
	HK\$
Rental income	400,000
Less: Statutory outgoings (20%)	(80,000)
Net assessable value	320,000
Tax rate	15%
Tax thereon	48,000
Total tax payable = HK\$96,000 (i.e. HK\$48,000 + HK\$48,000)	96,000

There is no relief for the balance of the approved charitable donations of HK\$120,000 (i.e. HK\$400,000 – HK\$280,000) nor for the mortgage interest.

With an election for personal assessment, the tax payable by Mr Chan for 2017/18 is as follows:

	HK\$
Assessable profits from Business X	520,000
Net assessable value from Property Y	320,000
	840,000
Less: Allowable charitable donations (Note)	(112,000)
	728,000
Less: Home loan interest	(100,000)
	628,000
Less: Married person's allowance	(264,000)
Net chargeable income	364,000
Tax thereon	
First HK\$45,000 @ 2%	900

Apply and Analyse 1 – Individual Comprehensive Computation (continued)

	HK\$
Second HK\$45,000 @ 7%	3,150
Third HK\$45,000 @ 12%	5,400
	<u>9,450</u>
Remainder HK\$229,000 (=HK\$364,000 – HK\$135,000) @ 17%	38,930
	<u>48,380</u>
Less: 75% tax reduction (limited to HK\$30,000)	(30,000)
	<u>18,380</u>
Less: Tax payable without electing for personal assessment	(96,000)
Tax saved by electing for personal assessment	<u>(77,620)</u>

Calculation of approved charitable donation under personal assessment

	HK\$
Total income	840,000
Add: Approved charitable donation under profits tax	280,000
	<u>1,120,000</u>
Maximum limit of approved charitable donation: 35% on HK\$1,120,000 (i.e. not exceeding the actual amount paid of HK\$400,000)	392,000
Less: ACD under profits tax	(280,000)
ACD under personal assessment	<u>112,000</u>

By electing for personal assessment, Mr Chan can save tax of HK\$77,620. Therefore, he should make the election.

- (c) Election for personal assessment must be made in writing. An election may be made by completing the relevant section in the tax return or by completing the Form IR76C and submitting it to the Inland Revenue Department within the time limit specified below.

The written election must be lodged with the Commissioner within the later of:

- Two years after the end of the year of assessment in respect of which the election is made (e.g. election for personal assessment for the year of assessment 2017/18 must be made no later than 31 March 2020); or
- One month after an assessment of income or profits forming part of the individual's total income for such year of assessment becomes final and conclusive under s.70 (i.e. two months after the issue of the assessment); or
- Such further period, if any, as the Commissioner may allow as being reasonable in the particular circumstances.

Apply and Analyse 2 – Married Persons

Mr and Mrs Chan have the following income and expenses for the year of assessment 2017/18:

	Mr Chan	Mrs Chan
	HK\$	HK\$
(a) Property income (net assessable value)		192,000
Property tax paid		28,800
(b) Salaries income (net assessable income)		500,000
Salaries tax paid		Nil
(c) Profits from sole-proprietorship business (assessable profit) (approved charitable donations of HK\$100,000 already allowed)	520,000	
Profits tax paid	48,000	
(d) Share of partnership loss	(120,000)	
(e) Loan interest paid in relation to property in (a) above		240,000
(f) Total approved charitable donations made during the year	100,000	160,000

The couple have one child aged 15 during the year.

Required

Analyse if Mr and Mrs Chan should elect for personal assessment for the year 2017/18.

Calculation of tax payable if personal assessment is not elected:

	Mr Chan	Mrs Chan
	HK\$	HK\$
1. Property tax: HK\$192,000 × 15%		28,800
2. Salaries tax:		
Net assessable income		500,000
Less: ACD		(160,000)
		340,000
Less: Married person's allowance		(264,000)
Child allowance		(100,000)
Net chargeable income		Nil
Salaries tax payable		Nil
3. Profits tax:		
Assessable profits (after deduction of ACD)	520,000	
Profits tax at 15%	78,000	
Less: Tax reduction (75%, capped at HK\$30,000)	(30,000)	
	48,000	
Total tax payable	48,000	28,800

Apply and Analyse 1 – Individual Comprehensive Computation (continued)**Calculation of tax payable if personal assessment is elected:**

	Mr Chan	Mrs Chan
	HK\$	HK\$
Net assessable value	-	192,000
Net assessable income	-	500,000
Assessable profit (after ACD)	520,000	-
Total income	520,000	692,000
Less: Mortgage interest, limited to net assessable value		(192,000)
Less:	-	
ACD, Mr Chan:		
(Max: [(520,000 + 100,000) × 35%] = 217,000; fully deducted under assessable profits, none under personal assessment)		
ACD, Mrs Chan:		(160,000)
(Max: [692,000 – 192,000] × 35% = 175,000)		
Loss from partnership	(120,000)	-
	400,000	340,000
Reduced total income		740,000
Less: Allowances – married person's allowance		(264,000)
Child allowance		(100,000)
Total chargeable income		376,000
Tax under personal assessment at progressive rates (HK\$376,000 – HK\$135,000) × 17% + HK\$9,450		50,420
Less: Tax reduction (75%, capped at HK\$30,000)		(30,000)
Tax payable under personal assessment		20,420
<i>Tax under personal assessment apportionment</i>		
Mr Chan: HK\$20,420 × (400,000/740,000)	11,038	
Mrs Chan: HK\$20,420 × (340,000/740,000)		9,382
Less: Property tax paid		(28,800)
Profits tax paid	(48,000)	
Tax refundable	(36,962)	(19,418)

Total tax saved under personal assessment is:

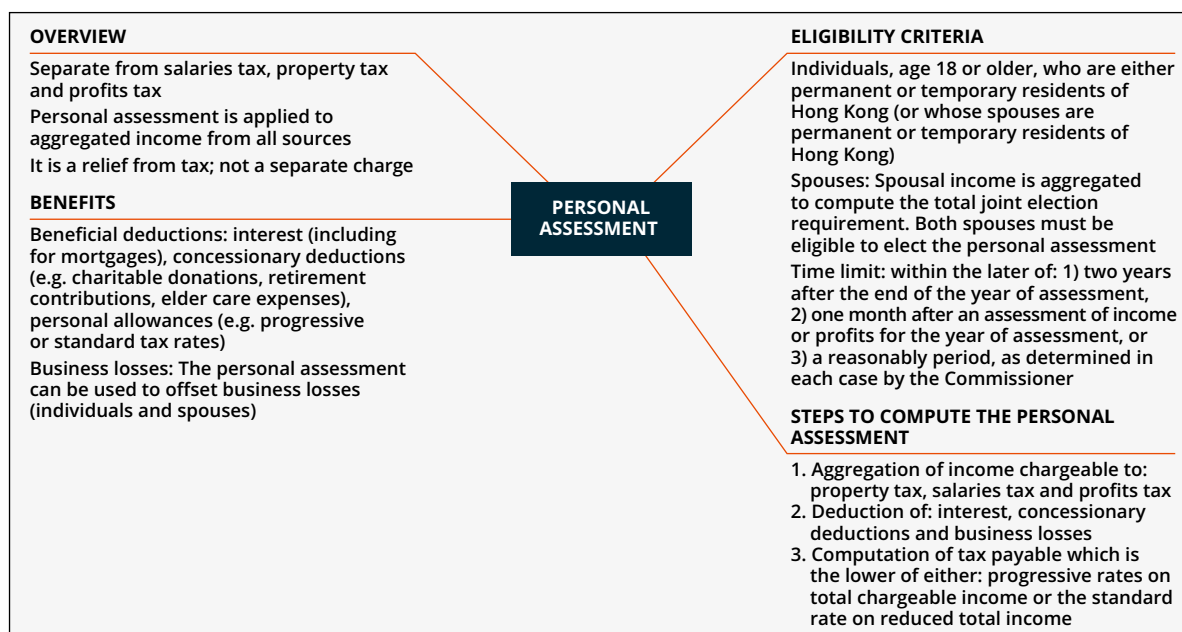
$$(HK\$48,000 + HK\$28,800 - HK\$20,420) = \underline{HK\$56,380}$$

The couple should therefore elect for personal assessment.

 SUMMARY

- Personal assessment is not a charge to tax but rather a form of assessment on an individual or married couple's total chargeable income. Total chargeable income is total income reduced by interest on income-generating property, concessionary deductions, current year business losses and personal assessment losses brought forward, and a further deduction of personal allowances. Total income consists of salaries income (NAI), property income (NAV) and business income (AP).
- Tax under personal assessment is computed by applying progressive tax rates on the total chargeable income (except where tax calculated at the standard rate on reduced total income is lower).
- Because of the additional deductions, personal allowances and progressive tax rates, an election for personal assessment may lead to a tax saving.
- Personal assessment is only available to an individual who is aged 18 or above and is a Hong Kong permanent resident or temporary resident, as defined by law.
- A non-resident can also elect for personal assessment if his or her spouse is a Hong Kong permanent resident or temporary resident.
- Married couples must jointly elect for personal assessment up to the year 2017/18 if both spouses have assessable income and are eligible. There is a proposed change to the law for 2018/19 onwards that would allow one spouse to elect without the agreement of the other.
- There is a time limit for making an election, i.e. the later of two years after the end of the relevant year of assessment or two months after the date of issue of the relevant notice of assessment. Further time may be allowed in exceptional circumstances and at the discretion of the Inland Revenue Department.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is correct because deduction of more private expenses is NOT a benefit under personal assessment.

Answer B is incorrect because deduction of mortgage interest is a benefit available under personal assessment.

Answer C is incorrect because deduction of personal allowances is a benefit available under personal assessment.

Answer D is incorrect because applying progressive tax rates is a benefit available under personal assessment.

Question 2

Answer A is incorrect because the same amount of concessionary deductions will be available under personal assessment as under the salaries tax provisions if the taxpayer's only income is from his or her employment.

Answer B is incorrect as offshore business losses are NOT deductible under personal assessment.

Answer C is incorrect because the tax payable under personal assessment is the lower of the following two amounts as calculated by: (i) applying progressive tax rates on the reduced total income after deduction of personal allowances, or (ii) applying standard rate on the reduced total income before deduction of personal allowances.

Answer D is correct because under personal assessment, employment income, business income and property income will be aggregated for computing tax liability. The maximum limit for deducting approved charitable donations is 35% of the aggregated income. By electing for personal assessment, a property owner receiving property rental income can claim a deduction of approved charitable donations.

Question 3

Answer A is incorrect because tax will be apportioned between the husband and wife, and both husband and wife will receive a demand note for their respective share of the tax.

Answer B is correct because the joint election requirement is applicable where both spouses have income chargeable to tax and both are eligible to make the election. If one spouse has no income assessable to tax, the income-earning spouse can elect for personal assessment individually.

Answer C is incorrect because the executor can elect for personal assessment on behalf of the deceased.

Answer D is incorrect because the time limit for electing for personal assessment is the later of:

- two years after the end of the year of assessment in respect of which the election is made;
- one month after an assessment of income or profits forming part of the individual's total income for such year of assessment becomes final and conclusive under s.70 (i.e. two months after the issue of the assessment); or
- such further period, if any, as the Commissioner may allow as being reasonable in the particular circumstances.

Question 4

Answer A is incorrect. A holder of a Hong Kong permanent resident identity card is not necessarily either a permanent resident or temporary resident.

Answer B is incorrect. The individual who has resided in Hong Kong over 150 days in a year may not be qualified as a temporary resident. To qualify as a temporary resident, an individual must stay in Hong Kong for more than 180 days in a year for which election is to be made or over 300 days in two consecutive years, one of which is the year for which election is to be made. Just staying in Hong Kong over 150 days in a year may not be sufficient to qualify as a temporary resident.

Answer C is incorrect. An individual below the age of 18 can elect for personal assessment only when his or her parents are dead.

Answer D is correct. An individual can elect for personal assessment if his or her spouse is a Hong Kong permanent resident or temporary resident (assuming he or she is aged 18 or above) even if the individual himself or herself is not a Hong Kong permanent resident nor temporarily resident.

**Question 5**

Answer A is incorrect. MPF contribution is not deductible in calculating the net assessable income under personal assessment.

Answer B is correct. Only self-education expenses are deductible in computing the net assessable income. Expenses in other options are concessionary deductions, which will be deductible under a personal assessment computation.

Answer C is incorrect. Home loan interest is not deductible in computing the net assessable income.

Answer D is incorrect. Approved charitable donations are not deductible in computing the net assessable income.

Question 6

Answer A is incorrect. The rental income is not directly used in the personal assessment calculation of income from property. NAV is rental income increased by bad rent recovered, less bad rent, less rates agreed and paid by the landlord to arrive at the AV, then a further 20% statutory deduction to arrive at NAV.

Answer B is correct. NAV is to be included in the personal assessment calculation. Normally it is rental income less a 20% statutory deduction.

Answer C is incorrect. Interest on income-producing property is to be deducted in calculating the personal assessment tax, NOT directly from the net assessable value.

Answer D is incorrect. Home loan interest is to be deducted in calculating the personal assessment tax.

Question 7

Answer A is incorrect because business losses from another business (Business B) are to be separately included in the personal assessment computation, NOT directly offset against assessable profit from Business A.

Answer B is correct. Assessable profit included in the personal assessment calculation is after deduction of approved charitable donations.

Answer C is incorrect because self-education expense is deductible in computing the net assessable income NOT in the personal assessment computation. If the individual had no income assessable to salaries tax, the self-education expense would not be deductible anywhere.

Answer D is incorrect because the partnership loss should be separately included in the personal assessment computation, NOT directly offset against assessable profits from Business A.

EXAM PRACTICE

QUESTION 1

Identify which of the following statements about personal assessment is correct.

- A.** The husband and wife may nominate either one of them to receive the demand note and pay the tax.
- B.** The husband who is not a Hong Kong resident may still apply for personal assessment if his spouse qualifies as a temporary resident of Hong Kong for that year.
- C.** A taxpayer who is a holder of a Hong Kong identity card will be eligible for election of personal assessment.
- D.** Personal assessment must be applied within in one month after the date of issue of the notice assessment.

QUESTION 2

Identify which of the following are the possible benefits of electing for personal assessment.

- (I) Being taxed at a lower progressive rate.
 - (II) Deduction of self-education expenses.
 - (III) Setting off one's share of loss from a partnership business against his other sources of income.
 - (IV) Deduction of mortgage interest to finance the purchase of a Hong Kong property let out for rental income.
- A.** I and III only
 - B.** II and IV only
 - C.** I, III and IV only
 - D.** II, III and IV only

QUESTION 3

The total income of an individual for personal assessment purpose should be calculated after deducting:

- (I) Business loss for the current year
 - (II) Self-education expenses
 - (III) Approved charitable donations made by a sole-proprietorship business for the year
 - (IV) Mortgage interest expense for rental properties
- A.** I and IV only
 - B.** II and III only
 - C.** III and IV only
 - D.** I, II and III only

QUESTION 4

Mr Chan is a permanent resident in Hong Kong. During the year of assessment 2018/19, he received the following income:

1. Salaries of HK\$500,000; and
2. Rental income from a property in Shatin of HK\$180,000 and rental income from a property in Tseung Kwan O of HK\$200,000. Mortgage interest paid on a loan used to finance the purchase of the Shatin property was HK\$200,000.

Mrs Chan operated a partnership business in Hong Kong and the loss of the partnership agreed on with the Assessor was HK\$532,000 for the year ended 31 March 2019. Mrs Chan owned 50% interest in the partnership. She made a cash donation of HK\$30,000 to an approved charitable organisation during the year. She also paid HK\$100,000 tuition fee to attend a professional diploma course in marketing organised by a local university during the year.

Identify which of the following about the couple is correct for the year 2018/19:

- A.** They have no benefit for electing personal assessment.
- B.** Deduction of mortgage interest under personal assessment can be up to HK\$200,000.
- C.** Deduction of mortgage interest under personal assessment can be up to HK\$180,000.
- D.** None of the above.

QUESTION 5

Based on information in Question 4. The tax payable (ignore tax reduction) under personal assessment for the couple for 2018/19 is:

- A.** Nil
- B.** HK\$4,000
- C.** HK\$880
- D.** None of the above

QUESTION 6

Mr Lau supplied you with the following information in respect of the year ended 31 March 2018.

1. He was employed as sales manager by ABC & Co., a firm carrying on a trading business in Hong Kong and received an annual salary of HK\$600,000.
2. He was provided with a flat by ABC & Co. at no rent. However, he is required to pay the building management fee of HK\$2,000 per month for ABC & Co.
3. He received an annual salary of HK\$60,000 from a sole-proprietorship business, namely Summer Pre-school Training Centre (SPTC) (see Note 12) operated by his wife.
4. He received a holiday package from ABC & Co., which purchased the package from a travel company at a price of HK\$60,000. He sold the package back to the travel company for HK\$50,000.
5. He paid entertainment expenses of HK\$240,000 during the year. The sum was fully reimbursed by ABC & Co. It was agreed with the Inland Revenue Department that 50% of the expenses was for his private purposes and 50% was for ABC & Co.'s business purposes and he paid such portion for and on behalf of ABC & Co.
6. At the request of ABC & Co., he has joined a social club. The company reimbursed the annual subscription fee of HK\$20,000 to him.
7. The company has subsidised 50% of his tuition fee for studying for a master degree in accounting at a local university. The total tuition fee paid was HK\$40,000 for the year.
8. During the year, he has contributed HK\$24,000 to the MPF-exempted ORSO scheme operated by his employer.
9. He made a donation of HK\$28,000 to the Red Cross, which is an approved charitable organisation in Hong Kong.

10. He owns a flat in Kowloon Bay, Hong Kong, which he let out and received rental income of HK\$120,000 for the year. As agreed in the tenancy agreement, he paid rates on this flat of HK\$7,500 for the year. He paid a mortgage interest expense of HK\$150,000 for the year on the loan taken out to purchase the property.
11. At all times during the year, he was married and supported his two children aged 19 and 21. Both are attending university full-time in the United Kingdom.
12. His wife operated SPTC, the assessable profit agreed upon by the Inland Revenue Department for the accounting year ended 31 December 2017 was HK\$60,000.

Required

Calculate the tax liability of Mr and Mrs Lau for the year of assessment 2017/18 and explain specifically upon the tax treatment you have accorded to the following items:

- Salary received from the wife's business (Note 3)
- Holiday package (Note 4)
- Payment and reimbursement of entertainment expenses and social club annual subscription fee (Notes 5 & 6)
- Tuition fee (Note 7)
- Contributions to recognised retirement scheme (Note 8)
- Rates (Note 10)
- Mortgage interest (Note 10)

Assume that they have not yet paid any tax for 2017/18 and have elected for personal assessment.

QUESTION 7

Mr and Mrs Lip married on 1 October 2017. The following information is provided by them for the year ended 31 March 2018.

1. Mr Lip was the Finance Director of a company listed on the Hong Kong Stock Exchange. His total remuneration for the year was HK\$1,200,000. He made a contribution of HK\$24,000 to his Mandatory Provident Fund Scheme.
2. Mr Lip resided in a flat provided rent free by his employer. The flat was leased directly by his employer at a monthly rent of HK\$45,000. The total annual building management fee for the flat was HK\$32,000, which was equally shared and borne by the employer and Mr Lip.
3. Mr Lip had been granted an option to subscribe for 30,000 shares in his employing company on 1 May 2017 at the option cost of HK\$6,000, payable to his employer. On 1 August 2017 he assigned one third of the share option to a colleague at the consideration of HK\$20,000. He exercised another third of the option on 1 December 2017 at the option exercise price of HK\$2 per share, while on the same day the remaining third of the share option rights was released back to his employer for a consideration of HK\$100,000. He sold all the shares obtained from exercising the option on 1 March 2018. The market value of the shares on the respective date was HK\$5 on 1 May 2017, HK\$6 on 1 August 2017, HK\$7 on 1 December 2017 and HK\$8 on 1 March 2018.

4. Mr Lip has attended a Master of Business Administration programme at a university in Hong Kong during the year. He personally paid tuition fees of HK\$150,000 for the year.
5. Mrs Lip did not take up any employment during the year, as she wanted to focus on running her online store business, which incurred a tax loss of HK\$450,000 for the year.
6. Mrs Lip owned and let out a property during the year. The tenancy agreement commenced on 1 April 2017 at a monthly rent of HK\$12,000 with a one-month rent-free period throughout April 2017. Rates of HK\$1,800 per quarter were agreed to be paid by the tenant. However, the tenant failed to pay the rates and Mrs Lip then paid all the rates subsequently during the year. During the year, Mrs Lip incurred HK\$165,000 mortgage interest for the property.
7. Mrs Lip donated cash of HK\$10,000 to an approved charitable organisation during the year.
8. Mrs Lip attended a Master of Professional Accountancy programme at a local university and paid HK\$65,000 tuition fees for the year. No deduction has been claimed by Mrs Lip in computing the tax loss for her business as she regarded the expense as private in nature.
9. Mr Lip's 75-year old mother was living with her daughter. Mr Lip contributed HK\$50,000 to his mother to support her living expense during the year. Mr Lip's 78-year old father lived in an elderly residential care home. Mr Lip incurred HK\$120,000 residential care expenses for the year.

Required

- (a) Calculate the net assessable income of Mr Lip for the year of assessment 2017/18.
- (b) Calculate the net assessable value of the property owned by Mrs Lip for the year of assessment 2017/18.
- (c) Calculate the Hong Kong tax liabilities of Mr and Mrs Lip under personal assessment for the year of assessment 2017/18.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer B is correct.

Refer to s.41 of the Inland Revenue Ordinance (Cap.112).

QUESTION 2

Answer C is correct.

Self-education expenses are deductible in salaries tax but not through the election of personal assessment.

QUESTION 3

Answer B is correct.

See Section 6.4.6.1 Format for Personal Assessment Calculation for an Individual. The total income for personal assessment purpose should be after deducting self-education expenses (in computing net assessable income for salaries tax) and approved charitable donations made by a business (in computing assessable profits for profits tax) but before deducting

mortgage interest for rental properties, concessionary deductions, business loss for the current year.

QUESTION 4

Answer D is correct.

There are benefits to the couple for electing personal assessment because of deduction of mortgage interest and share of partnership loss. The maximum amount of mortgage interest which can be deducted is the net assessable value of the respective property, i.e. $\text{HK\$}180,000 \times 80\% = \text{HK\$}144,000$.

QUESTION 5

Answer B is correct.

Workings:	HK\$
Net assessable income	500,000
Net assessable value ($\text{HK\$}180,000 \times 80\%$) + ($\text{HK\$}200,000 \times 80\%$)	304,000
Total income	804,000
Less: Mortgage interest (limited to $\text{HK\$}180,000 \times 80\%$)	(144,000)
	660,000
Less: Approved charitable donation	(30,000)
Share of partnership loss ($\text{HK\$}532,000 \times 50\%$)	(266,000)
Reduced total income	364,000
Less: Married person's allowance	(264,000)
Total net chargeable income	100,000
Tax payable ($\text{HK\$}50,000 \times 2\% + \text{HK\$}50,000 \times 6\%$)	4,000
Deduction of self-education expenses are available under salaries tax only.	

QUESTION 6

Mr and Mrs Lau Personal Assessment Computation – Year of assessment 2017/18

	Mr Lau	Mrs Lau	Total
	HK\$	HK\$	HK\$
Net assessable income for salaries tax	836,000		
Net assessable value of Kowloon Bay flat	90,000		
Assessable profits from wife's business	0	60,000	
Total income	926,000	60,000	
Less: Interest paid	(90,000)		
	836,000	60,000	
Less: Charitable donations	(28,000)		
Contributions to retirement scheme	(18,000)		
Reduced total income	790,000	60,000	850,000

	Mr Lau	Mrs Lau	Total
	HK\$	HK\$	HK\$
Less: Personal allowances			(464,000)
Net chargeable income			386,000
Tax thereon at progressive rates (HK\$386,000 – HK\$135,000) × 17% + HK\$9,450 (Tax at standard rate: HK\$127,500 = HK\$850,000 × 15%)			52,120
Less: Tax relief (75%, max: HK\$30,000)			(30,000)
Tax payable under personal assessment			22,120
Apportionment of tax payable			
Mr Lau: HK\$22,120 × HK\$790,000/HK\$850,000	20,559		
Mrs Lau: HK\$22,120 × HK\$60,000/HK\$850,000		1,561	
<i>Assessable income of Mr Lau calculated as follows:</i>			
Salary		600,000	
Holiday package		60,000	
Reimbursement of entertainment expenses		120,000	
Reimbursement of club subscription		20,000	
		800,000	
Rental value	80,000		
Less: Management charges	(24,000)	56,000	
		856,000	
Less: Self-education expenses		(20,000)	
Net assessable income		836,000	
<i>Net assessable value calculated as follows:</i>			
Rental income		120,000	
Less: Rates		(7,500)	
		112,500	
Less: 20% statutory deduction		(22,500)	
Net assessable value		90,000	
<i>Personal allowances calculated as follows:</i>			
Married person's allowance		264,000	
Child allowances (HK\$100,000 × 2)		200,000	
		464,000	

Notes:

- (3) The salary received from the wife's business is exempt (s.8(2)(k)) as the amount is disallowed for deduction from the business profits.
- (4) Under s.9(2A), the taxable amount for the holiday package is the cost incurred by the employer company (i.e. HK\$60,000 in this case), not the resale value.

- (5) and (6) Reimbursement of an employee's private expenses (50% of entertainment expenses and social club annual subscription fee) by the employer is taxable (*CIR v Humphrey*), and these expenses paid are not deductible as they were not necessarily incurred in the performance of Mr Lau's duties (*Brown v Bullock*).
- (7) The tuition fee paid by Mr Lau should qualify for deduction as 'self-education expenses'. However, any amount reimbursed by the employer is not allowable unless it has been/will be assessable. Since the employer subsidised half of the tuition fees in the sum of HK\$20,000, Mr Lau could claim the balance of HK\$20,000 as a deduction under 'self-education expenses'.
- (8) Mandatory contributions to recognised retirement schemes are deductible under s.26G but are limited to HK\$18,000 for the year 2017/18.
- (10) Rates are deductible under property tax if the tenancy agreement stipulates that such rates are agreed to be paid by the landlord and subsequently paid by the landlord. The interest paid is deductible under personal assessment to the extent of the net assessable value included.

QUESTION 7

(a) Mr Lip

Net Assessable Income – 2017/18

	HK\$	HK\$
Director's remuneration		1,200,000
Add: Rental value (HK\$1,200,000 × 10%)	120,000	
Less: Rent borne by Mr Li	(16,000)	104,000
Add: Share option gain*		164,000
		1,468,000
Less: Self-education expenses		(100,000)
Net assessable income		1,368,000

*Share option gain: HK\$20,000 + [10,000 × (HK\$7 – HK\$2)] + HK\$100,000 – HK\$6,000 = HK\$164,000

(b) Mrs Lip

Net Assessable Value – 2017/18

	HK\$
Rent (HK\$12,000 × 11)	132,000
Less: 20% statutory allowance	(26,400)
Net assessable value	105,600

Rates are deductible under property tax if the tenancy agreement stipulates that such rates are agreed to be paid by the landlord and subsequently paid by the landlord. There is no deduction of the rates for Mrs Lip's case as she did not agree to pay the rates in the tenancy agreement.

(c) Computation of Personal Assessment tax payable for 2017/18 for Mr and Mrs Lip

	Mr Lip	Mrs Lip	Total
	HK\$	HK\$	HK\$
Net assessable income	1,368,000		
Net assessable value		105,600	
	1,368,000	105,600	
Less: Mortgage interest (limited to net assessable value)	0	(105,600)	
	1,368,000	Nil	
Less: Concessionary deductions			
Approved charitable donations	(10,000)		
MPF contributions (limited to HK\$18,000)	(18,000)		
Elderly residential care expenses (limited to HK\$92,000)	(92,000)		
	(1,248,000)		
Less: Business loss incurred by Mrs Lip	(450,000)		
Reduced total income	798,000	Nil	798,000
Less: Personal allowances			
Married person's allowance			(264,000)
Dependent parent allowance (Mr Lip's mother)			(46,000)
Net chargeable income			488,000
Tax at progressive rates (HK\$488,000 – HK\$135,000) × 17% + HK\$45,000 × (2% + 7% + 12%)			69,460
Tax at standard rate: HK\$798,000 × 15%			119,700
Total tax payable by the couple before tax reduction			69,460
Less: Tax reduction (75%, max: HK\$30,000)			(30,000)
Total tax payable after tax reduction			39,460
Tax payable by Mr Lip			
HK\$39,460 × HK\$798,000/HK\$798,000			39,460
Tax payable by Mrs Lip			
HK\$39,460 × 0/HK\$798,000			Nil

7

Stamp Duty



CHAPTER TOPIC LIST

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LEARNING OUTCOMES

PRINCIPAL LO2: APPLY TAX RULES AND PRINCIPLES AND CALCULATE TAX LIABILITIES FOR PROPERTY TAX, SALARIES TAX, PROFITS TAX, PERSONAL ASSESSMENT AND STAMP DUTY IN HONG KONG

Describe, explain and analyse the following tax issues as they impact and interact on transactions, individuals and entities: Stamp duty

LO2.24: Scope of stamp duty charge

2.24.01 Identify the relevant heads of stamp duty charge

LO2.25: Conveyance on sale of immovable property

2.25.01 Apply the stamping requirements and practices in relation to a conveyance on sale of immovable property in Hong Kong

LO2.26: Agreement for sale of immovable property

2.26.01 Apply the stamping requirements and practices in relation to an agreement for sale of immovable property in Hong Kong

LO2.27: Lease of immovable property

2.27.01 Apply the stamping requirements and practices in relation to a lease of immovable property in Hong Kong

LO2.28: Hong Kong stock

2.28.01 Apply the stamping requirements and practices in relation to Hong Kong stock

LO2.29: Hong Kong bearer instrument, duplicate and counterpart

2.29.01 Apply the stamping requirements and practices in relation to Hong Kong bearer instrument, duplicate and counterpart

LO2.30: Voluntary disposition inter vivos

2.30.01 Explain the stamp duty implications for voluntary disposition inter vivos

LO2.31: Exemptions and reliefs

2.31.01 Explain the exemptions and reliefs available under the SDO

2.31.02 Describe the Arrowtown case and explain its significance

LO2.32: Adjudication, assessment and administration

2.32.01 Describe the administrative issues concerning stamp duty

2.32.02 Explain the adjudication and appeal procedures for stamp duty assessment

2.32.03 Describe stamp duty offences and penalty provisions under the SDO

2.32.04 Describe the recovery of outstanding stamp duty and penalty

Calculate the following tax liabilities for transactions, individuals and entities: Stamp duty

LO2.37: Ascertainment of stamp duty liability

2.37.01 Calculate the stamp duty payable under the relevant heads of stamp duty charge



OPENING CASE

MR SCHWARZ ZOKOSTA

Mr Schwarz Zokosta is a German national who wishes to invest in Hong Kong. In particular, he is interested in Hong Kong's business-friendly fiscal and regulatory environment and is minded to settle there permanently. For those purposes, he incorporates a company in Hong Kong, Rottweiler Investments Ltd, to hold his investments. His first investments are two properties: the first is a spacious apartment in Sha Tin, which he would like to use as his family home, and the second is a commercial office in TsimShaTsui, from which he will run his business consulting firm. When his business is mature, Mr Zokosta envisages finding a buyer for it so he can cash out and retire early. In this chapter, we will discuss the various stamp duty implications of Mr Zokosta's investment and business choices. Stamp duty is a unique tax in that it is a tax on instruments denoting transactions in certain classes of asset. It is also potentially one of Hong Kong's highest taxes and is therefore a vital consideration both for businesses and individuals. 



OVERVIEW

Stamp duty is a tax on instruments – i.e. documents in writing – and not on transactions. It is one of the oldest taxes currently charged in Hong Kong. In general, a stampable instrument must be duly stamped in order to be admissible as evidence in court. There was, therefore, historically an incentive for stampable documents to be assessed to the correct amount of duty, and duly stamped. In Hong Kong, however, stamp duty is a compulsory tax: that means that there are documents which are by their very nature required to be stamped, and failure to do so can give rise to administrative and, in some cases, criminal penalties. The principal statute is the Stamp Duty Ordinance (SDO) (Cap.117). Whilst the Hong Kong Inland Revenue Department's (IRD) guidance on stamp duty matters is of interest in the sense that it illustrates the assessing practice and policies of the IRD, it is not law and should not be treated as legislation. As tax practitioners, you will be required to refer directly to the statute and to the Hong Kong case law on point.

Stamp duty has two bases of computation: ad valorem stamp duty is charged as a percentage of the value or consideration given (for example, 15% of the consideration given or the value of the property transferred under the dutiable instrument) *or* at a fixed rate (for example, HK\$5 per duplicate instrument).

Stamp duty is administered by the Stamp Office, which is a subdivision of the IRD. The Commissioner of Inland Revenue is also the Collector of Stamp Revenue (the Collector). The Stamp Office is the statutory body charged with the assessment and collection of stamp duty in Hong Kong.

It is crucial for you to acquire a good working knowledge of stamp duty. As a practical matter, it is the tax levied at the highest rate in Hong Kong and, in certain transactions involving the sale and purchase of residential property in Hong Kong, can reach aggregate rates of 50% of the gross consideration or value of the transfer.

The Stamp Office has useful guidance on its assessing policies. These may be accessed on its internet site. The guidance notes are as follows in Exhibit 7.1.

These make good introductory reading, but they are not a substitute for the statute and the case law. Candidates should read these together with the primary sources of law.

Number	Stamp office interpretation and practice notes (SOIPN)	Date issued
1	Stamping of agreements for sale and purchase of immovable property	November 2018 (revised)
2	Relief for stock borrowing and lending transactions	February 2011 (revised)
3	Deemed consideration under s.24 of the Stamp Duty Ordinance, Cap.117	September 1998
4	Deemed sale and purchase under s.19(1E) of the Stamp Duty Ordinance, Cap.117	25 January 2000
5	Special Stamp Duty	July 2014 (revised)
6	Alternative Bond Schemes	August 2014
7	Buyer's Stamp Duty	July 2014
8	Ad Valorem Stamp Duty	November 2018 (revised)

► **EXHIBIT 7.1** Guidance notes for assessing stamp duty

7.1 CHARGEABLE INSTRUMENTS

S.4 of the SDO is the general charging provision. It provides that stamp duty is charged on the instruments listed in the First Schedule, which comprises four broad types of instruments:

- Instruments for the conveyance on sale, or other transfer or assignment of beneficial interest in immovable property situated in Hong Kong, including an agreement for a lease (Head 1; broken down into Head 1 for the assignment and Head 1A for the agreement for sale);
- Instrument for the sale and purchase or other transfer of beneficial interest of Hong Kong stock (Head 2);
- Issue of Hong Kong bearer instruments (Head 3); and
- Duplicates and counterparts of the documents in Heads 1 to 3 (Head 4).

Stamp duty is a schedular tax: that means that if an instrument does not fall within any of the Heads of Charge it is not stampable. Hong Kong has a territorial system of taxation and stamp duty is by its very nature a territorial tax. Accordingly, Heads 1 – 4 are charged on instruments that document the transfer of either securities situated in Hong Kong (such as Hong Kong stock or bearer bonds issued in Hong Kong) or Hong Kong situated immovable property (i.e. land, buildings etc. in Hong Kong).

S.2 of the SDO provides that an instrument is not duly stamped unless it bears a stamp for the correct amount of stamp duty. S.15 of the SDO provides that an instrument not duly stamped cannot be produced as evidence in civil proceedings.

When a chargeable instrument is submitted to the Stamp Office for stamping, a physical stamp will be affixed on the document in question stating either the amount of duty paid or the adjudication of the document as not bearing any stamp duty (or, specifically, any ad valorem stamp duty). We will consider the process of adjudication in further detail in this chapter.

The general rule is that the transferor and transferee are jointly and severally liable for stamp duty, though in some cases, such as that of Buyer's Stamp Duty, the liability is borne by the transferee alone. In practice, the transferor and the transferee are free to allocate the liability for accounting for stamp duty with respect to a given instrument contractually in whatever proportions they see fit, for example by way of a tax indemnity or stamp duty clause inserted in the instrument of transfer. At law, however, the IRD may seek to recover stamp duty from both parties.

7.1.1 Substance over Form

Stamp duty looks to the substance of an instrument over its form. That means that one cannot take an instrument that is in reality a lease and label it as a licence to avoid stamp duty. Duty will be charged by reference to what the instrument actually is and not what it is called or labelled (*Limmer Asphalte Paving Co v IRC* (1872) LR 7 Ex 211). The charge to stamp duty will depend on the circumstances existing at the time the document was executed (i.e. when a given instrument was signed and came into force as between the parties thereto – see *William Cory & Son Ltd v IRC* (1965) AC 1088).

7.1.2 Stampable Consideration

Ad valorem stamp duty is computed as a percentage of the greater of the consideration for the transaction or the value of the property transferred by virtue of the transaction (Heads 1 – 3 of Schedule 1 and s.27(4) of the SDO). For example, if a company (C) sells Hong Kong immovable property (P) to an unrelated company (X) for HK\$10 million.

In this case, the transfer consideration for the purposes of computing the charge to ad valorem stamp duty will be HK\$10 million. There are exceptions to this general rule in cases of gifts or of transfers at below market value, which we shall consider in greater detail below.

Note that 'consideration' for the purposes of computing ad valorem stamp duty may be consideration either in cash or in kind. If C transfers P to X in exchange for the issue of 1 million shares in X, the open market value of such shares will be taken to be the consideration given for the transfer of P for stamp duty purposes.

Consideration other than in cash is ascertained as follows:

1. If stock is the consideration,
 - Stamp duty is charged by reference to the value of the stock on the date of conveyance – s.22(1).
2. If security not being stock is the consideration,
 - Stamp duty is calculated on the amount due on the date of conveyance for principal and interest upon the security – s.22(2).
3. If debt due to the transferee is the consideration (i.e. debt waived),
 - Stamp duty is calculated on the amount of the debt waived – s.24(1); or
 - As a relief, stamp duty can be calculated on the value of the property upon adjudication by the Collector, if the debt waived exceeds the value of the property – s.24(2).

For exchange of property, stamp duty is charged on the difference of the values of the properties exchanged, i.e. the equality money.

Where the stamp duty calculated includes a fraction of HK\$1, round up the duty to the nearest HK\$1.

If the sum payable under an instrument is unascertainable as at the time of execution, no duty can be charged; however, where the sum is merely uncertain, duty is assessed on the maximum which might become payable and which can be calculated in advance as at the time of execution. This is the so-called 'contingency principle'. For example, if C were to transfer P to X for a fixed consideration of HK\$25 million, and a variable consideration which is stated in the sale and purchase agreement will be between HK\$1 million and HK\$10 million, the maximum HK\$10 million of variable consideration will be assumed for stamp duty purposes, such that ad valorem duty would be charged on the basis of an aggregate consideration of HK\$35 million (assuming, of course, this were at least equal to the market value of P).

In view of the contingency principle, most lawyers suggest that, where possible, variable consideration clauses should not be included in agreements for the transfer of Hong Kong immovable property or of Hong Kong stock, or at least maximum amount would not be set as ceiling whereas variable consideration is essential and necessary.

Key Learning Point

Stamp duty is a tax on instruments – i.e. documents – and not on transactions. There are four principal heads of charge for stamp duty, listed in the First Schedule of the SDO. In assessing whether a document is dutiable one looks to the substance and not the form or label of the document.

► Knowledge Check Questions

Question 1

Identify which of the following statements is accurate.

- A** Stamp duty is charged on the sale and purchase of immovable property in Hong Kong.
- B** Stamp duty is charged with respect to an instrument relating to something done or to be done in Hong Kong.
- C** Stamp duty is charged on either an agreement for sale or an assignment of immovable property in Hong Kong.
- D** Stamp duty is computed as a percentage of the consideration given for the relevant transfer or conveyance.

7.2 IMMOVABLE PROPERTY IN HONG KONG

The most important charge to stamp duty in Hong Kong is on conveyancing instruments. Historically, the instrument bearing stamp duty was the assignment – that is, the deed by which legal title in immovable property passes to the transferee. In order to combat property speculation, after 1992, agreement for sale is also stampable for residential property. Agreement for sale includes provisional, conditional or temporary agreement (SOIPN 1). Conveyancing practice in Hong Kong is quite complex: generally, the agreement for sale and purchase is executed in advance of the assignment, which is only executed upon completion of the **conveyance**.

Immovable property is defined in s.3 of the Interpretation and General Clauses Ordinance as meaning:

1. Land, whether covered by water or not;
2. Any estate, right, interest in or over land; and
3. Things attached to land or permanently fastened to anything attached to land.

There is a distinction between residential and non-residential property. Usually, residential property bears higher rates of stamp duty relative to non-residential property. This is because the Hong Kong Government has sought to discourage property speculation and wishes to cool down an overheated residential property market by making it more expensive to acquire multiple properties.

There are three kinds of stamp duty that may emerge from the conveyance on sale of Hong Kong immovable property: Ad Valorem Stamp Duty (AVD), **Special Stamp Duty (SSD)** and **Buyer's Stamp Duty (BSD)**.

A typical conveyance of Hong Kong immovable property will flow as follows: (1) provisional agreement for sale and purchase (stampable within 30 days of the first executed version) → (2) final agreement for sale and purchase (stampable within 30 days if provisional agreement not drawn up and stamped) → (3) assignment (bears HK\$100 fixed duty if provisional / final agreement for sale stamped with ad valorem duty (and any SSD and / or BSD), otherwise bears full amount of ad valorem duty). The types of documents these apply to are shown in Exhibit 7.2.

Stampable Document	AVD	SSD	BSD
<i>Residential property</i>			
Agreement for sale Conveyance on sale	To be paid by the buyer, the seller and any person who uses the instrument. Scale 1, Part 1 applies to instruments executed on or after 5 November 2016.	To be paid by the seller, the buyer and any person who uses the instrument.	To be paid by the buyer. Applies provided the following conditions are met: • Sale or conveyance is executed on or after 27 October 2012.

► **EXHIBIT 7.2 Stampable documents**

Stampable Document	AVD	SSD	BSD
<i>Residential property</i>			
	Either (i) Scale 2 (applies to Hong Kong permanent residents who are buying their first homes or switching homes (e.g. when the instrument is executed there is no property registered under their names), or (ii) 15% under Scale 1 Part 1 (when Scale 2 is not applicable)	Applies provided the property is disposed of by the seller within 36 months (acquired on or after 27 October 2012) from the date of acquisition.	Neither the purchaser nor the transferee is a Hong Kong permanent resident (HKPR) acquiring the property on his/her own behalf.
<i>Non-residential property</i>			
Agreement for sale Conveyance on sale	To be paid by the buyer, the seller and any person who uses the instrument. Scale 1, Part 2: Applies to instruments executed on or after 23 February 2013.	Not applicable.	Not applicable.

► **EXHIBIT 7.2 Stampable documents (Continued)**

7.2.1 Ad Valorem Stamp Duty

A conveyance on sale (i.e. the assignment) is chargeable to AVD under Head 1(1) of the First Schedule. An agreement for sale of immovable property is chargeable to AVD under Head 1(1A). Where stamp duty is paid first on the agreement for sale, only a fixed HK\$100 duty is charged on the assignment.

S.29A(1) of the SDO provides that a chargeable agreement for sale includes:

- An instrument in which a person contracts to sell or purchase immovable property;
- An instrument in which a person confers, or has conferred on him, an option or a right to purchase immovable property or a right of pre-emption in respect of immovable property, other than a specified option or right (i.e. an option);
- An instrument in which a declaration of trust in respect of immovable property is made, other than a declaration of trust under which no beneficial interest passes in the property subject to the declaration;
- An instrument which, if implemented, would be implemented by a conveyance on sale; or
- An instrument which constitutes a memorandum, note, or other evidence of an unwritten sale agreement.

An agreement for sale includes a nomination to any person other than to a close relative who is not the beneficial owner of any other residential property in Hong Kong. S.29B of the SDO creates a requirement for the purchaser and vendor under an unwritten sale agreement or an agreement for sale within 30 days to, after the relevant date if they have not already done so, execute a written agreement for sale.

Technically, an exchange of one property with another would be treated as two separate conveyances on sale (one for each property exchanged); however, s.29C(10) of the SDO provides that an exchange is stamped by reference to 'equality money' – the money paid for the difference in value of the properties instead of the value of each of the respective properties.

If an agreement for sale is cancelled, annulled or rescinded, or is otherwise not performed, it will not be regarded as a chargeable agreement for sale (s.29C(5A)(a)). This prevents stamp duty from being paid in cases where the purchase of the immovable property 'falls through' or is otherwise cancelled where either or both parties do not wish to proceed.

AVD is the base duty payable in all circumstances with respect to the sale and purchase of immovable property. SSD, which came into force on 30 June 2011, is payable on stampable instruments for the sale of residential property acquired on or after 20 November 2010 and subsequently disposed of within a specific period of time. BSD is payable by the purchaser of a residential property if that purchaser is not a Hong Kong permanent resident (HKPR) acquiring residential property. SSD and BSD, where they are charged, are payable in addition to AVD. Thus, a given property transaction can in practice give rise to a charge to AVD, SSD and BSD: each is computed and charged separately.

AVD is charged at two rates, known as Scale 1 and Scale 2 for residential and non-residential property under different circumstances. Scale 1 (Part 1) is applicable by default for residential property unless Scale 2 applies (ss.29BA and 29BB of the SDO). Scale 1 (Part 1) applies generally to all conveyances on sale for residential property unless the transferee is a HKPR individual who is acting on his own behalf, who does not own any other residential property in Hong Kong or the agreement for sale is between closely related persons (s.29BD). In these circumstances the lower Scale 2 applies to those HKPRs buyers who, as mentioned above, are tax-advantaged in this regard. Scale 1 (Part 2) applies to non-residential property sold with agreements executed on or after 23 February 2013 but before 26 November 2020. For sale of non-residential property on or after 26 November 2020, Scale 2 applies.

Note that Scale 2 in general is applicable to non-residential properties and, as regards residential properties, HKPR individuals and to certain other transactions such as transfers of residential property involving close relatives and the vesting of property by a court order or in a mortgagee (i.e., the lender). A body corporate or another non-individual is invariably chargeable at the higher Scale 1 rates of AVD. A person who acts as an agent or trustee for another person does not act on his own behalf and accordingly AVD is payable under Scale 1 not Scale 2.

Illustrative Example 1

Mr Zokosta wishes to acquire a town house in Sai Kung that he envisages to make his principal residence in Hong Kong. He begins negotiating with the current owner of the property, Montgomery Withnail QC, and agrees in principle to a purchase price of HK\$50 million. Their terms of agreement are settled on the basis of a gentleman's agreement, and so see no need to produce a provisional agreement for sale and purchase.

Illustrative Example 1 (*continued*)

The definitive agreement for sale and purchase is signed by both parties on 4 July 2019. Buyer and seller are liable to procure that the sale and purchase agreement be stamped within 30 days of its execution. The amount with respect to which ad valorem stamp duty (and, should those charges apply, BSD and SSD) is computed is the higher of the purchase consideration and the value of the property. Thus, if Mr Withnail sold the property at a discount because he was keen to move out of Hong Kong, such that the true market value of the same were HK\$60 million, ad valorem duty would be computed on the basis of HK\$60 million and not the transfer consideration.

Finally, on 4 August 2019, completion takes place—assuming that Mr Zokosta pays the balance of the purchase price, both sides will execute the assignment vesting legal title to the property in Mr Zokosta. The assignment bears a nominal fixed duty of HK\$100, because ad valorem duty has already been paid on the agreement for sale and purchase.

The current rates of AVD are as in Exhibits 7.3 and 7.4.

Amount or value of the consideration (whichever is the higher)		Rates at Scale 1 (Part 1) 15%	Applicable to instruments of residential property executed on or after 5 November 2016.
Amount or value of the consideration (whichever is the higher)		Rates at Scale 1 (Part 2)	Applicable to instruments of residential property executed on or after 23 February 2013 but before 5 November 2016; and instruments of non-residential property executed on or after 23 February 2013 but before 26 November 2020.
Exceeds	Does not exceed		
	HK\$2,000,000	1.5%	
HK\$2,000,000	HK\$2,176,470	HK\$30,000 + 20% of excess over HK\$2,000,000	
HK\$2,176,470	HK\$3,000,000	3%	
HK\$3,000,000	HK\$3,290,330	HK\$90,000 + 20% of excess over HK\$3,000,000	
HK\$3,290,330	HK\$4,000,000	4.5%	
HK\$4,000,000	HK\$4,428,580	HK\$180,000 + 20% of excess over HK\$4,000,000	
HK\$4,428,580	HK\$6,000,000	6%	
HK\$6,000,000	HK\$6,720,000	HK\$360,000 + 20% of excess over HK\$6,000,000	
HK\$6,720,000	HK\$20,000,000	7.5%	
HK\$20,000,000	HK\$21,739,130	HK\$1,500,000 + 20% of excess over HK\$20,000,000	
HK\$21,739,130		8.5%	

► **EXHIBIT 7.3** Current rates of AVD – rates at scale 1

Illustrative Example 1 (*continued*)

Amount or value of the consideration (whichever is the higher)		Rates at Scale 2	Applicable to Hong Kong permanent residents who are exempt from Scale 1 stamp tax (e.g. HKPRs buying their first residential property, transactions made pursuant to a court order, and transfers between close relatives, as defined under SDO). Also, applicable to instruments of non-residential property executed on or after 26 November 2020.
Exceeds	Does not exceed		
	HK\$2,000,000	HK\$100	
HK\$2,000,000	HK\$2,351,760	HK\$100 + 10% of excess over HK\$2,000,000	
HK\$2,351,760	HK\$3,000,000	1.5%	
HK\$3,000,000	HK\$3,290,320	HK\$45,000 + 10% of excess over HK\$3,000,000	
HK\$3,290,320	HK\$4,000,000	2.25%	
HK\$4,000,000	HK\$4,428,570	HK\$90,000 + 10% of excess over HK\$4,000,000	
HK\$4,428,570	HK\$6,000,000	3%	
HK\$6,000,000	HK\$6,720,000	HK\$180,000 + 10% of excess over HK\$6,000,000	
HK\$6,720,000	HK\$20,000,000	3.75%	
HK\$20,000,000	HK\$21,739,120	HK\$750,000 + 10% of excess over HK\$20,000,000	
HK\$21,739,120		4.25%	

► EXHIBIT 7.4 Current rates of AVD – rates at scale 2

AVD is usually payable within 30 days after the execution of the stampable agreement (s.29B(3) of the SDO). You will recall that, technically, AVD can be charged on either the sale and purchase agreement or the assignment (i.e. under either Head 1 or Head 1A). If, as is the usual contemporary practice in Hong Kong, AVD is charged on the sale and purchase agreement, then the assignment that serves to complete the conveyance of the immovable property in question bears a nominal fixed duty of HK\$100 (Note 3(b) to Head 1(1A) of the First Schedule of the SDO). An assignment that conforms to the sale and purchase agreement will therefore only bear fixed duty. Conversely, where the stated consideration of an agreement for sale is revised by a subsequent supplemental agreement before assignment, in computing the amount of stamp duty payable, all the facts available at the time of stamping will be taken into account, including any supplemental agreements. It is stated in SOIPN 1 not to revise stamp duty downwards where a supplemental agreement has the effect of reducing the transfer consideration.

AVD is the gateway tax to SSD and BSD. Where no AVD is chargeable, neither is SSD or BSD.

Illustrative Example 2

On 23 July 2021, Rottweiler Investments Ltd acquires the leasehold to a commercial warehouse in Mongkok for HK\$25 million and to a residential property in Ap Lei Chau for HK\$20 million. A commercial property bears ad valorem duty at Scale 2 (effective 26 November 2020). Assuming that the transfer consideration is at least the market value of the property, ad valorem stamp duty will be payable on either the agreement for sale and purchase or the assignment at a rate of 4.25%, yielding duty of HK\$1,0625,000 (i.e. HK\$25 million $\times$ 4.25%). Residential property bears ad valorem duty at Scale 1 Part 1 – that is, at a flat rate of 15% – for any person that is not a HKPR buyer, assuming that certain other conditions, such as transfers between close relatives or pursuant to a court order, do not apply. Assuming that the transfer consideration is at least the market value of the property, the residential property in Ap Lei Chau will therefore bear ad valorem stamp duty of HK\$3 million (i.e. HK\$20 million $\times$ 15%).

7.2.2 Special Stamp Duty

SSD was introduced to discourage property speculation in Hong Kong. It is an additional charge to stamp duty that applies to transactions whereby the immovable residential property is disposed of (i.e. resold or otherwise transferred) within 36 months of the date of its acquisition. Such short-term purchases and sales are considered by the Hong Kong Government to be inconsistent with its stated policy aim to cool down the property market. Accordingly, such transactions attract higher rates of duty.

Any residential property resold within 36 months will be subject to SSD (Heads 1AA and 1B).

SSD is calculated by reference to the stated consideration or the market value of the property (whichever is the higher) at the rates for different holding periods of the property by the seller or transferor before disposal (Exhibit 7.5).

Holding period	The property was acquired on or after 27 October 2012
6 months or less	20%
More than 6 months but for 12 months or less	15%
More than 12 months but for 36 months or less	10%

► EXHIBIT 7.5 Current rates for different holding periods

SSD is charged on the same instrument and at the same time as AVD: either on the agreement for sale and purchase, or on the assignment of the property in question (s.29CA and s.29DA of the SDO).

SSD is not payable in, among others, the following cases:

1. Nomination of a close relative(s) (that is, spouse, parents, children, brothers or sisters) of the original purchaser(s) to take up the assignment of the residential property.

2. Addition/deletion of the name(s) to/from a chargeable agreement for sale or a conveyance on sale in respect of the residential property if the person(s) is the close relative(s) of the original purchaser(s).
3. Sale or transfer of residential properties by a court order or pursuant to a court order.

7.2.3 Buyer's Stamp Duty

BSD was likewise introduced to cool down the Hong Kong residential property market and discourage excessive property speculation and stockpiling. Unlike SSD, BSD does not target speculators generally, but in effect imposes an additional charge to stamp duty where the purchaser of the property is not a HKPR. In other words, the purpose of BSD is to impose a fiscal penalty on companies generally and individuals who are not HKPRs.

BSD is payable on an agreement for sale or a conveyance on sale executed for the acquisition of any residential property. BSD is charged at a flat rate of 15% on the transfer consideration or the market value of the property, whichever is the higher, and is in addition to any other duty payable (ss.29CB and 29DB of the SDO). As with SSD, BSD is charged on the same instrument and at the same time as AVD.

BSD is not payable if, among other things:

- The instrument in question is not chargeable to AVD;
- The purchaser, or each of the purchasers is a HKPR acting on his own behalf (e.g. not as trustee or agent) regardless of whether he, she or they have any other residential property;
- S.45 relief applies;
- The instrument was made pursuant to any decree or order of any court in Hong Kong, including a foreclosure order obtained by a mortgagee; or
- The property is purchased jointly and one purchaser is a HKPR and the other purchaser is closely related.

Illustrative Example 3

Rottweiler Investments Ltd acquires two properties situated in Hong Kong: (1) an apartment in Sha Tin for HK\$15 million and (2) an office in TsimShaTsui for HK\$20 million. The Sha Tin property is a residential property and, because it is acquired by a corporation, AVD will be chargeable on its acquisition at 15% of the higher of the purchase price or the value of the property (Part 1 of Scale 1), together with BSD, also at 15%. Conversely, lower rates will apply to the acquisition of the TsimShaTsui office, which is a commercial property and so non-residential. AVD will be payable at the lower Part 2 of Scale 1 rates.

7.2.4 Lease

A lease of immovable property situated in Hong Kong is dutiable to AVD under Head 1(2) of the First Schedule. A lease is an estate in land: it enables the lessee (i.e. the person holding the lease) exclusive rights to use the leased immovable property. A lessee can exclude the lessor from the leased land. This is distinct from a licence, which is a mere contractual right to occupy land. A lease includes a sub-lease – that is, a situation where the lessee, in turn, becomes a lessor and leases the land to another person.

The stampable instrument is technically the lease itself. However, an agreement for a lease is chargeable with AVD as if it were a lease (s.16(2) of the SDO) and a lease subsequently executed pursuant to a duly stamped agreement for a lease is chargeable with a nominal fixed duty of HK\$3 (Head 1(2)(c) of the First Schedule).

A lease or agreement for a lease is charged at the rates of duty in Exhibit 7.6.

Term		Rate
Not defined or is uncertain		0.25% of the yearly or average yearly rent ^a
Exceeds	Does not exceed	
	1 year	0.25% of the total rent payable over the term of the lease ^a
1 year	3 years	0.5% of the yearly or average yearly rent ^a
3 years		1% of the yearly or average yearly rent ^a
Key money, construction fee etc. mentioned in the lease ^b		4.25% of the consideration if rent is also payable under the lease; otherwise, same duty as for a sale of immovable property

Notes:

^a The yearly rent/average yearly rent/total rent has to be rounded up to the nearest HK\$100.

^b Any deposit which may be mentioned in the lease will not be taken into account in assessing the stamp duty.

► **EXHIBIT 7.6 AVD rates for different terms** (Source: Hong Kong Inland Revenue Department, *Ad Valorem Stamp Duty (AVD)*, s.16(2)).

Key Learning Point

The following instruments with respect to Hong Kong immovable property are dutiable: an agreement for sale; an assignment; and a lease. AVD is charged at variable rates depending on the consideration or value given, and at higher rates for residential property. SSD is charged when a residential property is sold within 36 months of acquisition. Generally, BSD is charged when the purchaser of a residential is anyone other than a HKPR acquiring his/her residential property.

► Knowledge Check Questions

Question 2

Identify which of the following instruments is not chargeable with stamp duty:

- A** A lease of commercial property in Sha Tin for 10 years at a rent of HK\$200,000 per annum.
- B** An assignment of a residential property in Lai CheeKok.
- C** A mortgage over a residential property in Repulse Bay.
- D** An option to purchase an industrial block in Yuen Long.

Question 3

Mr Schwarz Zokosta is a German national. In 2015, he acquired permanent resident status in Hong Kong. In March 2018, he executed an agreement to acquire an apartment in Quarry Bay for HK\$10 million. At the time of the purchase, he owned office premises in Causeway Bay as a joint tenant with his civil partner. Identify which of the following statements is false:

- A** The agreement for sale and purchase is chargeable to AVD at Scale 1 rates.
- B** BSD will not be charged on the acquisition.
- C** If the agreement for sale bears AVD, a HK\$100 fixed duty is payable on the assignment conforming to that agreement.
- D** If Mr Zokosta sells the Quarry Bay apartment in June 2020, SSD will be payable on that disposal.

Question 4

Ms. Suzie Wong is an HKPR. She buys a residential property in Happy Valley for HK\$30 million. She is currently the co-owner of another residential property in Ho Man Tin with her husband, Mr Schwarz Zokosta. The vendor has owned the property since 1973. Compute the total stamp duty payable in connection with the acquisition of the property.

► 7.3 HONG KONG STOCK

Head 2(1) of the First Schedule provides that the sale and purchase of Hong Kong stock gives rise to a charge to ad valorem stamp duty at a rate of 0.2% on the higher of the transfer consideration or the value of the Hong Kong stock transferred. Head 2(3) of the First Schedule charges ad valorem duty at the same rate on the transfer of beneficial interest in Hong Kong stock different than on a sale and purchase (for example, by way of a gift).

S.19 of the SDO requires that contract notes be produced upon the sale and purchase of Hong Kong stock. This is to prevent the use of electronic means of transferring securities to avoid the charge to stamp duty. Contract notes are in essence simplified instruments for the sale and purchase of Hong Kong stock: these are the instruments that are stamped for stamp duty purposes, together with the instrument of transfer (IoT), another pro-forma instrument that documents the transaction and sets out the relevant commercial details of the same.

In the case of a charge to stamp duty under Head 2(3), the dutiable instrument is the document governing the transfer of beneficial interest.

The value of shares is usually determined as follows: for listed shares, the listed value on the date of sale and purchase is used; for shares in an unlisted company, the net asset value of the company as shown in its most recent audited financial statements is used as a proxy for value. For example, if half of the issued share capital of a company with a net asset value of HK\$10 million were transferred, ad valorem duty at a rate of 0.2% would be computed on the higher of the transfer consideration or HK\$5 million, being the estimated value of the shares.

The issue of shares (i.e. when a company issues shares to an existing or new shareholder) is not dutiable.

Where ad valorem duty is paid on contract notes under Head 2(1), the IoT will bear a nominal and fixed HK\$5 duty.

7.3.1 Hong Kong Stock vs. Non-Hong Kong Stock

S.2 defines stock as follows:

- (a) any shares, stocks, debentures, loan stocks, funds, bonds or notes of or issued by any body, whether corporate or unincorporate, or any government or local government authority, or any other similar investment of any description;
- (b) any units under a unit trust scheme;
- (c) any right, option or interest in or in respect of any stock referred to in paragraph (a) or (b), other than any such right, option or interest under an employees' share purchase or share option scheme.

Loan capital (bonds, debentures and similar debt instruments) is not Hong Kong stock for stamp duty purposes unless it is denominated in Hong Kong dollars or is not commercial paper. This means that most foreign bonds are not considered 'stock' within the meaning of the SDO. As such, they may be sold, purchased, or otherwise transferred free of stamp duty.

Hong Kong stock is defined in s.2 specifically as stock the transfer of which is required to be registered in Hong Kong. In practice, that means:

- Shares in a company incorporated in Hong Kong, since the Companies Ordinance (Cap.622) requires that the transfer of shares in a Hong Kong incorporated company be recorded in the company's share register; and
- Shares in a company otherwise listed on the Hong Kong Stock Exchange (HKSE), because the rules of the HKSE require that the transfer of shares listed thereon be recorded in a register in Hong Kong.

Note that as a matter of corporate law, s.15(2) of the SDO provides that a company secretary in Hong Kong cannot register a change in ownership of shares unless the instrument of transfer is duly stamped.

Ad valorem stamp duty is charged on Hong Kong stock at an aggregate rate of 0.2% on the higher of the transfer consideration or the value of the stock transferred, of which 0.1% is borne by the buyer and the vendor each, though in practice stamp duty may be allocated between the parties as they agree, provided that the aggregate amount is ultimately paid to the Stamp Office.

Illustrative Example 4

Mr Schwarz Zokosta incorporated Rottweiler Investments Ltd in Hong Kong. No stamp duty is payable on the issue of shares, so the incorporation process is tax-neutral. If Mr Zokosta wishes to cash out, and sell his business by selling shares in the company to a third party, then both he and the buyer will be required to produce contract notes and an instrument of transfer, and cause them to be stamped within two days (or 30 days if executed abroad). The rate of stamp duty is 0.26% (effective from 1 August 2021) on the higher of the transfer consideration or the value of the shares.

Key Learning Point

The sale and purchase or transfer of beneficial interest in Hong Kong stock gives rise to a charge to stamp duty. The rate of stamp duty is fixed at 0.26% (effective from 1 August 2021) of the higher of the transfer consideration or the value of the Hong Kong stock transferred.

► Knowledge Check Questions

Question 5

Identify which of the following is true.

- A** If contract notes are duly stamped with ad valorem duty, no stamp duty is payable on the instrument of transfer.
- B** If A gifts Hong Kong stock to B, that transfer does not give rise to a charge to stamp duty because it is not a sale and purchase of Hong Kong stock.
- C** The transfer of a bond denominated in Japanese Yen is required to be registered in Hong Kong; accordingly, the bond is Hong Kong stock and the transfer gives rise to a charge to ad valorem stamp duty.
- D** If 100 shares in A Ltd are transferred for HK\$100,000, but are worth HK\$120,000, ad valorem stamp duty is computed on the value and not the transfer consideration.

7.4 BEARER INSTRUMENTS

A **bearer instrument** is a debenture wherein capital and interest are payable to the bearer (i.e. the person physically in possession of the bond instrument) and which passes from hand to hand free from any equities which might have attached to it as between the issuer and the original holder (*Re Imperial Land Company of Marseilles* L.R. 11 Eq. 478). Thus, a bearer instrument is negotiable upon delivery: in order to effect a transfer all one needs to do is hand the debenture or bond certificate as the case may be to the transferee.

Head 3 of the First Schedule imposes ad valorem duty of 3% on the issue of Hong Kong bearer instruments. Both 'bearer instrument' and 'Hong Kong bearer instrument' are fairly narrowly defined in s.2(1). The stampable instrument is the debenture or bond certificate itself. No duty is charged on the sale and purchase, or other transfer of a bearer bond.

7.5 DUPLICATES AND COUNTERPARTS

Some instruments may be executed in **duplicate** or **counterpart**. For example, a lease may be executed as a deed in two separate physical counterparts by each party thereto. Each duplicate or counterpart bears a nominal, fixed duty of HK\$5 under Head 4 of the SDO but if the stamp duty on the original does not exceed HK\$5, the amount of the stamp duty on the duplicates/ counterpart is the same as the original document. It is nevertheless crucial that such documents be duly stamped if they are to be admitted as evidence in court.

7.6 VOLUNTARY DISPOSITION INTER VIVOS

S.27(1) and s.27(4) treat as **voluntary dispositions inter vivos** transfers either at undervalue (i.e. at a consideration materially below the market value of the asset) or for no consideration at all made between two persons. A voluntary disposition inter vivos gives rise to a charge to stamp duty charged at the market value of the asset transferred, notwithstanding the transaction commercially took place at undervalue or for no consideration.

For example, assume that an individual (I) owns: (i) the leasehold to a property (P); and (ii) 100,000 shares in a company (C). If I transfers P to a purchaser at half its market valuation and/or gifts the 100,000 shares in C to his wife, the instruments denoting the conveyance and transfer will be dutiable and the amount of stamp duty payable, in each case, will be computed by reference to the actual market value of the property conveyed or transferred, as the case may be.

There are certain important exceptions to this general rule in s.27(5), which relate to conveyances or transfers under which no beneficial interest passes. Important examples of such conveyances and transfers include:

- Transfer or conveyance for the purpose of effecting the appointment of a new trustee;
- Distribution of property by operation of law pursuant to a liquidation or dissolution (*Ayerst v C & K (Construction) Ltd* (1976) AC 167);
- Conveyance or transfer from a trustee to a beneficiary under a trust; and
- A conveyance or transfer made for nominal consideration for the purpose of securing the repayment of an advance or loan (hence, mortgages are not dutiable).
- Transfers and vesting of property by operation of law and pursuant to a merger (*Nomura Funds Ireland v CSR* [2021] HKCA 1040).

Note that a settlement on trust (i.e. the transfer of property from the settlor of a trust to the trustee in order to constitute a trust) is a transfer of beneficial interest, and the relevant transfer or conveyance will accordingly be dutiable at normal rates. The same property, once distributed out of trust to the beneficiaries of the trust, however, will be exempt from stamp duty by virtue of s.27(5). Similarly, a distribution in specie of Hong Kong stock or a Hong Kong immovable property other than on a liquidation will be treated as a voluntary disposition *inter vivos* and accordingly stampable.

Key Learning Point

Stamp duty cannot be avoided simply by gifting Hong Kong stock or Hong Kong immovable property to the transferee, or transferring it undervalue (i.e. below market value). S.27 operates as an anti-avoidance provision, deeming such transfers to be transfers at full market value for stamp duty purposes, subject to the operation of s.27(5), which lists certain important exceptions to that rule.

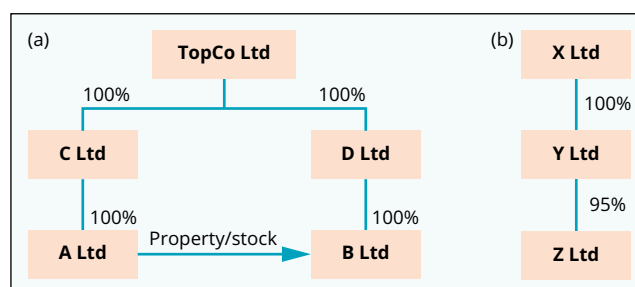
7.7 EXEMPTIONS AND RELIEFS

The most important relief from stamp duty is relief under s.45. This is a group relief provision, which aims to relieve transfers of Hong Kong stock and Hong Kong immovable property between companies in the same corporate group. The purpose of this relief is, in general, to facilitate bona fide corporate reconstructions so that they do not incur taxation costs. Relief under s.45 entails total exemption from all forms of stamp duty, including AVD, SSD and BSD.

In order to benefit from relief under s.45, the transferor and transferee of the property (though not necessarily the target company if the property being transferred is shares constituting Hong Kong stock) must be 'associated'. The association condition for the relief to apply is as follows:

- Either one of the transferee or the transferor must be the beneficial owner of not less than 90% of the issued share capital of the other; or
- A third body corporate must be the beneficial owner of not less than 90% of the issued share capital of each of the transferee and the transferor.

Association may be traced through multiple corporate layers. For example, if the transferor (A Ltd) and the transferee (B Ltd) are each 100% subsidiaries of different companies (C Ltd and D Ltd, respectively), but both C Ltd and D Ltd are, in turn, 100% subsidiaries of a single body corporate (TopCo Ltd), the association condition as between A Ltd and B Ltd is met by virtue of the fact that they are both indirect 100% subsidiaries of TopCo. Similarly, if X Ltd were the owner of 100% of the issued share capital of Y Ltd, and Y Ltd in turn owned 95% of the issued share capital of Z Ltd, the association condition would be met as between X Ltd and Z Ltd, because Z Ltd is in effect the 95% indirect subsidiary of X Ltd. See Exhibit 7.7.



► **EXHIBIT 7.7** (a) Group structure of TopCo and subsidiaries A Ltd, B Ltd, C Ltd, and D Ltd, (b) Group structure of X Ltd, Y Ltd, and Z Ltd

Ownership must be beneficial: the relief will not apply where the share capital of either party is held on trust for an unrelated third party.

There is a two-year rule, whereby s.45 relief will only be granted if the association condition between the transferor and the transferee continues to apply for two years from the date of the relevant transfer. If the association condition ceases to apply between the transferor and the transferee within two years by reason of a change in the percentage of the issued share capital of the transferee in the beneficial ownership of the transferor or a third body corporate, then stamp duty exempted would become payable at the rate it would have been payable had the exempted transaction given rise to a charge to stamp duty. This is an anti-avoidance provision, which prevents s.45 relief from being used in cases of deliberate and aggressive tax avoidance.

Illustrative Example 5

Rottweiler Investments Ltd is a company incorporated in Hong Kong. It has two wholly-owned subsidiaries incorporated in Japan: Kabosu Inc. and Doge Inc. Kabosu Inc. owns a commercial gold course in Fanling, which it wishes to transfer directly to Rottweiler Investments Ltd. Because Rottweiler Investments Ltd is the 100% parent of Kabosu Inc., they are associated persons within the meaning of s.45 and are accordingly in principle eligible for relief. The same would be true if Kabosu Inc. wished to transfer the same property to Doge Inc. In order for the s.45 relief to apply, however, the transferor and the transferee will need to remain associated within the meaning of that section for at least two years from the date of the transfer.

Key Learning Point

S.45 relief applies to transfers of Hong Kong stock or Hong Kong immovable property made between two associated companies. A company is associated with another if one beneficially owns at least 90% of the issued share capital of the other or a third company is the beneficial owner of at least 90% of the issued share capital of both transferor and transferee.

Apart from s.45 there are several express exemptions from stamp duty. Many of these are found in s.39, including:

- All conveyances on sale to the Government or an incorporated public officer;
- All grants by the Government and all Government leases and all surrenders of such grants and leases;
- All instruments executed by the Housing Authority for the purposes of the Housing Ordinance (Cap.283) other than a conveyance on sale executed for the purposes of an approved sale of land – this generally exempts grants of public housing in Hong Kong from ad valorem stamp duty; and
- All instruments exempted under s.125 of the Bankruptcy Ordinance (Cap.6), or s.281 of the Companies (Winding Up and Miscellaneous Provisions) Ordinance – that is, instruments executed in connection with the disposal of the property of a company being wound up or a bankrupt individual in accordance with the relevant corporate liquidation and personal insolvency regimes.

S.43 relieves consular premises (i.e. premises used by foreign diplomatic missions in Hong Kong), and premises used for the purposes of certain international organisations, from ad valorem stamp duty on conveyances and leases.

S.44 exempts from stamp duty donations to charities recognised as such under the laws of Hong Kong. In practice, that provision exempts gifts in specie to Hong Kong law charities from giving rise to stamp duty. It does not, however, cover sales of Hong Kong immovable property or Hong Kong stock to or by charities.

S.47A exempts from ad valorem stamp duty under Head 2 the transfer of units in a unit trust that is a component of a scheme regulated under the Mandatory Provident Fund Schemes Ordinance. This is to ensure that participation in such retirement schemes, which is regarded by the Government as socially desirable, is stamp duty neutral.

► Knowledge Check Questions

Question 6

Identify which of the following transactions does not give rise to a charge to stamp duty.

- A** Tanis settles a beachfront house in Sai Kung on trust for his wife, Laurana.
- B** Lord Soth transfers all his shares in Dargaard Ltd, a company incorporated in Hong Kong of which he is the 100% beneficial shareholder, to Neraka Ltd, another company incorporated in Hong Kong in which he is also a 100% beneficial shareholder.
- C** Dr Talos exchanges the leasehold he owns in an office block in Wanchai for an industrial site in Ap Lei Chau.
- D** Severian transfers his duplex in Happy Valley to his wife Dorcas as a wedding gift.
- E** None of the above.

7.8 STAMP DUTY ADMINISTRATION

The IRD is charged with administering the SDO, for which it has a dedicated section, the Stamp Office. The position of Collector is held by the Commissioner of Inland Revenue. Formally, all requests for adjudication, and all correspondence in matters of stamp duty are addressed to the Collector.

7.8.1 Methods of Stamping

The permitted methods of stamping are set out in s.5 of the SDO. In general, stamped instruments bear a physical or adhesive stamp indicating the amount of duty paid. An instrument must bear such physical certification of stamping in order to be treated as duly stamped under the SDO. In 2004, the IRD introduced the e-Stamping service, which involves printing a stamp certificate online for attachment to the instrument as an alternative to the conventional stamp. Such stamp certificates have the same legal status as conventional stamps imprinted on instruments.

For all other dutiable instruments, the original instrument must be presented to the Stamp Office with a stamping request and supporting documents. Upon receipt of a stamping request with the required document(s) the Stamp Office will either issue a stamp certificate in respect of the instrument or impress a stamp on the document. Payment of duty may be effected immediately to the extent that duty may be computed immediately by the Stamp Office; otherwise, the duty will need to be assessed, such that the documents will be provisionally stamped subject to the final computation and payment of duty. Any delays on the basis of computational matters occasioned by the Stamp Office do not result in a breach of the statutory timing rules for stamping.

7.8.2 Time Limit and Persons Liable for Stamping

In general, both the transferor and the transferee are jointly and severally liable for the payment of stamp duty. The principal exceptions to this rule are the cases of BSD, where the buyer only is liable for payment of BSD, and stamp duty under Head 3 of the First Schedule, where the issuer of the bearer instrument bears the duty.

Time limits are set forth in the First Schedule. As regards the conveyance of immovable property or a dutiable agreement for sale and purchase, stamping must in general take place within 30 days after the execution of the said instrument.

Conversely, the time limit for a contract note under Head 2(1) is two days after the sale and purchase of Hong Kong stock or 30 days after the sale and purchase of Hong Kong stock if the said sale and purchase was effected outside of Hong Kong. In the case of a voluntary disposition inter vivos of Hong Kong stock chargeable under Head 2(3), the time limit is extended to 7 days if executed in Hong Kong, and remains 30 days if executed outside of Hong Kong.

Bearer instruments dutiable under Head 3 are stampable prior to issue.

Duplicates and counterparts dutiable under Head 4 are stampable within seven days of the limit for stamping the original instrument.

7.8.3 Penalty for Late Stamping

Unlike taxes charged under the Inland Revenue Ordinance, failure to stamp is not itself an offence. The penalties for delayed stamping are, however, potentially very severe. S.9 of the SDO stipulates penalties for late stamping, as listed in Exhibit 7.8.

Stamping delay	Penalty
Up to one month late	Double the amount of the stamp duty
Exceeding one month to two months late	Four times the amount of the stamp duty
More than two months late	Ten times the amount of the stamp duty

► **EXHIBIT 7.8 Penalties for delayed stamping**

The Collector is empowered to remit any part of a penalty chargeable under s.9.

7.8.4 Penalty for Failure to Disclose Relevant Information

Penalties for late stamping under s.9 are administrative penalties, and are in practice collected as though they were additional stamp duty. In certain circumstances, however, criminal penalties may also arise. S.11(2)(a) of the SDO provides that any person who, with intent to defraud the Government, executes any instrument in which all the facts and circumstances affecting liability to stamp duty are not fully and truly set out commits an offence. S.11(2)(b) provides that any person who, with intent to defraud the Government, prepares a document and omits to set out any relevant fact or circumstance affecting chargeability to stamp duty commits an offence. This provision targets persons, such as accountants or lawyers, who may be instructed to prepare stamp duty documentation.

All offences under the SDO are punished by the same sanctioning provision in s.60, which provides that any person who commits or attempts to commit any offence under the SDO shall be liable to a fine at level 6 (currently HK\$100,000) or to imprisonment for one year.

It is important further to note that s.53 of the SDO provides that where an offence under the SDO is committed by a body corporate, any officer thereof who failed to discharge the obligation or liability imposed by the SDO is also deemed to commit an offence and so liable to the sanctions in s.60.

In addition to the above-mentioned statutory offences, there is a common law offence of cheating the revenue (which includes the Stamp Office).

Because the above offences are all criminal in nature, the guilt of the defendant must be shown beyond reasonable doubt by the prosecution. This is distinct from the balance of probabilities standard typically adopted in other cases for the recovery of tax claimed by the Revenue.

7.8.5 Adjudication

The process of assessment to stamp duty is governed by the rules for adjudication. S.13 of the SDO provides that an executed instrument may be presented to the Collector, together with supporting documentation where required, and the Collector's opinion sought on the amount

of duty (if any) payable thereon. This is not the equivalent of an advance ruling or other form of revenue clearance, where the revenue is contacted prior to the envisaged transaction. Instead, it requires that the instrument first be executed, and only then the opinion of the Collector may be sought. It therefore has more in common with a standard process of tax assessment. S.45 relief is administered by way of adjudication. There is a flat adjudication fee of HK\$50, payable with respect to each application.

Adjudication is required either because it is mandated by the relevant section by reference to adjudication under s.13(3) or otherwise in order to confirm that an instrument is exempt from stamp duty by virtue of, for example, having been vested into a legatee under the provisions of a will or under the laws of intestacy (such transmissions being transmissions by operation of law and therefore not stampable). The following instruments are required to be adjudicated:

- Conveyance or contract notes in consideration of debt (s.24(2));
- Instruments operating as gifts s.27(3) or s.29F(2);
- Instruments qualifying for intra group relief under s.45 (s.29H(3) and/or s.45(3);
- Instruments effecting a gift to a charity (s.44(3)); and
- Foreclosure orders (Note 4 to head 1(1) and Note 3 to head 2(3) in the First Schedule).

If the Collector is of the opinion that the document is not chargeable to stamp duty, it may be stamped with a stamp denoting that it is not chargeable with stamp duty and if he is of the opinion that the document is chargeable to stamp duty, he may assess the document to stamp duty or, if it already has been stamped under s.5 of the SDO, he may also stamp it with a stamp denoting that the document is duly stamped.

Where the Collector, within seven days of making the assessment, serves notice of it by post on the person who requested the adjudication or who is liable to stamp the document, the assessment will become final and conclusive within one month of the date of the notice unless an appeal, if lodged within time, is successful.

7.8.6 Appeal against Stamp Duty Assessment

Any person dissatisfied with the Collector's assessment on adjudication may appeal to the District Court, as set forth in s.14 of the SDO within one month of the date of the assessment. The one-month time limit may be extended if the appellant was prevented from lodging a timely appeal by virtue of illness or absence from Hong Kong (s.14(5B)). The duty payer will in general be required to pay the stamp duty claimed by the Collector first, notwithstanding having lodged an appeal under the IRD's customary 'pay first, argue later' approach to dispute resolution, unless the appellant provides security to the satisfaction of the Collector for payment of the duty in dispute, in which case the demand for payment of duty may be postponed for such period, to such extent and on such terms as the Collector thinks fit (s.14(1A)). Separately, where the court on application made by the appellant is satisfied that it would impose hardship (meaning more than mere inconvenience) on the appellant to require him to pay all or part of the stamp duty claimed by the Collector upfront, it may agree to hear the appeal without payment of stamp duty or the part of the stamp duty or on security being given to the court (s.14(1B)).

Once a notice of appeal has been lodged by the appellant, the Collector will be required to state a case, setting out the facts of the dispute and the specific questions of law for the District Court to answer. The case stated by the Collector will in essence form the subject-matter of the dispute to be heard before the Court. The Collector will deliver the case stated to the person requesting it, and the appellant has only seven days to set it down for hearing after serving it on the Secretary for Justice, as set forth in s.14(2). This is a strict and statutory time limit. Neither the Collector nor the Court have any discretion to derogate from it (*Bangkok Capital Antique Co Ltd v CSR* (1984) 2 HKTC 83). There are no exempting circumstances.

An appeal under s.14 may only be brought following an adjudication by the Collector under s.13.

The District Court, as the court of first instance in stamp duty disputes, must determine the relevant facts and adjudicate the dispute by applying the law to those facts. Any party dissatisfied with the judgment of the District Court may appeal to the Court of Appeal, provided that Court grants leave to appeal and the appeal is on a point of law.

Illustrative Example 6

Rottweiler Investments Ltd is wound up and placed into voluntary liquidation. Its sole material asset is a residential property in Sha Tin. Its sole shareholder is Mr Schwarz Zokosta and the company has no creditors. Mr Zokosta applies to the Collector for an adjudication under s.13 that the assignment transferring legal title of the residential property to him is exempt from AVD under s.27(5) of the Ordinance because it is an instrument under which no beneficial interest passes. The Collector disagrees with Mr Zokosta, and assesses the instrument to AVD and to BSD. Mr Zokosta must appeal that adjudication by lodging a notice of appeal within one month of the date of the Collector's assessment, requiring the Collector to state a case. He will be required to pay the duty assessed in any event, pending resolution of the appeal, unless he can show that this would cause hardship. Once he is served with the Collector's case stated he has seven days to serve it on the Secretary of Justice. This is a strict deadline, and there are no exceptions.

7.8.7 Effect of Non-Stamping

S.15(1) provides that subject to the specific exceptions in s.15(1A) and s.15A, any chargeable instrument which is not duly stamped is not admissible in evidence in any civil proceedings whatsoever. Where failure to duly stamp is pleaded in civil proceedings, a document not stamped will nonetheless be admissible if a solicitor personally undertakes that the document will be lodged for stamping and that any duty and penalty duty assessed will be paid (s.15(1A)). Where a document not duly stamped is admitted as evidence and the matter is subsequently appealed, the appellate court must take custody of the instrument and submit it to the Collector for stamping, though, under such circumstances, the document will in effect be admitted and accepted as evidence (*Sun Hing Co v Brilliant Investment Co Ltd* (1966) HKLR 310). In practice, note that it is considered a breach of court etiquette (albeit not necessarily in and of itself objectionable) to seek to impugn an instrument on the basis that it has not been duly stamped.

Further, s.15(2) provides that unless duly stamped, no instrument may be acted upon, filed or registered by any public officer or body corporate and any such public officer who or body corporate which fails to comply with that requirement is liable to a fine. That means that a company secretary and the Land Registry cannot register a change in the legal ownership of Hong Kong stock or Hong Kong immovable property, as the case may be, unless a duly stamped instrument of transfer has been presented.

Key Learning Point

It is crucial to ensure that dutiable instruments be duly stamped on time. Failure to procure the due stamping of such documents may cause them to be inadmissible in civil proceedings. Late stamping can give rise to penalties of up to 10 times the stamp duty chargeable. A person aggrieved by the Collector's adjudication may institute proceedings before the District Court to appeal the Collector's decision.

► Knowledge Check Questions

Question 7

Identify which of the following statements is correct.

- A** Lord Soth sells 100 shares in Dargaard Ltd, a company incorporated in Hong Kong, to Kitty Ma and the agreement for sale and purchase is signed in Macau on 18 September 2018, which means that Lord Soth and Kitty Ma must execute contract notes and submit them for stamping not later than 20 September 2018.
- B** Severian submitted a sale and purchase agreement for a property in Sha Tin for adjudication and was dissatisfied with the Collector's conclusion on the amount of ad valorem duty chargeable thereon, he must therefore institute proceedings before the Board of Review to appeal the Collector's adjudication.
- C** An instrument that is not duly stamped may not under any circumstances be admissible in evidence in court.
- D** An instrument stamped 40 days after the statutory deadline for stamping may be assessed to a penalty of treble the amount of stamp duty payable.
- E** None of the above.

7.9 RAMSAY PRINCIPLE

The so-called **Ramsay principle** is derived from the judgment of the U.K. House of Lords in *WT Ramsay Ltd v IRC* (1982) AC 300. Although it is often labelled as an anti-avoidance provision, it is, in reality a principle of statutory construction or, more broadly, of statutory application.

The House of Lords in the *Ramsay* principle opined that tax legislation is intended to apply to real-world business or commercial transactions and events. As we have already seen, the current judicial orthodoxy is that statutes must be construed purposively – that is with a view to the mischief the legislation was intended to cure. Thus, where there is a pre-ordained series of transactions or a single composite transaction, any steps in the series or any components in the composite transaction that have no real commercial or business purpose may be disregarded for all fiscal purposes. The relevant tax legislation would, on that footing, focus on the commercial result of the transaction, disregarding the effect of the uncommercial transactions or events. If the legal position is that tax is imposed by reference to a commercial concept (such as profits, gains etc.), then to have regard to the business ‘substance’ of the matter is not to ignore the legal position but to give effect to it (*MacNiven v Westmoreland Investments Ltd* (2001) STC 237).

Because stamp duty is a tax on instruments, and the charging provisions in s.4 and the First Schedule depend on the strict legal understanding of the instruments concerned, there was at one time a judicial and academic debate as to whether the *Ramsay* principle was applicable in a stamp duty context. A transfer of shares and a conveyance on sale are not commercial terms but, strictly speaking, legal, technical terms, such that it was arguable whether the logic of the *Ramsay* principle could apply in a context that was purely legalistic.

In Hong Kong, that question was resolved by the Court of Final Appeal in *CSR v Arrowtown Assets Ltd* (2004) 1 HKLRD 77. In that case, the dispute turned upon an aggressive tax avoidance scheme that had been entered into in order to obtain relief from stamp duty under s.45 of the SDO. In that case, economically worthless ‘B’ shares had been issued in order to secure formal compliance with the 90% beneficial ownership test for the association condition in s.45 to be met. In dismissing the taxpayer’s appeal and holding that the transaction, viewed realistically, did not fall within the association condition required by s.45, read purposively (i.e. to provide stamp duty relief to bona fide intra-group transfers), the Court decided that the *Ramsay* principle was therefore applicable to stamp duty matters. Thus, the *Ramsay* principle is in reality simply the restatement of conventional principles of purposive statutory interpretation in a tax law context. The Court held that the ultimate question is whether the relevant statutory provisions, construed purposively, were intended to apply to the transaction, viewed realistically. Where schemes involve intermediate transactions having no commercial purpose inserted for the sole purpose of tax-avoidance, it is quite likely that a purposive interpretation will result in such steps being disregarded for fiscal purposes.

Key Learning Point

The modern approach to statutory interpretation is to understand the plain words of the statute specifically in the legislative context in which they were enacted. The *Ramsay* principle applies to ensure that the provisions of a taxing statute are applied, as they were intended, to a real-world commercial operation or transaction.

Apply and Analyse 1

Apply

Analyse the stamp duty liability, if any, to be charged on the documents used in connection with the following transactions:

1. Henry Ltd (HL) owns 10% shares in Ace Ltd (AL), which is incorporated outside Hong Kong but is listed on the Hong Kong Stock Exchange. On 1 April 2019, HL transferred the full 10% shareholding in AL to its subsidiary Sherry Ltd (SL) for a consideration of HK\$400,000. The market valuation for the shares as at 1 April 2019 is HK\$500,000. Both HL and SL are incorporated outside Hong Kong. HL owns 80% of the issued share capital of SL. The remaining 20% of SL's shares is owned by Mr Wong who beneficially owns all the issued share capital of HL.
2. Mr Chan plans to purchase all shares in Bee Ltd (BL) from Mr Wong. BL is incorporated in Hong Kong. Mr Chan has agreed to provide free tax advisory services to Mr Wong as a consideration for the transfer.
3. On 1 March 2018, Mr Leung bought a residential flat in Tseung Kwan O. On 1 March 2019, Mr Leung sold the property to Mr Wang by way of executing an agreement of sale, for a consideration of HK\$2,000,000, subject to an existing mortgage of HK\$5,000,000. The assignment was executed on 1 April 2019. The market value of the property on 1 March 2019 (the date of contract for sale) was HK\$8 million. The market value on 1 April 2019 (the date of conveyance). Mr Wang, who is a citizen of mainland China, resides in Hong Kong for around 183 days a year.
4. As a gift for his first wedding anniversary, Mr Lee assigned a residential flat at Kowloon Tong to his son, Leo, for nil consideration. Leo is a Canadian citizen and does not hold a Hong Kong permanent identity card. The market value of the flat at the date of the assignment is HK\$10,000,000.

Analyse

1. The transfer of shares of a Hong Kong listed company must be registered in Hong Kong. Hence the shares in AL are Hong Kong stock. The parties effecting the sale and purchase of Hong Kong stock must prepare and stamp contract notes for sale and purchase and an instrument of transfer: s.19(1) and Heads 2(1) and 2(4) respectively. There is no exemption from duty for the transfer of shares in AL as HL and SL are not 'associated companies' for the purposes of s.45, since the 90% test cannot be satisfied. Mr Wong's shareholding in SL will not be taken into account as Mr Wong is an individual, not a corporate entity. The location of incorporation of the transferor and transferee is not relevant for ascertaining the stamp duty liability.

The transfer is a voluntary disposition under s.27 as the consideration is below market value. The market value of HK\$500,000, instead of the consideration of HK\$400,000 will be used for computing the stamp duty payable: i.e. $\text{HK\$}500,000 \times 0.2\% = \text{HK\$}1,000$ plus HK\$5 on the instrument of transfer.

2. Since the shares of the Hong Kong incorporated companies are 'Hong Kong stock' the transfer of which is required to be registered in Hong Kong, the instrument of share transfer must be stamped at HK\$5 under Head 2(4).

Apply and Analyse 1 (continued)

The main issue then is whether there is a 'sale or purchase' of that stock. The definition of that phrase in s.19(16) does not appear to be restricted to the case where stock is sold for a monetary consideration (it refers simply to a disposal or acquisition of stock for valuable consideration). Accordingly, a transfer of Hong Kong stock for services rendered should amount to a disposal for valuable consideration and thus contract notes for sale and purchase need to be prepared under s.19 and ad valorem duty will be charged on the notes under Head 2(1) based on the value of the shares as at the date of transfer.

3. Ad valorem duty (AVD):

The sale and purchase agreement is stampable under Head 1(1A) on HK\$8,000,000. The subsequent assignment simply attracts a nominal duty of HK\$100. Specifically:

- The mortgage debt is included in the consideration for stamp duty purposes – s.24(1);
- The total consideration agreed by the parties (HK\$7,000,000) is ignored as the conveyance is at an undervalue and a substantial benefit is derived by the transferee – s.27(4) and the *Lap Shun* case; and
- For valuation purposes, the Collector adopts the value of the property as at the date of the first binding contract for sale and purchase (HK\$8,000,000) and not the value as at the date of the assignment (HK\$9,000,000) – the *Zung Fu* case.

Mr Wang is not a Hong Kong permanent resident individual as he is a mainland China citizen and does not hold a Hong Kong permanent resident ID card. The fact that he resides in Hong Kong around 183 days a year will not cause him to become a Hong Kong permanent resident. AVD will be charged at Part 1 of Scale 1, i.e. 15%, $\text{HK\$8 million} \times 15\% = \text{HK\$1,200,000}$

Special Stamp Duty (SSD):

For the purposes of SSD, a person acquires a residential property on the date he enters into a chargeable agreement for sale as purchaser to purchase the property. If there is no such chargeable agreement for sale, the date of a conveyance to acquire the property is the date of acquisition. As a corollary, a person disposes of a residential property on the date he enters into a chargeable agreement as vendor to dispose of the property. If there is no such chargeable agreement for sale, the date of a conveyance to dispose of the property is the date of disposal. Mr Leung acquired the property on 1 March 2018 and sold it on 1 March 2019, i.e. the holding period is 12 months and 1 day. The rate of 10% applies. SSD chargeable is: $\text{HK\$8 million} \times 10\% = \text{HK\$800,000}$.

Buyer's Stamp Duty (BSD):

Mr Wang is not a Hong Kong permanent resident individual. BSD should be charged at 15%, i.e. $\text{HK\$8,000,000} \times 15\% = \text{HK\$1,200,000}$.

Apply and Analyse 1 (continued)

Stamp duty payable:

AVD under Head 1(1A):	$\text{HK\$}8,000,000 \times 15\% = \text{HK\$}1,200,000$
SSD under Head 1(1B):	$\text{HK\$}8,000,000 \times 10\% = \text{HK\$}800,000$
BSD under Head 1(1C):	$\text{HK\$}8,000,000 \times 15\% = \text{HK\$}1,200,000$
Head 1(1):	HK\$100

4. This is a deed of gift and subject to stamp duty as a voluntary disposition under s.27. No exemption applies as it is not a marriage gift. As the transaction relates to a conveyance on sale of immovable property in Hong Kong, the AVD is imposed under Head 1(1). Market value at the time of conveyance of HK\$10,000,000 will be used as the stampable value. Scale 2 applies to acquisition or transfer of residential properties between close relatives, irrespective of whether the transferee is a Hong Kong permanent resident and whether or not they are beneficial owners of any other residential property in Hong Kong at the time of the transfer. AVD payable on the deed of gift is $\text{HK\$}10,000,000 \times 3.75\% = \text{HK\$}375,000$. Leo is a Canadian citizen and is not the holder of a Hong Kong permanent identity card, hence he is not a Hong Kong permanent resident. However, SSD is exempt for a transfer of a residential property to a close relative regardless of whether the close relative is or is not a Hong Kong permanent resident. BSD is exempt for transfer of a residential property from a Hong Kong permanent resident to a close relative, who is not a Hong Kong permanent resident.

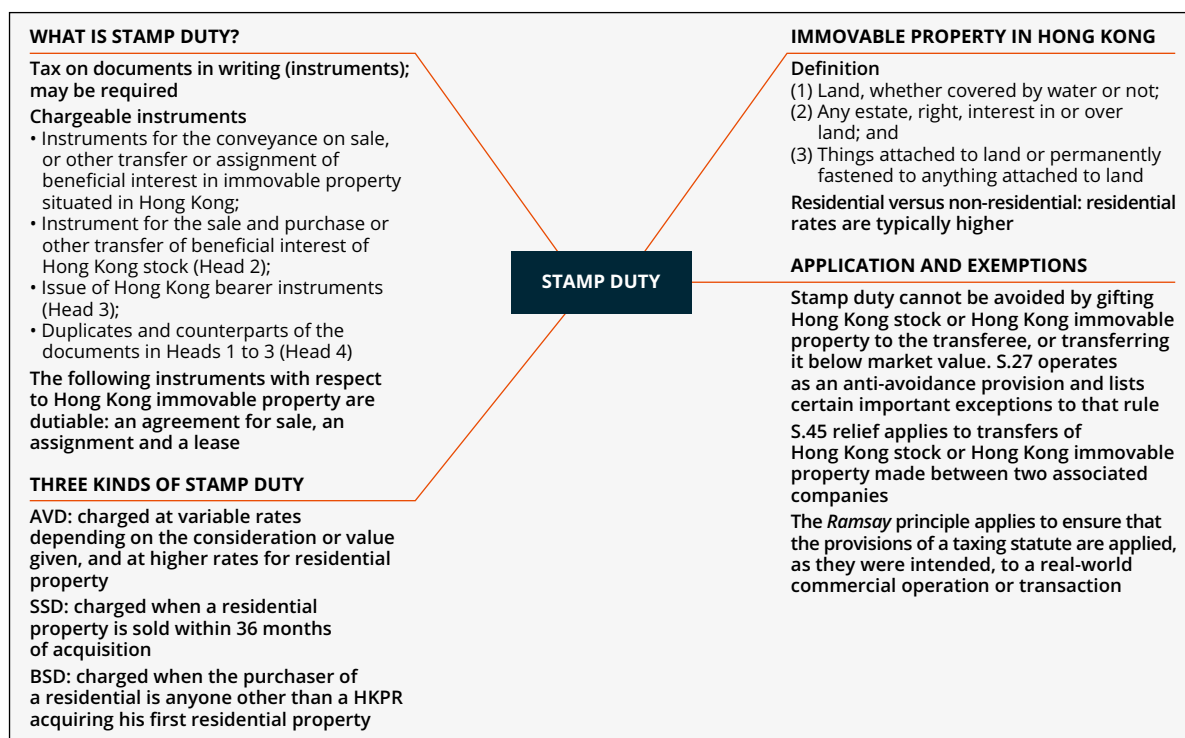
Key Learning Point

The modern approach to statutory interpretation is to understand the plain words of the statute specifically in the legislative context in which they were enacted. The *Ramsay* principle applies to ensure that the provisions of a taxing statute are applied, as they were intended, to a real-world commercial operation or transaction.

SUMMARY

- Stamp duty is a tax on instruments (i.e., written documents) rather than transactions. The following instruments with respect to Hong Kong immovable property are dutiable: an agreement for sale, an assignment and a lease.
- Unstamped documents are not admissible as evidence in court.
- Penalties are imposed on parties who fail to get necessary stamps on documents, or fail to do so in the timeline required.
- Stamp duty has two bases of computation: ad valorem stamp duty is charged as a percentage of the value or consideration given (for example, 15% of the consideration given or the value of the property transferred under the dutiable instrument) *or* at a fixed rate (for example, HK\$5 per duplicate instrument).
- The Inland Revenue Department (IRD) provides guidance on stamp duty matters and illustrates practice and policies. Practitioners are required to refer directly to the statutes and case law.
- Three types of stamp duty may emerge from the sale and purchase of Hong Kong immovable property: ad valorem stamp duty (AVD), special stamp duty (SSD) and buyer's stamp duty (BSD). The three are applied separately and some transactions may require all three be paid.
- AVD is charged at variable rates depending on the consideration or value given, and at higher rates for residential property.
- SSD is charged when a residential property is sold within 36 months of acquisition.
- BSD is charged when the purchaser of a residential is anyone other than a HKPR.
- Stamp duty cannot be avoided by gifting Hong Kong stock or Hong Kong immovable property to the transferee, or transferring it below market value. S.27 operates as an anti-avoidance provision and lists certain important exceptions to that rule.
- S.45 relief applies to transfers of Hong Kong stock or Hong Kong immovable property made between two associated companies. A company is associated with another if one beneficially owns at least 90% of the issued share capital of the other or a third company is the beneficial owner of at least 90% of the issued share capital of both transferor and transferee.
- The *Ramsay* principle applies to ensure that the provisions of a taxing statute are applied, as they were intended, to a real-world commercial operation or transaction.
- The sale and purchase of Hong Kong stock gives rise to a charge to AVD at a rate of 0.2% on the higher of the transfer consideration or the value of the Hong Kong stock transferred.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect because stamp duty is not charged on transactions; rather, it is a tax on documents.

Answer B is correct because stamp duty is charged on instruments related to Hong Kong transactions.

Answer C is incorrect because it is incomplete. Stamp duty is charged on any instrument related to agreements for sale and purchase of immovable property, relief for stock borrowing and lending transactions, alternative bond schemes, and instruments related to other types of transactions.

Answer D is incorrect because stamp duty can be charged either as a percentage of consideration given, or at a fixed rate.

Question 2

Answer A is incorrect because a lease is stampable.

Answer B is incorrect because an assignment bears either AVD or fixed rated duty if AVD has already been paid on the agreement for sale.

Answer C is correct because a mortgage is not a stampable instrument.

Answer D is incorrect because an option is treated as an agreement for sale.

Question 3

Answer A is correct. Statement A is false because this is the first residential property Mr Zokosta acquires in Hong Kong; accordingly, the lower Scale 2 rate applies, not Scale 1. Answer B is incorrect because BSD is not charged on HKPR buyers of residential property. Answer C is incorrect because if the sale and purchase agreement is duly stamped with ad valorem duty, an assignment on the same terms bears only fixed duty. Answer D is incorrect because SSD is indeed payable on any disposal within 36 months of the acquisition of the property.

Question 4

BSD does not affect buyers of multiple properties in the same way as Scale AVD because it is sufficient for the buyer to be a HKPR to be exempt from BSD. Consequently, AVD will be charged at Part 1 of Scale 1 and no BSD will apply. No SSD is chargeable because the property has been held for over 36 months by the vendor. The total duty payable on the agreement for sale and purchase is HK\$4.5 million (i.e. HK\$30,000,000 × 0.15), plus HK\$100 fixed rate duty on the assignment.

Question 5

Answer A is incorrect because the instrument of transfer bears a nominal HK\$5 duty. Answer B is incorrect because the transfer of beneficial interest in Hong Kong stock is chargeable under Head 2(3). Answer C is incorrect because loan capital denominated in foreign currency is not Hong Kong stock. Answer D is correct because ad valorem duty is computed on the higher of the value and not the transfer consideration.

Question 6

Answer A is incorrect because a settlement on trust is treated as a voluntary disposition inter vivos and is therefore stampable under s.27. Answer B is incorrect because s.45 relief is only available where both the transferor and the transferee are companies. Answer C is incorrect because an exchange is treated as a conveyance on sale. Answer D is incorrect because a gift is a voluntary disposition inter vivos and is therefore stampable under s.27. Answer E is correct because none of the transactions mentioned above give rise to a charge to stamp duty.

Question 7

Answer A is incorrect because the sale and purchase agreement was executed outside of Hong Kong, the transferor and transferee have 30 days to submit contract notes for stamping. Answer B is incorrect because an appeal against the adjudication of the Collector must be brought before the District Court. Answer C is incorrect because an instrument not duly stamped may nonetheless be admissible in court subject to a solicitor's undertaking to pay the amount of stamp duty payable. Answer D is incorrect because the correct penalty is quadruple the amount of duty assessed. Answer E is correct.

EXAM PRACTICE

QUESTION 1

Peach Ltd (PL) and Apple Ltd (AL) are both incorporated in and carried on business in Hong Kong. Both PL's and AL's issued share capital is comprised of 900 ordinary shares and 100 preference shares. HL's shareholding in PL and AL are as follows:

	Ordinary shares	Preference shares
PL	800 shares	100
AL	800 shares	Nil

Mr Huang, a Hong Kong permanent resident, owns 100% shareholding of HL. He also holds 100 ordinary shares and 100 preference shares in AL.

On 1 December 2018, as part of a group restructuring exercise, PL transferred certain Hong Kong properties to AL.

Details of the properties to be transferred from PL to AL are as follows:

Property	Acquisition time	Market value (HK\$) ^a	Transfer value (HK\$)	Consideration made by AL (HK\$)
1 – residential flat	1 April 2015	8 million	7 million	Cash 7 million
2 – shop	1 March 2016	11 million	11 million	Shop worth 9 million (market value) plus cash 2 million
3 – residential flat	1 May 2017	22 million	20 million	Cash 20 million
4 – residential flat	1 December 2017	10 million	11 million	Waiver of debt 11 million

^aFor a deed of exchange, only the equality money is chargeable to stamp duty.

Three deeds of assignments were signed respectively for transfer of property 1, 3 and 4. A deed of exchange was signed for property 2.

Required

Assume today is 1 December 2018.

- Briefly discuss whether any relief is available in relation to PL's restructuring exercise.
- Identify the dutiable instruments and determine the rates applicable for the transfer of the properties.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- Exemption from stamp duty is available for intra-group transfers of shares or immovable property from one associated body corporate to another under s.45 of the Stamp Duty Ordinance (SDO).

Two corporations are 'associated' when one is the beneficial owner of at least 90% of the issued share capital of the other, or when a third company is the beneficial owner

of at least 90% of the issued capital of each. All issued shares, regardless of whether they are ordinary shares or preference shares, will be taken into account in determining whether the 90% threshold is met. PL and AL are not 'associated corporations'. HL holds 90% in PL, but only 80% in AL. The 20% shares held by Mr Huang should not be taken into account because he is not a 'corporation'.

- (b) Property 1 and Property 3 were transferred below market value. Both transactions would be regarded as a voluntary disposition and hence market value would be applied to replace the transfer value (s.27) in computing the stamp duty payable. The chargeable instruments are the deeds of assignment (Head 1(1)). This is so even though the transfers were in good faith and for valuable consideration (see the *Lap Shun Textiles Industrial Co Ltd* case).

In addition to ad valorem stamp duty (AVD), special stamp duty (SSD) would also be chargeable on the deeds of assignment for Properties 3 and 4 (as they are residential properties) because both were acquired on or after 27 October 2012 and were sold within 36 months (Head 1 (1AA)). Buyer's Stamp Duty (Head 1(1AAB)) would also be chargeable for the transfer of properties 1, 3 and 4 as the properties are residential properties.

The stamp duty payable is computed as below:

Property	Acquisition time	Market value (HK\$) ^a	Transfer value/ consideration (HK\$)	AVD(HK\$)	SSD (HK\$)	BSD(HK\$)
1	1 April 2015	8M	7M	1.2M (15% × 8M)	Nil, holding period from 1 April 2015 to 1 Dec 2018 (more than 36 months)	1.2M (8M × 15%)
2	1 March 2016	11M	11M	300,000 (1.5% × 2M) ^a	Shop, not applicable	Shop, not applicable
3	1 May 2017	22M	20M	3.3M (15% × 22M)	2.2M (10% × 22M); holding period: 19 months + 1 day more than 12 months but less than 36 months	3.3M (22M × 15%)
4	1 December 2017	10M	11M	1.65M (15% × 11M) ^b	1.1M (10% × 11M); holding period: 12 months + 1 day, more than 12 months but less than 36 months	1.65M (11M × 15%)

^a For a deed of exchange, only the equality money is chargeable to stamp duty.

^b The second part of s.24(1) provides that debts waived by the transferee are treated as a part of consideration for a conveyance of immovable property. Hence, the AVD, SSD and BSD is charged on HK\$11 million (debt waived).

However, s.24(2) provides a relief of debt waived. It may apply to the Collector to adopt the lower amount of the value of the asset transferred to the transferee for stamp duty purpose. The instrument must be adjudicated by the Collector in this regard.

If AL applies for relief under s.24(2), the Collector may accept the stamping value as HK\$10 million. If so, the stamp duty liability will become:

AVD: $\text{HK\$10 million} \times 15\% = \text{HK\$1.5 million}$

SSD: $\text{HK\$10 million} \times 10\% = \text{HK\$1 million}$

BSD: $\text{HK\$10 million} \times 15\% = \text{HK\$1.5 million}$



Part C

Profits Tax Rules, Principles and Calculation of Profits Tax Liabilities for Cross-border Transactions



Chapter 8 Profits Tax Liabilities for Cross-border Transactions

8

Profits Tax Liabilities for Cross-border Transactions



CHAPTER TOPIC LIST

8.1 Tax Implications of Residence and Non-residence

8.1.1 Permanent Establishment (PE)

8.2 Provisions Concerning Non-resident Persons

8.2.1 Assessing a Non-resident Person's Liability

8.2.2 Non-resident Persons Selling Goods in HK

8.2.3 Deemed Trading Receipts of Non-resident Persons

8.3 Withholding Obligation

8.3.1 Withholding Obligations on Hong Kong Agents

8.3.2 Withholding Obligations on Resident Persons Paying or Crediting Certain Payments to Non-resident Persons

8.3.3 Amount of Tax to be Withheld

8.3.4 Refund of Tax Overpaid



LEARNING OUTCOMES

PRINCIPAL LO3: APPLY PROFITS TAX RULES AND PRINCIPLES AND CALCULATE PROFITS TAX LIABILITIES FOR CROSS-BORDER TRANSACTIONS

LO3.01: Explain and analyse the tax implications and calculate the tax liabilities for cross-border transactions

3.01.01 Analyse the relevant issues in relation to residents and non-residents

3.01.02 Compare and contrast the tax treatments for residents and non-residents

3.01.03 Explain the methods used by the IRD in assessing a non-resident person to tax in Hong Kong

3.01.04 Explain what is meant by an agent of a non-resident person

3.01.05 Calculate the amount of tax which is to be withheld by a Hong Kong resident from payments made to non-residents

3.01.06 Apply DIPNs 17 and 30

OPENING CASE

SUPERSTAR

Superstar Ltd ('Superstar') is a company incorporated in HK and is in the business of organising and promoting sports and entertainment events in HK. On 25 June 2018, Superstar organized a two-day tennis exhibition and invited four of the current top-ranked tennis players in the world. As part of this event, Superstar also invited a world-renowned Canadian singer, Justin Jenson, to perform on its opening night.

In order to reach out as many potential spectators as possible, Superstar also offered an online ticketing system. For this purpose, Superstar entered into an arrangement with a UK company, BriteTix UK Ltd ('BriteTix') which is a leading technology firm that developed a secure online ticketing system. BriteTix will allow Superstar to use its customized web-based application to sell the tickets online.

Below are the transactions which describe the above arrangement:

Income	
Ticket Sales	HK\$20 million
Sponsorship/Advertising Revenues	HK\$10 million
Expenses	
Fees payable to the following sportsmen:	
Roger Smith (Switzerland)	HK\$2 million
Rafael Nelson (Spain)	HK\$2 million
Michael Chong (US)	HK\$1.5 million
Leyton Hope (Australia)	HK\$1.5 million
Fees payable to Justin Jenson	HK\$800,000
Fees payable to BriteTix	
Fixed base fee	HK\$750,000
8% of Ticket Sales	HK\$1.6 million
Rental of indoor stadium	HK\$500,000
Staff	HK\$600,000

Due to Michael Chong's popularity with the Asian tennis fans, Superstar has asked him to conduct a number of tennis clinics at various sports clubs in HK for two weeks immediately after the tennis exhibition matches ended. As part of the arrangement with Superstar, Michael Chong continued to stay in the same hotel room in which he was staying during the exhibition match. Superstar paid Michael Chong an additional fee of HK\$300,000 for his contribution towards the HK tennis community. 



OVERVIEW

In the previous chapters, we have learnt the various ways in which income of Hong Kong (HK) incorporated and unincorporated businesses, including individuals who carry on business in HK, are taxed under the HK territorial tax regime (that is, through what is generally known as a 'territorial source principle or concept'.

The territorial source principle or concept has always been fundamental to the taxation of profits in Hong Kong. Only those profits which arise in or are derived from Hong Kong are liable for tax. The broad guiding principle is that 'one looks to see what the taxpayer has done to earn the profits in question and where he has done it'. As such, the tax residency of an entity is not a determining factor as to whether such an entity is subject to tax in HK or not. In other words, no distinction is made between residents and non-residents under the Inland Revenue Ordinance (IRO).

The concept of a tax resident is only relevant to the extent of the Comprehensive Double Tax Agreements (CDTAs) (commonly known as DTAs), which HK has entered into and are currently in-force. The IRO contains no exemption from profits tax for offshore companies. Whether an offshore company is liable to profits tax depends on *the nature and extent of its activities in HK*.

In this chapter, we will cover the key issues relating to the profits tax implications of cross-border transactions which are carried out by both resident and non-resident legal persons in HK. This coverage will include withholding tax implications (such as scope, calculation and obligations of resident payers).

By the end of this chapter, students will have a good understanding as to how non-residents are taxed under the HK territorial tax principle including the role of withholding agent (which is crucial in the collection of profits tax on behalf of the non-residents).



8.1 TAX IMPLICATIONS OF RESIDENCE AND NON-RESIDENCE

Under the general charging s.14(1) of the IRO, profits tax shall be charged for each year of assessment on *every person* carrying on a trade, profession or business in Hong Kong in respect of his assessable profits arising in or derived from Hong Kong for that year from such trade, profession or business.



The phrase 'every person' includes both resident and non-resident persons such as individuals (e.g. sole proprietorships), corporations, partnerships, trustees as well as bodies of persons carrying on any trade, profession or business in Hong Kong.

In addition to s.14(1), the IRO also contains a specific provision under s.15 which deems certain receipts by a non-resident to be sums derived from HK and to be subject to tax in HK notwithstanding that the non-resident person may have limited presence in HK or not have to carry on a business in Hong Kong.

The key factors to determine one's taxability in HK are whether:

1. One is carrying on a trade, profession, or business in HK; and
2. The profits are arising in or derived from HK.

In determining the tax residency of legal entities such as corporations, companies incorporated in HK which are centrally managed and controlled (subject to the provisions of the relevant CDTA) in HK are generally considered to be HK tax residents.

However, for the purpose of s.20A (persons chargeable on behalf of a non-resident) and s.20B (persons chargeable in respect of certain profits of a non-resident), the IRD views that a 'non-resident' is a person who has no permanent business presence in HK (DIPN 17 [Revised], *The Taxation of Persons Chargeable to Profits Tax On Behalf of Non-Residents*).

8.1.1 Permanent Establishment (PE)

Under Inland Revenue Rules 5 (IRR), a **permanent establishment** (commonly known as a PE) is defined as 'a branch, management or other place of business, but does not include an agent unless the agent has, and habitually exercises, a general authority to negotiate and conclude contracts on behalf of his principal or has a stock of merchandise from which he regularly fills orders on his behalf'.

Having no PE in HK does not mean that the non-resident person is exempt from tax in Hong Kong. A non-resident person may be liable to property tax, salaries tax or profits tax if he has income arising in or derived from Hong Kong falling within the scope of charge of these three taxes. The same rates of tax apply to both resident persons and non-resident persons.

However, if a non-resident person, including a foreign corporation, has a PE in Hong Kong, they will be deemed as carrying on a trade, profession, or business in Hong Kong and the profits attributable to such PE will be subject to Hong Kong tax.

The IRD generally does not view the following activities as establishing a PE in HK:

1. A place for storage, display or delivery of goods only;
2. A place for maintenance of goods only;
3. A place for maintenance of goods to be processed by another enterprise;
4. A place for purchasing or advertising goods or for collecting information for the enterprise;
5. A place for carrying on activity of a preparatory or auxiliary nature for the enterprise; and
6. A place for any combination of the above activities which is of a preparatory or auxiliary in nature for the enterprise.

In addition to the above, a Representative Office (RO) in Hong Kong is not treated as a PE for HK tax purposes provided the following conditions are met:

1. The activities of the RO are carried out for the benefit of the enterprise itself;
2. The activities of the RO do not directly generate profits; and
3. The RO only provides supporting activities to the overseas parent.

As a part of the new transfer pricing regulatory regime, a definition of PE has been incorporated into the IRO in Schedule 17G. The Inland Revenue (Amendment) (No. 6) Ordinance 2018 (the 'Amendment Ordinance') was approved into law effective 13 July 2018.

For a CDTA territory **resident person**, the definition of PE follows that in the PE article of the CDTA that Hong Kong has with that territory. For a non-CDTA territory resident person, the definition of PE is specified in the IRO and largely follows that in the PE article of the latest 2017 OECD Model Tax Convention.

Key Learning Point

HK taxation system is based on a territorial source principle. Residents and non-resident persons are subject to tax in HK if they carry on a business in HK, derive profits from HK or have a PE in HK.

For countries which have concluded a CDTA with HK, the PE definition under such CDTA would prevail over the IRD's definition of a PE.

► Knowledge Check Questions

Question 1

Identify which of the following constitutes a PE under the IRO.

- A A place for storage, display or delivery of goods only.
- B A place for purchasing or advertising goods or for collecting information for the non-resident enterprise.
- C An agent that habitually concludes contracts on behalf of a non-resident.
- D Staying in the same hotel room for two weeks while performing exhibition matches and conducting tennis clinics in HK.

8.2 PROVISIONS CONCERNING NON-RESIDENT PERSONS

As mentioned above, the IRO does not have a general definition of a **non-resident person**. For the purposes of s.20A and s.20B, however, the IRD has accepted that the term 'non-resident' refers to a person who has no permanent business presence in HK (DIPN 17, Para 8).

In case there are disputes, the term will be interpreted in accordance with the principles established by the courts.

The IRO contains many special provisions relating to non-resident persons as listed below, especially for withholding or recovery of tax purposes. Some of the common provisions are listed below.

IRO provisions	Contents
15(1)(a), (b), (ba), (bb) and (d)	Deemed trading receipts
20	Business with closely connected resident persons
20A(3)	Assessments on Hong Kong agents and non-resident persons for goods on consignment
20B	Withholding obligations on resident persons paying or crediting certain payments to non-resident persons
21	Assessable profits to be computed on a fair percentage of turnover
21A	Assessable profits from deemed trading receipts under s.15(1)(a), s.15(1)(b) or s.15(1)(ba)
79(3)	Tax overpaid by non-resident persons to be refunded

8.2.1 Assessing a Non-resident Person's Liability

This section deals with the taxability of a non-resident who carry on business or derive income from HK. It is important for a non-resident to be aware of HK taxation rules when conducting business in HK. Notwithstanding that a non-resident (either as a corporation or individual) may not have a physical presence in HK (e.g. an office or other types of fixed place of business), such non-resident person may be liable to HK tax if they carry on business in HK or derive income from HK.

The IRO provides three alternative methods of assessing a non-resident person's liability to tax in HK. These are as follows:

IRO provision	Methods of assessments
20A(1)	Direct assessment on a non-resident person or in the name of a non-resident person's agent in Hong Kong
20A(3)	Resident persons acting as agent is required to withhold consignment tax for sale of goods by non-resident persons
20B	Assessment raised in the name of any person in Hong Kong who has directly or indirectly paid or credited a non-resident person who is entitled to receive payment of royalties or license fees from Hong Kong, or who is an entertainer or sportsman

Pursuant to IRR Rule 5, the profits of the Hong Kong branch of a person whose head office is situated elsewhere than in Hong Kong, will be calculated as follows:

(a) **Actual profit method**

This is applicable where the financial accounts are kept in order and disclose the true profits arising in or derived from HK. In this case, such accounts will be adopted and adjusted in accordance with the provisions of the IRO.

(b) **Proportionate method**

This is applicable where the financial accounts are not maintained in a manner which allows the true profits arising in or derived from Hong Kong to be disclosed separately, or the financial accounts are not kept in order:

$$\text{Assessable profits} = \text{Adjusted worldwide profits} \times \frac{\text{Hong Kong turnover}}{\text{Worldwide turnover}}$$

(c) **Percentage of HK turnover**

Where the assessor is of the opinion that it would be impracticable or inequitable to adopt methods (a) and (b) above, he may compute the assessable profits on a fair percentage of the Hong Kong turnover.

Pursuant to s.21 of the IRO, the IRD has the legal basis to determine the true assessable profits of a non-resident person in a situation as described in (c) above. As such, the profits may be computed on a fair percentage of the turnover of the trade or business in Hong Kong.

Similarly, pursuant to IRR Rule 3, the profits of the Hong Kong branch of a bank, whose head office is situated elsewhere than in Hong Kong, will be ascertained as follows:

- (a) Where accounts are kept which disclose the true profits arising in or derived from Hong Kong, those accounts will be adopted and adjusted in accordance with the provisions of the IRO.
- (b) Where accounts do not disclose the true profits arising in or derived from Hong Kong or accounts are not kept:

$$\text{Assessable profits} = \text{Adjusted worldwide profits} \times \frac{\text{Hong Kong assets}}{\text{Worldwide assets}}$$

- (c) Where the assessor is of the opinion that it would be impracticable or inequitable to adopt methods (a) and (b) above, the taxpayer may estimate the assessable profits of the branch. If the person disagrees with the assessment raised by the assessor under IRR 3 or 5, such taxpayer might lodge an objection under s.64(1).

In addition to the general charging provision under s.14, there are a number of provisions which the IRO which may apply to non-residents who carry on business in HK or derive income from HK, such as:

- i) Deemed trading receipts that are assessed under s.15(1)(a), (b), (ba), (bb) and (d)
- ii) Selling of goods in HK through the use of a HK agent

These are explained in more details below.

8.2.2 Non-resident Persons Selling Goods in HK

Notwithstanding that a non-resident person does not have a PE in HK or is not carrying on a business or derives profits from HK, the non-resident person is liable to pay for profits tax (commonly known as consignment tax) for goods sold in HK through a HK agent in accordance with s.20A(3).



Obligations of the HK agent:

- To calculate and pay consignment tax based on 1% of the sale proceeds to the Commissioner.
- To furnish quarterly returns (Form BIR52B) to the Commissioner disclosing the gross proceeds from the sales of goods in HK.
- To retain an amount that is sufficient to meet the tax liability of the non-resident person. Such agent is indemnified against any person in respect of the retention of the non-resident person's assets (s.20A(2)).

Notes:

1. A lower consignment tax rate of 0.5% may be applicable subject to approval by the Commissioner.
2. Where a non-resident person is willing to provide an undertaking to meet his tax liability with the IRD, the Commissioner may exempt the HK agent from such withholding obligation as he thinks fit.

Generally, consignment tax is regarded as a final tax liability of the non-resident person. Final tax in this context refers to taxpayer's tax liability in which no foreign tax credit is available under the relevant tax treaties. However, in the event that the non-resident person is of the view that the actual tax liability is less than the consignment tax withheld, the person may request for the Commissioner to assess his tax liability based on actual income and expenses supported by financial statements and documents.

In the event that the HK agent's activities in HK constitute a PE of the non-resident person, profits tax can be assessed either under s.20A(3) or s.14 of the IRO and the corresponding assessable profit will be determined in accordance with IRR Rule 5.

Apply and Analyse 1

Apply

Maple Canada Inc. is a company incorporated in Canada which manufactures and sells maple syrup globally. In 2018, it set up a branch in Hong Kong to sell its famous maple syrup to the HK customers. The following financial information is available for the year ended 31 December 2018:

Worldwide turnover = HK\$100 million

HK turnover = HK\$30 million

HK assets = HK\$20 million

Worldwide assets = HK\$60 million

HK cost of goods sold = HK\$10 million

HK branch expenses = HK\$5 million (estimated)

Adjusted worldwide profits = HK\$40 million

Please advise which method to use to calculate the assessable profits of Maple Canada's HK branch and compute its assessable profits for the year ended 31 December 2018.

Apply and Analyse 1 (continued)

Analysis

The first step the students should perform is to determine which is the most suitable method to compute the assessable profits of the above HK branch. At first glance, students may be inclined to use the proportionate assets method which is typically used to compute the assessable profits of a HK branch of a foreign financial institution since the information is based on actual numbers.

To the contrary, the actual profit method is not suitable to be used in this circumstance since the HK branch expenses of HK\$5 million are only based on an estimate.

It is also important for students to determine whether the taxpayer in question is a financial institution or otherwise. Since it is a manufacturing and trading company (i.e. non-financial institution), the appropriate method to use is the proportionate turnover method.

As such, the assessable profits of the HK branch of Maple Canada Inc. for 2018/19 is:

$$\begin{aligned}
 & \text{Adjusted worldwide profits} \times \frac{\text{Hong Kong turnover}}{\text{Worldwide turnover}} \\
 &= \text{HK\$40 million} \times (\text{HK\$30 million} / \text{HK\$100 million}) \\
 &= \text{HK\$12 million}
 \end{aligned}$$

► Knowledge Check Questions

Question 2

Canada Imperial Bank of Canada (CIBC) sets up its first HK branch in 2016. It has a 31 March year end. The following is an extract of CIBC's financial information for the past three years.

	2016	2017	2018
	HK\$bn	HK\$bn	HK\$bn
Worldwide assets	10	12	15
HK assets	2	4	5
Worldwide turnover	25	30	35
HK turnover	5	8	7
Adjusted worldwide profits	8	10	12

What is the assessable profit of CIBC's HK branch for YE 2019?

- A** HK\$2.4 billion
- B** HK\$4 billion
- C** HK\$2.9 billion (Average of HK assets/Worldwide assets × Average of worldwide profits)
- D** HK\$3.3 billion (2018 HK assets/Worldwide assets × Average of worldwide profits)

► Knowledge Check Questions (*continued*)

Question 3

MountainGear Canada Inc. (MGC) is a company incorporated in Canada. It manufactures and sells winter jackets in Europe, US and Canada. In 2018, MGC expanded its operation to include Hong Kong, China and Japan. MGC appointed Mr Smith as the regional marketing agent in HK to look after the customers in these three countries. Mr Smith does not have the authority to negotiate and sign contracts on behalf of MGC. His primary responsibility is to promote MGC's products and after-sales service. For the year ended 31 March 2019, MGC generated sales in the following countries:

Sales to customers in HK = HK\$10 million

Sales to customers in China = HK\$30 million

Sales to customers in Japan = HK\$25 million

What is the consignment tax which MGC is liable to pay to IRD?

- A** HK\$10 million $\times$ 16.5% = HK\$1.65 million
- B** HK\$65 million $\times$ 16.5% = HK\$10.73 million
- C** HK\$10 million $\times$ 1% = HK\$100,000
- D** HK\$40 million $\times$ 1% = HK\$400,000

8.2.3 Deemed Trading Receipts of Non-resident Persons

A non-resident person who does not carry on business in HK and who may have no physical presence in Hong Kong is still liable to profits tax if, for example, the person receives sums in the form of royalties or licence fees for the use of or right to use in Hong Kong certain industrial or intellectual property. Such receipts are deemed by s.15(1) to arise in or be derived from Hong Kong from a trade, profession or business carried on in Hong Kong.

The table below summarises the amounts which are deemed as trading receipts for HK tax purposes:

IRO provisions	Amounts deemed as trading receipts
15(1)(a)	Sums, not otherwise chargeable to profits tax, received by or accrued to a person from the exhibition or use in HK of cinematograph or television film or tape, sound recording or any connected advertising material.
15(1)(b)	Sums, not otherwise chargeable to profits tax, received by or accrued to a person for the use of or right to use in HK any patent, design, trademark, copyright material, secret process or formula or other similar property, or for imparting knowledge connected with the use in HK of any such properties.
15(1)(ba)	Sums, not otherwise chargeable to profits tax, received by or accrued to a person for the use of or right to use outside HK any intellectual properties listed in s.15(1)(b), or for imparting knowledge connected with the use outside HK of any such properties, which are deductible in ascertaining the assessable profits of a person under profits tax.
15(1)(bb)	Sums received by a non-resident from the sale or assignment of a performer's economic right will be deemed to be profits of the non-resident chargeable to tax in Hong Kong.
15(1)(d)	Sums received by or accrued to a person by way of hire, rental or similar charges for the use of or right to use movable property in HK.

The above deeming provisions apply where the transactions between a resident and non-residents of HK do not fall within the scope of the basic charging provision as outlined under s.14 of the IRO. In other words, they will not apply to those transactions that have already been assessable under s.14.

Pursuant to s.21A, the assessable profits of a person's income as described in s.15(1)(a), s.15(1)(b) or s.15(1)(ba) shall be taken as 30% of the total amounts paid, except for sums derived from an **associate** in respect of rights that were previously owned by a person carrying on a trade, profession or business in Hong Kong, which are deemed at 100%.

The above can be summarised as follows:

- Where the transactions involve non-related parties, the assessable profits under these provisions are deemed to be 30% of the payment made to the non-resident taxpayer.
- However, if they are related (e.g. one is a holding company, and the other is a subsidiary company) and such property (i.e. intellectual property or rights) has been previously owned by a person carrying on a business in Hong Kong, then 100% of the payments are deemed to be assessable profits of the relevant non-resident taxpayer. (See Section 8.3.3 for more.)

Key Learning Point

When non-resident persons are assessable under the deemed receipt provisions such as ss.15(1)(a), (b), (ba) and s.20B, IRD has adopted various methods of determining the assessable profits which are subject to tax in HK.

Where the transactions involve non-related parties, the assessable profits under these provisions are deemed to be 30% of the payment made to the non-resident taxpayer. For related party transactions, where the intellectual property was previously owned by a person carrying on business in Hong Kong, the rate is increased to 100%.

Apply and Analyse 2

Apply

Based on the Opening Case, please calculate the profits tax payable by Superstar for YA 2018/19 by analysing:

1. The assessable profits generated by Superstar;
2. Tax to be withheld by Superstar on behalf of the non-resident persons

Assume that no other taxable incomes were generated by the non-resident persons and BriteTix did not have other connected entity entitled to the two-tiered profits tax rate. In addition, we assume there is no capital allowance available in this case.

Notes:

HK has determined withholding tax rates on royalties for the following DTA countries as of this writing:

Switzerland (3%)

Spain (5%)

Apply and Analyse 2 (continued)

Canada (10%)

United Kingdom (3%)

Analysis

1. Scenario 1 – Withholding tax is borne by the non-resident persons

In this scenario, there is no additional costs or expenses which Superstar needs to consider other than those outlined in the Opening Case.

Taxable income = HK\$30 million

Less:

Deductible expenses

- Payments to various sportsmen = HK\$7 million
- Payments to Justin Jenson = HK\$800,000
- Payments to BriteTix = HK\$2.35 million
- Rental of indoor stadium = HK\$500,000
- Staff salaries = HK\$600,000
- Payments for tennis clinics = HK\$300,000

Assessable Profits = HK\$18,450,000

Tax payable by Superstar:

For the first HK\$2 million @16.5% $\times \frac{1}{2}$ = HK\$165,000

For the balance of \$16.45 million @16.5% = HK\$2,714,250

Total = HK\$2,879,250

2. Scenario 2 - Tax to be withheld by Superstar

The first step is to compute the amount of withholding tax applicable to each of the payments made to the non-resident persons.

Withholding tax costs calculation in respect of:

Fees payable to the following sportsmen:

Roger Smith (Switzerland)	$\text{HK\$2 million} \times \frac{2}{3} \times 7.5\% = \text{HK\$100,000}$
Rafael Nelson (Spain)	$\text{HK\$2 million} \times \frac{2}{3} \times 7.5\% = \text{HK\$100,000}$
Michael Chong (US)	$\text{HK\$1.5 million} \times \frac{2}{3} \times 7.5\% = \text{HK\$75,000}$
Leyton Hope (Australia)	$\text{HK\$1.5 million} \times \frac{2}{3} \times 7.5\% = \text{HK\$75,000}$
Fees payable to Justin Jenson	$\text{HK\$800,000} \times \frac{2}{3} \times 7.5\% = \text{HK\$40,000}$
Fees payable to BriteTix (based on tax rate per DTA)	
Fixed base fee	$\text{HK\$750,000} \times 3\% = \text{HK\$22,500}$
8% of Ticket Sales	$\text{HK\$1.6 million} \times 3\% = \text{HK\$48,000}$
Fees payable for MC's tennis clinic	$\text{HK\$300,000} \times \frac{2}{3} \times 7.5\% = \text{HK\$15,000}$

Total sum to be withheld and paid by Superstar on behalf of the non-residents = HK\$475,500

8.2.3.1 Precedent Court Cases on Deemed Trading Receipts Under s.15(1)(b)

Case 1

CIR v Emerson Radio Corporation (2000) HKRC 90-102

Facts Summary

- Emerson Radio Corporation ('the taxpayer') is an American corporation and the registered owner of a trademark 'Emerson'. It manufactures and sells electronic equipment.
- The taxpayer has a HK subsidiary, Emerson Radio (Hong Kong) Ltd ('Emerson HK'), which licensed the right to use the trademark 'Emerson' on products sold by Emerson HK to customers in the USA. None of the goods were sold in HK.
- Emerson HK entered into agreements with unrelated contract manufacturers in Hong Kong, mainland China, Japan, Korea, Malaysia, Thailand and Taiwan to manufacture its goods.
- Emerson HK's profits are subject to tax in HK in respect of its trading activities arising from its ordinary course of business in Hong Kong.
- Emerson HK entered into a royalty agreement with the Taxpayer under which it was allowed to use the trademark on goods sold to the US customers.
- The royalties were computed based on a percentage of the price received by Emerson HK from its customers in the USA.

CIR's Position

Pursuant to s.15(1)(b) of the IRO, the Commissioner assessed the royalty income as being derived from HK and as being subject to HK profits tax. The Commissioner was of the view that all of the royalties received by Emerson US were assessable to HK profits tax on the basis that the royalties were paid for the right to use the trademark in Hong Kong.

Taxpayer's Position

The Taxpayer disagreed with the CIR's position and asserted that the location where the Emerson trademark is used should be of relevance in determining whether the profits are derived from HK. Since the said trademark is used solely outside HK where the products are sold, none of the sums received as royalties should be subject to HK profits tax.

The Taxpayer appealed to the Board of Review which subsequently dismissed the Taxpayer's appeal and ruled that the royalty income was an indivisible sum; that is, it could not be apportioned between goods manufactured in and outside of HK.

The Court's Decision

The Court of Final Appeal (CFA) concluded that the trademark royalties paid by Emerson HK to its US parent (i.e. the Taxpayer) were only partly taxable in HK. As a result, the CFA upheld the decision of the Court of First Instance (CFI).

Two of the judges were of the view that Emerson HK had used the trademark in HK by virtue of affixing the mark to goods made in HK during the manufacturing process. As such, the royalties could be apportioned between those relating to the use of the trademark in Hong Kong and those relating to the use of the trademark elsewhere (whether in manufacturing or sales).



IRD's Current Practice

As a result of CFA's ruling, s.15(1)(ba) was enacted. Consequently, where a non-resident company received royalties income from a HK company, the IRD's new assessing practices are as follows:

1. Where goods are manufactured and sold outside Hong Kong and the *trademark is affixed outside Hong Kong*, the royalties are not assessable but subject to s.15(1)(ba) which is to counteract the tax avoidance schemes following this case.
2. Where goods are manufactured and sold outside HK and the *trademark is affixed in HK*, the royalties are assessable to profits tax in HK. The affixing of the trademark in HK is regarded as 'use in HK'.
3. Where goods are manufactured in HK and the *trademarked goods are sold in HK*, the royalties are assessable in HK.
4. Where goods are manufactured outside HK and *the trademarked goods are sold in HK*, royalties are assessable in HK.

The above IRD practice took effect on 25 June 2004.

Case 2

Lam Soon Trademark Limited v CIR (2005) HKRC 90-171

Facts Summary

The taxpayer is a company incorporated in the Cook Islands in December 1987. It is part of Lam Soon Group of Companies which is controlled by Lam Soon Hong Kong Limited ('LSHK'). The taxpayer's directors are located in HK, Singapore and the Cook Islands. Pursuant to a decision of a management meeting held in HK, LSHK's trademark was transferred to the taxpayer. The taxpayer licenced the right to use the trademark to its associated companies.

The Court's Decision

The Court of First Instance (CFI) upheld the Board of Review's (BOR) decision that the taxpayer was carrying on business in HK and the royalty earned by the taxpayer was sourced from Hong Kong on the grounds that:

1. The strategic decision to acquire the trademark and to grant licenses were all made in Hong Kong;
2. The negotiation for and the agreements to grant the licenses were made in Hong Kong;
3. The trademarks were registered in Hong Kong; and
4. There was sufficient evidence to prove that the Hong Kong management were actively involved in providing steps and directions to protect the trademark.

Pursuant to s.60 of the IRO, the assessor has the right to issue an additional assessment if he believes the taxpayer has been assessed less than it should be. In this case, the CFI was of the view that s.60 was applicable to the present case; that is, additional assessments to charge the taxpayer under s.14 could be issued notwithstanding that the taxpayer has been charged under s.15(1)(b) previously.

Both the Court of Appeal (COA) and the CFA upheld the CFI's decision in this regard.

8.3 WITHHOLDING OBLIGATION

As mentioned in the beginning of this chapter, HK territorial principle does not distinguish between residents and non-residents. A non-resident company or individual that derives income from a Hong Kong source, for services provided or work done in Hong Kong, is liable to pay tax in Hong Kong.

When a Hong Kong-resident company or individual makes specific types of payments to a non-resident entity for services rendered in Hong Kong, a certain portion of the payment must be withheld and paid to IRD. The percentage of amount withheld is the withholding tax.

In addition to understanding the scope and calculation of withholding tax in HK, we also need to appreciate the role of the withholding agent who has the responsibility to deduct, withhold and remit the correct amount of tax to IRD on a timely basis.

8.3.1 Withholding Obligations on Hong Kong Agents

Pursuant to s.20A (*Persons Chargeable on Behalf of a Non-Resident*), a non-resident person may be assessed directly or in the name of his agent jointly or severally. Notwithstanding whether an agent has physically received of the profits derived from HK by a non-resident, the assessor has the right to raise an assessment in the name of the agent and any tax owed shall be recoverable by any applicable method as outlined in the IRO from the assets of the non-resident person or from the agent.

When such an assessment is issued, the agent is required to deduct, at the time he or she pays or credits the non-resident person, a sum sufficient to meet the non-resident person's tax liability in Hong Kong.

Pursuant to s.20A(2), the agent is indemnified against any person in respect of such withholding.

The term **agent** in relation to a non-resident is defined in s.2 to include:

1. The agent, attorney, factor, receiver or manager in Hong Kong of such person; and
2. Any person in Hong Kong through whom such person is in receipt of any profits or income arising in or derived from Hong Kong.

For many years, IRD has relied on s.20A to enable the tax owed by a non-resident to be assessed and collected by making the agent to be liable for such withholding even where the non-resident has no physical presence in Hong Kong.

However, where the transactions involve two parties who act on a principal-to-principal basis (i.e. one of the parties is not acting as an agent), s.20A does not have the legal authority to enforce such withholding responsibility in the absence of an agent. This deficiency is shown in the *ATV* case described below.

8.3.1.1 CIR v. Asia Television Limited (1987) 2 HKTC 198 ('ATV' case)

The *ATV* case which was brought before the High Court dealt with the definition of an 'agent'. The case involved a licensing agreement which Asia Television Limited (ATV) entered into with a non-resident film distribution company. The licence fees paid by ATV were for the right to



broadcast films in HK which was supplied by the non-resident company. The following are details of the case:

- ATV paid the licence fees to the non-resident company which was located outside Hong Kong.
- Under the deeming provision in s.15(1)(a), such fees are chargeable to profits tax in HK. Assessments were raised on ATV as an agent for a non-resident.
- ATV filed an appeal against the said assessment. The High Court held that in the circumstances of the case the non-resident was in receipt of income not through but rather directly from ATV. Consequently, ATV was not an 'agent' as defined under the IRO and could not be charged under s.20A in respect of the licence fees paid to the non-resident.
- Consequently, the non-resident could only be charged by direct assessment.
- As a result of the ATV decision, IRD is unable to use s.20A to assess non-residents where the Hong Kong person and the non-resident deal with each other on a principal-to-principal basis, as was the situation in the *ATV* case.
- In practice, it is common for both non-resident entertainers/sportsmen who perform in Hong Kong to derive income from a Hong Kong principal instead of an agent. As a result, the IRD is of the view that it has been necessary to amend the law to restore the position, as far as possible, to that which was thought to have existed prior to the *ATV* decision. The same applies for non-residents in receipt of royalties and licence fees from a Hong Kong principal instead of an agent.

In view of the above decision, s.20B was introduced to provide for the taxation of a non-resident person in the name of any person who pays or credits certain payments to the non-resident person. This amendment was to overcome the limitations imposed by the interpretation of agent in the *ATV* case. Departmental Interpretation and Practice Notes 17 (Revised) (DIPN) provides guidance on the taxation of persons chargeable to profits tax on behalf of non-residents. This is discussed in the next section.

Concerning the definition of 'agent', an issue arises for a broker or an investment adviser carrying out transactions, as an agent, for a non-resident client. The IRD has expressed its view in DIPN 30 that it would be unusual for the transactions of a non-resident through a broker or an investment adviser to amount, in themselves, to carrying on a trade, profession or business. Consequently, the IRD would not generally seek to charge non-residents to profits tax in the name of such a broker or an investment adviser. S.20AA was therefore enacted to specify the circumstances under which a broker or an investment adviser acting for a non-resident person is deemed not to be an agent of the non-resident for the purposes of s.20A. A detailed discussion on each subsection of s.20AA has been contained in DIPN 30.

8.3.2 Withholding Obligations on Resident Persons Paying or Crediting Certain Payments to Non-resident Persons

As a result of the *ATV* case, the Inland Revenue (Amendment) Ordinance 1989 introduced a new s.20B which became effective on 1 April 1989.

S.20B only applies to situations where persons in Hong Kong who are not agents deal with a specified class of non-residents. In essence, this class comprises non-residents in receipt of

royalties and licence fees from Hong Kong and non-resident entertainers and sportsmen who perform in Hong Kong as follows:

1. Sums deemed under ss.15(1)(a), (b), (ba) or (bb) to be receipts derived from Hong Kong from a trade, profession or business carried on in Hong Kong, in other words, royalties and licence fees; or
2. Sums received in respect of the performance in Hong Kong by a non-resident **entertainer or sportsman** of an activity as an entertainer or sportsman on or in connection with a **commercial occasion or event**, including appearance in any promotional activity or participation in any sound recording, films, videos, radio, television etc.

Students should note that s.20A has remained unchanged and continues to apply in situations where the Hong Kong payer is truly an agent of the non-resident.

8.3.3 Amount of Tax to be Withheld

Where s.20B applies, a non-resident person is chargeable for tax in the name of the resident person who paid or credited sums to him or any other non-resident person. The resident person is required to deduct a sum at the time the person pays or credits the non-resident person which will be sufficient to meet the non-resident person's tax liability. The amounts to be withheld are as follows:

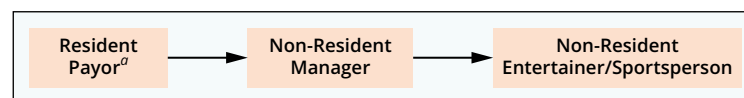
Types of payment (i.e. income to non-residents)	Withholding tax on behalf of non-resident persons
Sums taxable under ss.15(1)(a), (b) or (ba)	Standard rate or corporate profits tax rate on 30% or 100% of the sums (s.21A)
Sums payable for the performance of a non-resident sportsman or entertainer in connection with a commercial occasion or event	Standard rate or corporate profits tax rate on two-thirds of the sums (s.21) ^a

^aWith regards to non-resident entertainers and sportsmen, the IRD, as a matter of general practice, has allowed HK promoters, who represent the non-resident entertainers and sportsmen, to withhold tax on the basis the assessable profits represent two-thirds of the gross receipts payable to them and the balance of one-third is treated as allowable expenses. This practice is supported by DIPN 17 (Revised) paragraph 14.

The IRD is authorized pursuant to s.21 of the IRO to compute the assessable profits of a non-resident based on a percentage of turnover as outlined above.

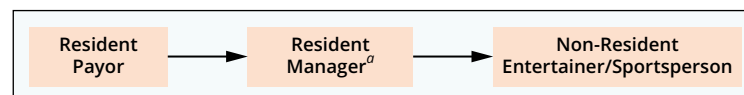
However, if the non-resident person believes that the tax withheld is excessive, they may claim a larger deduction but must be able to prove that any additional expenses are properly deductible and supportable by valid documentation.

DIPN 17 (Revised) states that in terms of s.20B(2) the resident person would remain chargeable to tax on behalf of the non-resident person even if the payment or credit was made to a non-resident person other than the non-resident person who is chargeable by virtue of s.20B(1). This applies, for example, where the payment is made to the manager of a non-resident entertainer who is himself a non-resident person. An illustration would help to understand this withholding tax obligation better.



^a Resident payor has the obligation to deduct and withhold tax (s.20B(2)).

S.20B would also be applicable where sums falling within s.20B(1) were paid by a resident person to another resident person for the account of a non-resident person. In this situation, the other resident person would be chargeable on behalf of the non-resident person.



^a Resident manager has the obligation to deduct and withhold tax (s.20B).

Please note that the resident person (payor) must retain the tax withheld until a demand note calling for payment is received from the IRD. He or she is indemnified, by virtue of s.20B(3), against any person in respect of the deduction.

Key Learning Point

Historically, s.20A gives the legal basis for a HK payor to withhold tax when making payment to non-resident persons who carry on a business, trade or profession in HK. This still applies in instances of payments from an agent of the non-resident. Principal to principal payments are not covered by this section, so, s.20B is introduced to overcome this deficiency. In s.20B, for payments to a non-resident sportsman, IRD will deem one-third of the total payments as allowable expenses, and the balance of two-thirds as assessable profits subject to withholding tax.

Apply and Analyse 3

Apply

Premier (HK) Tennis Champions Ltd (PTC) is a HK incorporated company which specialises in organising top level tennis exhibition matches world-wide. Due to its global commitment in staging such events, PTC works together with other reputable companies in putting such events together. In June 2018, PTC was asked to organise an exhibition match between a HK top tennis player and a famous international tennis superstar, MC, who is based in the US. MC sets up MC USA Inc. for this engagement.

PTC appointed TennisAccess Ltd (TA), a company incorporated in HK, to coordinate the event. PTC entered into a contract with MC USA Inc. to procure the services of MC to take part in the above event in HK.

Under the above arrangement, PTC would pay TA a service fee of HK\$2 million and in turn, TA would pay MC USA Inc. an agreed performance fee of HK\$1.5 million. MC receives the entire amount of HK\$1.5 million from MC USA Inc.

Apply and Analyse 3 (continued)

Analysis

In order to apply the correct withholding tax treatment, students are advised to determine the various payment flows:

1. *Payment of HK\$2 million from PTC to TA*

Since this payment involves two HK incorporated companies, PTC is not required to deduct and withhold tax when making such payment to TA.

2. *Payment of HK\$1.5 million from TA to MC USA Inc.*

For purposes of s.20B(1b)(i) of the IRO, the sum of HK\$1.5 million is regarded as a sum payable in respect of the performance in Hong Kong by a non-resident sportsman in connection with a commercial occasion or event.

MC, who resides in the US, is a non-resident for HK tax purposes. He is chargeable to tax in respect of the above amount in the name of TA, which is a resident person.

Pursuant to s.20B(2), TA is required to deduct from the fee, at the time it pays or credits the said payment to MC, a sum sufficient to pay the tax. In addition, TA is indemnified against any person in respect of its deduction of such a sum as provided under s.20B(3) of the IRO.

3. *HK withholding tax calculation*

Pursuant to DIPN 17 (Revised) paragraph 14, there are two methods in computing the HK withholding tax calculation in this case:

- (a) *Deemed profit method*

Pursuant to s.21 of the IRO, the IRD would accept that the assessable profit of the non-resident is computed based on a percentage of turnover or gross receipts. Where this option is selected, one-third of the fee payable to MC USA Inc. will be allowed as a deduction for expenses and the other two-thirds of the fee would be treated as assessable profits of MC USA Inc. and subject to tax in HK.

Therefore, TA is required to deduct tax against the fee payable to MC USA Inc. as follows:

$$\text{HK\$1,500,000} \times \frac{2}{3} \times 8.25\%^a = \text{HK\$82,500}$$

^a Under the two-tiered profits tax regime which is effective from YA 2018/19, the standard tax rate of 16.5% is reduced by 50% for the first HK\$2 million of assessable profits.

- (b) *Actual profit method*

Alternatively, if TA is of the view that actual expenses incurred are greater than the deemed allowable deduction of one-third of gross receipts, TA has the option to deduct and withhold tax based on actual assessable profit generated. If this option is selected, TA will be required to provide supporting documents to substantiate the claims for deduction to IRD.



8.3.4 Refund of Tax Overpaid

Finally, it should be noted that the Inland Revenue (Amendment) Ordinance 1989 also amends s.79(3) to provide that where a non-resident person has been assessed in the name of another person under s.20A or s.20B and the tax so assessed has been paid by the other person, either the other person or the non-resident, but not both, may claim repayment of any tax overpaid. In this regard, the IRD takes the view that the term 'another person' in s.79(3), as amended, covers both an 'agent' referred to in s.20A and 'any person in Hong Kong' in s.20B.

► Knowledge Check Questions

Question 4

Based on the Opening Case, please calculate the withholding tax which Superstar must deduct from the payment to Justin Jensen and remit to IRD?

- $16.5\% \times \text{HK\$}800,000 = \text{HK\$}132,000$
- $7.5\% \times \text{HK\$}800,000 = \text{HK\$}60,000$
- $7.5\% \times \text{HK\$}800,000 \times \frac{2}{3} = \text{HK\$}40,000$
- No withholding tax is applicable since BriteTix did not carry on business in HK.

Question 5

MC USA Inc. believes that the tax liability calculated under the deemed profit method is higher than the actual profit method. The following expenses are incurred by MC USA Inc. in connection with the tennis exhibition match in HK.

Return first class air-fare for MC = HK\$100,000

Return first class air-fare for MC's close friends = HK\$400,000

Direct expenses related to MC:

Hotel accommodation = HK\$10,000

Local transportation = HK\$5,000

Food and beverages = HK\$6,000

What is the amount of HK tax payable by MC USA Inc. under the actual profit method?

- A** HK\$113,767
- B** HK\$227,535
- C** HK\$80,767
- D** HK\$161,535



SUMMARY

- HK tax system is based on a territorial source principle. Therefore, it is the location of the 'source of the income' rather than entities' residency status that determines whether income is subject to HK profits tax or not. As such, no distinction is made between residents and non-residents under the Inland Revenue Ordinance (IRO).
- For HK tax purposes, the source of income is closely related to the place where a person carries on a business or derives profits from. In respect of a non-resident person who carries on a business in or derives profits from HK, they would be chargeable to tax in HK. On the other hand, a HK company which carries on business activities or derives profits from outside of HK, such profits would not be subject to tax in HK.
- There are special provisions in the IRO which deem certain receipts or sums derived by non-resident to be profits assessable to tax in HK. These are:
 - i) Deemed trading receipts – ss.15(1)(a), (b), (ba), (bb) and (d)
 - ii) Non-resident entertainer or sportsman – s.20B
- Under s.20B(2), the HK resident payor has the obligation to withhold tax when making or crediting sums payable to non-resident persons who are chargeable to tax in HK. In addition, pursuant to s.20B(3), the HK resident payor is also indemnified against any person in respect of his deduction of such sum.
- As a general practice by IRD and in accordance with DIPN 17 (Revised) paragraph 14, the assessable profits of a non-resident can be calculated using the formula as follows:

Allowable deduction = $\frac{1}{3}$ of the Sums payable for the performance of a non-resident sportsman or entertainer in connection with a commercial occasion or event (the 'Sum')

Assessable profit = $\frac{2}{3}$ of the Sum above

The above non-resident persons who are chargeable to tax in HK have the option to calculate their net assessable profits based on actual expenses incurred. A tax return and supporting documents to substantiate the deduction claims must be made available upon request by IRD.

- Withholding tax on sums taxable under s.15(1)(a), (b) or (ba) is calculated as follows:
 1. Payment to a non-resident related party and such property (i.e. intellectual property or rights) has been previously owned by a person carrying on a business in Hong Kong:

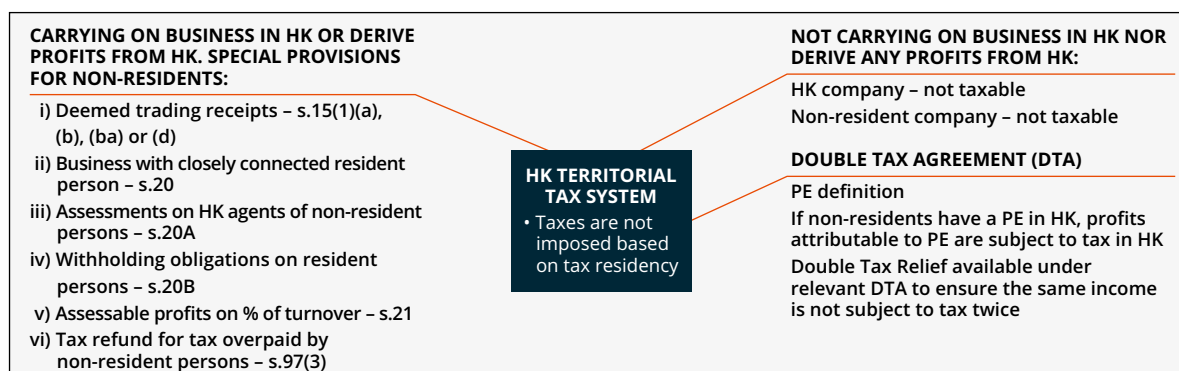
Deemed assessable profit = 100% of the sums payable/creditable

2. Payment to a non-resident unrelated party:

Deemed assessable profit = 30% of the sums payable/creditable

- Non-residents persons who have been assessed under s.20A or s.20B reserve the right to request a tax refund for tax overpaid in accordance with s.97(3).

MIND MAP



LIST OF FORMULAS

1. Withholding tax calculation

Types of payment (i.e. income to non-residents)	Withholding tax on behalf of non-resident persons
Sums taxable under s.15(1)(a), (b) or (ba)	Standard rate or corporate profits tax rate on 30% or 100% of the sums (s.21A)
Sums payable for the performance of a non-resident sportsman or entertainer in connection with a commercial occasion or event	Standard rate or corporate profits tax rate on two-thirds of the sums (s.21) ^a

^a With regards to non-resident entertainers and sportsmen, the IRD, as a matter of general practice, has allowed HK promoters, who represent the non-resident entertainers and sportsmen, to withhold tax on the basis the assessable profits represent two-thirds of the gross receipts payable to them and the balance of one-third is treated as allowable expenses. This practice is supported by DIPN 17 (Revised) paragraph 14.

2. The assessable profits formula is used when a person works in a Hong Kong branch of an entity that has a head office elsewhere and one of the following apply: 1) the entity does not disclose the true profits arising in or derived from Hong Kong, or 2) accounts are not kept.

$$\text{Assessable profits} = \text{Adjusted worldwide profits} \times \frac{\text{Hong Kong turnover}}{\text{Worldwide turnover}}$$

► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. A place for storage, display or delivery of goods does not constitute a PE in HK as these are storage facilities.

Answer B is incorrect. A place for purchasing or advertising goods or for collecting information for the non-resident enterprise does not constitute a PE in HK as these activities are preparatory or auxiliary in nature.

Answer C is correct. The key word here is 'habitually' negotiates and concludes contract on behalf of the non-resident. So there is a pattern of conduct by the agent of the non-resident to frequently negotiate and conclude contracts where the customer resides. If it is a one-off incident and there is a valid reason for doing so, there is a good likelihood that IRD would not consider such action of the agent to be a PE of the non-resident enterprise in HK.

Answer D is incorrect. The mere use of the same hotel room does not constitute a fixed place of business as outlined in the PE definition of the IRO.

Question 2

Answer A is correct. Since it is a HK branch of a financial institution, the appropriate method of assessable profit is as follows:

$$\begin{aligned} & \text{Adjusted worldwide profits} \times \frac{\text{HK turnover}}{\text{Worldwide turnover}} \\ & = \text{HK\$12 bn} \times (\text{HK\$7 bn} / \text{HK\$35 bn}) = \text{HK\$2.4 bn} \end{aligned}$$

Answer B is incorrect. The wrong formula is applied:

$$\text{Adjusted worldwide profits} \times \frac{2019 \text{ HK Assets}}{2019 \text{ Worldwide Asset}}$$

Answer C is incorrect. The wrong formula is applied:

$$\text{HK\$2.9 billion (Average of HK assets / Worldwide assets} \times \text{Average of worldwide profits)}$$

Answer D is incorrect. The wrong formula is applied:

$$\text{HK\$3.3 billion (2019 HK assets / Worldwide assets} \times \text{Average of worldwide profits)}$$

Question 3

Answer A is incorrect. The applicable tax rate to be used in a consignment of goods arrangement is 1% instead of the prevailing profits tax rate of 16.5%. Please note that in practice, IRD has generally accepted a consignment tax of 0.5% based on the gross sales proceeds to HK customers.

Answer B is incorrect. In addition to using the wrong tax rate of 16.5% (see preceding paragraph above), it also uses the total worldwide sales which includes sales to HK, China and Japan customers.



Answer C is correct. It used the right consignment tax rate of 1% and applied the gross sales proceeds from HK customers only. As explained in (A) above, IRD has generally accepted a consignment tax of 0.5% based on the gross sales proceeds to HK customers.

Answer D is incorrect. Although the consignment tax rate of 1% is correct, it applied the incorrect gross sales proceeds from HK and China customers. For tax purposes, HK and China are treated as separate and distinct jurisdictions.

Question 4

Answer A is incorrect. The tax rate of 16.5% is applicable when computing the tax owing by a corporate taxpayer and not an individual person like Justin Jensen. In addition, the assessable profit should be calculated using IRD's deemed profit method of two-thirds of the sums accrued or received by the non-resident entertainer as required under s.21.

Answer B is incorrect. Only two-thirds of the sums accrued or received by Justin Jensen is assessable to tax in HK.

Answer C is correct. The applicable tax rate for an individual for assessable profit below HK\$2 million is 7.5%. In addition, the correct assessable profit under IRD's deemed profit method is two-thirds of HK\$800,000.

Answer D is incorrect. Under s.15(1)(a), Justin Jensen is deemed to derive income from HK and as such, it is liable to HK profits tax.

Question 5

Answer A is correct. The HK tax liability of MC USA Inc. is calculated as follows:

Total gross payment to MC USA Inc. = HK\$1,500,000

Less: Deductible expenses

- MC airfare = HK\$100,000
- MC direct expenses (hotel, local travel and meals) = HK\$21,000

Net Assessable Profit = HK\$1,379,000

HK tax payable @8.25% = HK\$113,767

Answer B is incorrect. The HK tax liability of MC USA Inc. is calculated as in (A) except that it applied the wrong tax rate of 16.5%. As of YA 2018/19, the applicable HK tax rate for an incorporated company for the first HK\$2 million of assessable profit is 8.25%.

Answer C is incorrect. The HK tax liability of MC USA Inc. is calculated as follows:

Total gross payment to MC USA Inc. = HK\$1,500,000

Less: Deductible expenses

- MC airfare = HK\$100,000
- Airfare for MC's friends = HK\$400,000
- MC direct expenses (hotel, local travel and meals) = HK\$21,000

Net Assessable Profit = HK\$979,000

HK tax payable @8.25% = HK\$80,767

IRD is likely to disallow the claim for airfares of HK\$400,000 relating to MC's friends when computing MC USA Inc.'s assessable profits as these expenses are not directly incurred in connection with MC's performance in HK.

Answer D is incorrect. The assessable profits of MC USA Inc. are calculated on the same basis as (C) and it applied the incorrect tax rate of 16.5%.

 EXAM PRACTICE**QUESTION 1**

White Mountain Canada Inc. (WMC) is a company incorporated and tax resident in Canada. WMC manufactures baby milk powder and sells its products through its distributors around the world.

WMC appointed Pure Infant HK Ltd (PI), a company incorporated and centrally managed in HK, as its HK distributor under a consignment agreement to sell its products to customers in HK. As a compensation of PI's promotion and marketing services, it receives a commission of 5% based on the gross sales generated from the HK customers.

Under the above consignment agreement, WMC reserves the right to demand return of the products at any time. The title of the good rests with WMC until the goods are sold, at which point, title passes directly to the HK customer.

WMC supplied the products to PI on a monthly basis. In return, PI is required to provide a quarterly sales report to WMC as a basis to compute its commission fees.

The consignment agreement states that PI reserves the right to deduct 1% of the gross sales proceeds or any other amount from payments made by PI to WMC as required by the applicable law to ensure there are sufficient funds to cover any HK profits tax due.

WMC appointed you as the HK tax advisor and raises the following issues:

1. What is the basis for the HK consignment tax payment above since WMC is a company incorporated in Canada and does not carry on a business in HK?
2. There is no contractual arrangement which would suggest a legal basis to compute a tax based on 1% or any other deemed notional percentage of the gross sales proceeds.

In addition to the above consignment arrangement with PI, one of WMC's directors has a son, John Chan, who lives in HK and just graduated from business development program from HK University. He was asked by WMC to help promote the products in HK as well. John was very keen to develop the business and started to negotiate and conclude contracts with customers in HK on behalf of WMC.

Required

- (a) Based on prevailing IRO and Inland Revenue Rules (IRR), what are the circumstances a non-resident company is assessable to profits tax in Hong Kong, and how are the chargeable profits computed?
- (b) What are the HK profits tax implications arising from the consignment arrangement between WMC and PI, including the basis of tax assessment and whether PI reserves the right to deduct such amount from the remittance to WMC?
- (c) What are the HK tax implications on the appointment of John Chan?

QUESTION 2

Highjump Ltd, a Hong Kong resident company, is planning to organise a basketball exhibition game in Hong Kong to celebrate the opening of HK's biggest state of the art indoor stadium in January 2019.



Highjump Ltd has engaged the services of another Hong Kong resident company, Hoops Ltd, to secure the performance of an international Chinese superstar, Mr Yee Ming, who has attained worldwide stardom following his success in the US professional basketball league. Mr Yee Ming has since become a US citizen and tax resident in US. Mr Johnson, who is a US tax counsel, represented Mr Yee Ming in reviewing the performance agreement between Hoops Ltd and his client.

Highjump Ltd agrees to pay Hoops Ltd a service fee of HK\$10 million. Hoops Ltd was able to negotiate a contract which requires Mr Yee Ming to perform in the one-day basketball exhibition game for an amount of HK\$7 million.

Under the tax clause contained within the performance agreement, it is clearly stated that Hoops Ltd reserves the right to deduct 10% of the gross payment due to Mr Yee Ming or any other amount which is sufficient to cover the HK tax liability arising from his performance in HK.

Mr Johnson does not agree that Hoops Ltd has the legal right to deduct 'any amount which is sufficient to cover the HK tax liability' of Mr Yee Ming. Mr Johnson is of the view that his client is only liable to HK tax when his physical presence in HK is greater than 183 days in any 12-month period. In addition, Mr Johnson raised the following issues:

1. Hoops Ltd is not an 'agent' acting on behalf of Mr Yee Ming since the contractual relationship between them is based on a principal-to-principal basis. Therefore, Hoops Ltd has no authority to deduct any tax from the payment.
2. Given that HK does not implement a self-assessment system like the US, IRD is responsible for issuing a demand for tax in the form of an assessment stating the tax liability owed by Mr Yee Ming.
3. There is no legal basis to compute Hong Kong profits tax based on 10% or any other deemed notional percentage. The net assessable profits should be calculated based on gross income less deductible expenses.

Required

- (a) Determine whether Mr Yee Ming will be chargeable to Hong Kong tax.
- (b) Identify the method with which Hong Kong tax payable by Mr Yee Ming will be calculated.
- (c) Determine whether there is any difference in Mr Yee Ming's tax position if he were to incorporate a company in Hong Kong to receive the payment on his behalf.
- (d) Explain what Mr Yee Ming can do if tax is overpaid on his behalf by Hoops Ltd

QUESTION 3

Crispy Chicken HK Ltd ('CC') carries on business in Hong Kong as a fast food retailer of fried chicken under a franchise agreement with Nebrasksa First Chicken USA Inc ('NFC'), a company incorporated and resident in the US, for an initial period of 10 years. CC makes up its annual accounts to 31 March.

Under the franchise agreement, NFC will install all the necessary kitchen equipment in CC's selected premises to ensure consistent and high quality food is maintained. CC is also allowed to rent the kitchen equipment from NFC for the first 5 years to help improve its

cash flow. Thereafter, CC has the option to purchase the kitchen equipment from KFC at a nominal value.

In addition, CC is required to pay an annual royalty of 8% on its gross sales to NFC for using its world-wide known brand and as part of NFC's marketing strategies, hire a spokesperson appointed by NFC for a fee and pay such compensation directly to the selected individual. CC entered into an agreement with Mr Jack Chan, a well-known actor and singer who is a US citizen, to be its spokesperson.

For the year ended 31 March 2019, these are the extracts from CC's financial statement:

- a) Gross sales = HK\$30,000,000
- b) Fee paid to NFC for annual rental of kitchen equipment = HK\$2,000,000
- c) Annual rental for premises paid to a HK landlord = HK\$10,000,000
- d) Performance fee paid to Mr Jack Chan = HK\$1,000,000

Required

- (a) Based on the above information, please advise if NFC has a permanent establishment in HK and identify whether NFC derives profits from HK under s.14(1) of the IRO. If not, explain the applicable provision in the IRO which may deem KFC's income to be assessable to HK tax.

- (b) Calculate NFC's HK profits tax liability for the year of assessment 2019/20, and advise CC of its tax reporting obligation in respect of payments made to KFC.

- (c) As a spokesperson for CC, Mr Jack Chan was required to perform a 1-night concert in HK and have a photo session with 10 customers selected through a lucky draw.

Advise if the performance fee paid to Mr Jack Chan is subject to tax in HK. If so, calculate Mr Jack Chan's tax liability in HK relating to the above arrangement.

- (d) CC decided to purchase the kitchen equipment from NFC at a nominal value of HK\$100,000. Please advise if such payment is subject to profits tax in HK.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) Under the general charging section under s.14(1) of the IRO, profits tax shall be charged for each year of assessment on every person carrying on a trade, profession or business in Hong Kong in respect of his assessable profits arising in or derived from Hong Kong for that year from such trade, profession or business.

The word 'every person' includes both resident and non-resident persons such as individuals (e.g. sole proprietorships), corporations, partnerships, trustees as well as bodies of persons carrying on any trade, profession or business in Hong Kong.

The key factors to determine one's taxability in HK are:

1. Whether a person is carrying on a trade, profession, or business in HK. This is a question of fact; and
2. Whether the profits are arising in or derived from HK.



Where a non-resident company is regarded as carrying on business in Hong Kong and it is chargeable to tax under s.14(1), its assessable profits will be computed by reference to IRR Rule 5. However, where the facts of the case do not indicate that the conditions under s.14(1) applies, IRD may apply the provision under s.15 to deem certain receipts to be derived from HK and treat such income as assessable profits of the non-resident which are subject to tax in HK.

In the case of WMC, although it does not have a PE in HK, IRD may apply profits tax on the sale of goods in HK based on 1% of the gross sales proceeds arising from such sale. Such profits tax is also commonly known as consignment tax.

Pursuant to IRR Rule 5 the profits of the Hong Kong branch of a person whose head office is situated elsewhere than in Hong Kong, will be calculated as follows:

1. Actual profit method

This is applicable where the financial accounts are kept in order and disclose the true profits arising in or derived from HK. In this case, such accounts will be adopted and adjusted in accordance with the provisions of the IRO.

2. Proportionate method

This is applicable where the financial accounts are not maintained in a manner which allows the true profits arising in or derived from Hong Kong to be disclosed separately, or the financial accounts are not kept in order:

$$\text{Assessable profits} = \text{Adjusted worldwide profits} \times \frac{\text{Hong Kong turnover}}{\text{Worldwide turnover}}$$

3. Percentage of HK turnover

Where the assessor is of the opinion that it would be impracticable or inequitable to adopt methods (a) and (b) above, he may compute the assessable profits on a fair percentage of the Hong Kong turnover.

Where the use of methods (a) and (b) above are found to be inequitable or impracticable, the IRD has the legal basis to determine the true assessable profits of a non-resident person in a situation as described in (c) above. This is provided under s.21 of the IRO. As such, the profits may be computed on a fair percentage of the turnover of the trade or business in Hong Kong.

(b) Tax implications for WMC

Since WMC is a tax resident in Canada and PI is a tax resident in HK, we need to look at the PE definition under Article 5 of the Canada-HK tax treaty. The PE definition under the said article is similar to the PE definition under Schedule 17G of the IRO, Cap.112.

Since the activities of PI are not specifically excluded from the PE definition in paragraph 4 of Article 5 under the Canada-HK treaty, WMC is deemed to be carrying on a business in HK with the assistance of PI acting as an agent who continuously maintains inventory of the products and regularly fills orders on behalf of its principal (i.e. WMC). Therefore, the consignment agreement between WMC and PI allows WMC to derive income from HK customers.

Under s.20A(3), the IRO provides that an agent, who sells goods in HK on behalf of a non-resident principal, is required to remit a sum equal to 1% of the gross sales proceeds as the final profits tax liability. In practice, this rate has been reduced to 0.5%. In addition, the agent is required to submit a quarterly return to IRD showing the related gross sales proceeds.

WMC has the option to elect to be assessed at the prevailing HK corporate tax rate of 16.5% on net chargeable profits based on the actual sales revenue less deductible expenses as supported by the relevant financial statements.

To the extent the deemed basis of 0.5% of the gross sales proceeds relating to HK customers is less than the tax liability based on actual net profit method, WMC is recommended to choose the former method.

As PI acts as the withholding agent on behalf of WMC, it has the obligation to deduct and remit such consignment tax to IRD or any other amount which is sufficient to cover the Hong Kong profits tax applicable as required under s.20A(1) and (2). Therefore, the above clause is appropriate and must be preserved in the consignment agreement.

In addition, PI is legally responsible under the IRO to withhold the related tax from the sale proceeds before remitting the balance back to WMC. PI is statutorily protected against any legal action or claims by WMC.

- (c) Given that John, on behalf of WMC, regularly negotiates and concludes contracts in HK, WMC would be deemed to have a PE in HK under Article 5 of Canada – HK tax treaty. As such, the profits attributable to such PE would be subject to tax in HK.

QUESTION 2

- (a) The general charging provision for profits tax is governed under s.14(1) which states that profits tax shall be charged for each year of assessment on every person carrying on a trade, profession or business in Hong Kong in respect of his assessable profits arising in or derived from Hong Kong for that year from such trade, profession or business.

By carrying out his performance in Hong Kong, Mr Yee Ming is regarded as carrying on a business in Hong Kong and to have derived such profits from Hong Kong. Therefore, he will be liable to HK tax notwithstanding that he only performed for one day in HK.

Under s.20B, Mr Yee Ming is chargeable to Hong Kong tax notwithstanding that the contractual relationship between Hoops Ltd and Highjump Ltd is based on a principal-to-principal basis.

In addition, 'sportsman' as defined under s.20B(4) refers to a person, other than a corporation, who gives a performance in the character of a sportsman in any kind of sport, including any activity of a physical kind which the public may be permitted to see or hear notwithstanding whether the performance is free or otherwise.

The taxable sum includes amounts paid for any appearance made in connection with the promotion of a commercial occasion or event; and any participation by the sportsman in sound recording, films, videos, radio, television or similar transmissions, whether live or recorded (s.20B(1)(b)).

- (b) Pursuant to the *ATV* case, s.20B was introduced to provide IRD with the legal basis to assess the HK tax liability of a non-resident who entered into a contractual relationship with a HK payor on a principal-to-principal basis and is deemed to be carrying on a business in HK or derives income in HK in connection with ss.15(1)(a), (b), (ba) or (bb). Therefore, when Hoops Ltd makes a payment to Mr Yee Ming, it is chargeable to tax in the name of Hoops Ltd as stated in s.20B(2).

As far as the amount of withholding tax to be deducted, it is the payment of HK\$7 million that Hoops Ltd paid or credited to Mr Yee Ming which is relevant in calculating the amount of tax to be withheld, and not the HK\$3 million gross profits which Hoops Ltd earned from the contract between Highjump Ltd and Hoops Ltd. Therefore, for the purposes of s.20B(3), Hoops Ltd is required by law to deduct the appropriate amount which should be sufficient to meet Mr Yee Ming's tax liability in this particular arrangement.

Mr Johnson is correct to assert that HK does not operate on a self-assessment tax administration system similar to the US. As such, a taxpayer's obligation to settle the tax owed is only triggered upon the issuance of an assessment by IRD. Consequently, Hoops Ltd is required to deduct and keep the appropriate amount of withholding tax on behalf of Mr Yee Ming until it receives a notice of assessment from IRD requiring such tax to be remitted within a prescribed period of time. It is important to note that since Hoops Ltd is required by law to deduct the appropriate amount of withholding tax when making payment to Mr Yee Ming, Hoops Ltd is indemnified against any legal claims or liability for carrying out their obligation as provided under s.20B(3). As far as Highjump Ltd is concerned, it does not have any withholding tax obligation when making payment to Hoops Ltd, which is another HK tax resident company.

Under DIPN 17 (Revised) paragraph 14, two-thirds of the fee would be treated as assessable profits and the balance of one-third is deemed to be deductible expenses. This notional method of computation based on a percentage of turnover is acceptable by IRD for ease of calculating the net assessable profits and is supported by s.21.

The suggested withholding tax rate of 10% is computed as follows:

$$\text{Applicable profits tax rate for unincorporated person } @15\% \times \frac{2}{3} = 10\%$$

Therefore, the withholding tax to be deducted by Hoops is calculated as follows:

$$15\% \times \frac{2}{3} \times \text{HK\$7 million} = \text{HK\$700,000}$$

If Mr Yee Ming does not agree with the notional method of computing his HK tax liability, he is allowed to file a tax return and pay tax based on actual net profit after deducting actual expenses against his HK sourced income of HK\$7 million. However, he is required to provide all relevant supporting documents to support the deductible expenses he claims in his tax return.

- (c) If Mr Yee Ming were to incorporate a HK company to receive the payment from Hoops Ltd, his HK tax situation would not change. His HK incorporated company would have the same withholding tax obligation as Hoops Ltd above as stated under s.20B. However, Hoops Ltd would no longer have any withholding tax obligation since it would make payment to another HK incorporated company in this case.

- (d) The right to request for a tax refund when a non-resident person has specifically been assessed under s.20A or s.20B and determined that such tax withheld is excessive is provided under s.79(3). That section provides that either the resident person who withheld such tax or the non-resident person, but not both, may file a claim to IRD requesting for such refund. Therefore, if Mr Yee Ming believes that Hoops Ltd has withheld the tax excessively, he reserves the right to request the tax overpaid by virtue of s.79(3).

QUESTION 3

- (a) Generally a permanent establishment (PE) refers to a fixed place of business where a person would carry on a certain level of business activities to derive income from that particular country. The term 'fixed' place would be associated to some degree of permanence or existence of a particular work place or location.

In addition to the concept of a fixed place of business, the PE definition is also extended to include non-resident individuals who, on behalf of their overseas company, carry on an income generating activities such as negotiating and concluding trading contracts in a particular country.

Under Inland Revenue Rules 5, a PE is defined as 'a branch, management or other place of business, but does not include an agent unless the agent has, and habitually exercises, a general authority to negotiate and conclude contracts on behalf of his principal or has a stock of merchandise from which he regularly fills orders on his (the principal's) behalf.

Based on the description above, NFC has neither a fixed place of business in HK nor an agent who carries on an income generating activities in HK such as negotiating and concluding contracts on its behalf. Therefore, KFC does not have a PE in HK.

The general charging provision for profits tax is governed under s.14(1) which states that profits tax shall be charged for each year of assessment on every person carrying on a trade, profession or business in Hong Kong in respect of his assessable profits arising in or derived from Hong Kong for that year from such trade, profession or business.

Based on the information available, NFC does not carry on a business in Hong Kong, therefore the general charging s.14(1) is not applicable in this case.

However, since NFC derives royalty income from HK which CC uses in HK, such amount is caught under the deemed trading receipt under s.15(1)(b). In addition, the rental income from kitchen equipment will also be subject to tax in HK under s.15(1)(d).

- (b) Based on the information above, CC and NFC are not related entities and they deal with each other on an arm's length basis. Therefore, under s.21A, the deemed assessable profits from the rental of kitchen equipment and royalty income are 30% of the sums received by NFC. As the recipient is a corporation, the applicable tax rate is 8.25% (for the first HK\$2million of assessable profit) under the recently introduced two tier profits tax regime which is applicable to fiscal year ended after 1 April 2018.



Therefore, the HK profits tax payable by NFC for the year of assessment 2019/20 is calculated as follows:

i) Rental of kitchen equipment = HK\$2,000,000 × 30% = HK\$600,000

ii) Gross Sales x Royalty Rate

= HK\$30,000,000 × 8% × 30%

= HK\$720,000

Total sums (i) and (ii) = HK\$1,320,000

HK profits tax payable for YA 2019/20 = HK\$1,320,000 × 8.25% = HK\$108,900

CC is required to withhold this tax amount from the gross royalty payment, and only remit the net amount of HK\$4,291,100 to KFC.

For HK tax reporting purposes involving payments to non-residents, CC is required to inform the Inland Revenue Department (IRD) of NFC's chargeability to profits tax within 4 months after the accounting year-end date of the year in which the above payment is paid (i.e. on or before 31 July 2019).

In addition, CC is also required to file a Hong Kong profits tax return on behalf of KFC, disclosing the total sums chargeable to tax in HK and the corresponding tax amount withheld. Upon filing the said profits tax return, IRD will subsequently issue a notice of assessment to CC and it will be required to settle the above tax liability of HK\$363,000 on behalf of NFC.

- (c) Under s.20B, Mr Jack Chan is treated as having derived income from HK notwithstanding that he only performed a 1-day concert in HK.

His HK profits tax liability is calculated as follows:

= HK\$1,000,000 × 2/3 × 7.5%* = HK\$50,000

*As the recipient is a non-resident individual, the applicable tax rate is 7.5% (for the first HK\$2million of assessable profit) under the recently introduced 2-tier profits tax regime which is applicable to fiscal year ended after 1 April 2018.

- (d) The nominal payment of HK\$100,000 for the kitchen equipment at the end of 5 years is not subject to profits tax in HK since NFC does not carry on a business in HK and such payment is not treated as deemed trading receipts in HK under s.15(1).



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GLOSSARY OF TERMS

60-day exemption rule the 60-day exemption rule is the maximum duration an individual can stay in Hong Kong during a visit under s.8(1B) of the IRO to be regarded as rendering all services outside Hong Kong in order to be exempted from salaries tax. For the purposes of the 60-day rule, the day of arrival and the day of departure are counted as two days.

additional tax assessment for offences leading to tax undercharged, the IRD may issue a s.82A additional tax assessment, which at a maximum is up to three times the tax undercharged. S.82A assessment is made where the offence is not so serious to warrant a prosecution or where the evidence is insufficient for the proof required in a criminal prosecution.

Ad valorem stamp duty (AVD) a stamp duty charged at variable rates depending on the consideration or value given, and at higher rates for residential property.

agent one who enters into a contract on his principal's behalf creating a contractual relationship between his principal and a third party.

assessable value consideration and rent recovered less irrecoverable rent.

associated company a company over which the employer has control; or, if the employer is a corporation, it has control over the employer or is under the control of the same person as the employer.

associates of a HK entity are defined as:

- If the Hong Kong entity is a natural person:
 - A relative of the person;
 - A partner of the person, or a relative of the partner;
 - A partnership in which the person is a partner;
 - A corporation controlled by the person; or
 - A director or principal officer of a controlled corporation.
- If the Hong Kong entity is a corporation:
 - An associated corporation; i.e.
 - A corporation over which the Hong Kong entity has control;

- A corporation that has control over the Hong Kong entity; or
- A corporation under the same control as the Hong Kong entity.
- A person who controls the corporation, or a partner of the controller, or a relative of the controller or partner;
- A director or principal officer of the corporation (or any associated corporation), or a relative of the director or officer; or
- A partner of the corporation, or a relative of the partner.
- If the Hong Kong entity is a partnership:
 - Any partner in the partnership;
 - A relative of any partner;
 - A corporation that is controlled by the partnership, or by a partner or any relative of a partner;
 - A director or principal officer of a controlled corporation; or
 - A corporation whose director or principal officer is a partner in the Hong Kong partnership.

basis period the period that is used to compute the taxable profits for a year of assessment is called the basis period, which is normally the financial year ended in the year of assessment for profits tax, 1 April of a year to 31 March of the year after for salaries tax and property tax.

bearer instrument a debenture wherein capital and interest are payable to the person physically in possession of the instrument. Bearer instruments may pass from hand to hand free from any equities which might have attached to it as between the issuer and the original holder.

Board of Review (BOR) is a statutory body which is responsible for hearing and determining tax appeals against the IRD's determinations.

business any commercial use to which a person puts its assets.

Buyer's stamp duty (BSD) a stamp duty charged when the purchaser of a residential is anyone other than a HKPR.

commercial occasion or event includes any occasion or event for which an entertainer might receive cash or other form of property for his performance, or any occasion or event designed to promote commercial sales or activity. As presently defined, it is considered that the phrase will cover all those occasions or events, whether commercial or charitable, in respect of which an entertainer or sportsman might receive profits assessable to tax.

concessionary deductions these are deductions by concessions which are stipulated under Part 4A of the IRO.

connected person an corporation or person associated with the issuer.

consideration sum received and receivable for the use of the property.

control the ability of a person to possess voting power in a corporation through his/her role as a shareholder, or through powers conferred by the articles of association or other regulations of a corporation.

control test a test to distinguish a profession from employment. It determines whether the employment type, control and supervision apply to the person which provides the services. This would mean in practice the ability of an employer to dictate as a matter of course where, when and how tasks are carried out.

conveyance an instrument whereby title to immovable property is transferred to or vested in any person

counterpart A separate, physical version of a document that must be executed by a single party in a transaction (e.g. a lease that is executed with one part for the lessee and one part for the lessor). Counterparts must be executed together.

debt instrument a financial tool with a minimum denomination of at least HK\$50,000 and is issued by a person with an acceptable credit rating. A debt instrument must be registered with and approved by the Hong Kong Monetary Authority and is issued to at least 10 persons (or fewer than 10 provided that none is an associate of the instrument's issuer).

deferred pay a portion of an employee's income; i.e. salary, wages or bonus, which is paid out at a deferred or later date.

duplicate an instrument that is an exact identical true copy of that instrument (e.g. both signatures of lessor and lessee are present in both the original instrument and the duplicate)

economic reality test a test to distinguish a profession from employment. It determines whether the person who provides the services needs to provide his/her own equipment and hires own helpers; to what extent the degree of financial risk is undertaken by the service provider; whether the service provider assumes the responsibility of management and investment.

employment an occupation in which an individual holds and office and works for an employer. Income from employment is subject to salaries tax.

entertainer or sportsman means a person, other than a corporation, who gives performances in any kind of entertainment or sport, including any physical activity which the public is permitted to see or hear. In terms of the definition it matters not whether the activity is in a live or recorded form or whether the public is required to make payment to see or hear.

error or omission claim in addition to the objection right, a taxpayer may apply to correct an assessment within six years after the end of the relevant year of assessment, or six months after issue of the relevant notice of assessment, whichever is later, if he can prove that the tax charged for that year of assessment is excessive by reason of an error (something done inadvertently) or omission in any return or by reason of a mathematical error or omission in the calculation of the amount of tax.

holdover claim a taxpayer may apply in writing for a partial or complete holdover of provisional tax on various grounds specified under the IRO within 28 days before the provisional tax payment due date or 14 days after issue of the relevant notice demanding provisional tax payment, whichever is later.

Hong Kong employment an employment which originates from Hong Kong or is Hong Kong sourced.

Inland Revenue Department (IRD) is the main tax authority in Hong Kong and is one of nine departments under the administration of the Financial Services and the Treasury Bureau. It administers and enforces IRO and SDO with the main duties to assess and collect taxes, conduct tax audits and issue advance rulings and DIPNs.

integration test a test to distinguish a profession from employment. It determines whether the service provider is part and parcel of the company.

irrecoverable rent outstanding rent which proves to be irrecoverable.

joint assessment a joint assessment refers to the assessment upon an election by a married couple who is not living apart to have their income jointly assessed under s.10(2) of the IRO.

lump sum premium spread over the lease period or over three years (36 months), whichever is the shorter.

midnight rule midnight rule is a basis used to count the presence of a person in a country; Hong Kong in this case. If the individual is in Hong Kong at midnight, he or she is present in Hong Kong on that day. Thus, the day of arrival is ignored and only the departure day is included when computing the total days spent in Hong Kong.

mutuality of obligation test a test to distinguish a profession from employment. It determines whether an employer is generally required to provide work for his employee and the employee is required to discharge that work.

net assessable value assessable value less rates paid by owner and 20% statutory deduction.

net income net income is the net assessable income less concessionary deductions under Part 4A.

non-resident person is a person who is not a 'resident person' in relation to that year of assessment (see s.20AB(3))

objection if a taxpayer disagrees with an assessment, an objection in writing, with grounds stated therein, must be lodged within one month after the issue of the assessment. Unless the tax is held over, the taxpayer must pay the tax assessed before the result of the objection is known.

office a subsisting, permanent substantive position that exists independently from the person who fills it (*Great Western Railway Co. v. Bater* [(1922) 8 TC 231]).

ordinarily resides a term used to refer to having regular and substantial period of visits from year to year and maintaining a place of abode.

permanent establishment a branch, management office, or other place of business that is expected to endure.

permanent resident a permanent resident means an individual who ordinarily resides in Hong Kong.

person an individual, corporation, partnership, trustee, or body of persons capable of carrying on an economic activity.

personal assessment personal assessment is an assessment on an individual/married couple's total chargeable income, which is total income reduced by interest on income-generating

property, concessionary deductions, current year business loss and personal assessment loss brought forward, and further deduction of personal allowances. Total income consists of salaries income (NAI), property income (NAV) and business income (AP).

profession an occupation requiring either purely intellectual skill, or of manual skill controlled. A profession is typically self-employed (e.g. lawyer, accountant, consultant, artist). Income from a profession would be subject to profits tax.

profit a notional unit of account denoting some economic gain.

Ramsay principle a method applied to ensure that the provisions of a taxing statute are applied, as they were intended, to a real-world commercial operation or transaction.

reasonable excuse penalty may be reduced or mitigated if there is reasonable excuse. A reasonable excuse is what one would expect a reasonable person to do in all of the circumstances. A reasonable person is not a perfect person, but an average person using the reasonable skill and care in handling his tax affairs which one would expect to see from such an average person.

recognised occupational retirement scheme (RORS) an occupational scheme used by employees to save for retirement. RORs must be registered under s.18 of the ORSO unless they are exempt from registration under s.7(1) and established by any other Hong Kong ordinance. They may also be operated by a foreign government or nonprofit agency.

reduced total income the total income reduced by interest on income-generating property, concessionary deductions, current year business loss and personal assessment loss brought forward.

rent recovered recovery of amounts previously deducted as irrecoverable rent.

resident person as per s.20AB(2) means:

- 1) An individual who:
 - Ordinarily resides in Hong Kong (has a permanent home in Hong Kong where he or his family lives in that year of assessment); or
 - Stays in Hong Kong for more than 180 days in the relevant year of assessment or more than 300 days in two consecutive years of assessment, one of which is the relevant year of assessment (in counting the number of days, part of a day is treated as one day); or

- 2) A company, partnership or trustee of a trust estate whose central management and control is exercised in Hong Kong in the relevant year of assessment.

resides to dwell permanently or for a considerable time, to have one's settled or usual abode, to live in or at a particular place.

secrecy provision an officer of the IRD is required to keep secret the affairs of a taxpayer, except when disclosure is required by law.

Special stamp duty (SSD) a stamp duty charged when a residential property is sold within 36 months of acquisition.

Stamp duty a tax on written instruments admissible in court. Stamp duty is not applied to transactions.

statutory deduction allowance for repairs and outgoings calculated at 20% of the assessable value less rates paid by owner.

statutory income statutory income refers income assessable to tax under the specific provisions of the IRO

strike price strike price is the price at which the stock/share can be bought on exercise of the stock option.

temporary resident this refers to an individual who stays in Hong Kong for more than 180 days during the year of assessment in respect of which the election is made, or 300 days in two consecutive years of assessment, one of which is the year of assessment in respect of which he or she elects for personal assessment.

time apportionment basis the method of allocating income including the leave pay to services rendered in Hong Kong based on the days an individual is present in Hong Kong using the midnight rule.

time-in-time-out basis same meaning as the time apportionment basis.

total chargeable income total chargeable income is the reduced total income less personal allowances.

trade an organised activity, venture or manufacture that is carried on with a view to profit.

voluntary dispositions inter vivos a conveyance that is in effect an outright gift and chargeable with the same stamp duty as if it were a conveyance on sale.

year of assessment begins on 1 April of a year and ends on 31 March of the following year.

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